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East African Railways and Harbours v East African Road Services Limited
[1971] 1 EA 1 (CAM)

Division:	Court of Appeal at Mombasa
Date of judgment:	16 July 1970
Case Number:	8/1970 (118/70)
Before:	Duffus P, Spry V-P and Law JA
Sourced by:	LawAfrica
Appeal from:	High Court of Kenya – Mosdell, J

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[1] Civil Practice and Procedure – Declaratory judgment – Contribution – Claim for, between joint tortfeasors – Declaration granted to prevent joint tortfeasor avoiding liability to contribution by relying on limitation.

[2] Limitation of Actions – Contribution – Claim between joint tortfeasors – Cause of action arising on date of judgment against person claiming contribution not on date of accident – Law Reform Act, s. 3 (*K.*).

[3] Limitation of Actions – Contribution – Claim between joint tortfeasors – Declaration granted to avoid right to contribution being lost by limitation.

Editor's Summary

A bus belonging to the respondent ("Road Services") collided with a train belonging to the appellant ("E.A.R. & H."). Both Road Services and E.A.R. & H. were sued by parties injured in the collision, and the drivers of the train and the bus were found equally to blame. Road Services then sued E.A.R. & H. for damages; and also for a declaration that Road Services would be entitled to claim indemnity or contribution under s. 3 of the Law Reform Act against E.A.R. & H. in any proceedings arising out of the collision. This declaration was designed to protect Road Services in the event of both it and E.A.R. & H. being sued after the short period of limitation fixed by the East African Railways and Harbours Act, had expired, and Road Services right to contribution then being removed by such a suit being dismissed as against E.A.R. & H. but not as against Road Services. The judge having granted this declaration, E.A.R. & H. appealed.

Held – (by the court)

(i) contribution can only be claimed from a joint tortfeasor where no suit has been brought against that tortfeasor. Where a suit has been brought and dismissed for any reason no contribution can be claimed (*George Wimpey & Co. Ltd. v. B.O.A.C.* (4) followed);

(ii) (by Spry, V.-P., and Law, J.A.; Duffus, P., dissenting) the words "would if sued have been liable" in s. 3, Law Reform Act contemplate what would have happened if a suit has been properly brought and in due time (*Morgan v. Ashmore, Benson Pease & Co. Ltd.* (3) and *Harvey v. R. G. O'Dell Ltd.* (5) followed);

(iii) in a suit for contribution, the cause of action arises on the judgment) against the person claiming contribution;

(iv) s. 93 of the East African Railways and Harbours Act does not apply to claims for contribution;

(v) the declaration was properly granted to anticipate the possibility of a subsequent claim being made against the appellant and thereby being dismissed.

(by Duffus, P.) it would be wrong for a declaratory judgment to assist a party to avoid the consequences of the law.

Appeal dismissed.

Cases referred to judgment

(1) *Merlihan v. A.G. Pope Ltd*., [1945] 2 All E.R. 449.

(2) *Hordern Richmond Ltd. v. Duncan*, [1947] 1 All E.R. 427

(3) *Morgan v. Ashmore, Benson Pease & Co. Ltd*., [1953] 1 All E.R. 328.

(4) *George Wimpey & Co. Ltd. v. B.O.A.C*., [1954] 3 All E.R. 328.

(5) *Harvey v. R. G. O'Dell Ltd*., [1958] 1 All E.R. 657

(6) *Brambles Construction Pty. Ltd. v. Helmers*, [1966] A.L.R. 981; E and E Digest, 1969 Supp.

16 July 1970. The following considered judgments were read:

Judgment

Spry V-P: A bus belonging to the respondent company (to which I shall refer as Road Services) was in collision with a train belonging to the appellant (to whom I shall refer as E.A.R. & H.). Some people were killed and others injured. Thirteen suits were filed in which both Road Services and E.A.R. & H. were made defendants, and in one, which was treated as a test case, it was held that the drivers of the bus and the train had been negligent to an equal degree. Subsequently, Road Services filed a suit against E.A.R. & H. claiming damages of Shs. 50,000/- and E.A.R. & H. counterclaimed for Shs. 21,856/52. These amounts were agreed and accordingly judgment was entered in favour of Road Services for Shs. 14,071/-, interest and costs. Against that part of the judgment and decree there has been no appeal.

Road Services, however, sought another relief in its plaint: it asked for a declaration that:

> ". . . in the event of any proceedings for damages or compensation being instituted against the plaintiff, its servants or agents in respect of the accident mentioned in paragraphs 4 and 5 hereof, the plaintiff shall be entitled to claim indemnity or contribution against the defendant pursuant to the Law Reform Act (Chapter 26) s. 3, in respect of any damages or costs that may be awarded against the plaintiff; . . ."

The reason why this declaration was sought was because Road Services was advised that if, after the period of limitation fixed by s. 93 of the East African Railways and Harbours Act (Cap. 3) since repealed, had expired, a person claiming damages as a result of the accident were to sue both Road Services and E.A.R. & H., the latter would be entitled to have the suit dismissed as against it and thereafter Road Services would be debarred from claiming contribution although if Road Services alone were sued, it would be entitled to claim contribution from E.A.R. & H. It was obviously assumed that if the declaration sought were granted, it would preclude E.A.R. & H. from resisting any future claim to contribution on the ground that having been sued unsuccessfully for damages in a suit subsequently brought, it was not liable to contribution under s. 3 of the Law Reform Act (Cap. 26).

The judge accepted this view of the law and made the declaration as prayed

and it is against that part of the judgment and decree that this appeal is brought. The appeal involves two questions: first, what is the law of Kenya relating to contribution and, secondly, arising out of that, ought the judge, in the exercise of his judicial discretion, to have made the declaration.

The right of contribution between tortfeasors was created in Kenya by s. 3 of the Law Reform Act. The relevant parts of this section are:

> "3. (1) Where damage is suffered by any person as a result of a tort (whether a crime or not)–
>
> (*e*) any tortfeasor liable in respect of that damage may recover contribution from any other torfeasor who is, or would if sued have been, liable in respect of the same damage, whether as a joint tortfeasor or otherwise . . ."

Those words are identical with the corresponding words in s. 6 of the English Law Reform (Married Women and Tortfeasors) Act 1935, from which they were obviously derived. Accordingly, as the judge remarked, the English decisions on the meaning of those words have a considerable persuasive authority, especially as all those cited to him were decided before the Kenya statute was enacted. There is, so far as I am aware, no East African authority on the subject. The words which raise difficulty are "or would if sued have been".

The first problem which those words create is at what point of time one is to assume the hypothetical action to have been brought. The first of the reported cases is *Merlihan v. A. G. Pope Ltd*. (1). This was a case where contribution was claimed in third party proceedings. The third party notice was issued more than a year after the accident and the third party was a public servant against whom any action had to be brought within one year. The claim failed, Birkett, J., holding that it had not been brought within the period of limitation, time having begun to run at the date of the accident. He held that the words "who if sued" were not to be read as "who if sued in time" and as the third party had not in fact been sued in time, he was not liable.

The next case is *Hordern Richmond Ltd. v. Duncan* (2). In that case, in similar circumstances, the plaintiff company, having *Merlihan's* case in mind and fearing that if a suit for damages were filed against it, it would be time-barred from claiming indemnity or contribution, sought a declaration that in the event of an action for negligence against it, it would be entitled to claim indemnity or contribution from the defendant as a third party, even though more than twelve months might by then have elapsed. Cassels, J., made the declaration sought, although he expressed the view that the Limitation Act "only starts to run in favour of a third party when the defendant in the proceedings has been found to be liable for damages." If that view were correct, the declaration would be unnecessary but in view of the decision of Birkett, J., and not knowing what would be the view of the judge who would eventually try any suit that might be brought, Cassels, J., thought he should make the declaration to prevent what he considered would be an injustice or an obstruction of justice.

In *Morgan v. Ashmore, Benson, Pease & Co. Ltd*. (3) Donovan, J., also differed from the view of Birkett, J., although on a different aspect of the matter. His approach appears clearly in the following passage ([1953] 1 All E.R. 328):

> "What it [that is, s. 6 (1) (*c*) of the English Act] does ask is this.
>
> (i) Is the other tortfeasor liable in respect of the same damage? The second defendants in the present case can answer that question in the negative, not having been sued in time.
>
> (ii) Would the other tortfeasor *have been* liable, if sued? This question

> obviously requires one to make the assumption that the other tortfeasor was sued in the past and to determine on that hypothesis whether he would have been liable. If, in obedience to this direction, I assume that the second defendants were sued in the past, the answer is that they would have been liable in respect of the damage in question. They would have been liable if sued in the past, namely, in the twelve months after Mr. Morgan's death. Accordingly, in my view, they are liable to make contribution under s. 6 (1) (*c*), and it is no answer to say" 'Yes, but in fact we were not sued within that twelve months'. Section 6 (1) (*c*) is dealing in part with the case of joint tortfeasors not sued in fact."

This decision was expressly followed in *Harvey v. R. G. O'Dell Ltd*. (5). After saying that the claim to contribution arose at the date of the judgment against the party claiming contribution, McNair, J., said ([1958] 1 All E.R. 657):

> "Literally construed, the phrase, in my judgment, means 'who, if sued at any time, would have been liable' – that is, held liable . . . I see no valid reason why the literal construction should not be adopted. This construction does not, as I think, involve reading in any words at all; on the other hand, it does avoid the necessity of reading in words of limitation that are not there."

In the meanwhile, these questions had been considered in the House of Lords in *George Wimpey & Co. Ltd. v. B.O.A.C.* (4), when widely differing views were expressed. As McNair, J. said in *Harvey's* case, the point was not finally decided either way. Moreover, it seems to me that it was not essential to the determination of that case and that the opinions expressed were obiter. I do not therefore propose to set them out here.

Wimpey's case is, however, important in another respect, because it was held, by a majority, that the words "who would if sued have been liable" could not relate to a person who had, in fact, been sued but had successfully established a defence of limitation.

So much for the English cases. I would mention also one Australian case, *Brambles Construction Pty. Ltd. v. Helmers* (6), in which it appears to have been decided that a tortfeasor required to contribute is not entitled to rely on any limitation which would have been available against the injured party. The report of that case is unfortunately not available to us and I rely on a note in the English and Empire Digest (1969 Supplement).

I have dealt with these at cases at some length, because I think the decisions can only properly be understood if they are looked at in their historical contexts. I will now consider in the light of those cases, what is the law of Kenya.

First, I think that the words "would if sued have been liable" relate to the position where no suit has in fact been brought and contemplate what would have happened had a suit been brought. I think that presupposes that such hypothetical suit was correctly brought and pursued, before the right court in proper form and in due time. In this, I would adopt, with respect, the reasoning of Donovan, J., in *Morgan's* case and McNair, J., in *Harvey's* case.

Secondly, I do not think those words can relate to the position where a suit has been brought and dismissed, for whatever reason. In this I respectfully follow the decision in *Wimpey's* case. This is somewhat anomalous, but I cannot see that any other interpretation can reasonably be adopted.

Thirdly, I am satisfied that as regards a suit (or third party proceedings) for contribution under s. 3 of the Law Reform Act, the period of limitation must be reckoned from the date of the judgment against the person claiming contribution. I am satisfied that such a suit springs from the Law Reform Act, not

from the accident which gave rise to the liability in damages, and is founded on the judgment, because a person cannot claim contribution until his own liability has been established.

If I am correct so far, it follows that s. 93 of the Railways and Harbours Act does not apply to suits for contribution brought under s. 3 of the Law Reform Act; that Road Services is not debarred on the ground of limitation from claiming contribution from E.A.R. & H., in respect of any judgments arising out of the accident, provided, of course, that such claims are made within the appropriate period of limitation following any such judgment; and that Road Services would be deprived of its right of contribution in any particular case if, when the contribution was claimed, E.A.R. & H. had already been sued and the suit had been dismissed. There was, therefore, every reason for Road Services to seek a declaration to cover this last contingency and it remains to consider whether such a declaration could in law and should properly have been granted.

I am not aware of any case where a declaration such as that sought has been granted. The position is quite different from that in the *Hordern Richmond* case: there, the object was to prevent third party proceedings for contribution being barred by limitation; here, it is sought to prevent E.A.R. & H. being able to claim, in the event of it having been sued unsuccessfully by an injured person, that it is thereby taken out of the class of persons made liable for contribution under s. 3 of the Law Reform Act. On the other hand, if a declaration could be granted for the one purpose, I see no reason why it should not be granted for the other: in each case, the object is to prevent future developments depriving of an inchoate right of contribution the person directly liable to pay damages. We are not concerned here with the question whether such a declaration will be efficacious (and the final sentence in the *Hordern Richmond* case seems to indicate a slight element of doubt). I am inclined to think, although it is not necessary for the purposes of this appeal to decide the point, that it would create an estoppel of record and so prevent E.A.R. & H. resisting a future suit for contribution by asserting that no liability to contribution exists under s. 3 of the Law Reform Act as interpreted in the *Wimpey* case.

I may remark here that the form of declaration sought was that employed in the *Hordern Richmond* case, with only minor modifications. Having regard to the different purpose which it was sought to achieve, I think a somewhat different form might have been more appropriate, but no issue has been raised on this and I am not prepared to say that the form is not adequate for the purpose for which it was intended.

Finally, there is the question whether the declaration ought to have been granted. It was to this aspect of the case that Mr. Kwach, for E.A.R. & H., directed most of his argument. He submitted that it was wrong for the court in its equitable jurisdiction to exercise its discretion and make a declaration which has the effect of making E.A.R. & H. liable for damages in circumstances where it would otherwise not be liable and of ousting the provisions of s. 93 of the Railways and Harbours Act. As I have already said, I do not think s. 93 applies and there is no question therefore of it being ousted. I think, with respect that much of Mr. Kwach's argument was based on the supposition that the object of the declaration was to defeat limitation but, as I have said, that is not so. Road Services is seeking to anticipate the possibility, perhaps a some what remote possibility, that it might be deprived of its right of contribution by the ill-advised conduct of an injured person bringing against E.A.R. & H. a suit which must inevitably fail by reason of limitation, conduct over which, of course, Road Services would have no control. In my view, such deprivation would amount to a manifest injustice. I think, therefore, that the judge was fully justified in granting the declaration.

I would only add that I respectfully agree with a remark passed by Lord Reid in *Wimpey's* case, that the legislature obviously never contemplated this situation. I appreciate that in such circumstances it is an accepted principle to adopt the interpretation of the statute which least changes the law. At the same time, one must, I think, have regard to the basic purpose of the legislation. There can be no doubt that the purpose of the Law Reform Act, so far as it is relevant; was to ensure that as between two persons both guilty of negligence resulting in injury to a third person, there should be a right in either against whom a judgment might be given to recover contribution from the other. If s. 3 (1) (*c*) is ambiguous, as I think it is, I would resolve that ambiguity in favour of a right of contribution, so far as the wording of the section allows.

I would dismiss the appeal, with costs.

Duffus P: This action arose out of a collision between a train belonging to the appellant and a bus belonging to the respondent company. Several persons were killed or seriously injured and various actions for damages were instituted. In this action it was held that the drivers of both vehicles were equally negligent and the appellant and the respondent claimed and counterclaimed for damages and in respect of this part of the action judgment was entered by consent but the respondent company further sought and obtained against the appellant a declaration to the effect:

> "That in the event of any proceedings for damages or compensation being instituted against the plaintiff, its servants or agents in respect of the accident mentioned in paragraphs 4 and 5 of the plaint filed herein, the plaintiff shall be entitled to claim indemnity or contribution against the defendant pursuant to the Law Reform Act (Cap. 26) s. 3, in respect of any damages or costs that may be awarded against the plaintiff."

The appeal is only against the granting of the declaration. The purpose of this declaration is to enable the respondent company to enforce its right to contribution under s. 3 of the Law Reform Act and to prevent the appellant relying on the protection afforded it by s. 93 of the East African Railways & Harbours Act (Cap. 3) of the Community Acts, since repealed.

The relevant portion of s. 93 of the E.A.R. & H. Act states:

> "Where, after the commencement of this Act, any action or other legal proceedings is commenced against the Commissioner for any act done in pursuance or execution, or intended execution, of this Act or of any public duty or authority, or in respect of any alleged neglect or default in the execution of this Act or of any such duty or authority, the following provisions shall have effect–
>
> (*a*) . . .
>
> (*b*) the action or legal proceedings shall not lie or be instituted unless it is commenced within twelve months next after the act, neglect, or default, complained of or, in the case of a continuing injury or damage, within six months next after the cessation thereof."

The declaration sought only relates to future actions and is only important in cases where the appellant could avoid any liability by claiming the limitation under s. 93.

The category of such future claims may for the purposes of consideration in this issue be divided into three divisions:

(i) Cases in which a claimant first brings an action against the appellant alone and in which the appellant succeeds by claiming the benefit of the

limitation period under s. 93 and the claimant then brings another action against the respondent.

(ii) Cases which are brought against both the appellant and the respondent as joint tortfeasors and the claimant obtains a judgment against the respondent alone and in which the appellant succeeds by virtue of limitation under s. 93.

(iii) Cases in which the claimant sues and recovers judgment against the respondent alone.

The respondent's claim for contribution would be by virtue of s. 3 of the Law Reform Act and the relevant consideration here is whether the appellant's case would come within the meaning of the words "may recover contribution from any other tortfeasor who is or would if sued have been liable in respect of the same damage whether as a joint tortfeasor or otherwise". These words have been the subject of much judicial investigation and opinions as the trial judge and Vice-President have pointed out in their judgments. The difficulty of interpretation is best emphasised by the various judgments and opinions expressed in the House of Lords in the case of *George Wimpey & Co. Ltd. v. B.O.A.C.* (4). It was held in this case by the majority of the court (Viscount Simonds, Lord Reid and Lord Tucker) that as the respondents in that case "had been sued by L. and had successfully maintained a defence based on s. 21 of the Limitation Act 1939, against his claim, the appellants were not entitled, on the true construction of s. 6 (1) (*c*) of the Act of 1935, to contribution from the respondents".

Our law in Kenya is similar to the sections dealt with in the *Wimpey* case. s. 93 of the E.A.R. & H. Act is similar to s. 21 of the Limitation Act of 1939 and our s. 3 (1) (*c*) of the Law Reform Act is similar to s. 6 (1) (*c*) of the English Law Reform (Married Women and Tortfeasors) Act 1935. I entirely agree with the decision of the majority in the *Wimpey* case and I would, with respect, adopt the clear reasoning of Viscount Simonds when he said:

> "The question then can be simply stated. Contribution is recoverable from one who in an actual suit by the injured man had been held liable by judgment: it is recoverable from one who, if sued, would in that hypothetical suit have been held liable. Is it also recoverable from one who has been actually sued by the injured man and held not liable? It happens in the case under appeal that the reason why the party from whom contribution was claimed was held not liable was because the Limitation Act was successfully pleaded; but this is irrelevant to the issue. The same question would arise if the claimant tortfeasor alleged that the defence, though it succeeded on the merits, was successful only because the case had been inadequately presented, or even because the judge or jury had taken a wrong view of it. It appears to me that a construction leading to such a result should only be accepted if the language fairly admits of no other meaning. But, so far from this being the case, in my opinion the subsection plainly contemplates two classes only of persons from whom contribution can be claimed, viz., those who have been sued and those who have not been sued but would, if sued, be held liable. If the intention had been to include a third class of persons who, having been already sued and found not liable, might yet in hypothetical proceedings be sued a second time and then found liable (an extravagant intention, as it appears to me, to impute to the legislature) I should have expected to find it expressed in clear and appropriate language. Not only is it not so expressed, but, on the contrary, I find in the words actually used the clear indication that the class of persons who 'if sued would have been liable' does not include persons who, having been sued, have been held not liable. As Morris, L.J., aptly

> put it ([1953] 2 All E.R. at p. 926) the words 'if sued' postulate the case of someone who has not been sued."

The result of this is that the respondent in this case would not be able to recover contribution from the appellant if his case fell within my divisions (i) and (ii) which I have set out before. Mr. Satchu, for the respondent, makes it quite clear that his intention in asking for this declaration is to circumvent this possibility by obtaining this declaration now so that the respondent would be able to plead an estoppel and prevent the appellant raising this defence when contribution is claimed. In effect, he is seeking by his declaration to prevent the appellant relying and asking for a decision on the claim on the law as set out in s. 3 (1) (*c*) of the Law Reform Act. I am strongly of the view that it would be completely wrong for a court to attempt by a declaratory judgment to create a position that would assist a party to avoid the law as enacted by Parliament. The right of contribution amongst joint tortfeasors is a statutory right given by s. 3 of the Law Reform Act. There is no common law right of contribution and the statutory right is limited by the statute and no court has power to alter these rights. The respondent here seeks a declaratory judgment on what is a purely hypothetical case and in the two instances which I have set out he would, of necessity, fail in his attempt to obtain contribution from the other tortfeasor unless he is able, by this indirect method, to avoid what would be clearly the law on the date on which he seeks contribution. I am accordingly of the opinion that the declaration sought should not have been made as this would either be of no effect or else place the appellant in a position which would deprive him of the rights given to him by the statute creating his liability. I would therefore, in any event, have allowed this appeal for these reasons.

I would however also consider the third possibility that I mentioned that is the position which might arise if a claimant only sued the respondent and he then applied to join the appellant as a third party for the purpose of claiming contribution by virtue of s. 3 of the Law Reform Act. The appellant's liability would in this case depend on the meaning of the words "would if sued have been". There can be and have been numerous interpretations of these words but after consideration I think that the interpretation given by Lord Reid with Viscount Simonds approval in the *Wimpey* case must be the correct interpretation and these must mean "if sued by the plaintiff when the joint tortfeasors claim contribution" or "if sued by the plaintiff when the tortfeasor claiming contribution was sued".

The respondent could only claim contribution if the appellant is liable when the respondent brings his action for a contribution. In this case it appears from the record and from the arguments that the respondent has not, in fact, been sued in any other case and that he is only asking for this declaration in the event of some future action being brought at a time when the appellant could claim limitation so that it would appear to me that the appellant could not, in any event, be liable as he could always, in any future case, claim the benefits of the limitation under s. 93.

This is an application for a declaratory judgment on a purely hypothetical action and it seems to me that in any event that the respondent would be not able to succeed in any future claim for contribution and accordingly that the High Court should not have made a declaratory judgment which, as I have said, would either be of no effect or, if effective, could only be a step towards the avoidance of the law as set out in the law Reform Act.

I would therefore have allowed this appeal.

The learned Vice-President and Law, J.A., are however of the view that the appeal be dismissed, and in accordance with their judgments the order of the court is that the appeal is dismissed with costs.

Law JA: I have had the advantage of reading in draft the judgments prepared by the President and Vice-President. The question is whether the judge should or should not have granted the declaration sought by the respondent company to the effect that if in a future action brought against it by a claimant, the claimant is awarded damages, the respondent company shall be entitled to claim contribution against the appellant under s. 3 of the Law Reform Act. The President is strongly of the view that the declaration ought not to have been granted, as it might have the effect of depriving the appellant of a statutory defence by way of limitation. The trial judge and the Vice-President on the other hand consider that the respondent company is entitled to the declaration, to protect it in the case of a claimant suing the appellant only and failing by reason of limitation, so that the appellant would then not be a tortfeasor who is liable in respect of the damage suffered by the claimant and therefore would not be liable to contribute in the event of the respondent company subsequently being successfully sued. Much depends upon the interpretation of s. 3 (1) of the Law Reform Act. There is a considerable conflict of opinion in England as to the interpretation of the corresponding provision there, and in particular of the words "who is, or would if sued have been liable . . ." This point was canvassed by the House of Lords in *George Wimpey & Co. Ltd. v, B.O.A.C.* (4), without however being decided either way. The President has adopted the conclusion accepted by Lord Reid and Viscount Simonds, that the words "if sued" meant "if sued at the same time as the other tortfeasor". Lord Porter and Lord Keith of Avonholm held that the words "if sued" meant "if sued at any time". In the latest authority on this point, *Harvey v. R. G. O'Dell Ltd*. (5), McNair, J., preferred and adopted the latter construction. Once that is accepted, and I am inclined to think it is the better construction, then in my view the declaration will not cause injustice, because the appellant if sued within the period of limitation would undoubtedly have been held liable at least in part for the damage suffered by any person injured in the accident. The greater injustice, in my view, would be suffered by the respondent company if, in any future action, the appellant could successfully plead limitation and thus avoid having to contribute towards the respondent company's liability to pay for damage suffered by a claimant. The learned author of James on Torts, 2nd edn., at p. 52, considers the question of cases where one or more tortfeasors is entitled to the protection of a special period of limitation, and comments that the view seems to predominate that the words "if sued would have been liable" must be taken to mean if sued at any time, with the result that the legislature has been taken to have extended the law as to limitation by a side-wind, but that justice has at least been done to the party claiming contribution. I am content to accept this construction. In these circumstances I do not feel that the possibility that the declaration may adversely affect the appellant's protection by limitation in a restricted and hypothetical class of case is a sufficient reason for holding that the declaration ought not to have been made. True, the declaration if granted may affect the appellant's statutory right to rely on limitation but if it is not granted the respondent company's statutory right to contribution might equally be affected. I am not convinced that the judge was wrong in granting the declaration, and I would therefore dismiss the appeal. I concur in the order proposed by the Vice-President.

Appeal dismissed.

For the appellant:
RO Kwach (Assistant Legal Secretary)

For the respondent:
M Satchu (instructed by *Atkinson Cleasby & Satchu*, Mombasa)

Brooke Bond Kenya Ltd v Chai Ltd
[1971] 1 EA 10 (CAN)

Division:	Court of Appeal at Nairobi
Date of judgment:	7 August 1970
Case Number:	7/1970 (129/70)
Before:	Spry Ag P, Law Ag V-P and Lutta JA
Sourced by:	LawAfrica
Appeal from:	High Court of Kenya – Chanan Singh, J

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[1] Trade Mark – infringement – No property in general words descriptive of character or quality.

[2] Trade Mark – Infringement – User elsewhere no ground for deprivation of rights.

[3] Passing off – Similarity – Change of get-up to resemble plaintiff's – Effect of passing off – Similarity – General impression of average customer to be considered.

[4] Passing off – Similarity – Illiteracy in Kenya to be considered.

[5] Passing off – Damages or account of profits – Alternative remedies at choice of plaintiff.

[6] Evidence – Illiteracy – Judicial notice may be taken of illiteracy in Kenya.

Editor's Summary

The appellant sued the respondent for infringing its trade marks and for passing off its goods as the appellants. The alleged infringement of the trade marks consisted in using the words Green Label. The packets used by the respondent had been changed to make them more nearly resemble those of the appellant. The judge held that there was no property in general words and that the packets differed when compared. The appellant appealed.

Held –

(i) there can be no property in general words descriptive of the goods;

(ii) a trade usage in other parts of the world is not a ground for depriving the proprietor of a registered mark of his rights;

(iii) the test of comparison of marks side by side is not sound since a purchaser will seldom have the two marks before him and since marks with many differences may yet have an element of similarity which may cause deception (*Thomas Bear & Sons* (*India*) *Ltd. v. Prayag Narain Jegennath* (9) followed; *Schweppes Ltd. v. Gibbens* (4) not followed).

(iv) that labels are changed to make them more nearly similar is not conclusive, but is highly relevant (*Bryant & May Ltd. v. United Match Industries Ltd*. (7) followed);

(v) judicial notice may be taken of the number of illiterate persons in Kenya and that this fact should be borne in mind;

(vi) the general impression of the average customer is the test of passing off and on this the appeal must succeed;

(vii) the remedies of damages or an account of profits are alternative remedies in respect of which the plaintiff may make an election.

Appeal allowed.

Cases referred to judgment

(1) *Re Hyde & Co.'s Trade-Mark* (1878), 7 Ch. D. 724.

(2) *Lever v. Goodwin* (1887), 36 Ch. D. 1.

(3) *National Starch Manufacturing Co. v. Munn's Patent Maizena and Starch Co.*, [1894] A.C. 275.

(4) *Schweppes Ltd. v. Gibbens* (1905), 22 R.P.C. 601.

(5) *Burberrys v. J. C. Cording & Co. Ltd*. (1909), 26 R.P.C. 693.

(6) *White, Tomkins & Courage Ltd. v. United Confectionery Co. Ltd*. (1914), 31 R.P.C. 430.

(7) *Bryant & May, Ltd. v. United Match Industries, Ltd*. (1932), 50 R.P.C. 12.

(8) *East African Tobacco Co. Ltd. v. Colonial Tobacco Co. Ltd*. (1938), 5 E.A.C.A. 6.

(9) *Thomas Bear & Sons* (*India*) *Ltd. v. Prayag Narain & Jegennath* (1941), 58 R.P.C. 25.

(10) *De Cordova v. Vick Chemical Company* (1951), 68 R.P.C. 103.

(11) *Electrolux Ltd. v. Electrix Ltd*. (1953), 70 R.P.C. 158.

(12) *Parke Davis & Co. Ltd. v. Opa Pharmacy Ltd*., [1961] E.A. 556.

(13) *Lee Kar Choo v. Lee Lian Choon*, [1966] 3 All E.R. 1000.

7 August 1970. The following considered judgments were read:

Judgment

Spry Ag P: This is an appeal from a judgment and decree of the High Court, dismissing with costs a suit by the appellant company (to which I shall refer as Brooke Bond) for an injunction, damages and other relief against the respondent company (to which I shall refer as Chai) in respect of alleged infringement of two trade marks and passing off.

Both companies pack tea for sale to the public. The alleged infringement of the trade marks consisted in the use by Chai of the words “Green Label” on their packets, those words forming part of the two registered trade marks. The judge held that:

> “‘Green Label’ are general words used by the tea trade throughout the world. There is no property in general words and merely because of the use of the words ‘Green Label’ a defendant cannot be said to have committed either a breach of a trade mark or the tort of passing off.”

Mr. Salter, for Brooke Bond, attacked this finding. He argued in the first place, that the words are not merely descriptive but form an essential feature of the trade marks; secondly, that Brooke Bond has acquired a reputation in this country over many years by the sale of its Green Label tea; and, thirdly, that Chai has made successive changes in the get-up of its packets, bringing them progressively nearer in appearance to those of Brooke Bond.

Mr. Fletcher-Cooke, for Chai, submitted that the essential features of the two trade marks were the words “Brooke Bond Tea” and a device of two tea leaves, the words “Green Label” being merely accessory. He pointed out that in its smallest packets, although the get-up is generally similar, Brooke Bond does not include the words “Green Label”. Taking the packet as a whole, they could not be said to be the same or so nearly resembling each other as to be likely to deceive.

At first sight, there might appear to be a misdirection in the judge’s remark that there is no property in general words. Taken literally, that statement is not correct, but reading the words in their context I am satisfied that what he intended to say was that there can be no property in general words descriptive of the character or quality of the goods.

Also, I think, with respect, that the judge erred in relying as much as he appears to have done, on the fact that the words “Green Label” are “used by the

tea trade throughout the world". In the first place, I do not think the evidence supports that finding. It appears to relate only to the United Kingdom and Ceylon, apart from East Africa. Secondly, the fact that there may be a trade usage in other parts of the world would not be a ground for depriving of his rights the proprietor of a trade mark registered in Kenya, although it might well be a reason for refusing an application for registration.

I think, however, that there is merit in Mr. Fletcher-Cooke's argument that the words "Green Label" were not an essential part of Brooke Bond's trade marks. Indeed, I think the evidence shows that was the view of Brooke Bond itself: first, there is the fact that the words were omitted from the smallest packets and, secondly, the fact that the words were used by rival traders in relation to Sun brand tea for some twenty-five years and by Lyons for two years apparently without protest. The evidence does not show that Brooke Bond was aware of the sale of Sun brand tea, although it is hard to believe that over so long a period they were not, but it was admitted that they were aware of advertising by Lyons. I do not suggest that this would have been enough to prove abandonment of a trade mark, as in *Re Hyde & Co's Trade-Mark* (1) and *National Starch Manufacturing Co. v. Munn's Patent Maizena and Starch Co*. (3), but I think it is indicative of the importance which Brooke Bond attached to the use of the words "Green Label". It was only when the general get-up of a rival brand approached too nearly the appearance of its packets that Brooke Bond considered it necessary to take action.

Both Sun brand and Lyons used the words "Green Label" for their second quality teas, as does Brooke Bond. This factor, strengthened by the evidence of usage elsewhere, coupled with the fact that the words have not been given any great prominence or importance by Brooke Bond, incline me to the view that they are to be regarded as descriptive of the quality of the tea and hence not to be protected by the registration of the trade marks. As the alleged infringement was based almost entirely on the use of the words "Green Label", I would dismiss the appeal so far as it is against the finding that there was no infringement.

I turn now to the more difficult question, whether there has been a passing off. Before considering this question, it will be convenient to describe the various packets with which we are concerned. Brooke Bond have similar packets containing 1 lb, ½ lb, ¼ lb and 2 oz. of tea. These packets all bear on two opposite sides a green panel with the words "Brooke Bond Tea" arranged vertically in bold white letters. The other two faces are arranged horizontally: they show a small green panel bearing the words "Green Label" in white and also the device of the two tea leaves and the words "Tea you can really taste". The top bears the device of a tea pot in green, with the letters Atgea in black. The background is a bright yellow. Brooke Bond also sells its tea in small envelopes for 20 cents and 10 cents. These envelopes bear the green panel on a yellow background, with the words "Brooke Bond Tea" in bold yellow letters, and the price. The reverse shows the device of the two tea leaves, the words "Brooke Bond" and "Tea you can really taste". Certain other words appear on the packets and envelopes but they are insignificant. Overall, the packets and the envelopes give a substantially similar impression. Evidence was given that Brooke Bond had been selling tea packed in this way for 29-30 years. It had recently modified its packets, but the change is not relevant to these proceedings.

Chai was established in Kenya in 1966. It began by selling tea in the name of Lyons, under some arrangement with the company of that name. This arrangement had been taken over from a company called House of Manji (Agencies) Ltd. The tea had been sold in 1 lb packets of gold foil with a green panel on opposite sides bearing the words "Lyons Tea" prominently, and also much less

prominently, the words “Green Label”: this was arranged horizontally. The other sides bore the names of the packers and distributors and the ends were blank. It had also been sold in ½ lb packets, which bore the prominent device of a cup and saucer and the words “Lyons” arranged horizontally in white on a green background. The colours brown and orange also appear on this label.

The arrangement with Lyons having come to an end, Chai began selling its own Green Label tea in April 1967. This was packed in 1 lb, ½ lb, ¼ lb and 2 oz. packets. The 1 lb packet bears a prominent device in white, yellow, green and black of a tea pot and a cup and saucer; it bears the word “Chai” in white, and “Green Label Tea” in black and also a device in white of a woman. The ½ lb packet consisted of gold foil, with a label which is substantially similar to the 1 lb packet. In both, the arrangement was horizontal.

In August 1968, Chai introduced two new packings. There were packets containing 4 oz. and 2 oz. of tea and envelopes sold for 20 cents and 10 cents. The packets bore a green panel, with the words “Chai” in white and “Green Label Tea” in yellow and the device of the woman appears in black. The sides have a green circle with the device of the woman in black, a central green band with the words “Chai” in white and “Green Label Tea” in black, the device of the tea pot and cup and saucer and a green band at the bottom. The top has a label with the device of the woman in green and the bottom is blank. The background is yellow. The envelopes are of pale yellow, with the words “Chai Green Label Tea” and the usual devices in green.

In January 1969 Chai produced tea in a packet bearing the words “Chui Chai”, the head of a leopard and the letters T.C.C. This was produced in green and yellow but it is not, I think, relevant to the present case.

Finally in April 1969, Chai began marketing its Green Label tea in 1 lb and ½ lb packets. The front and back of the ½ lb packet are in green, with the words “Chai Green Label Tea” in yellow, the words “Green Label” being the most prominent. There is also the device of the woman in black. The sides have a central green band, with the device of a woman in black above and the device of the tea pot and cup and saucer in green against a background of yellow. The central band has the words “Chai” in yellow and “Green Label Tea” in black. The top has a label with the device of the woman and the bottom is blank. I understand that the 1 lb packet is similar. The arrangement of these packets is vertical.

I would say at once that the 1967 packets are, in my opinion, sufficiently dissimilar to Brooke Bond’s packets as to be unlikely to cause any confusion. I shall, therefore, confine myself to the 4 oz. and 2 oz. and the April 1969 1 lb and ½ lb packets. It was against these packets that I understand the plaint was really directed, although it seeks relief in general terms.

The judge made a detailed comparison of Brooke Bond’s and Chai’s packets and concluded that the latter were neither “likely nor calculated to deceive”. He remarked “I don’t think there is any evidence of actual deception. Nor is such evidence necessary for a finding of passing off”. He commented in passing that “There may have been a desire on the part of the defendants’ directors or managers to produce packets as much as possible like those of the plaintiff company”.

As regards actual similarity, Mr. Salter criticized the judge for making too critical an analysis of the differences between the packets and giving too much weight to those differences. In this connection, he relied on *East African Tobacco Co. Ltd. v. Colonial Tobacco Co. Ltd*. (8) and the Privy Council case of *Thomas Bear & Sons* (*India*) *Ltd. v. Prayag Narain & Jegennath* (9). In the latter case, the judgment of the Committee contains the following passage,

which is most relevant and which I would respectfully adopt ((1941) 58 R.P.C. 25):

> "Their Lordships think that the test of comparison of the marks side by side is not a sound one, since a purchaser will seldom have the two marks actually before him when he makes his purchase; and marks with many differences may yet have an element of similarity which will cause deception, more especially if the goods are in practice asked for by a name which denotes the mark or the device on it."

I would observe in passing that that passage is inconsistent with an earlier decision of the House of Lords, *Schweppes Ltd. v. Gibbens* (4), to which Mr. Fletcher-Cooke referred us, in which Lord Halsbury twice referred to putting the two articles side by side. For myself, with respect, I would unhesitatingly prefer the view expressed in the *Thomas Bear* case.

The concluding part of the passage I have quoted is also relevant, in that Brooke Bond called evidence, which the judge appears to have accepted, that people used to ask for "Green Label" when intending to buy Brooke Bond's tea. It is significant that although the words "Green Label" are not particularly conspicuous on the ½ lb packet and even less on the 1 lb packet partly because they are in black on a green ground and partly because the eye is taken by the device of the tea pot and the cup and saucer, those words are the prominent feature of the 4 oz., 2 oz. and ½ lb packets. Moreover, the general get-up of the Chai packets was unquestionably changed so as to make them more nearly resemble those of Brooke Bond. In particular, there is the adoption of the colours green and yellow, even though the hues are slightly different, with the prominent green panel; the adoption of a vertical as opposed to an horizontal arrangement; and the relegation of the device of the tea pot and cup and saucer to the side panels. It should also be remarked that the word "Chai", which in Kiswahili means "tea", does nothing to distinguish the packets, because, to the ordinary customer in Kenya, it would appear to show the contents of the packet, not to indicate the name of the packer.

On the question of deception, the judge was not strictly accurate, because there was one witness, whose evidence was not rejected as untrue, a Mr. Shah, who was deceived. Another witness, a Mr. Wangewa, also appears to have been deceived, although he noticed something "a bit different" when he was given a packet of Chai tea, after asking for "Green Label", by which he meant Brooke Bond's tea. As the judge correctly said, it was not essential to prove actual deception, but the evidence of these witnesses goes a long way towards establishing the likelihood of deception, *Parke Davis & Co. Ltd. v. Opa Pharmacy Ltd.* (12).

Mr. Salter also relied on the Privy Council case of *Lee Kar Choo v. Lee Lian Choon* (13) for the proposition that Chai, by distributing to retailers packets likely to deceive the public, was putting into the hands of those retailers "an instrument of fraud". In this connection, he pointed out that the evidence shows that Chai allowed rather more favourable discounts to retailers than Brooke Bond. Retailers had, therefore, an inducement, even if only a slight one, to pass off Chai tea in place of Brooke Bond tea.

Mr. Fletcher-Cooke argued that the judge was right in holding that there was no likelihood of deception. He stressed that all the essential features of the respective labels are different and he pointed out that there was evidence that the colours green and yellow are commonly used in the tea trade. He submitted, relying on *White, Tomkins & Courage Ltd. v. United Confectionery Co. Ltd*. (6), that the fact that one party changes its labels so that they become more similar to those of the other is not, of itself, decisive. There, I agree, although I think it is highly relevant. *Bryant & May Ltd. v. United Match Industries Ltd.* (7).

Mr. Fletcher-Cooke also argued, relying on *Burberrys v. J. C. Cording & Co. Ltd*. (5), that if, as some of the witnesses said, they associated the words "Green Label" with Brooke Bond tea, not knowing that there was any other "Green Label" tea, the words could not be said to be distinctive. I do not, with respect, think it necessary to examine that proposition. It would have been material on the question of infringement, but I think that for the purposes of a passing off action, what matters is that the words to which Chai should have chosen to give the greatest prominence are words which were associated in the minds of at least some members of the public with the tea produced by Brooke Bond, whether or not those words can be regarded as distinctive.

Generally, regard must be had to the nature of the goods and the classes of people likely to buy them. The more sophisticated, specialized, expensive or extraordinary the goods, and consequently the smaller the class of persons likely to buy them, the smaller is the danger of deception. Such purchasers are likely to examine the goods with care and to be interested in knowing who is the manufacturer. It is very different with everyday articles, such as cigarettes or, as in this case, packets of tea. These are bought by persons in every class of society and they are bought casually, without any close scrutiny.

Mr. Salter also referred to the greater danger of deception in the case of illiterate persons. Mr. Fletcher-Cooke submitted that there was no evidence of sales to such persons and that in any case such persons are more likely to identify goods by the symbols they bear. On this, I would only say that I think the court can properly take judicial notice of the fact that there is a substantial number of illiterate persons in Kenya and, in my opinion, that fact is a matter to be borne in mind in passing off actions relating to goods likely to be bought by such persons.

In my opinion, the 4 oz and ½ lb packets and similar packets, are likely to cause confusion with those of Brooke Bond. In *De Cordova v. Vick Chemical Co*. (10), Lord Radcliffe, following, although not citing, the *Thomas Bear* case, said ((1951), 68 R.P.C. 103):

> "The likelihood of confusion or deception in such cases is not disproved by placing the two marks side by side and demonstrating how small is the chance of error in any customer who places his order for goods with both the marks clearly before him, for orders are not placed, or are often not placed, under such conditions. It is more useful to observe that in most persons the eye is not an accurate recorder of visual detail, and that marks are remembered rather by general impressions or by some significant detail than by any photographic recollection of the whole."

I would respectfully adopt those words, which are, I think, most apt to the present case. The test is the impression on the average customer, and I think that a peasant going into a village shop or a housewife going into a city supermarket, might well accept or take a packet of Chai Green Label in mistake for Brooke Bond tea. If that is so, then this appeal must succeed on the issue of passing off.

The plaint appears to ask for damages and for an account of profits and I understood Mr. Salter to ask for both. Unfortunately, no argument was addressed to us on this subject. As I understand it, it has for many years been held that these are alternative remedies. The general rule seems to be that a successful plaintiff can exercise an election. In *Lever v. Goodwin* (2) Cotton L.J., said ((1887), 36 Ch. D. 1):

> "It is well known that, both in trade-mark cases and patent cases, the plaintiff is entitled, if he succeeds in getting an injunction, to take either of two forms of relief, he may either say, 'I claim from you the damage I have

> sustained from your wrongful act,' or 'I claim from you the profit which you have made by your wrongful act.'"

This was qualified in *Electrolux Ltd. v. Electrix Ltd.* (11), when Lloyd-Jacob, J., expressed the view that, at least where the wrongful user has been known to the plaintiff for some considerable period, an order for an account of profits should only be made in respect of any period during which profit accrued without the knowledge of the plaintiff. In the present case, the managing director of Chai said that the first user of the offending packets was in August 1968, and a director of Brooke Bond said he became aware of the matter in that month. An application for a temporary injunction was made in January 1969, but was refused. It appears, therefore, that there was no undue delay on the part of Brooke Bond, and I see no reason to deprive it of its election.

I would allow the appeal and set aside the judgment and decree of the High Court so far as they relate to the allegation of passing off. I would grant Brooke Bond an injunction restraining Chai whether by its directors, officers, servants or agent, or any of them or otherwise howsoever from packing, selling, or offering or displaying for sale any tea in packets of whatever size similar to those exhibited in the High Court as the 4 oz and ½ lb packets. I would allow Brooke Bond, at its election, either an inquiry as to damages or an account of profits resulting from the use of the packets the continuing use of which is restrained by the injunction, with the consequential order. I would order that Chai do deliver up all packets of whatever size similar to the 4 oz and ½ lb packets to Brooke Bond for destruction. In case there is difficulty in implementing this order, there will be liberty to either party to apply to this court.

I would award Brooke Bond the costs of the appeal, with a certificate for two advocates, and one half its costs in the High Court.

As the other members of the court agree, it is ordered accordingly.

Law Ag V-P: I have read in draft the judgment prepared by the Acting President. I agree with it so completely that I do not feel that I can usefully add anything to what he has said. I agree with the order proposed.

Lutta JA: I also agree.

Appeal allowed.

For the appellant:
C Salter QC and *WR Mc A Spence* (instructed by *Hamilton Harrison & Mathews*, Nairobi)

For the respondents:
Fletcher-Cooke QC (of the English bar), *S Ahamed* and *E Cotran* (instructed by *Ahamed & Ahamed*, Nairobi)

Sango Bay Estates Ltd and others v Dresdner Bank A G
[1971] 1 EA 17 (CAK)

Division:	Court of Appeal at Kampala
Date of judgment:	21 July 1970
Case Number:	7/1970 (131/70)
Before:	Duffus P, Spry V-P and Mustafa JA

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[1] Appeal – Jurisdiction – From order – Whether appeal lies from order – Civil Procedure Act, s. 77 – Civil Procedure Rules, O. 40, *r.* 1 (*U.*).

[2] Appeal – Leave – May be granted informally – Judicature Act 1967, *s.* 43 (*U.*) *– East African Court of Appeal Rules* 1954, *r.* 23.

[3] Statute – Construction – Incorrect construction acted on for long period – Not to be upset.

[4] Appeal – Leave – Should be granted where there is an arguable case.

[5] Civil Practice and Procedure – Third party procedure – Summons for directions may be dismissed where no claim for contribution or indemnity.

Editor's Summary

In an action on bills of exchange the applicants applied for a third party notice against the second respondent. The summons for directions was dismissed by the judge on the main ground that the claim was for damages and not for contribution of indemnity. The judge dismissed an application for leave to appeal made informally, and thereafter dismissed a formal application. The applicants applied to the Court of Appeal for leave to appeal, contending that the informal application should have been granted, that the judge could not dismiss a summons for directions, and that the claim was for contribution or indemnity. The court raised the question of whether there was jurisdiction to grant leave to appeal. The right of appeal had previously been held to have been given by O. 40, r. 1 (2).

Held –

(i) a right of appeal cannot be given by a negative provision in the rules and *Gurbachan Singh Kalsi v. Yowani Ekori* (7) was wrongly decided;

(ii) it would be wrong to depart from an interpretation which has been in force for 35 years;

(iii) appeal therefore lies from any order with leave (*Gurbachan Singh Kalsi v. Yowani Ekori* (7) followed);

(iv) an informal application for leave to appeal may be made;

(v) the court may dismiss an application for directions where claim for contribution or indemnity had not been shown;

(vi) there was an arguable case and therefore leave to appeal should be given.

Application allowed.

Cases referred to judgment

(1) *Pontifex v. Foord* (1884), 12 Q.B.D. 152.

(2) *Baxter v. France* (*No.* 2), [1895] 1 Q.B.D. 591.

(3) *Hussein Esmail Bros. v. Gordhan Bogha* (1935), 2. E.A.C.A. 98.

(4) *Aluminium Union Ltd. v. K. Narandas & Co.* (1937), 4 E.A.C.A. 20.

(5) *F. H. Mohamedbhai & Co. Ltd. v. Yusuf Abdul Ghani* (1952), 19 E.A.C.A. 38.

(6) *Rene Dol v. Official Receiver of Uganda* (1954), 21 E.A.C.A. 116.

(7) *Gurbachan Singh Kalsi v. Yowani Ekori*, [1958] E.A. 450.

(8) *Gulamabbas Rajbhai v. Bharmal*, C.A. 34 of 1969 (unreported).

21 July 1970. The following considered judgments were read:

Judgment

Spry V-P: The Dresdner Bank A.G., to which I shall refer as the bank, sued Sango Bay Estates Ltd., the first applicant, as acceptor of five bills of exchange drawn by Gutehoffnungshutte Sterkrade A.G., to which I shall refer as G.H.H., and joined the other seven applicants as guarantors of those bills. The applicants filed a joint statement of defence and the bank filed a reply. The applicants then applied *ex parte* for leave to issue a third party notice claiming indemnity from G.H.H. Leave was granted and the notice issued. G.H.H. entered an appearance and the applicants took out a summons for directions.

At the hearing of the summons, the judge held that the applicants' claim against G.H.H. could only be a claim to damages and could not amount to a claim to contribution or indemnity. For this reason, he dismissed the summons for directions, adding that it might also have been dismissed because it would not dispose of all the matters in dispute or because the matter was of too great complexity to be suitable for third party proceedings. I shall refer to his decision as the main order.

When the judge had delivered the main order, the advocate for the applicants asked for leave to appeal but this was refused by the judge on the ground that the application should, under O. 40, r. 1(4), have been by motion on notice.

The applicants then filed a notice of motion asking for leave to appeal and for an extension of time for filing the notice of appeal, although the time for filing the notice had not then expired. This was refused. They now address a similar application to this court.

Of our own motion, we asked the parties to address us on the question whether we have jurisdiction to grant the application. The relevant provisions are s. 77 of the Civil Procedure Act, the relevant parts of which read as follows:

> "77. (1) An appeal shall lie from the following orders, and save as otherwise expressly provided in this Act or by any law for the time being in force from no other orders–
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> . . .
>
> (*h*) any order made under rules from which an appeal is expressly allowed by rules";

s. 2 of the Act, which defines "rules", unless there is anything repugnant in the subject or context as:

> "rules and forms made by the Rules Committee to regulate the procedure of courts";

and O. 40, r. 1 which, having in sub-r. (1) specified certain particular classes of order, says in sub-r. (2):

> "(2) An appeal under these rules shall not lie from any other order save with leave of the court making the order or of the court to which an appeal would lie if leave were given."

It is common ground that, at least since the decision of this court in *Gurbachan Singh Kalsi v. Yowani Ekori* (7), it has been assumed that an appeal lies from all orders made under the Civil Procedure Rules, either as of right, from certain

specific orders, or with leave of the court which passed the order or of the court to which the appeal would lie. We felt, however, that in view of certain observations of Sir Charles Newbold, P., in *Gulamabbas Rajbhai v. Bharmal*, Civil Appeal 34 of 1969 (unreported), the position should be clarified.

I would begin by referring to *Rene Dol v. Official Receiver of Uganda* (6). That was a case in which an appeal was lodged from a decision of the High Court in winding-up proceedings. A preliminary objection was taken that the appeal was incompetent because leave had not been obtained. In rejecting the preliminary objection, the court had occasion to consider the meaning of O. 40, r. 1 (2), and Briggs, J.A., with whom the other members of the Court agreed, remarked that the sub-rule "gives by implication a right of appeal with leave in the case of all orders 'made under rules' and not appealable as of right". Later, he said ((1954), 21 E.A.C.A. 116):

> "O. 40, r. 1 (2) refers only to appeals 'under these rules', which must, I think, mean either 'appeals authorised by these rules' or 'appeals from orders made under these rules'."

The matter was considered again in *Gurbachan's* case (*supra*). This was an appeal from an order rejecting a plea of res judicata. Leave to appeal had been granted but on the hearing of the appeal it was argued that no right of appeal lay under s. 77 (1) (*h*) of the Civil Procedure Act. Sir Owen Corrie, Ag.J.A., said:

> "Mr. Patel's point is that this provision [that is, O. 40, r. 1 (2)], although it allows an appeal does so by implication only and not 'expressly' and he argues that it is ultra vires the rule-making power. We over-ruled this submission. In our opinion that an appeal lies is implicit in the express words of O. 40, r. 1 (2) and is, therefore, an appeal expressly allowed by rules."

Mr. Clerk, who appeared for G.H.H., urged us to hold that *Gurbachan's* case was wrongly decided. Mr. Wilkinson, for the applicants, argued that there is an appeal from any order made under the Civil Procedure Rules either as of right or with leave and he submitted that even if we considered *Gurbachan's* case wrong, we should still follow it, since an established practice has grown up based on it.

In *Gulamabbas Rajbhai's* case (8), leave was sought to appeal from an order rejecting a preliminary objection in an appeal brought under the Trustees Incorporation Act. Sir Charles Newbold, P., with whom Jones, Ag.C.J., agreed, after remarking that Mr. Wilkinson had submitted that O. 40, r. 1 (2) is to be construed not in a negative but in a positive way, went on to say "I cannot construe the provisions of O. 40, r. 1, para. (2) as giving by a side wind the power to a judge of the High Court, or, indeed, to this court, to confer upon this court a general or an unlimited jurisdiction on appeals from decisions of the High Court of Uganda . . . In effect Mr. Wilkinson's argument is that by a paragraph of a rule contained in the Civil Procedure Rules, which is only applied here by the Trustees Incorporation (Applications and Appeals) Rules, virtually unlimited jurisdiction has in effect been conferred upon this court to hear an appeal against any order, any decision, of the High Court, the only limits on such appellate jurisdiction being the grant of leave either by the High Court or by this court. In my view that would be a completely incorrect interpretation of the provisions of O. 40, r. 1 (2)." It is unfortunate that *Gurbachan's* case was not referred to, as the two decisions are clearly inconsistent. I think, however, that the remarks I have quoted should be regarded as obiter dicta, since they were not essential to the appeal, which could have been struck out merely on the basis of *Rene Dol's* case, as indeed was held by Duffus, V.-P as he then was.

In my opinion, with very great respect, *Gurbachan's* case was wrongly decided. I say this for two reasons: first, I do not consider that a rule in which a right of appeal is implicit can be said expressly to allow an appeal and, secondly, I do not consider that a purely negative provision in rules can confer a right of appeal. If the Rules Committee had intended to say "An appeal shall lie from any other order made under these rules by leave of the court which made the order or of the court to which the appeal would lie", they would surely have said so. As it is, the sub-rule is drawn restrictively, so as to require leave where an appeal is allowed by any other rule.

There remains the question whether, assuming the decision in *Gurbachan's* case to be wrong, we ought now to reverse it. Normally, in a matter of jurisdiction, I would think we should, but here the position is extraordinary. The legislature, by s. 77 (1) (*h*) of the Act, delegated to the Rules Committee the power to allow appeals from orders and the Rules Committee made a rule which appears, judging from *Hussein Esmail Bros. v. Gordhan Bogha* (3), to have been interpreted for the last thirty-five years in the manner formally expressed in *Gurbachan's* case. In these circumstances, I think we should not now depart from that interpretation. I would therefore hold that an appeal lies with leave.

The first ground on which this application is based is that the judge erred in rejecting the informal application for leave to appeal made immediately after delivery of the main order. He based his decision on O. 40, r. 1 (4), but r. 23 of the East African Court of Appeal Rules, 1954, expressly allows informal application. Formerly, the position was that the Court of Appeal Rules had effect as if contained in the Order in Council which empowered them and therefore prevailed, as regards procedural matters, over municipal legislation, *Aluminium Union Ltd. v. K. Narandas & Co.* (4), *F. H. Mohamedbhai & Co. Ltd. v. Yusuf Abdul Ghani* (5). Now, as regards Uganda, their authority depends on s. 43 of the Judicature Act, 1967, and it seems to me that having been expressly preserved by an Act later in date than the Civil Procedure Act and Rules, they must continue to prevail. I think, therefore, that the judge was wrong to treat the informal application as incompetent. I have dealt with this since it is a matter of importance and was argued before us, although I cannot see that it is relevant to the present application.

Mr. Clerk sought to argue that the formal application to the High Court had been out of time and that consequently there had been no compliance with r. 18 of the Court of Appeal Rules but that question does not arise if, as I think, the informal application was competent.

There is one other preliminary matter which I would mention. Mr. Wilkinson suggested, although he did not press the point, that under O. 1, r. 18, a judge has only two courses open to him: he may give directions for the trial of the issue between the third party and the defendant or he may enter judgment in favour of the defendant. I would have no hesitation in rejecting that submission. On an application for directions, a judge may decide that there is an issue to be tried, when he gives directions; he may decide that the third party has no defence, when he gives judgment in favour of the defendant; but he may decide that the defendant has failed to show any claim to contribution or indemnity against the third party and in such case he must be able to dismiss the application. I am reinforced in this opinion by the fact that there are decisions of the English courts to this effect, dating from the days when the English rule, which has since been altered, was in terms similar to r. 18, *Pontifex v. Foord* (1); *Baxter v. France* (*No.* 2) (2).

Having disposed of these matters, I turn to the application itself which can, I think, be disposed of very briefly. As I understand it, leave to appeal from an order in civil proceedings will normally be granted where *prima facie* it appears

that there are grounds of appeal which merit serious judicial consideration but where, as in the present case, the order from which it is sought to appeal was made in the exercise of a judicial discretion, a rather stronger case will have to be made out. On the other hand, although the judge in the main order touched on one matter at least that is entirely discretionary, that is, whether the complexity of the matter made third party procedure inappropriate, it seems to me clear that the basis of his decision is on a question of law, that is, whether any claim which the applicants may have against G.H.H. is a claim to indemnity or a simple claim to damages. We heard lengthy argument on it, but I suppose to say no more than that I think there are arguments which merit consideration. That being so, I think leave to appeal ought to be given. I think it is undesirable to say more than that at this stage, because I would not wish in any way to prejudge the issues which will arise on the hearing of the appeal.

I have not referred to the decision of the judge refusing leave to appeal, made on the formal application, because this is an original application to this Court, not an appeal from the decision of the judge.

On the second part of the application, for leave to file the notice of appeal out of time, no reason has been given why notice was not filed in time. It was not necessary to obtain leave to appeal before filing the notice of appeal (r. 54 (6) of the Court of Appeal Rules). Unfortunately, no affidavit was filed in support of this application and no argument was addressed to us on it, both parties having apparently treated it as incidental to the main application. After some hesitation, I think we should allow it and extend the time by 14 days from today's date. This should not be regarded as setting a precedent.

As regards costs, we have a complete discretion under O. 1, r. 19. In my view, the fairest order would be that the question of costs be reserved until the hearing of the appeal, with leave to either party to move the court if any step in the appeal is not taken within the due time.

Duffus P: I agree with the Vice-President that we should follow the former decision of this court in the case of *Gurbachan Singh Kalsi v. Yowani Ekori* (7) and further that this is a proper case to grant leave to appeal and to extend the time with which to file the notice of appeal. As Mustafa, J.A. also agrees there will be an order in the terms proposed by the Vice-President.

Mustafa JA: I have had the opportunity of reading in draft the judgment of the Vice-President. I agree with his conclusions and concur in the order proposed by him.

Application allowed.

For the applicants:
PJ Wilkinson QC and *RE Hunt* (instructed by *Hunt & Airey*, Kampala)

For the first respondent:
OJ Keeble (instructed by *Hunter & Greig*, Kampala)

For the second respondent:
AV Clerk (instructed by *Clerk & Co*, Kampala)

Gulamabbas v Ebrahimji and others
[1971] 1 EA 22 (CAK)

Division: Court of Appeal at Kampala

Date of judgment: 7 August 1970

Case Number:	16/1970 (145/70)
Before:	Duffus P, Spry V-P and Mustafa JA
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[1] Appeal – Out of time – From Minister's order – Improper to extend period of limitation to permit substitution of party.

[2] Civil Practice and Procedure – Inherent jurisdiction – Substitution of party after limitation period improper.

[3] Trusts and Trustees – Incorporation – Limitation – Exercise of inherent jurisdiction to extend period of limitation improper – Trustees Incorporation Act (*Cap.* 147), *s.* 16 (2) (*U.*).

[4] Trusts and Trustees – Incorporation – Parties – Right to appeal from Minister's order – Substitution of new party improper outside of 30 *day period for filing appeal.*

Editor's Summary

Trustees were incorporated in 1928 under what is now the Trustees Incorporation Act. A meeting of the society adopted a new constitution, which was submitted to, and approved by, the minister. Subsequently, it was alleged to the minister that his order was obtained through fraud. Without hearing the application the minister revoked his order and purported to reapply the previous constitution.

Appeal was filed against this order and the minister was named as respondent. The High Court ruled that the minister had been improperly joined as respondent and ordered his name struck out. The court permitted the substitution of the appellant as respondent to the appeal after the time for appealing had expired.

On the appeal the minister's order was declared to be a nullity.

On further appeal:

Held – (by Spry, V.-P. and Mustafa, J.A.; Duffus, P. dissenting)

(i) the order substituting the appellant was made after the time had expired;

(ii) the inherent jurisdiction of the court cannot be invoked where an express remedy is no longer available on account of limitation; (*Ahmed H. Mulji v. Shirinbhai Jadavji* (1) followed).

Appeal allowed. Decision of the High Court sub nom *Ebrahimjee and others v. Gulamabbas* [1970] E.A. 439 overruled.

Cases referred to judgment

(1) *Ahmed H. Mulji v. Shirinbai Jadavji*, [1963] E.A. 217.

(2) *Osman v. United India Fire and General Insurance Co. Ltd.*, [1968] E.A. 102.

7 August 1970. The following considered judgments were read:

Judgment

Duffus P: This appeal arises from an order made by the Minister under the Trustees Incorporation Act (Cap. 147). This Act provides that trustees appointed by any body or association of persons

established for any religious,

educational, literary, scientific, social or charitable purpose may in the circumstances set out in the Act be granted a certificate of incorporation by the Minister with all the rights, liabilities and powers that are given in the Act.

Section 16 of the Act sets out certain powers of the Minister and the relevant portion of this section reads:

> "16. (1) The Minister shall have power, upon the application of any interested party made subject to any rules in that behalf, to make such orders regarding the constitution and conduct of any corporate body created under this Act or in regard to the trustees thereof as may seem to him proper and any such orders shall, subject to appeal, be conclusive and binding for all purposes; in particular and without prejudice to the generality of the foregoing, the Minister may authorise–
>
> (*a*) any variation in the composition or constitution of such corporate body or in the rules or other instrument regulating the same without prejudice to its due incorporation and perpetual succession;"

Then sub-s. (2) gives any person aggrieved by any order made by the Minister a right of appeal to the High Court. This sub-section states:

> "(2) Any person who deems himself aggrieved by any order made by the Minister under sub-section (1) of this section may within thirty days of the making of such order appeal to the High Court in accordance with any rules of court made in that behalf."

This case concerns the registered trustees of the Dawoodi Bohora Jamat Corporation, Kampala. It appears that a certificate of incorporation was granted to the Trustees of this body on 8 February 1928. The present appeal arises out of two orders made by the Minister by virtue of his powers under s. 16 of the Act in 1967. The Minister in question is the Minister for Mineral and Water Resources. It appears that the members of the society in question became divided into two rival factions. The first order is dated 30 June 1967, and by this order the Minister in the exercise of the powers given him by s. 16 of the Act approved of the revocation of the original rules and of the substitution therefore of a new constitution which had been attached to the application on which he made the order.

The rival faction of this society then heard of this order and protested. It is to be noted here that each of the factions concerned claimed to be the managing committee of the society. As a result of this protest, the Minister then took further action and issued a second order now dated 26 July 1967, in which he revoked his order of 30 June 1967, and apparently placed the position of this society back to what it was before the order of 30 June 1967.

It is this second order dated 26 July 1967, which is the subject of the appeal to the High Court and of the appeal to this court.

The appeal to the High Court had a varied history and has been the subject of three separate judicial orders or decisions of three of the judges of the High Court and this is the second occasion on which an appeal has been made to this court.

The appeal to the High Court was against the order of the Minister dated 26 July 1967, and was supported by a memorandum of appeal dated and filed in the High Court on 18 August 1967. In this memorandum of appeal the Minister was wrongly named as the respondent. The matter came before Fuad, J., on 19 February 1968. The Minister was represented by Mr. Matovu of the Attorney-General's Chambers and he made a preliminary objection that he had been wrongly joined as the respondent. In a considered ruling Fuad, J., held that

the Minister had been wrongly joined and I would here quote from the conclusion of his ruling where he said:

> "I held that on a true interpretation of the Act read with the relevant Rules, the Minister can never be made a respondent to an appeal under s. 16 (2). The Minister is therefore struck out as the respondent in this appeal. The appellants will pay his costs. I will now hear argument as to whether the appeal as a whole should be dismissed for want of parties and entertain any application the appellants may have to make."

The judge then proceeded to hear an application from Mr. Korde, one of the advocates who appeared for the appellants in the High Court, and he then granted an application to substitute a Mr. Gulamabbas Rajbhai who had signed the application leading up to the order of 27 July 1967, as – "The President of the Dawoodi Bohora Jamat Corporation, Kampala" as the respondent. Mr. Gulamabbas Rajbhai then became the respondent in the appeal before the High Court and is now the appellant in the appeal before us. The validity of this order of substitution has been questioned before us and is the subject of ground one of the memorandum of the appeal. I would in due course deal fully with this ground of appeal.

The appeal before the High Court then continued before Mead, J. on 2 April 1969. On this occasion Mr. Wilkinson, Q.C., then appearing for the substituted respondent in the High Court, Mr. Gulamabbas Rajbhai, raised a preliminary point that the appeal had ceased to exist and that Fuad, J., had no jurisdiction to add Mr. Rajbhai as the respondent. Mr. Gratiaen, Q.C. for the appellants in the High Court, a Mr. Bharmal and two others, replied supporting Fuad, J.'s order and submitting that in any event Mead, J., had no jurisdiction over Fuad, J.'s order. By his ruling of 3 April 1969, Mead, J., dismissed the preliminary objection and ordered the appeal to proceed.

Incidentally leave to appeal against this order was given and the appeal was brought to this court but struck out as being incompetent. This court held that no appeal lay at that stage. The ruling of Mead, J., is the subject of grounds 2 and 3 of the memorandum of the appeal to this court.

The appeal before the High Court proceeded on 15 January, 1970, before Russell, J. The appeal was heard and Russell, J. gave his judgment on the following day when he allowed the appeal and held that the Minister's order dated 26 July 1967, was a nullity and he directed that the order and its annexures be removed from the files and he allowed costs of the appellants in the High Court. Russell, J.'s judgment is the subject of grounds 4, 5, 6 and 7 of the memorandum of the appeal.

The first ground of appeal is against the decision of Fuad, J., ordering the appellant Rajbhai be substituted as the respondent in the appeal before the High Court in the place of the Minister of Mineral and Water Resources.

The right of appeal to the High Court is given by s. 16 (2) of the Trustees Incorporation Act (Cap. 147). The appeal is made by any person aggrieved by an order of the Minister under s. 16. It is clear that the appellants in the appeal to the High Court, a Mr. E. K. Bharmal and two others, were persons aggrieved by the order appealed against as this order dated 26 July 1967, was an order that revoked the order made on 30 June 1967, on the application of these three persons. The appeal then had to be made within 30 days of the order complained of and this was done as the appeal was lodged on 18 August 1967, well within the 30 days limit. The appellant's complaint in the appeal before us is that the appeal to the High Court was not made in accordance with the rules of court made in that behalf.

These rules, The Trustees Incorporation (Applications and Appeals) Rules

appear in volume X of the 1964 Laws of Uganda at p. 993. Rule 4 states that an appeal under s. 16 shall be entered by filing a memorandum of appeal in the Registry of the High Court in Kampala. Rule 5 sets out the contents of this memorandum of appeal and states:

> "5. (1) Every memorandum of appeal shall be filed in triplicate and shall set forth–
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> (*a*) a full and sufficient address at which any notice or other document relating to the appeal may be served on the appellant or, in the case of an appellant represented by an advocate, on the advocate;
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> (*b*) the name and full address of every person (other than the appellant) who was a party interested in the application upon which the order appealed against was made;
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> (*c*) the date on which the order appealed against was made;
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> (*d*) the grounds of appeal concisely and in separate paragraphs numbered consecutively.
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> (2) The memorandum of appeal shall be accompanied by a copy of the order appealed against."

Rule 6 is also relevant and this states:

> "6. On the filing of a memorandum of appeal within the time limited therefor by the Act, the Registrar shall–
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> (*a*) cause a copy of the memorandum to be served on every person (hereinafter referred to as a 'respondent') named in the memorandum in pursuance of paragraph (1) (*b*) of rule 5 of these Rules; and
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> (*b*) request the Minister to furnish the court with all papers material to the application upon which the order appealed against was made."

In this case the complaint is that the appellants in the appeal to the High Court erroneously named the Minister as the respondent and did not set out in accordance with r. 5 (*b*) the name and full address of any person who was an interested party.

In a considered judgment Fuad, J., held that the Minister had been wrongly named as the respondent. There has been no appeal against this finding and in my view the judge's finding was undoubtedly correct.

The complaint is against the order substituting Mr. Rajbhai as the respondent. On this point Mr. Wilkinson submitted that the appeal must be filed within 30 days in accordance with the rules and that this appeal had not been as it did not set out the names and address of the interested person. He argued that once the Minister had been struck out as the respondent that the appeal ceased to exist and was no longer before the court as an appeal cannot exist without a respondent. He submitted that the effect of the substitution was that an entirely new appeal had been filed and that this had been done completely out of time as indeed it would have been if this was a new appeal.

In his reply Mr. Gratiaen agreed that the 30 days given by s. 16 (2) in which to file an appeal were mandatory but he submitted that in fact this requirement had been carried out. He submitted that the rules of court are procedural and the requirements under the rules directory and that the court has wide powers to amend these proceedings when required in the interest of justice and also has wide powers for allowing the extension of any time limit apart from the 30 days required by s. 16 (2). He further submitted that there had been no proper dispute in this case before the Minister so that the parties would not necessarily know who were the persons interested and as the appellants in the High Court, Mr. E. K.

Rajbhai and two others had not in fact been parties in the dispute before the Minister that it would have been difficult for them to have known who were the persons interested. He supported Fuad, J.'s ruling that in circumstances like this he had an inherent jurisdiction to substitute the correct person as the respondent so that the appeal could proceed.

The first question here, therefore, is whether the appeal to the High Court had ceased when Fuad, J., struck out the Minister as the respondent in the appeal, for the reason that the appeal then had no respondent. Fuad, J., saw this difficulty as will be seen from the passage quoted from his judgment when he adjourned the matter after striking out the Minister as the respondent and heard further argument as to whether he would then dismiss the appeal or substitute another respondent. In the end he found that the appeal had been filed in time and that this was a case in which he should exercise his inherent jurisdiction in the interest of justice and accordingly he ordered the substitution of Mr. Rajbhai as the respondent.

I entirely agree with the ruling of the judge. In my view the appeal had been properly lodged within the provisions of s. 16 (2) of the Trustees Incorporation Act. The naming of the Minister as the respondent was clearly wrong but the striking out of his name as the respondent did not by itself put an end to the appeal or make the appeal already lodged a nullity. The proceedings before the Minister need not necessarily have been between two or more parties nor was it necessary that his order was the result of a dispute between parties. His power to act under s. 16 has to be done on the application of an interested party but if an application was refused by the Minister and the party making the application desired to appeal under sub-s. (2) it might be difficult to find any other party interested in the application other than the appellants themselves. It is to be noted here that although r. 6 requires a copy of the memorandum of appeal to be served on every person named as an interested party in the memorandum of appeal in accordance with para. (1) (*b*) of r. 5, yet there is no time limit for this to be done. In my view the appeal still existed despite the removal of the name of the Minister as the respondent and the High Court had power at that stage to add or substitute any other person that the court felt should be a respondent.

The question arose whether this order of substitution could have been made under r. 17 of O. 39 of the Civil Procedure Rules. The judge considered this rule but in the end he made the order in exercise of his inherent jurisdiction. It is a question of doubt as to whether r. 17 does apply in this case but I am of the view that the court could have acted under this rule. This rule gives the court power to order that any party to the suit in the court from which the appeal was made could be added as a party to the appeal. Rule 11 (4) of the Trustees Incorporation (Applications and Appeals) Rules provides that so far as they may be inconsistent with anything contained in the Act or in these Rules, that the provisions of the Civil Procedure Rules relating to practice and procedure shall apply as far as practicable to the appeal as they apply to appeals from a subordinate or magistrate's court, and I think that the provisions of r. 17 could be stretched so as to include the proceedings before the Minister.

It was also argued whether the provisions of O. 1, r. 10, of the Civil Procedure Rules could be applied to this appeal and in particular, whether sub-r. 10 (5) dealing with limitation would prevent the addition of the appellant as a party to the appeal. With respect, I cannot see how r. 10 relating to the filing of a suit and which, under sub-r. (5) fixes, for the purposes of limitation, the date of the addition or substitution of a plaintiff can apply to an appeal which complains about an order already made.

In any event, however, the learned judge clearly had power to act by virtue of s. 101 of the Civil Procedure Act which states:

> "101. Nothing in this Act shall be deemed to limit or otherwise affect the inherent power of the court to make such orders as may be necessary for the ends of justice or to prevent abuse of the process of the court."

I am of the view, therefore, that the order of substitution made by Fuad, J., was in the circumstances of this case a proper and correct exercise of his discretion.

The Vice-President and Mustafa, J.A., are however of the view that the order of substitution by Fuad, J., was improperly made and for the reasons which they have stated they find that this appeal must be allowed.

It will not therefore be necessary to consider the other grounds of appeal and in accordance with the decision of the Vice-President and Mustafa, J.A., this appeal is allowed with costs to the appellant and with a certificate for two counsel.

Spry V-P: I have had the advantage of reading in draft the judgment of Duffus, P., but I regret that there is one question, of vital importance, on which, with respect, I differ.

Section 16 (2) of the Trustees Incorporation Act (Cap. 147) allows an appeal against an order made by the Minister under s. 16 (1) if it is brought "within thirty days of the making of such order".

The Minister made the order against which it was sought to appeal on 26 July 1967. An appeal was lodged in the High Court on 18 August 1967, but it was incompetent as it cited the Minister as the respondent.

By an order dated 20 February 1968, Mr. Justice Fuad held that the Minister can never properly be made a respondent to an appeal brought under s. 16 (2) and he ordered that the name of the Minister be struck out. There has been no appeal against that order and I may say, with respect, that I have no doubt that it was correct.

On the same day, after hearing argument, Fuad, J., made a further order in which he ordered that the name of the present appellant be substituted as respondent. The judge said that he made this order in exercise of the inherent powers of the court. He said that the only difficulty he felt was that the substitution would take effect outside the period of limitation prescribed in s. 16 (2).

I am by no means satisfied that at the time when Fuad, J., made his second order there was any appeal in existence. It is, however, in my opinion, not necessary to decide that question because I think the appeal must be allowed on the ground that the order ought not to have been made outside the period of limitation.

Reference was made in the argument before Fuad, J., to O. 39, r. 17 of the Civil Procedure Rules. With respect, I do not think that rule has any relevance because it deals with the situation where there is a competent appeal but where some party to the suit who is not a party to the appeal ought to be joined. That was not the position in this case.

Where there is a competent appeal, I think a party might be substituted under O. 1, r. 10, by invoking the provisions of s. 93 of the Civil Procedure Act. That could not, however, have been done in the present case because sub-r. (5) provides that for the purpose of limitation, the proceedings are deemed to have been begun as against a person whose name has been substituted only when he is served and here, as I have said, the order of substitution was made after the period of limitation had expired.

The judge purported to exercise the inherent powers of the court, but it has

been held that inherent powers may not be invoked where an express remedy which had been available to a party is no longer available on account of limitation *Ahmed H. Mulji v. Shirinbai Jadavji* (1). I am not aware of any decision to the contrary.

Even if it were held that O. 1, r. 10, could not have applied, I think the court ought to follow the same principle and not use its inherent powers to defeat a period of limitation laid down by statute (see *Osman v. United India Fire and General Insurance Co. Ltd*. (2).

It is unfortunate that s. 16 (2) contains no provision allowing for the extension of time to appeal especially in view of the practical difficulties which may face an intending appellant but we have to take the law as we find it. For this reason, even though with regret, I would allow the appeal, with costs.

Mustafa, JA: I have had the advantage of reading in draft the judgments of Duffus, P., and Spry, V.-P. I agree with Spry, V.-P., that the appeal must be allowed.

The order substituting the present appellant as respondent for the Minister in the High Court was made after the period of limitation had expired in terms of sub-r. 5 of O. 1, r. 10 of the Civil Procedure Code. In such an event Fuad, J., could not exercise his inherent powers, as he purported to do, to override the period of limitation laid down by statute. The order of substitution was clearly made outside the period of limitation and cannot stand. Indeed I very much doubt if there was any appeal in existence before Fuad, J., when he made the order of substitution.

I would allow the appeal with costs.

Appeal allowed.

For the appellant:
PJ Wilkinson, QC, RS Dave and *PV Phadke* (instructed by *Patel & Dave*, Kampala)

For the respondents:
EFN Gratiaen, QC and *AK Korde* (instructed by *Korde & Esmail*, Kampala)

Harnam Kaur v Champion Motor Spares Ltd and another
[1971] 1 EA 29 (CAK)

Division:	Court of Appeal at Kampala
Date of judgment:	8 August 1970
Case Number:	27/1970 (146/70)
Before:	Duffus P, Spry V-P and Mustafa JA
Sourced by:	LawAfrica
Appeal from:	High Court of Uganda – Musoke, J

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[1] Costs – Appeal – Joint parties below – Party not appealing – Appeal allowed – Order of costs against party not appealing set aside.

[2] Workmen's Compensation – Bar to proceedings – Agreement – Invalid without approval of

dependents and of court for infants – Workmen's Compensation Act, ss. 12 *and* 16 (*T.*).

Editor's Summary

The appellant's husband died in a motor accident, and left a widow and an infant child. The administrator of the estate signed an agreement under the Workmen's Compensation Act, s. 16 purporting to discharge the employer from all liability. The consideration was paid to the administrator. On the appellant's action for damages it was held that the action was barred by s. 24 (*a*) of the Act. On appeal by the appellant alone it was argued that s. 16 of the Act did not apply to a dead workman, that the claim of a minor could not be compromised other than by payment into court.

Held –

(i) a binding agreement can only be made when all the dependants of the deceased are sui juris;

(ii) where there are minors compensation must be paid into court;

(iii) where the order below is upset an order for costs made against a party who has not appealed must be set aside.

Appeal allowed.

Case referred to judgment

(1) *Jeffrey v. Kent County Council*, [1958] 3 All E.R. 155.

8 August 1970. The following considered judgments were read:

Judgment

Mustafa JA: On or about 6 May 1963, one Ujjagar Singh who was an employee of Sikh Saw Mills & Ginners Ltd. While travelling in a lorry belonging to his employers along the Jinja/Tororo Road, was involved in an accident with a stationary vehicle belonging to Champion Motor Spares Ltd. As a result of the collision Ujjagar Singh suffered injuries from which he died. His widow, Harnam Kaur, on her own behalf and on behalf of an infant son, and Kahla Singh, as administrator of the estate of the deceased filed an action against Champion Motor Spares Ltd. under Part II and Part III respectively of the Law Reform (Miscellaneous Provisions) Act.

Champion Motor Spares Ltd. sought and obtained leave to file a third party notice on Sikh Saw Mills & Ginners Ltd. and the third party duly appeared and filed a written statement of defence. Champion Motor Spares Ltd. in their written statement of defence denied liability and said the negligence was caused solely or contributed to by the negligence of Sikh Saw Mills & Ginners Ltd. In para 8 of the defence filed by Champion Motor Spares Ltd. it is stated:

> "Alternatively and without prejudice to the above the Defendant contends that one or both of the Plaintiffs have recovered compensation payable under the Workmen's Compensation Ordinance from the Employer of the said Ujjagar Singh (deceased) and is thereby barred from bringing this suit against the Plaintiff under Section 24 (*a*) of the Workmen's Compensation Ordinance."

The third party, that is, Sikh Saw Mills & Ginners Ltd. in their statement of defence in paras. 3 and 4 said, *inter alia*:

> "3. By an agreement in writing under s. 16 (1) of the Workmen's Compensation Ordinance (Cap. 197) made between the second named plaintiff Kahla Singh on behalf of the first named plaintiff Harnam Kaur widow of the deceased of the one part and the Third Party Sikh Saw Mills and Ginners Ltd., the employer of the late Ujjagar Singh, of the other part and dated 22 August 1964 the Third Party paid to the plaintiffs the sum of Shs. 24,000/- as compensation assessed at 100% for fatal injuries sustained by the said Ujjagar Singh (deceased) in an accident which is the subject matter of the suit. The said compensation is in accordance with the relevant provisions of the said Ordinance and the said agreement was approved by the Regional Labour Officer, Eastern Region, a copy of the said agreement is annexed hereto and marked Annexture 'A'.
>
> 4. The said employer of Ujjagar Singh (deceased), the third party above named also paid to the plaintiffs a further sum of Shs. 75/- being compensation for six days' salary for May 1963 in addition to the aforesaid sum of Shs. 24,000/- and the plaintiffs accepted the said total sum of Shs. 24,075/- in full satisfaction and discharge of all the liability of the said Third Party on 22 August 1964 . . ."

The third party contended that for these reasons the plaintiffs were not entitled to recover damages from them and that the plaintiff's claim was barred under the provisions of s. 24 (*a*) of the Workmen's Compensation Act (Cap. 197).

The parties put in an agreed statement of facts in the form of a letter, dated 15 September 1969; the relevant portions of which read as follows:

> ". . . It will be seen that paragraph 8 of the defendant's written statement of defence and paras. 3, 4 and 5 of the third party's written statement of defence to the defendant's statement of claim legal defences have been raised against the plaintiffs. The advocates for the plaintiffs and the third party have agreed with me that the facts upon which this legal defence is based are agreed by all parties and therefore this issue is merely entails legal argument by all parties advocates. If this issue is resolved against the plaintiff then the plaintiff's claim fails and there would not thereafter be any necessity to hear and decide the plaintiffs' claim for damages for negligence . . ."

By consent it was agreed between all the parties that the question whether since the plaintiffs had been paid Shs. 24,000/- as provided for by s. 16 (1) of the Workmen's Compensation Act her claim for damages would be barred under the provisions of s. 24 (*a*) of the same Act should be argued as a preliminary issue before the High Court. I may mention here that the Workmen's Compensation

Act was amended in 1969, but the provisions of the old 1949 Act apply to this case.

The judge held that:

> "According to the pleadings and the submissions of both counsel, the Shs. 24,000/- was paid under s. 16 (1) of the Workmen's Compensation Act, within the strict terms of that section, in that payment was the result of the written agreement between the parties . . . and it was stated to be in full and final discharge of all liability of the employer under the said Act."

He held that the claim for damages from the Champion Motor Spares Ltd. was barred under s. 24 (*a*) of the Workmen's Compensation Act and he gave judgment for Champion Motor Spares Ltd. and the third party and dismissed the plaintiffs' action with costs. Subsequently the judge on an application for directions clarified the order for costs and ordered that "the plaintiffs are to pay the costs to the defendant (i.e. Champion Motor Spares Ltd.); and the defendant is to pay the costs to the third party (i.e. Sikh Saw Mills & Ginners Ltd.)".

From that decision the appellant, Harnam Kaur appeals to this Court, but the administrator Khala Singh does not. Champion Motor Spares Ltd., the first respondents have cross-appealed against the order for costs.

The appellant's main grounds of appeal can be summarised as follows: that the judge erred in holding (*a*) that the claim was barred by virtue of s. 24 (*a*) of the Workmen's Compensation Act, and that s. 16 (1) applies to a dead workman; (*b*) that the claim of the minor child could in anyway be barred or compromised; (*c*) that compensation was made to the widow.

Before I proceed to deal with the appeal I think it is necessary to set out the relevant portions of the agreement in terms of which Sikh Saw Mills & Ginners Ltd. paid out Shs. 24,000/- as compensation. This agreement, apparently on official form, reads in part as follows:

"Uganda Protectorate

The Workmen's Compensation Ordinance 1949

(section 16(1))

Form of Agreement As To Compensation to Be Paid by The Employer In A Case of Permanent Total Incapacity, Permanent Partial Incapacity or Death

An Agreement made the 22nd day of August, 1964 Between M/s. Sikh Saw Mills & Ginners Ltd., P.O. Box 215, Jinja (hereinafter called "the employer") of the one part AND Dependants of Ujjagar Singh (deceased) of C/O Box 215, Jinja (hereinafter called "the workman") . . .

Whereas on the 6th day of May, 1963, the workman was employed by the employer in the capacity of Forest Supervisor and on the same day personal injury by accident arising out of and in the course of his employment was caused to the workman in respect of which he claims that the employer is liable under the Workman's Compensation Ordinance 1949 to pay to him:

And Whereas the injury thereby sustained has resulted in–

(*a*) . . .

(*b*) . . .

(*c*) Dependency assessed at 100%

And Whereas pursuant to the provisions of the said Ordinance the parties hereto have agreed that the liability (if any) of the employer shall be satisfied by the compensation herein agreed to be made:

Now It Is Hereby Agreed as follows–

1. As compensation for such injury as aforesaid the employer will pay to the workman the lump sum of Shs. 24,000/- in full and final discharge of the liability (if any) of the employer under the said Ordinance.

2. The Workman will accept the aforesaid lump sum in full discharge of all liability of the employer to pay compensation under the said Ordinance."

Then Kahla Singh signed as "Khala Singh s/o Talok Singh on behalf of the widow of Ujjagar Singh".

Counsel for the appellant submits that the agreement entered into by Kahla Singh is void and binds nobody; secondly that the provisions of s. 16(1) of the Workmen's Compensation Act cannot apply to a workman who has died. He submits that compensation payable in the case of a workman who has died from injuries sustained is under the provisions of s. 12 of the Workmen's Compensation Act.

Section 16 reads as follows:

"16. (1) The employer and workman may, with the approval of the Labour Commissioner or a person appointed by him, in writing, in that behalf, after the injury in respect of which the claim to compensation has arisen agree in writing as to the compensation to be paid by the employer. Such agreement shall be in duplicate, one copy to be kept by the employer and one copy to be kept by the workman:

Provided that–

(*a*) . . .

(*b*) where the workman is unable to read and understand writing in the language in which the agreement is expressed the agreement shall not be binding against him unless it is endorsed by a certificate of a labour officer or of a person approved by the Labour Commissioner in writing in that behalf or of a district commissioner to the effect that he read over and explained to the workman the terms thereof and the workman appeared fully to understand and approve of the agreement."

"Workman" is defined in s. 2 which reads:

"2. (1) In this Act, subject as in this Act provided and unless the context otherwise requires, 'workman' means any person who has, either before or after the commencement of this Act, entered into or works under a contract of service or apprenticeship with an employer, whether by way of manual labour, or otherwise, whether the contract is express or implied, is oral or in writing, and whether the remuneration is calculated by time or by work done:

(3) Any reference to a workman who has been injured shall, unless the context otherwise requires, where the workman is dead, include a reference to his legal personal representative, or to his dependents or any of them, or to the Attorney-General or such other officer as the Minister may appoint to act on behalf of the dependants of the workman."

Section 12 reads as follows:

"12. (1) Compensation payable where the death of a workman has resulted from an injury shall be paid into court, and the court may order

> any sum so paid in to be apportioned among the dependants of the deceased workman or any of them in such proportion as the court thinks fit, or, in the discretion of the court, to be allotted to any one such dependant, and the sum so allotted to any dependant shall be paid to him or be invested, applied or otherwise dealt with for his benefit in such manner as the court thinks fit. Where, on application being made in accordance with rules made under this Act, it appears to the court that, on account of the variation of the circumstances of the various dependants, or for any other sufficient cause, an order made under this subsection ought to be varied, the court may make such order for the variation of the former order as in the circumstances of the case the court may think just."

I am of the opinion that s. 16 deals with compensation to a workman who has been injured but who is still alive, while s. 12 deals with the case of a workman who has died from his injuries. In the case of a workman who has died payment of compensation money into court and its apportionment by the court are essential, and if payment is not so made, it cannot be payment in terms of s. 12 of the said Act.

Section 24 reads:

> "24. Where the injury in respect of which compensation is payable under the provisions of this Act was caused under circumstances creating a legal liability in some person other than the employer to pay damages in respect thereof–
>
> (*a*) the workman may take proceedings both against that person to recover damages and against any person liable to pay compensation under the provisions of this Act for such compensation, but shall not be entitled to recover both damages and compensation;"

If the payment of Shs. 24,000/- by the Sikh Saw Mills & Ginners Ltd. was not under "the provisions of the Act" then of course s. 24 will not apply to the payment. It is not in dispute that this workman had died and in the circumstances compensation payment under the provisions of the Workmen's Compensation Act would have to be in terms of s. 12 of the said Act. However, in terms of the agreement payment to Kahla Singh by the Sikh Saw Mills & Ginners Ltd. was made under the provisions of s. 16 of the Act and s. 16 deals with compensation to a workman who has been injured but who is still alive. The money was not paid into court nor was there any apportionment of the sum among the dependents. I am satisfied that the payment was not a payment under the provisions of the Workmen's Compensation Act and the respondents cannot invoke the provisions of s. 24 of the said Act against the appellant.

The parties to the agreement were described as "Messrs Sikh Saw Mills & Ginners Ltd." of the one part and "dependants of Ujjagar Singh deceased" of the other part. It appears Kahla Singh signed on behalf of the "workman". He signed "on behalf of the widow of Ujjagar Singh" and nobody else. It is clear that the infant son who was a dependant was not included in the agreement. It is also not clear whether Kahla Singh was acting as an administrator of the estate or as an agent for the widow. The widow sued Champion Motor Spares Ltd. under the Law Reform (Miscellaneous Provisions) Act and such a claim is an individual, not a class or a group claim, see *Jeffery v. Kent County Council* (1). In that case in which a number of relevant authorities were considered and reviewed it was held ([1958] 3 All E.R. at p. 157) that:

> ". . . where the administrator enters into an agreement with the defendant to take a lump sum to cover all the dependants that agreement is not a valid agreement unless: (*a*) each of the dependants who is sui juris and desires to claim has approved thereof, and (*b*) the court has sanctioned the

agreement as being one for the benefit of each of the dependants who are infants . . .”

With respect I agree with that statement of law. Here a lump sum was paid and accepted by Kahla Singh either as an administrator or on behalf of the estate or as an agent of the widow. However, it is clear that the infant son cannot be bound; in fact that has been conceded by both counsel for Champion Motor Spares Ltd. and the third party. There is no evidence on record that the widow had approved of the payment. The agreement is void and cannot bind the widow or the infant son.

Counsel for Champion Motor Spares Ltd. has submitted that even if it was a lump sum payment, by virtue of the agreed facts it is clear it was a payment made to Kahla Singh for the widow. The widow had received the said sum of Shs. 24,000/- in full discharge of all liability of the third party, the employer of the deceased. He submits that in so far as the widow is concerned that is the maximum sum which could be paid under the Workmen’s Compensation Act. He submits as the other dependant, the infant son, was never a party, the widow can appropriate the whole sum to her share without any deduction. The widow should be precluded from claiming any damages in the circumstances, although the claim of the infant son would be still at large. I do not accept that view. In the first place the agreement is void and cannot bind the widow; secondly, since the payment was not made under s. 12 of the Workmen’s Compensation Act which was the relevant section in the circumstances of this case the provisions of s. 24 (*a*) of the said Act cannot be invoked against the widow.

Both counsel for Champion Motor Spares Ltd. and the third party have said that a sum of Shs. 24,000/- had been paid by the third party to Kahla Singh who must be presumed to have acted as an agent of the widow, and the widow, has therefore to account for it. This issue could be dealt with by the trial judge when he adjudicates on the merits of the case. Counsel for the appellant has stated that the widow would certainly not oppose this sum being taken in account in the final settlement. It may even turn out that this payment would be a matter to be decided between the third party and the recipient of the said sum.

I am of the opinion that the judge erred in dismissing the action on the ground that the appellant was barred from proceeding with her claim under s. 24 (*a*) of the Workmen’s Compensation Act.

As regards the cross-appeal on the question of costs, since I have come to the conclusion that the judge erred in dismissing the action, I am of the view that it is unnecessary to make any finding on this issue.

Counsel for Champion Motor Spares Ltd. has pointed out that Kahla Singh is not a party to the appeal and is not before this court. He submits that even if the appeal succeeds, the order for costs made against Kahla Singh by the judge in the High Court should not be disturbed. I must confess I have no sympathy with this submission. If a decision is wrong and is set aside, it should be set aside totally. It does not matter if one of the parties to such a decision has not appealed, see r. 74 (5) of the Court of Appeal Rules 1954.

I would therefore allow the appeal, set aside the decision of the High Court, including its order for costs, and order that this case be restored to the list for hearing. I would allow costs of the appeal to the appellant against both the respondents jointly and severally, and order that as between themselves the respondents should be liable for those costs in equal shares. I would allow a certificate for two advocates. I would order that the costs in the High Court abide the determination of the suit and the third party claim. I would make no order on the cross-appeal or as to the costs of the cross-appeal.

Spry V-P: I have had the advantage of reading in draft the judgment of Mustafa, J.A.

I agree with him that the appeal must be allowed, and I would only comment that I am not convinced that s. 12 of the Workmen's Compensation Act, which is not expressed to relate to the assessment of compensation, necessarily excludes the provisions of s. 16 where a workman has died of his injuries. The latter section could, however, only apply where all the dependants of the deceased are sui juris, which is not the case here.

Duffus P: I have had the advantage of reading the judgment of Mustafa, J.A., in draft and also the short judgment of Spry, V.-P.

I agree in the circumstances of this particular case that as an infant was involved the amount of compensation should have been paid into court under the provisions of s. 12 of the Workmen's Compensation Act (Cap. 197) and accordingly the agreement for the payment of compensation was invalid and therefore the respondents are unable to rely on the statutory defence given by s. 24 of the Act.

I agree therefore that this appeal be allowed in the terms of the order proposed by Mustafa, J.A., and as the Vice-President also agrees it is so ordered.

Appeal allowed.

For the appellant:
SC Gautama and *JM Lukeero* (instructed by *Dalal & Singh*, Kampala)

For the first respondent:
PJ Wilkinson QC, and *RE Hunt* (instructed by *Hunt and Airey*, Kampala)

For the second respondent:
PC Patel and *AT Suchak* (instructed by *Patel & Shah*, Kampala)

Habib v Matharu
[1971] 1 EA 35 (CAN)

Division:	Court of Appeal at Nairobi
Date of judgment:	14 September 1970
Case Number:	59/1969 (156/70)
Before:	Law Ag V-P, Lutta and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Kenya – Chanan Singh, J

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[1] Land – Sale – Entitlement to rents and profits – Governed by date fixed for completion.

Editor's Summary

The appellant agreed to buy property from the respondent and paid a deposit to the appellant's

advocates. The balance of the purchase price was to be paid on the registration of a transfer of the property. The date of completion was agreed to be 31 December 1968. The transfer was presented for registration on 16 December 1968 and was returned to the advocates duly registered on 27 December 1968. The appellant paid the balance of purchase price to the advocates on 10 December 1968, but the advocates did not pay it to the respondent until 20 January 1969. The appellant claimed to be entitled to the rents and profits from 16 December 1968 to 31 December 1968, contending that the transfer was deemed to be registered on presentation and that the advocates were acting as agents for the respondent. The respondent contended that the date of completion was the date of payment over of the balance of purchase price.

Held –

(i) the advocates were not acting as agents for the respondent;

(ii) the date for completion set out in the agreement governed the parties' entitlement to rents.

Appeal dismissed.

Cases referred to judgment

(1) *Monro v. Taylor* (1850), 68 E.R. 269.

(2) *Achobandil Kuari v. Mahabir Prasad* (1886), 1 L.R. 8 All. 641.

(3) *Richards v. Pryse*, [1927] 2 K.B. 76.

(4) *Killner v. France*, [1946] 2 All E.R. 83.

(5) *Nizan Din Chur v. Devonshire Stores Ltd*., [1958] E.A. 729.

(6) *East African Navigators Ltd. v. Grundy and others*., [1959] E.A. 336.

14 September 1970. The following considered judgments were read:

Judgment

Lutta JA: The appellant (hereinafter called "the purchaser") entered into an agreement of sale (to which I shall hereinafter refer as "the agreement") with the respondent (hereinafter called "the vendor") whereby the former purchased from the latter at the end of 1968 a building in Nairobi consisting of 4 shops, 4 godowns, offices and flats. The price agreed was Shs. 500,000/-. The purchaser deposited Shs. 50,000/- being 10% of the purchase price with Messrs. Ishani and Ishani, advocates, who, according to clause 5 of the agreement, had discretion to pay the same to the vendor. Clause 6 of the agreement reads as follows:

> "Balance of the purchase price – Kenya shillings four hundred fifty thousand (K. Shs. 450,000/-) to be paid on registration of a proper conveyance, assignment, transfer by the vendor in favour of the purchaser, his nominee or nominees."

The transfer in favour of the purchaser was presented for registration on 16 December 1968. The vendor was not notified of the date of registration, although the application for registration was returned to Messrs. Ishani and Ishani on 27 December 1968. Shs. 50,000/- was paid to Messrs. Ishani and Ishani by the purchaser on 22 November 1968 and Shs. 450,000/-, being the balance of the purchase money, was paid on 10 December 1968. These amounts were not paid to the vendor by Messrs. Ishani and Ishani until 17 and 20 January 1969 respectively. The rent for the month of December 1968 was paid to the vendor and, from 1 January 1969 to the purchaser. The purchaser filed a suit claiming rent from 16 December 1968 to 31 December 1968 for that part of the building which was occupied by tenants, and damages for the loss of rent for January 1969 in respect of 9 offices which were vacant as at 1 January 1969. When the suit came on for hearing in the High Court the judge gave judgment in favour of the vendor against the purchaser. The purchaser appealed against the whole judgment.

There were two main issues argued on the appeal. First, whether the date of completion of the sale was 16 December 1968, that is, the date of presentation for registration of the instrument of transfer of the property to the purchaser under the provisions of the Registration of Titles Act and, secondly, whether Messrs. Ishani and Ishani were acting as agents for the vendor. The judge held that the date of completion was 27 December 1968 and also that Messrs. Ishani and Ishani were not acting as agents of the vendor. Clause 7 of the agreement provides that the date of completion shall be "on or before 31 December 1968".

Mr. Gajera, for the appellant, argued that the date of completion was 16 December 1968 as there had already been a sale within the meaning of s. 54 of the Transfer of Property Act 1882 in that the instrument of transfer of the property was presented for registration on that day and in accordance with the

provisions of s. 27 of the Registration of Titles Act it was deemed to be registered on the same day. Consequently, the vendor should have given possession of the property to the purchaser with effect from 16 December 1968; the rents and profits of the property should have accrued to the purchaser from that day. He argued that as the vendor refused to give possession to the purchaser, the latter also lost Shs. 1,800/-, which would have been paid as rent in respect of 9 offices, from 1 to 31 January 1969. Mr. Gajera further argued that Messrs. Ishani and Ishani were the vendor's agents and therefore payment of the balance of the purchase money to them on 10 December 1968 was payment to the vendor and also that the latter ratified the actions of Messrs. Ishani and Ishani when he returned from overseas towards the middle of January.

Mr. da Gama Rose, for the respondent, submitted that the date of completion of sale was 20 January 1969, that is, the date when Messrs. Ishani and Ishani paid to the vendor the balance of the purchase price. He argued that whether or not the date of registration is known the date of completion should be the date of the final settlement of the business. He relied on the case of *Killner v. France* (4). He submitted that the rights of the purchaser did not accrue to him until or after 27 December 1968, that is, the date when the application for registration was returned to Messrs. Ishani and Ishani. The latter were not the vendor's agents but were acting as stake-holders. With regard to the claim for rent for part of January 1969, Mr. da Gama Rose argued that the purchaser did not make any attempt to pay the vendor the balance of the purchase money until 20 January 1969. In any event, the purchaser had constructive possession of the whole property as from 3 January; he broke into the premises on 4 January 1969 and on 9 January 1969 he had possession of the nine offices; no rent therefore was claimable from the vendor. Lastly, Mr. da Gama Rose submitted that if the judge erred in law with regard to the date of registration of the instrument of transfer or the date of completion the vendor relied on r. 77 of the Eastern African Court of Appeal Rules 1954, which reads as follows:

> "77. No judgment, decree or order of a superior court, or of any judge thereof shall be reversed or substantially varied on appeal, nor a new trial ordered by the Court, on account of any error, defect, or irregularity, whether in the decision or otherwise, not affecting the merits, or the jurisdiction of the superior court."

He relied on the cases of *Nizam Din Chur v. Devonshire Stores Ltd.* (5) and *East African Navigators Ltd. v. Grundy & others* (6).

I shall firstly deal with the question as to whether Messrs. Ishani and Ishani were acting as agents of the vendor. The latter denied in evidence that they were his agents or acting as his advocates. The judge held that they did not act as agents of the vendor. The relation of agency arises if a person has express or implied authority to act on behalf of another and expressly or impliedly consents so to act. Clause 8 of the agreement is in the following terms:

> "8. conveyance/assignment/transfer: To be prepared by Messrs. Ishani and Ishani, Advocates, legal costs, including the advocates fees, stamping and registration fees of the conveyance/assignment/transfer to be borne by the purchaser. The vendor's Advocates' charges if any, for approving the conveyance/assignment/transfer shall be borne by the vendor."

This clause appears to suggest that the vendor had advocates other than Messrs. Ishani and Ishani acting for him for the purpose of this transaction.

The principal question is, what was the relation between the vendor and Messrs. Ishani and Ishani? Clause 5 of the agreement does not provide that Shs. 50,000/- will be received by Messrs. Ishani and Ishani on behalf of the vendor. Clause 8 of the agreement does not provide that the balance of the

purchase money shall be paid to Messrs. Ishani and Ishani to be held on behalf of the vendor. If Messrs. Ishani and Ishani were acting for the vendor then undoubtedly they had full authority to receive the purchase money on behalf of the vendor. There was no evidence, however, of Messrs. Ishani and Ishani having expressly received a general or limited authority from the vendor to act for him in this transaction, nor can such authority be inferred from the acts or conduct of the vendor or implied from the two letters written by Messrs. Ishani and Ishani; instructions in respect thereof were denied by the vendor. I do not think that the two letters, without more, can be said to be *prima facie* evidence of agency in this transaction. In my view the judge correctly held that agency was not established.

Turning now to the question of completion of sale, the law that applies is the Transfer of Property Act 1882, with amendments thereto effected in 1885. This Act was applied to Kenya by Art. 11 (*b*) of the East African Order in Council 1897 and by s. 2 of the Indian Acts (Amendments) Ordinance (Cap. 2) (1948 Edition of the Laws of Kenya). It is recognised that where this Act is silent, the common law and rules of equity apply. Section 54 of the Transfer of Property Act 1882 (to which I shall refer hereinafter as "the Act") defines sale as "a transfer of ownership in exchange for a price paid or promised or part paid part-promised". Section 55 of the Act sets out the rights and liabilities of the buyer and seller. Subsection 4 (*a*) of the latter provides that the seller is entitled:

> "to the rents and profits of the property till the ownership thereof passes to the buyer."

The rights of the buyer include, where ownership of the property has passed to him, entitlement to the "rents and profits thereof" (sub-s. 6 (*a*) of s. 55). The duties of the seller are *inter alia*:

> "to give, on being so required, the buyer or such person as he directs, such possession of the property as its nature admits" (Sub-s. (1) (*f*)).

By sub-s. 5 (*b*) the buyer is bound "to pay or tender, at the time and place of completing the sale, the purchase money to the seller or such person as he directs".

Clause 13 of the agreement provides as follows:

> "13. rent: The purchaser shall be entitled to the rent from the date of completion. The present net rental income is approximately Shs. 10,000/-."

It seems to me that sub-ss. 1 (*f*) and 6 (*a*) of s. 55 of the Act define the relation of the buyer and seller after completion of sale. It follows therefore that obligations and rights thereunder can only be enforced after the ownership of the property has passed to the buyer and the latter has paid the purchase money or any balance thereof. Ownership of the property passes to the purchaser on the due execution and registration of the instrument of transfer although the purchase money has not been paid. However, subject to the date fixed for completion the purchaser is not entitled to possession until the purchase money or balance thereof has been paid – see *Achobandil Kuari v. Mahabir Prasad* (2).

As a general rule the execution of the instrument of transfer and delivery of possession on the one hand and the payment of the purchase money or the balance thereof on the other are reciprocal duties which are performed simultaneously. In the instant case the date of completion fixed by the agreement is "on or before 31 December 1968". Under the provisions of s. 55 (5) (*b*) of the Act the purchaser was thus required to pay the purchase money or any balance thereof to the vendor on or before 31 December 1968 and would then be entitled

to possession. It seems to me that the intention of the parties was that 31 December 1968, at the very latest, was the date for completion. The vendor executed the instrument of transfer in favour of the purchaser on 7 December 1968 and the same was presented for registration on 16 December 1968; it was received by Messrs. Ishani and Ishani on 27 December 1968. The judge held that the latter date was the date of registration and was also the date of completion. Section 26 of the Registration of Titles Act is in the following terms:

> "(1) The registrar of each registration district shall also keep a book, to be called the presentation book, in which shall be entered by a short description every instrument which is given in for registration with the day and hour and, when that is required by the person presenting the instrument, the minute of presentation, and for the purpose of priority the time of presentation shall be taken as the time of registration.
>
> (2) The registrar in entering memorials upon photostatic copies of grants and certificates of title embodied in the register and endorsing a memorandum upon an instrument to be issued shall take the time from the presentation book as the time of registration."

Section 27 provides as follows:

> "Every grant shall be deemed and taken to be registered under and for the purposes of this Act so soon as the same has been marked by the registrar with folio and volume, so as to indicate its place in the register; and every transfer and other instrument purporting to transfer or in any way to affect the land under this Act shall be deemed to be so registered as soon as a memorial thereof, as hereinafter described, has been entered in the register upon the folio constituted by the existing grant or certificate of title of such land."

Section 30 provides as follows:

> "Every memorial entered in the register shall state the nature of the instrument to which it relates, the day and hour of the production of such instrument for registration and shall refer by number of symbol to such instrument, and shall be signed by the registrar."

In my view in accordance with the provisions of s. 27 when the registrar enters matters described in s. 30 in the register and also enters those specified in s. 26 in the presentation book a transfer is deemed to be registered for purposes of the Registration of Titles Act. In the instant case the application for registration was received by the registrar on 16 December 1968 and despatched by him to and received by Messrs. Ishani and Ishani on 27 December 1968. The following appears on the instrument of transfer presented for registration on 16 December 1968:

> "land titles registry – nairobi kenya
>
> registration of titles act
>
> registered as i-r. 15590/13.
>
> presented 16:12:1968.
>
> time 10.30 a.m.
>
> p-c patel
>
> registrar of titles"

The time of presentation is indicated as 10.30 a.m. and the date as 16 December 1968 and by virtue of s. 26 that should be taken to be the time and date of registration. From that time and date, the vendor could not be deemed to remain the proprietor of the property; the purchaser became the registered proprietor. However, in the agreement it is provided that "all rates, taxes and

other outgoings" for 1968, that is, up to 31 December 1968, are to be paid by the vendor. It is also provided that the property was to be at the risk of the vendor until the date of completion. The effect of clause 7 of the agreement is that if the sale was not completed before 31 December 1968 the latter date would be treated as the date of completion. I agree with Mr. da Gama Rose that the date for the final settlement of the business was 20 January 1969. As the parties agreed under clause 7 of the agreement that 31 December 1968 should be the date of completion if the sale is not completed before that date it seems to me that for the purposes of the transaction or the sale, 31 December 1968 is the date of completion. In my opinion therefore the purchaser was not entitled to possession until the date fixed for completion, that is, 31 December 1968. From that day the vendor was in a fiduciary position to the purchaser and as such owed a duty to him to receive and hold rents and profits in respect of the property although the purchase money had not been paid to him – see *Monro v. Taylor* (1) and *Richards v. Pryse* (3).

For these reasons I would dismiss the appeal with costs.

Law Ag V-P: The facts relating to this appeal are set out in the judgment of Lutta, J.A. which I have had the advantage of reading in draft, and I need not repeat them. I will deal first with the ground of appeal which claims that the trial judge erred in holding that Messrs. Ishani and Ishani who were admittedly the appellant's advocates were not also agents of the respondent. I am satisfied that there was ample evidence to support this finding. Clause 8 of the memorandum of agreement of sale, which was drafted by Messrs. Ishani and Ishani, and executed by the parties on 21 November 1968, refers to the "vendor's advocates", which expression would not have been appropriate if Messrs. Ishani and Ishani had been the vendor's agents in the transaction. I see no merit in this ground of appeal, nor in the ground which complains of the judge's refusal to adjourn the proceedings to enable the appellant to call Mr. G. K. Ishani as a witness. Application to this effect was made at a very late stage in the trial, after the close of the defence case. Mr. Ishani's evidence was considered necessary to prove that he was the respondent's agent in the transaction the subject of this appeal, but this was a matter which was put in issue by the defence which was filed several months before the trial opened, yet no steps were taken to secure Mr. Ishani's attendance as a witness. It was clearly within the judge's discretion to dismiss the application for an adjournment as he did, and it has not been shown that he exercised this discretion wrongly.

The main question in this appeal is raised by ground 1 in the memorandum of appeal, which is that the judge erred in holding that the date of completion of the contract of sale was 27 December 1968. Mr. Gajera for the appellant submitted that the true date of completion was 16 December 1968, when the instrument of transfer was presented to the Registrar of Titles and the title registered in the appellant's name, as the effect of registration is by s. 32 of the Registration of Titles Act to pass the legal title to the purchaser. The judge found that the date of completion was 27 December 1968, the date when the transfer was returned, endorsed with the Registrar of Title's certificate that the title had been registered on 16 December 1968. By clause 7 of the memorandum of agreement between the parties, the date of completion was defined as being "on or before 31 December 1968". Mr. da Gama Rose, for the respondent, submitted that the true completion date was the date when the transaction was finalized by the payment to the respondent by Messrs. Ishani and Ishani of the balance of the purchase price, which was on 20 January 1969. What is meant by the completion of a contract for the sale of land? I have always understood it to consist of the vendor conveying a good title in the estate contracted to be sold and delivering up possession in exchange for the purchaser accepting such title, preparing and

tendering a conveyance for the vendor's execution, and paying or tendering the purchase price. On the facts of this case, it would seem that the true date of completion was 20 January 1969, when the respondent received the balance of the purchase price from the appellant's advocates. However, the parties stipulated in their memorandum of agreement that if completion did not take place before 31 December 1968 that date would be regarded as the completion date for the purposes of the agreement. One of the purposes of this agreement was to provide that the appellant would be entitled to rent from the date of completion. He has in fact received the rents for the occupied parts of the building from 1 January 1969, and I consider that he is not entitled to any rents for the period before that date, so that his appeal in this respect fails. As regards rent for the unoccupied parts, the appellant had to break open some doors, as the keys were not available, and he was not properly in possession of those parts until 9 January. His prospective tenant, however, deposed that he would not have begun his tenancy before that date, as the appellant was insisting on his paying legal expenses connected with the preparation of a written lease, which expenses he could not meet. In these circumstances the appellant was not able to prove any loss directly attributable to the respondent's failure to give him possession of the unoccupied part of the building, and the appeal against the judge's refusal to award him damages under this head must also fail.

Much of the difficulty in this case would not have arisen had Messrs. Ishani and Ishani passed on the purchase moneys to the respondent at an earlier date. The appellant, for whom I have some sympathy, had paid the full purchase price to his advocates on 10 December 1968. There may be some reason why they did not pass the money on to the respondent on 16 December, when the transfer was presented for registration, or on 27 December at the latest, when it was returned after registration. It is true the respondent was absent from Kenya from about the middle of December 1968 to the middle of January 1969, but he is a business man with an office in Nairobi and a post office box address, which was cited in the memorandum of agreement, and a cheque could have been sent to him at that address. I do not find it necessary for the purposes of this appeal to decide whether, if payment to the vendor had been made on or before 16 December, the completion date would have been the date of actual registration or the date of notification of registration. I incline to the latter date, as it is always possible that registration on the date of presentation will have been refused because of some defect in the deed of transfer or for some other reason. The question is however academic in this appeal, as the transaction was not in fact completed until after the final date agreed for completion by the parties, to which date they must in my opinion be held when it comes to deciding their respective entitlements to rent at any particular time.

For these reasons I agree with Lutta, J.A. that this appeal fails. As Mustafa, J.A., also agrees, it is ordered that the appeal be dismissed with costs.

Mustafa JA: I have had the opportunity of reading in draft the judgments of Law, Ag. V.-P., and Lutta, J.A. The facts have been fully set out in the judgment of Lutta, J.A. and I will only add a few words.

Briefly there are two main grounds of appeal. The appellant claims firstly that Messrs. Ishani and Ishani were the agents of the respondent and secondly that the completion date was 16 December 1968.

The first ground of appeal has no merit as there is ample evidence for the trial judge to find that Messrs. Ishani and Ishani were not the agents of the respondent.

As regards the completion date, clause 7 of the memorandum of agreement stipulated "Date of Completion: On or before 31 December 1968". I think the appellant was confusing the date of completion with the date of registration. It is

true the transfer was presented to the Registrar of Titles on 16 December 1968 for registration and it could be said that the transfer was registered on that date. However, in view of the factual finding that Messrs. Ishani and Ishani were not the agents of the respondent, the balance of the purchase money was not paid to the respondent until 20 January 1969. On the facts of this case payment of the full purchase price to the respondent was necessary before there was final and complete settlement of the transaction. I would hold the actual date of completion was in fact 20 January 1969. However as the parties had by agreement stipulated that the completion date was to be "on or before 31 December 1968", the completion date in this case would be 31 December 1968, and the appellant could not therefore claim any rent for part of December 1968.

I agree, for the reasons as stated by Law, Ag. V.-P., that the appellant was unable to show that he had lost any rent for the unoccupied parts of the building for January 1969 because of the respondent's failure to give him possession of those parts on 1 January 1969.

I agree that the appeal must be dismissed with costs.

Appeal dismissed.

For the appellant:
KR Gajera and *HD Trivedi* (instructed by *Trivedi & Trivedi*, Nairobi)

For the respondent:
MH da Gama Rose (instructed by *Shapley Barret Marsh & Co*, Nairobi)

Mohamed v Republic
[1971] 1 EA 42 (CAN)

Division:	Court of Appeal at Nairobi
Date of judgment:	12 September 1970
Case Number:	81/1970 (158/70)
Before:	Spry Ag P, Law Ag V-P, Lutta JA
Sourced by:	LawAfrica

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[1] Criminal Law – Possession of property suspected of having been stolen – Ownership of property and fact of theft known – Charge not sustainable – Stock and Produce Theft Act (*Cap.* 355), *s.* 9 (1) (*K.*).

[2] Criminal Practice and Procedure – Joinder of charges – On which burden of proof differs – Whether proper.

Editor's Summary

The appellant was charged with stock theft and in the alternative with possession of stock which may be reasonably suspected of having been stolen. At the time of the charge it was known who the stock belonged to and that it had been stolen. The appellant was convicted on the alternative count and appealed;

Held –

(i) the charge of possession of property reasonably suspected of having been stolen should never be made where a charge of stealing or receiving could be made (*Regina v. Msengi son of Abdullah* (3) approved; *Mikael Njuguna Gachuhi and another v. R.* (5), and *Chebusit A'kalia v. R.* (6) disapproved);

(ii) the trial together of alternative charges on which the burden of proof differs is undesirable save in very exceptional circumstances.

Appeal allowed.

Cases referred to judgment

(1) *Ali Sokhair* (1933), 5 U.L.R. 62.

(2) *Flatman v. Light*, [1946] 1 K.B. 414.

(3) *Regina v. Msengi son of Abdullah* (1953), 1 T.L.R. (*R*) 107.

(4) *Chhotabhai Lallubhai Patel v. R.* (1955), 22 E.A.C.A. 392.

(5) *Mikael Njuguna Gachuhi and another v. R.* (1959, unreported.)

(6) *Chebusit A'kalia v. R.*, [1963] E.A. 448.

(7) *Bakari v. Republic*, [1967] E.A. 466.

Judgment

12 September 1970. The considered judgment of the court was read by **Spry Ag P:** The appellant was charged in the Resident Magistrate's Court at Kitale with the offence of stock theft contrary to s. 278 of the Penal Code and in the alternative with illegal possession of stock contrary to s. 9 (1) of the Stock and Produce Theft Act (Cap. 355). He was convicted on the alternative charge and an appeal against conviction was dismissed by the High Court. He now appeals to this court.

Mr. Kapila, for the appellant, argued five grounds of appeal, of which we will deal first with the final one. This was a matter which was not argued before the judge in the High Court, apparently because the appellant's advisers thought there was a judgment by which that court would consider itself bound.

Section 9 (1) of the Stock and Product Theft Act reads as follows:

> "Any person who has in his possession any stock which may reasonably be suspected of being stolen or unlawfully obtained shall, if he fails to prove to the satisfaction of the court that he came by the stock lawfully, be guilty of an offence and liable on conviction to the penalties prescribed for theft."

Mr. Kapila's contention was that it was improper to charge the appellant under this section because at the time when he was charged the true ownership of the property was known and it was known as a fact that it had been stolen. Mr. Kapila based his argument first on the wording of the section itself, arguing that property which is known to have been stolen cannot be described as reasonably suspected of being stolen. Secondly, he submitted that the intention of the legislature in enacting s. 9 was clearly to provide for the very special position where a person is found, in circumstances which give rise to reasonable suspicion, in possession of property the true ownership of which cannot be traced and where it is reasonable to call on that person to explain his possession of it. This argument obtains some support from the judgment of Lord Goddard, L.C.J., in *Flatman v. Light*, [1946] 1 K.B. 414, when, dealing with a comparable English section, he said:

> "If the police, or whoever started the prosecution, were satisfied that it was stolen, there would be no need for this section. It is designed to cover cases where it is impossible to show at the time of the man's arrest that the property is stolen."

Thirdly, Mr. Kapila relied on certain decisions of the courts of East Africa. The first of these is *Regina v. Msengi son of Abdullah* (3). That was a decision of a full Bench of the High Court of Tanganyika exercising its powers of criminal revision in relation to a conviction under s. 312 of the Penal Code. That section, which corresponds to s. 323 of the Kenya Penal Code, provides that where any person has been detained in exercise of certain powers conferred by the Criminal Procedure Code and is brought before a court charged with having in his possession or conveying anything which may be reasonably suspected of having been stolen, and who fails to account for it to the satisfaction of the court, is guilty of an offence. That offence is sufficiently similar to the offence created by s. 9 to make the reasoning in decisions based on the one relevant to the other, so far as the present issue is concerned.

In *Msengi's* case the court said ((1953) 1 T.L.R.):

> "it is clear that a conviction cannot be maintained under s. 312 if the articles in question can be identified as the property of any known person, because those articles can no longer be 'reasonably suspected of having been stolen or unlawfully obtained'. It is no longer then a question of suspicion. If the prosecution is prepared to prove the ownership of the property in question, the charge should be laid under one of the sections of the Penal Code dealing with stealing or possession or receiving of stolen property."

Later in that judgment the court said, in relation to a trial under s. 312:

> "If during the course of the trial it turns out that the prosecution can prove the ownership of the property in question, the proper procedure is for a charge of theft to be laid and the proceedings under s. 312 of the Penal Code withdrawn."

That decision has been followed in several cases in Tanzania, the latest of which is *Bakari v. Republic* (7). Mr. Kapila also referred us to a decision of the High Court of Uganda in *Ali Sokhair* (1) and to a decision of this court in *Chhotabhai Lallubhai Patel v. R.* (4) in which it was said in the judgment of the court ((1955), 22 E.A.C.A.) that:

> "In our opinion, the words 'which may reasonably be suspected of having been stolen' used in the section must refer to the time of trial or put in another way, it cannot only be taken to refer to the time of seizure. If something happens between the time of seizure and the time of trial to allay the suspicion, or to establish another offence such as larceny, then it is improper to lay a charge under the section."

Mr. Kibuchi, for the Republic, relied on two decisions of the High Court of Kenya. These are *Chebusit A'kalia v. R.* (6) citing and following an earlier decision of the court in *Mikael Njuguna Gachuhi and another v. R.* (5), Criminal Appeals 944 and 945 of 1959 (unreported). In the earlier of these cases the Court, after saying that a charge should not be preferred under s. 318 (now 323) of the Penal Code (which corresponds to s. 312 of the Tanganyika Code) in the case of property which can be identified as that of a known individual, went on to say:

> "If, however, in the course of a trial in which a person is charged under s. 318, the property is proved to belong to a known person, that does not, in our opinion, mean that the charge must fail for that reason."

That reasoning was followed in the later case in which the court, after saying that:

> "In general, if the prosecution is able to prove the ownership of the cattle found then a charge of theft or receiving should lie"

went on to refer to certain practical difficulties that may arise and concluded:

> "we should not be taken to fetter the discretion of a prosecution in bringing the charge it considers to be more appropriate to the circumstances of each particular case."

It is unfortunate that neither the High Court of Kenya nor that of Tanzania appears to have been referred to the decisions of the other.

On this question we prefer the reasoning of the High Court of Tanzania, reinforced as it is at least to some extent by the judgment of this court in *Patel*'s

case. It seems to us that the provisions which relate to reasonable suspicion should never be invoked where a charge of stealing or receiving could be laid. The general rule in criminal matters is that the onus of proof is on the prosecution. In certain limited classes of case the legislature has, for good reason, placed the onus of proof on the accused, but such provisions should not be used outside the circumstances for which they were intended. We think that where evidence is available to prove the ownership and the theft of any property it is clearly wrong to rely on them. We think this is equally true where there is evidence to justify a charge of receiving or retaining stolen property, and in saying this we do not overlook the fact that a person may be convicted of receiving stolen property, even though the theft of the property cannot be proved.

A further point arises on the charge sheet in the present case, a point on which we are not aware of any authority. As we have said, the appellant was charged with theft and in the alternative with being in possession of stock reasonably suspected to have been stolen. The alternative charge, which requires the accused to prove to the satisfaction of the court that he came by the stock lawfully, has the effect, save in exceptional cases, of forcing the accused to give evidence which is then, of course, available against him on the primary charge. Thus the trial of alternative charges where the onus of proof differs has, or is liable to have, the effect of depriving the accused person of the rights expressly conferred on him by ss. 211 and 306 of the Criminal Procedure Code. For this reason, we think it is undesirable, save perhaps in very special circumstances, for charges to be laid in the alternative where the onus of proof differs and we think that where they are so laid, the court should consider ordering that they be tried separately, so as to avoid embarrassing the accused in his defence.

For the reasons we have given we think the charge under s. 9 was wrongly laid and therefore that this appeal must succeed, even though on the evidence a charge of receiving might have led to a conviction. In the circumstances we do not think it necessary to examine the other grounds of appeal which were argued by Mr. Kapila.

The appeal is allowed, the conviction of the appellant is quashed and the sentence set aside.

Appeal allowed.

For the appellant:
AR Kapila and *RK Shah* (instructed by *AR Kapila & Co*, Nairobi)

For the respondent:
DM Kibuchi (State Counsel)

Uganda v Solomon and another
[1971] 1 EA 46 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	14 September 1970
Case Number:	384/1970 (162/70)
Before:	Goudie J
Sourced by:	LawAfrica

[1] Criminal Law – Elopement – Offence is elopement with a married person and must be so charged.

[2] Criminal Law – Offence – Definition – Whether offence of elopement defined – Penal Code, s. 121*A, Constitution, Art.* 15 (8) (*U.*).

Editor's Summary

The first respondent was charged with eloping with a married woman not his wife and the second respondent was charged with eloping with a person who was not her husband. The magistrate acquitted the respondents on the ground that the acts constituting elopement are not defined in the Act and that therefore the offence is not defined within the Constitution, Art. 15 (8).

On revision:

Held –

(i) the offence of elopement is defined in the Act, although there is no specific definition of the word "elope";

(ii) the charge against the second respondent was bad as it did not allege elopement with a married man.

Order that first respondent be tried.

No cases referred to in judgment

Judgment

Goudie J: The Republic appealed under s. 325 of the Criminal procedure Code from an order of the Chief Magistrate, Kampala.

The respondents were charged with "elopement" contrary to s. 121A (1) and (2) of the Penal Code. The first respondent was charged with eloping with the second respondent "a married woman not his wife" and the second respondent was charged with eloping with the first respondent "who is not her husband".

A preliminary point was raised by defence Counsel on the charges and the Chief Magistrate then delivered the following ruling:

> "*Ruling*
>
> The two accused herein Solomon Tanga (A1) and Christine Lwanga (A2) stand charged with elopement contrary to s. 121A P.C. At the beginning of the trial counsel for the defence has submitted that no cognisable offence has been disclosed in the charge sheet. Elopement was first introduced in our law by Act 20/66. The Act or whatever acts constitute elopement are not defined anywhere. Article 15 (8) of the Constitution of Uganda stipulates "No person shall be convicted of a criminal offence unless that offence is defined and the penalty, therefore, defined."
>
> I accept the defence submission. There is apparently a slip up in the legislation as it stands today regarding s. 121A P.C. I hold the accused have not committed any offence requiring their being tried. I discharge them accordingly. It is hoped the relevant authorities will take up the matter."

The State Attorney concedes that as an appeal his application to set aside

this order must fail since s. 325 of the Criminal Procedure Code can only be invoked where there has been an acquittal. Here the accused were discharged, not acquitted since there was no trial. This court accordingly dismissed the appeal with costs.

It was, however, known to this court that another revisional order was being reserved pending the result of this application. It therefore indicated that it was prepared to consider the matter in Revision. Section 341 of the Criminal Procedure Code gives the High Court power to act in revision in the case of any proceedings in a magistrate's court the record of which has been called for or which has been reported for order, "*or which otherwise comes to its knowledge*, when it appears that in such proceedings an error material to the merits of any case or involving a miscarriage of justice has occurred. . . ." Both the State Attorney and defence counsel stated that they had no objection to this court considering the issue in the exercise of its revisional jurisdiction and, since this court is satisfied that it has power to do so in the circumstances, it proceeds accordingly.

At the outset, I wish to call attention to a misquotation by the Chief Magistrate in setting out the wording of Art. 15 (8) of the Constitution. He quoted it thus: "No person shall be convicted of a criminal offence unless that offence is defined *and the penalty, therefore, is defined*." In fact it reads: "No person shall be convicted of a criminal offence unless that offence is defined *and the penalty therefore is prescribed in a written law*." The words "prescribed in a written law" seem to me to govern the word "penalty" and it is sufficient for the offence to be "defined". Moreover, I do not consider the word "defined" necessarily means there must be a formal definition but that the dictionary definition of "define" applies, "to make definite in outline".

Section 121A of the Penal Code, introduced by Act 20 of 1966, which was deemed to have come into force on 1 July 1966, before the Constitution was resolved on 8 September 1967, reads as follows:

(1) "Any person who elopes with a married woman or entices or causes a married woman to elope with him, commits an offence and shall be liable . . . (as therein provided).

(2) Any person being a female, who elopes with a married man or entices or causes a married man to elope commits an offence and shall be liable . . . (as therein provided)."

It seems to me that the offences under (1) and (2) are made sufficiently definite in outline to comply with the requirements of Art. 15 (8) of the Constitution. It is true that the *word* "elope" itself is not defined but neither is the word "assault" under the various offences covered by ss. 227 – 230 of the Penal Code.

Mr. Pandit cited in support of his argument certain sections such as s. 245 (Theft), 272 (Robbery), 288 (False pretence), 280 (Breaking and entering) in which there is a formal definition of the particular offences in which the marginal note uses the word "definition". It should, however, be noted that these are rather exceptions to the general practice throughout the Code of creating an offence by the mere use of the words "Any persons who . . .". It would, I think, be true to say that a formal definition is given where one is considered necessary to explain the nature of the offence or a particular word or phrase but is omitted where the words themselves explain the offence. Thus, there are few definitions, as such, in the offences referred to in Chapters VII & VIII and equally few in Chapter IX, although in the latter Chapter it is deemed necessary to define particular words in certain offences such as "society", "unlawful society", "office bearer", "unlawful assembly", "riot" and so on. Chapter X, however, dealing with corruption and the abuse of office contains very little in the way of definition

as such but says that anyone who commits certain acts shall be deemed to have committed an offence and be punishable. These different approaches are apparent throughout the Code.

The offence created by s. 121A is to "elope" with a married person. I think it is perfectly well understood by most people without even having recourse to the dictionary what this means. The very word itself is descriptive both in its sound and through historical connections as meaning "running away with" – usually from some kind of home. It is true that the dictionary definition covers running away with an unmarried as well as a married woman but even this difficulty is covered by the section itself which restricts, or "defines" if one prefers the word, the offence as meaning only running away with married persons.

Finally, since Art. 15 (8) of the Constitution is contained in the Chapter dealing with "Protection of Fundamental Rights and Freedoms of the Individual" and the marginal note to the Article reads: "Provisions to secure protection of law", I think it is clear that it is designed to ensure that the accused knows what he is supposed to have done wrong so that he can answer the allegation. Provided this requirement is satisfied, I think this is sufficient and there is no reason to insist on a *formal* definition, a clear outline being enough provided it will not cause injustice.

It has been argued that it is not clear whether "intention" must be shown. Unless the contrary is shown, however, some degree of mens rea is implied in all offences. If the accused could show sufficient to raise a reasonable doubt that he had grounds for believing that the person with whom he eloped was married, this would, in my view, probably be a good defence but this would be difficult if he knew her surname or the matrimonial abode or even if he didn't bother to enquire her matrimonial status. Mr. Pandit queried whether the offence is committed if the woman is separated from her husband. There is no very clear answer but probably if the separation was intended to be a permanent one no complaint would be made. So the question would never arise. If it did arise the magistrate might refuse to convict for lack of "mens rea". If he decided to convict he might take the view that the separated spouse was not an "aggrieved person" and refuse compensation. In any event, "hard cases make bad law".

The charge against the second respondent is bad in law. The defect in the charge is that under s. 121A (2) it is necessary in order to constitute an offence that the woman elope "with a married man". Thus, in the particulars of charge it must be specified that the man with whom she is alleged to have eloped was in fact a married man.

In exercise of my revisional powers, I set aside the order of the Chief Magistrate of 9 July 1970 and direct that the proceedings together with this Order be returned to him with a direction to try the first accused only (Solomon Tanga) on the charge as originally framed on his original plea of not guilty."

Order accordingly.

For the appellant:
VM Patel (Senior State Attorney)

For the respondent:
SV Pandit

Yusuf v Republic
[1971] 1 EA 49 (HCK)

Division:	High Court of Kenya at Mombasa
Date of judgment:	18 August 1970
Case Number:	58/1970 (165/70)
Before:	Kneller J
Sourced by:	LawAfrica

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[1] Criminal Practice and Procedure – Plea – Equivocal – Driving while intoxicated not sufficient.

Editor's Summary

The appellant was charged with driving a motor vehicle when under the influence of drink or drugs to such an extent as to be incapable of having proper control of the vehicle. He stated merely that he drove the vehicle under the influence of drink. On this admission he was convicted and fined.

Held – the admission was insufficient to constitute a plea of guilty.

Appeal allowed: conviction quashed.

Case referred to judgment

(1) *Sutton v. R.*, [1957] E.A. 812.

(2) *Bukenya v. Uganda*, [1967] E.A. 341.

Judgment

Kneller J: The appellant was convicted by a resident magistrate on 9 June 1970 of the offence of driving a motor vehicle on the road under the influence of drink or drugs contrary to s. 44 (1) of the Traffic Act (Cap. 403). The resident magistrate sentenced him to pay a fine of Shs. 1,000/-or to serve in default of payment of that fine two months' imprisonment. The appellant was also disqualified from holding or obtaining a driving licence for six months.

The particulars of the offence were that the appellant on 8 June 1970, at about 7.10 p.m. at Mombasa within the Coast Province drove a motor vehicle when he was under the influence of drink or drugs to such an extent as to be incapable of having proper control of the vehicle. This follows carefully the relevant section.

The appellant did not in his reply admit more than that he was under the influence of drink when he drove that vehicle there that evening. He did not say he was under that influence to such an extent that he was incapable of having proper control of the vehicle which is an essential element of the offence. It is not an offence to drive a vehicle under the influence of drink.

The outline of the facts by the prosecutor and the accused's admission of them did not amount to an admission of this element.

The medical report on the appellant as summarized by the prosecutor did not allege he was incapable of having proper control of that vehicle when he drove it because he was under the influence of drink to that extent. The record does not show the appellant read it or had it read to him. See *Bukenya v. Uganda*, [1967] E.A. 341, at p. 344 F.

The appeal succeeds. The fine will be repaid to the appellant. This is not an appropriate case for a retrial on the same charge and no order for one will be made c.f. *Sutton v. R.*, [1957] E.A. 812 at p.

816, on this charge. The medical report is not strong enough for a prosecution to succeed.

Appeal allowed.

For the appellant:
JM Amin

For the respondent:
Rana (Senior State Counsel)

Attorney-General v Shah (No 4)

[1971] 1 EA 50 (CAK)

Division:	Court of Appeal at Kampala
Date of judgment:	24 September 1970
Case Number:	42/1970 (166/70)
Before:	Spry Ag P, Law Ag V-P and Mustafa JA
Sourced by:	LawAfrica
Appeal from:	High Court of Uganda – Goudie, J

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[1] Appeal – Jurisdiction – Created by statute only – No inherent appellate jurisdiction.

[2] Appeal – Jurisdiction – Mandamus – No right of appeal – Judicature Act 1967, *s.* 34, *Civil Procedure Act, s.* 82 (*U.*).

Editor's Summary

The High Court made an order of mandamus against two officers of the Government sub. nom. *Shah v. Attorney-General* (No. 3) [1970] E.A. 543. The Attorney-General filed an appeal and the respondent objected that the Court of Appeal had no jurisdiction to hear an appeal.

Held –

(i) appellate jurisdiction is solely created by statute and there is no inherent appellate jurisdiction;

(ii) the right of appeal previously given had been repealed and not reenacted;

(iii) the Civil Procedure Act s. 82 does not give any right of appeal; it merely sets out the procedure for appeals under other laws.

Appeal struck out.

Case referred to judgment

(1) *Ibingira v. Uganda,* [1966] E.A. 445.

24 September 1970. The following judgements were read.

Judgment

Spry Ag P: In these proceedings, the Government seeks to appeal against an order of mandamus made against two of its officers by the High Court. The respondent has made a preliminary objection that this court has no jurisdiction to hear such an appeal.

It has long been established and we think there is ample authority for saying that appellate jurisdiction springs only from statute. There is no such things as inherent appellate jurisdiction. In this connection, our attention was drawn to a passage in the case of *Ibingira v. Uganda*, [1966] E.A. 445, at p. 450. In that case, no argument had been addressed to the court on the question of jurisdiction and, not having had the benefit of argument and both sides agreeing that there was jurisdiction, the court indicated that it was prepared to assume that it had jurisdiction. I would stress that the court did not say, and should not be taken to have said, that it assumed jurisdiction.

In any case, the position is now regulated by Art. 89 of the Constitution of Uganda and Part IV of the Judicature Act 1967, which made it clear that this court has only such jurisdiction as is conferred on it by Parliament. The power of the High Court to issue orders of mandamus is conferred on it by s. 34 of the Judicature Act 1967 and no right of appeal is contained in that or any other section of the Act.

It is true, as Mr. Mugerwa has pointed out, that sub-s. (3) of that section contains the words "subject to any right of appeal the order shall be final". For my part, I do not consider that those words can properly be interpreted as conferring any right of appeal.

Mr. Mugerwa has also argued that s. 82 of the Civil Procedure Act, read with s. 68, has the effect of creating a right of appeal from any order made under any other law. With respect, I cannot agree. In my opinion, s. 82 only provides for procedure where a right of appeal exists. I do not propose to deal in detail with all the provisions in the Civil Procedure Act and Rules dealing with appeals from orders but will only say that I am satisfied that there is none which can properly be invoked in the present proceedings.

I would add that prior to 14 June 1967, there was an express right of appeal from orders of mandamus conferred by s. 18 of the Law Reform (Miscellaneous Provisions) Act. That section was repealed by Parliament. The power for the High Court to make orders of mandamus was re-enacted but the provision conferring a right of appeal was not. I am therefore in no doubt that Parliament thought fit, as a deliberate act, to remove the right of appeal.

I would strike out the appeal as incompetent.

Law Ag V-P: By s. 18 of the Law Reform (Miscellaneous Provisions) Act (Cap. 74) which was repealed in 1967 by the Judicature Act, an express right of appeal was conferred to this court against the issue of an order of mandamus by the High Court. The Judicature Act has not preserved or re-enacted this right of appeal, and in my view the legislature must be taken to have intended to abolish it.

By Art. 89 of the Constitution, this court can only entertain such appeals from the High Court of Uganda as Parliament may prescribe. The Solicitor-General has submitted that such a right has been prescribed by the Legislature in ss. 82 and 68 of the Civil Procedure Act, in relation to orders made under "other laws". With respect, I do not consider that s. 82 can be said to create a right of appeal. It does no more than apply, to appeals from orders made under other laws, in respect of which no different procedure is provided, the procedure as to appeals laid down in Part VII of the Civil Procedure Act.

It has not been made to appear to me that this court has jurisdiction to entertain this appeal. In my view the preliminary objection succeeds, and the appeal must be declared incompetent and struck out.

Mustafa JA: I have had the advantage of reading the judgment of Spry, Ag.P., and I concur with his reasoning and conclusion. In my view this court has no jurisdiction to entertain these proceedings. Section 82 of the Civil Procedure Act relied on by the appellant relates only to procedural matters and does not confer a right of appeal. I am of opinion the appeal is incompetent and should be struck out.

Appeal struck out.

For the appellant:
PJM Mugerwa (Solicitor General) and *MCL Graiger* (State Attorney)

For the respondent:
PJ Wilkinson, QC and *VN Ponda* (instructed by *Ponda Asaria & Co*, Kampala)

Prabhulal v Republic
[1971] 1 EA 52 (CAN)

Division:	Court of Appeal at Nairobi
Date of judgment:	7 October 1970
Case Number:	128/1970 (167/70)
Before:	Law Ag V-P, Lutta and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Kenya – Madan, J

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[1] Criminal Practice and Procedure – Charge – Defect – Accused not named but described as Director X Co. Ltd. – Cured by appearance of director to plead to charge – Criminal Procedure Code (*Cap.* 75), *s.* 137 (*K.*).

[2] Criminal Law – Mens rea – Knowledge – Of illegal nature of employment essential – Immigration Act (*Cap.* 172), *s.* 13 (*K.*).

[3] Criminal Practice and Procedure – Prosecution's duty to call evidence first – Not affected by any statutory burden of proof on accused – Criminal Procedure Code (*Cap.* 75), *s.* 208 (*K.*).

[4] Evidence – Burden of proof – Accused alleged to be unlawfully present – Prosecution must lay factual foundation before onus on accused operates – Criminal Procedure Code (*Cap.* 75), *s.* 208 (*K.*).

[5] Immigration – Employment – Presumption that person working an employee – Available only against company apparently employing servant – Immigration Act (*Cap.* 172), *s.* 13 (*K.*).

Editor's Summary

The appellant was a director of a limited liability company and was charged with unlawfully employing Miss K., also a director of the company knowing that she had no permit or was not exempted from the necessity of obtaining a permit. The charge sheet was made out in the name of The Director/West End Clothing Ltd. The appellant appeared to the charge and pleaded not guilty. Evidence was led that Miss K. had been seen attending a customer and that enquiry had been made of her whether she had a permit. The appellant was convicted and appealed.

Held –

(i) the charge was defective in not naming the director to be charged;

(ii) the defect was cured when the appellant appeared and pleaded to the charge;

(iii) the charge sufficiently alleged that Miss K. was committing an offence to the appellant's knowledge;

(iv) the complainant and his witnesses must always be heard first, even when there is a statutory burden of proof on the accused;

(v) the courts below properly directed themselves that knowledge that the employment was illegal was an essential element of the offence;

(vi) some factual foundation must be laid by the prosecution before there is a burden of proof on the accused (dictum of Rudd, Ag.C.J. in *Ali Hassan Mohamed v. R.* (1) disapproved);

(vii) in this case sufficient factual foundation was laid, although not in a satisfactory manner;

(viii) the presumption that a person performing work normally done by an employee is employed

only operated against the company employing her, not against a director of it;

(ix) it had not been proved that the appellant personally engaged Miss K. for the company and he must be acquitted.

Appeal dismissed.

Case referred to judgment

(1) *Ali Hassan Mohamed v. R.*, [1959] E.A. 606.

Judgment

7 October 1970. The considered judgment of the court was read by **Law Ag V-P:** This is a second appeal from a judgment of the High Court of Kenya at Nairobi dismissing an appeal from a conviction entered against the appellant in the resident magistrate's court at Nairobi. The appellant was charged with the offence of unlawful employment of a non-citizen of Kenya contrary to s. 13 (2) (*g*) of the Immigration Act (Cap. 172). He was convicted and sentenced to a fine of Shs. 500/- or in default to six months' imprisonment. His appeal against conviction and sentence was dismissed by the High Court. He now appeals to this court.

The charge sheet did not name the appellant but it referred to a person described as "The Director/West End Clothing Ltd.". The particulars of the offence were stated as follows: (we have substituted "Miss K" for the name of the alleged employee).

> "*Director/West-end Clothing Limited* on or about 17 February 1970, at Nairobi, in the Nairobi Area, unlawfully employed another person namely Miss K, a non-citizen of Kenya whom the aforesaid Director of West-End Clothing Limited Nairobi knew or had reasonable cause to believe to be a person who had no Entry Permit authorising the aforesaid Miss K to take up employment or who was not exempted by regulations made under the Immigration Act authorising the aforesaid Miss K to take up employment."

Section 137 (*d*) of the Criminal Procedure Code (Cap. 75) reads as follows:

> "137. The following provisions shall apply to all charges and informations, and, notwithstanding any rule of law or practice, a charge or information shall, subject to the provisions, of this Code, not be open to objection in respect of its form or contents if it is framed in accordance with the provisions of this Code–
>
> . . .
>
> (*d*) the description or designation in a charge or information of the accused person, or of any other person to whom reference is made therein, shall be such as is reasonably sufficient to identify him, without necessarily stating his correct name, or his abode, style, degree or occupation; and if, owing to the name of the person not being known, or for any other reason, it is impracticable to give such a description or designation, such description or designation shall be given as is reasonably practicable in the circumstances, or such person may be described as "a person unknown" . . .

We shall first deal with ground 5 of appeal which alleges that the charge was defective. We agree. In our opinion it did not comply with the provisions of the above section. Mr. Khanna informed us from the Bar that there were six directors of the West-End Clothing Co. Ltd., and that Miss K, the subject of the charge, was one of them. Any of these six directors could have been the intended accused, except presumably Miss K. In the circumstances we think that the description of the accused in the charge was clearly not reasonably sufficient to identify the person intended to be prosecuted. However, the appellant appeared in court and pleaded "not guilty" when the charge was read out and we agree with the judge that by so doing the appellant identified himself

with the "director" referred to in the charge; we consider that the irregularity was thereby cured. Accordingly this ground of appeal fails.

Ground 7 was to the effect that the charge as framed disclosed no offence. The appellant was charged with an offence under s. 13 (2)(*g*) of the Immigration Act which makes it an offence to employ any person whom one knows or has reasonable cause to believe is committing an offence under para. (*f*) of the subsection. Paragraph (*f*) aforesaid makes it an offence for any person, not being a citizen of Kenya, to engage in employment unless authorised to do so by an entry permit or exempted by regulations. As we understand Mr. Khanna's submission under this head, it is that the charge disclosed no offence because it did not categorically specify that Miss K was to the appellant's knowledge or reasonable belief committing an offence. We see no merit at all in this ground. The charge followed closely the wording of para. (*f*) aforesaid and charged that Miss K, being a non-citizen, was engaged in employment without being authorised to do so by an entry permit and without being exempted by regulations, both of which matters constituted offences under s. 13 (2) of the Act. We have no doubt at all that the charge as drafted disclosed an offence.

Having disposed of the grounds of appeal directed against the form of charge, we now turn to the other grounds of appeal. Ground 4 was to the effect that on the facts of this case no mens rea could be inferred. Mr. Khanna complained that both the magistrate and the judge treated the offence charged as being one of absolute liability. We see no merit in this ground. It is clear from the judge's judgment that in his view, with which we agree, it was for the prosecution to establish the ingredient in the charge of "knowing or having reasonable cause to believe" that Miss K. was committing an offence by engaging in employment, and we can see no misdirection in this respect. Ground 6 is that the mere statement of a fact in a charge without some supporting evidence is not sufficient in itself to cast upon an accused person the burden of discharging a statutory onus of proof. By s. 15 of the Act, in any legal proceedings under the Act if any four questions is in issue, such as whether or not a person is a citizen of Kenya or whether that person held an entry permit, the burden of contending the affirmative is on the person so contending. The question is whether the issue must be raised by evidence, or whether it is sufficiently raised merely by being stated in the particulars that a particular employee was not a Kenya citizen and had no entry permit. Mr. Muttu for the Republic referred us to *Ali Hassan Mohamed v. R.*, [1959] E.A. 606, a decision of the High Court of Kenya arising out of the Immigration Act 1956 (now repealed). The appellant in that case had been charged before a magistrate with being unlawfully in Kenya. By s. 18 of the 1956 Act, the burden of proving the lawfulness of his presence in Kenya was on the accused. The magistrate, at the outset of the trial, called upon the accused to prove that his presence was lawful. The High Court said ([1959] E.A. at p. 608D): "It would appear to be the case that if a person accused of such an offence produces no evidence at all which tends to show that he was lawfully present in (Kenya) then he must be convicted even if the prosecution has called no evidence." With respect we do not agree. The procedure governing the trial of criminal cases in subordinate courts is regulated by the Criminal Procedure Code. By s. 208 of that Code, on a plea of not guilty, "the court shall proceed to hear the complainant and his witnesses and other evidence (if any)". No exception is made for cases in which the burden of proof in respect of any matter is placed on the accused. So far as *Mohamed's* case is to the contrary effect, we consider it to be bad law. Some foundation at least must be laid by the prosecution, even if it is only to say "so far as my enquiries go, X is not a citizen of Kenya and has no entry permit". In the case the subject of this appeal, we are satisfied that a sufficient foundation was laid. The only prosecution witness, an immigration officer, deposed that he entered the shop in which Miss K was

attending a customer, and he made enquiries from her and the appellant whether she had an entry permit. The appellant said that as Miss K held shares in the business he did not think she needed an entry permit. It is not in dispute that entry permits are not required by Kenya citizens, and the evidence we have set out above, taken in conjunction with the charge, satisfies us that a sufficient foundation had been laid, although not in a satisfactory manner, so as to require the appellant to discharge the burden of proving, on a balance of probabilities, that Miss K was citizen of Kenya, or that she had a work permit, if these matters were necessary for his defence. But this was not the defence. The appellant did not give evidence. His only defence, made in the form of a submission of no case to answer, was that it had not been proved that he had employed Miss K, or indeed that she was employed at all. Although therefore we agree with the substance of ground 6, it is irrelevant for the purposes of this appeal, as in our view there was just sufficient foundation laid to place on the appellant the burden of proving that Miss K was a Kenya citizen, or had a work permit, had the necessity for deciding these issues arisen.

This leaves for consideration the grounds of appeal relating to whether it had been proved that Miss K was an employee and the appellant her employer. We agree with both courts below that the fact that Miss K was seen attending a customer in the shop justifies the inference that she was employed in the shop. That inference, however, (which arises from the operation of s. 13 (4) of the Act) can only be drawn against the person apparently employing her.

The material part of sub-s. (4) reads:

> ". . . a person who performs for the benefit of or at the request of another person any work or service of a kind which is commonly performed by a person in employment, shall be deemed to engage in an employment, and that other person shall be deemed to employ that person."

Mr. Khanna's argument is that even if on the evidence the inference could justifiably be drawn that Miss K was engaging in employment, and we are satisfied that the magistrate was justified in drawing that inference in the circumstances of this case, then all that was established was that she was deemed to be employed by West-End Clothing Ltd., a limited liability company, and not by the appellant who was merely one of six directors of that company. Mr. Khanna submits that, to make the appellant personally liable, it would be incumbent on the prosecution to prove beyond all reasonable doubt that it was the appellant who had engaged Miss K in the company's employment. We can see no answer to this submission which we accept as correct. A person who performs a service for the benefit of a limited liability company is deemed, by s. 13 (4) aforesaid, to be employed by the company. The presumption does not arise against any individual director or officer of the company. To make such a person liable for the employment of an employee it would be necessary for the prosecution to establish that the person charged had in fact engaged the employee. That evidence is totally lacking in this case. It would not have been necessary to call any such evidence had the company been prosecuted, which was obviously the proper course in this case, having regard to the presumption of employment created by s. 13 (4) aforesaid. No such presumption arises in relation to individual directors of a company, and where the prosecution elect to proceed against an individual director, as in this case, it must be proved that he was the person who engaged the employee. We consider that the submission that there was no evidence of employment of Miss K. by the appellant, made on the appellant's behalf at the close of the prosecution case in the subordinate court, was a valid submission, and that the appellant should have been acquitted at that stage.

For these reasons we allow the appeal, quash the conviction and set aside the sentence. If the fine has been paid, it must be refunded to the appellant.

Appeal allowed.

For the appellant:

DN Khanna (instructed by *Khanna & Co*, Nairobi)

For the respondent:
K Muttu (State Counsel)

Mayers and another v Akira Ranch Ltd
[1971] 1 EA 56 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	23 July 1970
Case Number:	682/1970 (169/70)
Before:	Chanan Singh J
Sourced by:	LawAfrica

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[1] Civil Practice and Procedure – Originating summons – Whether summons for appearance before a judge an originating summons – Registration of Titles Act (*Cap.* 281), *s.* 57 (*K.*) – *Civil Procedure* (*Revised*) *Rules* 1948, *O.* 36 (*K.*).

Editor's Summary

The defendant objected to an application filed by the plaintiffs under the Registration of Titles Act, s. 57 (8). The application was headed as an originating summons but provided for attendance before a judge in chambers and not for the entry of an appearance. No form had been prescribed under the Act.

Held – the form of the application was not so incorrect as to be struck out.

Objection overruled.

No cases referred to in judgment

Judgment

Chanan Singh J: An application on behalf of the two persons named as "applicants" for the extension of a caveat was made under s. 57 (8) of the Registration of Titles Act. Mr. Le Pelley, for the "respondent", objected to the application on the ground that it had not been made in a proper form for originating summonses, but in a form used for interlocutory summonses. His main objection is that the summons taken out by Mr. Khanna requires straight attendance before a judge in chambers instead of requiring the respondent to enter an appearance. Both forms given in Appendix B to the Civil Procedure (Revised) Rules 1948 Mr. Le Pelley points out, require appearance to be entered.

Mr. Khanna contends that he has taken out a proper originating summons. The application is, indeed, described as "originating summons" in the heading and the usual letters "O.S." appear in brackets after the number of the case.

Mr. Khanna also argues that the two forms in the Civil Procedure Rules to which Mr. Le Pelley refers are prescribed for use in connection with O. 36 which does not cover applications for the extension of a caveat. He relies on the wording of sub-ss. (5) and (8) of s. 57 of the Registration of Titles Act (Cap. 281) which, he says, enables him to dispense with appearance by requiring straight

attendance.

Subsection (5) says that the proprietor or other person claiming land may, by summons, “call upon the caveator to attend before the court”. I think this does mean that an originating summons taken out under that sub-section may require the caveator to attend on a date named therein and that there is no need to require, or even ground for requiring, the caveator to enter an appearance. But it should be observed that sub-s. (5) deals with applications by persons other than the caveator.

The present application is, and it could be only, under sub-s (8) which does not speak of calling upon the other party to attend. It says simply that the

caveator may “apply by summons”. This is nearer to the expressions used in O. 36, rr. 1, 2, 3, 3A, 4, 5 than to those used in sub-s. (5).

The practice in England (from which country we have borrowed the system of originating summons) is somewhat clearer. Form No. 8 (which requires an appearance to be entered) is used for an application for relief under the inherent jurisdiction of the court when no other form is prescribed. It is also used for applications under a statute. Form No. 10 (which requires no appearance) is used only when prescribed. See The Supreme Court Practice 1967, Vol. 1, pp. 50 – 1. It would appear that, in a case like the present one, Form No. 8 would be used in England.

In Kenya, the position is less clear. Section 86 of the Registration of Titles Act gives the Minister power to make rules and to prescribe forms. No form for use under s. 57 has been prescribed.

That there can be an originating summons to which an appearance is not required there is no doubt. Both types of summonses are in use in England which is the home of the system. Our own r. 8A of O. 36 also seems to envisage the use in some circumstances of a summons not requiring an appearance, otherwise it would not have used the words “to which an appearance is required to be entered shall after appearance”. I agree, however, that the only two forms prescribed require appearance, although “variations” to such forms are permitted if circumstances require them (r. 7).

Even other statutes are not unaware of the type of originating summons not requiring an appearance. Rule 2 (3) of the Matrimonial Causes Rules (Cap. 152), for example, states that an originating summons for leave to present a petition within three years of marriage “shall be made returnable for a fixed date before a judge in chambers”. Nevertheless, our draftsmen have become so accustomed to the idea of an appearance that the form prescribed under r. 2 requires (quite wrongly) an appearance to be entered.

Although it seems a form not requiring an appearance would be used in England in the circumstances of this case and although forms prescribed for other purposes in Kenya more often than not require an appearance, yet to reject or to strike out an application I must be absolutely sure that it is in a form irremediably wrong. I am not so sure. The application is clearly phrased and there is no doubt about what Mr. Khanna’s client prays for. And it is called “originating summons”.

The only defect on the face of the application is that the parties are called “applicants” and “respondent” instead of “plaintiffs” and “defendant” respectively. That defect is easily remediable by amendment.

As a precaution, Mr. Khanna has filed a draft amended application which provides for the entering of an appearance. No amendment is in this respect necessary and I make no order on Mr. Khanna’s oral application for amendment which he made as a precaution against my ruling in favour of Mr. Le Pelley’s objection.

In the result, I disallow the objection.

Objection overruled.

For the plaintiffs:
DN Khanna (instructed by *Khanna & Co*, Nairobi)

For the defendants:
P Le Pelley (instructed by *Hamilton Harrison & Mathews*, Nairobi)

Dodd v Nandha

[1971] 1 EA 58 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	6 October 1970
Case Number:	8/1970 (174/70)
Before:	Phadke J
Sourced by:	LawAfrica

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[1] Bailment – Applicable law – Common law of England applicable so far as relevant – Reasonable and applicable to circumstances of Uganda.

[2] Bailment – For reward – Exemption clause – Implied exemption – Request that bailor keep own auto insurance in effect for fire and theft ineffective to limit bailee's liability.

[3] Bailment – For reward – Exemption clause – Must be brought to attention of bailor.

[4] Bailment – For reward – Standard of care – Reasonable care according to the circumstances including that place of storage be fit and proper and imminent and unexpected dangers be guarded against.

[5] Evidence – Bailment – For reward – Loss – Burden on bailee to prove not caused by failure to take reasonable care.

Editor's Summary

The plaintiff made a practice of storing his car at the defendant's garage whenever he was out of the country. For a fee of Shs. 2/- per day, the defendant agreed to store the car in a covered shed jacked up on blocks. While the shed was being painted, the defendant had the car moved outside to a rear yard. Because it was intended to move the car back within two days, the defendant did not jack the car on blocks. From that yard the car was stolen and the plaintiff brought this action claiming the value of the car and the cost of a valuation report.

The defendant contended that he had taken all due care and that liability for loss had been excluded by a sign stating that storage was at owner's risk. The defendant also claimed that on the occasion of the first period of storage, the plaintiff had been told to keep his own insurance cover in effect for fire and theft.

Held –

(i) there being no written law of bailment, the common law of England applied so far as reasonable, relevant and applicable in the circumstances of Uganda;

(ii) a bailee is bound to take reasonable care of the chattel according to the circumstances;

(iii) upon loss or damage the burden is on the bailee to prove that he has met his duty of care;

(iv) the defendant had failed to discharge his burden of proof in that he failed to provide a fit and proper place for the storage of the car and failed to take reasonable care to protect it from theft in the light of the many robberies in the Entebbe area;

(v) the posted notice was ineffective to limit liability since it was not adequately displayed and there was no proof that it was ever brought to the plaintiff's attention;

(vi) the request that the bailor keep his own insurance in effect against fire and theft was inadequate

to exempt the bailee from liability for loss by theft.

Judgment for the plaintiff.

Cases referred to judgment

(1) *Coggs v. Bernard*, [1558 – 1774] All E.R. Rep. 1.

(2) *Brabant & Co. v. King*, [1895] A.C. 632.

(3) *Coldman v. Hill*, [1918 – 19] All E.R. Rep. 434.

(4) *London and North Western Railway Co. v. J.P. Ashton & Co.*, [1920] A.C. 84.

(5) *Rutter v. Palmer*, [1922] All E.R. Rep. 367.

(6) *Alderslade v. Hendon Laundry*, [1945] K.B. 189.

(7) *Martin v. London County Council*, [1947] K.B. 628.

(8) *Olley v. Marlborough Court*, [1949] 1 K.B. 532.

(9) *J. S. Spurling Ltd. v. Bradshaw*, [1956] 2 All E.R. 121.

(10) *Houghland v. R.R. Low* (*Luxury Coaches*) *Ltd*., [1962] 1 Q.B. 694.

(11) *Morris v. C. W. Martin & Sons Ltd*., [1965] 1 Q.B. 716.

Judgment

Phadke J: [The judge considered the evidence and continued]: I will next consider what law is applicable to this case which is one of bailment. In Uganda, presently there is no written law on this subject as was formerly the case during the period of the application of the Indian Contract Act, from 1899 to 1962. At present the position is that under the Judicature Act (No. 11 of 1967), when on any particular subject there is no written law the jurisdiction of the High Court is exercised in conformity with, *inter alia*, the common law of England in so far as the circumstances of Uganda and its people permit and subject to such qualifications as circumstances may render necessary. The fact that the provisions relating to bailment contained in Chapter IX of the Indian Contract Act were considered necessary and applied in Uganda for more than half a century strongly indicates that provisions of law on this subject are necessary in the circumstances of Uganda. Therefore I will apply the common law of England relating to bailments. This law is contained in numerous decisions of English courts, many of which have been so helpfully referred to by both counsel. I propose to be guided by such decisions as are in my respectful opinion, relevant, reasonable, and applicable to the circumstances of Uganda.

Having mentioned the facts not in dispute, having reviewed the evidence of the facts in controversy, and having stated that the law applicable is the common law of England, I will now make findings separately on the three issues stated earlier. As regards the facts in controversy, I would mention generally that both the plaintiff and the defendant favourably impressed me as honest witnesses, and my findings will be based largely upon the probabilities rather than on credibility.

Issue No. 1:

The defendant was a bailee for valuable consideration – a custodian for reward. The obligations of a bailee have been formulated in several cases beginning with the celebrated judgment of Holt, C.J., in *Coggs v. Bernard* as far back as in 1703. In Halsbury's Laws of England (3rd Edn.), Vol. II, p. 114, the standard of care and diligence to be exercised by a custodian for reward is stated as under:

> "A custodian for reward is bound to use due care and diligence in keeping and preserving the article entrusted to him on behalf of the bailor. The standard of care and diligence imposed on him is higher than that required of a gratuitous depository, and must be that care and diligence which a careful and vigilant man would exercise in the custody of his own chattels of a similar description and character in similar circumstances."

However, it is as well to bear in mind a more recent formulation of the standard which says that the bailee must take reasonable care of the chattel

according to the circumstances of the particular case. In *Houghland v. R. R. Low* (*Luxury Coaches*) *Ltd*. (10) Ormerod, L.J., observed ([1962] 1 Q.B. at p. 161):

> "I have always found some difficulty in understanding just what was 'gross negligence', because it appears to me that the standard of care required in a case of a bailment, or any other type of case, is the standard demanded by the circumstances of that particular case. It seems to me that to try to put a bailment, for instance, into a water-tight compartment – such as gratuitous bailment on the one hand, and bailment for reward on the other – is to overlook the fact that there might well be an infinite variety of cases which might come into one or the other category. The question that we have to consider in a case of this kind (if it is necessary to consider negligence) is whether in the circumstances of this particular case a sufficient standard of care has been observed by the defendants or their servants."

At the same time, it must be remembered, as was stated in *Coldman v. Hill* (3), ([1918 – 19] All E.R. Rep. 434) that care must be taken not to extend unduly the duty of a bailee by expecting him to take action which may involve him in unreasonable expense or trouble.

It is established law that the bailee is not an insurer, and in the absence of negligence on his part he is not liable (apart from any special obligation in the contract) for loss caused by accident, fire, acts of third parties or the unauthorised acts of his agents or servants outside the scope of their employment.

The loss of, or injury to the chattel while in the bailee's possession places the burden of proof on the bailee to show that it was not caused by any failure on his part to take reasonable care, but he need not show exactly how the loss or injury occurred. By proving the failure to return the bailor establishes a *prima facie* case, whether in detinue or in negligence, which would stand unless rebutted, *Houghland v. R. R. Low* (*Luxury Coaches*) *Ltd*. (10). Once goods bailed for reward are lost or damaged, the burden is on the bailee to show that the loss or damage occurred without neglect or default or misconduct on the part of the bailee or any of his servants, *Morris v. C. W. Martin & Sons Ltd*. (11).

It is the duty of the bailee to take reasonable care to see that the place in which the chattel is kept is fit and proper for the purpose of custody, *Martin v. London County Council* (7), and to protect it against any imminent and unexpected danger should that arise, *Brabant & Co. v. King* (2).

In this case, the fact that the defendant left his own car in the yard, and also the fact that several cars belonging to his customers were also left there at night, are not relevant. The defendant's statement that the plaintiff approved of the shed as a place of storage for his vehicle is also not relevant, because the evidence is that the vehicle was stolen from the covered shed, but from a place in the open rear yard. The front gate of this yard was not locked at night, and the defendant agreed that it would have been possible for any person to enter through the gate at night and drive a car out. The only reason given by the defendant for not locking the gate was that it would have inconvenienced his tenant and customers and caused disturbance to the neighbours. I do not accept this as a compelling reason, and I hold that on the night of the theft the defendant failed in his duty to provide a fit and proper place for the storage of the vehicle.

Much evidence has been given on whether or not there was an agreement to remove the wheels of the vehicle. The defendant has denied such an agreement but on the probabilities I accept the plaintiff's evidence as it is supported by what he wrote in his letter. However, in my opinion, nothing turns upon this. Removal of the wheels would necessitate jacking-up and it is not in dispute that there was an agreement that the vehicle was to be jacked-up. The defendant did jack it up when it was under the covered shed but did not do so when he

moved it into the yard. He said in evidence that he wanted to do so but did not because in two days' time, when the painting of the shed was completed, he would have had to move the vehicle back to its former place under the shed. This shows that the defendant was more concerned with his own convenience and with saving trouble to himself rather than with the fulfilment of his agreement and the safety of the vehicle. This was an attitude of indifference towards his obligation, and in view of his own evidence that there were many robberies in Entebbe there can be only one conclusion that he failed to take reasonable care to protect the chattel from the possible and imminent danger of theft.

In my opinion, the defendant has failed to discharge the burden of proof upon him, and my answer to this issue is that he did not exercise the requisite standard of care and diligence in the circumstances of the case.

Issue No. 2:

The bailee may limit his liability or exempt himself from it by special conditions in the contract. Any such condition must be in clear and unambiguous terms, *Rutter v. Palmer* (5), and must be strictly proved, *Olley v. Marlborough Court Ltd*. (8). An exemption clause will be available only if the party claiming exemption was carrying out his contract and not deviating from it, *J. S. Spurling Ltd. v. Bradshaw* (9). Where a bailee relies upon an exemption he must prove that the facts bring him within the exemption, *London and North Western Railway Co. v. J.P. Ashton & Co*. (4).

The first ground upon which the defendant claims exemption from liability is that the vehicle was stored at the plaintiff's risk. He stated that a notice to this effect was painted on the wall near the rear door of the office in the rear yard, and that the plaintiff had gone into the yard on three occasions. I accept this evidence, but the question is did the plaintiff have knowledge of the notice. According to Denning, L.J., in *Olley v. Marlborough Court Ltd*. (8), the notice must be a prominent public notice plain to see when the contract is made if it is to have the same effect as a written contract. In this case the notice was very small in size and it was not displayed in a prominent place. The plaintiff stated that the defendant had never drawn his attention to the notice and I accept his evidence. Even the defendant frankly admitted that the notice could not have been easily seen from a distance and that a person driving to the covered shed would not have observed it. I hold, therefore that the exemption claimed on this ground has not been proved and cannot succeed.

The second ground of exemption is pleaded in para. 7 of the written statement of defence, and is as under:

> "7. The defendant will also contend that it was expressly agreed between the parties hereto that insurance cover for fire and theft would not be suspended during the term of car's storage with the defendant."

The particulars stated that the agreement was verbal and made in December 1967 at the time of the first storage. I have found difficulty in understanding just what this pleading means. Construed as it stands it says no more than that the plaintiff was to keep the insurance in force. There is evidence that the plaintiff did so. Where then does the exemption come in?

To my mind this pleading is not only vague but is also incomplete. I imagine that the corollary, presumably, is that by keeping the policy of insurance in force, in the event of loss the plaintiff would be indemnified by his insurers and would not suffer any damage, and consequently the defendant would not be liable to compensate him for such damage. This is the reasoning which has appeared, albeit somewhat dimly, in the defendant's evidence. His counsel has submitted that as the defendant's evidence in this respect has not been expressly challenged by the plaintiff, the agreement and the exemption thereunder have

been proved. A primary objection to this submission is that as the meaning which the defendant seeks to give to the agreement can be reached only after a searching examination of the pleading and from inferences to be drawn from the defendant's evidence, the agreement itself is not in conformity with the principle enunciated in *Alderslade v. Hendon Laundry* (6), that the exempting words must be express, unambiguous and adequate in all the circumstances.

However, I will consider the matter from the defendant's point of view. What the defendant insisted upon was that the insurance be kept in force. The plaintiff had a comprehensive insurance policy and he did keep it in force. This insurance policy, like all insurance policies, was issued subject to certain conditions, and the plaintiff's evidence, which I accept, was that one of the conditions created in favour of his insurers the right of subrogation, and the insurers having paid his claim had become entitled to the benefit of all rights possessed by him in respect of the loss. The plaintiff stated that if he recovered any amount from the defendant he would be obliged, in terms of the policy of insurance, to pay it over to his insurers.

Under a policy of insurance, the assured is under a duty to do nothing which prejudices his insurer's rights or to make a contract so as to diminish or exclude rights to which the insurer would become subrogated upon paying for a loss. What the defendant contends is that the agreement of exemption was that the plaintiff should keep the policy of insurance in force to provide for his rights of indemnity for loss and at the same time and in breach of the conditions of the policy contract out of his duty to his insurers thereunder so as to provide exemption from liability to the defendant. I cannot even imagine how such an agreement could have been made between them.

There is also one further reason for which I am unable to accept counsel's submission. The defendant, in not jacking-up the vehicle when he placed it in the open yard was not, according to his own version of the conditions of the storage, carrying out his contract; he was clearly deviating from it.

For the above reasons, my answer to this issue is that the defendant is not exempted from liability to the plaintiff.

Issue No. 3:

I hold that the defendant is liable in damages to the plaintiff for the loss of the vehicle. There remains to consider the amount of the damages. The plaintiff stated that he bought the vehicle which was brand new in September 1966 for the total sum of Shs. 21,500/-. When he stored the car with the defendant it had run between 24,000 and 26,000 miles. It had not met with any serious accident or trouble, and he had changed the tyres since the purchase of the vehicle. It had been regularly serviced and was in a very good condition.

Mr. Paul Kerssemakers, a qualified and professional motor surveyor, who has practised as such in Uganda since 1955 stated that given the particulars of a motor vehicle he could express an opinion as to its value. The witness was given the particulars of the plaintiff's vehicle as stated by the plaintiff and he stated that in his opinion it would have been worth between Shs. 17,000/-and Shs. 18,000/-. A valuation report had been made by his company and the fee of Shs. 63/-had been received.

All this evidence was not challenged, and I accept it. I hold that the value of the plaintiff's vehicle was Shs. 17,500/- as claimed.

In the result, I enter judgment for the plaintiff against the defendant for the sum of Shs. 17,563/- with interest thereon from 2 January 1970 to the date of payment in full, and the costs of this suit.

Judgment for the plaintiff.

For the plaintiff:

PV Parekhji (instructed by *Parekhji & Co*, Kampala)

For the defendant:
MK Joshi

Income Tax v Kotecha Estates Ltd
[1971] 1 EA 63 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	19 October 1970
Case Number:	1/1970 (175/70)
Before:	Sir Dermot Sheridan CJ
Sourced by:	LawAfrica

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[1] Income Tax – Expenses – Apportionment – Over several years not permitted.

[2] Income Tax – Capital or income payment – Cost of growing sugar cane as part of unit purchase price – Capital payment – East African Income Tax (*Management*) *Act* 1958, *ss.* 14 (1), 15.

Editor's Summary

The respondent company purchased a sugar growing estate in 1963. The purchase price was not apportioned between land and crops. In 1965 the company submitted its accounts for the trading period ending 30 October 1964, and claimed a deduction of Shs. 100,000/- for the value of the growing sugar cane. The Income Tax Department rejected the claim and ruled the expenditure in the nature of a capital transaction in acquiring the estate. The Kampala Local Committee ruled that it was improper to treat the expenditure as a capital expenditure and that the expenditure was to be apportioned over the four years 1964 to 1967. At the end of these four years there would be no capital asset in existence.

The Commissioner General of Income Tax appealed on the grounds that the cost of acquisition of the growing sugar cane was a capital expenditure; and the local committee had erred in law in ordering apportionment of the expenditure over four years.

Held –

(i) the purchase of the estate was the purchase of a capital asset, no part of which was expenditure wholly and exclusively incurred for the purpose of earning income in that year;

(ii) no part of the purchase price attributable to the purchase of growing sugar cane might be deducted against income as a business expense;

(iii) apportionment of deductions over several years is not permitted; deductions are allowed only in the year of income.

Appeal allowed.

Cases referred to judgment

(1) *British Insulated and Helsby Cables Ltd. v. Atherton*, [1926] A.C. 205.

(2) *Mallett v. Staveley Coal & Iron Co. Ltd*. (1928), 13 T.C. 772.

(3) *Commissioners of Inland Revenue v. Pilcher* (1949), 31 T.C. 314.

(4) *A. L. et al v. The Commissioner of Income Tax*, 2 E.A.T.C. 148.

(5) *B. A. Sisal Estate Ltd. v. The Commissioner of Income Tax*, 3 E.A.T.C. 27.

(6) *Ralli Estate Ltd. v. The Commissioner of Income Tax*, 3 E.A.T.C. 203.

(7) *B. N. Ltd. v. The Commissioner of Income Tax*, 3 E.A.T.C. 456.

(8) *The Commissioner of Income Tax v. B.V*., 4 E.A.T.C. 220.

(9) *B.W. v. The Commissioner of Income Tax*, 4 E.A.T.C. 225.

(10) *Income Tax v. Ngaremtoni Coffee Estate Ltd*., [1970] E.A. 511.

Judgment

Sir Dermot Sheridan CJ: This is an appeal under s. 111 (4) of the East African Tax (Management) Act 1958 by the Commissioner

General of Income Tax against the decision of the Kampala Local Committee dated 3 November 1969. The decision which was communicated to the respondent, Kotecha Estates Ltd. (hereinafter referred to as "the company") reads:

> "Dear Sir,
>
> At a meeting held on Wednesday 29 October 1969, the Local Committee made the following decision in your case:
>
> Having due regard to the nature of sugar cane, the committee felt it is not correct to treat the cost of acquisition of the growing sugar cane as Capital expenditure. In the circumstances therefore the committee's decision is that the purchase price of the growing sugar should be apportioned over the years 1964 to 1967 inclusive at the rate to be agreed between the Commissioner-General and the appellant. In addition the initial valuation of the growing sugar needs to be established and agreed.
>
> The reason for the decision is that at the end of the four years period there would be no Capital asset in existence.
>
> Yours faithfully,
>
> S. Kaijabwango
>
> Clerk to the Local Committee"

The Memorandum of Appeal states:

> "The Appellant, the Commissioner-General of Income Tax, being dissatisfied with the decision of the Local Committee for Kampala given at a Meeting held on 29 October 1969, in relation to the assessment number 6000 for the year of Income 1967 made upon the Respondent appeals to this Honourable Court against the whole of the said decision of the Local Committee on the following grounds:
>
> (*a*) that the Local Committee erred in fact and in law in holding that the cost of acquisition of the growing Sugar-cane was not a capital expenditure;
>
> (*b*) that the Local Committee erred in law in ordering apportionment of the expenditure over the Years 1964 to 1967 inclusive;
>
> (*c*) that the decision was erroneous in Law;
>
> (*d*) that the Local Committee ought to have confirmed the said assessment."

The appellants statement of facts filed pursuant to r. 5 of the Income Tax (Appeal to the Uganda High Court) Rules 1969 reads:

> "1. Messrs Kotecha Estate Limited (hereinafter referred to as "the Company") was incorporated in April 1963.
>
> 2. In May 1963, the company acquired a freehold sugar estate at Nkoko from Kisonzi Estates Limited of two hundred acres together with all the plantations, machinery, and buildings at a price of Shs. 307,000/-.
>
> 3. In November 1965, the company submitted its accounts for the trading period ending on 30 October 1964 to the income tax department.
>
> 4. As a result of an inquiry the company's accountants submitted the following breakdown of the purchase price:
>
> | | |
> |---|---|
> | Plant and machinery ..... | Shs 32,000.00/– |
> | Spares and accessories ..... | Shs 5,000.00/– |
> | Buildings ..... | Shs 91,000.00/– |

Land and crops	Shs	179,000.00/–
Total	Shs	307,000.00/–

5. The estimated crop of sugar-cane was 4,000 tons and @ Shs. 25/- this amounted to Shs. 100,000/-. In the accounts Shs. 100,000/- was allocated as the value of growing crops and Shs. 79,000/- as the value of the land.

6. The company in arriving at its profits for tax purposes claimed to deduct as an expense the value of Shs. 100,000/- of the growing crops taken over and included in the purchase price.

7. The income tax department rejected the claim and informed the company that the sum of Shs. 100,000/- was involved in a single purchase and sale, and that the expenditure was in the nature of a capital transaction in acquiring estate.

8. The assessment was confirmed disallowing the expenditure of Shs. 100,000/-. The company appealed to the local committee.

9. The appellant will at the hearing of this appeal, produce oral or documentary evidence or both to support the foregoing statement of facts."

The respondent's statement of facts in reply reads:

"1. The respondent company purchased an estate after taking into consideration the standing crops of sugar cane on the estate.

2. The purchase consideration of Shs. 307,000/- was paid after paying due consideration of the standing crops of sugar cane from which the company expected to realise income by crushing sugar cane and converting the same into jaggery for sale.

3. The purchase agreement did not allocate the value of the different assets covered by it but on finalisation of accounts the respondent's accountants gave due consideration of the valuation report of the insurance brokers and the surveyors to arrive at the individual valuation of the building, plant & machinery, land and crops.

4. The purchase agreement clearly indicated as under:

   'The vendor hereby agrees to sell and the purchasers hereby agrees to purchase freehold estate known as nkoko estate comprised in freehold register Vol. 1 of Fol. 7 admeasuring 200.00 (two hundred acres) acres together with all the *plantations*, machinery and buildings as per Schedule annexed hereto and marked "A" at a price of Shs. 307,000/- (shillings three hundred and seven thousand) free from any incumbrances.'

   The above clearly indicates that the agreement did include plantation, i.e. standing crops, into the consideration.

5. The valuation report of independent surveyors "M/s Martin Heymen" chartered surveyors and land agents reads as under:

   Land: this is a freehold sugar estate in two separate, but close, parcels comprising a total of 200 acres. The land generally slopes from north to south west, at an elevation of approximately 3600 ft. above sea level and with a rainfall of approximately 52 inches per annum.

   Title: title is comprised within freehold register Vol. 1 Folio 7 Grant No. 13272.

   Crops: It is understood that the present owners have only very recently purchased the estate and, from investigation, it would appear that they have but little idea of the boundaries of the estate and the areas of the blocks of sugar cane contained therein. After some considerable investigation I am of the opinion that the following represents a fair assessment of the *sugar cane* on the Estate.

1*st Crop*		50 Acres	Mature
		30 Acres	75% Mature
		15 Acres	30% Mature
	Total	95 Acres	
2*nd Crop*		30 Acres	Mature
		20 Acres	75% Mature
	Total	50 Acres	
3*rd Crop*		20 Acres	Mature
		10 Acres	1 Month
	Total	30 Acres	

The total land under *sugar cane* is therefore 175 acres approximately leaving 25 acres approximately for factory, compound, residential compound, labour camps, roads, swamps, etc.

6. The above factors were taken into consideration by the respondent's accountants in estimating the value of sugar cane crushed for manufacturing jaggery and this was charged against the income of the respondent for the accounting year ended on 30 October 1964 as expenses wholly and exclusively incurred in earning the income for that period under s. 14(i).

7. The appellant disagreed with this and deemed the said expenditure as capital expenditure and stated that the same were not expenses wholly and exclusively earned in terms of s. 14 (i) of the East African Income Tax (Management) Act 1958 and the expenditure was prohibited as Capital expenditure under s. 15(i)(*b*).

8. The appellant confirmed the said assessment and this resulted in confirmation of the assessments of the succeeding years of income 1965, 1966 and 1967.

9. The appellant relied on the decisions of the following cases:

   (i) *C.I.R. v. Pilcher* (31 T.C. 314).

   (ii) *B.A. Sisal Estates Limited v. CIT*. (E.A.T.C. No. 64).

10. The local committee heard both the sides of the case and it was agreed that the decision of the local committee subject to the rights of either side of appeal to the courts will automatically confirm/dismiss latter appeals for 1965, 1966 and 1967.

11. The local committee, after careful consideration of both the sides, rightfully decided:

'Having due regard to the nature of sugar cane the committee felt it is not correct to treat the cost of acquisition of the growing sugar cane as capital expenditure. In the circumstances therefore the committee's decision is that the purchase price of the growing sugar cane should be apportioned over the year 1964 to 1967 inclusive at the rate to be agreed between the Commissioner-General and the appellant. In addition the initial valuation of the growing sugar cane needs to be established and agreed.

The reason for the decision is that at the end of the four years period there would be no capital asset in existence.'

12. The Commissioner-General appealed to this court against the said decision on the following grounds:

(*a*) that the local committee erred in fact and in law in holding that the costs of acquisition of the growing sugar cane was not a capital expenditure;

(*b*) that the local committee erred in law in ordering the apportionment of the expenditure over the years 1964 to 1967 inclusive;

(*c*) that the decision was erroneous in law;

(*d*) that the local committee ought to have confirmed the assessments.

13. The respondent states:

(*a*) that the local committee did not err in fact and law in holding that the costs of acquisition of the growing sugar cane was not a capital expenditure;

(*b*) that the local committee's decision was correct in treating this as a revenue expenditure;

(*c*) that the local committee erred in apportioning the expenditure between 1964 to 1967;

(*d*) that the local committee considered only the growing sugar cane and ignored the matured sugar cane which was ready for harvesting;

(*e*) that the valuation was minimum possible and the respondent company can prove that the value of sugar cane in the period under consideration was much higher.

whereas the respondent prays:

(*a*) that the assessments be amended in accordance with the accountant's computations;

(*b*) that the resultant loss be carried forward to amend the assessments for the years 1965, 1966 and 1967;

(*c*) that the costs of this appeal be allowed to the respondent.

14. The respondent will, at the hearing of this appeal, produce oral and documentary evidence or both to support the foregoing statement of facts."

On 25 April 1963 the company was incorporated. One of the objects for which it was established as set out in para. 3 of the memorandum of association was:

> "To commence, establish, continue, develop and carry on the business of planters, growers, cultivators, reapers, buyers, sellers, exporters, importers, transporters, dealers and all other matters of and in sugar-cane, sugar, crystallised-sugar, jaggery, molasses, spirits and all other residuary products resulting from the manufacture of sugar, by all ways, means, methods, and processes usually adopted for the manufacture, crystallisation, clarification, distilling, production and preparation in the industry of sugar and all other by-products thereof; and to carry on in connection with the above or calculated directly or indirectly to enhance the value of or render profitable the Company's above businesses, properties and rights."

On 2 April 1963 the company purchased the Nkoko Estate from Kisonzi Estates Ltd. on the terms set out in para. 4 of the respondent's statement of facts.

On 17 November 1965 the company submitted to the commissioner its trading and profit and loss account from 12 April 1963 to 30 October 1964.

The Commissioner was not satisfied and he wrote requesting further information. This is not surprising as the accounts must have been incorrect in the sense that it could not have an income and expenditure account from 12 April 1963 in respect of a period prior to its incorporation on 29 April 1963: see *The Commissioner-General of Income Tax v. Ngaremtoni Coffee Estate Ltd*. (10).

By letter dated 26 August 1966 the company's accountants replied:

> "The total purchase price, which included value for buildings, machinery and land including standing crops, was Shs. 307,000/- out of this the following were allocated as under according to insurance valuations:
>
> | | |
> |---|---|
> | Plant & machinery ..... | 32,000/ |
> | Sundry spares & Accessories ..... | 5,000/- |
> | Buildings ..... | 91,000/ |
> | Land and crops ..... | 179,000/· |
> | Shs | 307,000/· |
>
> The estimated crops of sugar cane was 4000 tons and @ Shs. 25/- this would be Shs. 100,000/- and as such Shs. 79,000/- was allocated as the value of land."

Their contention was that the expenditure of Shs. 100,000/- was wholly and exclusively incurred by the company for the purpose of earning income for the year of income and was an allowable deduction under s. 14(1) of the Act which provides:

> "For the purpose of ascertaining the total income of any person for any year of income there shall be deducted all expenditure incurred in such year of income which is expenditure wholly and exclusively incurred by him in the production of such income and which is not expenditure in respect of which no deduction shall be allowed under section 15; and where under section 28 any income of an accounting period ending on some day other than the last day of such year of income is, for the purpose of ascertaining total income for any year of income, taken to be income for any year of income, then such expenditure incurred during such period shall be treated as having been incurred during such year of income."

The Commissioner's contention was that the Shs. 100,000/- was involved in a single purchase and sale and that is why the sale agreement nowhere provided for standing crops to the value of Shs. 100,000/-. The whole expenditure of Shs. 307,000/- was in the nature of a capital transaction in acquiring this particular estate. The company disagreed with him and hence the appeal to the Local Committee.

Mr. Wekesa, for the appellant, argued grounds (*a*) and (*c*) of the Memorandum of Appeal together. As he put it the purchase of the estate was a going concern purchased as a capital asset in one single transaction in order to have a revenue producing assets. The Company had just been incorporated; it had never dealt in business before. One of its objects was *to commence* the business in sugar cane (para. 3 (*b*) of the memorandum of association). The sale agreement is silent about sugar cane. It was part of the freehold estate and it was not now open to the respondent to change the nature of the transaction and say that Shs. 100,000/- of the purchase price was allocated to sugar cane.

Mr. Wekesa relied heavily on *Commissioners of Inland Revenue v. Pilcher* (3) which has been followed in Tanzania in cases of the purchase of sisal estates and in Kenya in cases of the purchase of

coffee estates. The headnote reads:

> "Income Tax, Schedule D, and Excess Profits Tax – Deduction – Purchase of orchard – Cost of fruit.
>
> P, a fruit grower and fruit salesman, purchased for £5,500 the freehold of a cherry orchard inclusive of the year's fruit crop, which was nearly ripe for picking. Before the sale he had valued the growing crop at £2,500, and subsequently it was picked and sold for £2,903 which sum was brought into accounts as a trading receipt.
>
> On appeal against assessments to Income Tax under Schedule D and to Excess Profits Tax it was contended that the sum of £2,500 should be charged in the accounts as the purchase price of the cherries sold, either on the ground that the cherries did not form part of the land bought, being fructus industrials and not fructus naturales, or on the ground that it should be so charged on proper commercial principles. The Crown contended that the cherries formed part of the land, and the purchase was a single operation resulting in the acquisition of a single capital asset. The Special Commissioner held that a deduction representing the cost of the cherries was permissible.
>
> Held: that no part of the purchase price of the land could be deducted in arriving at the profits from the sale of the crop."

In the course of his judgment Croom-Johnson, J., said ((1949) 31 T.C. at p. 325):

> "I cannot see that there is anything in this case which leads me or should lead me to believe that this transaction, which was a purchase of land which happened to have a growing crop upon it, the benefit of which the purchaser was entitled to get, was other than what it is on the face of it expressly, a purchase of a capital asset, with the result that the profits flowing from the capital asset in future will belong to the purchaser, but how that entitles the purchaser to say: 'And now, please, we should like to debit a proportionate part of the capital sum which we paid for this asset as against those profits', is something which I regret to say I am unable to follow. The distinction which, on behalf of the Respondent, his Counsel has sought to draw is, I think, an erroneous one."

On appeal, Jenkins, L.J., said (*ibid*., at p. 332):

> "It is a well settled principle that outlay on the purchase of an income-bearing asset is in the nature of capital outlay, and no part of the capital so laid out can, for Income Tax purposes, be set off as expenditure against income accruing from the asset in question. This principle holds good even in the case of a wasting asset, such as a coal mine, the income from which is literally produced by the consumption of the capital asset itself. A fortiori does it apply in the case of a capital asset such as an orchard of fruit trees, which, subject to periodical replacement of casualties among the trees and the usual attention in the form of pruning, spraying, manuring, and so on, constitutes what may be described as a permanent source of income."

Mr. Wekesa submitted that the present case is stronger than *Pilchers* in that

(1) Pilcher was a fruitgrower and salesman prior to the purchase of the new cherry orchard whereas here the company had never dealt with sugar cane before;

(2) there the particulars of sale stated that the property was sold inclusive of the year's crop whereas here the agreement is silent on the allocation of the price among the assets.

In *B.A. Sisal Estate Ltd. v. The Commissioner of Income Tax* (5) (3 E.A.T.C. 27) the facts as set out in the headnote were:

> "The appellant company purchased a sisal estate on which there was a quantity of mature growing sisal. The purchase agreement did not specifically appropriate any part of the purchase price to the mature growing sisal. The appellant company claimed that the value of the mature growing sisal should be deductible as revenue expenditure on stock in trade.
>
> The Commissioner assessed the appellant company to income tax and did not allow any deduction in relation to that part of the purchase price which represented the value of the mature growing sisal on the ground that it was capital expenditure. The appellant company appealed to the Local Committee against the assessment and the appeal was dismissed.
>
> The appellant company appealed to the High Court.
>
> Held: that that part of the purchase price which was attributable to the growing sisal was expenditure on the acquisition of a capital asset and was not deductible as revenue expenditure."

Law, J. (as he then was) said at p. 30:

> "The case for the Commissioner can be summarized as follows: the uncut sisal, whether mature or immature, was paid for by a capital sum as part of the asset of sisal development on the estate, which is a capital asset although admittedly of a wasting nature. The sum is not capable of division into capital and revenue; it is purely a capital expenditure and thus not deductible from profits. The Commissioner submits, through Mr. le Champion, that the appellants bought the freehold land, together with the standing sisal, for a capital sum; it was an 'out and out' sale of land together with the crops thereon; and the Commissioner relies, like the local committee, on *Pilcher's* case, and in particular the following extract from the judgment of Jenkins, L.J., at page 334: '. . . generally they (i.e. crops) are either expressly reserved to the vendor with a right to gather them, or the purchaser is required to take and pay for the crop when ripe at a valuation. But where the contract is silent as to such matters and there is simply an out and out sale of a farm in hand from an absolute owner to a purchaser, then, I apprehend, the crops in the ground . . . pass with the land in the ordinary way'; or as Tucker, L.J., said at page 336: 'It is clear on the documents that this was simply a sale and conveyance of land which carried with it the fruit trees and the fruit on the trees'."

Again at p. 32:

> "I respectfully associate myself with the above views. The position in this case is, in my view, very similar. The appellants paid £225,000 to acquire a sisal estate as a going concern. £90,000 was by consent allocated to goodwill, and the balance of £135,000 to the assets transferred under the contract, that is to say the freehold land, the plant, machinery, rolling stock and buildings, all stores and supplies open and in use at the contract date, and the asset of sisal development. The asset of sisal development, to my mind, in the context of the contract, can only mean all the growing sisal, whether mature or immature, which is found on the freehold land on the contract date. This sisal was part of the assets for which a consideration of £135,000 was paid, and it constitutes a capital asset from which income would in the future be derived. No part of this consideration can, in my opinion, be considered as revenue expenditure. It follows that, in my judgment, the local committee came to a correct conclusion. The appeal is dismissed with costs, and amended assessment No. J335 of the year of income 1952 made on the appellants by the Commissioner is confirmed."

Similarly here the company paid Shs. 307,000/- for the Nkoko Estate and it appears that it is not now open to it to allocate the assets which passed with the freehold.

In *Ralli Estates Ltd. v. The Commissioner of Income Tax* (6) the facts are distinguishable but the same underlying principles were applied. In his judgment on appeal (3 E.A.T.C. at p. 235) Sir Kenneth O'Connor, P., referred to *British Insulated and Helsby Cables Ltd. v. Atherton* (1) per Lord Cave ([1926] A.C. 205 at p. 213):

> "But when an expenditure is made, not only once and for all, but with a view to bringing into existence an asset or an advantage for the enduring benefit of a trade, I think that there is a very good reason (in the absence of special circumstances leading to the opposite conclusion) for treating such an expenditure as properly attributable not to revenue but to capital."

Here the purchase of the Nkoko Estate was a condition of the company commencing or carrying on the trade.

On a further appeal to the Judicial Committee of the Privy Council Lord Denning had this to say (3 E.A.T.C. at p. 260):

> "Their Lordships prefer therefore to turn back to the words of the Act and ask whether the payments were expenses wholly and exclusively incurred 'in the production of the income' of the payer: and this means that you must look at the purpose of the payments. Were they paid in order to acquire a capital asset? or for a capital purpose? If so, they are capital expenditure. But if for an income purpose, they are revenue expenditure. For instance, if a price is paid for freehold land, or a premium (properly so called) is paid for a long lease, it is not an expense incurred in the production of income, but in the production of capital. It is not deductible as revenue expenditure, no matter whether the price or premium is paid by a lump sum or by instalments. And this is true even when the lease is of a wasting asset, such as a coal mine, see *Mallett v. Staveley Coal and Iron Co. Ltd*. (1928), 13 T.C. 772, at p. 778 by Rowlatt, J. Again, if a manufacturer expends money on machinery or plant which is used again and again in his manufacturing operations, it is capital expenditure, and is not deductible in assessing his income, no matter whether he pays for it cash down or by instalments. But if a trader pays money for trading stock which he means to sell to customers as soon as he can, it is an expense incurred in the production of income, no matter whether it is paid in a lump sum or by instalments: and it is deductible. Likewise with a rent, properly so called, which is paid for a lease out of which the lessee gets an income. It is a revenue expenditure and deductible."

In *B.N. Ltd. v. The Commissioner of Income Tax* (7), a Kenya case, the head note reads:

> "In 1954, the appellant company acquired a coffee estate under an agreement which provided for the payment of an aggregate purchase price for the land, certain moveables and the coffee crop. The agreement further provided that a portion of the coffee crop already picked was to the account of the purchaser and if the crop ultimately picked should be less than a specified quantity, the purchase price should be reduced accordingly.
>
> In computing its profits for the years of income 1954 and 1955, the appellant claimed to deduct a proportion of the total purchase price attributable to the coffee crop as being the cost of purchase of stock-in-trade. The Commissioner of Income Tax refused to allow such deductions and assessed the appellant accordingly. The appellant appealed to the Supreme Court of Kenya.
>
> Held (i) the purchase of land, moveables and crop was expenditure necessary for the acquisition of property or rights of a permanent character, the possession of which was a condition of carrying on the trade at all;

(ii) That the clause in the agreement providing for fluctuation of the purchase price dependent upon the quantity of the coffee crop was merely a price fixing provision and did not affect the nature of the purchase price as wholly capital outlay;

(iii) That the total purchase price should be substantially regarded as a payment of capital and the deductions were not allowable."

Pilcher's case (3) was followed.

The Commissioner of Income Tax v. B.V. (8) was a similar case. The legal position was neatly summarized by Madan, J. (4 E.A.T.C. at p. 224):

> "The respondent, I think, paid £5,000 to acquire the farm as a going concern. It was an all-inclusive deal for consideration in one lump sum, no part of which can be considered as revenue expenditure. The coffee on the farm constituted a capital asset. The vendors sold and the respondent bought the farm as a going concern. There is no more in the transaction than that the land happened to have growing crops on it."

Here there was no question of the allocation of the Shs. 307,000/- at the time the agreement was entered into. It was done subsequently presumably with a view to reducing tax liability. The mere fact of enumerating the assets of the land "the plantations, machinery and buildings" does not of itself allocate the price of each of them.

Mr. Carasco, for the respondent, placed some reliance on a report dated 24 April 1963 by Martin Heymann, chartered surveyor and land agent to the manager of the Ottoman Bank in which the value of the sugar cane is assessed but this is a report to a third party at its request for the purpose of the company obtaining an overdraft. It was not for the purpose of valuing the assets on the freehold and had nothing to do with the negotiations for the purchase of the estate. It came into existence after the finalisation of the purchase.

Mr. Carasco sought to distinguish sugar cane from sisal and coffee which are more permanent. He stresses the wording of the local committee's decision "Having due regard to the nature of the sugar cane . . . In addition the initial valuation of the growing sugar needs to be established and agreed.

> "The reason for the decision is that at the end of the four year period there will be no capital asset in existence."

Mr. Carasco conceded that the report was for the purpose of obtaining an overdraft but he pointed out that the company nevertheless acted on it. He argued that the correspondence may be relied on so far as it aids in the construction of the main agreement and does not retreat from it – see the *B.N. Ltd.* case (7). He wanted the ordinary meaning to be given to the word "plantations" in the agreement. Here I think the authorities cited above are firmly against him.

In the *B.A. Sisal Estate Ltd.* case (5), LAW, J., inquired into the nature of a sisal crop and concluded (3 E.A.T.C. at p. 29):

> "Sisal is, I am informed, a crop which takes three or four years to mature from planting, when it produces the first mature leaves which can be cut for processing into fibre. For the next four or five years it continues to produce mature leaves, which are cut as and when they reach maturity."

From Hickmans The Land and Peoples of East Africa, a School Certificate Geography which was first published in 1960 I learn this about the nature of a sugar crop:

> "The rain of Busoga is spread fairly evenly through the year, so it is possible to plant and cut cane all the year round except during a dry spell.

> The fields are therefore planted at different times so that there is always cane ready for cutting. It takes 20 months for newly planted cane to come to harvest. When it has been cut it takes another 18 months for it to grow again. After the third cutting the ground is cleared of sugar and given about eight months' rest."

While it is true that the sugar cane which the company bought would be exhausted at the end of four years, on the authorities, it makes no difference that in a sense sugar and sisal are wasting assets. However the matter is put at rest by the definition of "permanent or semi-permanent crops" in s. 2 of the Act:

> "'permanent or semi-permanent crops' means cashew nuts, citrus, cloves, coconuts, coffee, essential oils, New Zealand flax, passion fruit, pawpaws, pine-apples, pyrethrum, sisal, wattle, sugar-cane, tea, rubber, vanilla, apples, pears, peaches, plums, apricots and such other crops as the Authority may by order specify."

On ground (*b*) of the memorandum of appeal both sides are agreed that the local committee erred in ordering apportionment of the expenditure over the years 1964 to 1967 inclusive. Income is charged in the year it is earned and deductions are allowed only in the year of assessment. Under s. 14 (2) (*c*) of the Act any deductions shall be in respect of the year of income. Spreading over is not permissible: *A.L. et al v. The Commissioner of Income Tax* (4), *B.W. v. The Commissioner of Income Tax* (9). It is true that those tax cases concerned receipts of revenue whereas the instant case concerns a claimable deduction, but a deduction becomes an entitlement if certain qualifications are fulfilled. Whether a receipt or a deduction is being claimed, it cannot be spread over.

For the above reasons I allow the appeal and restore the assessment of the Commissioner-General of Income Tax.

Appeal allowed.

For the appellant:
WM Wekesa (Counsel for the E.A. Community)

For the respondent:
P Carasco

Simon v Republic
[1971] 1 EA 74 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	27 October 1970
Case Number:	109/1970 (176/70)
Before:	Spry Ag P, Law Ag V-P and Lutta JA
Sourced by:	LawAfrica
Appeal from:	High Court of Tanzania – Hamlyn, J

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[1] Evidence – Confession – To police officer – person exercising a power of arrest – Not admissible – Evidence Act, s. 27 (*T.*).

[2] Evidence – Confession – Co-accused – Not admissible against co-accused – Evidence Act, s. 33 (*T.*).

Editor's Summary

The appellant was convicted of murder based on two confessions, one made to a messenger employed in the service of the Njombe District Council and the other to the Area Secretary at Njombe. On appeal the confession made to the latter was held admissible and the appeal was dismissed. In connection with the first confession made to the messenger:

Held –

(i) the messenger was exercising a power of arrest under the Local Government Ordinance (Cap. 333), s. 42.

(ii) a confession is not admissible if made to any person performing the functions of a policeman (*R. v. Jigungu s/o Tungu* (1) followed);

(iii) the confession of one accused cannot be taken into consideration against a co-accused.

Appeal dismissed.

Case referred to judgment

(1) *R. v. Jigungu s/o Tungu* (1943), 10 E.A.C.A. 111.

Judgment

27 October 1970. The considered judgment of the court was read by **Law Ag V-P:** The appellant was convicted of murder by the High Court of Tanzania on the strength of two confessions made by him, one to a messenger employed in the service of the Njombe District Council and one to the area secretary at Njombe. The latter confession was clearly admissible and alone justified the conviction, which is why we dismiss the appeal, but the position in relation to the confession made to the messenger is not so straightforward, and we are grateful to Mr. Mhaiskar, who appeared for the Republic, for drawing our attention to this matter.

By s. 27 of the Evidence Act, no confession made to a police officer shall be proved as against a person accused of an offence. By s. 42A of the Local Government Ordinance (Cap. 333) powers of arrest are conferred upon clerks to a district council and on messengers employed by a council, and sub-s. (2) of that section provides that a person exercising those powers of arrest shall have and may exercise all such powers and shall perform all such duties as are by law conferred or imposed upon police officers. Mr. Mhaiskar has suggested that in these circumstances a confession made to a district council messenger who is exercising powers of arrest, as was the case here, might well be inadmissible under s. 27 of the Evidence Act, as s. 42A of the Local Government Ordinance

has the effect of equating the position of a messenger, who is exercising powers of arrest, with that of a policeman. While we do not feel it necessary to decide this point for the purposes of this appeal, we consider that it may be well founded, particularly having regard to the judgment of this court in *R. v. Jigungu s/o Tungu* (1) which lays down that a confession made to a person who is not a policeman, but who is performing the functions of a policeman, will be inadmissible by reason of s. 27 of the Evidence Act.

There is one other matter to which we must refer. In dealing with the case against a person who was tried jointly with the appellant, but acquitted, the judge relied on s. 30 of the Indian Evidence Act, whereby a confession by one accused person may be taken into consideration against a co-accused. The Indian Evidence Act ceased to apply to Tanganyika with the enactment of the Evidence Act of Tanzania with effect from 1 July 1967. Furthermore, s. 33 of the Tanzania Act, which corresponds with s. 30 of the Indian Act, prohibits the taking into consideration against an accused person of a confession made by a co-accused, and only allows a confession to be taken into consideration against the maker. It is important that this distinction should be appreciated by all connected with the administration of the law in Tanganyika.

Appeal dismissed.

The appellant did not appear and was not represented.

For the respondent:
VD Mhaiskar (State Attorney)

Alli v Republic
[1971] 1 EA 75 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	27 October 1970
Case Number:	151/1970 (178/70)
Before:	Spry Ag P, Law Ag V-P and Lutta JA
Sourced by:	LawAfrica
Appeal from:	High Court of Tanzania – Georges, CJ

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[1] Evidence – Confession – To police officer – Neighbour who was also a police corporal – Confession inadmissible – Evidence Act 1967, *s.* 27 (*T.*).

Editor's Summary

The appellant who was a police constable was convicted of the murder of his wife. He told his neighbour who was a police corporal that he had killed and showed him his wife's body.

Held –

(i) (by the court) the statement was a confession made to a police officer and inadmissible;

(ii) (by Spry, Ag. P., and Lutta, J.A.; Law, Ag.V.-P. dissenting) the remaining circumstantial evidence could not safely support a conviction.

Appeal allowed

Cases referred to judgment

(1) *R. v. Kifungu s/o Nsurupia* (1941), 8 E.A.C.A. 89.

(2) *Swami v. King-Emperor*, A.I.R. 1939 P.C. 47.

(3) *Bampamiyki v. R.*, [1957] E.A. 473.

Judgment

27 October 1970. The majority judgment of **Spry Ag P:** and **Lutta JA:** was read by **Spry, Ag P:** The appellant, a constable employed in the railway police, was convicted in the High Court of the murder of his wife. The most important evidence against him was that of a neighbour, a corporal of police, who testified that the appellant had called him, said – ”I have killed; go in and see” and showed him the dead body of his wife.

Objection was taken to the introduction of this evidence on the ground that it was inadmissible, having regard to the provisions of s. 27 of the Evidence Act 1967. That section reads as follows:

> “27. No confession made to a police officer shall be proved as against a person accused of an offence.”

The Chief Justice ruled that the statement was admissible, holding that it did not amount to a confession and that in any event it was not made to the witness in his capacity as a police officer. With very great respect, we are unable to agree.

For the first of these propositions, the Chief Justice relied on two decisions. The first of these was the case of *R. v. Kifungu s/o Nsurupia* (1) in which this court said ((1941), 8 E.A.C.A.):

> “A confession connotes an unequivocal admission of having committed an act which in law amounts to a crime.”

The second was the well-known case of *Swami v. King-Emperor* (2). The Chief Justice quoted a passage from the headnote to the report. The passage from the judgment of the Board reads as follows:

> “Moreover a confession must either admit in terms the offence or at any rate all the facts which constitute the offence. An admission of a gravely incriminating fact, even a conclusively incriminating fact is not of itself a confession, e.g. an admission that the accused is the owner of and was in recent possession of the knife or revolver which caused a death with no explanation of any other man’s possession.”

We think the reference to a conclusively incriminating fact must be read in the light of the example given, which was omitted from the headnote. It should also be borne in mind that this passage follows and elaborates a passage in which the Board expressed the opinion that “no statement that contains self-exculpatory matter can amount to a confession”.

The Chief Justice said:

> “it is my view that a statement should be regarded as a confession only when it contains an admission of all the ingredients of the crime with which the accused is charged, so that an accused person could be properly convicted on his own plea had he in answer to the charge made the statement which is alleged to be a confession.”

With respect, we think that is too restrictive a definition. When taking a plea of guilty, a court requires to be satisfied that the accused person appreciates and admits all the ingredients of the alleged offence, because only in that way can the court be satisfied, at least where the accused person is unrepresented, that he is truly admitting the offence.

We think that to apply the same standard to confessions for the purposes of s. 27 and other sections of the Evidence Act would be to render those provisions of very little effect. It must be comparatively rarely that a confession is made spontaneously which contains every ingredient of the offence which is subsequently charged, or, indeed, of any offence. We think the true test is whether

the statement is such that in the absence of any explanation or qualification, and in the particular circumstances, it points clearly to the guilt of the maker. Thus such statements as “I killed him” or “I took the money”, unaccompanied by any exculpatory words, and uttered in relation to a person who has died of unnatural causes or to missing funds, as the case may be, are, in our view, indicative of guilt and therefore confessions.

We think some support is lent to this view by the case of *Bampamiyki s/o Buhile v. R.* (3). It was decided in that case that for the purpose of s. 25 of the Indian Evidence Act (which corresponds with s. 27 of the Tanzania Act) a confession to an offence is inadmissible even though it is a confession to an offence other than that charged, if it involves facts which are substantially in issue. Thus a confession to arson was held inadmissible against a person charged with murder, the two acts allegedly being part of one transaction. Clearly there was no admission there of all the ingredients of murder and one of two statements which it was sought to put in “I burned down the house of Bichamulumila” did not even contain all the ingredients of arson.

As regards the second proposition, we think the wording of s. 27 is so clear that it affords no scope for interpretation or interpolation. What the Chief Justice did, in effect, was to interpolate the words “acting in his capacity as such” after the words “police officer”. With respect, we do not think he was entitled to do so. We think that where the admissibility of a statement is challenged on the ground that it is excluded by s. 27, and it is held to amount to a confession, the simple test is-”Was or was not the person to whom the statement was made a police officer”? If the answer is “yes”, the statement must be excluded.

The Chief Justice pointed out that “some quite extraordinary results” would follow from a strict interpretation and we agree that this is so. We think, however, that any alternative would present great practical difficulties. The Chief Justice said that the section:

> “should not be extended to cover spontaneous statements made by accused persons in circumstances when the relationship between them and the persons to whom the statement is made is not that of a potential accused person and a policeman.”

A police officer is, however, “deemed to be on duty at all times” (Police Force Ordinance (Cap. 322), s. 27 (1)) and while the person making a confession may or may not know that he is speaking to a policeman, the policeman hearing a confession must always act in relation to it in his capacity as a policeman. No useful purpose would be served by pursuing these lines of reasoning because, as we have said, we do not think it is open to any court to interpret s. 27 otherwise than according to the plain meaning of the words.

We think, therefore, that the statement made by the appellant to the corporal was wrongly admitted in evidence. It remains to consider whether, had it been excluded, the trial court must inevitably have come to the same conclusion of guilt.

All that remains is the circumstantial evidence and the conduct of the appellant after the commission of the crime. It was at about noon that the appellant showed the body of his wife, who was alive but unconscious, to the corporal. There was no evidence to show at what time she was assaulted there was no evidence of anyone having heard a disturbance. There was no evidence to show whether or not the appellant had left his house during the morning. There was no evidence to show whether or not any other person or persons had visited the house during the morning. This lack of evidence leaves open the possibility that the deceased might have been assaulted by the appellant or by some other person.

At the time when he called the corporal, the appellant was wearing a khanga. This informality of dress might suggest that the appellant had been in his house for at least some little while. On the other hand, it might be interpreted as indicating at least that the appellant was not guilty of a premeditated crime.

A knife was found, apparently hidden, in the house and it was wet, but no trace of blood was found on a chemical analysis.

The appellant's own story, contained in an unsworn statement, and put forward for the first time at the trial, was that he had been for a stroll in the town. On his return, he knocked at his front door, received no reply and went in. In the sitting room, he changed into the khanga, He then heard his child crying and went into the bedroom, where he found his wife's body. The Chief Justice commented that it seemed odd that the appellant should have said he knocked at his own door. We do not think any great significance can be attached to this, because the more unusual it is, the less likely it seems that the appellant would have invented it if he was telling an untrue story. The Chief Justice also commented adversely on the appellant's statement that he changed his clothes in the sitting room before going into the bedroom. There was, however, no evidence as to his normal habits or where he kept his clothes.

A factor which weighed heavily with the Chief Justice was that the appellant, apart from asking the corporal to fetch the sergeant-major, remained silent up to the time of his trial. He volunteered no account of his movements, and made no suggestions that might have assisted the investigating officers. We agree that this is relevant but we do not think any great weight can be attached to it. It is difficult to say how anyone will react under extreme shock and once the first effect of shock had worn off, the appellant, whether guilty or innocent, may have been very frightened. Incidentally, there is one misdirection in the summing-up to the assessors, where the Chief Justice said:

> "When he was asked by the police to make a statement, his concern, it would appear, was as to the amount of money on him, the amount of money at his house, and the post office savings pass-books which were there and which he wished to secure."

With respect, we think it is clear from the statement itself that the reference to money and savings was made in answer to one of two questions put to the appellant by the police after he had completed his brief voluntary statement that he was reserving his explanation until his trial; they are not, therefore, indicative of his state of mind.

We would also remark in passing that the evidence as to the cause of death was most unsatisfactory and it is uncertain whether the deceased died from a stab wound in the stomach or a blow on the head by a blunt instrument, or even possibly by strangulation.

Apart from these matters, however, we are satisfied that the decision of the Chief Justice was based substantially on the alleged confession and that if it is once excluded, the circumstantial evidence and the behaviour of the appellant, while perhaps suspicious, were not such that a conviction could safely have been founded on them. Certainly we cannot say that if the alleged confession had been excluded, the court must necessarily have convicted.

In the circumstances, we have no alternative but to allow the appeal, which we do. The conviction of the appellant is quashed and the sentence of death set aside.

Law Ag V-P: I agree that the appellant's statement that he had killed amounted, in the circumstances of this case, to a confession and that this

confession was inadmissible having been made to a police officer. I would however have dismissed this appeal, as I am of the opinion that the remaining evidence, circumstantial as it is, points to the guilt of the appellant to the exclusion of any other reasonable hypothesis.

Appeal allowed.

For the appellant:
S Jadeja (instructed by *SJ Jadeja & Co*, Dar es Salaam)

For the respondent:
KRK Tampi (State Attorney)

Somani's v Shirinkhanu (No 2)
[1971] 1 EA 79 (CAM)

Division:	Court of Appeal at Mombasa
Date of judgment:	30 October 1970
Case Number:	10/1970 (180/70)
Before:	Spry Ag P, Law Ag V-P and Lutta JA
Sourced by:	LawAfrica

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[1] Appeal – Review – No jurisdiction to review completed judgment – Appellate Jurisdiction Act (*Cap.* 9), *s.* 3 (2)(*K.*).

[2] Appeal – Inherent Jurisdiction – No inherent jurisdiction in Court of Appeal.

Editor's Summary

The applicants asked the court to review its civil judgment reported in [1970] E.A. 580 on the ground that it was given per incuriam, the attention of the court not having been drawn to a statutory provision.

Held –

(i) no power to review its completed judgments was given to the court;

(ii) the court was a creature of statute and had only such jurisdiction as was conferred on it: it had no inherent jurisdiction.

Application dismissed.

Cases referred to judgment

(1) *In re Appa Rao* (1886), I.L.R. 10 Madras 73.

(2) *Lakhamshi Bros. Ltd. v. R. Raja & Sons*, [1966] E.A. 313.

30 October 1970. The following ex tempore judgments were given.

Judgment

Spry Ag P: The applicant asks this court to review its judgment given in a civil appeal, on the ground that that judgment was given per incuriam, the attention of the court not having been drawn to, and the court being in ignorance of, a statutory amendment to the law.

It has repeatedly been held by this court that we have no power of review. Mr. Gautama, for the applicant, asks us to reconsider the matter on two grounds: first, on the basis of s. 3 (2) of the Appellate Jurisdiction Act (Cap. 9) and, secondly, on a general proposition that every court from the highest to the lowest must have a right, and indeed a duty, to put right something which is manifestly wrong.

As regards s. 3 (2), I think this can only apply up to the point where an appeal is decided and determined. I do not consider that it confers on this court the power of review which the High Court enjoys by statute.

On the more general ground, this court is not court of unlimited jurisdiction. It is a creation of statute and enjoys only such jurisdiction as is conferred on it by statute. It has no inherent jurisdiction. Mr. Gautama, who has argued most persuasively and put forward every possible argument, has referred to various authorities, in particular to *In re Appa Rao* (1). As I understand that decision, the jurisdiction therein referred to exists only where, for some reason, such as failure to hear a party, proceedings are a nullity. That is not the case here.

Mr. Gautama has also referred to the slip rule. That rule exists to enable the court to correct a mistake so as to give effect to what was the intention of the court at the time when the mistake was made. It cannot apply here.

This is an unfortunate situation and in the particular circumstances I wish that we had the power to recall and review our judgment but I am satisfied that we have no such power. I would dismiss the application.

Law Ag V-P: I agree.

The only circumstances in which this court will alter the text of a judgment which it has pronounced is where it is necessary to do so to give effect to the intention of the court at the time when judgment was given. We are now asked to review our judgment and to alter it in such a way as to give effect to what was not the intention of the court at the time when judgment was given. Sir Charles Newbold has laid down in the clearest of terms in *Lakhamshi Bros. Ltd. v. R. Raja & Sons* (2) that this court has no such jurisdiction, which would in effect involve this court sitting in appeal on its own decision. To allow this application would be to open the doors to all and sundry to challenge the correctness of the decisions of this court on the basis of arguments thought of long after the judgment was delivered. There would be no finality to litigation. The cases cited by Mr. Gautama seem to me to illustrate the proposition that where a party has been deprived of the opportunity of being heard then the proceedings are to that extent a nullity and the omission will be rectified, a position which does not arise in this case, where the appeal was decided on the basis chosen by the parties who were not deprived of the opportunity of putting any matter they chose before the court. This court has always refused invitations to review its own decisions except so as to give effect to its intention at the time the judgment was written. To depart from this rule would in my opinion be to adopt a most dangerous course. The only exception I can envisage is where the applicant has been wrongly deprived of the opportunity of presenting his argument on any particular point, which might lead to the proceedings being held to be null and void, a consideration which is absent in this case. I would dismiss this application.

Lutta JA: I also agree.

Application dismissed.

For the applicants:
SC Gautama and *KM Pandya* (instructed by *Pandya & Talati*, Mombasa)

For the respondent:
M Satchu (instructed by *Atkinson Cleasby & Satchu*, Mombasa)

Kimothia v Bhamra Tyre Retreaders and another
[1971] 1 EA 81 (CAN)

Division: Court of Appeal at Nairobi

Date of judgment:	19 November 1970
Case Number:	21/1970 (182/70)
Before:	Law, Lutta and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Kenya – Harris, J

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[1] Damages – Personal Injuries – Quantum – Hand – Loss of three fingers of right hand – Award upheld.

[2] Damages – Personal Injuries – Quantum – Foreign awards only guides.

Editor's Summary

The appellant was awarded Shs. 20,000/- general damages for the loss of three fingers of his right hand. He was a workman earning Shs. 195/- a month He appealed against the award of damages.

Held –

(i) Awards of damages made by foreign courts are only a guide and the differing conditions of Kenya must be taken into account;

(ii) the award was not so manifestly low as to warrant interference.

No cases referred to in judgment

Appeal dismissed.

Judgment of the High Court, [1970] E.A. 408, upheld.

19 November 1970. The following ex tempore judgments were given.

Judgment

Law JA: The appellant, a workman in the employ of the respondents, suffered an unpleasant and painful accident at work when his right hand was caught in the rollers of a rubber-milling machine. As a result he has lost the index, middle and ring fingers, with consequently a substantial loss of function, of that hand, involving an undoubted substantial loss of earning power. He sued his employers for damages. The judge in the High Court found that the machine was dangerous and inadequately fenced, and awarded the appellant Shs. 20,000/- as general damages for the injury suffered by him. The appellant has appealed against this award, which Mr. Vohra, who appeared for him, has described as so low as to constitute a totally inadequate and erroneous estimate. Mr. Vohra has cited a number of English cases, in which higher damages were awarded for comparable injuries. In my view awards made by foreign courts, although helpful as a guide, do not necessarily represent the standards which should prevail in Kenya, where the conditions relevant to the assessment of damages, such as wages, rents and cost of living generally may be very different. In the cases relied in by Mr. Vohra, damages awarded for comparable injuries go from £2,750 to £6,000. We do not know the earnings of the plaintiffs in those cases, but assuming they were not less than £12 a week, these awards represent from 5 to 10 years' gross earnings. In the case now under consideration, the appellant has been awarded a sum representing 8 years' gross earnings at the time of the accident. Shs. 20,000/- is a considerable sum for a man in his position. It is certainly not so manifestly low, in my opinion, as to require interference by this court. I would dismiss this appeal.

Lutta JA: I agree.

Mustafa JA: I also agree, and would only add a few words. The appellant is appealing against the quantum of damages. To be successful the appellant has to show that the sum awarded is so manifestly low that the assessment must have proceeded on a wrong principle. This he has failed to do. Indeed in my view the amount awarded is not low, but is reasonable and adequate. I would dismiss the appeal.

Appeal dismissed.

For the appellant:
GS Vohra

For the respondents:
MZA Malik (instructed by *HP Makhecha & Co*, Nairobi)

Bikwatirizo v Railways Corporation
[1971] 1 EA 82 (CAK)

Division:	Court of Appeal at Kampala
Date of judgment:	27 October 1970
Case Number:	32/1970 (184/70)
Before:	Spry Ag P, Law Ag V-P and Mustafa JA
Sourced by:	LawAfrica
Appeal from:	High Court of Uganda – Russell, J

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[1] Negligence – Railway – Track subsidence – Whether railway negligent.

[2] Negligence – Res ipsa loquitur – Railway accident – Track subsidence – Extent of onus on railway.

[3] Costs – Poor person – Judgment in favour of – No costs awarded.

Editor's Summary

The appellant was injured when a train in which she was travelling was derailed as a result of subsidence of the track. She alleged that the track was not maintained in proper condition and relied on the doctrine of res ipsa loquitur to establish negligence. The respondent proved that there was a satisfactory system of inspection and maintenance, but did not call to give evidence the workman responsible for inspecting the particular section of track, nor did it explain this failure. The judge held that there was no reason to hold that he routine inspection had not been carried out and dismissed the claim. On appeal:

Held –

(i) Where res ipsa loquitur applies, the burden of proof on the defendant to disprove negligence is

not a provisional burden;

(ii) a defendant can avoid liability by showing that there was no negligence on his part, that the accident was due to circumstances not within his control, or that there was a more probable cause of the accident which did not connote negligence on his part (*Msuri Muhhiddin v. Nazzor bin Seif* (6) followed);

(iii) it was not enough to show that there was an adequate system; it had to be shown that it was in fact working;

(iv) the Corporation had failed to prove that the system was working (*Moore v. R. Fox & Sons* (4) followed);

(v) costs would not be awarded in favour of the appellant who appealed as a poor person.

Appeal allowed.

Judgment of the High Court, [1970] E.A. 134, overruled.

Cases referred to judgment

(1) *Britannia Hygienic Laundry Co. v. Thornycroft & Co*. (1925), 95 L.J.K.B. 237.

(2) *Langham v. Governors of Wellingborough School and Fryer* (1932), 101 L.J.K.B. 513.

(3) *Woods v. Duncan*, [1946] A.C. 401.

(4) *Moore v. R. Fox & Sons*, [1956] 1 Q.B. 596.

(5) *Walsh v. Holst & Co. Ltd*., [1958] 1 W.L.R. 800.

(6) *Msuri Muhhiddin v. Nazzor bin Seif El Kassaby*, [1960] E.A. 201.

27 October 1970. The following considered judgments were read.

Judgment

Spry Ag P: The appellant was injured when a train belonging to the respondent corporation was derailed on 19 October 1968. She filed a suit in the High Court against the corporation claiming damages for negligence.

At the beginning of the hearing, the trial judge held that, on a basis of res ipsa loquitur, the provisional burden of proof rested on the corporation. From that decision, there has been no appeal and I would say that, in my opinion, subject to one small qualification, it was clearly right. The application of the doctrine was very clearly set out by Scrutton, L.J., in *Britannia Hygienic Laundry Co. v. Thornycroft & Co*. (1) when he said ((1925) 95 L.J.K.B. 237):

> "The doctrine of res ipsa loquitur, as I understand it, is this: where you have a subject matter entirely under the control of one party and something happens while it is under the control of that party, which would not in the ordinary course of things happen without negligence you may presume negligence from the mere fact that it happens."

In the present case, as the judge pointed out, the train and the rails on which it ran and the ground on which the rails were laid were under the exclusive management and control of the corporation and "trains do not in the normal course of events suddenly leave the rails".

The only respect, and it is a minor one, in which I respectfully disgree with the judge, is that I do not regard the burden of proof on the defendant as a provisional one. Once it is accepted that res ipsa loquitur applies, there is a presumption of negligence which the defendant has to rebut and on the evidence as a whole he either succeeds or fails; there is no question of the onus shifting back to the plaintiff.

After hearing the evidence and the addresses, the judge held that he was fully satisfied that the corporation had exercised ordinary care, diligence and skill in the construction and maintenance of the section of the railway line on which the accident occurred and had discharged the provisional burden of proof. He dismissed the suit, with costs. It is from that decision that this appeal is brought.

The main argument on the appeal went to the meaning and effect of res ipsa loquitur and it will be convenient to deal with that before turning to the evidence.

Mr. Haque, for the appellant, relying on *Langham v. Governors of Wellingborough School and Fryer* (2), argued that there was a duty on the corporation to suggest a reasonably possible explanation of the accident which did not involve negligence and that in the present case no explanation at all had been given.

Mr. Khaminwa, for the corporation, relying on *Woods v. Duncan* (3) submitted that the corporation had shown that it was not guilty of negligence and that in those circumstances it was not called on to offer an explanation.

It seems to me that there is no conflict between these cases, nor indeed is it necessary to look to

English cases, as the law is fully set out in *Msuri Muhhiddin v. Nazzor bin Seif El Kassaby* (6) in which, after considering the English cases,

Sir Alistair Forbes, V.-P., said that he accepted the proposition that, in cases where res ipsa loquitur applies, defendants can avoid liability if they can show:

> "either that there was no negligence on their part which contributed to the accident; or that there was a probable cause of the accident which does not connote negligence on their part; or that the accident was due to circumstances not within their control."

It was stressed in that case, that where it has been held that the onus has shifted to the defendant and he is not able to prove that he was not negligent, he must be able to show that the accident may have happened for some reason other than his negligence and that that other reason is the more probable: it is not enough to discharge the onus to show an equal likelihood.

I turn now to the facts as disclosed by the evidence. I would begin by saying that an alternative allegation in the plaint of actual negligence, that is, of excessive speed, was not proved. Also, an allegation in the written statement of defence that the accident was due to unprecedented rainfall, amounting to what is known as an Act of God, was disproved by the corporation's own evidence. It was proved, by witnesses called by the corporation, that the direct cause of the accident was a subsidence of the track.

The corporation sought to show that proper care had been taken in laying the track and that there was a proper system of inspection and maintenance. The judge was satisfied on both these points and his judgment was not seriously attacked in this respect.

It was, however, not enough to show that the system of inspection and maintenance was adequate; it has also to be shown that it was in fact working at the relevant time. The system of inspection was briefly as follows. A permanent way inspector is responsible for each section of the track; he travels over it at least twice a month. Under him is a sub-permanent way inspector, who examines the track twice a week. Then there is a gang of eight or ten workmen under the direction of a senior ganger, who has a deputy known as a keyman; the former inspects the track once a day and the latter walks over it twice a day. These are the routine inspections, and additional inspections may be ordered if very heavy rain is anticipated. That appears to be a very thorough system of inspection and it is obvious from it that the corporation attaches great importance to visual inspection.

The corporation called two witnesses who had actually inspected the section of the track with which we are concerned. One was the assistant engineer, who had passed over it on 16 October, when it appeared to be in order. The other was the sub-permanent way inspector, who said that he had inspected the track two or three days before the accident. Neither the senior ganger nor the keyman was called, nor was any explanation offered for the failure to call them. There was thus no evidence to show that the track had been inspected on the 19 October, or indeed on the 17th or 18th.

Mr. Khaminwa informed us that reports are only sent to senior officers by the senior gangers and keymen when there is something adverse to report and he argued that since the sub-permanent way inspector had testified that he had received no adverse report, it must be presumed that there was nothing apparently wrong with the track. With respect, the fallacy in this argument is that if, for some reason, such as illness, the keyman had not walked over the track, no report would apparently have been sent in; at least, there was no evidence regarding any procedure to deal with such a situation.

The judge said in this connection "I have no reason to find that on the relevant day the standing orders as to routine inspections had not been carried out". With respect, that is a misdirection, since the onus was on the corporation to

prove that those orders had been carried out, and this the corporation had failed to do. Similarly, the judge went on to say "Mr. Haque for the plaintiff has asked me to find that the keyman failed to make his routine duty inspection of the line as he had not been called as a witness for the defence. I am not impressed by this argument and not prepared to speculate on his suggested dereliction of duty". Again, with respect, it appears to me that the judge has overlooked the fact that the onus of proof was on the corporation. A very similar situation arose in the English case of *Moore v. R. Fox & Sons* (4) when Evershed, M.R., after referring to the arrangements for inspection and maintenance of a certain machine and the fact that the persons primarily concerned therewith had not been called, said ([1956] 1 Q.B. 596, at p. 610):

> "In all the circumstances it is, in my judgment, the right inference to draw from the absence of the maintenance man and the foreman as witnesses that there had, in fact, been no proper care or maintenance of the machine . . . or, at least, that the defendants were unwilling to take the risk that these men, if called as witnesses, would have so admitted in cross-examination."

Those remarks seem to me entirely appropriate to the present case.

The position might have been different if a reasonable explanation had been given for not calling the keyman, as for example if he had died before the hearing date (*Walsh v. Holst & Co. Ltd*. (5)), because then no inference would have arisen from the failure to call him and the only question would have been whether the available evidence was sufficient.

In short, the position is that although the corporation obviously attached great importance to frequent inspection of the track, there is no evidence to show whether or not it was inspected during the two or three days prior to the accident. Consequently, we do not know what inspection revealed or might have revealed: all that we know is that after the accident, the line was found to have subsided about three inches, a subsidence of one inch being enough to cause a derailment. The evidence shows that there had been a subsidence at this point of the line on a previous occasion. There had been rain, and although there was no standing water on the track, the surrounding ground was wet and muddy. It may be that a proper inspection would have revealed that it was unsafe for the train to pass. In these circumstances, it seems clear to me that the corporation has failed to prove that there was no negligence by any of its employees.

The corporation could still have succeeded if it could have put forward an alternative explanation of the accident, provided such explanation was even slightly more probable than that it was due to negligence. In fact, however, no other explanation was forthcoming.

In my opinion, the corporation failed to discharge the onus of proof and therefore the appeal must succeed.

The judge, in case of appeal, assessed the damages at Shs. 20,000/- and no appeal or cross-appeal was lodged against that assessment. At the end of his address, Mr. Khaminwa sought leave to address us on the quantum of damages but, as notice had been given to the advocate for the appellant, we felt that it was too late to raise the matter and we refused leave.

I would accordingly allow the appeal, set aside the judgment and decree of the High Court and substitute an order awarding the appellant Shs. 20,000/- as damages.

Mr. Haque asked, in the event of his succeeding, for interest on the decretal amount. This was not asked in the plaint, but the matter is one in the discretion of the court. I would allow interest at 6 per cent per annum from the date of the judgment of the High Court.

As regards costs, the appellant was given leave to appeal as a poor person. In such cases, so far as I know (although I am not aware of any reported East African case), it is not usual to award profit costs to or against the person so appealing, although there is power to do so in special circumstances. I do not think there are any special circumstances here, and I would therefore make no order as to the costs of the appeal, except for any unpaid fees of court, which should be paid by the corporation. The appellant did not sue as a poor person and the same considerations do not therefore apply to the costs in the High Court, which I would award to the appellant.

Mustafa JA: The appellant was travelling in a train belonging to the respondent corporation and was injured when the train was derailed. She unsuccessfully sued the corporation for damages for negligence in the High Court of Uganda.

The doctrine of res ipsa loquitur was held to apply and the corporation had to show it was not negligent. It called evidence to establish that the track in question was properly laid and that the system of supervision and maintenance was proper and adequate. However, it failed to show that the system of maintenance and supervision was in fact being carried out at the material time. According to the system of inspection the procedure is as follows. A permanent way inspector inspects the track once or twice a month, his subordinate, a sub-permanent way inspector inspects it at least twice a week and below him a senior ganger or his deputy a keyman inspects the track about twice a day. No senior ganger or keyman was called by the corporation to testify as to whether, on the material day, an inspection of the track was made. No reason was given for the failure to call such a witness. There was evidence of other officials inspecting the track, but such inspection related to a period of time 3 or more days before the derailment. It is common ground the derailment was due to a subsidence of the track. Accordingly the corporation had failed to establish that the track was inspected on the material day and that no defect could have been detected by the exercise of ordinary skill, diligence and care.

In dealing with the failure of the corporation to call the keyman as a witness the trial judge in his judgment says “I have no reason to find that on the relevant day the standing orders as to routine inspections had not been carried out . . . Mr. Haque for the plaintiff has asked me to find that the keyman failed to make his routine duty inspection of the line as he had not been called as a witness for the defence. I am not impressed by the argument and am not prepared to speculate on his suggested dereliction of duty”. With respect I think the judge misdirected himself here. It was for the corporation to discharge the onus of showing that the procedure in respect of inspection and supervision laid down was in fact carried out. The Corporation failed to do so. No other reasons had been advanced for the derailment. In these circumstances the corporation had failed to show that there was no negligence on its part. The appellant was, in my view, entitled to damages from the corporation for her injuries.

I respectfully agree with the judgment of the Acting President and with his conclusion that the appeal must be allowed. I also concur in the order proposed by him.

Law Ag V-P: I agree with the judgment prepared by the Acting President to which I cannot usefully add anything, and with the order proposed.

Appeal allowed.

For the appellant:
Z Haque (instructed by *Haque & Gopal*, Kampala)

For the respondent:
JM Khaminwa (Principal Assistant Legal Secretary)

akidi v Lalobo
[1971] 1 EA 87 (CAK)

Division:	Court of Appeal at Kampala
Date of judgment:	27 October 1970
Case Number:	36/1970 (185/70)
Before:	Spry Ag P, Law Ag V-P and Mustafa JA
Sourced by:	LawAfrica

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[1] Defamation – Publication – Words attributed to person by newspaper – No presumption that words actually spoken by that person.

[2] Costs – Unpleaded ground – No costs awarded in respect of hearing in lower court.

Editor's Summary

The respondent sued the appellant for libel in respect of statements attributed to him in a newspaper article. The article was in the form of question and answer, from which it appeared that the answers were the appellant's. The defence was a bare denial, no issues were framed at the hearing and no evidence was led to show that the appellant had ever spoken the words attributed to him. The High Court found for the respondent and the appellant appealed.

Held –

(i) there is no presumption that words attributed to a person by a newspaper were actually spoken by him;

(ii) it had not been proved that the words complained of had been spoken by the appellant;

(iii) costs of the High Court action would not be awarded as the successful ground of appeal had not been specifically pleaded;

Appeal allowed.

No cases referred to in judgment

27 October 1970. The following considered judgments were read.

Judgment

Spry Ag P: This is an appeal from a judgment and decree of the High Court awarding the respondent Shs. 8,000/- as damages for libel.

It appears that the appellant was asked to receive reporters from a newspaper known as "The People". He agreed, and they put questions to him. Subsequently, an article appeared which it is now conceded was defamatory of the respondent.

The material parts of the plaint, for the purposes of this appeal, are paras. 3 and 4. Paragraph 3, as amended with leave, reads as follows:

> "3. On or about the 28th day of May, 1966 the defendant falsely and maliciously caused to be

published of and concerning the plaintiff under title ‘Face to Face’ in paper known as ‘The People’ issue No. 114 P. 2 false statements of and concerning the plaintiff in his personal capacity and of him in the way of his occupation, employment and office and his conduct therewith. A copy of an extract of the article is hereon appended and marked ‘A’.”

Paragraph 4 sets out the innuendo alleged to have been conveyed by the words complained of.

The defence was extraordinarily brief. In substance, it consists of two paragraphs. These read as follows:

> "2. Paragraphs 3 and 4 of the plaint are denied.
>
> 3. The defendant denies that the words in the annexure to the plaint are capable of any of the alleged meanings or of any libellous or actionable meaning.
>
> They are a fair and bona fide comment on a matter of public interest, and, were published without malice."

It appears to me that para. 2 of the defence clearly fails to comply with O. 6, r. 7 of the Civil Procedure Rules, which, so far as is relevant, reads as follows:

> "7. It shall not be sufficient for a defendant in his written statement to deny generally the grounds alleged by the statement of claim . . . but each party must deal specifically with each allegation of fact of which he does not admit the truth, except damages."

It offends also, in my opinion, against r. 9 of O. 6, which provides that:

> "9. When a party in any pleading denies an allegation of fact in the previous pleading of the opposite party, he must not do so evasively, but answer the point of substance . . ."

In the present proceedings, it was not clear, until the appellant was called as a witness, what the real defence was. I think the respondent might well have taken objection to the defence, when the appellant would have had to seek leave to amend. However, this was not done.

Another irregularity is that no issues were framed, as required by O. 13, r. 1 (5). Had this been done, this appeal might never have been necessary. As it was, the most important issue, from the point of view of the defence, that is, whether the words complained of were ever spoken by the appellant, seems to have been overlooked by the advocate for the respondent, who does not appear to have adverted to it in his address, and, indeed, by the Chief Justice, who made no express finding on it.

I do not, however, think that these irregularities are fatal to the appellant's case. The appellant and the respondent must each take a measure of blame for the failure to frame issues, and the respondent, not having raised any objection to the form of the defence, cannot do so now and, indeed, Mr. Ssebunya made no attempt to do so.

At the beginning of the hearing in the High Court, the appellant raised a preliminary objection, submitting that the plaint failed to disclose a cause of action. The basis of this submission was that if the appellant had been guilty of defamation, the case had been one of slander and not of libel, as pleaded, and that as no special damage had been pleaded, no suit lay for slander.

It appears that this question was tried as a preliminary issue of law and it was decided by Russell, J., in favour of the respondent. He held in effect that if the appellant knew that the object of the reporters in questioning him was to obtain material for the newspaper, he must be held responsible for the publication and therefore that the plaint *prima facie* disclosed a libel.

One of the grounds of appeal to us was directed against this decision but it appeared to us that it amounted to a judgment giving rise to a preliminary decree and was consequently not now appealable, and Mr. Binaisa, Q.C., who appeared for the appellant, did not press it. It will be necessary, however, to touch on the subject. I do not propose to attempt to lay down any general principles, but merely to deal with the facts of the present case.

The article complained of took the form of questions and answers and in my opinion it was intended to give the impression and would give the impression to an ordinary, reasonable, reader, that the questions were those of the reporter and the answers those of the appellant, and that the answers were in the appellant's own words. To render the appellant guilty of libel, it was, in my opinion, necessary for the respondent to prove that the answers represented substantially what the appellant had said and that he had, expressly or impliedly, authorised their publication. I would qualify this by saying that, in my opinion, authorisation should very readily be implied when a person has agreed to give an interview to a press reporter and that once that fact is established, the onus would shift to the person who alleged that he had not authorised publication.

The extraordinary feature of the present case is that no attempt was made by the respondent to prove either that the appellant had used the words attributed to him or that he had authorised publication. The appellant himself gave evidence, and his evidence is, in my opinion, enough to show that he authorised, or must be deemed to have authorised, publication of what he said, but he expressly denied having given the answers which appeared in the newspaper.

In the absence of any evidence that the appellant uttered the words complained of, it seems to me that no action against him for defamation could succeed. So far as I am aware, there is no presumption that words attributed to a person in a newspaper were spoken by him. The onus of proving that the words were spoken was on the respondent and he failed to discharge it. In my opinion, this appeal must succeed.

I would allow the appeal, set aside the judgment and decree of the High Court and substitute an order dismissing the suit. I would give the appellant the costs of the appeal but I would make no order as to costs in the High Court, as the ground of appeal which succeeds was not specifically pleaded in the written statement of defence.

As the other members of the court agree, it is so ordered.

Law Ag V-P: This is a most unusual case. The appellant gave an interview to two reporters of a newspaper. A report purporting to represent what he had said was published in the newspaper. It was undoubtedly defamatory of the respondent. The respondent sued the appellant, alleging that the appellant had falsely and maliciously caused the report to be published in the paper. The defence to this was a general denial. There was no specific denial that the report accurately represented what the appellant had said; the only specific denial was that the words in the report were capable of any libellous meaning, coupled with a contention that they amounted to fair comment on a matter of public interest. On the face of it, the appellant was not denying the accuracy of the report; he was not admitting publication; and he was pleading that the report was not defamatory and was a matter of fair comment. At the trial however the appellant's main defence as disclosed by his evidence was that the report was inaccurate; that he had never spoken the defamatory words ascribed to him; and that these must have been inserted and attributed to him by the editor for reasons of his own. This line of defence met with no objection by the respondent's advocate, although not pleaded, nor did he seek an adjournment to enable him to prove that the words published in the newspaper were exactly or substantially the same words as those spoken by the appellant, a matter which he may well have thought from the defence would not be contested. It was I think sufficiently proved that the appellant knew that what he said would form the substance of a newspaper report, and that he must be taken to have approved the publication of an accurate report of what he said. But there is not a shred of evidence to show that he was accurately reported, or that he approved the text of what was published, for instance by being shown a proof

thereof before publication. For a person to be liable for a published report of an interview, it must be shown that he supplied or approved the text, or at least be proved that the sense and substance of the report are the same as the words spoken by him at the interview. That proof is totally lacking in this case. No doubt the respondent was to some extent misled by the evasive nature of the defence into thinking that the accuracy of the report was not challenged, but the appellant was allowed, without protest, to make this one of the main issues at the trial. The vital question whether the words published were in fact substantially the same as those spoken by the appellant received no consideration in the judgment. It seems to have been assumed by the Chief Justice that they were. The only direct evidence in the suit, which was uncontradicted, was that of the appellant to the contrary effect. It would in my opinion be a highly dangerous proposition to hold that there is a presumption that a newspaper report of what a person is alleged to have said represents what was in fact said by him.

For these reasons I agree with the Acting President that this appeal must be allowed, and I concur in the order proposed.

This appeal underlines the desirability for compliance, in Uganda, with O. 13, r. 1 (5) of the Civil Procedure Rules. Had issues been framed on the pleadings, they would not have included an issue as to whether the words published were exactly or substantially the same as the words spoken by the appellant to the reporters, as this was not made a specific ground of defence, and the appellant would not have been able to raise this line of defence without amending his pleading, and without an adjournment being allowed to enable the respondent to meet this new defence of which he had no notice. As it happens, this new defence became accepted as an issue by the conduct of the parties at the trial, and has resulted in the appeal being allowed.

Mustafa JA: I have had the advantage of reading in draft the judgments of the Acting President and the Acting Vice-President and I agree the appeal must be allowed. I have nothing useful to add. I concur in the order proposed by the Acting President.

Appeal allowed.

For the appellant:
GL Binaisa QC and *D Mulira* (instructed by *Binaisa & Co*, Kampala)

For the respondent:
EK Sebunya (instructed by *Sebunya & Co*, Kampala)

Obongo and another v Municipal Council of Kisumu
[1971] 1 EA 91 (CAN)

Division:	Court of Appeal at Nairobi
Date of judgment:	27 November 1970
Case Number:	37/1970 (186/70)
Before:	Spry V-P, Law and Mustafa JJA
Sourced by:	LawAfrica

[1] Landlord and tenant – Monthly tenancy – Whether specific provision for termination required to create monthly tenancy.

[2] Landlord and tenant – Damages – Monthly tenancy – Not to be valued as a lease.

[3] Damages – Appeal – When appeal court will interfere on quantum.

[4] Damages – Exemplary – When awarded – Principles.

[5] Judicial Precedent – Stare decisis – Whether House of Lords case changing law to be followed – Whether local law developed without faulty reasoning or misconceptions.

Editor's Summary

The appellants were awarded special, general and exemplary damages against the respondent in respect of the forcible eviction of the appellants from their tenancy of an eating house. The tenancy provided for monthly payment of rent, but no provision for termination by notice. The district registrar to whom the question of damages was referred found that the tenancy was a monthly one, and in addition to special damages he awarded damages of Shs. 100,000/- for the act itself and for the loss of the tenancy. On the application for judgment on the award the High Court reduced the damages on the grounds firstly that in respect of a monthly tenancy the loss of it could not give rise to damages other than loss of profits and secondly that the award of exemplary damages was excessive and should be reduced to Shs. 2,000/-.

On appeal the appellants contended that the tenancy could not be terminated by notice, that damages should have been awarded for the loss of the tenancy, and that the exemplary damages were inadequate.

Although it had been conceded in the court below that exemplary damages could be awarded the court raised the question of whether *Rookes v. Barnard* (5) should be followed, and it was shown that the decision had not been followed in Australia.

Held –

(i) the tenancy was a monthly tenancy;

(ii) the normal method of valuing a lease by taking the difference between the rental value and the contractual rent is inapplicable to a monthly tenancy;

(iii) the award of exemplary damages by the judge would not be interfered with;

(iv) as *Rookes v. Barnard* (5) changed the law, it should be considered whether there was an established body of local law inconsistent with that case and not developed by processes of faulty reasoning or founded on misconceptions (*Australian Consolidated Press Ltd. v. Uren* (6) followed);

(v) on consideration of the local decisions, that there was no decision inconsistent with *Rookes v. Barnard* (5);

(vi) that the law concerning exemplary damages in tort is authoritatively set out in *Rookes v. Barnard* (5).

Appeal dismissed.

Cases referred to judgment

(1) *Lavender v. Betts*, [1942] 2 All E.R. 72.

(2) *Kishen Singh v. Makima Masimba* (1951), 18 E.A.C.A. 12.

(3) *Davies* (*W.O.S.*) *v. Mohanlal K. Shah*, [1957] E.A. 352.

(4) *Tanganyika Transport Co. Ltd. v. Nooray*, [1961] E.A. 55.

(5) *Rookes v. Barnard and others*, [1964] A.C. 1129.

(6) *Australian Consolidated Press Ltd. v. Uren*, [1967] 3 All E.R. 523.

(7) *Mafo v. Adams*, [1969] 3 All E.R. 1404.

(8) *Haria Industries v. P. J. Products Ltd.*, [1970] E.A. 367.

27 November 1970. The following considered judgments were read.

Judgment

Spry V-P: The first appellant occupied an eating house at the Kisumu municipal market as tenant of the municipal council. There was a written agreement between them which provided *inter alia* for the tenant to pay rent of Shs. 400/- monthly in advance, for repairs and redecoration, for the tenant not to assign, sub-let or part with possession of the premises and for the council to have the power to re-enter on breach of any condition: the agreement did not specify any term or provide for determination by notice. The first appellant took the second appellant into partnership and informed the council that he had done so. The town clerk then wrote to the first appellant informing him that he was in breach of his agreement, that the agreement had on that account been terminated and requiring him to vacate the premises within one week. After some correspondence and a short extension of time, municipal askaris entered on the premises, evicted the appellants and seized their furniture, equipment and stocks. The appellant filed a suit, claiming restitution and also damages, special, general and exemplary.

After certain interlocutory proceedings, a consent judgment was entered in the following terms:

> "By consent.
>
> Judgment for plaintiff as prayed with interest and costs. Damages to be assessed by the district registrar. The goods which are found by the Registrar to be in good condition to be returned by the defendant to the plaintiff and accepted by the plaintiff. The value of those goods which are not found to be in good condition to be assessed by registrar and paid by defendant to plaintiff as special damages. Loss of profits from the business and from the Rotomat Machines suffered by plaintiff to be assessed by the registrar and paid by the defendant to the plaintiff as damages. Compensation for loss of tenancy to be assessed by registrar and paid by defendant to plaintiff as damages."

The words "as prayed" were clearly inserted per incuriam, as restitution was not ordered. It is not clear what was intended to be covered by the first reference to damages.

The district registrar heard evidence. He made a finding that the tenancy was a monthly one and therefore that damages could not be awarded for loss of profits for any period longer than a month, since the appellants were always liable to have the tenancy determined by notice. He spoke of the "high handed action of the council" and of the fact that no reason was given for it. He made an award of damages as follows:

> For loss and deterioration of articles seized and held by the

Council (agreed figure) ..... Shs. 5,000/-

For loss of profits from running the business	4,500/-
For loss of profits from the Rotomat machines	700/-
For the act itself and for loss of the tenancy	100,000/-

The appellants applied to the High Court for judgment to be entered in accordance with this award, when Mr. Deverell, who represented the council at that stage and before us, asked the court to vary the amount of damages. No objection was taken; indeed the advocate for the appellants expressly agreed that the court had power to do so. No objection was taken to the first three items and the argument turned entirely on the award of Shs. 100,000/- for "the act itself" and the loss of tenancy. The judge held that the district registrar had erred in treating these two items as one. He divided them and held, first, that as the tenancy was only a monthly one, the loss of it could not give rise to damages other than loss of profits, and, secondly, that the district registrar appeared to have regarded "the act itself" as trespass and intended his award to be punitive but as such it was excessive and he assessed the appropriate award of exemplary damages for breach of the implied undertaking for quiet enjoyment, amounting to trespass, at Shs. 2,000/-. He therefore substituted an award of Shs. 12,200/- for the sum of Shs. 110,200/- assessed by the district registrar and entered judgment accordingly.

Mr. Gautama, who appeared for the appellants, submitted that as the agreement between the Council and the first appellant provided for determination only for certain reasons, it could not, in the absence of those reasons, be terminated by notice. He did not press this argument and, with respect, I think it is without merit. I have no doubt that the tenancy was a monthly one, subject to termination by notice given in accordance with s. 106 of the Indian Transfer of Property Act.

Mr. Gautama also asked us to infer, from the terms of the consent judgment, an agreement that the appellants would waive their claim to restitution in return for damages for loss of profits up to the date of judgment. With respect, I can see nothing to justify such an inference and it is negatived by the submissions of both parties in the subsequent proceedings.

The two serious issues raised by the appeal are, first, whether any damages should have been awarded for the loss of the tenancy and, secondly, whether the exemplary damages were so inadequate as to call for interference.

On the first of these issues, the judge held that the normal method of valuing a lease, based on the difference between the rental value and the contractual rent, is inappropriate to a monthly tenancy. I respectfully agree. He went on to say that there had been no claim for expenses in setting up the business elsewhere and that it appeared to him that the loss of the term had occasioned no damage other than the loss of profits, for which damages had been awarded. Mr. Gautama attacked this finding, arguing that it was part of the consent judgment that loss of profits and loss of tenancy would be assessed separately but, as Mr. Deverell submitted, there was nothing to prevent a nil assessment under any particular head. In my opinion, the judge directed himself correctly and I would reject this ground of appeal.

It was conceded by Mr. Deverell in the High Court that the judge had power to award exemplary damages if, as in the present case, a breach of the implied agreement for quiet enjoyment amounted to the tort of trespass. The judge relied on the English case of *Lavender v. Betts* (1); the decision of this court in *Kishen Singh v. Makima Masimba* (2) is also relevant. In this court, Mr. Deverell admitted that, in view of his concession in the High Court, the question whether exemplary damages could properly be awarded was not in issue. He had occasion, however, in dealing with the quantum of damages, to refer to the English case of *Rookes v. Barnard* (5) and observed in passing that if the decision

in that case is to be followed in Kenya, it is doubtful if exemplary damages ought to have been awarded. I think this raises a question we cannot ignore.

The decision in *Rookes v. Barnard* (5), so far as it relates to exemplary damages, is of outstanding importance in English law both because it defines the circumstances in which such damages may be awarded, overruling certain earlier decisions, and because it indicates the correct approach to the assessment of such damages. It was a decision of the House of Lords and the opinion of Lord Devlin, who dealt with this aspect of the case, was endorsed by all the other members of the House. It is a decision, therefore, which must command the highest respect in any country which has adopted the English law of tort.

Mr. Deverell very properly drew out attention to the fact that the decision has not been followed in Australia. The question arose in relation to the law of libel and went to the Judicial Committee in the case of *Australian Consolidated Press Ltd. v. Uren* (6). In dismissing the appeal, the Board held that the law of Australia on the subject had been well established before *Rookes v. Barnard* (5) was decided, that it had not developed by processes of faulty reasoning nor had it been founded on misconceptions, and therefore the High Court of Australia was right to follow the established law and not seek to change it to accord with the latest English decision.

I think we should apply two tests: first, the test used in *Australian Consolidated Press Ltd. v. Uren* (6), that is, whether there is an established body of local law with which the application of *Rookes v. Barnard* (5) would be inconsistent and, secondly, whether there is anything in the circumstances of East Africa and its peoples which makes the application of that decision undesirable.

It will be convenient to begin by summarising very briefly the effect of *Rookes v. Barnard* (5). In the first place, it was held that exemplary damages for tort may only be awarded in two classes of case (apart from any case where it is authorized by statute): these are, first, where there is oppressive, arbitrary or unconstitutional action by the servants of the government and, secondly, where the defendant's conduct was calculated to procure him some benefit, not necessarily financial, at the expense of the plaintiff. As regards the actual award, the plaintiff must have suffered as a result of the punishable behaviour; the punishment imposed must not exceed what would be likely to have been imposed in criminal proceedings if the conduct were criminal; and the means of the parties and everything which aggravates or mitigates the defendant's conduct is to be taken into account. It will be seen that the House took the firm view that exemplary damages are penal, not consolatory as had sometimes been suggested.

At least so far as reported cases are concerned, there seem to have been very few awards of exemplary (as distinguished from aggravated) damages in East Africa. The nearest case to that now before us is *Kishen Singh v. Makima Masimba* (2). In that case, possession of a house had been obtained by a trick. The trial court awarded exemplary damages. On appeal to this court, Sir Barclay Nihill, with whom the other members of the court concurred, considered whether the case fell "within the range of cases where a court or jury are entitled to award heavy exemplary damages because of the particularly high-handed, insolent, vindictive or malicious conduct of those who committed the tort (see Halsbury, Vol. X, p. 87)." He said "Had the learned judge been able to find a trespass ab initio I would feel no difficulty on the question of damages". In dismissing the appeal, the court was greatly influenced by the fact that the respondent was trying to evade the law relating to rent restriction in order to gain financially. If the remarks which were clearly obiter are ignored, there is nothing in the decision itself which is incompatible with the view of the law expressed in *Rookes v. Barnard* (5): the claim for damages might apparently have been founded in deceit (see *Mafo v. Adams* (7)) and the appellants' motive was financial gain at the expense of the respondent.

The question of exemplary damages has been touched on in two cases of libel. In *Davies* (*W.O.S.*) *v. Mohanlal K. Shah* (3), this court corrected a misdirection by the trial court, pointing out that exemplary damages are given without reference to any proved actual loss suffered by a plaintiff. The court went on to enhance the award of damages but it appears to have done so on a compensatory or consolatory, not an exemplary, basis. In *Tanganyika Transport Co. Ltd. v. Nooray* (4), the trial court found actual malice and awarded substantial damages. On appeal to this court, Sir Alastair Forbes, V.-P., said "I am not prepared to assume that the learned judge intended any part of the damages as vindictive damages, but even if he did, I do not think he was acting on a wrong principle . . .". This is, of course, obiter dictum and in any event aggravated, as opposed to exemplary, damages, could certainly have been given since the award was of a round figure for general damages.

Finally, there is a recent decision in a passing-off action. In *Haria Industries v. P. J. Products Ltd.* (8) Sir Charles Newbold, P., said ([1970] E.A. 367), in an ex tempore judgment:

> "in my view . . . the action of the defendant was deliberate and he sought to make a profit out of his wrong and that therefore this is one of the very few cases in which an amount of damages additional to the purely compensatory can be given . . .".

It would seem that the President had *Rookes v. Barnard* (5) in mind.

If I am right in thinking that these are the only cases in which exemplary damages for tort have been considered, it would seem that there is no decision, but only certain remarks obiter dictum, that can be said to be inconsistent with the opinions expressed in *Rookes v. Barnard*. In my opinion, it cannot be said that there is an established body of law in Kenya, or in East Africa, which precludes our following those opinions.

As regards the other test, I do not think there is anything in the circumstances of Kenya or the needs of its peoples that affects the issue. In general, I think it desirable that the extent to which civil courts exercise penal powers without the safeguards of the criminal law and its procedure should be circumscribed and I would add, to avoid any misunderstanding, that the restriction on the power to award exemplary damages does not affect the power of a court when making an award of general damages to take into account the conduct of the defendant as an aggravating factor.

I am therefore of the opinion that this court should regard *Rookes v. Barnard* as authoritatively setting out the law of England as to exemplary damages in tort, which law was applied in Kenya by the Judicature Act 1967.

Mr. Deverell questioned whether the acts of the council should be regarded as acts of "servants of the government", so as to make the principles of *Rookes v. Barnard* applicable. I would answer that question in the affirmative. I think the servants of a local authority are just as much the servants of the people as are those of the central government, even though they serve only the needs of a particular area. Their duty of service is the same and oppression by the one is just as wrong as oppression by the other. I think that is implicit in Lord Devlin's opinion but even if it were not, I would think it proper in the circumstances of East Africa, where there is sometimes a considerable overlap of functions and where from time to time powers and duties are passed to or taken back from local authorities by the central governments. I would make no attempt to define what is meant by "the government" in the East African context: it may fall to be decided later whether all or any of the corporations and institutions of the East African Community, any parastatal organization or, in the case of a one-party state, the party and its organs, are part of the government

for this purpose. For the purpose of this appeal, it is unnecessary to go further than to say that in my opinion, in deciding whether exemplary damages may be awarded, local authorities should be regarded as part of the government.

It might also be argued that aggravated damages would have been more appropriate than exemplary. The distinction is not always easy to see and is to some extent an unreal one. It is well established that when damages are at large and a court is making a general award, it may take into account factors such as malice or arrogance on the part of the defendant and this is regarded as increasing the injury suffered by the plaintiff, as, for example, by causing him humiliation or distress. Damages enhanced on account of such aggravation are regarded as still being essentially compensatory in nature. On the other hand, exemplary damages are completely outside the field of compensation and, although the benefit of them goes to the person who was wronged, their object is entirely punitive. In the present case, it is not clear how far damages at large were contemplated either in the consent judgment or in the proceedings that followed. Certainly the judge made no general award, possibly because he considered that the consent judgment precluded it. Aggravated damages were, therefore, inappropriate. On the other hand, I am satisfied that the intention was that the damages should be punitive and that the judge was entitled in law to award exemplary damages.

I have thought it proper to deal with these matters at some length, although, as I have said, the question whether exemplary damages could properly be awarded was not an issue in the appeal, both because of their general importance and because I propose to follow the principles of *Rookes v. Barnard* in relation to the quantum of damages, and it might have created uncertainty if I had relied on that decision as regards quantum but ignored the more general question of its application.

I turn now to the quantum of the award. It is impossible to say how much of the award of Shs. 100,000/- made by the district registrar for “the act itself” and loss of tenancy was intended to be punitive but reading the award as a whole, I think that most, if not all, of that sum was so intended. If that is so, it was, in my opinion, manifestly excessive. I am in complete agreement with the district registrar and the judge in deprecating the high-handed behaviour of the council but in mitigation it must be remembered that they believed they were acting within their legal rights. It must be borne in mind also that although there is a reference to askaris armed with rungus, it is not alleged that any violence was used. Again, there is nothing on the record to show the reason why the council objected to the first appellant taking the second appellant into partnership, so that we cannot say whether their motive was a proper or an improper one. In these circumstances, it would be wrong to impose an extravagant punishment.

Assessing exemplary damages is always a difficult task and here the judge faced the difficulty that he had no East African awards that he could use for comparative purposes. I might myself, in his position, have made a slightly higher award but I am not prepared to say that he was wrong. It is not for this court to interfere unless it is satisfied that the award by the trial judge was based on some wrong principle or is so manifestly incorrect that a wrong principle may be inferred. I am not so satisfied and I would dismiss the appeal, with costs. As the other members of the court agree, it is so ordered.

Law JA: I have read in draft the judgment prepared by the Vice-President. I agree with it and concur in the order proposed. I would only add a few words in relation to the case of *Rookes v. Barnard* (5), which I agree should be regarded as representing the law of Kenya in respect of the award of exemplary damages in actions of tort. The House of Lords’ decision is to the effect that exemplary

damages are appropriate in two classes of case: oppressive, arbitrary and unconstitutional action by the servants of government, and conduct by a defendant calculated to make a profit for himself which may well exceed the compensation payable to the plaintiff, and these classes should not be extended. This raises the question whether the expression "government" should be read as meaning the central government only, or whether it should be interpreted as including a local government such as a municipal council. I can see no reason for thinking that in referring to "government", Lord Devlin had in mind solely the organs of the central government. On the contrary, Lord Devlin said that he would not extend this category to oppressive action by private corporations or individuals. A municipal council is a public body vested by law with extensive powers affecting persons living within its area, and employs officials and askaris to enforce those powers. It levies taxes such as rates. It has, within specified limits, the power to legislate. It is in the ordinary sense of the word a government, in relation to those persons living within its area. I am accordingly of the view that the award of exemplary damages was justified in this case. As to which award was the more appropriate, the Shs. 100,000/- awarded by the district registrar, or the figure of Shs. 2,000/- substituted by Bennett, J., I prefer the figure arrived at by the judge. The public purse, whether central or municipal, is not bottomless. No malice or improper motive was established on the part of the respondent Council. As Lord Devlin pointed out, although a case may fall within the two categories for which exemplary damages may be awarded, it does not necessarily follow that they must be awarded. They should only be awarded if the sum given as compensation is insufficient to punish the defendant for his conduct. That was the approach adopted by the judge in this case, and in my opinion it is the correct approach. Exemplary damages should not be used to enrich the plaintiff, but to punish the defendant and deter him from repeating his conduct. In my view the award of Shs. 2,000/- made by the judge was a reasonable and proper assessment of the appropriate exemplary damages in the circumstances of this case. For these reasons I agree that the appeal should be dismissed.

Mustafa JA: I have read in draft the judgment prepared by the Vice-President. I am in entire agreement with his reasoning and conclusion and have nothing to add. I agree that the appeal must be dismissed with costs.

Appeal dismissed.

For the appellants:
SC Gautama (instructed by *RK Sood*, Kisumu)

For the respondent:
WS Deverell (instructed by *Kaplan & Stratton*, Nairobi)

Upar v Uganda
[1971] 1 EA 98 (CAK)

Division:	Court of Appeal at Kampala
Date of judgment:	2 December 1970
Case Number:	155/1970 (1/71)
Before:	Duffus P, Lutta and Mustafa JJA
Sourced by:	LawAfrica

[1] Criminal Practice and Procedure – Summing up – Notes of summing up to assessors must appear on record.

[2] Criminal Law – Rape – Lack of consent always essential element of rape.

Editor's Summary

The appellant was tried for rape before a judge and assessors. In his statements to the police he made consent an issue, but he did not pursue this in his unsworn statement at the trial. The judge made no notes of his summing up to the assessors and did not deal specifically with the issue of consent.

The appellant appealed.

Held –

(i) notes of the summing up to assessors should be made by the judge in all cases however simple;

(ii) lack of consent always remains an essential element of the crime of rape and should have been specifically dealt with. No failure of justice had occurred as the evidence proved lack of consent. Appeal dismissed.

Cases referred to judgment

(1) *Samusoni Mukono and another v. Uganda*, [1965] E.A. 491.

(2) *Watoya s/o Naema* Cr. App. 66 of 1969 (unreported).

Judgment

The considered judgment of the court was read by **Duffus P:** The appellant was charged with and convicted of rape and sentenced to four years' imprisonment and twelve strokes. This is an appeal against conviction and sentence [the judge considered the evidence against the appellant and continued]:

The assessors were both of the opinion that the appellant was guilty and in a short judgment the trial judge found the appellant guilty of rape.

There can be no doubt that the verdict was fully justified on the evidence but at the hearing of the appeal two defects or omissions appeared on the record which gave us some concern. First the trial judge completely failed to record any notes of his summing up to the assessors, except for a note stating that he did sum up for twenty minutes, and then he failed to specifically deal with the issue of consent in his judgment.

The failure to make notes of his summing up was no doubt due to an oversight perhaps because the facts of the case appeared so simple, but we would emphasize the desirability for this, especially when, as in this case, the trial judge omitted to deal with some essential point for decision in his judgment. A reference to this point in the notes of his summing up, would assist the appeal court, if there was an appeal, to decide whether or not there had been a failure of justice. There have been numerous decisions on this question but we would refer to two recent decisions of this court in Uganda – that of *Watoya s/o Naema* (2), and *Samusoni Mukono v. Uganda* (1).

Then there is the second point that the judgment does not directly deal with the question of consent. The appellant made consent an issue in his statements to the witnesses and to the police. It is true that the appellant did not pursue this defence in his unsworn statement at the trial, but lack of consent still remained one of the essential elements of the crime and should have been specifically dealt with in the judgment. See s. 169 of the Criminal Procedure Code (Cap. 107).

The judge however fully accepted the complainant's evidence and he also in particular accepted the medical evidence that the girl had ceased to be a virgin as a result of this rape. The complainant's evidence gave details of the force used by the appellant, and the use of force was corroborated by the injuries found on the medical examination, and the examination also gave the lie to the appellant's allegations that this was the fifth time that he had had intercourse with the complainant.

In these circumstances we are satisfied that the judge did have the issue of consent in mind, and the evidence strongly supports and justifies his verdict of guilt. We find that there has been no failure of justice in this case, and we can see no reason to interfere with the sentence.

The appeal is dismissed.

The appellant appeared in person.

For the respondent:
VM Patel (State Attorney)

Sebtain v Magon
[1971] 1 EA 99 (HCK)

Division:	High Court of Kenya at Nairobi
Date of ruling:	9 July 1970
Case Number:	36/1969 (4/71)
Before:	Chanan Singh J
Sourced by:	LawAfrica

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[1] Appeal – Order from – No certified copy of order accompanying memorandum of appeal – Order filed in another case – Struck out – Civil Procedure (*Revised*) *Rules* 1948, *O.* 41, *r.* 1. (*K.*).

Editor's Summary

A memorandum of appeal was accompanied by a copy of the ruling appealed against. A certified copy of the order concerned was filed in another case in the High Court.

Held –

(i) the memorandum must be accompanied by a certified copy of the order and not merely the ruling;

(ii) an order filed in another case does not accompany the memorandum.

Appeal struck out.

No cases referred to in judgment

Ruling

Chanan Singh J: This civil appeal was listed for hearing on 4 and 5 May 1970. Two days before the first mentioned date, namely on the 2 May, Mr. D. N. Khanna, on behalf of the respondent, filed a notice of a preliminary objection. On 4 May only the preliminary objection was heard and I reserved my ruling.

The objection is that the memorandum of appeal is accompanied by the "ruling" of the magistrate and not by an "order" as required by rules. Mr. Khanna refers to O. 41. r. 1 (1) the essential part of which reads:

> "The memorandum shall be accompanied by a certified copy of the decree or order appealed from."

Our Civil procedure Act, following the corresponding Indian legislation, defines a "decree" as "the formal expression of an adjudication . . ." and an "order" as "the formal expression of any decision of a civil court which is not a decree".

Later, we amended the definition of a "decree" by adding a proviso to the effect that for the purpose of an appeal the word "decree" shall include judgment.

The definition of an "order" remains as it was so that an "order" continues to mean " the formal expression of any decision". It is necessary for a party appealing from a decision which is not a judgment, to attach to the memorandum of appeal "a formal expression" of the decision. A ruling is not, as indeed a judgment is not, a formal expression of the decision. It gives reasons for the decision.

Therefore, I hold that the document attached to the memorandum of appeal and headed "Ruling" is not an order within the meaning of O. 41, r. 1 (1).

Mr. Gautama raises two points which need consideration. First, he refers me to p. 7 of the order of Harris, J., dated 13 October 1969, in which he uses the word "admission" and argues that the judge has already admitted the appeal which cannot now be rejected. With respect, I do not accept this argument. The judge specifically referred to Mr. Khanna's point on "the lodging of his memorandum of appeal without its being accompanied by a certified copy of the order" and stated:

> "This objection, although well-founded when taken, does not now arise in view of the direction that the present memorandum of appeal be removed from the file, but there would seem to be no room for doubt as to the necessity for a strict compliance with O. 41, r. 1 (1) . . ."

"Strict compliance" seems to mean that a certified copy of the order should be filed with the memorandum of appeal. This does not support Mr. Gautama's contention.

Mr. Gautama contends, secondly, that a formal order was, in fact, drawn up and filed in court with an affidavit sworn by Mr. Pramod Patel on 9 June 1969. This is quite true. A certified copy of the formal order was filed in connection with another application in Misc. C.C. 132 of 1969. A document filed in another connection in other proceedings cannot be said to be filed in the present proceedings. The rule requires that a memorandum of appeal shall be "accompanied" by a certified copy of the order, not that a copy of the order be filed in some proceedings in some connection at some time.

I hold therefore that Mr. Khanna's point is valid and that the appeal is incompetent.

Appeal struck out.

For the appellant:
SC Gautama and *P Patel*

For the respondent:
DN Khanna (instructed by *Khanna & Co*, Nairobi)

Kibilo v Republic
[1971] 1 EA 101 (HCK)

Division: High Court of Kenya at Nakuru

Date of judgment:	6 November 1970
Case Number:	224/1970 (6/71)
Before:	Mosdell J
Sourced by:	LawAfrica

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[1] Criminal Practice and Procedure – Charge – Handling stolen property – Allegations of dishonest handling and handling otherwise than in course of stealing essential.

[2] Criminal Practice and Procedure – Plea – Change of – After conviction not permissible.

[3] Criminal Practice and Procedure – Conviction – On plea of guilty – Proper time for.

Editor's Summary

The appellant was charged with "handling one bull" contrary to the Penal Code, s. 322. He was recorded as saying "It is true I handled this bull which I knew had been stolen". The magistrate convicted the appellant and remanded him in custody for record and sentence, at which time the prosecutor gave a version showing a dishonest handling and the appellant gave a version showing an honest handling. The magistrate felt that he was bound by authority and could not allow a change of plea after conviction but before sentence. The appellant appealed.

Held –

(i) the charge was defective as it omitted the two necessary ingredients of a dishonest handling and of a handling otherwise than in the course of stealing;

(ii) the plea was equivocal;

(iii) the magistrate could not allow a change of plea.

Observations on the need for a change of the law and for magistrates not to record a conviction on a plea of guilty until both the prosecutor and the accused have been heard on the facts.

Appeal allowed. Retrial ordered.

Cases referred to judgment

(1) *R. v. Guest*, [1964] 3 All E.R. 385.

(2) *Yusufu Maumba v. Republic*, [1966] E.A. 167.

(3) *Okello v. Republic*, [1969] E.A. 378.

(4) *S.* (*an infant*) *v. Manchester City Recorder and others*, [1969] 3 All E.R. 1230.

Judgment

Mosdell J: The appellant was charged before the resident magistrate, Kericho, on 16 July 1970, with "handling stolen property contrary to s. 322 (1) Penal Code". The particulars of offence in the charge sheet read as follows:

> "The appellant on 2 July 1970 at Chebunyo Village in the Kericho District of the Rift Valley Province was found handling one bull valued at Shs. 300/- the property of Towett Arap Chirchir, knowing or having reason to believe it to have been stolen. The said property having been stolen in 1967."

When the charge was put to the appellant, he is recorded as having stated “It is true I handled this bull which I knew had been stolen”. Whereupon the magistrate endorsed the record as follows: “guilty on plea and convicted”. The appellant was remanded in custody for record and sentence, to 21 July 1970,

when the prosecutor gave his version of the facts, indicating dishonest handling of the stolen bull by the appellant. The appellant than gave his version of the facts, indicating an honest handling of the stolen bull by him. The magistrate took the view, and rightly, that, as on 16 July 1970 he had recorded a conviction against the appellant, the latter could not be permitted to change his plea and proceeded to sentence the appellant, imposing upon him imprisonment for 7 years with hard labour (the statutory minimum) with a 5 years reporting order upon the appellant's release from prison.

Now, it is apparent that the appellant's plea was equivocal. The particulars of offence in the charge sheet were defective. They omitted two necessary ingredients in the offence namely, firstly, the words "otherwise that in the course of the stealing" and secondly, the all important word, "dishonestly". Unless the handler does the handling dishonestly he commits no offence contrary to s. 322 (1) Penal Code, whether he receives the goods, or undertakes, or assists in, their retention, removal, disposal or realization by or for the benefit of another person, or if he arranges to do so. The appellant freely admitted he handled the stolen bull but he did not admit that he did so dishonestly. Indeed when he gave his version of the facts, he made it clear that he was alleging that he handled the stolen bull honestly.

It was a pity that, as the law at present stands, the magistrate, having convicted the appellant on the 16 July 1970 could not allow the appellant to change his plea. See *Yusufu Maumba v. Republic* (2) and *Okello v. Republic* (3). It is pertinent to note in this regard, that the decision in *R. v. Guest* (1), which operated as a persuasive authority in the Court of Appeals' decision in *Yusufu Maumba's* case, was overruled by the House of Lords in *S.* (*an infant*) *v. Manchester City Recorder and others* (4). It might be, therefore, that were the matter again to be canvassed before the Court of Appeal it would reach a conclusion different from that reached in *Yusufu Maumba's* case (2), thereby granting a magistrate a discretion to allow an accused to change his plea from one of guilty to one of not guilty, after conviction but before sentence, and thus restore a magistrate's power to invoke a vastly convenient practice which can, on occasion, save a great deal of time and obviate both hardship and injustice. (See *Okello's* case (3), p. 380 paras. G, H and I.)

I shrink from the task of deciding without further argument, whether "a bull" is "goods", to which s. 322 Penal Code relates, regarding discretion the better part of valour. This is a matter which can be canvassed before the retrial magistrate, if thought fitting.

Until such time as a magistrate is given a discretion to allow an accused to change his plea from one of guilty to one of not guilty between conviction and sentence, either by a decision of the Court of Appeal or by statute, the difficulty which a magistrate may find himself in, as the magistrate did in the instant case, can easily be circumvented if the magistrate does not record a conviction until both the prosecutor and the accused have been heard as to the facts. Indeed, it is the better and desirable practice for the magistrate not to record a conviction, on a purported plea of guilty, until the two events I have just mentioned have occurred. Of course, if after the prosecutor has stated his version of the facts, the accused agrees with them, there is no need for the accused to give his version of the facts. If, however, the accused does not agree with the facts given by the prosecutor, his side of the story should be heard and recorded. It not infrequently occurs that, though an accused has purported to plead guilty, it becomes apparent either from the facts as given by the prosecutor or from those given by the accused, or both, that his purported plea of guilty was equivocal. Then, if a conviction has not already been recorded, a magistrate may permit a change of plea.

Appeal allowed. Retrial ordered.

For the appellant:
TW Jones (instructed by *Jones & Jones*, Nakuru)

For the respondent:
D Mindo (State Counsel)

Paggi v Railways Corporation
[1971] 1 EA 103 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	4 December 1970
Case Number:	1562/1968 (10/71)
Before:	Simpson J
Sourced by:	LawAfrica

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[1] Fatal Accident – Damages – Quantum – Widow supported by young son.

Editor's Summary

Damages were claimed by a widow for the death of her son who supported her. The widow was 55 and in accepting a multiplier of 12 the judge awarded damages of Shs. 120,000/- before deductions. The facts appear in the judgment.

Cases referred to judgment

(1) *Taylor v. O'Connor*, [1970] 1 All E.R. 365.

Judgment

Simpson J: [After dealing with liability the judge continued]: The deceased started a 3 years mechanical engineering course at the Kenya Polytechnic on 6 January 1968 and commenced employment with Continental Engineering Company Limited on 19 April 1968 as an apprentice. After deductions he was receiving Shs. 829/75 per month and according to the managing director of Continental Engineering would have been paid £125 per month after 3 years. He said he had known the deceased since infancy, had every confidence in his passing his examinations and that whether or not he had passed all his examinations he would be worth £125 per month in the open market after his apprenticeship. The company was paying for his course at the Polytechnic.

The deceased's mother is a widow whose only income is approximately Shs. 150/- per month received from the Italian Government which by virtue of s. 4 (2) (*b*) of the Fatal Accidents Act (Cap. 32) should not be taken into account.

Until the deceased began to earn wages she was wholly maintained by her daughter. After starting work the deceased contributed Shs. 700/- per month towards the household expenses. The balance was contributed by the daughter. This latter contribution would no doubt have ceased or been greatly diminished by the marriage of the daughter which in fact took place shortly before the hearing of this action. The deceased however would be unable to increase his contribution until the end of his apprenticeship. Of this Shs. 700/- at least Shs. 150/- must have been expended on food for the deceased. I would therefore assess the dependency for the first 3 years at Shs. 550/- per month or Shs. 6,600/- per annum. After completion of his apprenticeship it is reasonable to suppose that he would

assume full responsibility for his mother's maintenance. She estimated her requirements at Shs. 1,250/- per month but I am inclined to doubt that the deceased would have contributed half his gross income. A more realistic figure I think would be Shs. 1,000/- per month. The deceased was aged 18½ at the time of his death and had then no intention of an early marriage. Nevertheless he would probably have married a few years after completion of his apprenticeship perhaps about the age of 26. His mother having nothing but her pension would be entirely dependent on her son and daughter and it is reasonable to conclude that the son would have to provide the larger part. Shs. 1,000-per month would probably be beyond his means. No doubt she would have been relieved of the

burden of paying rent by living with her son or daughter. I would assess the deceased's contribution after marriage at Shs. 800/- per month.

On the basis of the foregoing figures I assess the dependency at Shs. 10,000/- per annum.

At the time of his death the deceased's mother was aged 55 with a theoretical life expectancy of 25.35 years and little probability of re-marrying. There was no evidence as to the present state of her health. In a recent English case *Taylor v. O'Connor* (1), in which the deceased was aged 53 and his widow aged 52 a multiplier of 12 was not thought to be excessive by the House of Lords.

The life expectancy of the deceased in the present case was considerably higher than that of the deceased in that case but that of the deceased's mother is lower than that of the widow. The main factor to be considered in this case is I think the age of the mother. Allowing for all the imponderable factors I think a multiplier of 12 would be reasonable. The total is therefore Shs. 10,000/- x 12 i.e. Shs. 120,000/-.

From this has to be deducted Shs. 29,050/- paid to the deceased's mother by his employers under the provisions of the Workmen's Compensation Act (Cap. 236) leaving Shs. 90,950/-.

Judgment accordingly.

For the plaintiff:
A Malik Noor (instructed by *Archer & Wilcock*, Nairobi)

For the defendant:
MG Muli (Counsel to the Community)

Yusufu v Nokrach
[1971] 1 EA 104 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	25 November 1970
Case Number:	44/1970 (12/71)
Before:	Phadke J
Sourced by:	LawAfrica

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[1] Civil Practice and Procedure – Review – Person aggrieved – Whether respondent to order of attachment of salary aggrieved – Civil Procedure Rules, O. 42, *r.* 1 (*U.*).

[2] Civil Practice and Procedure – Review – Any other sufficient reason – Analogous to grounds set out in rule – Civil Procedure Rules, O. 42, *r.* 1 (*U.*).

Editor's Summary

The respondent defaulted in the payment of two instalments of a judgment debt, as a result of which an order for the attachment of his salary was issued. He applied for a review of the order on the grounds that it was harsh and unjust. The application was granted by the chief magistrate and the

appellant appealed and submitted that the respondent was not a person aggrieved by the order.

Held –

(i) the respondent was a person aggrieved as he had not consented to the order for attachment;

(ii) any other sufficient reason means sufficient reason of a kind analogous to those set out in the rule (*Chhaju Ram v. Neki* (1) followed);

(iii) the respondent had shown no sufficient reason.

Appeal allowed.

Cases referred to judgment

(1) *Chhaju Ram v. Neki* (1922), 49 I.A. 144; 3 Lah 127.

Judgment

Phadke J: The appellant sued the respondent in the magistrate's court of Mengoat Kampala, to recover the sum of Shs. 7,550/-. The suit was instituted under the Summary Procedure, O. 33, Civil Procedure Rules. The respondent failed to apply for leave to appear and defend, and judgment as prayed was entered in favour of the appellant. The appellant applied for execution of the decree by attachment of the respondent's salary, and the chief magistrate ordered such attachment. Thereupon the respondent applied for setting aside the judgment entered against him. At the hearing of the application on 4 July 1969, by consent of the parties, the chief magistrate made the following order:

> "By consent defendant to pay Shs. 200/- monthly instalments on 31 July and thereafter on the last day of each succeeding month till payment in full. Usual default clause."

The respondent paid the first instalment on 30 July 1969, in time, but failed to pay the next two instalments on due dates. The instalment due on 31 August, was not paid until 3 September, and the instalment due on 30 September was not paid until 2 October. By reason of these two defaults, the appellant applied for attachment of the respondent's salary. The chief magistrate ordered – "execution to issue", and accordingly the respondent's salary was attached. The respondent then filed his application for review of the order of attachment of his salary on the ground that the order was "harsh, unjust and not justifiable in the circumstances". The application was supported by his affidavit from which I quote the following two paragraphs:

> "9. That under the circumstances, it is unfair and unjust to attach my salary when payment was regularly made and that the amount of money payable by me under the order of attachment is greater than the amount correctly due from me.
>
> 10. That it is inconvenient and harsh to require me to make payments on the last day of each and every succeeding month."

The respondent's application was made under the provision in O. 42, r. 1 (1), Civil Procedure Rules, which is as under:

> "Any person considering himself aggrieved–
>
> (*a*) by a decree or order from which an appeal is allowed, but from which no appeal has been preferred; or
>
> (*b*) by a decree or order from which no appeal is hereby allowed;
>
> and who from the discovery of new and important matter of evidence which, after the exercise of due diligence, was not within his knowledge or could not be produced by him at the time when the decree was passed or the order made, or on account of some mistake or error apparent on the face of the record, or for any other sufficient reason, desires to obtain a review of the decree passed or order made against him, may apply for a review of judgment to the court which passed the decree or made the order."

The chief magistrate granted the application and revoked his former order for the attachment of the respondent's salary. In his ruling, the chief magistrate did not refer to and consider the scope and applicability of the provision in r. 1 (1) of O. 42, but was content to rest his decision upon the grounds appearing in the following passage taken from his ruling:

> "It may well be from the nature of the work of the applicant, that it may

> not always be possible for him to be physically present to make payments to the letter of the order. I do not find default of a few days so substantial as to affect the consent order which was made, with the full consent of counsel for the plaintiff. I accordingly revoke the order for the attachment of the applicant's salary. The consent order made on 4 July 1969, is to stand. I order that there should be no further defaults in payments. I order that the applicant should execute banker's orders for the monthly instalments payable into court on the due dates."

It is against this order made by the chief magistrate on review that this appeal is brought. Mr. Pandit for the appellant, submitted that the respondent was not an "aggrieved" party as he had consented to the order for payment by instalments, and that the contents of the respondent's affidavit did not establish any reason at all within the meaning to be given to the expression "for any other sufficient reason" in r. 1 (1) of O. 42. Mr. Munabi, for the respondent, submitted that the respondent was an "aggrieved" party as the order for attachment of his salary was made without any notice to him, and that the expression "for any other sufficient reason" gives a substantial discretion to the court to consider generally the merits of the application. He submitted that the chief magistrate had correctly held that the non-payment of instalments on due dates was not a substantial default and therefore the chief magistrate's order was justifiable in the circumstances of the case.

Order 42, r. 1 (1), Civil Procedure Rules is identical with O. 47, r. 1 (1) of the Indian Civil Procedure Rules, and the A.I.R. Commentaries on the Indian Code of Civil Procedure by Chitaley & Rao (4th Edn.) Vol. III are of much assistance in examining the scope and applicability of the rule.

Under the heading "any person aggrieved", the authors say that a person aggrieved means a person who has suffered a legal grievance. I entirely agree with this interpretation. I do not agree with Mr. Pandit's submission that the respondent was not an aggrieved person. Whilst it is true that the respondent had consented to the order of instalments payable by him, he had certainly not consented to the order of attachment of his salary and it is this latter order of which he sought a review. I hold that the respondent was an aggrieved person and therefore entitled to apply for a review.

Under the heading "any other sufficient reason", the authors refer to the decision of the Privy Council in *Chhaju Ram v. Neki* (1). The case gives the opinion of the Privy Council upon the interpretation of the expression "any other sufficient reason". I have studied the decision and I would summarise the observations made therein on this subject, as under:

(1) It is obvious that the code contemplates procedure by way of review by the court which has already given judgment as being different from that by way of appeal to a court of appeal.

(2) The three cases in which alone mere review is permitted are those of new material overlooked by excusable misfortune, mistake or error apparent on the face of the record, or "any other sufficient reason". The expression "sufficient" would naturally be read as meaning sufficiency of a kind analogous to the two already specified, that is to say, to excusable failure to bring to the notice of the court new and important matters, or error on the face of the record.

(3) Rule 1 of O. 47 must be read as in itself definitive of the limits within which review is permitted, and the expression "any other sufficient reason" is to be interpreted as meaning a reason sufficient on grounds at least analogous to those specified immediately previously.

The decision of the Privy Council is not binding upon me but I respectfully

agree with it as the most reasonable interpretation of the provision in O. 42, r. 1 (1). I do not agree with Mr. Munabi's submission that the expression "any other sufficient reason" gives a discretion to the court to consider generally the merits of an application for review. If such a contention were to prevail every decree or order could be reopened for review on any ground whatsoever as if the application were an appeal. I entertain no doubt that a review is not the same thing as, or even a substitute for, an appeal. As observed by the Privy Council there are definite limits within which review is permitted. A point which may be a good ground of appeal may not be a good ground for review.

There remains to consider whether the respondent showed "sufficient" reason within the meaning to be given to O. 42, r. 1 (1). Paragraph 9 of his affidavit, which I have quoted earlier in this judgment, states that "payment was regularly made". This is an incorrect statement because admittedly there was a default on two successive occasions. Mr. Munabi described these as "technical defaults". In my opinion, the mere use of the epithet "technical" cannot alter the nature of the default. What the respondent sought by a review was an indulgence which would relieve him from paying a larger monthly sum from his salary than that payable by reason of the agreed instalment. A plea for indulgence is not an analogous ground and is not a "sufficient reason". Paragraph 10 of the respondent's affidavit, quoted earlier, is likewise a plea for indulgence and is not a "sufficient reason".

I hold that the chief magistrate erred in law in reviewing his former order for attachment of the respondent's salary. I set aside the order made on review and reinstate the order for the attachment of the respondent's salary.

Appeal allowed.

For the appellant:
SV Pandit

For the respondent:
S Munabi

Mawogola Farmers & Growers Ltd v Kayanja and others (No. 1)
[1971] 1 EA 108 (CAK)

Division:	Court of Appeal at Kampala
Date of judgment:	28 October 1970
Case Number:	35/1970 (14/71)
Before:	Sir Dermot Sheridan CJ
Sourced by:	LawAfrica

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[1] Costs – Security for costs – Further security – Costs in court below unpaid – Appellant company on receivership – Security ordered.

Editor's Summary

The respondents applied for further security for costs including security for costs in the court below on the grounds that a receiver of the property of the appellant company had been appointed.

Held – further security to the extent of the costs below should be ordered.

Cases referred to judgment

(1) *Siri Ram Kaura v. M. J. E. Morgan*, [1961] E.A. 462.

(2) *Noor Mohamed Abdulla v. Ranchodbhai Patel*, [1962] E.A. 447.

Judgment

Sir Dermot Sheridan CJ: This is an application by notice of motion under r. 60 of the East African Court of Appeal Rules 1954 and s. 404 of the Companies Act (Cap. 85) for an order that the appellant do give security for the respondents' costs in the court below including the costs of the application for stay of execution and of the appeal in such sum as the court directs, failing to give such security as aforesaid the appeal do stand dismissed with costs without further order and that the costs of this application to the respondent in any event, on the ground that the receiver and manager has been appointed over all the property of the appellant company and consequently if the appeal is unsuccessful, the respondents would be unable to recover any of the costs aforesaid.

In the original suit the twenty respondents successfully sued the appellant for shares in the company to be allotted to them to the total value of Shs. 8,800/-. The decree is dated 28 April 1970.

The supporting affidavit of Mr. M. P. Vyas, the respondent's advocate avers:

> "3. That on the appellant's application for stay of execution pending the appeal, the High Court of Uganda, dismissing the application, made an order that the appellant should deposit the taxed costs of the court below within ten days of the order on the taxation, costs of the application in the appeal.
>
> 4. That I left for India on 27 June 1970 and returned on 29 August 1970. On my return, on perusing the Uganda *Gazettes*, I first came to know from the Uganda *Gazette* dated 3 July 1970, that on 24 June 1970 the appellant company was taken into receivership by the debenture-holders and that Mr. C.R. Patel, advocate of Masaka, was appointed the receiver and manager over the property of the appellant company. On receiving instructions of my clients, the respondents, who live far away from Masaka, I wrote two letters to the advocate for the appellant dated 14 and 15 September 1970 demanding security for costs to which I have not yet received any reply,

copies of the said letters are annexed hereto and marked annexures ‘A’ and ‘B’ respectively.

5. That since the receiver and manager has been appointed over all the assets of the appellant company and consequently if the appeal is unsuccessful, the respondents would be unable to recover any of the costs, aforesaid, except the sum of Shs. 1,500/- deposited in the court as security for costs on filing the record of appeal which amount is not sufficient for the costs of the appeal.”

It is not necessary to set out the annexures.

I was informed from the bar that the costs had since been taxed at Shs. 7,685/60 but I gather that this sum has not been deposited in Court as ordered by the High Court.

Rules 58 and 60 of the rules provide:

“58. Subject to any extension of time and to any order made under r. 82 of these rules, the appellant shall within sixty days after filing notice of appeal lodge the appeal by filing in the registry of the court four copies of the record of appeal, paying the prescribed fee and lodging in court the sum of fifteen hundred shillings as security for the costs of the appeal.

60. The court of a judge or registrar may at any time, in any case where it or he thinks fit, order further security for costs to be given, and may order security to be given for the payment of past costs relating to the matters in question in the appeal.”

I need not consider s. 404 of the Companies Act as it only applies to the giving of sufficient security for costs where a limited company is the plaintiff in any suit or other legal proceedings. Here the appellant was the defendant.

Mr. Vyas stresses the fact that no affidavit in reply has been filed. He submits that if no further security beyond the Shs. 1500/- under r. 58 is given, the respondents will receive nothing in the event of the appeal being dismissed. He asks for the taxed costs below and a further Shs. 5,000/- to be deposited in court. He sought to introduce matters pointing to the appellant’s reprehensible conduct as they emerged at the trial but I considered this to be outside the scope of the present inquiry. He relied on *Siri Ram Kaura v. M. J. E. Morgan* (1) where it was held that the admission by the appellant that he could not pay and had no assets was a good ground for the judge to exercise his discretion and order security for costs.

Mr. J. C. Patel, for the appellant, submits that the giving of further security for costs should not be used as an indirect way of executing a decree. He points out that the subject matter of the claim was just over Shs. 8,000/-. He relied on *Noor Mohamed Abdulla v. Ranchodbhai J. Patel* (2) for the proposition that the power to order further security under r. 60 is to be sparingly exercised and not merely because the appellant is a man of little substance. This case also confirmed that the power conferred by r. 60 of the rules, to order security for payment of “past costs” includes the power to order security for costs ordered to be paid in the High Court. Sir Trevor Gould, Ag. V.-P., said ([1962] E.A. at p. 453):

> “It is right that a litigant, however poor, should be permitted to bring his proceedings without hindrance and have his case decided. But when it has been decided by the court set up by law for the purpose, other considerations enter into the question whether he should be permitted unconditionally to carry the matter further. Rule 58 of the rules of this court provides a practice divergent from that in England and indicates a more

> liberal approach to the question of security in that it must be provided for in all cases; on the other hand it can also be taken as an indication that the sum specified is to be regarded as sufficient in any but exceptional cases. Having regard to all these considerations the question in what circumstances an appellant should be called upon to accept the burden of providing security for the costs in the court below, as well as in the Court of Appeal, is a difficult one. It is extremely difficult to visualize a case in which he would be made to secure both sets of costs in full: the general rule in England (*Aberdare and Plymouth Co. v. Hankey* (1888), 32 Sol. Jo. 644), and the rule envisaged by the automatic provision in our own r. 58 is that only a reasonable amount will be ordered. The position must therefore be looked at as a whole and applications for past costs and future costs are inter-related. If it was decided that the circumstances warranted taking into consideration the costs in the court below (and we have already said that the power should be sparingly exercised) the question would be by how much it is reasonable to increase the amount of the security provided for in r. 58 (having regard to any orders already made).
>
> It is not necessary for the purposes of the present case to pursue this topic further, for quite apart from the special considerations, which may apply to the question of ordering security for costs incurred in the court below, we are satisfied that on general principles the present application must be refused. We base that decision upon the dilatoriness of the first respondent in making the application, together with the other matters which we have discussed above and which tell in favour of the appellant. We therefore dismiss the application with costs."

Mr. Vyas distinguished that case on the ground that the application for security for costs was made after there had been substantial delay and that in the meantime the appellant had been prejudiced by incurring further costs including liability for fees of Queen's counsel. Here it is not disputed that Mr. Vyas acted with all due expedition when he became aware that the receiver had been appointed. But he has cited no authority to me where a further security in addition to the payment of past costs has been ordered, although there must have been such cases and the passage cited above envisages them. I should emphasise that in ordering the payment of past costs as further security the court is not merely ordering the payment of costs ordered by the High Court. The court has no jurisdiction to do this: *Noor Mohamed Abdulla's* case (2). When Goudie, J. ordered the taxed costs to be deposited in court within ten days of the order of taxation that was a condition of the grant of a stay of execution. It had nothing to do with the furnishing of further security in the appeal. Also, as I have already said, it appears that this order was not compiled with.

I think that in the exceptional circumstances of this case a right balance will be struck if I order the appellant to give security for the respondents' costs of the court below including the costs of the application for stay of execution within 21 days, failing which the appeal is dismissed with costs without further order. Respondents' costs of this application.

Order accordingly.

For the applicants:
MP Vyas

For the respondent/appellant:
JC Patel

Bushiri and others v Republic
[1971] 1 EA 111 (HCT)

Division: High Court of Tanzania at Mwanza

Date of judgment: 29 July 1970

Case Number: 230, 231, 232/1970 (22/71)

Before: Onyiuke J

Sourced by: LawAfrica

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[1] Criminal Law – False pretences – Contract of sale induced by false representation – Contract of sale does not exclude criminal liability for false pretences – Penal Code, s. 302 (*T.*).

Editor's Summary

The appellants induced the complainant, a dealer in second-hand clothing, to pay them Shs. 1,000/- as the price of clothes, allegedly stored at a nearby village, which they offered for sale. At the village the first appellant could not produce clothes and attempted to run away. The other two appellants also disappeared but were later arrested. The appellants were charged and convicted of obtaining money by false pretences. On appeal it was argued whether the existence of a contract of sale excluded criminal liability for false pretences.

Held –

(i) the existence of a contract of sale does not negative criminal liability for false pretences (*R. v. Sanders* (2) followed).

Appeal dismissed.

Cases referred to judgment

(1) *R. v. Kenrick* (1843), 5 Q.B.D. 49.

(2) *R. v. Sanders,* [1919] 1 K.B. 550.

Judgment

Onyiuke J: The three appellants were jointly charged with and convicted of the offence of obtaining money by false pretences contrary to s. 302 of the Penal Code.

The facts accepted by the magistrate were that the three appellants approached the complainant and told him they had second-hand clothes for sale and showed him samples. The complainant was a dealer in second-hand clothing. The appellants further stated that the second-hand clothes were at Gungu Village and gave their price as Shs. 1,000/-. They asked the complainant to pay them the money and then to go to Gungu Village to collect the clothes. It was arranged that the first appellant would go with the complainant to the village while the other two appellants would remain behind with the ten-cell leader in whose house the transaction was made. Thereupon the complainant produced Shs. 1,000/- and handed it over to the ten-cell leader who then handed it over to the third appellant. The complainant and the first appellant then left for Gungu village. At Gungu the first appellant could not produce the clothes and attempted to run away. The complainant held him and they returned to the leader's house without any clothes. While the complainant and first appellant were away, the second and third appellants left the leader on the pretext of going to answer a call of nature, and disappeared. The appellants were later arrested and charged with obtaining Shs. 1,000/- by false pretences. They denied receiving any money or offering to sell any clothes to the complainant. They were convicted of the offence.

The only question on appeal was whether the existence of a contract of sale between the appellants and the complainant could save the appellants from being criminally liable for the false pretences, on

the basis of which, the money

was parted with. I am of the view that the existence of a contract of sale did not negative their criminal liability for false representations which induced the complainant to part with his money. In *R. v. Kenrick* (1) it was held that a false pretence, knowingly made, to obtain money was indictable, though the money was obtained by means of a contract which the prosecutor was induced by the falsehood to make. In that case the accused persons had conspired to make a representation, knowing it to be false, that certain horses were the property of a private person and not of a horse-dealer, thereby inducing the prosecutor to buy the horses. It was held that proof of those facts was sufficient to sustain on indictment for obtaining money by false pretences. Again in *R. v. Sanders* (2), the appellant, a horse-dealer, sold to the prosecutor for £70, two mares which the appellant guaranteed to be 7 and 8 years old respectively, to be in foal and sound. It was agreed that if the mares were not as warranted the prosecutor should have the right, to return them within 14 days. The mares were, to the knowledge of the appellants, not as warranted in any respect. In fact the mares were about 17 years old, and were neither sound nor in foal. The appellant was charged with having obtained the £70 by false pretences and convicted. On appeal, it was argued that an indictment for false pretences would not lie where a horse had been sold with a warranty and that it was a mere breach of contract and not an indictable offence. The Kings Bench Division dismissed the contention and held that though the money was obtained by means of a contract that did not prevent the deceitful representations from being indictable.

Appeal dismissed.

The appellants appeared in person.

For the respondent:
M Ismail (State Attorney)

Rashidi v Republic
[1971] 1 EA 112 (HCT)

Division:	High Court of Tanzania at Mwanza
Date of judgment:	29 July 1970
Case Number:	83/1970 (23/71)
Before:	Onyiuke J
Sourced by:	LawAfrica

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[1] Criminal Law – Assault – On policeman in execution of duty – When arrested without warrant and without reasons given for arrest – Not unlawful to resist arrest.

[2] Criminal Law – Vagrancy – Suspected person – Suspicion must be raised by acts of accused prior to inability to give a good account of oneself or to show means of subsistence – Penal Code, s. 177 (*T.*).

[3] Criminal Law – Vagrancy – Separate descriptions of rogues and vagabonds created – May not be combined – Penal Code, s. 177 (3) *and* (4) (*T.*).

Editor's Summary

Following a complaint from a school boy who had lost his suitcase at a bus stand a police constable visited the bus stand where the appellant was found apparently waiting for a bus. Not satisfied with the explanation given by the appellant for his being there the constable arrested him. The appellant resisted the arrest but was overpowered with the help of another constable. He was convicted on two counts of resisting lawful arrest and of being a rogue and vagabond. The charge did not give particulars showing that the accused was at the bus stop for an illegal or disorderly purpose.

On appeal to the High Court:

Held –

(i) in the absence of any reason given to the appellant for his arrest without a warrant he was entitled to resist;

(ii) the charge was bad in not giving particulars leading to the conclusion that the appellant was present for an illegal or disorderly purpose;

(iii) separate categories of rogues and vagabonds are created by s. 177 (3) and (4) and the categories cannot be combined;

(iv) when it is alleged that a person is a rogue and vagabond the prosecution must prove that he is suspect by reason of some conduct prior to and unconnected with his failure either to give a good account of himself or to show visible means of subsistence (*Rawlings v. Smith* (2) followed).

Appeal allowed.

Cases referred to judgment

(1) *Hartley v. Ellnor* (1917), 117 L.T. 304.

(2) *Rawlings v. Smith*, [1938] 1 All E.R. 11.

(3) *Nzige Juma v. Republic*, [1964] E.A. 107.

(4) *R. v. Mohamedi s/o Mzee* (1968), unreported.

Judgment

Onyiuke J: The appellant was convicted in the district court of Kigoma. The first count charged him with resisting lawful arrest and the particulars of offence were that the appellant "on 22 November 1969 at Popatia bus-stand, Kigoma, did unlawfully obstruct Police Constable Paulo in due execution of his duty by assaulting him on his chest with fist while he was arresting him with offence of being a rogue and vagabond", contrary to s. 243 (*a*) and (*b*) of the Penal Code. The second count charged him with being a rogue and vagabond contrary to s. 177, sub-ss. (3) and (4) of the Penal Code. He was convicted on both counts and sentenced to eight months' imprisonment and six months' imprisonment, the sentences to run concurrently.

I deal with the second count first. This count as the statement of offence shows combined sub-ss. (3) and (4) in one count and the particulars incorporated some ingredients of sub-ss. (3) and some ingredients of sub-s. (4). I do not think it is open for the prosecution to create such a hybrid offence. Each subsection of s. 177 of the Penal Code constitutes a distinct statement or description of who shall be deemed to be a rogue and vagabond. The prosecution cannot create a new species of rogue and vagabond by combining the sections as they did in this case. It only leads to vagueness and uncertainty as to the offence charged. I do not propose to send the case back for re-trial as it appears to me that there was no evidence to support the conviction either under sub-s. (3) or under sub-s. (4) of s. 177. Subsection (3) provides that "every suspected person or reputed thief who has no visible means of subsistence and who cannot give a good account of himself shall be deemed to be a rogue and vagabond and shall be guilty of a misdemeanour". It is not enough that a person cannot give a good account of himself or has no visible means of subsistence to be guilty of an offence under this subsection. The prosecution must, in addition, prove he is a suspected person. It cannot prove that a person is a suspected person within the meaning of the subsection by merely showing that he cannot give a good account of himself. The subsection does not say that every person who has no visible means of subsistence or who cannot give a good account of himself shall be deemed to be a rogue and vagabond. A person who cannot give a good account of himself or who has no visible means of subsistence must be somebody who has become suspect by some antecedent conduct. The suspicion which makes a person a suspected person must be suspicion arising from acts antecedent to the act

occasioning the arrest. The point is brought out clearly by considering the case of *Hartley v. Ellnor* (1) as explained in *Rawlings v. Smith* (2). In that case, the

accused was under observation for forty minutes during which time he was seen to mix with various crowds of people who were in the act of boarding tramcars and was seen to tap the pockets of various individuals in the crowd. He was then arrested by the police as a suspected person. Again in *Rawlings v. Smith* (2) last, the accused was seen at various times of the day and in different places looking into and trying to open the doors of unattended motor cars standing in the street. It was held these acts made the accused a suspected person. In both cases the suspicion which made the accused a suspected person was suspicion arising from acts antecedent to the act occasioning arrest.

In my view, it is not enough to prove that a police constable saw a person at a but stop or in a motor garage and on being questioned was unable to give a good account of himself, to succeed in securing a conviction under s. 177 (3) of the Penal Code. The prosecution must show that the accused had done certain things which made him a suspected person before he was questioned as to his means of subsistence or asked to give a good account of himself. This was not done in this case. Nor can there be a conviction under s. 177 (4).

In *R. v. Mohamedi s/o Mzee* (4), it was held that in a charge under s. 177 (4) of the Penal Code the prosecution must give particulars as would lead to the conclusion that the accused was there for an illegal or disorderly purpose. It was held that particulars of offence which merely stated that the accused were "found wandering upon the highway at such time and under such circumstances as to lead to the conclusion that such persons were there for an illegal or disorderly purpose" are not sufficient particulars under that subsection. This decision has not been heeded in the present case and the same vague and imprecise particulars were stated in the particulars of offence. It is hoped that those responsible for drafting charges will bear the above decision in mind while drafting particulars of offence under s. 177 (4) of the Penal Code. There is, besides, not sufficient material on record to sustain the conviction under s. 177 (4). I allow the appeal on the second count.

I now come to the first count. The facts tendered by the prosecution in support of this count can be briefly stated. A complaint of stealing was lodged with the police by a school-boy, who had lost his suitcase at the Popatia bus-stand, Kigoma. A police constable was detailed to investigate. They proceeded to Popatia bus-stand where they saw the appellant sitting at the bus-stand. The circumstances in which the constable arrested the appellant were narrated by him in his testimony as follows:

> "On arrival there I saw accused sitting at Popatia bus-stand. I suspected him and I started asking him. He told me he was travelling to Kasulu and that he was waiting for a bus there. Then I asked if he had a luggage. Accused pointed to some luggages near where a bus had been parked. I then told accused to go and show me. He went towards the place. Before we got there, accused changed his story and said he was going to take a bus in the evening to Kahinzi. So I arrested him. Then he started to run away towards Kigoma bus-stand. I followed him. Then accused then started to assault me with fist so that I could release him. Then I blew my whistle. P.C. Lawrence came and pinned accused's hands from behind. We then took him to police station."

The school-boy gave his version as follows:

> "Then he (accused) said he was not on safari but that he had come to see a bus for Kahinzi and that his luggage was at Mwanza. Then the police told accused they must go to police station. Then the police officer moved the accused to face the direction of the police station. The accused became angry as soon as the police officer touched him. He held up his fist and started trotting about ready to assault the police officer. . . ."

The appellant in his defence stated that he came to Kigoma from Gungu. He then went and sat at Popatia's bus-stand. Shortly after the constable came there. "He told me to stand up and we should go to police station. I asked why. He just insisted. I stood up and refused to go to police station until he told me why. . . ."

It is clear the appellant was never told why he was being arrested. A person who is arrested without warrant is entitled to be told why he was being arrested. A person is entitled to know on what charge or suspicion of what crime he is arrested. This is the general rule. The rule does not however apply where the circumstances are such that the person arrested knows or must know the general nature of the alleged offence for which he is arrested or detained; nor does it apply where the person arrested himself creates a situation which makes it practically impossible to inform him e.g. by immediate counter-attack or by running away. (See Biron, J. in *Nzige Juma v. Republic* (3)).

In the present case, the point was not considered by the magistrate. I have then to review the evidence on this point to determine the issue. It appears from the record especially the particulars of offence that the appellant was arrested not for stealing or for being suspected of stealing a suit case (which offence the constable was detailed to investigate), but for being a rogue and vagabond. It seems to me that the constable at the time of arrest did not quite make up his mind why he was arresting the appellant and therefore could not tell him the reason for the arrest. But as I stated earlier on in this judgment a person is entitled to be told the reason for his arrest unless the rule is excluded from applying in a particular case by circumstances which I outlined above and which they do not exist in this case. The appellant was therefore, in the circumstances, in the absence of a reason being given him for his arrest, entitled to defend himself. In the final result, I allow the appeal and set aside the conviction and sentence on the first count. The appellant is acquitted and discharged.

Appeal allowed.

The appellant appeared in person.

For the respondent:
JC de Souza (State Attorney)

Republic v Amirali
[1971] 1 EA 116 (HCT)

Division:	High Court of Tanzania at Dar Es Salaam
Date of judgment:	26 October 1970
Case Number:	20/1970 (24/71)
Before:	Georges CJ
Sourced by:	LawAfrica

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[1] Appeal – Time for lodging appeal – Notice to be given within 30 *days of acquittal even where ruling reserved – Criminal Procedure Code, s.* 335 (*T.*).

[2] Criminal Practice and Procedure – Acquittal – On no case to answer – In effect a judgment and must be in writing and give reasons – Criminal Procedure Code, s. 171 (*T.*).

Editor's Summary

The Republic applied for leave to file an appeal out of time. The trial magistrate accepted the submission of no case to answer and acquitted the accused but reserved his reasons to a later date. Section 335 of the Criminal Procedure Code provides for an appeal against acquittal if the notice of intention to appeal has been given within 30 days of the acquittal finding, sentence or order and the petition of appeal has been lodged within 45 days of the said date. No reason was given why notice of appeal had not been given within the time limit.

Held –

(i) the appropriate date was the date of the acquittal;

(ii) a ruling holding there is no case to answer is in effect a judgment and must be in writing stating the points for decision and the reasons;

(iii) since the time required to obtain a copy of the judgment is excluded in computing the period for filing appeal there was no good cause for the Republic not to file appeal within time.

Application dismissed.

No cases referred to in judgment

Judgment

Georges CJ: This is an application by the Republic for leave to file an appeal out of time.

At the close of the case for the prosecution on 13 April 1970, the advocate for the accused submitted that there was no case to answer. The trial magistrate agreed with the submission and dismissed the charge reserving his reasons to a date to be announced. Next on the proceedings is an undated ruling with the reasons for upholding the submission.

This course, in my view, was not proper. When a magistrate overrules a no-case submission and the trial is to continue, it is quite proper to reserve reasons for rejecting the submission and include them in the judgment at the close of the entire case. An accused person cannot, in any event, appeal against a ruling that he has a case to answer, so the reasons are not immediately relevant. Where such a submission is upheld, however, the ruling become, in effect, the judgment in the matter and must conform with s. 171 of the Criminal Procedure Code. It should be in writing, contain the points for decision and the reasons for the decision on each point. I have mentioned this aspect of the matter because it has some bearing on the application for leave to appeal out of time.

Section 335 of the Criminal Procedure Code provides that no appeal by the

Director of Public Prosecutions shall be entertained unless he shall have given notice of his intention to appeal to the subordinate court:

> "within 30 days of the acquittal finding, sentence or order"

and unless he shall have lodged his petition of appeal within 45 days of the said date. In computing the period of 45 days, the time requisite for obtaining a copy of the judgment or order must be excluded.

The issue is, what would be the date of the order in this case? Would it be 13 April 1970, when the accused was actually released, or the date not noted in the record when the reasons were read? I would think that the appropriate date is the date of the acquittal. There would be nothing to prevent notice of intention to appeal from being given then or within 30 days of that date. No obligation would arise to lodge a petition because the period requisite for obtaining a copy of the ruling would be excluded from the computation of the 45 days.

The affidavit supporting the application for leave to appeal out of time is in some respects unsatisfactory. Like the reasons for the ruling, it is undated – though the month has been typed in as "June". The notation shows that it was not filed until 20 August 1970.

It does not set out any reasons why the notice of intention to appeal was not given promptly. Had this been done, then when the Director of Public Prosecutions received the copy of the ruling on 18 June, he could, in complete compliance with the Code, have filed his petition within 45 days.

Section 335 provides that the High Court may for "good cause" admit an appeal notwithstanding that the periods of limitation prescribed in the section have elapsed.

The fact is that the affidavit filed by the applicant states no cause at all. It merely sets out very briefly the history of the matter and states that the Republic intends to challenge the ruling by applying for leave to appeal. In his argument, Mr. Rahim pointed out that the ruling was received two months late. This could explain the failure to lodge a petition but not to give notice. The result is that now some six months later leave is being sought to reverse an acquittal.

The periods allowed by the Code seem quite adequate, and I would hold that the words "good cause" should be meaningfully interpreted. None has been shown here and accordingly, leave is refused.

Application dismissed.

For the applicant:
M Rahim (State Attorney)

The respondent did not appear and was not represented.

Lakhamshi v Attorney-General
[1971] 1 EA 118 (CAN)

Division:	Court of Appeal at Nairobi
Date of judgment:	3 February 1971
Case Number:	33/1970 (25/71)
Before:	Spry V-P, Lutta and Mustafa JJA

Sourced by: LawAfrica

Appeal from: High Court of Kenya – Simpson, J

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[1] Negligence – Collision – Straight road – Both vehicles visible – Both parties equally to blame.

Editor's Summary

The appellant was driving a vehicle along a straight road in daylight when it collided with a police vehicle travelling in the other direction at a place where visibility was impaired by smoke blowing across the road. Each driver saw the other vehicle before entering the smoke. The trial judge held that the accident was caused by one or both of the drivers crossing the centre of the road, found that the appellant had not proved negligence by the police driver and dismissed the action.

Held –

(i) as each driver saw the other vehicle and neither took avoiding action, both were to blame;

(ii) as there was no means of distinguishing between them they should be held equally to blame. (*Baker v. Market Harborough Co-operative Society Ltd*. (2) followed).

Observations by **Spry, V.-P.,** on whether a court must find both parties to blame when the evidence is insufficient to establish negligence on the part of anyone.

Appeal allowed.

Cases referred to judgment

(1) *Bray and another v. Palmer*, [1953] 2 All E.R. 1449.

(2) *Baker v. Market Harborough Industrial Co-operative Society Ltd*., [1953] 1 W.L.R. 1472.

(3) *Wotta v. Haliburton Oil Well Cementing Co*. (1955), 2 D.L.R. 785.

(4) *Nesterczuk v. Mortimore* (1965 – 66), 115 C.L.R. 140.

(5) *Welch v. Standard Bank Ltd*., [1970] E.A. 115.

(6) *Simon and another v. Carlo and others*, [1970] E.A. 284.

3 February 1971. The following considered judgments were read.

Judgment

Lutta JA: This is an appeal from a judgment and decree of the High Court of Kenya dismissing the claim by the appellant for damages.

The action arose out of a motor accident on 2 February 1968 at about 5.30 p.m. along the Eldoret/Nakuru Road about 28 miles from Eldoret.

The plaint alleged that whilst the appellant was driving a Mercedes Benz car in the direction of Nakuru, a police vehicle, owned by the government of Kenya was so negligently driven by a servant of the government that it violently collided with the Mercedes Benz car.

The respondent was sued by virtue of s. 12 (1) of the Government Proceedings Act (Cap. 40). He denied, in his defence, that there was negligence on the part of the driver of the police vehicle and alleged that the collision was solely caused by the negligence of and breach of duty of the appellant, and counter-claimed Shs. 3,600/- being the value of the police vehicle which became a total loss.

The facts are briefly as follows: The appellant with other persons in the car was travelling to Nakuru on 2 February 1968, when the accident occurred at about 5.30 p.m. on a straight stretch of road which was sloping slightly uphill in the direction of Nakuru. At the spot of the accident there was smoke across the road from the grass-fires at the edge of the road on the appellant's side. The appellant's vehicle was travelling at a speed of 40 m.p.h. when the accident happened. The two vehicles collided and were extensively damaged in front on the off-side.

The trial judge held that the accident was caused by "one or both of the drivers crossing the mid-line of the road in the midst of the smoke" but did not say which driver did so. He said this:

> "There is no evidence that either was going at an excessive speed. There would undoubtedly be a tendency for the plaintiff to edge over to his right away from the fire but on the other hand either or both of them might have lost sight of the edge of the road in the smoke and drifted towards the middle."

He found that the appellant had not discharged the burden of proving negligence by the respondent's driver and dismissed the appellant's claim for damages. He also dismissed the respondent's counterclaim. He further went on to hold that, if he should be wrong in his finding, he would make the assessment of damages which he should have made had he found that the appellant succeeded in his claim. He accordingly assessed special damages at Shs. 13,571/- and general damages at Shs. 45,000/-. The damages for the respondent were agreed at Shs. 2,000/-. From that decision the appellant now appeals. There is no cross-appeal.

At the hearing of this appeal Mr. Gautama appeared for the appellant and Mr. Shields for the respondent. Mr. Shields conceded that the respondent's driver was equally to blame for the accident, that is, the liability in negligence by each party should be limited to 50 per cent. Mr Gautama argued that the respondent's driver was wholly to blame for the accident and submitted that the judge should have accepted Lalji Karsa's evidence that the respondent's vehicle remained in the middle of the road because of overtaking, as it had no opportunity to go to its correct side before the accident occurred. In my view the judge was right in finding that Lalji Karsa did not actually see the accident occur and I see no reason to interfere. Mr. Gautama submitted alternatively that as the judge was unable to say whether it was one or both the drivers to blame, he should have held both of them responsible equally and apportioned the blame equally. He relied on the case of *Baker v. Market Harborough Industrial Co-operative Society Ltd*. (2). Mr. Shields supported the judge's finding that the accident was caused by one or both of the drivers crossing the mid-line of the road in the midst of the smoke. The question that arises is, on the facts of the case, what inference is to be drawn from them on the issue of liability in negligence. The judge held that the appellant had not discharged the burden laid on him of establishing that the respondent's driver was negligent. There is no doubt that there was negligence. The two vehicles were travelling at reasonable speeds. The appellant saw the respondent's vehicle before he entered the area covered by the smoke and before the spot of the accident. He said in his evidence "I first saw the oncoming car at the top of the hill about 100 – 150 feet away". The respondent's driver said in evidence "When I was near the smoke I saw it (the appellant's car,) on the other side of the smoke". It seems to me that the

drivers saw each other's vehicles in sufficient time to avoid the accident by keeping a proper look out, and driving their vehicles on the correct side of the road in order to avoid the collision. An inference that they both failed to give way to the other is irresistible. Each driver could have pulled on to his near-side of the road or stopped to allow the other to pass through the smoke before driving through it; neither did so. No avoiding action was taken by either of the drivers. In the circumstances both the drivers are to blame, and in the words of Lord Denning in the case of *Baker v. Market Harborough Industrial Co-operative Society Ltd*. ([1953] 1 W.L.R. 1472):

> "once both are to blame, and there are no means of distinguishing between them, then the blame should be cast equally on each."

For these reasons I would allow the appeal and set aside that part of the judgment and decree which provides that the plaintiff's suit be dismissed with costs and order that the decree be varied by providing that as between the drivers the negligence of the respondent's driver contributed as to 50 per cent to the accident and that of the appellant as to 50 per cent, and order that the amount of damages to be awarded to the appellant be limited to 50 per cent of the sum assessed. I would order that the respondent pay 50 per cent of the costs in the High Court. As regards costs of the appeal, I would order that the respondent pays 50 per cent of the costs of the appellant.

Spry V-P: I agree with the judgment of Lutta, J.A., and I am only adding a few words because of certain remarks made during the hearing of this appeal which suggested that both the advocates who appeared before us were of the opinion that it is settled law in East Africa that where the evidence relating to a traffic accident is insufficient to establish the negligence of any party, the court must find the parties equally to blame.

This view is based on the judgment of Lord Denning in *Baker v. Market Harborough Industrial Co-operative Society Ltd*. (2) and it appears to have been followed in the High Court of Kenya, by Madan, J., in *Welch v. Standard Bank Ltd*. (5), and Tanzania, by Platt, J., in *Simon v. Carlo* (6). So far as these East African decisions are concerned, I think each can fully be justified on its own particular facts, without the necessity for invoking any general principle. So far as England is concerned, there is a wide range of judicial opinion, as appears (*inter alia*) from the several judgments in *Bray v. Palmer* (1) and *Baker's* case (2), and there appear to have been judgments in Australia and Canada dismissing claims and counterclaims where there was no evidence to show which of the parties had been negligent. *Nesterczuk v. Mortimore* (4); *Wotta v. Haliburton Oil Well Cementing Co*. (3) – unfortunately neither report is available to us.

I accept that a judge is under a duty when confronted by conflicting evidence to reach a decision on it. I accept that in relation to most traffic accidents it is possible on a balance of probability to conclude that one or other party was guilty, or that both parties were guilty, of negligence. I accept that in many cases, as for example, where vehicles collide near the middle of a wide, straight, road, in conditions of good visibility, with no obstruction or other traffic affecting their courses, there is, in the absence of any explanation, an irresistible inference of negligence on the part of both drivers, because if one was negligent in driving over the centre of the road, the other must have been negligent in failing to take evasive action. I think that it is usually possible, although often extremely difficult, to apportion the degree of blame between two drivers both guilty of negligence but I accept that where it is not possible, it is proper to divide the blame equally between them.

Where, however, there is a lack of evidence, as opposed to a conflict of

evidence, I am inclined to think that the position is different. I personally find it difficult to see how a party can be found guilty of negligence if there is no evidence that he was in fact negligent and if negligence on his part cannot properly be inferred from the circumstances of the accident. This problem does not arise on the present appeal and it is unnecessary for us to decide it.

So far as the present appeal is concerned. I am satisfied that there must have been negligence on the part of both drivers. I would have been inclined on the evidence, unsatisfactory as it is, to hold the driver of the Mercedes rather more to blame than the police driver, had not Mr. Shields conceded fifty per cent liability. As it is, I agree that the appeal must succeed as to fifty per cent liability and with the order proposed. as mustafa, J.A., also agrees, it is so ordered.

Mustafa JA: Two motor vehicles, while travelling in opposite directions on a dry tarmac road, collided with each other. The road was wide enough for both the vehicles to have passed each other easily. There was no undue speeding by either vehicle. No evidence of any mechanical defect in either vehicle was adduced. There was some smoke hanging across the road which might have reduced visibility somewhat. Each driver blamed the other and the point of impact was, on the available evidence, most probably somewhere near the middle of the road.

The trial judge in the course of his judgment said:

> "The accident was clearly caused by one or both drivers crossing the mid-line of the road in the midst of smoke.
>
> On the evidence it is impossible to say which driver did so . . .
>
> The plaintiff not having satisfied the burden laid upon on him of proving negligence by the defendant's driver his claim must fail. Consequently the defendant's counter-claim must fail."

It was clear there was negligence on the part of both the drivers since the point of impact was most probably somewhere near the middle of the road. The trial judge, with respect, erred therefore in dismissing both the claim and counter-claim in the circumstances. In my view he should have divided the liability between the parties equally if he was unable to decide which party was more to blame than the other.

I respectfully agree with the Vice-President and Lutta, J.A. that the judgment and decree of the High Court be set aside and I concur with the order proposed by Lutta, J.A.

Appeal allowed.

For the appellant:
SC Gautama and *RR Shah* (instructed by *Shah & Shah*, Nairobi)

For the respondent:
JF Shields (Senior State Counsel)

Harnam Singh and others v Mistri
[1971] 1 EA 122 (CAN)

Division:	Court of Appeal at Nairobi
Date of judgment:	10 February 1971
Case Number:	43/1970 (28/71)
Before:	Sir William Duffus P, Spry V-P and Lutta JA

Sourced by: LawAfrica

Appeal from: High Court of Kenya – Trevelyan, J

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[1] Rent restriction – Notice to quit – Reference to tribunal – Out of time – Can be allowed after action for possession filed – Landlord and Tenant (*Shops, Hotels and Catering Establishments*) *Act* (*Cap.* 301), *s.* 6 (*K.*).

[2] Civil Practice and Procedure – Stay of proceedings – When court has power to order.

[3] Appeal – Discretion – Exercise of judge's powers – Whether Court of Appeal will interfere.

Editor's Summary

The appellants served on the respondent a notice terminating his tenancy. The respondent notified the appellants that he did not agree to the termination but he did not refer the notice to the tribunal within the time allowed. He sent the cheque for the next month's rent but this was not returned until a further cheque was sent. The appellant filed action in the High Court claiming possession of the premises and after it was filed but before the summons was served on him the respondent applied to the tribunal for an extension of the time for referring the notice, which relief could only be given by the tribunal.

The respondent applied to the High Court for a stay of the possession action, and this was granted.

The appellants appealed contending that the court had no power to grant a stay as the respondents had an absolute right to possession on the filing of action, that there was a limit on the power to extend time, and that the judge incorrectly exercised his discretion to grant a stay.

Held –

(i) the power to extend time operates after the moment when a vested right is acquired which is after the expiry of the notice, not when action is filed;

(ii) the court has power to order a stay (*Yusuf Ali Chaudry v. Koh-i-Noor Eng. Works* (6) followed);

(iii) the judge correctly considered that the application for extension of time should be heard, and he therefore correctly stayed the High Court proceedings.

Appeal dismissed.

Cases referred to judgment

(1) *Thompson v. South Eastern Ry. Co*. (1882), 46 L.T. 513.

(2) *Preston v. Luck* (1884), 27 Ch. D. 497.

(3) *Rechnitzer v. Samuel* (1906), 95 L.T. 75.

(4) *Jadva Karsan v. Harnam Singh Bhogal* (1953), 20 E.A.C.A. 74.

(5) *Shah Hemraj Bharmal & Bros. v. Santosh Kumari*, [1961] E.A. 679.

(6) *Yusuf Ali Chaudry v. Koh-i-Noor Eng. Works*, H.C.C.C. 845 of 1967 (unreported).

(7) *Mbogo v. Shah*, [1968] E.A. 93.

10 February 1971. The following considered judgment were read.

Judgment

Spry V-P: This is an appeal from an order of the High Court of Kenya staying proceedings in a suit for possession of certain premises in Nairobi, occupied by the respondent on a monthly tenancy from the appellants.

On 31 January 1970, the appellants served on the respondent a notice under s. 4 of the Landlord and Tenant (Shops, Hotels and Catering Establishments) Act (Cap. 301), purporting to terminate the tenancy with effect from 1 April on the ground that the respondent had committed substantial breaches of his obligations under it or, alternatively, altering its terms by a large increase in the rent.

On 27 February, the advocates for the respondent wrote to the advocates for the appellants notifying them that the respondent did not agree to the proposed termination or alteration of the terms of the tenancy. He had then, under s. 6 of the Act, if he wished to oppose the notice, to refer the matter to the appropriate tribunal appointed under the Act and such reference should have been made before the notice expired, although such tribunal has power to extend the time.

On 6 May, no reference then having been made, the respondent filed the suit in which the order now appealed against was made. It may be remarked that the summons was not served on the respondent until 25 May.

On 12 May, the respondent filed with the tribunal a notice of motion applying for the extension of time to file a reference under the Act. This was heard and the tribunal gave its decision on 11 June. The substance of the decision was that the proceedings were stayed “until the outcome” of the present suit.

No appeal was lodged against this decision but on or about 8 June, the respondent filed a defence to the suit and on or about 10 June filed a notice of motion applying for a stay of the suit pending the determination of the proceedings before the tribunal. The application was heard on 26 June and on 3 July, Trevelyan, J., made an order staying the proceedings “pending the Tribunal’s decision”, and reserving the question of costs. It is against that order that the present appeal is brought.

The main ground on which the appeal was argued was a submission that the High Court had no power to order a stay: no reference to a tribunal having been made by 1 April, when the notice had expired, the tenancy came to an end in law; the appellants had an absolute right to file a suit for possession and that the filing of that suit created a vested interest. Mr. Slade, who appeared for the appellants, submitted that the legislature could not have intended the power for a tribunal to extend time to be exercised in interference with vested rights. He argued that the power to extend time, though not expressly limited, must be subject to a time limit and that this should be when the matter became subject to the jurisdiction of a court. If there was no power in the tribunal to extend time, then clearly the High Court could not or should not stay its proceedings on account of an application to the tribunal to do so.

In an earlier High Court case, *Yusuf Ali Chaudry v. Koh-i-Noor Eng. Works* (6), Rudd, J., stayed a suit in similar circumstances but Mr. Slade asked us to hold that the decision was wrong.

In spite of Mr. Slade’s most persuasive arguments, I am unable to accept his submission and I am not prepared to say that Rudd, J., was wrong. I think that the moment when the appellants acquired a vested right was when the notice expired, not when the suit was filed, and the power to extend time clearly operates after that date. Moreover, the exercise of a power to extend time does

commonly operate adversely to vested interests. For example, this Court has power to extend time for appeal, even after that time has expired, although the respondent to such an application has a vested right in the judgment in his favour.

I may add that the English cases of *Thomson v. South-Eastern Rly. Co*. (1) and *Rechnitzer v. Samuel* (3) appear to me to lend some support to my opinion that the filing of a suit does not in itself create any vested right.

Mr. Slade also argued that the tribunal had, at the time when the High Court granted a stay of the suit, already made its decision and refused to entertain the application; therefore it was inapt to stay the suit pending the tribunal's decision. He based this argument, first, on the fact that the tribunal's decision was headed "judgment" and, secondly, on the fact that it ordered a stay until the "outcome" of the suit and this, in Mr. Slade's submission, must mean the final determination. For my part, I attach no significance to the use of the word "judgment": there is a great deal of confusion even in the highest courts as to the correct designation for certain decisions and our legislation is not always consistent on the subject. I think that one must always look to the substance and not the designation of a decision. Incidentally, I doubt if it is ever strictly correct to describe as a judgment a determination by a tribunal appointed under the Act. Secondly, I think that the use of the word "stay" clearly indicates that this was not a rejection of the application but merely an interlocutory order.

Again, Mr. Slade argued that the present position, with orders of stay operating both in the tribunal and in the court, was one of deadlock and therefore could not be one which the legislation intended or allowed. I think, with respect, that one must take a rather broader view of the matter. I have no doubt that the members of the tribunal were doubtful whether they could properly proceed when proceedings were pending in the High Court, more particularly when those proceedings had been initiated before the application to the tribunal. I think they were right to stay the proceedings before them and I do not think any particular significance should be attached to the form of their order. When the matter came before the High Court, the judge thought that the application for extension of time ought to be heard, and, as he had no jurisdiction to deal with it himself, this could only be done if the suit were stayed. He accordingly ordered a stay, thereby allowing the tribunal to proceed. I cannot see that this resulted in a state of deadlock.

Mr. Gautama, for the respondent, argued, and I think rightly, that the High Court has inherent jurisdiction to order a stay in any suit, for sufficient reason, and that so far as the power to order a stay is concerned, as distinct from the question whether a stay ought to be ordered, the provisions of the Act are irrelevant.

I have no doubt that the High Court had power to order a stay and I would reject this ground of appeal.

Before passing to the next ground of appeal, I should mention that we heard some argument on whether the law with which we had to deal was that contained in the Act as originally enacted or as amended by Act No. 2 of 1970. The amendments do not affect the present appeal, except possibly that to s. 10. That section provides that, subject to the power of a tribunal to extend time or waive other irregularities, a notice served by a landlord under s. 4 shall, if the tenant fails to take the necessary action, have effect to terminate the tenancy or alter its terms. It formerly contained the words "and may be enforced by a court of competent jurisdiction". Mr. Slade suggested that the deletion may have been intended to prevent a court from being fettered by the discretionary power of the tribunal. I do not, with respect, think the amendment can have that result, because the effect of the notice remains qualified and no court can ignore that. I am at present inclined to the view that the amendment is only technical and

makes no substantial change in the law; but as this matter has not been fully argued and is not necessary to the decision of this appeal, I prefer not to express any firm opinion on it.

The second ground of appeal was that even if the court had power to order a stay, it ought not to have done so. Mr. Slade submitted that the stay should not have been ordered unless the court was satisfied that there was a reasonable likelihood that the application to the tribunal would succeed. He cited in support of this proposition the English case of *Preston v. Luck* (2) which concerned an interlocutory application for a prohibitory injunction, in which it was said that:

> "though the court is not called upon to decide finally on the right of the parties, it is necessary that the court should be satisfied that there is a serious question to be tried at the hearing, and that on the facts before it there is a probability that the plaintiffs are entitled to relief."

Mr. Slade submitted that a similar principle should govern the granting of applications for a stay of proceedings. I do not, with respect, think that the considerations that would apply to a stay of proceedings are necessarily the same as those which apply to an interlocutory injunction, although they may not be greatly different. There is no doubt that there is an inherent power to stay proceedings where the ends of justice so require, *Jadva Karsan v. Harnam Singh Bhogal* (4). In the present case, I think that the judge had to consider, first, whether there was, *prima facie*, a case for extension of time and, secondly, if so, whether the interests of justice required that the respondent be given the opportunity of presenting that case.

Mr. Slade accepted, of course, that this court will only interfere with the exercise of a judicial discretion in very limited circumstances, *Mbogo v. Shah* (7), but he submitted that this was a proper case for interference, because the judge had misdirected himself in various respects regarding the affidavit evidence. With respect, I do not propose to deal with these alleged misdirections. There was substantially similar affidavit evidence filed in the tribunal and in the court. So far as this related to the alleged reasons for the delay in referring the matter to the tribunal, I do not think it was for the judge to evaluate it. I do not think he had to do more than decide whether, on that evidence, a tribunal directing itself properly could reasonably find sufficient cause for extending time. The judge clearly thought that there might be sufficient cause.

On the more general question, the judge was obviously, and in my view rightly, influenced by the fact that the tribunal had power to grant relief to the respondent, whereas the court had no such power. If he granted the stay, the application for extension of time would be considered on its merits and then, if the tribunal found sufficient cause, the merits of the main dispute between the parties would be decided: on the other hand, if he refused to stay, neither of these questions could be considered. In my view, the judge was right to grant the stay, because I think the interests of justice required it and at the same time he was fulfilling the intention of the legislature by allowing issues between landlords and tenant to be determined by the tribunal appointed for that purpose. Even, however, if I had not shared the views of the judge, I should not have felt justified in interfering with his decision, since he had a discretion which he exercised judicially and I am not satisfied that any misdirections on the evidence affected that decision. I would therefore reject the second ground of appeal.

There is one matter of detail on which I must briefly comment. In the course of dealing with the question whether the application for extension of time had any reasonable prospect of success, Mr. Slade suggested that a cause of delay might have been negligence on the part of the respondent's advocates and he

argued, relying on two English cases, that such negligence could not afford sufficient cause for allowing the application. Negligence on the part of his advocate has not been alleged by the respondent and it is unnecessary for us to consider it, but I think I should remark that in relation to applications to this court for leave to appeal out of time, it has been held that mistakes of a legal adviser may amount to sufficient cause but not inordinate delay on his part, *Shah Hemraj Bharmal & Bros. v. Santosh Kumari* (5); that would appear a more relevant authority.

Finally, Mr. Slade argued that if the judge had power to order a stay and was right in doing so, he should at least have granted the stay only on terms. These should, in Mr. Slade's submission, have been that the respondent pay the costs of the motion and of the suit to date and pursue his application to the tribunal with diligence.

I have found the question of costs in the High Court a difficult one. As a general rule, where a tenant gives notice of his intention to oppose a notice under the Act but does not proceed to refer the matter to a tribunal and the landlord files a suit for possession, a stay should, I think, be conditional on the tenant paying the costs of the proceedings in the court, because the landlord has no alternative to filing a suit; the Act does not appear to give him any right to refer to a tribunal. There are, however, certain special features in the present case. The appellants' notice expired on 31 March. On 1 April, the respondent sent the appellants a cheque for the rent for April. On 4 May, he sent them a cheque for the rent for May. On 6 May, the appellants returned both cheques with a letter stating that a suit was being filed. The suit was filed on the same day. The respondent claims that he was hoping an amicable settlement could be reached and that the fact that his April cheque had not been returned led him into a false sense of security. The judge spoke of this having been done deliberately: with respect, I do not think he should have said this, because there has been no adjudication yet on the facts. I would go no further than say that when the facts have been gone into, it may appear that the appellants are not entitled to their costs in the High Court or not to the whole of them. At this stage, therefore, though possibly for a different reason from that of the judge, I would agree with the order reserving the costs in the High Court.

I would have been inclined to include a condition that the proceedings before the tribunal be prosecuted with diligence but as Mr. Gautama gave a personal undertaking in this respect, I do not think it necessary.

I would dismiss the appeal, with costs, with a certificate for two advocates.

Sir William Duffus P: I agree with the judgment of the Vice-President, and as Lutta, J.A. also agrees, the appeal is dismissed with costs, and with a certificate for two advocates.

Lutta JA: I also agree.

Appeal dismissed.

For the appellants:
H Slade and *RN Khanna* (instructed by *Khanna & Co*, Nairobi)

For the respondent:
SC Gautama and *LP Maini* (instructed by *Maini & Patel*, Nairobi)

Esso Standard Eastern Inc v Income Tax
[1971] 1 EA 127 (HCK)

Division: High Court of Kenya at Nairobi; Court of Appeal at Nairobi

Date of judgment:	18 July 1969
Case Number:	32/1967 (35/71); 44/1969 (99/70)
Before:	Wicks J; Duffus P, Spry V-P, Law JA
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[1] Appeal – Out of time – Public importance of appeal a ground for extension of time for serving notice of appeal.

[2] Income Tax – Appeal – Facts not disputed – Not of pure fact – Appeal competent – East African Income Tax (*Management*) *Act* 1958, *s.* 113.

[3] Income Tax – Income – Accrued in or derived from Kenya – Interest on loan made in New York not accrued in or derived from Kenya – East African Income Tax (*Management*) *Act* 1958, *s.* 3.

Editor's Summary

The commissioner of income tax confirmed an assessment on the appellant of income tax on interest received by it in respect of a loan. The agreement of loan was made with a Kenya company for the construction of a refinery in Kenya and for working capital. The agreement was made in New York, the payment of the loan was made in New York in dollars and all repayments were to be made in New York in dollars. A full statement of facts and the full terms of the agreement are set out in the judgment. The question at issue was whether the interest on the loan accrued in or was derived from Kenya.

Held –

(i) the words "accrued in" and "derived from" are synonymous (*Commissioner of Taxation v. Kirk*, (3) followed).

(ii) the source of income is the place from which it is derived and this is a question of fact;

(iii) the source of the interest was the contract made in New York, the location of that source was New York and the interest neither accrued in nor was derived from Kenya.

Appeal allowed.

Cases referred to judgment

(1) *Sulley v. Attorney-General*, 3 H.C.N. 711.

(2) *Grainger & Son v. William Lane Gough*, [1896] A.C. 325.

(3) *Commissioner of Taxation v. Kirk*, [1900] A.C. 588.

(4) *Lovell & Christmas Ltd. v. Commissioner of Taxes*, [1908] A.C. 46.

(5) *Nathan v. Federal Commissioner of Taxation* (1918), 25 C.L.R. 183.

(6) *Studebaker Corporation of Australia Ltd. v. Commissioner of Taxation* (1921), 29 C.L.R. 225.

(7) *Pickles v. Foulsham* (1923-25), 9 T.C. 261.

(8) *Fleming v. Wilkinson* (1924-26), 10 T.C. 416.

(9) *Anglo-Persian Oil Co. Ltd. v. Commissioner of Income Tax* (1935), 38 C.N.L.R. 349.

(10) *Tariff Reinsurances Ltd. v. Commissioner of Taxes* (1938), 59 C.L.R. 194.

(11) *Bennett v. Marshall*, [1938] 1 K.B. 596.

(12) *Liquidator, Rhodesia Metals Ltd. v. Commissioner of Taxes*, [1940] A.C. 774.

(13) *Commissioner of Inland Revenue v. Lever Brothers and Unilever Ltd.* (1946), S.A.T.C. 441.

(14) *Commissioner of Inland Revenue v. N. V. Philips' Gloeilampenfabrieken* (1955), N.Z.L.R. 868.

(15) *Commissioner of Income Tax v. P. Co. Ltd.*, 1 E.A.T.C. 131.

(16) *E. C. Boucher v. Income Tax Commissioner*, [1965] E.A. 576.

Judgment

Wicks J: The Commissioner of Income Tax having confirmed an assessment made on the appellant on a sum of interest received by the appellant they appeal to this court against that assessment.

The statement of facts filed by the appellants was:

1. The appellant is a company incorporated in the United States of America. It has no branch office or permanent establishment in Kenya. It carries on no trade, and has no staff, property or other assets, either in Kenya or in any other part of Eastern Africa.
2. The appellant, in common with certain other companies, made a loan to East African Refineries Limited (hereinafter called "the refinery company") a company incorporated in Kenya, to enable it to erect an oil refinery at Mombasa and provide initial working capital.
3. The amount so lent by the appellant was $1,985,130 and the terms of the loan are set out in an agreement between the appellant and the refinery company dated 27 May 1964.
4. The said agreement was made in New York. It provided, *inter alia*, that the loan should be made in New York, and that it should be recorded in the refinery company's books as a debt due in dollars.
5. The said agreement further provided that every payment of interest thereunder and every repayment of principal should be made in New York in U.S. dollars.
6. On 27 May 1964, the appellant duly paid the said sum of $1,985,130 to the refinery company in New York.
7. The said agreement did not provide for the giving of any security for the loan and no security for the loan was given by the refinery company to the appellant.
8. In respect of the year of Income 1964 the refinery company duly paid interest on the said loan in U.S. dollars in New York in the sum of U.S. $84,062.
9. The Assistant Commissioner of Income Tax (Mombasa District) issued to the appellant a notice of assessment dated 28 January 1966 (Fine No. 5518 Assessment No. 55/6079) assessing to income tax and corporation tax interest in the amount of £30,022. The said amount is the sterling equivalent of the sum of dollars mentioned in the preceding paragraph calculated to the nearest pound sterling.
10. By letter dated 1 February 1966, addressed to the Assistant Commissioner of Income Tax at Mombasa, Mr. K. Bechgaard, Q.C., duly gave notice of objection to the said assessment on behalf of the appellant.
11. By a notice dated 25 May 1967, the Assistant Commissioner of Income Tax notified the appellant that he confirmed the assessment and was not prepared to amend it in accordance with the objection.

12. At the hearing of this appeal the appellant proposes to adduce such documentary or other evidence as shall be required to or other evidence as shall be required to prove the foregoing facts and such evidence shall include, *inter alia*, one or more of the following:

    (i) The said loan agreement;

    (ii) The memorandum and articles of association or charter or statutes or other instrument constituting or defining the constitution of the appellant;

    (iii) A copy of the letter dated 1 February 1966, referred to in para. 10 hereof;

    (iv) Such balance sheets, profit and loss accounts, correspondence and books of accounts as may be deemed necessary or advisable by the appellant;

    (v) The oral evidence of an officer or officers of the Appellant company or of the refinery company required to prove the facts stated in paragraphs 2, 3, 4, 6, 7 and 8 hereof.

The statement of facts filed by the respondent was:

1. That the appellant was a corporation organised and existing under the laws of the State of Delaware, United States of America, whose principal place of business is at 15 West 51st Street, New York, New York 10019, U.S.A.

2. That by an agreement dated 27 May 1964 made in New York the appellant agreed to lend to the East African Oil Refineries Limited (hereinafter referred to as the refinery company) a company incorporated in Kenya whose registered office is at Land Reference Office No. 10766, Changamwe, Mombasa, a sum of U.S. $1,985,130 with interest payable by the Refinery Company to the appellant on the amount outstanding from time to time at the rate of 8% p.a. quarterly.

3. That an assessment No. 55/6079 which is the subject of this appeal for the year of Income 1964 was raised against the Appellant under section 3(*c*) of the East African Income Tax (Management) Act 1958.

4. That under the said agreement principal moneys lent by the appellant to the refinery company were to be employed solely in East Africa for initial construction and working capital of the refinery company.

5. That the interest paid to the Appellant by the refinery company was income derived from or accrued in East Africa as earnings in East Africa of the principal moneys thus employed in East Africa.

6. That the source of income thus charged was within the Territories and therefore liable to tax under the East African Income Tax (Management) Act 1958.

7. That except insofar as the foregoing may admit any allegations, the respondent does not admit the appellant's contentions in the Statement of Facts.

8. That without prejudice to the foregoing, the respondent will at the hearing rely on or adduce oral or documentary evidence or both in support of the foregoing

The grounds of appeal were:

1. The Appellant Company being neither resident in the Territories nor carrying on business there, nor having any branch office or permanent establishment there, is not liable to pay either income tax or corporation tax in East Africa.

2. The East African Income Tax (Management) Act, 1958, charges interest to tax only where it accrues in or is derived from the Territories (as defined by the said Act) and the interest charged in the said assessment neither accrued in, nor was derived from, the Territories.

3. The source of the income sought to be charged was outside the Territories and the income is not liable to tax whether under s.3 (*c*) of the said Act or under any other provision.

4. The said assessment is wrong in law and should never have been made or confirmed.

The agreement referred to in the Statement of Facts is:

"This Agreement is made as of the 25th day of June 1964 in New York, N.Y., between Overseas Tankship Corporation a company incorporated in the Republic of Panama whose registered office is at Avenue 7 Espana, 180 Panama, Republic of Panama (hereinafter called "the Lending Company") of the one part and East African Oil Refineries Limited a company incorporated in Kenya whose registered office is at Land Reference Office, No. 10766 Changamwe, Mombasa (hereinafter called "the Refinery Company") of the other part

whereas

(A) The Refinery Company has constructed an oil refinery at Mombasa, Kenya (hereinafter called "the Refinery");

(B) The Shell Petroleum Company Limited, The British Petroleum Company Limited, California Texas Oil Corporation and Esso Standard Eastern, Inc. (hereinafter collectively called "the Participants") have agreed to provide or arrange for the provision of loans in certain proportions to the Refinery Company in connection with the initial construction of the Refinery and the provision of initial working capital to the Refinery Company;

Now therefore it is hereby agreed as follows:

1. In this Agreement the expression "Shareholding Percentage" means, in relation to any of the Participants at any time, the proportion, in terms of percentage, which the aggregate of the shareholdings in the Refinery Company of the Participant in question and its affiliates at that time bears to the aggregate of all the shareholdings in the Refinery Company of all the Participants and their affiliates at that time.

2. (A) Subject to and upon the terms and conditions hereof the Lending Company, being an affiliate of California Texas Oil Corporation, shall on June 25 1964 lend to the Refinery Company U.S. $1,829,434 (One Million Eight Hundred Twenty Nine Thousand Four Hundred Thirty-Four U.S. Dollars) at Barclays Bank D.C.O. in New York being California Texas Oil Corporation's Shareholding Percentage of the amount of loan finance required by the Refinery Company to cover the initial construction cost of the Refinery and the initial working capital.

(B) The loan to be made hereunder shall be recorded by the Refinery Company in its books as a debt due to the Lending Company in U.S. Dollars.

3. Interest shall be payable by the Refinery Company on the amount outstanding from time to time hereunder at the rate of eight per cent per annum payable quarterly on 31st March, 30th June, 30th September and 31st December in each year, such interest to be calculated on a day to day basis beginning June 29, 1964.

4. Every payment of interest hereunder and every repayment of principal hereunder shall be made in United States Dollars in New York.

5. (A) The Refinery Company may at any time on giving seven days' telegraphic or cabled notice to the Lending Company repay all or any part of the sum borrowed and outstanding hereunder, provided that such

repayment shall be part of an arrangement whereby each Participant simultaneously receives repayment of the same percentage of the balance of its loans then outstanding.

(B) All sums lent hereunder shall, if not previously repaid, be repaid by 31st December 1968.

6. If the Refinery Company shall fail to pay any interest hereunder on the due date the Lending Company may serve written or telegraphic notice on the Refinery Company claiming the benefit of this Clause, whereupon if such failure to pay interest is not remedied within fourteen days of the despatch of such notice the total amount outstanding hereunder together with all unpaid interest shall, notwithstanding anything hereinbefore contained, become repayable on demand.

7. The Refinery Company shall bear all stamp duties payable on this Agreement.

8. All notices, requests and demands hereunder shall be given to or made upon the parties at their respective addresses given above or as to either party at such other address as that party may have designated in writing to the other party.

9. This Agreement shall be interpreted in accordance with and shall be subject to the jurisdiction of the laws of the State of New York."

The evidence of Mr. Gerald Groom the secretary and financial manager of the East African Oil Refinery Ltd. (which I will refer to as the refinery company), was that the agreement was made in New York and signed on behalf of the refinery company in New York. The sum lent was transferred from the appellants Bank in New York to a branch of the refinery company's Bank in New York in United States dollars, and that sum was transmitted to Kenya on the refinery company's order and was recorded in the refinery company's books in United States dollars. As far as Mr. Groom knew his company paid the exchange rate and there was no security for the loan. The interest was paid by the refinery company instructing their Bank in Mombasa to purchase the necessary United States dollars on their behalf in New York, charging the expenses of doing so to the refinery company. The refinery company's bank in New York then transferred the sum in United States dollars to the appellant's bank in New York.

The assessment appealed against was charged under s.3 (*c*) of the East African Income Tax (Management) Act 1958 which is:

"Tax shall, subject to this Act, be charged for each year of income upon the income of any person which accrued in or was derived from the Territories in respect of . . .

. . . . . .

(*c*) dividends, interest or discounts."

Mr. Rowland, who appeared for the appellant, submitted that the income taxed neither "accrued in" nor was "derived from" the Territories, that it was a New York and not a Kenya loan and, although there is a reference in the agreement to the finance being acquired to cover the cost and initial working capital of the refinery company, there is no provision that the money should in fact be used for that purpose. The loaned amount could have been put on deposit by the Refinery Company in New York, London, Kenya or elsewhere, and that company could have used the money for building a refinery, or for working capital, outside Kenya. That the refinery company, paying the interest in New York in United States dollars from its bank in New York, could have done so from funds which had never left New York or which had been transferred from London, Kenya, or elsewhere. Mr. Rowland observed that, on

the merits tax avoidance from the aspect of an attempt to avoid tax here and elsewhere, was not an object; the loan being an American loan was subject to American taxation and if the appellants are liable to tax here they will suffer a high rate of tax in two countries, there being no double taxation agreement between the United States and Kenya. This, although it is of interest, is not a factor that can be taken into consideration.

Mr. Otieno who appeared for the respondents, submitted that the loan was used in Kenya, that the debt was enforceable in Kenya, that the interest on the loan accrued in Kenya and the loan was written under the agreement in the books of the Refinery Company in Kenya so to the practical man the loan was, under the agreement, for the purpose of investment in Kenya, with the result that the interest was derived from Kenya.

To be taxable the income must have "accrued in" or been "derived from" Kenya. Fortunately the use of these alternatives does not require a separate enquiry into the meaning of each. In the case of *Commissioner of Taxation v. Kirk* (3) Lord Davey said ([1900] A.C. 588, at p. 592):

> "Their Lordships attach no special meaning to the word 'derived' which they treat as synonymous with 'arising' or 'accruing'."

Mr. Otieno did say at one stage that he might submit that there was a difference in the meaning of these words but the matter was not pursued and I accept that the words are synonymous.

When considering decisions of the courts made in other countries there must be a constant guard against the danger of applying the decisions on one statute to another statute differently worded. Briggs, J.A. in the case of *The Commissioner of Income Tax v. P. Co. Ltd.* (15), quoting Lord Davey's judgment in the case of the *Liquidator, Rhodesia Metals, Ltd. v. Commissioner of Taxes* (12) referred to this and continued (1 E.A.T.C. 131, at p. 162):

> "I bear in mind that the words 'derived from' do not appear in English law and must be construed on their own merits. It is valuable again for its decision (at p. 789) that 'income can quite plainly be derived from more than one source even where the source is business'. Most valuable of all, I think is their Lordships' apparent acceptance of the view that the source of an income and the place from which it is derived are the same, and the source or derivation is a question of fact."

What was the source of the interest in this case? The respondent says that the refinery company, having paid the interest, that company is the source of it, the intermediate source was the agreement made in New York, but the original source was the order to pay made by the borrower in Kenya or to put the same proposition in another way, since the lender was entitled to receive a sum of money remitted from a company in Kenya, what the lender received had its source in Kenya. These propositions did not find favour with Briggs, J.A. in *P. Co. Ltd.'s* case (15) when he said (1 E.A.T.C. at p. 163):

> "even if I could disregard the English cases, which have been closely directed to the true source of emoluments, I should still consider that one could in no case look for a source of income more remote than the company itself. I am of opinion that it is perfectly legitimate to accept the guidance of the English authorities as to where income has its source."

At first sight the decision in *P. Co. Ltd.'s* case (15) appears to govern this case. The appellant company is an American company, the contract was made in America and the interest was paid in America, and one cannot look for a source of income more remote than the American company itself. The matter

is not simple. *P. Co. Ltd.'s* case concerned the remuneration of directors, here the subject is interest and, source or derivation of a sum of money assessed being a question of fact, the conclusion on one set of facts, for instance remuneration of directors, cannot be accepted as binding on other facts, for instance salaries, income derived from business and, as here, interest on a loan. However in every case it has been firmly established that the enquiry must be directed to ascertaining the source of the amount sought to be taxed. The source of income is not a legal concept but a matter of fact. In *Nathan v. Federal Commissioner of Taxation* (5) Isaacs, J., said that source was not a legal concept, but something which a practical man would regard as a "source of income" and the ascertainment of the actual source of a given income is a practical hard matter of fact. This proposition has not been questioned and I accept that it is the basic principle on which this case must be decided.

As I understand Mr. Otieno's contention the contract under which money is lent is only one of the factors to be taken into consideration when ascertaining the source of income. The contract was made in New York but the hard matter of fact was that the intention of the parties was that the money be brought to Kenya and it was brought here and these are relevant facts. The movement of money from one country to another and the possible effect of such transfers on identifying the source of income was considered in a case in New Zealand. *Commissioner of Inland Revenue v. N. V. Philips' Gloeilampenfabrieken* (14). The facts can be stated quite shortly: A. a company registered in New Zealand, owed a trading debt to B. a company registered in Holland. A. entered into a loan agreement with B. in Holland in the amount of the trading debt. The debt was expressed to be repaid in Holland, the interest to be paid in Holland. B. sent A. a cheque in the amount of the loan drawn on a bank in London and payable at that bank to the order of A. On receipt of the cheque, A. endorsed it payable to B. and returned it to B. in payment of the trading debt. The question was could B. be properly assessed to income tax on the interest received from A. Answering the question: can it be said that interest paid by a New Zealand Company on money borrowed abroad is, in the hands of the recipient, income derived directly or indirectly from "a source in New Zealand"? Gresson, J. said ((1955) N.Z.L.R. at p. 868):

> "The money was paid because the New Zealand company had contracted to pay it; so that in some sense, it can be said the obligation which had been entered into was the source of the payment made. But one must look behind that. It is seldom that a person makes a payment except under an obligation to do so, and it is, I think, unreal and incompatible with a practical approach to regard the obligation as the source. It is what produced the obligation that is important. A lessee pays rent because he has entered into an obligation to do so, but he has only done this on terms that the land is made available to him. An obligation is seldom, if ever, accepted *in vacuo*: it requires some transaction to give it birth. The obligation arises from something which has been, or will be, done to warrant it, e.g. rendering services, making land or other property available. The practical man in regarding the loan as a source of payment, would mean, I think, the conduct of the action which was the reason for the obligation being accepted. The document executed stated that the loan had been made, and that was the originating cause of the payment of interest."

It was held that the business transaction was carried out in Holland. One of the arguments of the appellant in that case was that the money never left London, and from the aspect of a bundle of currency notes that is true. Looking behind the agreement the overall result was that the New Zealand Company were paying interest on their trading debt to the Netherlands company but not of course in law. In law, the trading debt had gone. This aspect was considered

and North, J. in *Philips'* case (14), who went so far as to say that had the loan agreement made in Holland been implemented by book entries in the New Zealand Company's books, by appropriate book entries, there would still have been, in law, an actual transfer of the money from the lender to the borrower. In the case before this court there is no suggestion that the capital sum was in Kenya and then became subject to an agreement made in New York. The source of income was again considered in a case in South Africa, *Commissioner for Inland Revenue v. Lever Brothers and Unilever Ltd.* (13), and the analysis of the meaning of the source of income found in the judgment of Watermeyer, C.J., has been referred to and adopted in many cases including *Philips'* case (14). A dissenting judgment by Schrerner, J.A. in that case is also of interest on the propositions suggested in it which were relied upon by the unsuccessful appellants in the *P. Co. Ltd.'s* case (15), in *Philips'* case (14), and also by the respondents in the case before this court. I do not propose to set out the facts in *Lever Brothers'* case; they are very complicated, but the salient points were similar to Philips' case. Watermeyer, C.J., at p. 449 refers to the contention of the appellants, which was the same as that made by the respondents before me:

> "The 'source' of interest paid on a loan of money is the principal debt, the debt is regarded in law as located where the debtor resides; in this case the debtor was a South African Company, therefore the debt was received from a source in South Africa."

Watermeyer, C.J. first commented that this contention appeared to be somewhat artificial because of the figurative character of the language in which it is couched and observed that a debt is a legal obligation, something having no corporal existence but by a legal fiction it may have a situation in a place, determined by accepted legal rules. Putting the matter in general terms the proposition is that when source is used to symbolise the origin of income, the term source is a metaphorical expression and the sense in which it is used must be determined. When it has to be decided whether income is taxable, two problems arise first to determine the source from which it has been derived and secondly to locate that source so as to decide whether it is in Kenya or not. Watermeyer, C.J. at p. 449 observed that the word "source" has several possible meanings, that many decisions in South Africa of the Privy Council have dealt with the word "source" and:

> "the inference, I think, which should be drawn from those decisions is that the source of receipts, received as income, is not the quarter whence they came, but the originating cause of their being received as income, and that this originating cause is the work which the taxpayer does to earn them, the quid pro quo which he gives in return for which he receives them."

Reference was then made to the proposition that was argued in that case, as it was in this, that when money is lent at interest the source of the interest is the debt resulting from the loan of money. A comparison was made of a loan at interest and a letting of property, and referring to the latter Watermeyer, C.J. at p. 451 said:

> "In the case of a loan of money, the lender gives the money to the borrower, who in return incurs an obligation to repay the same amount of money at some future time and, if the loan is one which bears interest, he also incurs an obligation to pay that interest. Though I use the words 'gives the money', this must not be taken literally as the usual way of making a loan. As a rule, the lender either gives credit to the borrower or transfers to him certain rights of obtaining credit which had previously belonged to the lender, and this supply of credit is the service which the lender performs for the borrower, in return for which the borrower pays him interest. Consequently, this provision of credit is the originating cause

> or source of the interest received by the lender. Although, colloquially, one speaks of a debt carrying interest, or interest on a debt, as though interest were a sort of growth sprouting from the debt, the language used means no more than that the borrower pays interest, if that is the agreement between borrower and lender, as consideration for the benefits allowed to him by the lender."

I accept that to be a source of income the originating cause must be looked to. In my view the originating cause in the case before me was the appellant company's provision of credit to the refinery company, from this sprang the obligation to pay interest, and looked at as a hard matter of fact this was the source of the interest received by the appellant company.

The location of the source of income must now be determined and this turns on the determination of the essential nature of the transaction. First it must be ascertained whether or not the loan arrangement was a real transaction. This was considered in *Philips'* case (above) by North, J., at p. 887 when it was accepted that the parties did go through the form and ceremony of handing the money "backwards and forwards". North, J., was satisfied that it was a real transaction, for the reason that a cheque being a bill of exchange drawn by a banker and payable on demand it was the equivalent of money, that it was accepted by the borrower in satisfaction of the promised accommodation and was in turn used by the borrower as a means of discharging a trade debt. It has never been suggested that the transaction in this case was not a real one and I accept that it was a real one.

The authorities relating to the location of the source of income fall into groups and it is useful to consider them as providing an explanation of an apparent conflict in the cases. The first group concerns service contracts. In *Pickles v. Foulsham* (7), a contract of service was made in England and under it the duties were to be performed in West Africa. The whole of the remuneration was paid by the employer in England. It was held that one must look at the contract and not where the actual services are rendered. Lord Buckmaster said ((1923-25), 9 T.C. at p. 291):

> "I do not think that the source of income was the employment of the respondent in West Africa. The source of his income was the money paid by an English company into an English bank, in pursuance of an agreement of service made in this country."

This decision was followed in *Fleming v. Wilkinson* (8) where the contract of employment was made in Demerara, the duties under it were performed in Demerara and the salary was to be paid in Demerara. It was conceded that the location of the source was Demerara. In both of these cases the substantive issue was an assessment under Schedule D Case V of the English Act, that is a receipt being "in respect of income arising from possessions out of the United Kingdom" but the ratio decidendi of the cases was as I have indicated. In *Bennett v. Marshall* (11) the tax-payer was employed by an American Company, he resided in England and his duties were to supervise sales of the American company in all countries except U.S.A. and Canada. His place of employment was the office of the American Company in Ohio and he was paid from there by crediting his bank account in Canada. Romer, L.J., said ([1938] 1 K.B. at p. 613):

> "In the case of an employment the locality of the source of income is not the place where the activities of the employee are exercised but the place where the contract for payment is deemed to have a locality where the payments for the employment are made, which may mean the same thing."

In the case of *P. Co. Ltd.* (above) which I have already referred to this aspect of

the case was put very clearly and forcefully, by Sinclair, J. (1 F.A.T.C. at p. 148):

> "It seems to me that where income is really derived from is a question of fact which should be determined as a practical man would determine it. Here the directors received their remuneration under a contract made outside East Africa; they exercised their functions as directors outside East Africa, and their remuneration was paid and received outside East Africa. Wherever their income was derived from it was not East Africa. Where the company derived its profits from in order to discharge its contractual obligations to the directors is, in my opinion, irrelevant and immaterial. If the Crown's contention were correct then, as Mr. Borneman pointed out, even the wages of the company's office cleaner in London and the dividends of shareholders in England or Switzerland would be liable to Tanganyika income tax. That is absurd."

Bennett v. Marshall (11) is of interest for the reason that the distinction between trades and professions and employment was considered. Lawrence, J., dealt with the distinction in the court below and Sir Wilfred Green, M.R. (*ibid.*, at pp. 610–11 said):

> "The language, it seems to me, quite clearly establishes the proposition that the place where the work is carried out is not a matter to which attention should be directed. If I am right in my view as to the effect of *Foulsham v. Pickles* it has the result in this case that the test for ascertaining the source of income is to look for the place where the income really comes to the employee, and that place is Canada. That is where the source is, and it is outside the United Kingdom."

the position with employment was then considered and it is substantially in agreement with the diction of Romer, L.J., which I have set out above.

A second group of cases are concerned with the determination of where trade is situated. The general principle is that in deciding whether or not a trade is carried on in a particular country one must ascertain the source of the trade. This was considered in the early authority, which has long been regarded as a leading case. *Grainger & Son v. William Lane Gough* (2). In that case M. Roederer a shipper of champagne of Reims in France sold his wine by contracts made in France and delivery in France to customers resident in England and elsewhere and the appellants a London firm solicited orders for him which he might or might not accept by contracts on the same basis. The appellants received commission on sales they solicited as well as all other sales made by M. Roederer in England. The appellants paid tax on their commission. The assessment in issue was on M. Roederer, made through the appellants as his agents, and was on M. Roederer profits made on his "English trade". Lord Watson said ([1896] A.C. at p. 340):

> "There is in my opinion a very broad distinction between the case of a foreigner making contracts in England with his English customers for the sale of his wines, either personally or through a representative, and the case of his making similar contracts with these customers in his own country."

and in the latter case merchants cannot be said to exercise their trade beyond the limits of their own country so long as all the contracts for the sale of their goods, and all deliveries to purchaser are in their own countries. At pp. 335–6 Lord Herschell said:

> "Many merchants and manufacturers export their goods to all parts of the world, yet I do not suppose any one would dream of saying that they exercise or carry on their trade in every country in which their goods find

> customers. When it is said, then, that in the present case England is the basis of the business, that the wine was to be consumed here, and that the business done would remain undone but for the existence of the customers in England, I cannot accept this as proof that M. Roederer carried on his trade in this country. It would equally prove that every merchant carried on business in every country to which his goods are exported."

The principles propounded in *Grainger & Son v. Gough* (2) (above) were considered in *Lovell & Christmas Ltd. v. Commissioner of Taxes* (4). In that case a representative of the appellants solicited instructions from dairy merchants in New Zealand to send their products to England to be sold in England on commission and those agreeing to do so were paid an advance. The appellants were assessed in New Zealand on the basis of their profits being derived from business carried on in New Zealand. At pp. 51–2 ([1908] A.C. 46) it was held:

> "One rule is easily deductible from the decided cases. The trade or business in question in such cases ordinarily consists in making certain classes of contracts and in carrying those contracts into operation with a view to profit; and the rule seems to be that where such contracts, forming as they do the essence of the business or trade, are habitually made, there a trade or business is carried on within the meaning of the Income Tax Acts, so as to render the profits liable to income tax."

That is the business which yields the profit is the business of selling goods on commission in London, and the appellants derived their commission, which is their profit, under the contracts of sale effected in London. In both of these cases the case of *Sulley v. Attorney General* (1) was referred to. In that case an American firm purchased goods in England and shipped them to America for resale in America at a profit. Here contracts were made in England, but it was held that the firm's transactions in England, that is the contracts made in England, did not involve any profits or gains; that the profits or gains depended on resales, that is contracts effected in America, that the purchases in England constituted the American company's stock on which they might make a profit or loss from contracts entered into in America. This is an aspect of the observation of Lord Herschell, which I have set out above, that " Many merchants and manufacturers export their goods to all parts of the world, yet I do not suppose any one would dream of saying that they exercise or carry on their trade in every country in which their goods find customers." A parallel would be an American Company purchasing coffee in Kenya which they export to America and there use it as a stock in trade.

In the case of *Studebaker Corporation of Australia Ltd. v. Commissioner of Taxation* (6), an American Company sold cars to the Australian Company in America, to be delivered by rail at the American Company factory in the United States, from which point they were at the sole risk and expense of the Australian Company. The Australian Company was allowed five months in which to pay for the goods after which interest was chargeable. The assessment in issue was on the American company on this interest. It was argued that there was in essence two contracts one for the sale of the cars and the other for the interest, and the latter arose in Australia on the Australian company exercising its option to withhold payment in consideration of interest. This argument was rejected ((1921) 29 C.L.R. at p. 233):

> "It was part and parcel of one business transaction. The obligation to pay and the right to receive the interest flowed from the agreement in America. It is impossible to divide the transaction into two distinct parts, and treat one as referable to America and the other (the exercise of the so-called option) as referable to New South Wales.
>
> . . . . . .

> The facts must be examined and when we find that the interest arises from business transacted and wholly carried out in America the conclusion must be that it was not derived from a source in New South Wales."

The case of *Tariff Reinsurances Limited v. Commissioner of Taxes* (10) concerned reinsurance, a company in Victoria, Australia having entered into a treaty with an English company in England in respect of two thirds of the gross premium received by the Victorian company in Victoria. Latham, C. J., said that the English company derived its profits from the treaty made in England and from its own business and those profits were not made by reason of anything done in Victoria by the English Company, and ((1938) 59 C.L.R.) at p. 203:

> "the profits were derived from that contract and were not derived from the insurance operations of the Victorian company in Victoria. These operations doubtless provided the moneys with which the Victorian company paid its debts to the English company, but that fact does not bring about the result that profits are derived by the English company from Victoria. If the contrary view were taken income would be derived from Victoria by every person in other countries who sold goods to persons who paid for the goods with moneys earned in or derived from Victoria."

and at (*ibid.*) p. 205:

> "It is not relevant to consider what another person, who is not an agent in any sense of the taxpayer, does in order to obtain the moneys which he uses for the purpose of making payments to taxpayer."

In the case before this court the refinery company, having received the money in New York, the appellants ceased to have any control over it. The refinery company could well have left sufficient of it in New York to pay in interest, they could have invested it, bringing amounts as required to Kenya, the investment could have been in Euro dollars and the interest paid out of that, the money could have been employed in America, Somalia, Aden, anywhere. None of this is relevant, it being an enquiry into what the refinery company did in order to obtain the money which they used for the purpose of paying the interest to the appellant. In *Philips*' case (above) Barraclough, C.J., said ((1955) N.Z.L.R. at pp. 876–7):

> "It must always be remembered that we are concerned with the source of the Dutch Company's income – not with the source of the debtor's earnings. The interest on this loan is no doubt paid by the debtor out of moneys it receives from carrying on its business in New Zealand. But that is no concern of the lender.
>
> . . . . . .
>
> It would have accepted, and, indeed, would have been bound to accept, its interest from whatever source it came."

The respondents rely on the decision in the *Liquidator, Rhodesia Metals Ltd. v. Commissioner of Taxes* (12). In that case an English company purchased in England mining claims in Southern Rhodesia for £5,000. The company spent about £2,000 in development work on the claims in Southern Rhodesia. The liquidator agreed to sell and transferred the whole undertaking for £152,000, to another English company. An assessment in Southern Rhodesia on the "profit" of £146,000 was upheld in the Privy Council. At p. 790 Lord Atkin delivering the judgment of the court said ([1940] A.C.):

> "Whatever may be the right view of the source of receipts derived from trading in commodities, their Lordships find themselves dealing with a case where the sole business operation of an English company is the purchase

> of immovable property in Southern Rhodesia and its development in that territory for purposes of transfer in that territory at a profitable price. The company never adventured any part of its capital except on that or those immovables. As a hard matter of fact the only proper conclusion appears to be that the company received the sum in question from a source within the territory, namely, the mining claims which they had acquired and developed there for the very purpose of obtaining the particular receipt."

There would appear to be a conflict. The companies were English companies, the contracts were made in England yet the location of the source of income was held to be Southern Rhodesia. This was considered in *P. Co. Ltd.'s* case (15) (1 E.A.T.C. at p. 162) where Briggs, J.A., said:

> "Most valuable of all, I think, is their Lordships' apparent acceptance of the view that the source of an income and the place from which it is derived are the same, and that the source or derivation is a question of fact. On this footing it is not difficult to see that when the only business of a company is the purchase, development and sale at a profit, of mining rights over land in a certain country, its business income is derived from that country, whether or not it is also derived from other places."

The case of *Anglo-Persian Oil Co. Ltd. v. Commissioner of Income Tax* (9) is of interest on the location of the source of income and on the supposed conflict of the decision in the *Rhodesia Metals* case (12) (above). The facts were that the appellant company, registered in England, made contracts in England with ship-owners for the sale of oil to be put in their ships when at Colombo, Ceylon. The oil was sent to Colombo in bulk. When oil had been put in a ship the agents cabled the English company who collected payment from the ship-owners. It was held that the profits of the company arose from contracts made in London and it could not be said from the mere act of delivery of the oil in Ceylon that the profits "arise or are derived in Ceylon". The point of greatest interest was that it was argued that the income was income derived from business carried on in Ceylon and the parallel was drawn with the profits derived from tea and rubber estates in Ceylon. The distinction was clearly drawn by Akbar S.P.J. where he said (38 C. N. L.R. at p. 352):

> "In my opinion the profits of the appellant company arise from the contracts made in England and not from the mere act of delivery in Ceylon made in pursuance of the contract. If the oil delivered is the product of Ceylon one may contend that the profits arose in or are derived from Ceylon, just as the income from a tea estate in Ceylon may be said to arise in Ceylon even though the non-resident owner sold the tea on contracts made in the country of his domicile. But the oil is not the product of Ceylon, and it is oil that has been shipped to Ceylon. Nor do I think that the profits have been derived from Ceylon; the word 'derive' implies that the source of the profits or income must be Ceylon. If the local Government can reach the income derived by an agent in England who is paid for his services in England on behalf of a person resident in Ceylon by the latter, such income may possibly be said to be derived from Ceylon. In my opinion these two words 'arise' and 'derive' were meant to include the case of the Ceylon company when it makes any profits or gets any income for anything done in Ceylon and the case of a non-resident owner deriving his income from an estate in Ceylon."

Mr. Otieno relied on propositions advanced in several dissenting judgments, particularly that of Schrerner, J.A., in *Lever Brothers*' case (above). Schrerner, J.A.'s views on interest are summarised at p. 460:

> "in the case of an investment by way of loan, the creditor is leasing his

> money to make an income from it: he is, generally speaking, not anxious to have it back so long as his debtor is sound and his security ample. His object, in the first instance, in lending the money was to get what annual payments the borrower was prepared to pay for its use. Essentially, therefore, the interest is the fruit of the money and comes from where the money is, irrespective of where the contract was made or the interest is payable."

The whole tenor of the reasoning is that the one must go behind the contract and ascertain where the borrower used the money. Mr. Otieno said, and I think he is correct the money was used in Kenya to purchase materials for the building of the refinery and pay the wages of the workers. Such matters are not relevant; that the Court is entitled to go behind the contract to look at the ultimate source of income has been rejected here. In *P. Co. Ltd.'s* case (15) at p. 165 Worsley, V.P. said that he could not accept the proposition that the court is entitled to go behind the contract and to look at the ultimate source of the company's profits and this was approved by Newbold, V. P., in *Boucher v. Income Tax Commissioner* (16) ([1965] E.A. 576, at p. 580). In the case before me the contract was made in New York, the money was received by the Refinery Company in New York and the interest was paid by the Refinery Company in New York. The appellants carried on no business in Kenya, they made no contracts here and they advanced no capital here, they rendered no services here. The source of the interest assessed was the contract made in New York and the location of that source was New York, and the interest neither accrued in nor was derived from Kenya. In my opinion the appeal must be allowed.

Appeal allowed and assessment set aside.

For the appellant:
P Rowland (of the English bar) and *Z Nimji* (instructed by *Shapley Barret, Marsh & Co*, Nairobi)

For the respondent:
SM Otieno (Assistant Legal Secretary)

Editor's Summary

The Commissioner of Income Tax appealed from this decision and applied orally at the hearing for leave to extend the time for the service of the notice of appeal. The respondent submitted that the appeal was on pure fact and accordingly would not lie.

Held –

(i) extension of time to file the notice of appeal would be allowed because the case involved points for decision which were on a matter of public importance;

(ii) the appeal was not on pure fact and so was competent;

(iii) the entire loan transaction was carried out in the U.S.A. and accordingly the interest neither accrued in nor was derived from Kenya.

Appeal dismissed.

Cases referred to judgment

(1) *Tariff Reinsurances Ltd. v. Commissioner of Taxes* (1938), 59 C.L.R. 194.

(2) *Liquidator, Rhodesia Metals Ltd. v. Commissioner of Taxes*, [1940] A.C. 774.

(3) *Commissioner of Inland Revenue v. N. V. Philips' Gloeilampenfabrieken* (1955), N.Z.L.R. 868.

(4) *Commissioner of Income Tax v. P. Co. Ltd*., 1 E.A.T.C. 131.

(5) *Commissioner of Transport v. Attorney-General of Uganda*, [1959] E.A. 329.

(6) *E. C. Boucher v. Income Tax Commissioner*, [1965] E.A. 576.

(7) *Commissioner of Inland Revenue v. Lever Brothers and Unilever Ltd*. (1946), S. A. T. C. 441.

5 June 1970. The following considered judgments were read.

Judgment

Duffus P: At the hearing of this appeal the respondent's advocate

took the preliminary objection that the notice of appeal had not been served in time. Mr. Rowland, the leading advocate for the respondent, explained that this defect had only just come to his attention so that he had been unable to give notice in accordance with the requirements of r. 70 of the East African Court of Appeal Rules 1954. Mr. Salter, who led for the appellants, conceded that the notice was out of time but he then made an oral application for an extension of time under the provisions of r.9. The court, after hearing full arguments on the application granted the extension of time for reasons which we stated we would give in our judgment and I now do so.

In his application, Mr. Salter advanced three grounds as providing sufficient reason for the granting of an extension of time. He submitted, first, that the counsel for the Community had been under the impression – admittedly an erroneous impression – that the High Court would have served the notice on the respondent and had accordingly left a copy of the notice in the High Court for this purpose. In this connection we accepted a statement from the Bar by his junior – Mr. Khaminwa – that this had been done. Secondly, Mr. Salter submitted that the respondent's advocates had waived the irregularity by accepting the notice without objection and by subsequently filing their address for service. Mr. Salter's third ground – and this was in our view, the most substantial reason that he advanced for the exercise of our discretion was that a question of public importance arose in the appeal. In this connection he referred us to the judgment of this court in the *Commissioner for Transport v. Attorney-General of Uganda* (5) where this court had left this question open. I quote from the judgment ([1959] E.A. 329, at p. 335):

> "We adhere to that view, though, if it were not for the requirement that 'sufficient reason' must be shown, we should be inclined to accept consent of the respondent as a ground for extending time. Similarly, the fact that the respondent may not have been prejudiced is not in itself 'sufficient reason' for granting extension, though it may be very material to the question whether extension should be granted in a proper case. As to the argument that a point of law of fundamental importance was at issue, it is to be noted that this contention was not supported by the respondent. We were not impressed by the argument and thought that there would be little difficulty in testing the matter in other proceedings. We saw no reason to hold that the importance of the point at issue was such as to constitute 'sufficient reason' for extension of time under r.9 of the Appeal Rules."

The appeal having been set down for hearing we had the advantage of full consideration of the proceedings and in our view the points for decision in this case were on a matter of public importance; the point involved the circumstances in which foreign investors have to pay income tax on loans made abroad for the purpose of development in East Africa. This is undoubtedly a question which should be clearly defined from the point of view of foreign investors and it is also a matter of great importance to the three States of the Community that there should be no doubt about the position in the future. We therefore, in all the circumstances of this case, granted the extension and reserved our decision on costs until we heard the substantive appeal.

The facts in this case are not in dispute. The issue is whether or not on these facts the interest earned by the respondent company – The Esso Standard Eastern Incorporated – on a loan to the East African Oil Refineries Limited (hereinafter referred to as the Refinery Co.) is income which accrued or was derived from Kenya within the meaning of s. 3 of the East African Income Tax (Management) Act 1958 (hereinafter referred to as the Act).

For the purposes of this case the following is a summary of the relevant facts. The respondent company is a company incorporated in the United States of

America and did not, during the relevant period, carry on any business in Kenya nor did it have a branch office or any establishment here. The relevant period here is the year of income for 1964; that is the period 1 January 1964, to 31 December 1964.

On 27 May 1964, the respondent company made a loan of U.S. $1,985,130 to the Refinery Co. with interest at 8%. The Refinery Co. is a company incorporated in Kenya and operating in Kenya. It operates an oil refinery in Mombasa. It is admitted that the respondent company held 25% of the shares of the Refinery Co. during the relevant period.

A copy of the loan agreement is in evidence. The agreement was made in New York; the loan was payable and was, in fact, paid to the Refinery Co. in New York; interest was payable and was in fact paid to the respondent company in New York. The loan was made for the express purpose of the initial construction of, and to provide working capital for the Refinery Co. as shown by the following extracts from the recitals in the loan agreement.

> "whereas, the Refinery Company has constructed an oil refinery at Mombasa, Kenya (hereinafter called 'The Refinery'):
>
> whereas, the Shell Petroleum Company Limited, The British Petroleum Company Limited, California Texas Oil Corporation and the Lending Company (hereinafter collectively called 'the Participants') have agreed to provide or arrange for the provision of loans in certain proportions to the Refinery Company in connection with the initial construction of the Refinery and the provision of initial working capital to the Refinery Company:"

There was, however, no restriction as to how or where the Refinery Co. had to spend the loan. The loan could, for instance, have been utilised in purchasing machinery, or crude oil for refining in any part of the world or could have been left on deposit in New York or elsewhere. In fact, however, the evidence establishes that the loan was paid to the Refinery Co. in New York in dollars and then brought into Kenya. It was also established that the interest was paid to the respondent company by the Refinery Co. in New York, but by money sent for this purpose by the Refinery Co. from Kenya. The interest amounted to U.S. $84,062 and the income tax assessment amounted to Shs. 240,176/-.

These are the main facts and as I have stated these were not in dispute. Mr. Rowland, appearing for the respondent company, in his reply submitted that the decision of the trial judge was really on a question of pure fact and that accordingly under the provisions of s. 113 of the Act an appeal would not lie to this court as an appeal only lies on a question of law or of mixed fact or law. I cannot, with respect, agree. There is no dispute here as to the real facts. The dispute is whether on those facts the respondent company is liable to Kenya income tax on the interest it received on the loan. This depends on the interpretation of s. 3 of the Act and in my view really amounts to a question of law but at any rate it is certainly on a question of mixed fact and law. This issue was very fully argued before the trial judge and he gave a considered judgment in which he ably reviewed the relevant facts and law and in conclusion said:

> "In the case before me the contract was made in New York, the money was received by the Refinery Company in New York and the interest was paid by the Refinery Company in New York. The appellants carried on no business in Kenya, they made no contracts here and they advanced no capital here, and they rendered no services here. The source of the interest assessed was the contract made in New York and the location of that source was New York, and the interest was neither accrued in nor was

> derived from Kenya. In my opinion the appeal must be allowed. The appeal is allowed and the assessment set aside."

We were referred to a number of decisions including decision from England, Australia, South Africa and New Zealand. There can be no doubt that the reasoning in some of these judgments is of considerable assistance in deciding this case and I will be referring to some of these judgments, but this case must be decided with reference to the particular facts of this issue and the provisions of the income tax law in Kenya. I would quote the following passage from the judgment of Lord Atkin in the Privy Council case of *Liquidator, Rhodesia Metals Ltd. v. Commissioner of Taxes* (2) at p. 788 which was referred to with approval by Briggs, J.A. in a decision of this court in the case of the *Commissioner of Income Tax v. P. Co. Ltd.* (4) (1 E.A.T.C. 131 at 162):

> "Their Lordships have no criticisms to make of any of those decisions, but they desire to point out that decision on the words of one statute are seldom of value in deciding on different words in another statute, and that different business operations may give rise to different taxing results."

The whole issue in this case is whether the provisions of s. 3 of the Act apply to the interest paid by the Refinery Co. The relevant part of s. 3 reads:

> "Tax shall, subject to this Act, be charged for each year of income upon the income of any person which accrued in or was derived from the Territories in respect of . . .
>
> (*c*) dividends, interest or discounts."

I agree with Wicks, J., that at any rate for the purposes of this case "accrued in" or "derived from" can be regarded as synonymous and the question here is whether from the point of view of the respondent, was the interest on the loan derived from Kenya? The respondent company is a foreign company not constituted or doing business in Kenya and the income sought to be taxed was interest derived from a loan made in New York and which was paid to them in New York. In these circumstances can it be said that the respondent derived this income from Kenya? The actual money used to pay the interest was derived from Kenya in that it was sent to New York by the Refinery Co. from money in Kenya but in so far as the respondent was concerned, did it derive the interest from Kenya or did it derive the interest from the Refinery Co. in New York as a result of the loan made in New York?

There are not many decisions in East Africa on the interpretation of s. 3 of the Act. Wicks, J., quoted the following passage from the judgment of Sinclair, J. (as he then was) in the High Court of Tanganyika in the *P. Co. Ltd.* case (*supra*):

> "It seems to me that where income is really derived from is a question of fact which should be determined as a practical man would determine it. Here the directors received their remuneration under a contract made outside East Africa; they exercised their functions as directors outside East Africa, and their remuneration was paid and received outside East Africa. Wherever their income was derived from it was not East Africa. Where the company derived its profits from in order to discharge its contractual obligations to the directors is, in my opinion, irrelevant and immaterial."

Money utilised in Kenya from a loan obtained in a foreign country could, for practical purposes, be divided into two categories.

(1) Money lent by a foreign company in a foreign country which is brought into Kenya and used by the borrower; thus a bank which lends a trader money in the U.K. to be repaid with interest there, could hardly be asked to pay Kenya

income tax if the trader happens to bring that money, or a portion of that money into Kenya and trades with that money here and then pays his interest from the profits he earns in Kenya, surely here the position must be that the trader pays income tax on the profits he earns, but the bank in the U.K. could not be asked to pay income tax on the interest sent from Kenya when so far as the bank was concerned it had invested its money by a loan in the U.K. and had had nothing to do with the trader's venture in Kenya? This situation is aptly illustrated by this quotation from the judgment of North, J., in the New Zealand case of the *Inland Revenue v. Philips' Gloeilampenfabrieken* (3) ((1955) N.Z.L.R. 868, at p. 891):

"In my opinion, the fallacy in the able argument presented by Mr. Byrne, for the Commissioner, was exposed when he felt obliged to submit (as indeed he was if he was to be consistent) that, if a New Zealand citizen, while in London, found himself in financial difficulties and had to obtain from a London money-lender a loan, which he was able to repay over a period of years only after he had returned to his own country, the London money-lender could be assessed with income tax under s. 84 (2).In my view this is a fallacious argument which confuses the source of the London money-lender's income with the source of the debtor's income from which he normally would discharge his obligation to pay interest. In my respectful view, Sir John Latham, C. J., was right when he said in *Tariff Reinsurances Ltd. v. Commissioner of Taxes* (1938) 59 C.L.R. 194,205: 'It is not relevant to consider what another person, who is not an agent in any sense of the tax-payer, does in order to obtain the moneys which he uses for the purposes of making payments to the taxpayer'."

(2) The other category is where a foreign company brings money into Kenya and lends it out here. In this case clearly the investment is made in Kenya and the interest arising from this type of loan must be income derived from Kenya on which income tax would be payable here.

The real issue here is as to which of these two categories this transaction falls into, but before considering this question I would deal further with the question as to what is the source of income. The word "source" is not used in our Act but the words "income derived from Kenya" have the same meaning in my view as the word "source" is used in other legislations, it means such income as the taxpayer derives from Kenya. The South African case of the *Commissioner for Inland Revenue v. Lever Bros. and Unilever Ltd*. (7) was similar in some respects to this case and was a case which the judge relied on and dealt with at some length. The legislation in South Africa is different and there it defines "gross income" as being the total amount received by a taxpayer from a source within the Union. Here a similar reference would be to the income derived by the taxpayer from Kenya. The relevant passage from the judgment of Watermeyer, C. J., to which I would refer is ((1946), S.A.T.C. 441, at p. 449):

"The word 'source' has several possible meanings. In this section it is used figuratively, and when so used in relation to the receipt of money, one possible meaning is the originating cause of the receipt of the money, another possible meaning is the quarter from which it is received. A series of decisions of this court and of the Judicial Committee of the Privy Council upon our income tax acts and upon similar acts elsewhere have dealt with the meaning of the word 'source', and the inference, I think, which should be drawn from these decisions is that the source of receipts, received as income, is not the quarter whence they come, but the originating cause of their being received as income, and that this originating cause is the work which the taxpayer does to earn them, the quid pro quo which he gives in return for which he receives them. The work which he does may be a business

> which he carries on, or an enterprise which he undertakes, or an activity in which he engages and it may take the form of personal exertion, mental or physical, or it may take the form of employment of capital either by using it to earn income or by letting its use to someone else. Often the work is some combination of these."

In this case I agree with the trial judge that its source of the income earned by the taxpayer, that is the "interest payable on the loan" is actually the loan itself made in New York and it is not the subsequent transfer of this loan to Kenya.

Mr. Salter, Q.C. for the appellant submitted that the trial judge had erred in not finding that the interest had accrued in and been derived from Kenya. He submitted that the judge had not adequately considered the respondent company's connection with the Refinery Co. and that in fact the money from the loan was brought into Kenya and utilised in Kenya for the purpose of establishing the Refinery in Mombasa. The judge appears to have held that these matters were not relevant as the court is not entitled to go behind a contract to look at the ultimate source of the income and he quoted as an authority for this proposition the case of *Boucher v. The Income Tax Commissioner* (6). While I accept this fact, it does not mean that a court cannot go behind a contract if it has to do this in order to determine as a fact whether the income which it is sought to charge is derived from Kenya. It may have to do this in order to ascertain the actual facts although I do agree with the judge that what matters in this case is not what the Refinery Co. did with the proceeds of the loan but what the taxpayer did in regard to the loan and what was his interest in the matter.

Mr. Salter's first point was that the respondent company had an interest in the Refinery Co. as it did in fact own at the relevant time 25% of the shares in the Refinery Co. but with respect I cannot see that this fact alone would affect this issue. It was no doubt a contributory factor in the respondent company's decision to make the loan but the Refinery Co. was not a subsidiary company of the respondent company and was not controlled by them. Each of these companies was a separate entity and I cannot see that the shareholding of the respondent company would be an element which would turn its loan investment in New York into a Kenya investment. Mr. Salter, however, further submitted that the actual terms on which the loan was made and the fact that the entire proceeds from the loan were brought into Kenya do have an important bearing on the question as to whether or not this was an investment made in Kenya.

It is clear from that portion of the agreement which I have already set out that this loan was made for the express purpose of assisting with the initial construction and the provision of working capital for the Refinery Co. and further, that the money came to Kenya and was spent by the borrower in Kenya.

Mr. Rowland's answer to these facts was that there were no restrictions in the loan agreement as to how the money was to be spent and once the loan had been made, the respondent company no longer had any control over the money or how the respondent spent it. In this connection Mr. Rowland is undoubtedly correct as there were no restrictions as to how the Refinery Co. spent the loan. They could have used this money in any part of the world. The court is not concerned here with how the Refinery Co. obtained the money to pay the interest but the question is how did the taxpayer – the respondent company – obtain his interest? After some consideration I have come to the conclusion that the judge's decision must be the correct one. As he points out, the entire loan transaction was carried out in the U.S.A., a country in which the respondent company was situated and carried on business. The borrower was a company resident and doing business in Kenya and therefore the debt was one enforceable in Kenya but from the point of view of the taxpayer – the respondent company –

the money was money which it had in the U.S.A. and which it lent and handed over to the borrower in that country with the specific requirement that the repayment of the loan and the payment of interest was to be made in that country. The respondent company had no control over how or where the refinery company spent the loan in so far as it was concerned the loan need never have come to Kenya. The respondent company did not invest this money in Kenya, and the mere fact that it lent this money to a Kenya company and that this was eventually brought to Kenya would not, in my view, make it liable to pay Kenya income tax on any interest which was paid under the loan agreement.

I would dismiss this appeal with costs and allow a certificate for two counsel, and I would make no order as to the costs of the application for an extension of time to serve the notice of appeal: as the other members of the court agree it is so ordered.

Spry V-P: I am in complete agreement. Reduced to its simplest terms, the position is, as I see it, that the respondent company earned the interest which is the subject of this appeal by means of a transaction, a loan of money which was entered into and carried out in New York. Therefore the source of the interest, so far as the respondent company is concerned, was New York. It is immaterial, for the purposes of this appeal, that so far as the payer of the interest is concerned, its source was Mombasa. That seems to me correct in principle and on the authorities.

I am reinforced in that view by practical considerations. If liability to tax depended on the ultimate source of the money paid, it would be difficult, if not impossible, to discover that source in the case of an international company paying interest out of profits earned in many different countries. Moreover, a bank or finance house would never be able to anticipate its liability to tax, because that liability would depend on the manner in which borrowers raised the money to pay interest. And again, since the lender would not necessarily know the ultimate source of the interest it received, and would have no right to inquire into it, it would be unable to render returns of income to the appropriate taxing authorities.

I would only add that I have no doubt that a right of appeal lay. Although there are numerous authorities that say that the source of money is a matter of fact rather than law, I have no doubt that for the purposes of s. 113 (*h*) of the East African Income Tax (Management) Act 1958 the question is one of mixed law and fact.

Law JA: I agree with the judgments which have been delivered, I was impressed by Mr. Salter's argument that the payment of interest in 1964, which was made with funds provided by a bank in Mombasa, constituted income which accrued in or derived from Kenya. But after careful consideration I am of opinion that the true source or derivation of this income was the contract of loan, which was executed in New York, in which place the loan and the interest thereon were repayable. In the hands of the receiver, the interest derived from the contract made in New York, and it is immaterial from the respondent's point of view where the money constituting the interest actually came from. If the view contended for by Mr. Salter were correct, the consequences would be far-reaching. For instance a manufacturer of goods in, say, Germany, who supplies goods to a trader in Kenya under a contract made in Germany, and who is paid with funds deriving from Kenya, would be liable to East African income tax on his profit, which although in a sense derived from Kenya, had its source in the transaction entered into and performed in Germany. As was said by Gresson, J., in the *Philips*' case referred to in the judgment of the President:

> "It is not sufficient to ascertain the fund out of which the income was paid, . . . it is not whence it was paid, but why it was paid, that is the determining factor."

In the case now under consideration, the originating cause of the income was the loan made in New York, from which arose the obligation to pay interest, so that the interest derived from the American contract.

For these reasons I agree that the appeal should be dismissed and I concur in the order proposed.

Appeal dismissed.

For the appellant:
C Salter QC and *JM Khaminwa* (Principal Assistant Legal Secretary)

For the respondent:
P Rowland (of the English Bar) and *Z Nimji* (instructed by *Shapley Barret, Marsh & Co*, Nairobi)

Attorney-General and another v Vinod and another
[1971] 1 EA 147 (CAN)

Division:	Court of Appeal at Nairobi
Date of judgment:	10 July 1970
Case Number:	20/1970 (181/70)
Before:	Duffus P, Law and Mustafa JJA
Sourced by:	LawAfrica

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[1] Damages – Personal injuries – Quantum – Brain injury and shortened leg – Shs. 70,000/-.

[2] Negligence – Child – May be guilty of negligence if old enough to take precautions for own safety and if action blameworthy.

Editor's Summary

A boy aged 8 ½ years was knocked down by a motor car on a busy Nairobi street. The car was travelling between 15 and 20 m.p.h. and the driver did not see the boy. The boy sustained severe injuries; a fracture of the skull involving permanent deterioration of his mental condition and likelihood of epilepsy, and a compound fracture of the right leg involving a slight shortening of it.

The judge found the driver of the car primarily to blame although the boy was to some extent responsible and assessed the blame on the driver at 90 per cent. He awarded general damages of Shs. 70,000/-. The appellants appealed.

Held –

(i) there was sufficient evidence to support the judge's finding that the driver was negligent;

(ii) a child can only be found guilty of contributory negligence if he is old enough to be expected to take precautions (*Gough v. Thorne* (1) followed);

(iii) the judge had considered all the facts and had not misdirected himself;

(iv) the award of damages would not be interfered with.

Appeal dismissed.

Case referred to judgment

(1) *Gough v. Thorne*, [1966] 1 W.L.R. 1387.

10 July 1970. The following considered judgments were read.

Mustafa JA: On 24 January 1968 a young school boy aged 8½ years was injured in a motor car accident. The motor vehicle concerned was at the material time being driven by Ndipo Ndungwa who was employed as a driver by the prison headquarters of the Kenya Prisons Department. As a result of the accident the boy suffered injuries. By his next friend, Kantaben, he claimed and was awarded damages in the High Court. The appellants now appeal.

The accident took place at River Road, Nairobi, between six and seven o'clock in the evening. The boy gave unsworn evidence as the trial judge was not satisfied that he understood the nature of an oath. The boy said that he was going to his father's shop that evening and had to cross River Road. He said there were cars parked on both sides of the road and he came out between two parked cars to cross the road. Before he began to cross the road he looked both ways and saw a car approaching from one direction. He said that the car was about two shops away, about 15 feet to his right. He considered the car was far enough for him to get across safely and when he was half way across the road he said the car struck him; he was positive that he did not run into the car. He also said that he normally went home on his own.

A witness, Mr. Shah, said that he was in his shop in River Road on the material day. He heard some mild brake noises and when he came out of the shop he saw a young boy lying at about the middle of the road and a car had stopped about 50 feet away from the boy. The boy was lying opposite Mr. Shah's shop. He said that the area was crowded with shoppers and pedestrians.

The driver of the vehicle, Ndipo Ndungwa, testified that he was driving along River Road at about 6.10 p.m. that evening. He said there were cars parked on his left side and that he was following a number of cars ahead of him. He said he was driving at about 15 m.p.h. Two cars were parked on his left side and when he was passing those cars he heard some body hit his car on the front passenger door. He immediately stopped and then saw a boy lying on the left side of the road. The young boy was bleeding from wounds. He admitted that River Road was heavy with traffic and full of pedestrians and that he had to take extra precautions because he knew that children used that road. He said that he was looking in front of him and he did not see this boy at all. He only heard a bang and he immediately stopped. He said he did not see anything coming from his side.

A passenger in the car driven by Ndipo Ndungwa, Mrs. Moi, corroborated the evidence of the driver that the car was travelling at about 15 m.p.h. along River Road. She said the boy suddenly emerged from two parked cars on the left-hand side of the road and rushed out and hit the vehicle somewhere near the front door. She heard a bang and when the car stopped she saw the boy lying on the ground injured. The boy sustained severe injuries, suffering a fracture of the skull and a compound fracture of the right leg. He had lost a certain amount of actual brain matter as a result of the head injury, and there is a slight shortening of the right leg. There is a likelihood that he will suffer from epileptic fits in future and also from some measure of permanent deterioration in his general mental condition. As a result of the accident the boy had lost a year of academic study, and this will lessen his chances of passing the Certificate of Primary Education Examination at the required age of 12½ years. He was in hospital for about four weeks and then had to attend as an out-patient for treatment.

The trial judge in his judgment said, *inter alia*:

> "In the circumstances it may or may not have been inherently dangerous to drive such a vehicle through that street at that time at a speed of fifteen

> miles an hour, looking only at the cars in front and not looking also from side to side, but, however, that may be, I am driven to the conclusion, and so find, having given the matter careful consideration, that, on the balance of probabilities, the accident was the result primarily of the negligence of the second defendant in the control and management of the vehicle which he was driving, and that it was contributed to some small extent by the first plaintiff himself. Bearing in mind his age and the degree of intelligence which he may be assumed to have possessed at the time, I determine the element of contributory negligence to be ten per cent."

It will be seen that the judge did not make any specific findings of fact. He did not for instance find whether the driver was driving at 15 miles per hour at the material time and if so whether it was excessive in the circumstances. He did not find whether the boy ran into the car or whether he was struck by the car. There was no evidence whether the car was damaged in the front or on the side. There was also no finding whether the driver kept a proper lookout. It seems the trial judge found that the driver was driving the car negligently on a balance of probabilities. However, earlier on in the judgment the trial judge said:

> "The only other evidence bearing in any way upon the cause of the accident is that of the boy's injuries, namely, a fracture of the skull and a compound fracture of the right leg. These resulted from what one of the medical witnesses said must have been a fairly severe blow, and this might seem possibly to be more consistent with his having been struck and knocked down by the car rather than by his having himself run into it."

From this passage it would seem that the trial judge inclined to the view that the young boy was struck by the car and knocked down.

The evidence of Mr. Shah was apparently accepted as true by the trial judge. This witness has said that when he came out of the shop after having heard some mild brake noises he found that the car had stopped about 50 feet from the boy, who as far as he could remember, was lying about the middle of the road. This evidence has not been challenged. If Mr. Shah's evidence is accepted it would seem clear from accepted figures of stopping distances that the car must have been travelling at the time of the accident at between 15 to 20 miles per hour. So it can safely be assumed that the car was travelling at 15 to 20 miles per hour along River Road when it was crowded with pedestrians and heavy with traffic. The driver himself has admitted that he was aware that children would be about that place and that he had to take extra precautions. There is also evidence that the driver did not see the boy at all although his passenger, Mrs. Moi, has said she saw him rushing across the road just prior to the accident.

The Senior State Attorney has submitted that on the evidence adduced before the trial court there was nothing to show that the driver was negligent or was in any way to blame for the accident. I cannot agree. In my view the driver was not keeping a proper lookout when he did not see the boy coming from the side. He was also driving at an excessive speed in view of the fact that River Road at the material time was heavy with traffic and full of pedestrians, with cars parked on both sides of the road. He was aware that children would be using that road. The driver should have driven at a speed which could have allowed him to pull up at a distance much less than 50 feet.

The Senior State Attorney has also submitted that the trial judge was wrong in apportioning 90 per cent of the blame to the driver and 10 per cent to the young boy; he states it should have been the other way round. In dealing with contributory negligence as the part of a young boy the age of the boy and his ability to understand and appreciate the dangers involved have to be taken into

account. In this respect, I would refer to the observations of Lord Denning in the Court of Appeal in England in the case of *Gough v. Thorne*, [1966] 1 W.L.R. 1387, at p. 1390 where he said:

> "A very young child cannot be guilty of contributory negligence. An older child may be. But it depends on the circumstances. A judge should only find a child guilty of contributory negligence if he or she is of such an age as to be expected to take precautions for his or her own safety: and then he or she is only to be found guilty if blame should be attached to him or her. A child has not the road sense or the experience of his or her elders. He or she is not to be found guilty unless he or she is blameworthy."

The trial judge here found the boy was blameworthy. In apportioning blame the trial judge considered the age and degree of intelligence of the school boy at the material time, and he assessed his degree of liability at 10 per cent. The boy had clearly misjudged and miscalculated when he thought he could safely cross the road at the time he did. I cannot say the trial judge misdirected himself in his apportionment.

The Senior State Attorney has also submitted that the sum of Shs. 70,000/- awarded by the trial judge as general damages was grossly excessive. I do not agree. The trial judge took into consideration the severe injuries sustained by the school boy, the pain and suffering, his future prospects and then assessed damages at Shs. 70,000/-. I cannot say that the sum of Shs. 70,000/- was so grossly excessive as to warrant any interference. I would dismiss this appeal with costs.

Duffus P: I have read and agree with the judgment of Mustafa, J.A. and as Law, J.A. also agrees it is ordered that this appeal be dismissed with costs.

Law JA: I agree with the judgment prepared by Mustafa, J.A. and with the order proposed by him.

Appeal dismissed.

For the appellant:
JF Shields (Senior State Counsel) and *AI Hayanga* (State Counsel)

For the respondent:
GS Vohra

Bancroft and another v City Council of Nairobi and another
[1971] 1 EA 151 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	8 October 1970
Case Number:	96/1970 (5/71)
Before:	Chanan Singh J
Sourced by:	LawAfrica

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[1] Civil Practice and Procedure – Nullity – Whether application by summons instead of originating summons a nullity or only an irregularity.

[2] Civil Practice and Procedure – Execution – Sale – Immovable property – Sale not absolute when certificate of sale issued – Nullity – Civil Procedure Act, s. 48 (*K.*) *– Civil Procedure* (*Revised*) *Rules*

1948, *O.* 21, *rr.* 81, 83 (*K.*).

[3] Civil Practice and Procedure – Review – Application ex parte – Party not served prevented from presenting matter or evidence to judge – Civil Procedure (*Revised*) *Rules* 1948, *O.* 44, *r.* 1 (*K.*).

[4] Civil Practice and Procedure – Review – New and important matter or evidence – Judgment debt paid before sale in execution – Civil Procedure (*Revised*) *Rules* 1948, *O.* 44, *r.* 1 (*K.*).

[5] Civil Practice and Procedure – Execution – Sale – Vesting order – Must be applied for by originating process inter partes.

Editor's Summary

The applicant owned a plot of land in Nairobi which was in the hands of an estate agent for sale. The first respondent obtained a decree for unpaid rates and the estate agent learnt that the plot was due to be sold in execution of the decree. The estate agent called at the offices of the first respondent to pay the rates, but was referred to the autioneer who refused to accept payment. Payment was therefore made in full to the first respondent before the auction. Nevertheless the auctioneer purported to sell the plot to the second respondent and certified the sale to her.

On 11 June 1970 the resident magistrate issued a certificate of sale under O. 21, r. 83 to the second respondent. Application to set aside the sale was made in the magistrate's court on 26 June 1970 and this application was later granted.

On 18 June 1970 the second respondent applied by *ex parte* summons to a judge of the High Court in chambers for a vesting order, relying on the certificate issued by the magistrate and an affidavit which stated that the whereabouts of the applicants were unknown.

The vesting order was made and the applicants applied to review it on the grounds that the sale had not become absolute when the certificate of sale was issued within thirty days from the sale, that the sale had subsequently been set aside by the magistrate, that the application for the vesting order was made incorrectly by chamber summons and not by an originating process, that the application was incorrectly made *ex parte*, and that there was new and important evidence which the applicants had been prevented from presenting to the judge. The second respondent argued that the property had vested in her from the time of sale.

Held –

(i) the judge had power to make an order on a correct form of application and his order would not be interfered with solely because of the incorrect form of the application (*Boyes v. Gathure* (1) followed).

(ii) the sale had not become absolute when the certificate was issued, which was therefore a nullity;

(iii) as the sale had not become absolute the property had not vested;

(iv) application for a vesting order *ex parte* was an error;

(v) the facts of the payment of the debt and that the applicants had agents in Nairobi were new and important matter or evidence;

(vi) the applicants had been prevented from presenting these facts to the judge by reason of the fact that the application was *ex parte*.

Application allowed. Vesting order set aside.

Case referred to judgment

(1) *Boyes v. Gathure*, [1969] E.A. 385.

Judgment

Chanan Singh J: This is an application under O. 44, rr. 1, 2 and 6 for a review of a vesting order on 18 June 1970 under s. 48 of the Trustee Act (Cap. 167). The application for a vesting order was made by an *ex parte* chamber summons taken out by Mrs. Muthoni Kamere who had purchased at an auction sale a property belonging to the defendants. The City Council, although served, was not represented at the hearing of the present application. Mrs. Muthoni Kamere was represented by Mr. Kamere.

The chamber summons for the vesting order had stated *inter alia*:

> "This application is grounded on the attached Certificate of Sale signed by Stephen Kinuthia, Director, Young Traders Limited."

A "certificate of sale" signed by Mr. Stephen Kinuthia was filed in court This stated that plot No. 5955/2 situate at Langata had been sold to Mrs Muthoni Kamere and that the purchase money had been received in full.

Mr. Kamere who appeared for the applicant before Hancox, J., is recorded to have argued in support of the application as follows:

> "Mrs. Kamere was the highest bidder. Declared the owner of property. Seek vesting order. This is under s. 48 Trustee Act."

It is quite clear that Mr. Stephen Kinuthia whose certificate of sale was stated to be the foundation for the application for a vesting order did not declare the purchaser as the owner of the property. Mr. Kamere was obviously now relying on the certificate of sale issued by the senior resident magistrate, Nairobi, on 11 June 1970. This certificate is also in the court file. The authority for the issue of this certificate of sale is stated on the face of it to be O. 21, r. 83 of the Civil Procedure (Revised) Rules 1948. The essential parts of this certificate read as follows:

> "This is to certify that Mrs. Muthoni Kamere of P.O. Box 12372, Nairobi has been declared the purchaser at a sale by public auction on 29 May 1970 of all that Right title and interest of judgment debtor's plot No. 5955/4 Langata, Nairobi together with the buildings and improvements standing and being thereon . . . in execution of the decree in this suit, and that the said sale has been duly confirmed by this court."

Now, r. 83 of O. 21 under which this certificate was issued reads as follows:

> "Where a sale of immovable property has become absolute, the court shall grant a certificate specifying the property sold and the name of the

> person who at the time of sale is declared to be the purchaser. Such certificate shall bear the date the day on which the sale became absolute."

Apparently, such a certificate can be issued only when the sale "has become absolute." A sale becomes absolute in the circumstances described in r. 81. Subrule (1) of that rule says that:

> "(1) Where no application is made under rule 78, rule 79 or rule 80, or where such application is made and disallowed, the court shall make an order confirming the sale, and thereupon the sale shall become absolute . . ."

Now, the certificate of sale has, under r. 83, to "bear the date the day on which the sale became absolute." If the certificate in the present case is correct, the sale became absolute on 11 June 1970. An application by the defendants to set aside the sale under r. 79 was made on 26 June 1970.

Under r. 81, a sale becomes absolute

(*a*) "Where no application is made"

or

(*b*) "where such application is made and disallowed."

On 11 June 1970, no application was before the senior resident magistrate. Could it be said that the sale had become absolute because by 11 June 1970 no application had been made to the court?

It has to be remembered that sub-r. (2) of r. 81 allows any interested person to have the sale set aside on making certain payments (under r. 78) "within thirty days from the date of sale" irrespective of any material irregularity or fraud. If the sale can become absolute before the expiration of this period, then a right given to a person by law will be taken away.

I think the clearest intention of the rules is that a sale shall not become absolute until either an application under one of the rules referred to in r. 81 (1) has been made and dismissed or a period of thirty days has elapsed "from the date of sale."

By 11 June 1970 when the senior resident magistrate issued the certificate of sale neither of the events had taken place, and, consequently, the certificate of sale was issued prematurely or without jurisdiction.

This is quite apart from the fact that the court which confirmed the sale has now set it aside thus taking away the whole substratum of the vesting order.

Mr. Deverell, for the applicants, also argues that the application for a vesting order was made by a chamber summons which is an interlocutory and not an originating process. I am satisfied that the application was made in a wrong form, and also that if the attention of Hancox, J., had been drawn to this, he would have dismissed the application. Mr. Deverell argues that in reviewing the order I should place myself in the same position as Hancox, J., and as he would have dismissed the application I should now treat it as dismissed and declare the order a nullity. I agree that this discloses an error on the face of the record; but if this were the only error present I would not accept Mr. Deverell's submission because the judge had jurisdiction to make a vesting order on a proper form of application.

It would not in my opinion be proper to review a correct order made on an incorrect form of application. See *Boyes v. Gathure*, [1969] E.A. 385 at p. 387, per Sir Charles Newbold, P., in which the Court of Appeal refused to set aside on appeal an order made on a wrong form of application.

Mr. Kamere, for the purchaser, draws attention to s. 48 of the Civil Procedure Act which reads as follows:

> "48. Where immovable property is sold in execution of a decree and such sale has become absolute, the property shall be deemed to have vested in the purchaser from the time when the property is sold and not from the time when the sale becomes absolute."

He argues that this is in conflict with the rules providing for the setting aside of the sale and that therefore, those rules are of no effect. This means according to Mr. Kamere, that the senior resident magistrate had no power to set aside the sale, because the property is "deemed" to have vested in the purchaser from the date of sale. The senior resident magistrate's judgment is the subject of an appeal and I do not think I should decide this exact point. It is sufficient for me to say that under s. 48 property is deemed to be vested in the purchaser when the sale has taken place "and such sale has become absolute." In the present case, the sale had not become absolute and the property could not be "deemed" to be vested.

There are one or two other matters that arise. The application for a vesting order was made *ex parte*. This is also an error apparent on the face of the record and would entitle an aggrieved person to review if the grounds stipulated in O. 44 existed.

It should be observed that an affidavit sworn by Mr. Paul Muga Kabui Kamau on 9 June 1970 was filed in support of the application for a vesting order. This affidavit says nothing about the profession or occupation of the deponent or about the capacity in which he swears the affidavit but it appears from the judgment of the senior resident magistrate that this gentleman is "the advocate for the City Council". He states in the affidavit *inter alia*:

> "That I am informed and verily believe that the whereabouts of the judgment debtors are unknown and they are not residing at the above mentioned plot."

This has to be read with an affidavit sworn on 28 June 1970 by Mr. Stephenson Njuguna Kimani, a director of Tysons Limited, which states that his company, having successfully negotiated a sale of the plot in question for Shs. 110,000/-, learnt on or about 23 May 1970 that the City Council had obtained a decree for unpaid rates and that the plot was to be sold on 29 May 1970 in execution of the decree. He called at the City Council to pay the full amount due but was referred to the auctioneers, the Young Traders Limited. The Young Traders refused to accept payment. Mr. Kimani, therefore, went to the City Council. He was accompanied by Mr. Juma, another director of Tysons Limited. His affidavit proceeds:

> "4. That in view of the refusal by Young Traders Limited to accept the decretal amount with all costs and expenses and to stop the sale, on or about 24 May 1970 we, the said Mr. Juma and myself called on the City Advocate Mr. Kamau, who informed us of the decretal amount and we accordingly effected full payment of the said sum to the City Council and I attach hereto marked 'SNK2' a bundle of four receipts issued by the City Council of Nairobi concerning the full payment therein."

The four receipts attached to the said affidavit cover a total sum of Shs. 1,125/- (including Shs. 420/- for rates). Thus, at the date on which Mr. Kamau swore his affidavit, the defendants had agents in Nairobi who were ready and willing to meet all liabilities in respect of the plot and had in fact paid the full amount demanded by the City Council.

So far as the Young Traders Limited are concerned a copy of the conditions of sale was attached to the "certificate of sale" issued by one of their directors Mr. Stephen Kinuthia. This says, *inter alia*:

> "In the event, however, of the debt above specified and of the costs of the sale being tendered or paid before the knocking down of any lot, the sale will be stopped."

I do not know why Mr. Kamau swore that the whereabouts of the judgment debtors "were not known" nor why the Young Traders Limited did not stop the sale. Neither of them has had an opportunity to give an explanation. I will therefore say no more on this aspect of the matter.

I am satisfied, however, that if Hancox, J. had, when he made the vesting order, known the three facts now disclosed he would not have made the order. These facts are firstly that the agents of the judgment debtors had offered to pay to the auctioneers 5 or 6 days before the date of the auction the full amount due; secondly that the said agents had contacted Mr. Kamau himself and had in fact paid the full amount demanded by him; and thirdly that Mr. Kamau's statement that the whereabouts of the debtors were unknown could not be reconciled with the fact that Tysons Limited were the agents of the debtors and were willing to pay money on their behalf.

These facts constitute new and important matter or evidence within the meaning of O. 44, r. 1 (1). The defendants were prevented from presenting them to the judge by reason of the fact that the application was made *ex parte*.

One of the grounds on which Mrs. Muthoni Kamere, the purchaser, objects to this application for review on the grounds that she took possession after obtaining title, spent a large sum on alterations and on the erection of a three bedroomed house, and that review would be repugnant to natural justice.

Mr. Kamere has quoted no rule of natural justice which the grant of the present application will infringe. I do not think I can, out of sympathy for the purchaser's position, refuse to grant an application which should properly be granted.

It should be noted, however, that the vesting order was granted on 18 June 1970 whereas the application to set aside the sale was made on 26 June 1970. Mrs. Kamere could not have spent "a large sum" within eight days. If she spent it after that date, then she was taking a risk with open eyes.

In all the circumstances, I have come to the conclusion that I must review the order made by Hancox, J. For the reasons I have give, I set aside the vesting order. Mr. Deverell has asked that I order consequential relief in terms of s. 64 of the Registration of Titles Act (Cap. 281). Section 64 does not in my opinion apply to lands which have not been brought under that Act. But I direct the Registrar – if such direction be necessary – to take, on application and on payment of necessary fees, all steps that he is allowed or required by law to take to give effect to this order.

Application allowed.

For the applicants:
WS Deverell (instructed by *Kaplan & Stratton*, Nairobi)

The first respondent did not appear and was not represented.

For the second respondent:
JK Kamere (instructed by *Kamere & Co*, Nairobi)

Sands v Mutual Benefits Ltd
[1971] 1 EA 156 (HCK)

Division: High Court of Kenya at Nairobi

Date of judgment:	8 October 1970
Case Number:	291/1969 (8/71)
Before:	Chanan Singh J
Sourced by:	LawAfrica

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[1] Contract – Implied term – Price – Court will not imply reasonable price for renewal of lease when no provision for arbitration exists.

[2] Contract – Offer and acceptance – Price – Either price must be agreed or method of determining price agreed before option to renew lease exercised.

[3] Landlord and tenant – Lease – Option to renew – No effective renewal when no price agreed and no arbitration clause.

[4] Rent restriction – Furnished dwelling house – Although cooker and refrigerator are items of furniture they together are not substantial enough to make the house furnished.

Editor's Summary

The plaintiffs sued the defendant for ejectment from a dwelling house which had been let for three years with an option to renew "at such rent as may be mutually agreed". There was no arbitration clause in the lease. The lessee attempted to exercise the option but there was never any agreement as to the future rent. The defendant contended that there was a binding option which had been exercised and that the court should determine a reasonable rent. In the alternative it argues that the property was subject to rent control as a furnished dwelling house because a cooker and refrigerator were included with the house.

Held –

(i) in the absence of agreement or a method of securing agreement to the new rent there was no effective renewal of the lease (*Young v. Van Beneen* (7) and *King's Motors* (*Oxford*) *Ltd. v. Lax and another* (8) followed);

(ii) the electric cooker and refrigerator were furniture since they were not part of the fabric of the house;

(iii) there must be some substantial amount of furniture before a house is furnished.

Judgment for the plaintiff.

Cases referred to judgment

(1) *Loftus v. Roberts* (1902), 18 T.L.R. 532.

(2) *Kime v. Hamilton Radial Electric Railway Co*. (1921), 50 O.L.R. 113.

(3) *Re Fire and Dept. of Public Works* (1921), 64 D.L.R. 535.

(4) *Crane v. Cox* (1932), 92 L.J. (K.B.) 544.

(5) *Foley v. Classique Coaches Ltd*., [1934] 2 K.B. 1.

(6) *Palser v. Grinling*, [1948] 1 All E.R. 1.

(7) *Young v. Van Beneen* (1953), 3 D.L.R. 702.

(8) *King's Motors* (*Oxford*) *Ltd. v. Lax and another*, [1969] 3 All E.R. 665.

Judgment

Chanan Singh J: The plaintiff in this case is suing the defendant for the possession of a house and for rent and mesne profits. The house in question was let to the defendant for a term of three years from 1 October 1965. This term expired on 30 September 1968. The dispute between

the parties centres round an option to renew the lease given by clause 3 (*c*) of the lease. This clause reads as follows:

> "If the lessee shall at the expiration of the term hereby granted be desirous of obtaining a new lease of the said premises and the said chattels and shall signify such desire by notice in writing given to the lessor at least six calendar months before the expiration of the term hereby granted and if the lessee shall at all times during the said term have duly performed and observed all the covenants agreements conditions stipulations restrictions and provisions herein contained or implied and on its part to be performed and observed then the lessor will at or before the expiration of the term hereby granted at the request and cost of the lessee grant to it a new lease of the said premises and the said chattels for a further term of Three years to commence at the expiration of the term hereby granted at such rent as may be mutually agreed and with and subject to the like covenants agreements conditions restrictions stipulations and provisions as are herein contained except this present proviso for renewal."

The parties placed before me the following agreed facts:

> "(1) The suit premises were let on 1 January 1965 at Shs. 900/- a month.
>
> (2) There were in the house at the time a cooker and a refrigerator.
>
> (3) The defendant attempted to exercise an option under clause 3 (*c*) of the lease.
>
> (4) No agreement was reached on the rental to be charged under the option.
>
> (5) From 1 August 1966 to 31 July 1968 the defendant sublet the premises at Shs. 1,800/- a month."

The issues agreed between the parties were as follows:

> "(1) Was there a binding option to renew the lease of the suit premises?
>
> (2) If yes, on what terms?
>
> (3) If the answer to (1) or (2) is No, is the property subject to rent control?
>
> (4) If the answer to (3) is No, what damage has the plaintiff suffered?"

The defendant agreed that the burden of proof on the first three issues lay on it and that, for that reason, it should begin. Mr. Satish Gautama, for the defendant, opened his client's case and stated that it rested purely on law. He reserved the right to offer oral evidence on the issue of damages after the plaintiff had produced his evidence. In the end, Mr. Gautama decided not to offer any oral evidence because, he thought, it was not necessary. The plaintiff produced one witness, Mr. Daniel Sauvage, a valuer and land and estate agent. I shall now deal with the four issues seriatim.

Issue (1). As stated above, one of the agreed facts was that the defendant had "attempted" to exercise the option under clause 3 (*c*) of the lease. It was common ground that the defendant had within the time limited by clause 3 (*c*) written to the plaintiff purporting to exercise the option and offering to pay a rent of Shs. 1,400/- a month. This rent was not acceptable to the landlord who demanded Shs. 1,800/- a month. The tenant then raised his offer to Shs. 1,600/- but the plaintiff stood firm on Shs. 1,800/-. No agreement was reached and the plaintiff filed the present action for the recovery of possession of the house.

Mr. Gautama's main argument is that in a case like this where an option to renew a lease is given to a tenant, the option is effectively exercised and the lease is deemed to be renewed, although there is no agreement between the tenant and

the landlord on the rate of rent. In his view, if the rent is not specified in the option clause, a "reasonable" rent is implied and that the court should determine what that reasonable rent is.

I think I should say at once that what I have to decide is a case for ejectment. I either grant an ejectment as prayed for or refuse it. There is no counterclaim or a counter prayer to determine a reasonable rent and thus to declare that the lease is renewed for a further period of three years as envisaged in the lease. The only question is whether the option clause itself constituted an enforceable agreement.

Mr. Le Pelley says that in the absence of agreement on rent payable during the new term there is no effective renewal of the lease and that, therefore, the tenant has no real defence to the action for ejectment on the ground that I am now considering. He quotes in his support certain authorities from other countries which I shall now consider. The first case he quotes is *Young v. Van Beneen* (1953), 3 D.L.R. 702. The instrument of lease in that case contained a clause reading as follows:

> "It is further understood and agreed that the lessee will have the first (1st) option to rent the building covered by this lease for an additional three-year period directly following the expiration of this lease, at a rental to be agreed upon by the lessor and the lessee."

The three judges of the British Columbia Court of Appeal gave a unanimous decision to the effect that in the absence of a supplementary agreement fixing the terms of the new lease and the rent to be paid, the tenant was bound to surrender possession at the expiration of the original lease. Sydney Smith, J.A., stated:

> "It seems to me this so-called option was entirely illusory, being void for uncertainty."

Bird, J.A., stated:

> "Determination of the questions raised on the appeal, in my opinion, depends upon whether the respondent under the terms of the option, acquired any right to a tenancy of the premises which is enforceable in law, and if so, whether that right subsisted at the date of the service of the demand for possession. An agreement for a lease, if its terms are sufficiently certain, may be specifically enforced, like any other contract, but if the parties fail to express what they mean with reasonable certainty, the agreement is unenforceable, and will be held void."

The Justice of Appeal then quoted with approval the following sentence from another Canadian case:

> "It must be certain when the term is to begin and how long it is to continue, as well as the rent to be paid." (*Re Fire and Dept. of Public Works* (1921), 64 D.L.R. 535, at p. 539).

Then the Justice of Appeal continued:

> "If a material term of contract is left to future agreement, the contract is not enforceable until that term has been agreed to."

He then quoted the following passage from the judgment of the Court of Appeal in *Loftus v. Roberts* (1902), 18 T.L.R. 532 which concerned a contract of employment at a salary "to be mutually arranged between us":

> "The arrangement could not be construed otherwise than as an arrangement under which the two parties were to have a discretion, the one as to

> the salary which he would pay, the other as to the salary which she would accept. Until they had mutually agreed on that point, there was no contract on which an action could be brought."

O'Halloran, J.A., agreed with the decision for the reasons given by Bird, J.A.

The next case for consideration is *Foley v. Classique Coaches Ltd*., [1934] 2 K.B. 1. That was a case of sale of land supplemented by an agreement by the purchasers to buy petrol from the plaintiff "at a price to be agreed by the parties in writing and from time to time". The agreement contained an option clause in the following terms:

> "If any dispute or difference shall arise on the subject matter or construction of this agreement the same shall be submitted to arbitration in the usual way in accordance with the provisions of the Arbitration Act 1889."

The contention that the Court of Appeal had to consider was that the agreement for the purchase of petrol was no contract at all because the essential term of price was absent from it. There were one or two other points involved but we are not concerned with them. It was held by the court that a term must be implied in the agreement that the petrol supplied by the plaintiff should be of reasonable quality and sold at a reasonable price and that if any dispute arose as to what was a reasonable price it was to be determined by arbitration. It is interesting to note that all three judges referred to the arbitration clause in their judgments. The essential principles emerging from the case were two. One was that if parties enter into an agreement which they believe is enforceable and the only term left for determination is the price to be paid for an article then an agreement to pay a reasonable price is implied. Secondly, whatever uncertainty there was in the original agreement as to price was remedied by the arbitration clause. Thus, within the four corners of the written agreement there was provision for the contract to be carried out.

King's Motors (*Oxford*) *Ltd. v. Lax and another*, [1969] 3 All E.R. 665 is a case more to the point and Mr. Le Pelley relies on it. There, the lease contained the following option clause:

> "If the tenants shall be desirous of continuing the term hereby created for a further term of seven years at the expiration of the term hereby granted and shall six months before the expiration of the term hereby created give to the landlords a notice in writing of such their desire and shall pay the rent hereby reserved and perform the several stipulations herein contained and on their part to be observed and performed up to the termination of the term hereby created then the landlords will let the premises to the tenants for a further term of seven years at such a rental as may be agreed upon between the parties hereto in writing prior to the expiration of the term hereby granted and subject in all other respects to the same stipulations as are herein contained except this clause for renewal."

That was a case decided by a single judge of the Chancery Court of the County Palatine of Lancaster. The judge referred to the decision of the Court of Appeal in the *Foley* case and proceeded (ibid.) at p. 666:

> "It is a fact in that case that there was at the end of the agreement an arbitration clause. Here there is in only one part of the lease any reference to arbitration and that is contained in the clause dealing with what might happen if the premises caught fire. It cannot, I think, be argued that any arbitration clause in aid of the plaintiffs in this case can be called into being. The argument for uncertainty is that as the rent was not agreed and was left to be agreed; unless the parties were – if you like to put it that way – to

> play the game together and agree, the contract is not enforceable and is void for uncertainty. In substance it amounts to no more than a contract to enter into a contract which is always given as the classic example of an agreement which is unenforceable."

The judge concluded his judgment with these words at p. 667:

> "Accordingly, in my judgment, the plaintiffs' action fails because the option they had, the letter exercising it which I find as a fact was posted in accordance with the provisions of the lease, although in fact it was never actually received, was duly exercised but in fact was of no avail, because the provision is one unenforceable in law. I therefore dismiss the action with costs."

Mr. Satish Gautama argues that I should ignore all these three cases because they are cases of foreign courts by which I am not bound. I agree that the cases are not binding authorities but they have a persuasive force. He goes on to say that even if I follow these decisions then I should give greater weight to the *Foley* case which was decided by the Court of Appeal in England than to *Young v. Van Beneen* or to the *King's Motors* case. The latter case, he says, in any case is a decision by a single judge.

I am afraid I cannot accept Mr. Gautama's argument. I am of the opinion that all three cases were correctly decided. The *Foley* case was decided on its own facts, the most important fact being the existence of an arbitration clause which made the price ascertainable. It seems to me that the *King's Motors* case would also have been similarly decided if there had been an arbitration clause enabling rent to be ascertained.

I must say that I share with Mr. Gautama the feeling of disappointment that the law is not what it should be. Burgess, V.-C., also seemed to be uneasy about the decision which he was giving and he expressed his uneasiness in these words (at p. 667):

> "My mind has fluctuated for I find it a matter of regret personally that the state of the law is such that I am unable in this case to decide in favour of the plaintiffs. As the law stands it seems to me that the defendants, at any rate in this court, must succeed."

I also find that I must follow the principle that has been enunciated by courts, namely, that if an essential term, like the price of a commodity or service or the rent of a house, is left uncertain and the agreement does not provide any means of ascertaining it, in the event of disagreement between the parties, that agreement is not a contract. I, therefore, answer the first question in the negative.

Issue (2) does not arise in view of my finding on issue (1).

Issue (3). This turns on the definition of the phrase "furnished dwelling-house" in s. 3 of the Rent Restriction Act (Cap. 296). There is no definition of the phrase in the Act itself. In *Palser v. Grinling*, [1948] 1 All E.R. 1, the question was whether certain articles provided with the house were "furniture" and whether the rent fairly attributable to the use of the furniture formed "a substantial portion of the whole rent". This exact question does not arise in the present case but certain definitions given in the judgment of Viscount Simon may be of help in determining whether or not the house involved in the present case was "furnished" when let. Lord Simon says at p. 9:

> "In my opinion, the true view is that articles belonging to the landlord otherwise entitled to rank as 'furniture' for the purposes of s. 10 should, if affixed to the fabric, be regarded as part thereof if they cannot be detached without appreciable damage to or alteration of the fabric or themselves.

> Otherwise they should be regarded as furniture. To sum up, the first question is whether the articles in question are commonly regarded as 'furniture'; if so, loose articles are necessarily included in the expression, while articles which are not loose will or will not be furniture according to the nature and degree of attachment as above indicated."

At p. 12 Lord Simon states this:

> "Applying the principles which (*sic.*) have been set out above to the situation disclosed in the evidence, it appears that the kitchen cabinet was built into the fabric and constituted part of the flat itself. The refrigerator got its necessary electric current through a plug in the wall which could be withdrawn without injury. It could thus be moved out of the flat, when the electric plug was withdrawn, as a loose article, and the trial judge was justified in regarding it as furniture. The judge has taken the same view about the linoleum and rubber floor covering, and though the evidence is not entirely clear whether in the present case these were detachable (as they often are), there seems no reason to reject the judge's view. He also treated the fitted medicine chest as coming within the category of furniture; there is not much evidence about it and the decision depends, of course, on the facts. In the circumstances there is no reason to over-rule this view."

Applying these principles to the present case I find that the two articles that were in the house were furniture. There is no doubt about the refrigerator. As regards the electric cooker, I would regard this also as furniture although it was attached to the switch in the wall by an electric wire which would need unscrewing if the cooker were to be removed from the house.

The question still remains whether this was a "furnished" letting. On this issue, Mr. Le Pelley quotes *Crane v. Cox* (1923), 92 L.J. (K.B.) 544. This case turned on the interpretation of the English Increase of Rent and Mortgage Interest (Restrictions) Act 1920, the question being whether the premises in that case were let at a rent which included payments in respect of the "use of furniture". There was no requirement at that date that the element of rent attributable to furniture should be a substantial portion of the total rent. Of the two judgments delivered one said this:

> "Before it can be said that rent includes use of furniture there must be in the house something substantial in the way of furniture. Otherwise the Act would be reduced to an absurdity, and a frying pan might be held to be furniture." (At p. 545.)

The other judgment stated this (at p. 546):

> "My view is that a flat is not excluded from the operation of the Act, unless there is a substantial quantity of furniture in it. Any other meaning would lead to absurdity, and I think the County Court Judge came to a wrong conclusion."

One other authority cited is Words and Phrases Legally Defined, 2nd Edn., Vol. 2, which quotes the following from the Canadian case of *Kime v. Hamilton Radial Electrical Railway Co.* (1921), 50 O.L.R. 113, at p. 116:

> " 'Furnished' means provided for use . . . and in such a position as will reasonably enable one to make use of what is furnished."

As I have already held, the refrigerator and the cooker were furniture but the two articles alone would not, in my opinion, make the house a "furnished" dwelling-house within the meaning of the Rent Restriction Act. I hold, therefore,

that the letting in question was not subject to rent control and my answer to the 3rd question is in the negative.

Issue (4) requires me to assess the damage the plaintiff has suffered. The plaint claims mesne profits at Shs. 2,000/- a month from 1 October 1968. Mr. Daniel Sauvage states that when the lease expired he assessed the rent at Shs. 1,800/- a month. One of the admitted facts is that the defendant company sublet the premises for two years at Shs. 1,800/- a month. That subletting ended on 31 July 1968. The lease of the defendant expired on 30 September 1968. In view of these facts I assess mesne profits at Shs. 1,800/- a month from 1 October 1968. The rent for September 1968 was also not paid and a sum of Shs. 1,000/- is due in respect of that. In the result, I give the plaintiff judgment for possession of L.R. 209/399/3, for rent Shs. 1,000/-, for mesne profits from 1 October 1968 until possession at the rate of Shs. 1,800/- a month, and for costs and interest at court rates.

Judgment for the plaintiff.

For the plaintiff:
P Le Pelley (instructed by *Hamilton Harrison & Mathews*, Nairobi)

For the defendant:
SC Gautama

In Re Lucy Estates Co Ltd (in Liquidation)
[1971] 1 EA 162 (HCT)

Division:	High Court of Tanzania at Arusha
Date of judgment:	15 September 1970
Case Number:	49/1968 (16/71)
Before:	Bramble J
Sourced by:	LawAfrica

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[1] Costs – Company – Winding-up – Court broker's charges – Liquidator's failure to pay – Whether actionable – Whether petitioning creditor can be ordered to pay – Companies Ordinance (*Cap.* 212), *s.* 191 (*T.*).

Editor's Summary

A winding-up order was made against Lucy Estates Co. Ltd. A court broker was appointed by the official receiver to take possession of the company's assets and generally to protect the interests of the creditors. The court broker's bill of costs assessed at Shs. 22,000/- was not submitted under the Companies Winding-up Rules, r. 180 and was not paid. However, the liquidator was aware of the taxed bill. The property of the company had been sold by the petitioning creditor in exercise of a power of sale in a mortgage and with the consent of the liquidator. The official receiver applied for an order that the bill be paid by the liquidator or the petitioning creditor.

Held –

(i) since no formal claim was made on the liquidator his failure to pay was not an act or default capable of challenge;

(ii) there is no provision under which a petitioning creditor could be ordered to pay costs in a liquidation.

Application dismissed.

Judgment

Bramble J: This is an application brought by the Official Receiver for an Order that the taxed Bill of Costs of S. S. Grewal, court

broker, Arusha in the sum of Shs. 22,000/- be paid by the liquidator of Lucy Estates Company Limited or the petitioning creditor Tasma Finance Corporation Limited, out of the proceeds of sale of the properties of the said company. The liquidator, the company and Mr. Grewal were the respondents.

An application was made rather late to amend the section of the Companies Ordinance which was quoted from s. 191 (3) to s. 191 (5) and this was granted.

The pertinent facts are that on 24 July 1968 the Tasma Finance Corporation, which I shall refer to as the "Creditor" sought a winding-up order from the court with respect to Lucy Estates Company Limited, hereinafter called the "company". This was granted on 12 September 1968 and on 13 September 1968 Mr. Grewal, a court broker, was appointed by the official receiver, as provisional liquidator, to take possession of the Company's assets, movable and immovable. This was done to preserve the assets and protect the interests of all creditors. On 16 September 1968 Mr. Grewal took possession and later that same month sent to the official receiver a detailed inventory of the machinery and equipment of the company. On 21 October 1968, a manager was appointed and as custodian Mr. Grewal handed over to him the properties of the company then his appointment of the custodian was terminated. On 5 October 1969 Mr. Grewal's bill was taxed by consent at Shs. 22,000/-. The court broker's bill was not submitted under the provision of r. 180 of the Companies Winding-up Rules 1929 which states that:

> "Every solicitor, manager . . . broker or other person employed by an official receiver or liquidator in a winding-up by the court shall on request by the official receiver or liquidator (to be made in a sufficient time before the declaration of a dividend) deliver to the official receiver or liquidator for the purpose of taxation, and if he fails to do so within the time stated in the request, or such extended time as the court may allow, the liquidator shall declare and distribute the dividend without regard to such person's claim, and subject to any order to the court the claim shall be forfeited."

In exercise of the power of sale conferred on it as mortgagee the creditor sold the company's property in September 1969 and to this the liquidator consented. The purchase price was paid to the creditor and the liquidator says that he has no money in hand to meet the broker's costs.

Section 191 (5) of the Companies Ordinance reads as follows:

> "If any person is aggrieved by an act or decision of the liquidator, that person may apply to court and the court may confirm, reverse or modify the act or the decision complained of, and make such order in the premises as it thinks just."

It gives redress with respect to an act or decision of the liquidator. The act complained of is the failure to pay the broker's charge. As he was employed by the official receiver there was a responsibility in the official receiver to ensure payment of the fees and he will have a right to challenge the liquidator's default. While it is clear that the liquidator and the official receiver were aware of the taxed bill of costs of the broker there is no proof that a claim was made on the liquidator either by the official receiver or the broker and the failure to pay cannot be said to be an act or decision which entitles the official receiver to complain under s. 191 (5). Even assuming that the summons was rightly taken out, it has not been questioned that the liquidator has no assets and if he has no assets he cannot pay. The sale of the company's properties was not made in the course of the winding-up when the sale price would have been paid to the liquidator and such charges would have priority over even the interests of secured creditors. The court cannot direct a person to do something which is impossible.

The creditor had two courses which it could follow. It could petition the court for a winding-up or it could realize its securities under the provisions of the mortgage deed. It is settled law that it did not lose its right of realizing its security when there was a winding-up order. In procuring a winding-up order in the first instance it created liabilities on the assets of the company. By subsequently exercising its power of sale it removed from the liquidator the possibility of settling debts which had priority over secured debts. I should not in the least suggest that this was the intention or that it was a result that was foreseen. It was submitted on behalf of the creditor that the official receiver, as provisional liquidator, ought not to have appointed a custodian as he had notice of the mortgage and ought to have realized that the assets of the company were not sufficient to pay off the mortgage debt, a fact which was given in the affidavit attached to the petition for winding-up. I am satisfied that he acted in good faith when he sought to secure the interests of creditors by processing the assets of the company. I would think it just that having moved the court it should be the creditor to bear the loss through the consequent depreciation of the assets of the company by the costs in the winding-up proceedings. They have partially conceded this when they have met the liquidator's full fees and some other debts such as payment to workmen which have priority in winding-up. It has been submitted by the official receiver that there is no contingency fund from which he could meet the bill in question as would be possible in bankruptcy proceedings and it would be unfair to allow an innocent party to suffer a loss. I cannot say, however, that the creditor could be properly a party to this application since it relates to an act of the liquidator nor am I aware of any law under which I could make an order against them.

As a result I must dismiss the application. After having heard the parties there will be no order as to costs.

Application dismissed.

For the appellant:
SA Dahoma (Deputy Official Receiver)

For the liquidator:
JC Taylor

For the creditor:
Zafferali

Jafferali and another v Borrisow and another
[1971] 1 EA 165 (HCT)

Division:	High Court of Tanzania at Arusha
Date of judgment:	16 September 1970
Case Number:	29/1969 (17/71)
Before:	Bramble J
Sourced by:	LawAfrica

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[1] Advocate – Witness – Advocate possibly material witness – Whether advocate precluded from

accepting brief.

[2] Civil Practice and Procedure – Witness – Advocate possibly material witness – Whether advocate precluded from accepting brief – Principles.

Editor's Summary

The advocate for the plaintiffs sought an order from the court precluding the respondent from acting as advocate for the defendants on the ground that the respondent had admitted in writing that he would be a material witness if the matter went to the court. The respondent contended that the application was premature until he was summoned as a witness.

Held –

(i) it is a rule of practice that an advocate should not act as counsel and witness in the same case;

(ii) the rule is not violated until the advocate is called as a witness;

(iii) the court cannot make an order to prevent an anticipated violation.

Application dismissed.

Cases referred to judgment

(1) *R. v. Secretary of State for India, ex p. Ezekiel*, [1941] 2 All E.R. 546.

(2) *Safi Seed Ltd. v. Ecta* (*Kenya*) *Ltd. and Others*, (Tanzania High Court Civil Revision No. 1 of 1967) (unreported).

(3) *Gandesha v. Killingi Coffee Estate Ltd. and another*, [1969] E.A. 299.

Judgment

Bramble J: This is an application for an order from this court precluding the respondent from acting as an advocate for the defendants in the above-named actions. This is based on a letter written to advocate for the plaintiffs which states as follows:

> "We now consider ourselves free to act for the Vendors only unless and until the matter goes to Court, when, of course, the writer will be a material witness."

The case relied on is *R. v. Secretary of State for India, ex p. Ezekiel*, [1941] 2 All E.R. 546, in which junior counsel was called upon to prove certain aspects of Indian Law and continued thereafter to act as counsel in the case. It was held that this was irregular and contrary to practice. There has been no code of practice in Tanzania as far as I am aware and the practice as laid down by the General Council of the Bar in England has generally been adopted as shown by certain decided cases. In *Gandesha v. Killingi Coffee Estate Ltd*., [1969] E.A. 299, Platt, J. expressed disapproval of counsel being witness and counsel in the same case as also did Seaton, J. in *Safi Seed Limited v. Ecta* (*Kenya*) *Limited and others*, revision No. 1 of 1967 (unreported). In the latter case counsel called himself as a witness after he had conducted the case up to that point; he then handed over his brief to another counsel.

The practice as laid down by the Annual Statement of the General Council

of the Bar 1911, p. 11 is that a barrister should not act as counsel and witness in the same case; and he should not accept a retainer in a case in which he had reason to believe he will be a witness and if, being engaged in a case it becomes apparent that he is a witness on a material question of fact, he ought not to continue to appear if he can retire without jeopardising his client's interests. It appears to me that the adverse comments in Safi's case was not justified since a course had been followed in keeping with settled practice.

The respondent has replied that the words used in the letter referred to were in error and the application is premature in that he has not been summoned as witness.

Any rules of practice are rules of etiquette and while a court will be diligent in seeing that they are not violated I cannot see that it has any power to make an order to prevent an anticipated violation. Whether or not the respondent will be called as a witness is still a matter within his discretion. Until he is so called there can be no violation of any rule of practice. The tenor of the letter under reference shows that the respondent is aware of the particular rule and there is no law under which I can make the order sought. If any positive action is taken which violate the rule the court may then make a ruling.

I am of the view that the application is premature and that the court has no power to make the order sought. The application is dismissed with costs.

Application dismissed.

For the applicant:
D Cassidy

For the respondent:
A Reid

Akber v Fidahussein & Co Ltd and others
[1971] 1 EA 166 (HCT)

Division:	High Court of Tanzania at Dar Es Salaam
Date of judgment:	20 October 1970
Case Number:	141/1967 (18/71)
Before:	Georges CJ
Sourced by:	LawAfrica

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[1] Estoppel – Judgment, by – Plea raised and dismissed – Cannot be entertained again.

Editor's Summary

The plaintiff claimed a dissolution of the partnership between himself and the defendants and the taking of the plaintiff's previous suit against the defendants for wages was dismissed on the ground that the plaintiff as a partner could not sue for wages until the partnership had been dissolved. At the hearing before Duff, J. the defence raised the plea of res judicata claiming that all the remedies prayed

for by the plaintiff could have been included in the earlier suit for wages. Duff, J. held that the plea would have succeeded had the partnership been dissolved before 17 July 1965 when the plaint in the earlier case was filed. However, he dismissed the objection finding that the date of dissolution was not clear. When the suit came for hearing before the present court the defence again raised the plea of res judicata but this time claiming that the partnership was dissolved before 17 July 1965 and on the principles enunciated by Duff, J. argued that the plea should be upheld.

Held –

(i) the proper course of the defence was to appeal against the ruling of Duff, J. dismissing the objection;

(ii) a preliminary objection cannot succeed by instalments after an earlier rejection.

Application dismissed.

Cases referred to judgment

(1) *Henderson v. Henderson* (1843), 67 E.R. 313.

Judgment

Georges CJ: Not infrequently there can be much difficulty in determining exactly what is the ratio decidendi of a particular case. It appears to me that the arguments here arise because of this.

In Civil Case 43 of 1965, the plaintiff sued the five defendants in this case for "Shs. 34,500/-, being salary for 25 months at the agreed rate of Shs. 1,500/- per month". That case was dismissed. A copy of that plaint is annexed to the proceedings in this suit, but not the judgment.

In this suit now under consideration, the plaintiff has claimed against the defendants a number of remedies: a declaration that the partnership existing between himself and the defendants be dissolved, the taking of accounts of the partnership and surcharging and falsification of such accounts, the appointment of a receiver and the payment by one party to the other of any sum found due on the taking of such accounts. One of the allegations in the plaint is that the plaintiff should manage the partnership business at an "agreed monthly salary of Shs. 1,500/- a month, commencing from 15 March 1963".

In the defence, the first defendant has contended that the claim is res judicata, as all the remedies prayed for could have been included in the earlier suit. This contention was argued as a preliminary point before Duff, J. It appears from his ruling that the earlier case had been dismissed because the plaintiff, as a partner in the firm, could not sue for wages until the partnership had been dissolved. Until then, a debtor-creditor relationship could not exist.

At the hearing of the preliminary point, the defendant argued in support of his contention that the plaintiff should have raised all relevant issues in his earlier suit and should not be allowed to proceed in parts. The plaintiff argued that the suits were distinct. The earlier claim had made no mention of the partnership on which the present action was based. The judge clearly agreed with the principles propounded by Mr. Lakha. He stated:

> "The Indian authorities relied on by Mr. Lakha support the contention that where a previous suit is dismissed, a subsequent suit on the same cause of action is not maintainable. They also indicate that parties to litigation are required to bring forward their whole case and are not permitted, except under special circumstances, to open the same subject of litigation in respect of matter which might have been brought forward as part of the subject in contest (in the earlier case) but which was not brought forward through negligence, inadvertence or even accident (vide *Henderson v. Henderson* (1845), 67 E.R. 313, at p. 319). With these principles I respectfully agree."

The judge did not, however, go on to apply these principles to the case before him and to decide whether on these principles the suit was res judicata. He went on to discuss the pleadings and continued:

> "If the partnership was dissolved before 17 July 1965, when the plaint was filed in the earlier suit, then I would be inclined to the view that the contention of res judicata would succeed."

Thereafter, he went on then to point out that if it could be established that the

partnership had not been dissolved by 17 July 1965, then the plaintiff could have filed a suit for accounts without asking for dissolution. For that reason, he held that Mr. Lakha's argument failed.

Before me, Mr. Lakha has argued that the judge clearly would have ruled that the plea of res judicata should succeed if it had been made clear that the partnership had been dissolved before 17 July 1965. He then goes on to examine the pleadings to show that from the plaint it is clear that the partnership expired on or about 15 June 1965 from which it can clearly be inferred that it had expired by 17 July 1965. He contends, therefore, that the suit should now be dismissed on the preliminary objection, his success having been by instalments, so to speak.

Attractive as the argument may appear to be, I think it is faulty.

What the judge who heard the preliminary objection did decide is made clear in the final sentence of his judgment, which reads:

> "Accordingly, the submission made by Mr. Lakha fails and the action will continue."

It is true that he agreed fully with the principles Mr. Lakha propounded, establishing that a plaintiff must raise his entire claim in one action and not put them forward in parts in separate actions. He also indicated what he "would be inclined" to do had he applied these principles to the instant case. But he never went on to do that. He then decided the case on what Mr. Lakha now contends, perhaps correctly, was an erroneous view, that the date of dissolution was not clear on the pleadings as they stood. In such a situation, the first defendant ought to have appealed against what he now alleges to be an erroneous conclusion based on erroneous grounds. It is difficult to understand Mr. Lakha's contention that the first defendant was satisfied with the judge's ruling when the judge had dismissed its preliminary objection for a bad reason.

Duff, J., has ruled that the preliminary objection has failed, and that the action is to continue. If I am to order otherwise now, I would, in effect, be reversing him. I do not think that a preliminary objection can succeed in instalments (after an earlier rejection), any more than a plaintiff can split his case into instalments launched in separate actions without running foul of the plea of res judicata.

Application dismissed.

For the plaintiff:
NP Patel (instructed by *Natubhai Patel, Desai & Co*, Dar es Salaam)

For the defendants:
AA Lakha (instructed by *Fraser Murray, Roden & Co*, Dar es Salaam)

Pyarali v Republic
[1971] 1 EA 169 (HCT)

Division:	High Court of Tanzania at Mwanza
Date of judgment:	12 November 1970
Case Number:	426/1970 (20/71)
Before:	Onyiuke J
Sourced by:	LawAfrica

[1] Traffic – Dangerous driving – Test of dangerous driving objective – Negligence not necessary to constitute dangerous driving – Traffic Ordinance (*Cap.* 168), *s.* 44*A* (*T.*).

[2] Traffic – Dangerous driving causing death – Dangerous driving substantial cause of death – Not necessary that dangerous driving sole cause of death – Traffic Ordinance (*Cap.* 168), *s.* 44*A* (*T.*).

[3] Criminal Practice and Procedure – Sentence – Dangerous driving – Causing death – 2½ years excessive on first offender.

Editor's Summary

The appellant was convicted of causing death by dangerous driving and sentenced to two and a half years imprisonment. On appeal it was argued that the evidence did not establish a degree of negligence which would support conviction, that death did not result solely from the accident and that the sentence was excessive on a first offender.

Held –

(i) the test of whether a piece of driving is dangerous is objective and if the manoeuvre itself is dangerous the degree of negligence or care of the driver is irrelevant (*R. v. Evans* (5) followed);

(ii) the prosecution does not have to prove that the dangerous driving was the sole cause of death if it was the substantial cause of it (*R. v. Gould* (6) followed);

(iii) the sentence was excessive on a first offender, and would be reduced to 18 months.

Appeal against sentence allowed.

Cases referred to judgment

(1) *R. v. Bateman* (1925), 19 Cr. App. R. 8.

(2) *R. v. Abyasali Kabula son of Dodo* (1936), 3 E.A.C.A. 42.

(3) *Andrews v. D.P.P.*, [1937] A.C. 576.

(4) *R. v. Daudi Magomu son of Andrea Magombe* (1941), 8 E.A.C.A. 52.

(5) *R. v. Evans* (1963), 46 Cr. App. R. 62.

(6) *R. v. Gould* (1963), 47 Cr. App. R. 241.

(7) *R. v. Graham Ball* (1966), 50 Cr. App. R. 266.

(8) *Patel v. Republic*, [1968] E.A. 97.

(9) *Jeremiah son of Mhindi v. Republic* (1968), unreported.

Judgment

Onyiuke J: The appellant was convicted, in the district court of Mwanza, of causing death by dangerous driving contrary to s. 44A of the Traffic Ordinance (Cap. 168). The particulars of offence were that on 7 October 1969 at about 11.30 a.m., the appellant, being the driver of a Peugeot, did drive the vehicle on the Kenyatta Road, Mwanza, in a manner which was dangerous, having regard to all the circumstances of the case, and thereby caused the death of one African male, name unknown. He was sentenced to two and a half years imprisonment. He has appealed to this Court against his conviction and sentence.

[The judge set out the evidence and continued.]

The magistrate, in a very lengthy judgment reviewed the evidence and dealt with the legal submissions. He found as a fact that it was the appellant's vehicle that knocked down the deceased and that the deceased died as a result of the injuries sustained thereby. He also found as a fact that the appellant drove his vehicle in a dangerous manner. He accordingly convicted the appellant as charged.

Mr. Dhanani, for the appellant, has attacked the conviction on six grounds. In his submissions Mr. Dhanani dealt with the ingredients of the offence charged, the burden of proof and the benefit of doubt, and the weight of evidence having regard to the discrepancies in the testimony of the eye-witnesses.

He contended that the prosecution was bound by the particulars of offence given in the charge and that the case against the appellant was, therefore, narrowed to one of causing death by dangerous driving. He then submitted that the word "dangerous" did not mean "merely being negligent" but involved such a degree of negligence that it could be regarded as dangerous because if any degree of negligence or any omission whatsoever were to be regarded as dangerous then the lesser offence of driving without due care and attention would have no meaning. He referred to *R. v. Bateman* (1925), 19 Cr. App. R. 8 and *Andrews v. D.P.P.*, [1937] A.C. 576 to support his contention. Finally, he submitted that the mere happening of an accident was not sufficient to convict a person since the doctrine of res ipsa loquitur is not applicable to criminal cases. There was, therefore, no evidence to convict the appellant on the offence of causing death by dangerous driving.

A good deal of the argument in this case was more relevant to a charge of manslaughter by negligent driving than to a charge of causing death by dangerous driving under s. 44A (1) of the Traffic Ordinance. In fact the very cases cited by counsel for the appellant were cases dealing with manslaughter. Cases of manslaughter arising out of motor accidents are but instances of a general rule applicable to all charges of manslaughter by negligence. For the purposes of the criminal law, there are degrees of negligence and it is established law that a very high degree of negligence is required to convict a person of manslaughter. This rule is applicable whether the charge is for manslaughter by negligent surgical operation (*R. v. Bateman*) or negligent driving (*Andrews v. D.P.P.*). See also *R. v. Abyasali Kabula son of Dodo* (1936), 3 E.A.C.A. 42 and *R. v. Daudi Magomu son of Andrea Magombe* (1941), 8 E.A.C.A. 52.

There would have been no need for the subsequent enactment in 1964 of Act No. 41 of 1964 which amended the Traffic Ordinance by adding s. 44A which created the offence of causing death by dangerous driving if the burden of proof in that section were the same as in manslaughter. It is my view that s. 44A of the Traffic Ordinance and the offence of manslaughter by negligent driving do not cover the same ground and what is required to be proved is not the same in both cases. It may be that in a trial for an offence under s. 44A of the Traffic Ordinance evidence is led which discloses such a high degree of negligence as would suffice to sustain a conviction of manslaughter but it is not necessary to lead that kind of evidence nor is it the duty of the prosecution to do so to secure a conviction under s. 44A. The areas covered by the offence of manslaughter by negligent driving and the offence created by s. 44A may sometimes overlap but they do not cover the same ground.

The question I have then to consider in this appeal is what must be proved in a charge under s. 44A of the Traffic Ordinance. I shall confine myself to the charge in this case. The appellant was charged with driving in a manner dangerous to the public whereby an accident was caused resulting in the death of the deceased. In determining this the section says that consideration must

be given to all the circumstances of the case including the nature, condition and use of the road and the amount of traffic which was actually at the time or which might reasonably be expected to be on the road. First the words "driving in a manner dangerous" refer to the manner of *actual driving.* (See Parker, L.C.J. in *R. v. Graham Ball* (1966), 50 Cr. App. R. 266 at p. 270). Secondly, if the manner of actual driving produces a situation, which viewed objectively, that is to say, which a reasonable man would consider dangerous, then that driving is dangerous within the meaning of s. 44A. To put it in another way, when a driver who is in full control of his vehicle, does an act which any reasonable person would say is a dangerous piece of driving or a dangerous manoeuvre, then that driving is dangerous within the meaning of s. 44A. (See *Patel v. Republic*, [1968] E.A. 97; *R. v. Evans* (1963), 47 Cr. App. R. 62). Once this is established it does not matter whether the dangerous driving was due to a high or slight degree of negligence. In *R. v. Evans* cited above it was held:

> "that if a man in fact adopts a manner of driving which the jury think was dangerous to other road users in all the circumstances, then on the issue of guilt it matters not whether he was deliberately reckless, careless, momentarily inattentive or even doing his incompetent best."

(I may mention that the court in *R. v. Evans* was interpreting s. 1, sub-s. (1) of the Road Traffic Act 1960 of England which is in "pari materia" with s. 44A (1) of the Traffic Ordinance.) In conclusion, I have to state that it is not open to a person charged with causing death by dangerous driving under s. 44A to argue, as is being argued in the present case, that the prosecution must, in addition to proving that the driving was dangerous, go further and prove that the dangerous driving was due to a high degree of negligence. Dangerous driving due to mere carelessness is as much an offence under s. 44A as dangerous driving due to deliberate recklessness.

Lastly, having established that the accused's driving was dangerous to the public as explained above, the prosecution have then to establish that the dangerous driving was the substantial cause, not necessarily the sole cause, of death. (See *R. v. Gould* (1963), 47 Cr. App. R. 241.)

Unfortunately, the magistrate was led, no doubt by the submissions made to him, to deal at great length with issues which were not relevant to the charge and in the process of which he misdirected himself on a number of points and treated, as evidence of gross negligence materials which did not justify such a finding. I am, however, satisfied that his findings of fact that the appellant's manner of driving was dangerous and that that was the cause of death were justified by the evidence.

I dismiss the appeal against conviction.

Counsel for the appellant attacked the sentence as severe and argued that the magistrate mistakenly took the view that this was a "hit and run" case and that that affected the sentence which he imposed. I think there is substance in this submission. The magistrate in considering sentence, expressly stated that this was a hit and run case and that because of that the appellant deserved no leniency. This view was not supported by the evidence before him. The better view was that the appellant did not know of the accident until Kisaul stopped him and told him. In the circumstances, the sentence imposed should be reduced. The appellant was a young man of 21 years and was a first offender. I take that into consideration. I hereby reduce the sentence to 18 months imprisonment.

Counsel for the Republic drew the attention of the court to s. 44A (4) and submitted that the magistrate should have made an order of disqualification against the appellant from holding or obtaining a driving licence and asked the

court to make the order. This submission is well founded. A conviction under s. 44A (1) carries an automatic disqualification unless special reasons exist. The magistrate unfortunately did not direct his mind to these mandatory provisions. During the hearing of this appeal the appellant was invited to give any special reasons why an order of disqualification should not be made. Counsel for the appellant stated that there were no special reasons in this case other than to say that the decided cases show that it is the employer who should be dealt with. The decided cases counsel was alluding to, do not seem applicable to a charge under s. 44A. They refer in my view to charges under s. 4 of the Motor Vehicle Insurance Ordinance. That section requires that motor vehicles should be insured against third party risks and it was held that since it is the owner of the vehicle who is primarily responsible for taking out such third party risk insurance policy he is the person that ought ordinarily to be charged for using or permitting his vehicle to be used without such policy. There being no special reasons the mandatory provisions should be carried out. In *Jeremiah son of Mhindi v. Republic* (1968) (unreported) Georges, C.J. held that disqualification should be long enough to be effective. I bear in mind that the appellant has been sentenced to 18 months imprisonment in considering the period of disqualification. The appellant should be disqualified from holding or obtaining a driving licence for a period of thirty months from the date of conviction.

Appeal against sentence allowed.

For the appellant:
NP Dhanani (instructed by *Dhanani & Co*, Mwanza)

For the respondent:
BA Samatta (State Attorney)

Premchand Raichand Ltd and another v Quarry Services of East Africa Ltd and others (1)

[1971] 1 EA 172 (CAN)

Division:	Court of Appeal at Nairobi
Date of judgment:	7 December 1970
Case Number:	41/1970 (44/71)
Before:	Law JA
Sourced by:	LawAfrica

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[1] Costs – Security for costs – Further security – Delay – Applicant must show no prejudice to appellant – East Africa Court of Appeal Rules 1954, *r.* 60.

[2] Appeal – Stay of proceedings – Execution – Formal application for permanent order essential – Civil Procedure (*Revised*) *Rules* 1948, *O.* 41, *r.* 4(*K.*).

[3] Appeal – Stay of proceedings – Execution – Security – Provision of security essential to permanent order of stay – Civil Procedure (*Revised*) *Rules* 1948, *O.* 48, *r.* 4 (*K.*).

Editor's Summary

The appellants applied in the High Court for a stay of execution of the decree pending the appeal and this was granted without formal application. The appeal was filed in August 1970 and by consent set down for hearing on 14 December 1970. Counsel from England were engaged on both sides.

Application was made by the respondent on 27 November 1970 for additional security for the costs of the appeal and for past costs in the High Court and also for a discharge of the order for a stay of execution of the decree.

Held –

(i) where there has been delay in applying for security the applicant must show that the delay has not been prejudicial to the appellant (*Lalji Gangi v. Nathoo Vassanjee* (1) followed);

(ii) in this case the delay had been prejudicial to the appellant;

(iii) a permanent order for a stay of execution can only be made on a formal application by motion;

(iv) a permanent order for stay can only be made where security for the due performance of the decree is given by the applicant.

Application for security dismissed. Application to set aside stay of execution allowed.

Cases referred to judgment

(1) *Lalji Gangi v. Nathoo Vassanjee*, [1960] E.A. 315.

(2) *Noormohamed Abdulla v. Patel*, [1962] E.A. 447.

Judgment

Law JA: This application is made by the respondents in a pending appeal, to whom I shall refer hereinafter as the decree-holders, asking for orders against the appellants:

(*a*) for additional security to be given for the costs of the appeal; and

(*b*) for security to be given in respect of past costs incurred in the High Court; under r. 60 of the East Africa Court of Appeal Rules 1954. In addition I am asked to set aside orders made by Madan, J. for a stay of execution of the decree, or to order security to be given for payment of the decretal amount, under O. 41, r. 4 of the Civil Procedure (Revised) Rules 1948.

The history of the matter is that the decree-holders obtained judgment against the appellants as follows:

1. against the first and second appellants jointly and severally, for Shs. 872,833/35; and
2. against the first appellant, for two sums of Shs. 105,523/57 and Shs. 105,594/13, and
3. against both appellants jointly and severally, for the costs of the suit.

This was on 19 June 1970. Mr. J. J. Patel for the appellants immediately gave verbal notice of appeal and applied for a stay of execution until determination of the appeal. Mr. V. Shah opposed the application for a stay unless the amounts awarded were deposited in court. The court's attention was not drawn to the relevant law, which is contained in O. 41, r. 4. The judge made the following order:

"Stay. To continue if appeal filed within 45 days."

The appeal was not filed within 45 days as the form of the decree could not be agreed. On 4 August 1970, a further informal application was made to the judge. Again no reference was made to O. 41, r. 4. The judge ordered:

". . . stay enlarged to fifteen days after decree being settled. To continue until determination of appeal if filed."

The decree was agreed soon after, and the appeal was filed in this court on 12 August 1970. The appeal was set down for hearing from 14 to 18 December 1970, by consent of the parties, on 22 September 1970. I am informed that both sides have engaged leading counsel from England, who are due to arrive in four or five days' time. The decree-holders' costs in the High Court were taxed on 18 November 1970, at Shs. 61,454/-. On the same day they wrote to

the appellants' advocates demanding payment of that sum within three days. On 23 November they wrote again, saying that as the costs had not been paid they were instructed to file the necessary court applications. The present application was in fact filed on 25 November; it came before me on 27 November when I adjourned it to 3 December to enable the appellants to file counter-affidavits. Only the first appellant has done so, as the second appellant lives in India and there has not been time for him to be contacted. This was the position when the application was argued before me on 3 December, Mr. D. N. Khanna and Mr. V. D. Shah appearing for the decree-holders and Mr. J. J. Patel for the appellants.

I will deal first with the applications for security in respect of further and past costs. Mr. Khanna has stressed that in terms of r. 60 orders for such security can be made "at any time". That is so, but I direct myself in accordance with the decisions of this Court in *Lalji Gangi v. Nathoo Vassanjee*, [1960] E.A. 315 and *Noormahomed Abdulla v. Patel*, [1962] E.A. 447, that delay in making applications of this nature is a material consideration; that the onus is on the applicant to show that such delay has not been prejudicial to the appellant; and that the power to order security in respect of the payment of past costs is one which should be sparingly exercised. In my view the present application should have been brought within a reasonable time of the appeal being filed. There was no need to wait for the costs to be taxed. In fact this application was not filed until seventeen days before the appeal was due to be heard. I have dealt with it as expeditiously as possible, and if I were to order the provision of the large amounts of additional security asked for (nearly Shs. 100,000/-) today, I would have to give the appellants time to raise that sum, which would involve adjourning the hearing of the appeal which was set down for hearing as long ago as 22 September. I may say that if this application had been brought when it should have been, I would probably have made the orders asked for in respect of the first appellant, and I certainly would in respect of the second appellant who is outside the jurisdiction. Mr. Khanna submits that in these circumstances I am bound to enforce the decree-holders' rights irrespective of the consequences, including the prejudice which will undoubtedly be caused to the appellants if the appeal is adjourned at this late stage. Mr. Khanna cited no authority for this proposition which I reject and which is contrary to previous decisions of this court as I understand them. It is for him to satisfy me that no undue prejudice will be caused to the appellants if I accede to this belated application for security for costs. On the contrary, I am satisfied that undue prejudice would be caused. Senior counsel has been engaged by the appellants in London, his passage is booked, and he is due to arrive in four days' time. To disrupt these arrangements at this stage, or to expect the appellants to secure the payment of Shs. 100,000/- in that time, would be quite unreasonable. For these reasons I dismiss the application for orders for the payment of additional security for the costs of the appeal and for past costs. These orders should have been applied for weeks earlier, when they could have been made without the undue prejudice and inconvenience to the appellants which must follow if I were to make them now.

The other branch of this application relates to the orders for stay of execution made by Madan, J. the effect of which was to stay execution until the determination of the appeal. It is clear, from O. 41, r. 4 (3) which empowers a court to order a temporary stay on terms, pending formal application, that a permanent order of stay can only be made on a formal application by notice of motion, and from sub-r. (2) (*c*) that such a stay can only be granted if security is given by the applicant for due performance of the decree. This latter provision is mandatory. I agree with Mr. Khanna that the orders for a stay, made on informal application, without security, were in breach of O. 41, r. 4 and consequently

null and void (see Mulla's commentary on the Code of Civil Procedure, 12th Edn., at p. 1189). I can only accede to this part of the application, declare the orders for a stay to be null and void as having been made without jurisdiction, and set them aside accordingly. At the same time I must point out that the last of these orders was made as long ago as 4 August 1970, and if the decree-holders were aggrieved by it, they should have applied with reasonable diligence to this court, under O. 41, r. 4 (1), to have it set aside. Again, there has been gross delay on the part of the decree-holders. For this reason, I refuse to accede to the alternative prayer on this branch of the application, that I should order the provision of security for payment of the decretal amount. It is far too late for me to order the appellants to secure payment of over one million shillings, with the hearing of the appeal only seven days off. I can do no more than set aside the orders for stay made in the court below. The application succeeds to this limited extent, but is otherwise dismissed. Each side will bear its own costs incurred by this application.

Application allowed in part.

For the applicants:
DN Khanna and *VD Shah* (instructed by *Veljee Devshi Bakrania*, Nairobi)

For the respondents:
JJ Patel (instructed by *JJ Patel & Co*, Nairobi)

Premchand Raichand Ltd and another v Quarry Services of East Africa Ltd and others (2)

[1971] 1 EA 175 (CAN)

Division:	Court of Appeal at Nairobi
Date of judgment:	29 January 1971
Case Number:	41/1970 (27/71)
Before:	Sir William Duffus P, Law and Lutta JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Kenya – Madan, J

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[1] Conversion – No trust arises in favour of owner when property converted.

[2] Money-lending – Security – Loan void – Security may be recovered.

[3] Limitation of Actions – Right to recover security – Personal right created by statute – Period 6 *years – Indian Contract Act, s.* 65 *– Limitation Act* (*Cap.* 11) *Laws* 1948, *s.* 5 (*K.*).

[4] Contract – Mistake – Payment on guarantee of loan subsequently found unenforceable – Not recoverable – Indian Contract Act, s. 71.

[5] Damages – Conversion – Sale of goods by public auction – Only price received may be recovered.

Editor's Summary

In 1957 the first appellant, a licensed money-lender, lent money to the first respondent, a limited liability company now in liquidation on the security of a debenture over the company's assets. This loan was guaranteed by the third and fourth respondents. The company went into liquidation in July 1957 and a receiver was appointed by the first appellant.

After the sale of the first respondent's assets a sum less than the total due was paid over to the first appellant and the third and fourth respondents were then called upon to honour their guarantee for the balance, and they paid this between them. In 1961 the first respondent was dissolved.

In 1963, application was made to restore the first respondent to the register, and after this was done the respondents filed action in the High Court claiming

that the contracts of loan were void and unenforceable, and for repayment of the proceeds of sale of the first respondent's assets and damages. The third and fourth respondents claimed repayment of the money paid by them as money paid under a mistake or by reason of false representations by the first appellant. Further facts are set out in the judgment of Law, J.A.

The judge held that the contract of loan was void, that the appointment of the receiver was invalid, that the sale of the assets was a conversion, but that although a claim in conversion was barred by limitation the first respondent was able to recover on a breach of trust. As regards the third and fourth respondent the judge held that they had paid under a mistake of fact, that is that they thought they were liable under their guarantees when they were not. On damages, the judge held that the sale of the assets was at an undervalue and awarded a higher figure than that realised with interest from 1958.

The appellants appealed, contending that there is no trust in favour of the owner when property comes unlawfully into the hands of a stranger, that there was no evidence that the assets had been sold at an undervalue, that the Indian Contract Act, ss. 65 and 71 had no application to money-lending transactions, and that there was no evidence that the guarantors had paid under any mistake. The first respondent contended that it was given a statutory right of recovery by the Indian Contract Act, s. 65, in respect of which the limitation period was six years.

Held –

(i) no trust arises in favour of the owner when property is converted by another;

(ii) the borrower is entitled to recover any security given in respect of a void money-lending contract. (*Naranbhai Ichharam v. Lobo* (2) and *Guaranty Co. of East Africa Ltd. v. S. M. Shah* (5) distinguished; *Kasumu and others v. Baba Egbe* (3) followed);

(iii) the right of recovery is a personal right conferred by statute, in respect of which the limitation period is 6 years;

(iv) the guarantors did not pay under any mistake since although the loans were unenforceable they did not cease to exist. There was no misrepresentation;

(v) there was no evidence that the assets were sold at an undervalue, and only the amount received from the sale could be recovered.

Appeal allowed in part.

Cases referred to judgment

(1) *In re Chetwynd's Estate*, [1937] 3 All E.R. 530.

(2) *Naranbhai Ichharam v. Lobo* (1942), 9 E.A.C.A. 16.

(3) *Kasumu and others v. Baba Egbe*, [1956] 3 All E.R. 266.

(4) *Mayfair Trading Co. Ltd. v. Dreyer* (1958), 101 C.L.R. 428.

(5) *Guaranty Co. of East Africa Ltd. v. S. M. Shah*, [1959] E.A. 300.

29 January 1971. The following considered judgments were read.

Judgment

Law JA: The first appellant was at all material times a licensed money-lender, the second appellant was at all material times its manager. The first respondent is a limited liability company now in liquidation; the second respondent is the present liquidator of that company, and the third and fourth

respondents are guarantors for the repayment of a loan made by the first

appellant to the first respondent. On 12, 20 and 21 February 1957, the first appellant (hereinafter called the money-lender) lent to the first respondent (hereinafter referred to as the borrower) sums of Shs. 50,000/-, Shs. 50,000/- and Shs. 200,000/- respectively. On the last mentioned date, the money-lender obtained from the borrower a debenture by way of security for all three loans which purported to charge with the repayment of the loans and interest all its property whatsoever, both present and future and whether movable or immovable. The intention appears to have been to exclude the transaction between the parties from the provisions of the Money-Lenders Act (Cap. 528), as by s. 3 (1) (*b*) thereof that Act does not apply to any money-lending transaction where the security for repayment is effected, *inter alia*, by the execution of a charge upon immovable property. It does not appear to have been appreciated by the parties at the time, but has since become apparent, that the borrower was not in fact the owner of any immovable property, and as no note or memorandum of the separate transactions of loan was made and signed by the borrower as required by s. 11 of the Act, the contracts of loan and the security were from the beginning unenforceable. In ignorance of this state of affairs, and in good faith on all sides, the debenture was made by the borrower and the money advanced by the money-lender, and six persons including the third and fourth respondents (to whom I shall refer as the guarantors) gave a guarantee in writing for the due payment of all amounts payable under the debenture.

Notwithstanding this infusion of capital, the borrower soon afterwards found itself to be in financial difficulties, and on 12 July 1957, a winding-up order was made on its own petition. There is no dispute that the borrower informed the money-lender of its intention to petition for a winding-up order, and asked it to appoint a receiver. On 20 November 1957, the official receiver gave notice to creditors of the first meeting of creditors to be held on 12 December 1957. Attached to the notice was a statement of the borrower's affairs, which included two references to loans amounting to Shs. 300,000/- secured on debenture bonds. On 12 December 1957, the second appellant (to whom I shall refer as Mr. M. I. Patel) filed a proof of debt for £16,665. 11s. on behalf of the money-lender, but for some reason did not indicate on the form the security held for the debt, that is to say the debenture. The official receiver's "Claim Scrutinizing Form" made it clear that the claim for £16,665. 11s. referred to the item of Shs. 300,000/- shown in the statement of affairs as "Loans on debenture bonds Shs. 300,000/-." Thus at no time was anyone misled; the official receiver, the creditors generally, and the borrowers and money-lenders were all aware that the money-lenders' claim in the winding-up related to loans secured by a debenture. The first meeting of creditors was attended by representatives of many creditors, including Mr. M. I. Patel representing the money-lenders, and two directors of the borrower (one of whom was a guarantor) were also present. The official receiver was appointed liquidator. On 18 December 1957, the money-lenders appointed Mr. M. I. Patel under the debenture to be the receiver of the property of the borrower for the purpose of winding-up proceedings. This appointment was recognized by the official receiver who thereafter co-operated with Mr. M. I. Patel, as did also the borrower through one at least of its directors, in collecting the assets of the borrower and arranging for their sale by public auction. Although these assets had been valued in the statement of affairs at some Shs. 700,000/-, they only realized Shs. 145,446/60 when sold by auction. After deducting all proper expenses, Mr. M. I. Patel was left with a net sum of Shs. 123,436/44 which he paid to the money-lender. The guarantors were then called upon to honour their obligations under their guarantees, whereupon the first guarantor paid Shs. 61,500/- and the second guarantor Shs. 61,540/-. The money-lenders thus recovered some Shs. 246,477/- out of the Shs. 300,000/- they had lent, and the other creditors nothing.

On 25 September 1961, the borrower was formally wound-up and dissolved by the court and ceased to exist as a limited liability company; the court also ordered the release of the official receiver as liquidator, and the destruction of the company's books and papers which was duly certified to have been done.

Up to this stage nobody had any doubts as to the propriety and regularity of what had been done. To all outward appearances this had been an ordinary winding-up, with the assets realized by public auction and the net proceeds distributed to the only secured creditor.

On 24 May 1963, however, application was made to the court by four persons, including the guarantors, for an order declaring the borrower's dissolution to be void and restoring its name to the register of companies. This order was duly made, and included an order appointing the second appellant as liquidator in place of the official receiver. The application was apparently made for the purpose of enabling the proceedings out of which this appeal arises to be instituted. On 9 December 1963, the plaint in the suit, the subject of this appeal, was filed in the High Court with the four respondents as plaintiffs. The effect of the plaint was to allege that the debenture was not a note or memorandum within the meaning of the Money-Lenders Act, so that the contracts of loan and the securities and guarantees given for the loans were void and unenforceable against the plaintiff. The plaintiff claimed a declaration to that effect, and for payment to the borrower and liquidators of the proceeds of sale of the borrower's assets and damages. The guarantors claimed repayment of the amounts paid by them, as having been paid under mistake or by reason of false representations made by the money-lenders. The defence filed by the appellants was a most unsatisfactory and evasive pleading. It saw fit to deny, specifically or generally, such indisputable facts as that the borrowers were a limited liability company, that the money-lenders carried on the business of money-lenders, and that Mr. M. I. Patel was their manager. One result of this type of pleading is that it inevitably leads to interlocutory proceedings such as the administration of interrogatories, to delay, and to the accumulation of unnecessary costs. In the event not a single witness was called to support the traverses and denials which constituted the main part of the defence, and it is not surprising that the hearing of the suit did not begin until 26 May 1969, five and a half years after the plaint was filed, and after a number of adjournments did not conclude until 25 February 1970. The judge, in a long and careful judgment delivered on 19 June 1970, found in favour of the plaintiffs, the respondents in this appeal. In particular he found that the debenture did not operate as a note or memorandum of the contracts of loan as it did not accurately state the terms of those contracts, in accordance with s. 11 (2) of the Money-Lenders Act, so that the debenture was unenforceable against both the borrower and the guarantors, and the agreements of loan unenforceable at the instance of the money-lender. He referred to s. 2 (*g*) of the Indian Contract Act, which was at all material times in force in Kenya, and which states that for the purposes of that Act an agreement not enforceable by law is said to be void. He then held that under s. 65 of the Contract Act, the money-lender was bound to restore to the borrower any advantage it had received under the void agreements, but were not entitled to have restored to them the advantage received by the borrower. In the words of the judge:

> "the money-lender becomes immobilized because the contract is unenforceable, but the borrower is free to recover the security because the contract is void."

He held that as the contract was unenforceable, the appointment of Mr. M. I. Patel as receiver of the borrower's property was invalid; that when Mr. M. I. Patel took possession of the property it constituted trespass and the sale of the assets constituted conversion. He held that although any claim based on

trespass and conversion was barred by limitation, the borrowers were nevertheless entitled to succeed, and were not time barred, as their alternative claim based on a breach of trust in his opinion was well-founded, and the period of limitation for such a cause of action is twelve years.

As regards the guarantors, the judge held that they paid the sums disbursed by them under a mistake as to a material fact, the mistake being that they thought they were liable under their guarantees, whereas in fact they were not. He gave judgment in their favour for the repayment of the sums paid by them, together with interest at the rate of 6 per cent per annum from 14 July 1957.

As regards the damages recoverable by the borrowers, the judge held that this should be represented by the value of the assets sold by Mr. M. I. Patel. He rejected the valuation in the statement of affairs as being too high, as it did not take into account such considerations as deterioration pending sale; he rejected the amount recovered at the auction as being a gross undervaluation in breach of the receiver's duty and of his trust towards the borrower and its creditors; and he fixed on the arbitrary figure of Shs. 500,000/- which he awarded to the borrowers, with interest at 6 per cent per annum from 15 January 1958.

The appellants appealed from this judgment. Their case was presented to this Court by Mr. R. J. Parker, Q.C., and the respondents' case by Mr. E. F. N. Gratiaen, Q.C. Mr. Parker made it clear from the outset that he accepted the judge's findings that the debenture was ineffective to remove the transactions of loan from the ambit of the Money-Lenders Act, and that the contracts of loan and the security given therefore were unenforceable. He also accepted that, as the debenture was unenforceable, Mr. M. I. Patel's appointment as receiver was invalid, his actions as receiver constituted a trespass and his disposal of the assets a conversion. Mr. Parker however strongly attacked the judge's finding that Mr. M. I. Patel became a trustee towards the borrowers in respect of the assets which came into his hands as receiver, and he submitted that there was no basis for holding that a person who has come into possession of property unlawfully as a trespasser is a trustee in respect thereof. This is an important question because, having correctly found that any cause of action based on trespass or conversion was time-barred, judgment was given in favour of the borrower on the basis of a breach of trust, which cause of action was not time-barred. Mr. Parker also submitted that s. 65 of the Contract Act, whereby the parties to a void contract are bound to restore any advantage received thereunder, has no application to money-lending transactions, and he relied in this respect on the cases of *Naranbhai Ichharam v. Lobo* (1942), 9 E.A.C.A. 16 and *Guaranty Co. of East Africa Ltd. v. Shah*, [1959] E.A. 300. Mr. Parker's argument, as I understand it, is that if s. 65 of the Contract Act applies, it must apply to both parties, so that if the borrower sues for the return of his security, he can only succeed if he is put on terms as to repayment of the debt, but as this court has held in *Lobo* and *Shah's* cases (*supra*) that a money-lender cannot claim relief under s. 65 of the Contract Act, it follows that the section is not available to a borrower either.

Mr. Parker further submitted that in any event there was no justification for the finding that the proceeds of the sale of the assets by public auction represented an undervaluation. As regards the claim by the guarantors, Mr. Parker submitted that there was no evidence whatsoever to support the finding that when they paid under their guarantees they did so by mistake, within the meaning of s. 72 of the Contract Act, which lays down that a person to whom money has been paid by mistake or under coercion must repay it. Mr. Parker submitted firstly that s. 72 of the Contract Act, like s. 65, has no application to money-lending transactions, and secondly that if it has, there was no evidence that the guarantors paid under any mistake. The first guarantor deposed that he paid because he had signed the guarantee, which was a fact, and the second guarantor

because he was called upon to honour his guarantee. Mr. Parker submitted that, in making these payments, neither guarantor was acting under any mistake of fact; each was voluntarily performing an undertaking freely entered into, and the sums paid by them were accordingly not recoverable, and he relied on *Re Chetwynd's Estate*, [1937] 3 All E.R. 530. Finally, Mr. Parker submitted that in awarding the respondents interest on the amounts recovered by them, the judge acted on a wrong principle, particularly in regard to the borrowers, who not only had the benefit of the loan but were also given the benefit of the security.

Mr. Gratiaen for the respondents did not seek to support the judgment in favour of the borrower in so far as it was based on a breach of trust. I understood him to concede that as the debenture under which Mr. M. I. Patel was appointed receiver was unenforceable, Mr. Patel's appointment was a nullity and could not constitute him a trustee. He was a trespasser in relation to the borrower's assets, not a trustee. Mr. Gratiaen based his case in this respect on the proposition that s. 65 of the Contract Act gave the borrowers a remedy in respect of the unenforceable security which the money-lender had realized to his benefit, and this remedy gave rise to a personal statutory cause of action for which the time prescribed, under s. 5 (1) of the Limitation Act, is 6 years, so that the suit was in time. Mr. Gratiaen submitted that the policy of the Money-Lenders Act was for the protection of borrowers. Prohibitions in that Act are directed solely at money-lenders and do not in any way restrict the rights of borrowers under the general law, whether statutory or common. He pointed out that the cases of *Lobo* and *Shah* (*supra*) both concerned contentions by money-lenders that if a borrower was entitled to the return of his security, the lender was entitled to the return of the loan, contentions which were rejected on the ground that to accede to them would involve nullifying the policy of the Money-Lenders Act. He also cited *Kasumu and others v. Baba Egbe*, [1956] 3 All E.R. 266 and *Mayfair Trading Co. Ltd. v. Dreyer* (1958), 101 C.L.R. 428 in support of the propositions that the legislative plan under money-lending legislation is to penalize money-lenders who do not comply with the prescribed formalities, and that a borrower is entitled to claim the return of his security under an unenforceable money-lending agreement without being put on terms to repay the loan. As regards the amount payable to the borrowers in respect of the assets purported to have been sold by the receiver under the debenture, Mr. Gratiaen conceded that the proper measure of damages was the actual net sum realized by public auction, and not the arbitrary amount fixed by the judge. The winding-up operations were carried out by Mr. M. I. Patel in good faith, with the assistance of the borrowers; licensed autioneers were employed and a public sale advertised and held, and Mr. Gratiaen agreed that even on the basis of a trust Mr. Patel could not have discharged his duties in any more reasonable manner, and that he cannot be held responsible for the disappointing sum realized.

Mr. Gratiaen submitted that the guarantors were entitled to recover the sums paid by them as having been paid under a mistake of law, that is to say their mistaken belief that they were legally liable to pay. This was an attempt to support the judge's decision on a ground other than that relied on by the judge, and should strictly have formed the subject of a cross-appeal. However, we allowed the argument to go forward, as Mr. Parker raised no objection, and as s. 72 of the Contract Act applies to mistakes both of fact and law.

As regards interest, Mr. Gratiaen submitted that it was properly ordered. He pointed out that the money-lender had had the use of the proceeds resulting from the unlawful enforcement of the debenture since 1958, and presumably lent that money out at rates of interest far in excess of the 6 per cent awarded by the judge.

Having carefully considered these arguments, I have come to the following

conclusions. I agree with counsel that no question of a trust arises. The security provided by the debenture was unenforceable, and its purported enforcement by the appointment of a receiver was unlawful. The money realized by the sale of the borrower's assets was therefore obtained and paid over without lawful authority; the receiver was a trespasser in relation to those assets from the beginning, but this did not constitute him a trustee any more than a thief who steals my goods becomes a trustee in respect of those goods. In both cases taking possession of the property is a trespass and disposing of it amounts to a conversion, but in neither case does a trust arise in favour of the beneficial owner. Mr. M. I. Patel as receiver, and the money-lenders as his principals, were liable to the borrowers for damages for trespass and conversion, but not for breach of trust. The measure of damages in this case, where the receiver was unlawfully appointed but acted bona-fide, reasonably and properly in the realization of the assets, is in my opinion the net amount of the proceeds of realization, that is to say the Shs. 123,436/44 paid by the receiver to the money-lenders. It was within the judge's discretion to award interest on that sum under s. 26 (1) of the Civil Procedure Act, and I would not interfere with that order as it has not been made to appear to me that this discretion was exercised on any wrong principle or otherwise unjudicially. As to whether s. 65 of the Contract Act applies to a money-lending transaction, I am of the opinion that opinions to the contrary in the cases of *Lobo* and *Shah* (*supra*) related solely to the contentions raised by money-lenders in those cases, that if the borrower was entitled to reclaim his security, the lender was entitled to reclaim the loan or the outstanding balance thereof. To give effect to such a contention would be to negative the clear policy of the Money-Lenders Act, which is to penalize money-lenders who do not comply with the Act, without depriving borrowers of their remedies under the general law. In *Shah's* case, Gould, J.A. cited with approval the decision of the Privy Council in *Kasumu and others v. Baba Egbe*, [1956] 3 All E.R. 266 to the effect that a borrower is entitled to the release of his security which he had given to secure a loan which was unenforceable under the Nigerian money-lending legislation without being put on terms as to repayment of the loan. A similar conclusion was reached by the High Court of Australia in *Mayfair Trading Co. v. Dreyer* (1958), 101 C.L.R. 428. The borrower's right of action to recover the security in this case derived from s. 65 of the Contract Act, and was not restricted in any way by anything contained in the Money-Lenders Act. It was a personal right of action conferred by statute for which the period of limitation is in my opinion that prescribed by s. 5 (1) of the Limitation Act, that is to say 6 years, with the result that the borrowers' suit was brought in time.

As regards the guarantors, I am satisfied that when they made their payments under their guarantees, they were under no mistake whether of fact or of law. Section 11 of the Money-Lenders Act bars the right of a money-lender to enforce a contract of loan or security in certain circumstances. It does not put an end to the contract, and it is open to a borrower, or a guarantor, to honour his obligations under the contract if he cares to do so. I am satisfied that the money-lender made no false representations of fact as to the enforceability of the contract in this case. It merely called upon the guarantors to honour their obligations, and the guarantors freely and voluntarily did so. They made these payments because they thought that they were under a liability to make them, and so they were. As it turned out, this was not a liability which could have been enforced in a court of law, but all the parties to the transaction were in the same state of ignorance as to this. At the time payment was made, the agreement had not been "discovered to be void", to use the terminology of s. 65 of the Contract Act. All the parties to the transaction, including the guarantors, shared the bona-fide assumption that the guaranteed loans were legally recoverable, and I cannot see that in honouring their liability under their guarantees, the guarantors

can be said to have done so under any mistake of fact or law.

In my opinion this appeal succeeds to this extent:

(*a*) I would direct that the judgments for Shs. 61,500/- and Shs. 61,541/08 entered in favour of the third and fourth respondents with interest and costs be set aside, and that the suit so far as they are concerned be dismissed with costs, and I would certify for two advocates;

(*b*) So far as the suit of the first and second respondents is concerned, I would set aside the award of Shs. 500,000/- made in their favour, and substitute an award of Shs. 123,436/44, with interest at the rates and for the period ordered in the court below. I would give them their costs of the suit and certify for two advocates.

As the appeal has largely succeeded, I would give the appellants the costs of the appeal, and certify for two advocates.

Sir William Duffus P: The facts in this appeal have been fully set out in the judgment of Law, J.A. The first appellant, a company of money-lenders, made various loans to the first respondent company, subsequently this company went into liquidation and the first appellant appointed the second appellant as receiver under powers contained in a debenture covering the loans. The second appellant realised the assets of the respondent company and the net proceeds were paid over to the money-lenders. The respondent company was then formally wound up and dissolved by order of the court. After a lapse of several years someone discovered that the loans had not been made in accordance with the Money-lenders Act (Cap. 528) and accordingly application was made to the court, the dissolution of the respondent company set aside and the second respondent appointed its liquidator and then this action was brought in the High Court. There it was held that the loans were unenforceable under the Moneylenders Act and that accordingly the appointment of the second appellant as receiver was null and void, and his acts in taking possession and selling the respondent company's assets constituted a trespass and a conversion. The question of limitation arose at the trial and the judge held that the claims based on the torts of trespass and conversion were statute barred but he found that the plaintiffs were entitled to succeed on their alternative claim for a breach of trust, and he gave judgment for the respondent company and for the second respondent liquidator against both appellants for Shs. 500,000/- with interest. The third and fourth respondents were guarantors of the loans and they reclaimed and recovered judgment in this action for the amounts that they paid towards the loans under their guarantees.

We are indebted to the able submissions of Mr. Parker for the appellants and Mr. Gratiaen for the respondents. Both counsel agreed that the loans were unenforceable and that the appointment of the second appellant as receiver was invalid. On this issue the judge found:

> "The money-lending contract being unenforceable the appointment of the second defendant as manager and receiver of the company's property was invalid. Every act that the second defendant did as receiver was invalid. When he took possession of the company's assets it constituted trespass. When he sold them by auction it constituted conversion. Every benefit that the money-lender received as a result of any act done by the receiver was an illegal benefit."

This finding has not been challenged and is a clear statement of the position. The issue before us on this aspect of the appeal is whether the action was time barred.

There are three possible periods of limitation that might apply under the Limitation Ordinance (Cap. 11) of the 1948 Laws:

(i) A two year period of limitation for the torts of trespass and conversions under s. 5 (2). The judge found that there was a trespass and conversion but that no action could be maintained under these heads as the claim was not brought within the two years limitation period. The judge was undoubtedly correct in his finding and this is conceded.

(ii) The second limitation is the twelve year period applicable to trustees as set out in s. 3 (1) of the Ordinance. This is the limitation period which the judge held applied as he found that both the first appellant, the money-lenders and the second appellant, the receiver, received the assets or proceeds of the assets as trustees for the respondent company. This issue was not fully argued before us as Mr. Gratiaen, in my view correctly, did not support the judge's finding on this matter.

(iii) There remains the third period of limitation that applying to personal suits under s. 5 (1) states:

"5(1). All suits for the recovery of any chattel or movable thing, or the possession thereof, all suits founded upon any simple contract and all personal suits whatsoever shall and may, unless otherwise specifically provided for in this Ordinance, be commenced and sued within six years next after the cause of such suits and not after."

Mr. Gratiaen submitted that s. 65 of the Indian Contract Act applied to this case and that accordingly this would be a personal suit subject to the limitation period of six years as set out by s. 5 (1), and that accordingly the action had been filed within time. In the alternative he submitted, as I understood him, that even if s. 65 did not apply to loans unenforceable under the Money-lenders Act then the borrowers would have a common law right against the money-lender to recover the amount as money had and received. Mr. Parker submitted that the claim for money had and received was not covered by the various claims set out in the plaint but it does appear to me that para. 24 of the plaint is sufficiently wide to cover such a claim. Mr. Parker in his submissions that s. 65 of the Indian Contract Act did not apply to loans unenforceable under the Money-lenders Act, relied on two previous decisions of this court in *Naranbhai Ichharam v. Lobo* (1942), 9 E.A.C.A. 16 and in the *Guaranty Co. of East Africa Ltd. v. Shah*, [1959] E.A. 300. Both of these appeals were on the question whether the money-lender could seek relief under s. 65 so as to avoid the restrictions of the Money-lenders Act. In both of these cases this court held that to allow the money-lenders to use the provisions of s .65 would have the effect of negativing the provisions of the Money-lenders Act, which had been enacted for the purpose of protecting the borrower. In his judgment in the *Shah* case Gould, J.A. said at p. 306:

> "Approaching the matter therefore entirely without regard to s. 2 and s. 65 of the Indian Contract Act there is no doubt that, the contract to repay the money in question in this case being unenforceable, the appellant company is unable to recover the money advanced or any part of it: to allow it any such right would be to enforce the contract in whole or in part in direct contravention of the Ordinance."

I agree with the trial judge and with Law, J.A. that the decisions of this court in the cases referred as to the application of s. 65 were given with regard to the position of the money-lender and not of the borrower. The Money-lenders Act was intended to and does protect the position of the borrower, and in my view the Act does not take away the borrower's rights under s. 65 of the Indian Contract Act. In any event, even if the provisions of s. 65 did not apply to loans under the Money-lenders Act then the borrower could still have maintained

an action for money had and received. The decision of the High Court of Australia in the case of *Mayfair Trading Co. Pty. Ltd. v. Dreyer* (1958), 101 C.L.R. 428 was based on facts similar to those in this case, except that the Indian Contract Act did not apply in Australia. I would refer to the following extract from the judgment of Dixon, C.J. to illustrate this point:

> "Is there any reason on this footing which would justify the refusal of Dwyer, C.J. to order repayment of the sum of £7,437 10s. which as receiver the defendant Kitson paid over to the defendant firm? He raised or obtained the money by taking possession and conducting the business as receiver and manager pursuant to the debenture. This amounted to enforcement of the security within the terms of s. 9 as interpreted above. The enforcement was contrary to s. 9 and therefore unauthorized and unlawful. The contract of loan was also unenforceable. The money was therefore obtained, paid over and retained without lawful authority and there could be no answer on the facts to a simple claim on the part of the plaintiffs in a common money count. This is true of a count for money had and received."

Mr. Parker did in his reply submit that a plaintiff could not waive the torts of trespass and conversion and sue for money had and received and thus avoid the limitation that applies to the tort. This issue was not fully argued but in this case however, the provisions of s. 65 of the Indian Contract Act are explicit and this gives the respondent company and its liquidator the specific and personal right to recover the amount realised from the sale of the assets and paid over to the money-lender. This is a cause of action that exists and is maintainable quite apart from any claim that arises in tort.

I agree therefore with Law, J.A. that the correct period of limitation is six years and that accordingly the action was brought within time. I also agree with Law, J.A. that for the reasons he has stated the award of damages be reduced to Shs. 123,436/44.

The trial judge found that the guarantors made their payments to the money-lender under a mistake of fact. Mr. Gratiaen sought to justify the judgment on the ground that the payments were made under a mistake of law. These various loans were unenforceable under the Money-lenders Act but the loans were not illegal contracts. The evidence shows that the loans were in fact made to assist the respondent company and there was no question of their being any fraud or illegality in the matter. The debts did exist and I agree with Mr. Parker that these debts were such that "a man of honour", meaning here an honest person, would desire to pay and thus discharge his obligation. Any voluntary payment made in discharge of this debt would have been properly made and would not be recoverable. I agree that any payment must be presumed to have been made voluntarily and in discharge of the obligation. The onus must be on the person making the payment to show that he made it under a mistake of law or of fact so as to come within the provisions of s. 72 of the Indian Contract Act. With respect I cannot agree with the judge that in the circumstances here "only a lunatic would part with £3,000 odd without any reason". The presumption must be that the payment was made by an honest man in discharge of his legal even if unenforceable obligation. I agree therefore with Law, J.A. that the guarantors could not, on the facts proved in this case, recover the amounts they paid.

I also agree with Law, J.A. on the question of interest and with his order of costs. Finally I agree with the order that he proposes on the appeal, and as Lutta, J.A. also agrees, it is so ordered.

Lutta JA: I agree with the judgment prepared by Law, J.A. and with the order proposed by him.

Appeal allowed in part.

For the appellants:
RJ Parker QC (of the English Bar) and *JJ Patel* (instructed by *JJ Patel & Co*, Nairobi)

For the respondents:
EFN Gratiaen QC, KR Gajera and *ND Shah* (instructed by *Veljee Devshi & Bakrania*, Nairobi)

Epaineto v Uganda Commercial Bank
[1971] 1 EA 185 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	12 February 1971
Case Number:	567/1965 (34/71)
Before:	Russell Ag J
Sourced by:	LawAfrica

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[1] Civil Practice and Procedure – Pleading – Amendment – New cause of action after expiry of limitation period to be rejected.

[2] Civil Practice and Procedure – Pleading – Amendment – Of plaint – Relates back to date of filing of original plaint.

[3] Civil Practice and Procedure – Pleading – Amendment – Effect of delay by applicant.

Editor's Summary

The plaintiff applied for leave to amend his plaint after the period of limitation had expired. The defendant objected that the proposed amendments raised new causes of action which could not be pleaded so as to defeat limitation, that the amended plaint disclosed no cause of action, and that the plaintiff had been guilty of undue delay in making the application.

Held –

(i) a proposed amendment which introduces a new cause of action after the expiry of a period of limitation must be rejected;

(ii) where, as here, the amendment is not different in quality from the original cause of action, it should be allowed (*Dornan v. J. W. Ellis & Co. Ltd*. (2) and *Rodriguez v. Parker* (4) followed);

(iii) an amended plaint related back to the date of the original plaint (Eastern *Radio v. Patel* (3) and *South British Insurance Co. Ltd. v. Samiullah* (5) considered);

(iv) the plaintiff had been guilty of considerable delay but the defendant had acquiesced in all the adjournments.

Application allowed.

Cases referred to judgment

(1) *Marshall v. London Passenger Transport Board*, [1936] 3 All E.R. 83.

(2) *Dornan v. J. W. Ellis & Co. Ltd*., [1962] 1 All E.R. 303.

(3) *Eastern Radio Service v. R. J. Patel trading as Tiny Tots*, [1962] E.A. 818.

(4) *Rodriguez v. Parker*, [1966] 2 All E.R. 349.

(5) *South British Insurance Co. Ltd. v. Samiullah*, [1967] E.A. 659.

(6) *Waljee's* (*Uganda*) *Ltd. v. Ramji Punjabhai Bugerere Tea Estates Ltd*. (see note following).

Judgment

Russell Ag J: The plaintiff has applied by way of chamber summons for leave to amend the plaint pursuant to O. 6, r. 18 of the Civil Procedure Rules and my interlocutory ruling on a preliminary objection raised by the defendant in its defence, and at the hearing, that the plaint did not disclose any cause of action.

In the said ruling I set out the substance of the grounds adduced by the defendant in support of its contention that the plaint did not disclose any cause of action and came to the conclusion that although it did in fact disclose one

cause of action it did not set out sufficient particulars to support the other alleged causes and I granted the plaintiff time to make a formal application for leave to amend its plaint provided such application was made within 14 days and set out in detail the proposed amendments. The proposed amendments are set out in detail in the draft amended plaint annexed to the said chamber summons but in view of my said interlocutory ruling it is not now necessary to reiterate in full the substance of the pleadings and it will suffice to observe that the draft amended plaint appears to me to allege sufficient facts to disclose three causes of action.

I shall not go into the merits of those alleged causes of action but do not consider they are fresh causes of action or different in quality from the causes of action the plaintiff attempted to set out in his original plaint but are based on the same essential facts although set out in more detail.

Mr. Hunt for the defendant has opposed the application on three main grounds. Firstly that the proposed amendments purport to set up fresh causes of action, secondly that the amended draft plaint is still defective in that it does not disclose any cause of action and thirdly that the amendments should not now be allowed as the right to enforce the plaintiff's alleged claims by civil suit is now barred by the Limitation Act (Cap. 70) as the amendments, if allowed, would relate back to the date the plaint was filed and granting of this application would defeat the object of that statute. He also contended the plaintiff had been guilty of undue delay in making the application.

If the proposed amendments would in fact introduce new causes or a new cause of action after the expiry of the statutory period of limitation I would have no hesitation in dismissing the application but, as I have already stated, the plaint as amended would not in my opinion raise any new departure, a new head of claim or a new cause of action. *Marshall v. London Passenger Transport Board*, [1936] 3 All E.R. 83. I find support for my conclusions on this issue from the judgment of Holroyd Pearce, L.J. in the case of *Dornan v. J. W. Ellis & Co. Ltd*., [1962] 1 All E.R. 303 as summarised by Nield, J. in *Rodriguez v. Parker*, [1966] 2 All E.R. 349, at p. 354 as follows:

> "When the action came on for hearing on 12 October 1961 (more than three years after the accrual of the cause of action in negligence) the plaintiff workman applied for leave to amend his claim by adding to the particulars of negligence allegations which in substance claimed that the accident had been caused by the negligence of the fellow-worker S. or other servants or agents of the defendants, and that the defendants were therefore vicariously liable. The trial judge, Winn, J., refused to allow the amendment on the ground that the amendment sought raised a fresh cause of action which would by that date be statute-barred; and that, accordingly, the court was precluded from exercising its discretion in favour of the plaintiff. On appeal by the plaintiff, it was held, allowing the appeal, that though the new particulars of negligence were different in quality from the original particulars, they did not raise a new cause of action nor a different case of negligence, but merely invited a different approach to the same facts; and accordingly, although the dilatory conduct of the plaintiff's case was censurable, the court was in the circumstances of the case not precluded by any general rule of practice from exercising its discretion to allow the amendment of the particulars after the expiry of the statutory period of limitation."

Although not binding on this court the issues involved are similar to the present issues and I respectfully agree with the ratio of that finding.

The general principles applicable to the amendment of pleadings were set out by Sheridan, J. (as he then was) in *Waljee's* (*Uganda*) *Ltd. v. Ramji Punjabhai*

Bugerere Tea Estates Ltd. His judgment was digested in the High Court Monthly Bulletin as 4 of 1959 and as that digest appears to me accurate and for convenience of counsel I will set it out in full (see subsequent note).

Although I had been under the impression there was some provision in the Civil Procedure rules as to the relation back of an amendment of the pleadings to the date on which the pleadings had been filed I am grateful to Mr. Hunt for pointing out that there is no such specific provision. The issue was referred to in the judgment in *Eastern Radio v. Patel*, [1962] E.A. 818 in which Gould, J.A. held that an amendment to a pleading related back to the date it was filed, Newbold, J.A. (as he then was) held a contrary view and Sir Ronald Sinclair preferred to leave the issue open. The issue open. The issue again came before the Court of Appeal in *South British Insurance Co. Ltd. v. Samiullah*, [1967] E.A. 659. In the judgment of Law, J.A. (in which Sir Charles Newbold, P. and Sir Clement de Lestang, V.P. both concurred without comment) he stated at p. 662:

> "Counsel quoted English authority for his proposition that an amended plaint relates back for all purposes to the date of the original plaint, and some support for this view is to be found in the judgment of Sir Trevor Gould, J.A. in *Eastern Radio v. Patel*. Of the other judges in that appeal, Newbold, J.A. (as he then was) was of the contrary opinion, and the President, Sir Ronald Sinclair, said he preferred to leave the question open. I do not feel it necessary to express any definite opinion on the point in this case, because even if an amended plaint does relate back to the date of the original plaint for some purposes, such relation back cannot in my view operate so as to preclude a judge from taking notice of the date of the amendment, if such date is material to the issues for decision, as it undoubtedly was in this case."

This leaves the issue unsettled as far as the Court of Appeal is concerned but with the greatest respect I can find no logical reason for not holding that the plaint if amended will definitely relate back to the date of the original plaint even though for certain purposes the date of the amendment may be noted. I would suggest that for the purpose of removing any doubts O. 6, r. 18 be amended and consideration be given to including an amendment to O. 1, r. 10 (5) to accord in principle with the English O. 20, r. 5 which relaxed the former rule of practice that an amendment would not be allowed or a new defendant substituted if such a course would result in a defendant losing any advantage that he might have by virtue of the Statutes of Limitations.

I fully agree with Mr. Hunt that the plaintiff has been guilty of very considerable delay in filing this application but on perusing the court records I observe that Mr. Hunt or his firm have at all times relevant acquiesced in the delay in bringing the suit on for hearing by consenting to adjournments or to the suit being taken out of the hearing list. If he had considered his client's interest would be adversely affected by such delay he should not have consented.

Mr. Hunt has not objected to the change of name of the defendant and the proceedings will continue under the above heading.

For the above reasons the application for leave to amend the plaint is granted as prayed. The plaint as amended to be filed within 10 days and a copy served on the defendant's advocate. The defendant to have 15 days thereafter to file an amended defence. The costs of this application to the defendant in any event.

Application allowed.

For the plaintiff:
C Mboijana (instructed by *Mboijana & Co*, Kampala)

For the defendant:
RE Hunt (instructed by *Hunt & Airey*, Kampala)

Note Waljee's (Uganda) Ltd v Ramji Punjabhai Bugerere Tea Estates Ltd
[1971] 1 EA 188 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	1959
Case Number:	536/1958
Before:	Sheridan J
Sourced by:	LawAfrica

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[1] Civil Practice and Procedure – Pleading – Amendment – Principles applicable.

Judgment

Sheridan J: This was an application to amend a plaint. The original plaint alleged a contract arising out of an agreement dated 3 April 1958. The statement of defence averred that this agreement had been superseded by two agreements dated 4 April 1958. The plaintiffs then applied to amend their plaint asking for rectification of one of the agreements of the 4 April 1958 alleging that it did not accurately represent the true agreement between the parties reached on the 3 April 1958. Counsel for the respondent submitted that the amended plaint was tantamount to a new suit for the rectification of the subsequent agreement and that having elected to rely on the first agreement the plaintiff could not now seek to have the second agreement rectified.

Held – that the circumstances in which amended pleadings may be admitted are well defined by the authorities and leave to amend was granted. In *Steward v. North Metropolitan Tramways Co*. (1886), 16 Q.B.D. 556, at p. 558 Lord Esher quoted from an earlier case in which he said "the rule of conduct of the court in such a case is that however negligent or careless may have been the first omission and however late the proposed amendment, the amendment should be allowed if it can be made without injustice to the other side. There is no injustice if the other side can be compensated by costs but if the amendment will put them in such a position that they must be injured, it ought not to be made". See also statement of Bowen, L.J. in *Cropper v. Smith* (1884), 26 Ch. D. 700, at p. 711, "I have found in my experience that there is one panacea which heals every sore in litigation and that is costs. I have very seldom, if ever, been unfortunate enough to come across an instance where a party had made a mistake in his pleadings which has put the other side to such a disadvantage or that it cannot be cured by the application of that healing medicine". See also *Hyams v. Stuart King*, [1908] 2 K.B. 696, at 717; *J. Leavey & Co. Ltd. v. Geroge H. Hirst & Co. Ltd*., [1943] 2 All E.R. 581; *Hasham Meralli & Another v. Javer Kassam & Sons Ltd*., [1957] E.A. 503; *Eastern Bakery v. Castelino*, [1958] E.A. 461; *Budding v. Murdoch* (1875–6), 1 Ch. D. 42; *Raleigh v. Goschen*, [1898] 1 Ch. D. 73; *Weldon v. Neal* (1887), 19 Q.B.D. 394; *Hilton v. Sutton Steam Laundry*, [1946] K.B. 65; *G. L. Baker Ltd. v. Medway Building and Supplies Ltd*., [1958] 3 All E.R. 540, reversing decision in [1958] 2 All E.R. 532.

Dar Es Salaam Motor Transport Co Ltd v Mehta and others (No. 2)
[1971] 1 EA 189 (HCT)

Division:	High Court of Tanzania at Dar Es Salaam

Date of judgment:	25 November 1970
Case Number:	27/1969 (36/71)
Before:	Georges CJ
Sourced by:	LawAfrica

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[1] Civil Practice and Procedure – Judgment – Amendment – Costs not awarded – Whether slip by court – Civil Procedure Code, s. 96 (*T.*).

Editor's Summary

In a reserved judgment an appeal was dismissed [1970] E.A. 596. No mention was made of costs, and the respondent applied for costs subsequently.

Held –

(i) the failure to award costs may be deliberate or it may be an oversight and the court should determine which had happened;

(ii) in this case the omission was an oversight (*Quick Service Stores v. Thakrar* (1) distinguished).

Application allowed.

Case referred to judgment

(1) *Quick Service Stores v. Thakrar*, [1958] E.A. 357.

Judgment

Georges CJ: In this matter the district court gave judgment awarding damages against the defendants for failure to deliver goods which they had undertaken to carry for the plaintiffs. The plaintiffs were also awarded their costs.

The defendants appealed. The appeal came out for hearing before me and was dismissed in a reserved judgment which unfortunately made no reference to the costs of the appeal.

Mr. Patel now applies for costs. The order has already been written up and it would seem that the court can only act by way of revision.

Mr. Lakha has drawn my attention to a case in which under near identical circumstances the High Court refused to make an order for costs. It is the case of *Quick Service Stores v. Thakrar*, [1958] E.A. 357.

There the applicants had successfully defended an action in the district court. In his judgment the trial magistrate made no mention of costs and advocate for the applicants who was present made no application. Later the applicants asked the trial magistrate to make an order for costs under the slip rule embodied in what is now s. 96 of the Civil Procedure Code which reads:

> Clerical or arithmetical mistakes in judgments, decrees or orders or errors arising thereon from any accidental slip or omission may at any time be corrected by the court either of its own motion or on the application of the parties.

The trial magistrate stated that no application having been made to him at the date of the delivery of the judgment he had never considered the matter. Accordingly he held that the rule did not apply. This ruling was supported on appeal.

The judge held in that case that the total omission of an order on the issue of costs:

> ". . . cannot, I think, be described as an error arising in the judgment from an accidental slip or omission. It is not clear from the order of the learned magistrate whether he wilfully omitted to make any order as to costs because they were not verbally asked for by either party or whether he merely forgot."

It appears to me that a distinction can logically be drawn between the two cases – wilfully omitting to make an order because no application was made or forgetting through oversight. Where there is an omission through oversight it seems to be difficult to deny that a mistake would have arisen through an accidental slip.

I am satisfied that in this case I did not make the order for costs through an oversight. The trial magistrate had awarded costs to the successful plaintiffs. The defendants had then appealed unsuccessfully. There could be nothing in the conduct of the successful respondents to justify depriving them of their costs. One would not normally expect an application for costs to be made in these circumstances so automatic does it appear to me.

I would not wish to depart from the general principles laid down by Crawshaw, J. but I am satisfied that one must look into the facts of each case to determine what is or is not a slip and to determine whether the manifest intention of the court was clear.

I am satisfied in this case that there was a slip. Neither the trial magistrate nor this court on appeal made any adverse comment on the conduct of the successful respondents. They succeeded on every point in the appeal.

Accordingly I would hold that I am empowered under s. 96 to correct the accidental slip and order that the respondents do have the costs of the appeal.

Application allowed.

For the appellant:
AA Lakha (instructed by *Fraser Murray, Roden & Co*, Dar es Salaam)

For the respondents:
NP Patel (instructed by *JS Manek & Co*, Mbeya)

Kara v Republic
[1971] 1 EA 191 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	13 August 1970
Case Number:	124/1970 (177/70)
Before:	Spry V-P, Law and Lutta JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Tanzania – Georges, C.J

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[1] Criminal Law – Receiving stolen property – Meaning of possession – Definition does not apply – Penal Code, s. 5 (*T.*).

Editor's Summary

The appellant was charged with receiving a tape recorder knowing it to have been stolen. A statement made by the convicted thief to the police was referred to in both lower courts although it was not evidence against the appellant. The appellant when shown the parcel containing the tape recorder admitted that someone had left it there. He did not admit knowing that it contained a tape recorder.

On second appeal:

Held –

(i) the guilt of the appellant had not been proved;

(ii) the definition of possession in the Penal Code, s. 5 does not apply to the offence of receiving stolen property (*Shantilal Manibhai Patel v. R.* (1) followed).

Appeal allowed.

Case referred to judgment

(1) *Shantilal Manibhai Patel v. R.* (1955), 22 E.A.C.A. 425.

Judgment

The considered judgment of the court was read by **Law JA:** This is a second appeal. The appellant was convicted in the district court of Dodoma of receiving a tape recorder, knowing the same to have been stolen, contrary to s. 311 (1) of the Penal Code. His appeal to the High Court was dismissed.

The facts of the case were that on 30 May 1969, a tape recorder was stolen from the house of Inspector of Police Kimbi. On information supplied by two young men, who were subsequently convicted of stealing the tape recorder, Inspector Kimbi and Police Constable Hongoli went, together with the young men, to a shop managed by the appellant. A few minutes later the appellant appeared. It was then 4.30 p.m. and the appellant had been absent from his shop since 2 p.m. leaving it in the charge of a young boy. Before his return, the two young men showed to the police officers a paper parcel lying on what was described as an "open shelf". There is no evidence as to where this shelf was situated, or whether it was accessible to the public. According to the evidence given at the trial, Inspector Kimbi asked the appellant if he had received a tape recorder. The appellant said no. Then the inspector asked what was wrapped in the parcel. The appellant replied that he did not know. The appellant then said somebody had left the parcel there to collect it later. Constable Hongoli's account was somewhat different. He said that the two young men told him they had hidden the tape recorder somewhere, that they had sold it somewhere. They directed the police officers to the appellant's shop where the young men

pointed out, on a shelf, the tape recorder which was wrapped in paper. When the appellant arrived soon afterwards, he was asked (according to the constable) whether he had bought a radio or tape recorder. He denied having done so. He was shown the tape recorder on the shelf, and said it was left in his shop by a person who would collect it. At the trial the two young men each denied having led the police to the shop or giving or selling the tape recorder to the appellant. As they had made statements to the police to the contrary effect and were treated as hostile witnesses, their evidence was clearly unreliable and should have been completely disregarded. In both the courts below, however, the statement made by one of these young men to the police, which was not of course evidence of the truth of its contents, was set out in the judgments. This statement was full of matter highly prejudicial to the appellant, and we are by no means satisfied that it did not have some effect on the minds of both the courts below, otherwise they would not have referred to it. The case in our view must stand or fall on the evidence of the police officers.

The resident magistrate, in convicting the appellant, said he did so because he felt it was likely that the appellant had bought the tape recorder from the young men. Quite apart from the fact that there was no evidence to support this finding, the young men having denied selling it to the appellant, and the cautioned statement of one of them not in any way providing proof of the truth of its contents, the Chief Justice rightly commented that criminal matters cannot be decided on feelings of likelihood, and he proceeded to examine and evaluate the evidence to satisfy himself whether the appellant's guilt had been established beyond all reasonable doubt. In doing so, he said:

> "There was evidence on which the trial magistrate could find . . . that the tape recorder had been left in the shop with the knowledge of the appellant. After a preliminary denial, he had admitted to the police that someone had left it there . . ."

With great respect, this is a misdirection. The appellant's "preliminary denial" related to the question whether a tape recorder had been left in his shop, and his subsequent admission, after being shown the tape recorder wrapped in paper, was no more than an admission that someone had left the parcel there. At no time did the appellant admit knowing that the parcel contained a tape recorder.

Another matter which has caused us concern is that neither court below adverted to a piece of evidence given by Constable Hongoli which seems to us to deserve consideration. He deposed that when he questioned the two young men about the tape recorder, they first said they had hidden it somewhere, and then that they had sold it somewhere. In cross examination he said, "It is true the two boys first said that the tape recorder was hidden". We feel that it must be a possibility that the two young men hid the tape recorder in the appellant's shop, in his absence, so that it would not be found in their possession by the police who were then conducting an intensive search for it. Their subsequent statement that they had sold it to the appellant may well have been a lie. Certainly there is no evidence that any money was found on them. Although there is strong suspicion against the appellant, we are not satisfied that his guilt has been proved beyond reasonable doubt. We allow this appeal, quash the conviction, set aside the sentence, and direct that the appellant be acquitted and set at liberty unless held on some other charge.

There is one other matter that we should mention, although it is not essential to the determination of this appeal. The Chief Justice, after saying that there was no evidence on which it could be held that the thieves had sold the tape recorder to the appellant, went on to consider the nature of the appellant's possession of it. In this connection, he relied, at least to some extent, on the definition of "possession" in s. 5 of the Penal Code. Mr. A. A. Lakha, for the

appellant, submitted, and we agree, that this was a misdirection. There is direct authority on the point, in the judgment of this court in *Shantilal Manibhai Patel v. R.* (1955), 22 E.A.C.A. 425, a case originating in Kenya, which was not cited to the Chief Justice or to us. That case is authority for saying that either exclusive or joint control of the stolen property may be sufficient possession to constitute the offence and in the course of the judgment, read by Briggs, J.A., it was stated that counsel had correctly pointed out that the wide definition of "possession" in the Penal Code does not apply in relation to a charge of receiving stolen property.

The position, in our view, is the same in Tanzania.

Appeal allowed.

For the appellant:
AA Lakha (instructed by *Fraser Murray Roden & Co*, Dar es Salaam)

For the respondent:
BA Samatta (Senior State Attorney)

Njombe District Council v Kanti Printing Works
[1971] 1 EA 193 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	14 December 1970
Case Number:	26/1970 (3/71)
Before:	Spry V-P, Law and Lutta JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Tanzania – Mustafa, J

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[1] Limitations of actions – Local Government authority – Public duty or authority – Not confined to actions in tort – Local Government Ordinance (*Cap.* 333), *s.* 153 (*T.*).

[2] Limitation of actions – Local Government authority – Public duty or authority – Test of whether act in performance of public authority or duty or in performance of incidental power – Local Government Ordinance (*Cap.* 333), *s.* 153 (*T.*).

Editor's Summary

The respondent sued the appellant for the price of educational books and articles supplied by the respondent to the appellant. The appeal concerned whether the claim was barred by limitation in not having been brought within one year. The appellant alleged that it was performing a duty imposed on it and that the claim was subject to the Local Government Ordinance, s. 52 (1). The respondent contended that the section only applied to actions in tort and not to breaches of contract.

Held –

(i) the limitation may apply to breaches of contract;

(ii) the test is whether the authority's act or omission is done in performance of a public duty or authority or in the exercise of a power incidental to such duty or authority;

(iii) the contract was a voluntary one and incidental to the discharge of its authority and therefore it was not protected by limitation.

Appeal dismissed.

Cases referred to judgment

(1) *Bradford Corporation v. Myers*, [1916] I.A.C. 242.

(2) *Hawkes v. Torquay Corporation*, [1938] 4 All E.R. 16.

(3) *Griffiths v. Smith*, [1941] A.C. 170.

(4) *Turburville v. West Ham Corporation*, [1950] 2 K.B. 208.

(5) *Firestone Tire and Rubber Co.* (*S.S.*) *Ltd. v. Singapore Harbour Board*, [1952] A.C. 452.

14 December 1970. The following considered judgments were read.

Judgment

Lutta JA: The appellant was sued by the respondent for Shs. 64,313/44 with interest for goods alleged to have been sold and delivered to it. [The judge dealt with the facts and the other grounds of appeal and continued.]

Mr. Patel for the appellant argued that in purchasing educational exercise books or articles, the defendant was performing a duty imposed on it by paras. 40, 41 and 43 of s. 52 (1) of The Local Government Ordinance and consequently a debt incurred by reason of such a purchase is subject to the provisions of s. 153 (1) of that Ordinance. He relied on the cases of *Griffiths v. Smith*, [1941] A.C. 170 and *Firestone Tire & Rubber Co.* (*S.S.*) *Ltd. v. Singapore Harbour Board*, [1952] A.C. 452.

Mr. Dastur, for the respondent, submitted that the wording in s. 153 (1) of The Local Government Ordinance applied to actions in tort and could not be applied to ordinary breaches of contract. He referred us to the case of the *Bradford Corporation v. Myers*, [1916] 1 A.C. 242.

The issue is whether the suit was time-barred by reason of s. 153 (1) of The Local Government Ordinance (Cap. 333), which is as follows:

> "153 (1). Subject to the provisions of subsection (2) of this section when any suit is commenced against any authority for any act done in pursuance or execution or intended execution of an Ordinance or of any public duties or authority, or in respect of any alleged neglect or default in the execution of any such Ordinance, duty or authority, such suit shall not lie or be instituted unless it is commenced within twelve months next after the act, neglect or default complained of, or in the case of a continuance of damage or injury, within twelve months next after the ceasing thereof."

I would like to observe that this suit arises out of contract – a simple contract between the appellant and the respondent – the respondent to supply certain educational exercise books or articles and the appellant to pay for the same. Mr. Patel has argued that in purchasing the articles in question the appellant was discharging its duties under paras. 40, 41 and 43 of s. 52 (1) of Cap. 333, which are in the following terms:

> "52 (1). An instrument may provide that, subject to the provisions of any other law and to such limitations and conditions as may be specified therein, an authority either shall perform all or any of the following functions in respect of its area:
>
> (40) build, equip, maintain or manage schools and educational institutions;
>
> (41) grant sums of money towards the establishment, equipment or maintenance of schools and educational institutions;
>
> (43) provide for the education of children at primary or middle schools."

The above provisions do not impose an obligation or a duty on the appellant to enter into a contract with the respondent for the latter to supply the goods in question. However, in performing these duties, the appellant may or can do

anything, including entering into a contract, which it considers will facilitate the performance of those duties – but that would be entirely voluntary on its part. The minister cannot, for example, acting under s. 56 of the Ordinance, order it to enter into such a contract. In my view the purchase of the educational exercise books or articles was incidental to the duties imposed on the appellant under s. 52 (1) paras. 40, 41 and 43, and the contract with the respondent to supply the books was a voluntary one between the parties. The rights of the parties were governed, not by s. 52 but by the contract. Thus the appellant's failure to pay the price of the goods supplied was not an "act done in pursuance or execution or intended execution of an Ordinance or of any public duties or authority, or in respect of any alleged neglect or default in the execution of any such Ordinance, duty or authority". In my view there was no statutory duty to enter into such a contract or to pay the price or otherwise and the appellant's act cannot be said to have been done in pursuance of s. 52 (1). The judge held that the transaction was incidental to the discharge of the appellant's public duty to provide education for the inhabitants of its district and the appellant cannot pray in aid the provisions of s. 153 (1) of The Local Government Ordinance. I agree with him. For these reasons I would dismiss this appeal with costs. I would not give a certificate for two advocates.

Spry V-P: I have had the advantage of reading the judgment of Lutta, J.A., with which I am in complete agreement and I am adding a few words only because the meaning of s. 153 of the Local Government Ordinance does not appear previously to have been considered by any court.

The section is clearly derived, directly or indirectly, from the English Public Authorities Protection Act 1893, and we have therefore the benefit of a considerable body of British cases of a highly persuasive authority. The leading cases are, I think, *Bradford Corporation v. Myers*, [1916] 1 A.C. 242; *Hawkes v. Torquay Corporation*, [1938] 4 All E.R. 16; *Griffiths v. Smith*, [1941] A.C. 170; *Turburville v. West Ham Corporation*, [1950] 2 K.B. 208, and *Firestone Tire and Rubber Co.* (*S.S.*) *Ltd. v. Singapore Harbour Board*, [1952] A.C. 453. At the risk of over-simplification, I think that the test which emerges from those cases is simply this: was the act or omission complained of done by the authority in performance of a public duty or authority or in exercise of a statutory power incidental to such duty or authority? In the abstract, the distinction is clear, but in practice it is not always easy to draw the dividing line.

Mr. Dastur, for the respondents, submitted that the section relates only to torts but with respect I cannot agree. I think, both on the authorities and on the wording of the section itself, that it may also relate to acts or omissions in respect of contracts.

In this connection, I would quote the words of Lord Buckmaster, L.C., in the *Bradford Corporation* case, when he said:

> "there is a great distinction between an incidental power to trade and a direct duty to trade."

In the present case, the Njombe District Council is, by the Instrument which created it (G.N. No. 251 of 1962), as amended by an Amending Instrument (G.N. No. 379 of 1966), empowered to

> "build, equip, maintain or manage schools and educational institutions."

It was in that connection that the Council entered into contracts with the respondents for the purchase of text books, stationery, etc. The trial judge held that these contracts were "incidental to the discharge of its public duty to provide education for the inhabitants of its district". Strictly, it was not a duty but an authority, having regard to the wording of s. 52 of the Ordinance and the

two Instruments, but that is of no significance. I have no doubt that the decision of the judge was correct. The Council was under no duty to enter into this contract, or to enter into any contract with the respondents. This was a private contract, intra vires the powers of the Council by s. 46 of the Ordinance, and incidental to the running of schools. It was not the exercise of a public authority, but the exercise of a power incidental to an authority.

I agree with the order proposed and as Law, J.A., also agrees, it is so ordered.

Law JA: I have read the judgments prepared by Lutta, J.A. and Spry, V.-P. I agree with them and cannot usefully add anything.

Appeal dismissed.

For the appellant:
NP Patel and *S Jadeja* (instructed by *Natubhai Patel & Co*, Dar es Salaam)

For the respondent:
Dastur and *Taher Ali* (instructed by *Taher Ali & Co*, Dar es Salaam)

Meena v Makundi
[1971] 1 EA 196 (HCT)

Division:	High Court of Tanzania at Dar Es Salaam
Date of judgment:	27 November 1970
Case Number:	24/1970 (38/71)
Before:	Onyiuke J
Sourced by:	LawAfrica

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[1] Affiliation – Jurisdiction – Residence – May be temporary residence – Affiliation Ordinance (*Cap.* 279), *s.* 3 (*T.*).

Editor's Summary

On an application to transfer affiliation proceedings from the district court Dar es Salaam to the district court Moshi, it was argued that the proceedings were improperly brought in Dar es Salaam as the applicant resided in Moshi.

Held – temporary residence is sufficient to give jurisdiction to the magistrate having jurisdiction in the place of temporary residence.

Application allowed.

Case referred to judgment

(1) *Kanhaiga Lal and others v. Hamid Ali*, A.I.R. 1940 Oudh 164.

Judgment

Onyiuke J: This is an application under s. 21 (1) (*b*) of the Civil Procedure Code 1966 to withdraw the affiliation proceedings now pending in the district court of Dar es Salaam and to transfer the same to the resident magistrate's court of Moshi. The application was supported by affidavit which showed that the applicant resides permanently at Moshi, and the witnesses also reside at Moshi; that since she had practically no private means it would be impossible for her to pay the expenses of bringing her witnesses to Dar es Salaam for the hearing of this case.

Mr. Versi for the respondent has opposed the application on the ground that since the proceedings were not properly brought in the district court of Dar es Salaam that court had no jurisdiction to entertain the case and as s. 21 (1) (*b*)

contemplates a transfer of a suit or other proceedings from one competent court to another, the High Court cannot make the order sought for in this case. The lack of jurisdiction of the Dar es Salaam district court stems from the condition in s. 3 of the Affiliation Ordinance (Cap. 279) which requires an application for maintenance of a child to be "by complaint on oath to a magistrate, with jurisdiction in the place in which she [the applicant] resides". Mr. Versi then submitted that on the applicant's own admissions in her affidavit dated 18 May 1970 in support of her present application, she clearly showed that she was all along residing at Moshi and the complaint, therefore, should have been made in the first instance to a district magistrate of the Moshi district court and the proceedings commenced there; that since the applicant made the complaint to a district magistrate of the Dar es Salaam district within whose jurisdiction the applicant did not reside, the Dar es Salaam district court had no jurisdiction to deal with the matter and there was, therefore, nothing to transfer. He cited, in support of this proposition the case of *Kanhaiga Lal and others v. Hamid Ali*, A.I.R. 1940 Oudh 164, a decision of an Indian court on s. 24 of the Civil Procedure Code 1908 which is in pari materia with s. 21 of the Civil Procedure Code of Tanzania. (See also Sarkar's commentary on the Indian Civil Procedure Code, 3rd Edn., p. 59.)

Mr. Shukla in reply submitted that the material point was whether the applicant was residing within the jurisdiction of the district court of Dar es Salaam at the time when she made the complaint. The complaint dated 1 October 1969 showed that the applicant was then residing at Kinondoni, Dar es Salaam. The question I have to consider is whether it is possible in law for a person to have more than one place of residence at the same time. I am of the view that it is possible in law for a person to have a permanent residence at one place and a temporary residence at another. Such a situation is contemplated in s. 18 of the Civil Procedure Code. That section requires a suit to be instituted in a court within the local limits of whose jurisdiction the defendant resides. Explanation (1) in s. 18 of the Civil Procedure Code states, "Where a person has a permanent dwelling at one place and also a temporary residence at another place he shall be deemed to reside at both places in respect of any cause of action arising at any place where he has such temporary residence". I may mention that the respondent has not raised any issue of hardship in the event of the transfer of the matter. He merely contended that the proceedings should not be transferred because they should have been instituted in the district court of Moshi in the first instance. The question of law apart, the ends of justice would be better served if the matter were transferred to Moshi. I therefore grant the application but would order that the case be transferred to the district court of Moshi instead of the resident magistrate's court Moshi.

Order accordingly.

For the applicant:
MS Shukla (instructed by *George Houry & Co*, Dar es Salaam)

For the respondent:
BAS Versi (instructed by *Fraser Murray Roden & Co*, Dar es Salaam)

Abdu and another v Republic
[1971] 1 EA 198 (HCT)

Division:	High Court of Tanzania at Mwanza
Date of judgment:	28 December 1970
Case Number:	528/1970 (39/71)

Before: Mnzavas J

Sourced by: LawAfrica

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[1] Criminal Law – Mens rea – Knowledge – Unlawful entry into national park – No displacement of presumption that mens rea a necessary ingredient of offence.

[2] Criminal Law – Unlawful entry – National park – Mens rea – Knowledge required – National Parks Ordinance (*Cap.* 412), *s.* 14 (*T.*).

Editor's Summary

The appellants were charged with unlawful entry into a national park and with illegal possession of weapons within a national park. The second charge was fully admitted, but in reply to the first charge they stated that there was no boundary to show they were in the park. They were convicted on plea and sentenced to twelve months imprisonment. On appeal the respondent contended that the offence was one of strict liability.

Held –

(i) there is nothing in the statute to displace the presumption that mens rea is a necessary ingredient of the offence (*Sherras v. De Rutzen* (2) and *Lim Chin Aik v. R.* (3) followed);

(ii) twelve months imprisonment was excessive on a first offender and a fine should have been imposed.

Appeal allowed in part.

Cases referred to judgment

(1) *Nicholas v. Hall* (1873), L.R. 8 C.P. 322.

(2) *Sherras v. De Rutzen*, [1895] 1 Q.B. 918.

(3) *Lim Chin Aik v. R.*, [1963] A.C. 160.

Judgment

Mnzavas Ag J: Abdu Nuru and Fulgensi Mjuni were jointly charged with and convicted of unlawful entry into a national park without a permit and illegal possession of weapons within a national park without a permit contrary to ss. 14 (1), 21 (1), and 16 (3) (4) of the National Parks Ordinance (Cap. 412).

They were convicted of the offences and sentenced to 9 and 12 months to run concurrently. Dissatisfied with the convictions and the sentences they have now come to this court.

The State Attorney argued in support of the convictions on the ground that although the pleas of the accused to the charges were equivocal, the defect was cured by the facts which constituted the offences which both appellants admitted to be true.

The Republic further argued that even if the defence by the appellants that they did not know that they had entered a national park were accepted, such a defence would not be open to them because, as argued by the State Attorney, the Ordinance creates strict liability.

He was of the opinion that mens rea is not required in order to convict appellants of these offences because, according to his argument, such a defence would be readily available to every person found

in a national park and it would be impossible for the prosecution to prove mens rea.

Dealing with the question whether the appellants pleaded guilty to the offences before they were convicted on their own plea of guilty I agree with the Republic that the pleas of both appellants were equivocal. I, however, and with due respect to the State Attorney, do not agree that both equivocal pleas were remedied by admission of the facts constituting the offences by the appellants.

There is no doubt that the facts as stated by the prosecution constituted the two offences charged. When the facts were put to the first appellant he said:

> "I agree with the facts but I did not see the ridge made by the tractor."

The second appellant said:

> "I agree with the facts but we were not one mile inside the national park. Moreover there is no ridge there. There is only the road as the boundary. We were shown only the road as the boundary."

From the above replies it is clear that although both appellants admitted that they entered the national park, they are both also saying that they were inside the park because they did not know it was a national park as there was no boundary separating the national park from normal land. This being the position the equivocal pleas in so far as entering national park is concerned cannot be said to have been remedied by the facts.

As for the second count, that of illegal possession of weapons it would appear that the appellants did not qualify their admission to the facts in any way and as such I can only say that they were rightly convicted on their own pleas on this count.

As I have earlier mentioned the Republic was also of the view that even if the argument that the appellants did not know that they were in a national park is accepted, they could not be excused from liability because the law under which they were charged created strict liability. With due respect to the State Attorney my reading of ss. 14 (1) and 21 (1) of National Parks Ordinance does not tell me so.

Section 14 (1):

> "Subject to the provisions of section 15, it shall not be lawful for any person other than–
>
> (*a*) the trustees, and the officers and servants of the trustees; or
>
> (*b*) a public officer on duty within the National Park and his servants,
>
> to enter or be within a National Park except under and in accordance with a permit in that behalf issued under regulations made under this Ordinance.
>
> (2) "Any person who contravenes the provisions of this section shall be guilty of an offence against this Ordinance.
>
> Section 21 (1):
>
> "Any person who is guilty of an offence against this Ordinance shall, on conviction, if no other penalty is specified herein, be liable to a fine not exceeding ten thousand shillings or to imprisonment for a term not exceeding one year or to both such fine and imprisonment."

I cannot understand how, on any reasonable construction of the wording of the above sections, it can be said that these sections create strict liability on an accused. It has been contended that the Ordinance is aimed at the preservation of wild life from illegal hunting and other illegal activities in national parks and that if it were necessary to prove mens rea it would be difficult or impossible to give effect to its provisions. I have no quarrel with the above line of argument but it must be remembered that the Ordinance is a penal enactment and as such we are bound to construe its provisions strictly.

In *Sherras v. De Rutzen*, [1895] 1 Q.B. 918 the question of strict liability was discussed and Wright, J. had this to say:

> "There is a presumption that mens rea, an evil intention, or a knowledge of the wrongfulness of the act, is an essential ingredient in every offence; but that presumption is liable to be displaced either by the words of the statute creating the offence or by the subject-matter with which it deals, and both must be considered."

The judge followed an earlier decision on this point – *Nichols v. Hall* (1873), L.R. 8 C.P. 322.

In the present case it does not appear to me that the wording of National Parks Ordinance displaces the presumption that mens rea is a necessary ingredient before an accused is convicted of an offence under the Ordinance.

There was the defence by the appellants that they did not know that they were in a national park because there was no boundary to indicate so. This allegation was not in any way challenged by the prosecution. This being the position it can only be said that they entered the national park without any guilty intention, and therefore they cannot be said to have committed an offence under ss. 14 (1) and 21 (1).

It has in certain quarters been said that where the subject-matter of a statute is the regulation for the public welfare of a particular activity, e.g. statutes dealing with traffic offences, food and the like, it can be, and frequently has been inferred, that the legislature intended that offences under such statutes should be looked at as imposing strict liability on offenders. This type of argument was the subject of a critical comment in the well reasoned judgment in *Lim Chin Aik v. R.*, [1963] A.C. 160 in which the question of strict liability was fully discussed. Their Lordships had this to say:

> "But it is not enough in their Lordships opinion merely to label the statute as one dealing with a grave social evil and from that to infer that strict liability was intended. It is pertinent also to inquire whether putting the defendant under strict liability will assist in the enforcement of the regulations. That means there must be something he can do directly or indirectly, by supervision or inspection, by improvement of his business methods or by exorting those whom he may be expected to influence or control, which will promote the observance of the regulations. Unless this is so, there is no reason of penalising him, and *it cannot be inferred that the legislature imposed strict liability merely in order to find a luckless victim*." (The italics are mine.)

This decision, though not binding on our courts, is of great persuasive value and further shows that a court should always bear in mind that unless a statute either clearly or by necessary implication rules out guilty intention as an ingredient of a crime an accused should not be found guilty of a criminal offence unless mens rea is also proved.

For the above reasons I have no alternative but to quash the conviction on the first count. The conviction on the second count is, as I have already mentioned, sound. As far as the sentence of 12 months imprisonment is concerned, I am in agreement with the State Attorney that it is excessive for a first offender. As suggested by the Republic this was a case where a fine would have met the justice of the case.

I note that the appellants have already been in prison for six months. This is, in my view, more than sufficient punishment.

The sentence of 12 months imprisonment is reduced to such term of imprisonment as would result in the immediate release of both appellants.

Appeal allowed in part.

The appellants appeared in person.

For the respondent:
Samatta (State Attorney)

Mushao and others v Republic
[1971] 1 EA 201 (HCK)

Division:	High Court of Kenya at Nakuru
Date of judgment:	2 February 1971
Case Number:	3/1971 (42/71)
Before:	Mosdell J
Sourced by:	LawAfrica

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[1] Criminal Practice and Procedure – Transfer – Case to be transferred only when fair trial could not be had before magistrate – Fair trial possible in absence of legal representation – Criminal Procedure Code, s. 81 (*K.*).

Editor's Summary

Application was made to the High Court for an order transferring a criminal trial to another court on the ground that the advocate instructed to appear for the accused could not be present on the date fixed for hearing.

Held –

(i) an order of transfer can only be made where a fair trial could not be had;

(ii) a fair trial could be had in the absence of representation;

(iii) the discretion of the trial court in fixing a hearing date would not be interfered with.

Application dismissed.

No cases referred to in judgment

[Editorial note: No reference was made to the Constitution s. 77 (1) (*d*) which provides "(1) Every person who is charged with a criminal offence – (*d*) shall be permitted to defend himself before the court either in person or by a legal representative of his choice"; nor was it considered whether this provision was infringed by the shortness of the time between the fixing of the date and the hearing. On the similar provision in the Uganda Constitution see *Muyimba and others v. Uganda*, [1969] E.A. 433.]

Judgment

Mosdell J: Three accused, charged with stock theft before the resident magistrate, Nakuru, have applied to this court, under s. 81, Criminal Procedure Code, for an order that the hearing fixed for 3 February 1971 be adjourned and that the case be transferred to another court of equal jurisdiction.

The application was prompted by reason of the fact that the accused have instructed Mr. Shevde to represent them at the hearing on 3 February 1971 and he is due to appear in the High Court on that

day in a civil case.

In effect, the application amounts to an appeal against the order of the resident magistrate on 1 February 1971 whereby the hearing was fixed for 3 February 1971.

I don't think s. 81 Criminal Procedure Code, was ever intended to serve such a purpose. The relevant provisions of s. 81 read as follows:

> "(1) Whenever it is made to appear to the High Court–
>
> (*a*) that a fair and impartial inquiry or trial cannot be had in any criminal court subordinate thereto; or . . .
>
> (*e*) that such an order is expedient for the ends of justice or is required by any provision of this Code, it may order–

(i) that any offence be inquired into or tried by any Court not empowered under the preceding sections of this Part but in other respects competent to inquire into or try such offence;

(ii) that any particular criminal case or class of cases be transferred from a criminal court subordinate to its authority to any other such criminal court of equal or superior jurisdiction;"

Mr. Shevde submitted that if he were not present in court tomorrow to represent the accused, a fair trial could not be had and that the order sought is expedient for the ends of justice. With respect, I don't think this is so. It is not suggested that Mr. Joshi, if he heard the case, would be unfair and partial. If it be suggested that the ends of justice will not be served unless the accused are represented by Mr. Shevde, I don't think this is so either. A fair and impartial trial can be held, and the ends of justice can be served, without any representation at all. Section 81 (1) (*a*) and (*e*) Criminal Procedure Code, appear to me to be designed to cover circumstances in which a magistrate, who has cognizance of a case, has an interest in the case or is in a compromising position with regard to the accused who is, say, a friend of his, or for political or other reasons, a fair trial cannot be had in the place where the prosecution has been instituted. Section 81 (1) (*a*) and (*e*) were not, as it appears to me, intended to cover the circumstance such as the one in the instant case viz. if the hearing goes on tomorrow, Mr. Shevde will be unable to represent the accused. It is not too late for Mr. Shevde to hand his brief to another Nakuru advocate if the accused desire it.

The order of Mr. Joshi made on 1 February 1971, was one made in the exercise of his discretion. A higher court is always loath to interfere with such an order, unless it was made unjudicially or an error in principle has been made. Such is not the case here. Mr. Joshi gave reasons for his order. There is no ground for holding that he acted unjudicially or erred in principle. Hence, I reject the application.

Application dismissed.

For the applicants:
VD Shevde

For the respondent:
WB Waweru (State Counsel)

Amin v Posts and Telecommunications
[1971] 1 EA 203 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	12 December 1970
Case Number:	149/1970 (43/71)
Before:	Youds J
Sourced by:	LawAfrica

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[1] Damages – Personal injuries – Quantum – Loss of eye – Shs. 55,000/-.

Editor's Summary

The plaintiff lost his right eye in an accident and there was a slight risk of sympathetic disease in the left eye. The plaintiff was a mechanic aged 22.

Held – general damages of Shs. 55,000/- would be awarded.

Judgment for the plaintiff.

Cases referred to judgment

(1) *Singh v. Katariya & Co. Ltd*., H.C.C.C. 452 of 1962 (unreported).

(2) *Lukiya Nasejje v. Kabaka's Government*, H.C.C.C. 6 of 1966 (unreported).

(3) *Kempton v. Dagenham Telephone Cables*, [1970] 7 C.L. 61.

Judgment

Youds J: [The judge dealt with liability and continued.]

It remains for me to assess the damages to which the plaintiff is entitled as compensation for his severe personal injuries and other losses. As regards the plaintiff's claim for loss of earnings, it is conceded by the defence that he was off work after the accident for an initial period of 3 months and that he is entitled to recover his pre-accident earnings of Shs. 250/- a month for that period of 3 months. The plaintiff further contended that during June and July and on until August 1970 when he obtained employment as a mechanic with new employers, Messrs. Gailey and Roberts, he was out of work as a result of the accident and because he was suffering with headaches and watering of his eyes. He also contends that his wages of Shs. 630/- a month which he has received from his new employers, are not as much as the Shs. 800/- which he had been promised by his old employers Shafi's Garage and that he is suffering a continuing loss in this respect.

I am not satisfied that he has suffered any loss of wages at all since August 1970 when he started work with his new employers and began to receive wages of Shs. 630/- a month which is very good remuneration for a 22-year-old motor mechanic who has just completed his apprenticeship. I am, however, satisfied that the plaintiff did suffer a further loss of wages during June and July and I allow him Shs. 1,250/- by way of loss of earnings. This is the only item of special damage which the plaintiff now claims, and there is no longer any claim for medical bills and travelling expenses to Nairobi as pleaded.

As regards general damages to compensate the plaintiff for his personal injuries and for the loss of sight in his right eye, I have had the assistance of the medical evidence of Dr. Patricia Bateman who is attached to the eye department of Mulago Hospital in Kampala and who has treated the plaintiff continually since his admission as a casualty patient on the day of the accident. Dr. Bateman's evidence is that apart from an ability to appreciate light and darkness, the sight has been completely lost in the eye due to perforation of the cornea and

exposure of the contents of the eye itself. The eye looks unsightly and is likely to remain a source of irritation to the plaintiff. Its removal is medically advised and its replacement by an artificial eye would improve the plaintiff's cosmetic appearance and remove the present irritation in his eye. There remains some slight risk of sympathetic disease occurring in the undamaged left eye, but this risk is small.

The most recent report of an award in an English court to a plaintiff who was virtually reduced to being a one-eyed man, was *Kempton v. Dagenham Telephone Cables*, [1970] 7 C.L. 61 where ??3,000 general damages were awarded to a 40-year-old serviceman working on a cable-producing machine. The report makes no mention of any risk of sympathetic disease in the second eye and of course in the reported case, the plaintiff was an older man. On the other hand, the present plaintiff's standard of living and damages generally in Uganda are somewhat lower than in England, but not to any very appreciable extent, and references to two cases tried in Uganda – one in 1963 – H.C.C.C. 452 of 1962 – *Singh v. Katariya & Co. Ltd*. in which Sheridan, J. awarded Shs. 44,000/- to a 22-year-old Asian mechanic and keen sportsman who had lost an eye-and another decision in 1966 – H.C.C.C. 6 of 1966 – *Lukiya Nasejje v. Kabaka's Government* – where Jones, J. awarded Shs. 45,000/- to a 13-year-old schoolgirl who had lost an eye – demonstrate that damages have tended to increase as the value in money has been dropping during the past few years.

In my view and considering the slight risk of sympathetic disease which is present and the plaintiff's age of 22 years as well as the value to him of his eyes in his chosen occupation as a mechanic, I consider the proper figure to award to him is a sum of Shs. 55,000/- by way of general damages. To this sum there has to be added the Shs. 1,250/- special damage and therefore I give judgment for the plaintiff on his claim for Shs. 56,250/- with costs and I also give judgment for the plaintiff on the counterclaim with costs. Interest was not asked for in the plaint and therefore there will be no interest allowed on the award of damages without further order from the court.

Judgment for the plaintiff.

For the plaintiff:
Z Haque sr. (instructed by *Haque & Gopal*, Kampala)

For the defendant:
DP Makanza (Principal Assistant Counsel)

Continental Agencies v A C Berrill & Co Ltd
[1971] 1 EA 205 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	22 March 1971
Case Number:	51/1970 (45/71)
Before:	Sir William Duffus P, Law and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Tanzania – Georges, C.J

[1] Civil Practice and Procedure – Judgment – Money – May only be given in local currency.

[2] Civil Practice and Procedure – Judgment – Money – Date of conversion of foreign currency the date of judgment.

[3] Exchange Control – Judgment – Permission – Not required before payment into court – Exchange Control Ordinance (*Cap.* 294), *s.* 33, 4*th Schedule, para.* 1 (*T.*).

Editor's Summary

In July 1967 the respondent obtained judgment against the appellants on bills of exchange drawn and payable in London in sterling. The decree was to be paid by instalments. After the devaluation of sterling in November 1967 the appellants contended that they were entitled to pay only the sterling equivalent of the sum awarded. The High Court found in favour of the respondent and the appellants appealed relying on the Exchange Control Ordinance, s. 33 (1) which provides that a contract need only be performed to the extent that permission is given. The respondent relied on para. 1, Fourth Schedule, Exchange Control Ordinance.

Held –

(i) a Tanzanian court can only enter judgment in Tanzania shillings (*Manners v. Pearson and Son* (2) followed);

(ii) as judgment had already been obtained the date of treasury permission was not the appropriate date of conversion (*Cummings v. London Bullion Co. Ltd*. (3) distinguished);

(iii) where judgment has been obtained the proper date of conversion is the date when the obligation could have been discharged by a payment into court;

(iv) fluctuations in exchange rates after judgment and the obtaining of permission to remit the funds are the sole concern of the judgment-creditor after judgment.

Appeal dismissed.

Cases referred to judgment

(1) *In re European Central Railway Co., ex. p. Oriental Financial Corporation* (1876), 4 Ch. D. 33.

(2) *Manners v. Pearson and Son*, [1898] 1 Ch. 581.

(3) *Cummings v. London Bullion Co. Ltd*., [1952] 1 K.B. 327.

(4) *Barbey and others v. Contract and Trading Co.* (*Southern*) *Ltd*., [1959] 2 Q.B. 157.

22 March 1971. The following considered judgments were read.

Judgment

Mustafa JA: The respondent had, on 1 July 1967, obtained judgment by consent "as prayed" against the appellants for sums due on bills of exchange drawn and payable in London and expressed in pounds sterling.

The decretal sum was to be paid off by monthly instalments commencing from 21 July 1967. Prior to November 1967 the pound sterling was at par with the Tanzanian pound. In November 1967 the pound sterling was devalued with the result that Shs. 17/- odd Tanzanian currency was equal to one pound sterling. The appellants contended that they had only to pay the pound sterling equivalent of the decretal sum in Tanzanian currency, while the respondents maintained that the decretal sum was for a sum certain in Tanzanian currency and was payable as such and the fact that the pound sterling was devalued had no relevance to the judgment debt. The respondents applied for leave to execute the decree for the unpaid balance in terms of Tanzanian currency and the application came up before the Chief Justice.

The Chief Justice held that the courts in Tanzania could only enter judgment in Tanzanian shillings. He found that as judgment had been entered in Tanzanian shillings it could only be satisfied by the payment of Tanzanian shillings in Tanzania. He further held that the provisions of s. 33 of the Exchange Control Ordinance (Cap. 294) in so far as the conversion date was concerned had no application in this case. He gave leave to the respondents to execute the decree. From that judgment the appellants appeal.

Mr. Harjit Singh, for the appellants, has not challenged the finding that the courts in Tanzania can only enter judgment in Tanzanian shillings. This rule seems to have been well settled in England as long ago as 1898 (see *Manners v. Pearson and Son*, [1898] 1 Ch. 581). I have no doubt the Chief Justice was right in applying that principle of English law to Tanzania and that the finding was correct.

Mr. Singh however argued as follows. He submitted that the debt sued for was an English debt according to the intention of both the parties and was in respect of sterling bills of exchange drawn and payable in London. In order to remit the money to London permission under the Exchange Control Ordinance would be required. Section 5 and s. 6 (1) of the Exchange Control Ordinance impose restrictions on making payments to persons outside the scheduled territories. The respondents were such persons.

Section 33 (1) of the Exchange Control Ordinance reads:

> "It shall be an implied condition in any contract that, where, by virtue of this Ordinance, the permission or consent of the Treasury is at the time of the contract required for the performance of any term thereof, that terms shall not be performed except in so far as the permission or consent is given or is not required:"

Then follows a proviso which does not arise here.

It is common ground that one must read into the contract a term that payment is not to be made except in so far as permission is given. The effect of this term has to be considered in the light of the provisions of the Fourth Schedule if legal proceedings are taken. Paragraph 1 of the Fourth Schedule applies the provisions of Part 11 of the Ordinance, namely, s. 5 to s. 7, dealing with payments to be made, to sums to be paid under a judgment or order of any court. Paragraph 2 reads:

> "Nothing in this Ordinance shall be construed as preventing the payment by any person of any sum into court in the territory but the provisions of Part 11 of this Ordinance shall apply to the payment of any sum out of court, whether under an order of the court or otherwise, to or for the benefit of any person resident outside the scheduled territories."

Paragraph 3 refers to rules enabling any person to pay into court sums due under any judgment and thereby obtaining a good discharge.

The sections and the Fourth Schedule of the Tanzanian Exchange Control Ordinance referred to herein are for all practical purposes identical with the corresponding provisions of the English Exchange Control Act 1947. These provisions in the English Act were duly considered in *Cummings v. London Bullion Co. Ltd.*, [1952] 1 K. B. 327, a Court of Appeal decision. In the *Cummings* case it was held that the plaintiff, an American, was entitled to be repaid the price of returned goods on the day when the money became payable, that is on the date on which liability to pay arose. Since under the Exchange Control Act 1947 the permission of the Treasury was required for the performance of the defendant's promise to pay the dollars to the plaintiff and under s. 33 (1) of the Act an implied condition was to be read into the contract, the dollars did not become payable until Treasury permission was obtained and accordingly the plaintiff was entitled to be paid at the rate of exchange prevailing on the date permission from the Treasury was obtained. The *Cummings* decision was followed and approved in *Barbey and others v. Contract and Trading Co.* (*Southern*) *Ltd.*, [1959] 2 Q.B. 157 and must be taken to be the English rule as to the appropriate date of conversion.

Mr. Singh submitted that this English rule of conversion should apply to this case and that the respondents were under a duty to obtain Treasury permission to remit the decretal sum outside Tanzania. Indeed the respondents had periodically made use of the bills of exchange to obtain Treasury approval to remit the decretal sum to London. The appropriate dates of conversion therefore would be the dates Treasury permission were obtained for such remittances. He contended that the provisions of s. 33 (1) of the Exchange Control Ordinance apply to this transaction in spite of the fact that judgment for a sum certain in Tanzanian shillings had been obtained. If that were so the appellants had only to pay the sterling equivalent of the decretal sum in Tanzanian currency and according to Mr. Singh the appellants had already done so.

As the Chief Justice has pointed out, the *Cummings* case can be easily distinguished from the present one. In the *Cummings* case judgment had not been entered before Treasury permission to remit had been obtained and devaluation in that case preceded the entry of judgment, whereas in the present case it came afterwards. Indeed in the *Cummings* case the three judges considered the conversion date in relation to the position of a party who had sued and obtained judgment before obtaining Treasury permission. They were of the view that in the event of a writ being served or judgment obtained the date when the obligation could have been discharged by a payment into court would have been the proper date of conversion. This situation arises from the combined effect of the provisions of s. 33 and the Fourth Schedule. Unless a suit is filed a person liable cannot legally pay without Treasury permission. Once a suit is filed, however, a person liable can legally discharge his obligation by payment of whatever is the appropriate sum into court. This is the somewhat anomalous situation created by statute on the filing of an action.

In my view once judgment has been obtained in Tanzanian shillings in Tanzania the decretal sum can only be satisfied by its payment in full in Tanzanian currency. After judgment was obtained in this case the bills of exchange became extinguished and merged in the judgment, and the matter as between the appellants and the respondents was finally fixed and concluded. It is true the respondents had used the sterling bills of exchange to obtain Treasury permission, but that was merely a method, perhaps a convenient method, of obtaining Treasury approval. That could not re-activate the bills of exchange. After judgment the provisions of s. 33 of the Exchange Control Ordinance have to be read with those of the Fourth Schedule with the result as earlier mentioned. In terms of the Fourth Schedule a party may obtain a good discharge by paying the sum of money due into court. So if judgment has been obtained the amount

due becomes crystallised and only payment of that sum constitutes a good discharge. The fact that a judgment debt is payable in instalments does not affect its character of finality. The fact that the respondents here would have the further task of obtaining Treasury approval to remit such decretal sum to London has nothing to do with the appellants and any fluctuations in the rate of exchange, either up or down, would be the sole concern and responsibility of the respondents. In my view the decision of the Chief Justice was correct.

Accordingly I would dismiss the appeal with costs.

Sir William Duffus P: I have had the advantage of reading the judgment of Mustafa, J.A. in draft. The facts have been fully set out in his judgment.

I entirely agree with Mustafa, J.A. and also with the Chief Justice that the courts in Tanzania can only enter judgment for an amount expressed in the currency of Tanzania and that therefore the judgments entered in these cases were in Tanzania shillings. This is now conceded by Mr. Harjit Singh who appears for the appellants in the appeal.

Another fairly elementary principle that applies in this case is the fact that once judgment is obtained on a bill of exchange the parties' rights and liabilities are merged in the judgment. I may quote here the following short passage from Vol. 22 Halsbury's Laws, 3rd Edn., at p. 781 which concisely sets out this principle:

> "1661 Merger of cause of action in judgment. When judgment has been given in action, the cause of action, in respect of which judgment is given, is merged in the judgment, transit in rem judicatam, and its place is taken by the rights created by the judgment . . ."

I would refer to the cases set out in Halsbury's Laws on which this statement is founded and in particular to the judgment of the Court of Appeal delivered by Bramwell, J.A. in the case of *In re European Central Railway Co. v. Ex parte Oriental Financial Corporation* (1876), 4 Ch. D. 33, at p. 37.

In this case it appears from the statement of agreed facts that the respondent company after obtaining judgment again presented the bills of exchange for payment and also to obtain Treasury approval to remit the sums payable to England. The respondent company would have been quite wrong if it had in fact presented the bills for payment after it had obtained judgment on these bills. The respondent's rights under the bills of exchange would have been merged in the judgment obtained and its rights under the bills would have ceased and been replaced by rights under the judgment. Any changes in the rate of exchange between England and Tanzania would have no effect on the amount of the judgments which have to be settled in Tanzanian currency, but if the amount after collection had to be remitted to England then any gain or loss arising from a change in the sterling rate of exchange would be to the benefit or detriment as the case may be of the judgment creditor. I do not know if the bills of exchange were tendered in evidence in these cases but as a matter of practice it is, in my opinion, desirable that this should be done in every case in which action is founded on a bill of exchange and if judgment is obtained by the plaintiff retained as a part of the record unless released by order of the court.

The Fourth Schedule of the Exchange Control Ordinance (Cap. 294) applies to this case. Paragraph 1 of that Schedule provides that payment shall not be made without permission of the Treasury. Paragraph 2 of that Schedule, however preserves the right of payment into the court, but applies the provisions of Part II of the Ordinance to payments out of court. This is an application for execution to issue from the court and any amount recovered will be paid into

court and then the provisions of the Exchange Control Ordinance will apply to any payment out of court.

I agree therefore with Mustafa, J.A. that this appeal be dismissed with costs and as Law, J.A. also agrees it is so ordered.

Law JA: I have read the judgment prepared by Mustafa, J.A. I agree with it in every respect and cannot usefully add anything.

Appeal dismissed.

For the appellants:
Harjit Singh (instructed by *Dave & Co*, Dar es Salaam)

For the respondent:
SJ Jadeja (instructed by *SJ Jadeja & Co*, Dar es Salaam)

Bir Singh v Parmar
[1971] 1 EA 209 (CAN)

Division:	Court of Appeal at Nairobi
Date of judgment:	1 April 1971
Case Number:	53/1970 (46/71)
Before:	Law, Lutta and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Kenya – Chanan Singh, J

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[1] Land – Sale – Agreement – Non-payment of deposit – Whether contract avoided – Time not of essence.

[2] Land – Sale – Agreement – Specific performance – Whether buyer willing to complete.

[3] Land – Sale – Agreement – Liquidated damages – Whether vendor may pay damages and not specifically perform agreement.

[4] Land – Practice – Vesting order – Registered proprietor must be served with application.

Editor's Summary

The appellant contracted to sell land registered under the Registration of Titles Act (Cap. 281) to the respondent. The agreement contained a provision that if either party defaulted liquidated damages of Shs. 5,000/- would be paid. On the refusal of the appellant to complete, the respondent sued for specific performance, and applied for an injunction restraining the appellant from selling the land. This application was successfully resisted on the ground that sufficient protection was given by the Indian Transfer of Property Act 1882, s. 52.

Nevertheless in an amended defence the appellant alleged that he had sold the land to a third party

while the suit was pending. Also in dispute in the High Court was whether the deposit had been paid and whether the failure to pay the deposit avoided the contract. No certificate of title or other evidence of the alleged transfer to the third party was produced.

The High Court held that the appellant was bound to transfer the property to the respondent, that time of payment had not been made of the essence of the contract, and that the respondent was entitled to specific performance. He purported to order in the decree that the registered proprietor of the land be divested of his estate in favour of the respondent. No proof of the identity of the registered proprietor was given, nor was notice given to him.

On appeal the appellant contended that the respondent did not come with clean hands as the judge had found that he had not paid the deposit, that non-payment of the deposit was a matter going to the root of the contract, resulting

in no contract coming into existence, and that the contract allowed the appellant to pay damages rather than give specific performance.

Held –

(i) non-payment of the deposit did not annul the contract (*Hall v. Burnell* (4) and *Johnston v. Boyes* (3) distinguished);

(ii) time had never been made of the essence in respect of payment of the deposit;

(iii) the respondent had been willing to complete and pay the sum found to be due;

(iv) the provision for payment of liquidated damages was intended to be a further security to enforce performance and not an election of the part of the vendor (*Chilliner v. Chilliner* (2) followed);

(v) notice must be given to any registered proprietor before a vesting order may be made in respect of his land (*Adonia v. Mutekanga* (5) followed).

Appeal dismissed.

Cases referred to judgment

(1) *Howard v. Hopkyns* (1742), 26 E.R. 624.

(2) *Chilliner v. Chilliner* (1754), 28 E.R. 337.

(3) *Johnston v. Boyes*, [1899] 2 Ch. 73.

(4) *Hall v. Burnell*, [1911] 2 Ch. 551.

(5) *Adonia v. Mutekanga*, [1970] E.A. 429.

1 April 1971. The following considered judgments were read.

Judgment

Law JA: This appeal arises out of a suit in which the plaintiff, as purchaser under an alleged contract for the sale of certain property in Nairobi, claimed and obtained an order for specific performance of the contract against the vendor, who now appeals against that order. The history of the matter is that the vendor, by a letter dated 6 September 1962, gave a Mr. K.L. Patel an option for consideration to purchase or sell the property at a price of Shs. 47,500/-, the option to be irrevocable until 23 October 1962. Mr. Patel found a person who was willing to buy at Shs. 60,000/-, and introduced him to the vendor. An agreement of sale was drawn up and signed by the purchaser and vendor in the office of an advocate on 11 October 1962. It provided *inter alia* for the payment of a deposit of Shs. 6,000/-, receipt whereof was acknowledged by the vendor, and provided further that if either party made default in completion of the transfer he would pay to the other party the sum of Shs. 5,000/- “not in the nature of a penalty but liquidated damages”. The vendor refused to complete the transfer, and on 19 March 1963, the purchaser issued a plaint claiming a declaration that the agreement of sale was binding on the vendor and asking for specific performance of that agreement, or alternatively damages for breach of contract. He also claimed an injunction restraining the vendor from parting with or disposing of the property. The application for an injunction was heard separately and dismissed on 3 November 1964, by Miles, J., who accepted a submission made by Mr. D.N. Khanna (who then appeared for the vendor) that there was no need for an injunction, as ample protection was available to the purchaser by virtue of the provisions of s. 52 of the Indian Transfer of Property Act 1882, as applied to Kenya. This section reads as follows:

“52. During the active prosecution in any court of a contentious suit

> or proceeding in which any right to immovable property is directly and specifically in question, the property cannot be transferred or otherwise dealt with by any party to the suit or proceedings so as to affect the rights of any other party thereto under any decree or order which may be made therein, except under authority of the court and on such terms as it may impose."

Having thus successfully resisted the application for an injunction on the ground that by reason of s. 52 aforesaid he could not sell the property, the vendor on 18 July 1966 then sold it without reference to the court, to a third party. This fact was revealed in an amended defence, filed in 1967 but otherwise undated so far as the copy on the record shows. The defences relied on by the vendor in his amended defence were:

(1) if there was a breach of contract on his part, which was denied, the remedy was exclusively agreed in the agreement as being the payment of Shs. 5,000/- by way of liquidated damages, so as to exclude any remedy by way of specific performance;

(2) the deposit was never paid, with the result that no contract of sale ever arose, alternatively it was rescinded;

(3) the purchaser was guilty of culpable delay in bringing and prosecuting the suit, with the result that the vendor "was obliged to sell and did sell" the property to one Charan Singh (the name of this purchaser was not revealed in the amended defence but by the vendor in the course of his evidence at the trial);

(4) Charan Singh became the registered owner of the property and as such acquired an indefeasible title under the Registration of Titles Act (Cap. 281) so that specific performance had become impossible.

It is a peculiar feature of this case that although a transfer to a third party was pleaded and referred to in evidence, no certificate relating to that third party's title was produced, and no evidence as to the registration of such a title was called. In my opinion, when it was clear that no such evidence was proposed to be led by the parties, it was incumbent upon the trial judge, of his own motion, to summon the Registrar of Titles before the court to give evidence as to the state of the register in relation to the property in question, and if a certificate of title had been issued to a third party, that person should have been made a party to the suit. As was said by Spry, J.A. (as he then was) in *Adonia v. Mutekanga*, [1970] E.A. 429, with reference to an application for a vesting order in respect of land registered under the Registration of Titles Act of Uganda, any proceedings affecting registered land must be inter partes and in every case the registered proprietor, if living, must be a party. I was very doubtful whether, the registered proprietor not having been made a party and heard in defence of his title, the order for specific performance made in the case under appeal was not a nullity. On consideration however it appears to me that the stage reached in *Adonia's* case (*supra*) has not yet been reached in this case, but will be reached when it is sought to enforce the order for specific performance – a stage comparable with the granting of a vesting order – when the registered proprietor will not doubt be given an opportunity of appearing to defend his title if he so wishes. The judge's views on the matter are clear from his judgment. The vendor was under an absolute statutory duty not to transfer the property during the pendency of the litigation. In breach of that duty, he purported to transfer to Charan Singh. In these circumstances, did Charan Singh acquire a good title from the vendor who was prohibited by law from transferring his title? The judge thought not, but concluded ". . . I do not decide this point. It does not fall for decision at this stage". It will however

have to be decided before a final order is made affecting the registered title, and Charan Singh will have to be given an opportunity of being heard before the point is finally decided.

This aspect of the case was not argued by Mr. Wilkinson, who appeared for the appellant on the hearing of the appeal. He informed us that he did not propose to challenge the judge's finding that there had been no undue delay in the prosecution of the suit; and that as no certificate of title vested in a third party had been produced, and no evidence led as to the state of the register, he did not propose to challenge the judge's view that s. 52 of the Transfer of Property Act applied and was not over-ridden by the provisions of the Registration of Titles Act. This is not to say, as I understand it, that Mr. Wilkinson accepts the judge's view; but in the absence of a certificate showing the existence of a registered proprietor Mr. Wilkinson very properly did not feel that he should argue the matter on the hypothetical basis that there may be a registered proprietor – a fact, if it is a fact, which could so easily have been established conclusively.

The judge also found as a fact that the purchaser did not pay the deposit of Shs. 6,000/- which he claimed in his reply and in evidence to have paid. This finding is the basis of two of the grounds of appeal relied on by Mr. Wilkinson, which are firstly that as no deposit was paid, there never was a concluded contract; and secondly, if there was a concluded contract, specific performance thereof ought not to have been decreed, as the purchaser had not shown himself at all times ready and willing to perform his part. The third ground of appeal is that the contract contemplated the sum of Shs. 5,000/- as the correct measure of damages on a breach by either party, to the exclusion of relief by way of specific performance.

As regards the first ground, Mr. Wilkinson submitted that the requirement for the payment of a deposit was a matter going to the root of the contract, non-compliance with which resulted in no contract coming into existence. It was a matter which the parties had by necessary implication agreed should be done "then and there", so that time in respect of payment of the deposit was of the essence of the contract and failure to pay the deposit "then and there" resulted in no contract coming into existence. He relied on *Hall v. Burnell*, [1911] 2 Ch. 551, but with respect I do not read that case as authority for the proposition that mere non-payment of a deposit annuls the contract. Mr. Wilkinson also relied on *Johnston v. Boyes*, [1899] 2 Ch. 73, a case arising out of a sale by auction, in which it was held that no contract arose unless the deposit required by the printed conditions of sale was paid immediately after the fall of the hammer. I do not consider that case to be of assistance; a sale by auction is a very special type of contract, governed by printed conditions which are binding on bidders. The successful bidder may well be unknown to the owner of the goods sold and to the auctioneer, and it is not surprising in those circumstances that the requirement of the immediate payment of a deposit should be stipulated as a condition precedent to the creation of a contract. This appeal concerns an agreement for the sale of land, a condition of which was that a deposit was payable. The agreement did not specify that time was of the essence in connection with the payment of the deposit, and the judge refused to imply a stipulation making time of the essence. He preferred to apply the general rule as stated in 8 Halsbury's Laws, 3rd Edn., pp. 164 – 165, and he held that in the absence of an express stipulation or clear implication that time in relation to the payment of the deposit was of the essence of the contract, failure to pay the deposit did not entitle the vendor unilaterally to avoid the contract. The position would of course have been different if the vendor had given notice making time for payment of the deposit of the essence of the contract and specifying a reasonable period for payment, but this he did not do. He preferred to treat the

contract as not binding on him, but I agree with the judge that in these circumstances the contract continued in force. In my view this ground of appeal fails.

The second main ground of appeal is that specific performance ought not to have been decreed as the purchaser had not at all times shown himself ready and willing to perform his obligations under the agreement. The foundation for Mr. Wilkinson's submissions on this ground is the finding that the purchaser had not paid the deposit but falsely claimed to have done so, so that in alleging in the plaint that he has at all times been and is now ready and willing to perform his obligations, he was in effect asserting that he was ready and willing to do so on the basis of his liability being limited to Shs. 54,000/-, that is to say the contract price less the deposit. In support of this submission, Mr. Wilkinson relied *inter alia* on the following extract at the very end of Mr. Nazareth's address in the court below:

> "I ask for judgment as prayed. Plaintiff to pay Shs. 54,000/- against signing of transfer."

This statement was made on the assumption that the judge would find that the deposit had been paid. It did not represent the definitive stand adopted by the purchaser, as is shown by an earlier extract from Mr. Nazareth's address:

> "If court not satisfied that Shs. 6,000/- deposit was paid, specific performance should be ordered on payment of Shs. 60,000/-."

It would seem therefore that the purchaser's expressed willingness and ability to pay was not restricted to the sum of Shs. 54,000/- but to such sum as the court would find to be payable. Mr. Wilkinson also urged that as the purchaser had not been believed on the issue of payment of the deposit, he had not come to the court with clean hands and should not have been granted the equitable relief of specific performance. The judge found, on the evidence before him, that the deposit had not been paid. He does not seem to have considered this so serious a matter as to disentitle the purchaser from equitable relief. It may be that he also had in mind the vendor's conduct, particularly in selling the property after successfully opposing an application for an injunction on the ground that the law made it impossible for him to sell without the court's consent, which he did not seek. It was never suggested in the court below that if the deposit had not been paid, contrary to the purchaser's contention, this would disentitle him from relief, nor was this aspect of the case canvassed in the judgment, because it was never made an issue at the trial. I would not allow this ground of appeal.

The third ground of appeal arises from the special condition in the agreement for sale which reads:

> "The party making default in the completion of the transfer shall pay to the other party a sum of Shs. 5,000/- not in the nature of a penalty but liquidated damages."

Mr. Wilkinson has submitted that the clear intention of this condition was that if either party decided not to go on with the bargain, his liability for his breach of contract with be limited to Shs. 5,000/- as liquidated damages. Mr. Nazareth's contention was that the special condition gave the innocent party an election between claiming specific performance (or damages in lieu) or claiming the Shs. 5,000/- agreed as liquidated amages. The condition was never, in Mr. Nazareth's submission, intended to be the only remedy but was intended to provide additional security for the performance of the contract at the election of the party not in default. This question was argued at length in the court

below, and dealt with very fully by the judge. He referred to the following extract from Fry on Specific Performance of Contracts, 6th Edn., at p. 68:

> "The difference between penalty and liquidated damages is, as regards the common law remedy, most material. For according to common law, if the sum named is not a penalty, but the agreed amount of liquidated damages, the contract is satisfied either by its performance or the payment of the money. But as regards the equitable remedy the distinction is un-important: for the fact that the sum named is the amount agreed to be paid as liquidated damages is, equally with a penalty strictly so called, ineffectual to prevent the court from enforcing the contract in specie."

The judge also referred to *Howard v. Hopkyns* (1742), 26 E.R. 624 and *Chilliner v. Chilliner* (1754), 28 E.R. 337, and came to the conclusion that the sum of Shs. 5,000/- mentioned in the special conditions was never intended by the parties to be the only remedy enforceable against the vendor, should he default in circumstances where he had the power to transfer but refused to do so. The condition, in the judge's view, did not give both parties a true election either to perform the contract or to pay Shs. 5,000/-. What was intended was, in the words of Lord Chancellor Hardwicke in *Chilliner's* case, to provide "a penalty or further security to enforce a performance" and not an election on the part of the vendor either to transfer or to forfeit the Shs. 5,000/-. I agree with the judge that the vendor, who had it in his power to transfer the property but refused to do so, cannot now say that the payment of Shs. 5,000/- was the only remedy envisaged by the parties. In my opinion this ground of appeal also fails. I would accordingly dismiss this appeal, with costs, and certify for two advocates. As Lutta, J.A. and Mustafa, J.A. agree, it is so ordered.

There is one further matter which although it does not arise directly out of the appeal as presented must I feel be mentioned. Paragraph 6 of the decree provides for directions to be given in chambers for carrying out the order of specific performance. These directions are contained in an Order dated 8 October 1970. This Order directs the Registrar of Titles to register a transfer in the purchaser's name and to cancel any memorials or other entries which may have been registered against the title to the suit premises since 19 March 1963. Although the judge may be right in his view that the vendor had no title to convey, as he was prohibited by statute from transferring his title, he has not finally decided that point; and even if the transferee now on the register has not acquired a title there may be other persons who have bona fide acquired registrable interests in relation to the land. I consider that the Order of 8 October 1970 should not be put into effect without the Registrar and every person who according to the register may be adversely affected by it having an opportunity of being heard.

Mustafa JA: For the reasons given in the judgment of Law, J.A. I agree that the appeal fails.

There is an aspect in this case which causes me some concern. The property concerned is land registrable in the Registry of Titles. In the proceedings it became clear the suit premises were allegedly transferred to a third party pendente lite. Nevertheless the trial judge ordered specific performance without any enquiry into the title, and made no attempt to discover who the registered proprietor was. No document of title was exhibited in Court. It would have been easy to discover the registered proprietor by reference to the register or by means of a search certificate. It is quite evident that before any registered proprietor can be divested of his estate, he must be given an opportunity of being heard. I would also have thought the Registrar of Titles should have been

given the opportunity of being heard before any order purporting to vary or cancel a memorial or entry in the register could be made.

It is true the appeal was only "from the judgment and decree of the High Court of Kenya at Nairobi (Mr. Justic Chanan Singh) dated 7 September 1970 . . .". However in the decree of 7 September 1970 para. 6 reads "The matter shall be mentioned in Chamber for directions, if any, for the carrying out of the order for specific performance at 9.30 a.m. on 29 September 1970". Subsequently the judge dealt with the matter in chambers and gave directions which were embodied in the formal order drawn up on 8 October 1970. In the said order reference was made to the fact that it was made as a result of the judgment and decree of 7 September 1970. The order of 8 October 1970, though not specifically mentioned as being appealed from, flows from the decree and forms part of the record. I cannot accept Mr. Nazareth's submission that I must not look at the formal order as it was not before the court.

In the said order the judge directed that a registered proprietor was to be divested of his estate without notice, and it could perhaps be argued that the order was made without jurisdiction in the circumstances. However the order was designed to set out the steps for the implementation of the order for specific performance in the decree, and it has still to be implemented. I trust that before the final stage is reached, that is, before the stage is reached for the vesting order to be made, steps would have been taken to give the registered proprietor, if any, as well as the Registrar of Titles, an opportunity of being heard. At that stage, any necessary amendment or adjustment, should that be necessary may be made to cure any irregularity.

This litigation has gone on long enough, since March 1963 and it will be a great pity if it does not end now.

Lutta JA: I also agree.

Appeal dismissed.

For the appellant:
PJ Wilkinson QC and *SK Ahamed* (instructed by *Khanna & Co*, Nairobi)

For the respondent:
JM Nazareth QC and *GS Pall*

Tin Containers Ltd v Kencon
[1971] 1 EA 216 (CAM)

Division:	Court of Appeal at Mombasa
Date of judgment:	12 March 1971
Case Number:	1/1971 (47/71)
Before:	Sir William Duffus P, Law and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Kenya – Kneller, J

[1] Contract – Delivery – Refusal to accept – Whether seller must tender further instalments.

[2] Contract – Single quantity – Supply by instalments – Whether severable.

[3] Contract – Fundamental term – Sole distributorship – Whether fundamental.

[4] Contract – Breach – Of fundamental term after refusal to accept goods – Party refusing to accept can rely on breach.

Editor's Summary

The appellant contracted to sell, and the respondents to buy, a quantity of rat traps in monthly amounts over a year. The appellant agreed that the respondents would have the sole distributorship of the traps during the period. Delivery of half the instalment for November 1968 was accepted by the respondents but the balance was refused and the respondents stated that they would refuse future instalments. The appellant elected to affirm the contract and offered to deliver the next three months' instalments and were able to do so although they did not actually tender the traps. During this period the appellant sold traps to another party and they did not elect to treat the contract as at an end until February 1969.

On the appellant's claim for damages the trial judge found that the sole distributorship was a fundamental term of the contract, that failure by the appellant to tender the subsequent instalments was not a breach, but that sale to a third party during the continuance of the contract was a breach which allowed the respondents to repudiate the contract.

The appellant appealed contending that the contract was severable and that it was under a duty to mitigate the damage suffered by the refusal to accept the goods by selling elsewhere, and that such sale was not a breach of a fundamental term entitling the respondents to repudiate. The respondents cross-appealed against the finding that the failure to tender was not a breach of contract.

Held –

(i) the contract was not severable but was for a single amount to be supplied by instalments;

(ii) the sole distributorship was a fundamental term of the contract;

(iii) the breach by the appellants of the term entitled the respondents to repudiate even though it occurred after the respondents' wrongful refusal to accept the goods (*Frost v. Knight* (1) followed);

(iv) the refusal of the respondents to accept delivery amounted to a waiver of tender (*Alidina v. Globe Mercantile Corporation Ltd.* (3) distinguished).

Appeal dismissed.

Cases referred to judgment

(1) *Frost v. Knight* (1872), L.R. 7 Ex. 111.

(2) *Mersey Steel and Iron Co. v. Naylor* (1884), 53 L.J.Q.B. 497.

(3) *Alidina v. Globe Mercantile Corporation Ltd.*, [1968] E.A. 114.

12 March 1971. The following considered judgments were read.

Judgment

Mustafa JA: By a contract in writing the appellant agreed to sell and the respondents agreed to purchase rat traps to be supplied monthly over a period. The respondents only accepted a part of the first instalment and refused to accept any more deliveries. Eventually the appellant filed an action in the High Court claiming damages. The claim was dismissed, hence this appeal.

The facts briefly are as follows. The respondents were to purchase from the appellant 7,200 gross of rat traps at the rate of 600 gross a month over a period of 12 months. The price was Shs. 68/- a gross and the goods were to be delivered at the respondents' godown at Mombasa, the first delivery to be made during November 1968. Payment was to be by a 60 day bill for each lot delivered. The appellant during the contract period would only sell to the respondents and to nobody else and the respondents would retain the sole distributorship of the traps in the three East African countries during the said period. These terms were incorporated in the written order.

The appellant duly delivered 300 gross for the November instalment which was accepted by the respondents, but the respondents refused to accept the balance of 300 gross. The respondents also, on 3 December 1968, clearly and categorically informed the appellants that they would not accept any more traps from them.

The appellant did not, despite the respondents' repudiation, treat the contract as at an end but elected to keep it alive. The appellant wrote a letter, through its advocates, dated 11 December 1968, which stated, *inter alia*:

> "During the month of November 1968, you did not take delivery of all the 600 gross traps. You have refused to take delivery of the traps for the month of December 1968 and you have also failed to hand over to our clients the promissory notes as per the agreement.
>
> In view of the foregoing please confirm to us in writing within 7 days of the date hereof that you are prepared to take delivery of 600 traps before 31 December 1968 . . .
>
> Please also confirm that during the currency of this agreement you would take the delivery of 600 gross traps every month . . ."

However, a day earlier, on 10 December 1968 the appellant had sold 50 gross to another party, and subsequently sold a further 430 gross to other parties before they finally treated the contract as at an end on 21 February 1969.

In answer to the issues framed the judge made the following findings. He found the contract was in terms of the written order and that the respondents' right to sole distributorship was an express and fundamental term of the contract. The respondents were in breach of the contract when they refused to accept delivery of the balance of 300 gross of the November instalment. Similarly the respondents were in breach when they categorically stated that they would refuse to accept any more traps from the appellant. The appellant did not tender the traps to the respondents for the December 1968 and January and February 1969 instalments, but the appellant had offered to deliver them and was in a position to do so. In view of the respondents' clear refusal to accept them the appellant's failure to tender them physically was not a breach of contract on their part.

The appellant ignored the anticipatory breach when the respondents stated they would not accept any more traps and elected to keep the contract alive until 21 February 1969. During the subsistence of the contract the appellant had sold traps to parties other than the respondents. In so doing the appellant had committed a breach which enabled the respondents to repudiate the contract. Accordingly the judge dismissed the appellant's claim.

For the appellant Mr. Wilkinson's main ground of appeal was directed against the finding that the sale of traps by the appellant to other parties enabled the respondents to repudiate the contract. Mr. Inamdar for the respondents has cross appealed against the finding that the failure by the appellant to tender or deliver the traps for the months of December 1968 and January and February 1969 was not in breach of contract.

I will first deal with the appellant's appeal. Mr. Wilkinson has submitted that the contract was severable as it was for sale of goods to be delivered by stated instalments and to be separately paid for. Each instalment delivery was separate and when the respondents refused to accept part of the November instalment and the whole of the December instalment there was an actual breach of the contract, not an anticipatory breach. The appellants had not only the right but the duty to sell, prior to the determination of the contract, in order to mitigate the damages suffered. Since the respondents had refused to accept the goods the appellant had a right to damages for breach of contract and were therefore entitled to sell in order to mitigate such damages. The respondents had the sole right of distribution of the traps in East Africa and both the parties, the appellant as supplier and the respondents as sole distributors, had to carry out their respective duties. When the respondents refused to accept the goods there could be no distribution of the traps in East Africa with the result that the goods could not be sold at all. In these circumstances the respondents could not rely on their own breach and insist that the goods could not be sold to any other party except themselves, or use such sale to other parties by the appellant as a ground for repudiating the contract.

He also submitted that even if the appellant had committed a breach by such sales, the breach did not go to the root of the contract, as the respondents' monopoly of sole distributorship was not an express or fundamental term of the contract. In that even the respondents were only entitled to compensation by damages for such breach, not the right to repudiate the contract.

I am of the view, from the circumstances of this case, this was not a severable contract. This was a single contract for 7,200 gross of traps to be supplied and paid for in instalments, to be completed over a period of time. During the contractual period the respondents were to have the sole right of distribution of the traps in East Africa. When the respondents refused to accept the balance of 300 gross of traps for the November instalment they committed a breach of contract.

On 3 December 1968 the respondents also categorically stated that they would not accept the December or any other instalment. That was a repudiation of the contract to be performed on a future date. The appellant could then have treated the respondents' repudiation as an anticipatory breach of the contract or treated the contract as still subsisting. The appellant chose to treat the contract as subsisting until 12 February 1969.

Prior to 3 December 1968 the appellant had not sold any traps to any other party. In my view the appellant was entitled to damages for the lot of 300 gross of traps in respect of the November instalment which they tendered and which the respondents refused to accept. However no evidence of damages in respect of this lot was given, nor was any claim made in the appeal. It may be that the appellant would have been entitled to sell this lot of 300 gross to other parties

to mitigate the damages, despite the monopoly distributorship held by the respondents. I make no decision on this point as it is unnecessary for the decision in this appeal.

However during the subsistence of the contract, the appellant had sold a total of 480 gross of traps to other parties. Even allowing for the 300 gross for the November instalment, the appellant had sold 180 gross to other parties.

I am satisfied that the respondents' monopoly of sole distributorship was an express and fundamental term of the contract. Indeed in the pleadings the appellant had agreed that it was so. When the appellant sold traps to other parties, certainly as regards the 180 gross, during the subsistence of the contract, it committed a breach of an express term which entitled the respondents to repudiate, although the breach occurred after the respondents' own wrongful refusal to accept the goods. This is the law in England, see *Frost v. Knight* (1872), L.R. 7 Ex. 111, at p. 112. This proposition is set out in 8 Halsbury's Laws of England, 3rd Edn., p. 203, para. 344 which reads:

> "The repudiation of the contract by one party does not of itself discharge the contract but the other party has the option of treating the contract as at an end, or of waiting until the time for performance has arrived, before making any claim for breach of contract . . . If he elects to wait, he remains liable to perform his part of the contract, and enables the party in default not only to perform his part of the contract notwithstanding his previous repudiation of it, but to take advantage of any supervening circumstance which would justify him in declining to perform it."

The judge rightly, in my view, adopted and applied this proposition of law to the case. His conclusion that the appellant's sales to other parties was a breach which entitled the respondents to repudiate the contract was correct. The appeal fails.

I now turn to the cross appeal. It is not in dispute that the appellant did not tender the December 1968 and subsequent instalments of traps to the respondents. This however was because of the direct and general refusal of the respondents to accept any more traps. The refusal extended to the entire quantity of the contract. The judge found that the appellants had offered to deliver the traps to the respondents and that they were clearly in a position to do so. I am satisfied that the appellant was able and willing to perform the contract and was in a position to effect delivery. Mr. Inamdar contended that physical delivery or tender was necessary and for this proposition he apparently relied on *Alidina v. Globe Mercantile Corporation Ltd.*, [1968] E.A. 114. I do not read *Alidina's* case that way. In that case the party concerned had not even obtained an option to purchase the sisal he was to supply nor was evidence given as to the price he would have to pay for such sisal. He had failed to satisfy the court that he was ready and able to supply the sisal. Here the appellant was not only ready and able but in fact anxious to supply the goods. The absolute and direct refusal of the respondents to accept delivery amounted, in the circumstances, to a waiver of tender. I see no merit in the cross appeal.

In the result I would dismiss both the appeal and the cross appeal with costs. I would not certify for two advocates.

Sir William Duffus P: The facts have been fully set out in the judgment of Mustafa, J.A. I entirely agree with him that this was a single contract for the delivery of 7,200 gross of rat-traps by stated instalments and I also agree that in the circumstances of this case that the vendor, the appellant company, after the respondents' first refusal to accept delivery of the November instalment of rat-traps elected to keep the contract alive and accordingly the respondents were entitled to regard the contract as still subsisting and to take

advantage of the appellant company's own subsequent breach of a condition of the contract to then treat the contract as having been repudiated by the appellant company.

There can be no doubt that the appointment of the respondents as the sole distributors of the rat-traps in all the three East African countries was an essential and vital part of the contract a breach of which gave the respondents the right to repudiate the whole contract.

There appears to be some doubt about the position that arises from the respondents' refusal to accept the 300 gross rat-traps that remained for the November instalment. I gather from Mr. Inamdar who appeared for the respondents that he conceded that the appellant company had established a right to damages in respect of this 300 gross but he said there had been no appeal against the judge's findings on this point. With respect I cannot agree; the trial judge found that the appellant company had elected to keep the contract in existence and as Mustafa, J.A. has pointed out this was a single contract for the delivery of the 7,200 gross of rat-traps and it was while this contract was still in existence that the appellant company broke the monopoly granted to the respondents to be the sole distributors by selling these to other persons. The respondents were then entitled to take full advantage of the breach of this vital condition and to elect to treat the entire contract with the respondents as having been repudiated and the contract ended. The matter is not altogether clear and has not been fully argued but in my opinion the respondents could not at this stage be liable for damages in respect of the refusal to accept delivery of the 300 gross for the remainder of the November instalment, nor could the appellant company re-sell these 300 gross of rat-traps to anyone else whilst the contract still existed. The appellant company had specifically elected to keep the contract open and the sale of rat-traps to anyone else whilst the contract still subsisted was a breach of an essential condition of the contract. I therefore agree with Mustafa, J.A. that the appeal and cross-appeal be dismissed with costs and as Law, J.A. also agrees, it is so ordered. I further agree that this is not a suitable case to certify for two advocates.

Law JA: I have read in draft the judgment prepared by Mustafa, J.A. in which the facts are fully set out. I agree with him that this was a single contract for the sale of 7,200 gross of rat-traps, to be supplied in monthly instalments, and to be paid for by the giving of a 60 day promissory note in respect of each delivery. When the buyers, (the respondent) repudiated their obligations under the contract by refusing to accept the second half of the first month's instalment, and by making it absolutely clear that they would not accept any further deliveries under the contract, the vendor (the appellant) had the option of taking advantage of this breach by anticipation and treating the contract as being at an end, or they could elect to keep the contract alive, before making a claim. The appellant chose the latter course, and while the contract was still alive they sold rat-traps to third parties to whom they were debarred by the contract from selling. In so doing, they themselves renounced the contract and cannot in my opinion seek to recover damages under it. So long as it elected to keep the contract alive, it remained liable to perform its part of it. I agree with the judge that the obligation not to sell to third parties was a fundamental term of the contract, and it is not open to a party in default under a fundamental term to claim damages for a breach by the other party (*Mersey Steel and Iron Co. v. Naylor* (1884), 53 L.J. Q.B. 497). In these circumstances I am of the view that the judge's decision was clearly right, and I would dismiss this appeal. I would also dismiss the cross-appeal, for the reasons given by Mustafa, J.A. I concur in the order proposed by him as to costs.

Appeal dismissed.

For the appellant:
PJ Wilkinson QC, SK Ahmed and *S Magon* (Instructed by *Anjarwalla, Abdulhusein & Co*, Mombasa)

For the respondents:
IT Inamdar and *JJ Chohan* (Instructed by *Bryson, Inamdar & Bowyer*, Mombasa)

Merali and others v Republic
[1971] 1 EA 221 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	22 March 1971
Case Number:	201/1970 (48/71)
Before:	Sir William Duffus P, Law and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Tanzania – Saidi, J

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[1] Appeal – Retrial – Original trial not illegal or defective – Prejudice to accused.

[2] Appeal – Hearing – Duty of judge to readjudicate and not to order retrial – Appellate Jurisdiction Ordinance (*Cap.* 451), *s.* 3 (*T.*).

Editor's Summary

The appellants together with two co-accused were charged jointly before a magistrate with stealing goods in transit. The appellants appealed to the High Court against their conviction. The judge did not find that the trial was either illegal or defective, but after stating that the magistrate dealt with the defence and not with the prosecution evidence, he ordered a retrial. The appellants appealed again.

Held –

(i) a retrial may be ordered only when the original trial was illegal or defective;

(ii) a retrial may be ordered if the interests of justice require and if no prejudice is caused to the accused;

(iii) the order for retrial would be set aside;

(iv) the judge should have readjudicated on the appeal;

(v) on the merits the appeal of the second appellant would be dismissed as the evidence against him was overwhelming, and the appeals of the first and third appellants would be allowed.

Appeal of first and third appellants allowed.

Cases referred to judgment

(1) *Ahmed Ali Dharamshi Sumar v. Republic*, [1964] E.A. 481.

(2) *Fatehali Manji v. Republic*, [1966] E.A. 343.

Judgment

The considered judgment of the court was read by **Mustafa JA:** The three appellants, together with two other co-accused, were jointly charged in a magistrate's court with stealing goods in transit. The appellants were convicted as charged and each was sentenced to 2 years imprisonment. The other co-accused were acquitted. The appellants appealed to the High Court, which set aside their

conviction and sentences but ordered a re-trial. Against that order the appellants now appeal.

The grounds of appeal briefly are that the judge had erred in ordering a retrial, and that having regard to the evidence, he erred in not setting the appellants free.

To avoid confusion we will follow the description of the appellants used in the trial court. The first accused will be the second appellant Madatali; the third accused will be the first appellant Jalaludin; and the fourth accused will be the third appellant Shiraz.

The trial magistrate made the following findings. On or about 21 June 1969

4 bales of khanga and 1 bale of vitenge were stolen from a shed in the Port area. The bales of khanga and vitenge were part of a consignment of goods ordered by the State Trading Corporation and received on their behalf by the East African Cargo Handling Service and stored in their shed in the Port area. The khangas were made according to special design and order numbers supplied by the State Trading Corporation, but there were no distinguishing marks on the vitenge. A number of the stolen khangas were later recovered from several shops and retail traders. The trail magistrate was satisfied from the special design and order numbers being JK003, JK004 and JK006 printed on the khangas that they were properly identified. These findings are not seriously in dispute and are in any case amply supported by the evidence adduced.

We will now deal with the accused separately. As regards the first accused three witnesses – PW4, PW5 and PW6, testified that they were engaged by the first accused on 21 June 1969 to load and collect 5 bales of goods wrapped in gunny bags from a shed in the port area. PW4 and PW6 were engaged as labourers. PW5 was a driver and had a motor vehicle and his vehicle was hired by the first accused. The first accused went into the port area with these 3 witnesses. The goods were taken out of the port area in the normal way and were later transferred to a motor vehicle belonging to and driven by the third accused. The first accused, when questioned by PW1, a police officer on 5 July 1969 said that he had not visited the port area for the past 2 months. In this connection another witness had testified that he saw the first accused near a shed in the port area on 21 June 1969. PW20 knew the first accused well.

The goods which were transferred to the vehicle of the third accused were then taken to various shops and retail traders. They were found and recovered by the police. The goods turned out to be khangas and vitenge and the khangas bore the special design and order numbers of the State Trading Corporation imported in or about June 1969. In his enquiry statement the first accused denied knowledge of any theft of khangas or vitenge from the port area. In his unsworn statement in the trial court he merely said he had not stolen the goods and was innocent.

The trial magistrate referred to the evidence of PW1, PW4, PW5, PW6 and PW20 in connection with the case against the first accused and said, in his judgment:

> "There is overwhelming evidence to show the first accused went to the port, from therein collected 5 bales. The chain of events is so tightly locked that I am completely satisfied that the 4 (*sic*) bales were khanga and vitenge. Be it noted that the first accused has offered no explanation as to his presence in the port or his taking the goods from therein."

It is clear the trial magistrate believed and accepted the evidence of PW1, PW4, PW5, PW6 and PW20. When PW4, PW5 and PW6 were cross-examined at the trail, it was not suggested to them that they suspected or had knowledge the goods they were handling for the first accused might be stolen goods, although the advocate for the accused, in his final address, suggested these witnesses had handled stolen goods and their evidence would therefore need corroboration.

As regards the third accused, the evidence given by PW2, PW3, PW7 and PW18 would show that on 21 June 1969 the third accused received goods from the first accused and transferred them, being khanga and vitenge, to the car of Kurban (who was acquitted), and together with Kurban, the third accused sold the goods to various witnesses. These goods were khangas bearing the distinctive design and marks of those stolen.

As regards the fourth accused, the evidence was that on 9 July 1969 – some

three weeks after the theft – he was seen loading some bags containing khangas into his car and was arrested while doing so. The khangas were identified as part of the lost goods. The fourth accused's explanation was that he was hired to transport those goods.

On first appeal the judge said, *inter alia*:

> "In his judgment the resident magistrate devoted most of his time to analysing the defence to find out if it could be believed or not without dealing properly with the prosecution evidence which he ought to have done. It was this ground which gave rise to the complaint over misdirection.
>
> The complaints raised by the defence concerned admission of hearsay evidence; identification of the goods as stolen property and the question of ownership of the goods. There is some justification in these complaints, though these errors are not too serious to affect the trial in the degree by the learned Counsel for the appellants.
>
> On the whole it appears to me that the trail is not satisfactory and a re-trial should be ordered."

It is clear that the original trial was neither illegal nor defective. The judge also said:

> "It seems to me that the case on the whole is somewhat complicated. There are legal technicalities which were not properly appreciated by both the public prosecutor and the resident magistrate."

The judge, instead of resolving these difficulties and doing the best he could in the circumstances, ordered a re-trial. It would seem he ordered a re-trial because he thought there might have been some error on the part of the prosecutor or the magistrate, or that the evidence was unsatisfactory or insufficient to establish the charges against all the appellants.

It is well settled that an order for a re-trial is not justified unless the original trial was defective or illegal. A re-trial may also be ordered if the interests of justice so require, without causing prejudice to the accused. (See *Ahmed Ali Dharamshi Sumar v. Republic*, [1964] E.A. 481 and *Fatehali Manji v. Republic*, [1966] E.A. 343). Each case has to depend on its own facts and circumstances. We are of the opinion that an order for a re-trial in this case was not justified and we accordingly set it aside.

In dealing with the first appeal the judge did not re-hear and re-adjudicate as was his obligation in law; he briefly referred to the somewhat complicated nature of the case and ordered a re-trial. Had he re-heard and re-considered the evidence we are satisfied he would no doubt have come to the conclusion that the first accused was guilty as charged. The evidence against the first accused was overwhelming.

The third accused and the fourth accused could not in any event have been convicted of theft as charged; they could perhaps have been charged with receiving. However the evidence against the fourth accused is weak, although that against the third accused is somewhat stronger.

Having set aside the order for re-trial, there are several alternatives open. We can set the appellants free, or order the appeal to be re-heard or deal with the appeal on its merits as the judge ought to have done. This Court has the same powers, in dealing with this appeal, as the High Court of Tanzania. Section 3 (2) of the Appellate Jurisdiction Ordinance (Cap. 451) reads:

> "For all purposes of and incidental to the hearing and determination of

> any appeal in the exercise of the jurisdiction conferred by this Ordinance, the Court of Appeal shall, in addition to any other power, authority and jurisdiction conferred by this Ordinance, have the power, authority and jurisdiction vested in the court from which the appeal is brought."

In the circumstances of this case we do not think the appeal should be re-heard. In view of the overwhelming evidence against the first accused we do not consider it proper to set all the appellants free. We propose to take the unusual course of stepping into the shoes of the first appellate court and deal with the appeal on its merits. This we have done in the interest of justice and to avoid unnecessary delay. The advocate for the appellants was given the opportunity of arguing the appeal on this basis.

The evidence against the first accused, as pointed our earlier, was overwhelming. That evidence was accepted by the trial magistrate. There was some suggestion that PW4, PW5 and PW6 could have been accomplices, but that was never put to these witnesses when they were cross-examined. There was nothing in the evidence itself to indicate they must have been put on guard by the action of the first accused. The evidence of these three witnesses was substantially the same, though much play was made of some minor and immaterial inconsistencies, such as whether PW4 said he was paid Shs. 10/- or Shs. 20/- by the first accused. In our view the first accused, i.e. the appellant Madatali, was clearly guilty of stealing as charged and we therefore restore the conviction and sentence imposed on him by the trial magistrate.

As regards the third accused, i.e. the appellant Jalaludin, and the fourth accused, i.e. the appellant Shiraz, we cannot say the evidence clearly established their guilt and they are accordingly acquitted and are to be set at liberty forthwith unless otherwise lawfully detained.

Appeal of first and third appellants allowed.

For the appellants:
SJ Jadeja (instructed by *SJ Jadeja & Co*, Dar es Salaam)

For the respondent:
SO Omerzurumba (State Counsel)

Muzeyi v Uganda
[1971] 1 EA 225 (HCU)

Division:	High Court of Uganda at Mbarara
Date of judgment:	24 December 1970
Case Number:	375/1970 (49/71)
Before:	Wambuzi J
Sourced by:	LawAfrica

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[1] Evidence – Expert – Credibility to be decided by court – Lack of rebutting evidence not a factor.

[2] Evidence – Handwriting – No proof of specimen of writing of accused.

Editor's Summary

The appellant was convicted of sending written to the complainant. In his judgment the magistrate stated that he believed the evidence of the handwriting expert called by the prosecution as it was worthy of belief in the absence of any rebutting evidence.

It was also not proved that there was any specimen of the appellant's handwriting which was before the expert.

Held –

(i) the magistrate misdirected himself by not deciding on the credibility of the expert and in relying on lack of rebutting evidence;

(ii) in the absence of proof of a specimen of the appellant's handwriting the conviction could not stand.

Appeal allowed.

No cases referred to in judgment

Judgment

Wambuzi J: This is an appeal against the judgment of a magistrate grade 1 sitting at Mbarara against both conviction and sentence. The grounds are set out in the memorandum of appeal.

Briefly, the facts are that the appellant threatened violence to one John Bahanya. The threats were contained in two letters written by the appellant addressed to John Bahanya. The magistrate found as a fact the letters had been written by the appellant, and that they contained threats. In coming to this conclusion, the magistrate appears to have relied on the evidence of John Baptist Mujuzi, an Analyst in the Scientific Aids Laboratory at Police Head-quarters, Kampala. In his judgment the magistrate said:

> "I have no doubts about the evidence of this expert witness and I am satisfied that his opinion is based on reasonable exercise of care and technical skill which in the absence of any rebutting evidence from another handwriting expert, which is of course lacking, is worthy of belief. Being guided by this evidence I believe that the accused is the person who wrote the two exhibit letters."

This passage raises two major points. First, it would appear as if the magistrate did not make up his mind on the credibility of the handwriting expert and the weight to be placed on his evidence. It appears he believed him only because there was no rebutting evidence by another handwriting expert.

Secondly, the handwriting expert was called by the prosecution. It is not conceivable in these circumstances that the prosecution would again call evidence of another expert to destroy the evidence of the expert. It follows, therefore,

that the magistrate must have had in mind that the rebutting evidence must have been called by the accused. To call upon the accused to disprove the prosecution case amounts to asking him to prove his innocence. This is a serious misdirection. It is a principle of our law that the prosecution must prove its case beyond reasonable doubt. There is no onus whatsoever on the accused to prove his innocence.

A third minor, but significant point is that two letters are referred to in the passage and indeed in the evidence on record, but there is only one letter. This is significant because in that letter no words like "if you persist engaging my girl friend you will die" referred to by the magistrate in his judgment. It is minor because the letter on record clearly contains threatening words, and the court could have come to the same conclusion in the absence of the second letter mentioned.

The evidence of the handwriting expert is to the effect that he compared the handwriting of two letters and a specimen handwriting allegedly that of the appellant, delivered to him in a sealed package. There is no evidence adduced by the prosecution to the effect that a specimen handwriting was obtained from the appellant and sent for analysis. The evidence of detective constable Alozious Byansi on this point is as follows:

> "On 21 January 1970 I sealed the two letters and gave them to Odoki to take them to the handwriting expert at Kampala."

There is no mention that he took any specimen handwriting from the appellant or that he sealed any such specimen together with the two letters. Detective constable Michael Odoki says: "On 23 January 1970 I was handed over a packet of sealed letters to be taken to the handwriting expert at Kampala". Again there is no mention of any specimen handwriting from the appellant. In his judgment the magistrate said:

> "Two police detectives gave evidence relating to the exhibit letters. Detective constable A. Byansi testified that on 15 October 1969 he received the two letters from the complainant John Bahame; and on 21 January 1970 he sealed them and handed them to D.C. Odoki to take to the handwriting expert in Kampala for examination and comparison with the specimen handwriting of the accused John Mary Muzeyi."

Nowhere in the evidence of Byansi does he mention any comparison of the two letters with any specimen handwriting. The handwriting expert, however, testified that he received from D.C. Odochi two letters. This witness went on: "I also received two sheets of paper bearing specimen handwriting and signatures of Mr. Muzeyi". It is not possible to say from this evidence from whom the witness obtained the two sheets of paper allegedly bearing the specimen handwriting of Muzeyi. It is impossible to say on the prosecution case where the alleged specimen handwriting came from or who provided the specimen. However, the appellant in his evidence said:

> "The policeman took my statement and afterwards took the specimen of my handwriting and signatures. The policeman dictated to me what to write on the specimen paper."

There was no evidence of which policeman took the specimen handwriting and signatures of the appellant or of what happened to the specimen. The appellant was cross examined but it was never put to him whether the alleged specimens were taken from him and if so by who.

The appellant was not represented at the hearing but in his cross examination of D.C. Byansi, the officer said: "I can recognize these two letters because I

noted their size and the nature of the handwriting thereon. The other two letters are specimens of your handwriting and signatures". It would appear that the appellant was questioning whether the letters were the letters handed to the police by the complainant and whether the specimens which, incidentally, do not appear on the record, were his specimens.

Having listened to the arguments by counsel for the appellant and for the State, and having perused the record, I am of the view that there was an incurable lacuna in the prosecution case regarding the origin of the specimen handwriting upon which the magistrate based his decision. Also the magistrate appears to have misdirected himself not only on the evidence but also on the burden of proof. In these circumstances, it would be unsafe to allow the conviction to stand and accordingly the appeal is allowed, the conviction is quashed and the sentence set aside.

Appeal allowed.

For the appellant:
ASJ Tibamanya (instructed by *Tibamanya & Co*, Mbarara)

For the respondent:
BJ Odoki (State Attorney)

Mulira v Dass and another
[1971] 1 EA 227 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	24 March 1971
Case Number:	573B/1970 (50/71)
Before:	Phadke J
Sourced by:	LawAfrica

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[1] Civil Practice and Procedure – Setting aside – Ex parte order – May be set aside without formal application.

[2] Evidence – Affidavit – Information and belief – Sources must be stated.

Editor's Summary

The plaintiff applied *ex parte* for the arrest of the defendants before judgment and her affidavit in support gave the course of her belief for the allegations made as "those close to the defendants". An order was made and the second defendant was arrested and brought before the court. He asked that the order should be set aside as it should never have been made. The plaintiff contended that the order could not be set aside, alternatively that it could only be set aside on a formal application and that the defendant should be called upon to show cause as ordered.

Held –

(i) the court has inherent jurisdiction to set aside any order improperly made (*Potgieter v.*

Stumberg followed);

(ii) formal application is not necessary for the exercise of the court's jurisdiction (dictum of Sir Graham Paul, C.J. in *Standard Goods Corporation Ltd. v. Narakchand Nathu & Co.* (4) followed);

(iii) the affidavit in support of the application was defective in not showing the source of information and belief (*A. N. Phakey v. World Wide Agencies Ltd.* (3) followed);

Application allowed. Order nisi set aside.

Cases referred to judgment

(1) *Re J. L. Young Manufacturing Co. Ltd.*, [1900] 2 Ch. 753.

(2) *Craig v. Kanseen*, [1943] 1 All E.R. 108.

(3) *A. N. Phakey v. World Wide Agencies Ltd.* (1948), 15 E.A.C.A. 1

(4) *Standard Goods Corporation Ltd. v. Harakchand Nathu & Co.* (1950), 17 E.A.C.A. 99.

(5) *Ali bin Khamis v. Salim bin Khamis Kirobe and others* (1956), 23 E.A.C.A. 195.

(6) *Assanand & Sons* (*Uganda*) *Ltd. v. East African Records Ltd.*, [1959] E.A. 360.

(7) *Caspair Ltd. v. Harry Gandy*, [1962] E.A. 414.

(8) *Assanand & Sons* (*U.*) *Ltd. v. Fred Mosagazi and others*, (Uganda H.C.C.C. 598 of 1964, unreported).

(9) *Potgieter v. Stumberg*, [1967] E.A. 609.

Judgment

Phadke J: In this suit the plaintiff's allegation against the defendants is that in 1968 they trespassed upon her land and cut down and removed therefrom trees of the value of Shs. 45,980/-. She claims this sum and also general damages from the defendants. The defendants deny the allegation and liability.

By an *ex-parte* chamber summons, the plaintiff applied, under O. 36 of the Civil Procedure Rules, that the defendants be arrested before judgment and brought before the court to show cause why they should not furnish security for their appearance and also for the payment by them into court of the sum of Shs. 45,980/-. This application was supported by the plaintiff's affidavit which contained the following paragraphs:

> "3. That I have caused inquiries to be made in the defendants' business and I am informed by those close to the defendants that they have disposed of all their property with the intention to delay the process of justice and any execution of decree that may be passed against them.
>
> 4. That the said removal of property out of jurisdiction and disposal has been made fraudulently with the intention to defeat the process of justice.
>
> 5. That the defendants are about to abscond from the limits of the jurisdiction of this honourable court with intent to obstruct and delay the execution of any decree that may be passed against them.
>
> 6. That this affidavit is sworn in support of an application for a warrant of arrest of both the defendants and on their appearance to show cause why they should not furnish security and/or to pay into court the sum of Shs. 45,980/- being the sum sufficient to satisfy the plaintiff's claim.
>
> 7. That all the statements herein contained are true and correct to the best of my knowledge, information and belief."

The application was heard by Mukasa, J. on 24 February 1971 and was granted. It is necessary to set out hereunder the record of the proceedings on that date.

> "24/2/71. Mr. Munabi for Applicant.
>
> This application is for an order under O. 36, rr. 1 and 5.
> Applicant's affidavit paras. 3 and 4.
> *Court.* So be it.
>
> Order accordingly as prayed for.
>
> A.W.K. Mukasa, J.
> 24 February 1971."

In pursuance of the above order of Mukasa, J., a warrant for the arrest of both defendants was issued, and the second defendant has been brought before the court under arrest to show cause.

Mr. J. S. Shah for the second defendant, argued that the order for the arrest of the defendants was made on the strength of the plaintiff's affidavit which did not show sufficient evidence, and should not have been made. He submitted that the order, being an *ex-parte* one, can and should be set aside. Mr. Munabi for the plaintiff submitted that the order made by the judge in his discretion could not be set aside except on appeal or at any rate on a formal notice of motion in that behalf. He submitted that the defendant should be called upon to show cause as already ordered.

I will first deal with Mr. Munabi's argument that I have no jurisdiction to set aside the order made by Mukasa, J., because if I were to do so I would be entertaining an appeal from the order of a brother judge. I do not agree. The application before Mukasa, J. was *ex-parte*, and I consider that the observations of Lord Greene, M.R. in *Craig v. Kanseen*, [1943] 1 All E.R. 108, as accepted and quoted by the Court of Appeal in *Ali bin Khamis v. Salim bin Khamis Kirobe & Others* (1956), 23 E.A.C.A. 195, at p. 199, at p. 199, are applicable. Lord Greene, M.R. observed as under:

> "Those cases appear to me to establish that an order which can properly be described as a nullity is something which the person affected by it is entitled ex debito justitiae to have set aside. So far as the procedure for having it set aside in concerned, it seems to me that the Court in its inherent jurisdiction can set aside its own order; and that an appeal from the order is not necessary. I say nothing on the question whether an appeal from the order, assuming that the appeal is made in proper time, would not be competent."

In *Assanand & Sons* (*U.*) *Ltd. v. Fred Mosagazi & others*, (High Court of Uganda, Civil Suit No. 598 of 1964), Long, Ag. J., holding that the affidavit offended against O. 17, r. 3 of the Civil Procedure Rules as it failed to state the grounds of the information and belief expressed, set aside the order under the inherent jurisdiction of the court by virtue of s. 101, Civil Procedure Act.

In the more recent decision of the Court of Appeal in *Potgieter v. Stumberg*, [1967] E.A. 609, relating to a case of arrest before judgment, Duffus, J.A. (as he then was) said:

> "The first part of the appeal is against the order of the High Court confirming the *ex-parte* order made for the arrest of the defendant/appellant under O. 38 of the Civil Procedure (Revised) Rules. In so far as this is concerned, counsel for the respondent quite rightly conceded that the High Court had an inherent jurisdiction to set aside any *ex-parte* order improperly made."

I am of the opinion that I have inherent jurisdiction to set aside such an *ex-parte* order if there are circumstances to show that it should not have been made. Should the application to set aside be by a formal notice of motion as submitted by Mr. Munabi? I do not think that such a procedure is necessary. The defendant who appears to show cause can, in my opinion, at such appearance plead as a cause the irregularity of the previous order. In *Standard Goods Corporation Ltd. v. Harakchand Nathu & Co.* (1950), 17 E.A.C.A. 99, at p. 100, Sir Graham Paul, C.J. stated:

> "In my view the court below ought never to have granted the order nisi on such an affidavit, and when the defendant-appellant on notice of the

> order nisi appeared to show cause why the order nisi should not be made absolute, it was quite enough to point to the defect in the affidavit . . .”

Next, I will consider Mr. Shah’s submission that the affidavit of the plaintiff in this application was defective. Mr. Shah referred to O. 17, r. 3 (1), Civil Procedure Rules, and to the decision of the Court of Appeal in A. N. *Phakey v. World Wide Agencies Ltd*. (1948), 15 E.A.C.A. 1, where it was held:

> “That where affidavits are submitted (as in this case) stating that such affidavit is on information and belief, the source of the information and grounds for that belief must also be stated.”

Observations to this effect are to be found in other decisions of the Court of Appeal (see *Standard Goods Corporation Ltd. v. Harakchand Nathu & Co.* (*supra*), *Assanand & Sons* (*Uganda*) *Ltd. v. East African Records Ltd*., [1959] E.A. 360, at p. 364, and *Caspair Ltd. v. Harry Gandy*, [1962] E.A. 414).

Paragraph 3 of the affidavit does not state the nature of the enquiries made and the facts relating thereto and no particulars are given as to when and how the defendants had disposed of all their property. There is not a word by way of description of such property, and the source of information is stated as “those close to the defendants”. Clearly, the contents of this paragraph were defective. As regards the allegation that the defendants were “about to abscond” from Uganda, no grounds are stated in para. 5 to support such an allegation by reference to any facts and circumstances. The allegation is merely the opinion of the plaintiff.

The affidavit did not comply with the provision in O. 17, r. 3 (1), Civil Procedure Rules, and its contents are of no probative value. In *Re J. L. Young Manufacturing Co. Ltd*., [1900] 2 Ch. 753, Lord Alverstone made the following remarks which were respectfully and emphatically quoted by the Court of Appeal in *A. N. Phakey v. World Wide Agencies Ltd*. (*supra*):

> “If such affidavits are made in future it is as well that it should be understood that they are worthless and ought not to be received as evidence in any shape whatever; and as soon as affidavits are drawn so as to avoid matters that are not evidence the better it will be for the administration of justice.”

For the reasons given above, I hold that the defendant has shown cause which I consider sufficient, and in the inherent jurisdiction of the court I set aside the previous order nisi and decline to make it absolute. The defendant is released from custody. The costs of the application are awarded to the defendants in any event.

Application allowed.
Order nisi set aside.

For the plaintiff:
SW Munabi

For the defendants:
JS Shah

Adulai v Masaaba Co-Operative Union Ltd
[1971] 1 EA 231 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	16 November 1970
Case Number:	142/1968 (51/71)
Before:	Sir Dermot Sheridan CJ

Sourced by: LawAfrica

[1] Estoppel – Conduct, by – No representation on which plaintiff acted.

Editor's Summary

The plaintiff was employed by the defendant and was dismissed for neglect of his duties. The defendant paid him three months salary in lieu of notice and gave him a testimonial.

The plaintiff sued for the sums which would have been due from the provident fund had he not been dismissed for misconduct, alleging that the defendant's conduct estopped it from relying on the misconduct.

Held – no representation was made to the plaintiff which caused him to act to his prejudice.

Case dismissed.

No cases referred to in judgment

Judgment

Sir Dermot Sheridan CJ: The plaintiff sues for a declaratory judgment that he is entitled to be paid the amount standing to his credit in the "B" account of the Staff Development Fund operated by the defendant and that the amount thus due to him be forthwith paid to him with interest. I was informed from the Bar that the sum involved is Shs. 8,839/-.

On 20 August 1964 the plaintiff was employed by the defendant Union as a ginnery manager. Before that he had worked for the Union for more than ten years as a cashier and in 1963 he had been appointed assistant ginnery manager.

On 1 October 1964 a more detailed agreement between the parties was signed. Clause 7 provided that he was entitled to become a member of the defendant's staff provident fund. He became a member and paid his contributions.

On 17 July 1967 the plaintiff went on leave. On the previous day Mr. Samuel Wanangwe the Secretary-Manager of the union instructed him to hand over charge of the ginnery at Lukhonge to Mr. Stephen Wepukulu the trainee manager. He says that he introduced Mr. Wepukulu to the staff although he had not been specifically requested to do so. He denied handing the key of the strongroom to Wepukulu's wife. He left the drawers of the desk in his office locked as they contained confidential files. The duplicate key to the strongroom was in one of the drawers. He says that the handover was in writing but he was not in a position to produce the document.

On 14 August he received by hand the following letter from Wepukulu:

"From: L.O.

To: Mr. Adulai Waniala

Ginnery Manager

Dear Sir,

I have to report to you that our office, storekeeper's office and the store behind storekeeper's office with you table drawer and Spare Parts Strong

Room Pad Locks have been broken down by unknown people on the right of 5 August 1967.

I therefore request you to come and check up what have been removed from your drawers.

They stole 16 empty gunny bags and Shs. 31/20 from Storekeeper's office. The rest are o.k.

Yours faithfully,

Stephen T. Wepukulu.

Copy to: The Secretary Manager, Mbale Office – To know."

On 16 August he returned to the ginnery. He checked his drawers. The duplicate key, a minute book and a file of confidential letters were missing. He denied that the manager had ever instructed him to deposit the duplicate key with the Standard Bank.

On 18 August, on the expiration of his leave he came and saw Wanangwe in his office in Mbale. He denies that he was admonished for not giving a proper handover, thus compelling Wanangwe to do it himself or for not returning to check his things after the theft. He admits that he was called before a sub-committee of the committee of the Union but denies that he was questioned about not making a proper handover or that he apologized for not doing so. If not one may well ask why he was called before the sub-committee. He was transferred to another ginnery. He agrees that the lock of the strongroom had to be changed after the theft.

On 2 November he received the following letter of dismissal from the Union:

"Mr. A. L. Waniala,

Solokho Office

Dear Sir,

I am directed by the Union Committee to inform you that you have been dismissed from the service of this Union with immediate effect from today, 2 November 1967. The dismissal is due to your gross negligence of your duties as Ginnery Manager, which resulted into recent troubles at Lukhonge; which fact has been fully investigated by the Committee.

You will be paid three months' salary in lieu of notice; plus your own contributions to the Staff Provident Fund ('A' account). You will also receive transport to your home.

You are hereby instructed to surrender and hand over all the properties of the Union to the authorised officer of the Union who is to report to you immediately. Anything found short or missing will have to be made good by you.

Yours faithfully,

S. Wanangwe,

Secretary/Manager,

Masaaba Co-Operative Union Ltd."

Even so he did not know why he was dismissed nor that it was for failing to carry out the instructions of Wanangwe. When Wanangwe refused to tell him he asked for a testimonial. After the matter had been referred to the main committee he was given this testimonial:

certificate of service

This is to certify that Mr. A. L. Waniala was employed by this Union as a Ginnery Manager for a period of 46 months, from 1 January 1964 to 2 November 1967, as specified herebelow:

Date of Entry into Service:	1 January 1964.
Position on leaving:	Ginnery Manager.
Date Leaving Service:	2 November 1967.
Rate of Pay on Leaving:	Shs. 1,295/- per month.
Cause of Leaving:	Termination.
Conduct during Service:	Good.

Secretary/Manager

Masaaba Co-Operative Union Ltd."

Wanangwe gave evidence that on 16 July he called the plaintiff to his office and told him that he should make a proper handover of his ginnery responsibilities to Wepukulu and introduce him to the staff as ginnery manager. He agreed. Similar instructions were given to Wepukulu. On 18 July Wepukulu came and reported that the plaintiff had not handed over to him as instructed and that the staff were refusing to recognize him as he had not been introduced by any senior officer. He had only one strongroom key which his wife had handed to him. This news compelled Wanangwe to leave his duties and carry out himself the instructions which he had given the plaintiff.

On 6 August he received a copy of the letter from Wepukulu to the plaintiff. On 18 August the plaintiff reported what was missing. The plaintiff maintained that handing over the key was sufficient. He adopted the same attitude before the sub-committee of inquiry but he apologized for not carrying out instructions.

On 2 November the full committee decided to dismiss the plaintiff for failing to carry out his duties as ginnery manager and in particular the instructions regarding the handing over, for failure to respond to the letter and for negligence in not depositing the duplicate key in the bank thus putting the contents of the strongroom at risk. Wanangwe confirmed that the lock had been changed at a cost of Shs. 300/-.

At the same time, as the plaintiff's previous record had been good and he would need time to get another job it was decided to give him 3 months' salary in lieu of notice and to give him a testimonial. Dismissal was considered to be sufficient punishment.

Wepukulu's evidence confirmed that of Wanangwe's in all material particulars. I accept the defence evidence where it conflicts with the plaintiff's.

Clause 12 of the agreement provides for termination of employment as follows:

"12. (*a*) The Union may terminate the employment of the employee:

(i) By giving the employee one month's or three months' notice in writing or without previous notice by crediting him/her in account in its books with one month's or three months' salary as laid down in Clause 13 below:

(ii) Summarily at any time and without previous notice if the employee shall be guilty of grave misconduct failure to obey reasonable orders or any other breach of this Agreement or shall be incapacitated by sickness or disease directly or indirectly caused in the opinion of the government doctor or doctor nominated by the Union through misconduct on the part of the employee.

(*b*) If the employment of the employee shall be terminated other than by his/her misconduct, improper behaviour, conviction of a felony or bankruptcy, the Union shall furnish a testimonial.

(*c*) If the employment of the employee shall be terminated by reason of his/her misconduct, improper behaviour, conviction of a felony or bankruptcy no testimonial shall be furnished."

Mr. Mayanja for the plaintiff submits that the defendant has been inconsistent. After purporting to dismiss him for grave misconduct and failure to obey reasonable orders under cl. 12 (*a*) (ii) it gave him the equivalent of three months' notice under (i) and the testimonial provided for by (*b*) and (*c*) in the absence of misconduct. I see nothing in the point that the letter of dismissal does not follow the exact wording of the clause but refers to the plaintiff's gross negligence of his duties. He can have been in no doubt as to why he was being dismissed. I cannot see that the defendant's action subsequent to the dismissal can give rise to an estoppel – no representation was made which caused the plaintiff to act to his prejudice – nor can there be any question of waiver negating the dismissal. All that has happened is that the plaintiff is better off following the charitable view adopted by the defendant.

The effect of dismissal under cl. 12 (*a*) (ii) on contributions to the Provident Fund is set out in r. 16 of the Rules:

"Refund of monies in 'A' account.

16. If a contributor is dismissed from his/her employment or leaves the service of the Union without completing the terms of the contract of service or before the age at which it has been agreed that he/she should retire, or resigns or is expelled from membership of the Fund under the provisions herein contained, or is adjudicated a bankrupt, he/she shall be paid only the amount standing to his/her credit in his/her 'A' account, together with such interest as is due to be credited to the said account up to the end of the month prior to his/her dismissal, leaving the services of the Union, retirement or expulsion, and he/she shall have no claim whatsoever in respect of the amount standing to the credit of his/her 'B' account."

It follows that the plaintiff is not entitled to a refund of contributions in the "B" account which are contributions made by the defendant of the same amount as the contributor's contributions to the credit of his account, under r. 15 of the Rules.

Case dismissed.

For the plaintiff:
AK Mayanja (instructed by *Mayanji, Mitha & Co*, Kampala)

For the defendant:
GK Patel

Waibi and another v Railways and Harbours
[1971] 1 EA 235 (HCU)

Division: High Court of Uganda at Kampala

Date of judgment: 18 March 1971

Case Number: 432/1968 (52/71)

Before: Mead J

Sourced by: LawAfrica

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[1] Master and servant – Wrongful dismissal – Authorised officer – Notice of dismissal not signed by General Manager – No delegation of powers – Public Service Commission Act, s. 2 (*E.A.C.*), *East African Community Service Commission Regulations, reg.* 55 (*E.A.C.*).

[2] Damages – Master and servant – Wrongful dismissal – Servant paid in accordance with contract of service – No damages payable.

Editor's Summary

The plaintiffs were engaged by the defendant as motor drivers on contracts which provided that they could be terminated by the defendant on payment of one month's salary in lieu of notice.

Notices signed by the District Traffic Superintendent stated that it was intended to terminate the plaintiff's services in the public interest, and gave no reasons. The subsequent notices of dismissal were signed by the Chief Traffic Manager purporting to act for the General Manager. Both plaintiffs were paid one month's salary in lieu of notice.

The plaintiffs claimed damages for wrongful dismissal.

Held –

(i) the East African Service Commission acts by its authorised officers, who are defined as the Head of any Department or Administration;

(ii) there is no provision for the delegation of the General Manager's powers in reg. 55 Service Commission Regulations;

(iii) the dismissals were accordingly wrongful;

(iv) the plaintiffs had been paid their entitlement on dismissal and were therefore entitled to no damages.

Case dismissed.

Case referred to judgment

(1) *Addis v. Gramophone Co. Ltd*., [1909] A.C. 488.

Judgment

Mead J: The plaintiffs' claim from the defendant damages for wrongful dismissal on the ground that the basis of the dismissal was a false allegation that the two plaintiffs had been involved in theft from a railway goods shed. The sole issue between the parties was agreed at the commencement of the hearing as being:

Whether the plaintiffs' services had been wrongfully terminated or whether they were terminated in accordance with the law. This issue is not precisely the issue as raised by the plaint.

The plaintiffs were engaged by the defendant as motor drivers, the first plaintiff as from 11 February 1958 and the second plaintiff as from 2 December 1958 under letters of appointment. Both plaintiffs' services were terminated on payment of one month's salary in lieu of notice by letters dated

12 January 1968

signed by the Chief Traffic Manager for and on behalf of the General Manager of the defendant corporation.

The defendant raised a plea as to jurisdiction in the statement of defence. This was disposed of as a preliminary issue by the judgment of Phadke, J. on 28 October 1970, in which this court held that it had jurisdiction. That judgment set out the manner in which the defendant corporation came into being and the law applicable to the defendant's relations with its employees. There is no need for me to repeat that account. I would add that the account omits reference to Legal Notice 10 of 1967, for the reason, as appears from the record, that this notice was not brought to the attention of the judge. That notice vested in the East African Community Service Commission the powers previously vested in the Secretary-General. The Commission exercised the powers vested in it by its authorised officers. The Public Service Commission Act, s. 2 defines an authorised officer as the Head of any Department or Administration. In the case of the defendant that person is the General Manager.

By two notices dated 20 October 1967 addressed to both the plaintiffs the District Traffic Superintendent Kampala informed the plaintiffs that investigations into recent theft of goods had revealed the plaintiffs were directly involved in stealing consignments of goods. The notices stated that it was intended to terminate the plaintiffs' services in the public interest, and called upon the plaintiffs to show cause why such a course of action should not be taken. Both plaintiffs replied to these notices denying the accusation. By two letters both dated 12 January 1968 signed by the Chief Traffic Manager for and on behalf of the General Manager both plaintiffs were given notification of termination of their services in the public interest, under the provisions of Staff Regulations, r. G 12. Each plaintiff was paid a month's salary in lieu of notice.

For the plaintiffs it is contended that the procedure laid down by reg. 55 of the East African Common Services Organisation Service Commissions Regulations were not observed. I shall hereinafter refer to these Regulations as "the Service Commissions Regulations". Reg. 55 is as follows:

> "E. – Termination of Service on Grounds of Public Interest
>
> 55. If the authorised officer, having considered every report in his possession made with regard to an officer, is of the opinion that it is desirable in the public interest that the service of such officer should be terminated on grounds which cannot suitably be dealt with by the procedure laid down in any other provision of these Regulations, he shall notify in writing the officer specifying the complaints by reason of which the termination of his service is contemplated together with the substance of any report or part thereof that is detrimental to the officer. If, after giving the officer an opportunity of showing cause why his service should not be terminated, he is satisfied that the service of the officer should be terminated under this regulation he shall, in the case of an officer to whom Head B or C of this Part applies, forward to the Commission reports and the officer's reply together with his own recommendation. Where the officer is one to whom Head B or C of this Part does not apply, the authorised officer, if satisfied as aforesaid, may himself terminate the service of the officer under this regulation."

The two plaintiffs were on an annual salary of £600 per annum. The Heads B and C referred to in the Regulation do not apply to the plaintiffs as these Heads apply to other salary grades. The authorised officer was therefore himself empowered to terminate the services of the plaintiffs subject to compliance with the requirements of reg. 55.

The notices of 20 October 1967 specified the complaints and reports against

each plaintiff. The notices gave each plaintiff an opportunity to shew cause why his services should not be terminated. The notices in fact quote Staff Regulation G.12 (*a*) as the regulation under which the defendant was proceeding. This regulation is substantially the same as reg. 55 of the Service Commissions Regulations. The Staff Regulations are for information and guidance of the defendant's employees, they do not have the force of law. The legal regulations are those contained in the Service Commissions Regulations.

In the operation of regs. 53 and 54 of the Service Commissions Regulations provision is made for delegation of the powers thereby conferred. In the operation of reg. 55 there is no such provision for delegation. The notices of 20 October 1967 were not signed by or on behalf of the General Manager, the notices of termination were signed by or on behalf of the General Manager, the notices of termination were signed on his behalf by the District Traffic Superintendent. Counsel for the defendant did not quote any authority for the District Traffic Superintendent being authorised so to sign the notices of intention to terminate the two plaintiffs' services. Section G reg. 12 (*b*) of the Staff Regulations, to which I was referred, provides for delegation of the General Manager's powers, but I find no legal basis for such delegation to apply to the operation of reg. 55 of the Service Commissions Regulations. Counsel for the defendant submitted that the Chief Traffic Manager, who signed the notices terminating the two plaintiffs' services as on behalf of the General Manager, had implied power so to sign. Counsel did not refer the court to any authority for this proposition, nor was evidence led in its support.

There is a differentiation between heads D and E of the Services Commissions Regulations in that whereas under head D, regs. 51–54, provision is made for delegation, under head E, reg. 55, there is no such provision. In my view that is a clear indication that the legislature of the East African Common Services Organisation intended in the cases falling under the provisions of reg. 55 the authorised officer could only act personally. In the present case the authorised officer did not so act.

I hold that the termination of the two plaintiffs' services was not effected in accordance with the provisions of the Services Commissions Regulations and therefore the termination was wrongful.

Counsel for the plaintiffs did not refer the court to any authority for the basis on which damages should be assessed where an employee has been dismissed in circumstances such as the present case. The claim is founded on a breach of the contract of employment. By the notice of appointment the services of the two plaintiffs was terminable by the defendant either on three months' notice or on payment of one month's salary in lieu of notice. The first plaintiff Waibi has been paid a gratuity. No claim is made by the second plaintiff Sebagala for any payment of gratuity. From evidence led by the defendant I hold that Sebagala is not entitled to such payment.

The plaintiffs having been dismissed in accordance with the terms of their appointment, that is on payment of one month's salary in lieu of notice, but not in accordance with the requirements of the Service Commissions Regulations under which termination was purported to have been effected, what then is the damage suffered? The procedure laid down by reg. 55 was followed but by the wrong officers. Both plaintiffs were notified of the accusations against them and were given the opportunity to make a reply thereto, which both plaintiffs did. It has not been proved by the plaintiffs that had the proper officer dealt with the matter they would not have been dismissed. An employee cannot claim damages for wounded feelings, or the prejudicial effect upon his reputation and chances of finding other employment resulting from the manner of his dismissal. For that proposition I find the majority judgments in *Addis v. Gramophone Co. Ltd.*, [1909] A.C. 488 to be of strong persuasive value.

I hold the measure of damages to which both plaintiffs are entitled to be one month's salary, and, in the case of the first plaintiff Waibi a gratuity of Shs. 5,000/-, all of which payments were made by the defendant to the plaintiffs prior to the issue of the plaint. I dismiss the plaintiffs' claim for damages. Costs of the suit to the defendant.

Case dismissed.

For the plaintiffs:
LKM Sebalu (instructed by *Sebalu & Co*, Kampala)

For the defendant:
P Sebalu (Counsel to the Community) and *JM Khaminwa* (Principal Assistant Counsel)

Multi Holdings Ltd and another v Uganda Commercial Bank
[1971] 1 EA 238 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	17 March 1971
Case Number:	459/1970 (55/71)
Before:	Phadke J
Sourced by:	LawAfrica

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[1] Company – Receiver – Power to take court proceedings – Limits.

[2] Company – Receiver – Appointment – Company may challenge appointment in proceedings filed in its own name.

Editor's Summary

The plaintiff companies filed action for a declaration that the appointment by the defendant of receivers and managers under a debenture was void. The defendant objected that the plaintiffs could not maintain the action in their own names as all legal rights were vested in the receivers and managers and that proceedings should have been brought by directors or shareholders in their own names. The plaintiffs contended that the powers of the companies were only superseded in the conduct of their own business.

Held –

(i) the receivers and managers only had power to take legal proceedings for the getting in of property;

(ii) proceedings could be taken in the names of the companies challenging the appointment (*Moss Steamship Co. Ltd. v. Whinney* (1) considered);

(iii) the fact that directors or shareholders could sue individually was irrelevant.

Objection overruled.

Cases referred to judgment

(1) *Moss Steamship Co. Ltd. v. Whinney*, [1912] A.C. 254.

(2) *Cully v. Parsons*, [1923] 2 Ch. 512.

Judgment

Phadke J: In this suit, the two plaintiff companies (hereinafter collectively referred to as "the companies") seek, *inter alia*, a declaration that the receivers and managers appointed by the defendant (hereinafter referred to as "the bank") as debenture holder of the companies were wrongfully appointed. It is common ground that the bank appointed these receivers and managers in the purported exercise of its rights under two debentures, copies whereof are annexed to the plaint. The bank has raised a preliminary objection that the companies have no locus standi to bring and maintain

this suit in their own names in as much as their normal right and legal capacity so to do have been superseded by the powers of the receivers and managers in whom alone this right and legal capacity are now vested.

Mr. Binaisa for the bank referred to the following passage in the judgment of Lord Atkinson in *Moss Steamship Co. Ltd. v. Whinney*, [1912] A.C. 254;

> "The appointment of a receiver and manager over the assets and business of a company does not dissolve or annihilate the company, any more than the taking possession by the mortgagee of the fee of land to tenants annihilates the mortgagor. Both continue to exist; but it does entirely supersede the company in the conduct of its business, deprives it of all power to enter into contracts in relation to that business, or to sell, pledge, or otherwise dispose of the property put into the possession or under the control of the receiver and manager. Its powers in these respects are entirely in abeyance."

These observations, Mr. Binaisa submitted, showed that although the companies continued to exist, their powers were suspended as under the debentures the receivers and managers had become the sole agents of the companies as provided in cl. 8 of both debentures. Mr. Binaisa submitted that it was only through the receivers and managers that the companies could institute any legal proceedings, and that if any director or directors or shareholders of the companies wished to challenge the appointment of the receivers and managers such persons had to take proceedings in their individual names and capacities.

Mr. Wilkinson for the companies relied upon the same passage, quoted above, from *Moss Steamship Co. v. Whinney* (*supra*). He submitted that the observations of Lord Atkinson about a company being entirely superseded referred to the conduct of its business, or selling, pledging or disposing of property, and could not be construed as precluding a company from challenging by legal proceedings commenced in its own name the validity of the appointment of a receiver. He emphasised that the last sentence in that passage which referred to powers in "*these respects*" indicate that the powers which are suspended and are to remain in abeyance are to be limited to such acts as previously mentioned in the passage. He submitted that the companies by bringing this suit were not in any way encroaching upon the conduct of business and business contracts or dealing with property in the possession or under the control of the receivers and managers.

The passage quoted above must be construed in the context of the facts of, and the real issue in, *Moss Steamship Co. v. Whinney*. In that case, Whinney was the receiver, appointed by order of court, of Ind Coope & Co. Ltd., and was conducting its business. He shipped goods of the company by the appellant's steamer under a bill of lading which gave the appellants a lien on such goods, not only for freight due in respect of them but also for any previously unsatisfied freight. The appellants claimed a lien in respect of previous unpaid freight and Whinney refused to pay the additional claim. It was held by majority that upon the true construction of the bill of lading, Whinney personally and not Ind Coope & Co. Ltd. was the party liable under the bill of lading, and the appellants were not entitled to a lien against him for freight unpaid by the company. The facts of the case related to a business contract made by a receiver and the issue was whether he personally or the company was liable under a term of the contract. In my opinion, the issue now before me is altogether different, and I do not think that the general observations of Lord Atkinson, made by way of explanation and illustration, can be relied upon by either party as laying down some firm proposition of law.

Where a receiver is appointed out of court, whether he is the agent of the

company or of the debenture holders is a matter of construction of the instrument authorising his appointment (*Cully v. Parsons*, [1923] 2 Ch. 512), and in such a case his powers and duties must depend on the terms of his appointment. Where authority is given to do particular acts, followed by general words, the general words are restricted to what is necessary for the performance of the particular acts. General words do not confer general powers, but are limited to the purpose for which the authority is given, and are to be construed as enlarging the specific powers only when necessary for that purpose. Moreover, the authority, whether express or implied, of every agent is confined within the limits of the powers of his principal.

The opening words of cl. 8 in both the debentures annexed to the plaint are as under:

> "A receiver and manager so appointed shall be the agent of the company and the company shall alone be liable for his acts defaults and remuneration and he shall have authority and be entitled to exercise the powers hereinafter set forth in addition to and without limiting any general powers conferred upon him by law:"

Then follow six sub-clauses giving specific powers and a seventh sub-clause giving general powers, and sub-clauses (*a*) and (*g*) which are material are as under:

> "(*a*) to take possession of and get in all or any part of the property hereby charged and for that purpose to take proceedings in the name of the company or otherwise as may seem expedient;
>
> (*g*) to do all such acts and things as may be considered to be incidental or conducive to any of the matters and powers aforesaid and which the receiver can or may lawfully do as agent for the company."

I will now consider Mr. Binaisa's submission that the companies should have instituted this suit through the receivers and managers, as agents. In the first place, I cannot imagine a receiver appointed by a debenture holder instituting a suit to have his own appointment invalidated. But apart from this, in this particular instance did the receivers and managers have power to act as the companies' agents for bringing such a suit? Clause 8 (*a*), quoted above, which gives powers to take possession of and get in property, permits the taking of legal proceedings for that purpose only, and cl. 8 (*g*), also quoted above, which gives the general power, must be construed as being exercisable only when incidental or conducive to "any of the matters aforesaid".

In my opinion, under the terms of the appointment, the powers conferred upon the receivers and managers did not include the power to take legal proceedings in respect of matters not specifically mentioned, and I am unable to agree with Mr. Binaisa that the companies could have filed this suit through them.

Mr. Binaisa's submission that the directors or shareholders could have sued in their individual capacities is no more than a suggestion of an alternative remedy open to some parties other than the companies, and the suggestion does not provide an answer to the real question in controversy, namely whether the companies can sue in their own respective names.

I have not been referred to and have not found any case similar to this suit. Without discussing the merits of the plaint and the defence, it seems to me that the companies have a statable and arguable grievance against the bank over the validity of the appointment of the receivers and managers appointed by the latter. I consider that it would be unjust to reject out of hand the grievance of the companies for reasons which are nebulous and not supported by any clear authority.

I overrule the preliminary objection, and direct that the suit be now set down for further hearing upon the merits. The costs of this preliminary objection shall be costs in the cause.

Objection overruled.

For the plaintiffs:
PJ Wilkinson QC and *SH Dalal* (instructed by *Singh & Treon*, Kampala)

For the defendant:
GL Binaisa QC and *Miss Lubulwa* (instructed by *Binaisa & Co*, Kampala)

Mohamed v Attorney-General and another
[1971] 1 EA 241 (HCK)

Division:	High Court of Kenya at Nairobi; Court of Appeal at Nairobi
Date of judgment:	9 April 1969
Case Number:	950/1968 (22/70); 26/1969
Before:	Trevelyan J; Sir Charles Newbold P, Duffus V-P and Spry JA
Sourced by:	LawAfrica

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[1] Limitation of actions – Proceedings against government – Public duty – Whether vehicle being driven in the course of public duty – Duty of driver – Public Officer's Protection Act (*Cap.* 186), *s.* 2 (*K.*).

Editor's Summary

The second defendant was a government driver who was instructed to drive a district officer in a government vehicle. The district officer was in charge of transport for the district and was going to inspect a damaged vehicle and to buy spares. The defendants contended that the action was barred by effluxion of time and the issue was whether the second defendant was driving in the public interest.

Held – in the High Court

(i) transport is essential for the administration of the country and it requires to be maintained;

(ii) the second defendant was driving in the public interest.

Case dismissed.

Cases referred to judgment

(1) *Greenwell v. Howell*, [1900] 1 Q.B. 535.

(2) *Bradford Corporation v. Myers*, [1916] 1 A.C. 242.

(3) *Clarke v. St. Helens Borough Council* (1916), 85 L.J.K.B. 17.

(4) *The Danube II*, [1921] P. 183.

(5) *Griffiths v. Smith*, [1941] 1 All E.R. 66.

(6) *Woodward v. Mayor of Hastings*, [1945] K.B. 174.

(7) *Firestone Tire and Rubber Co.* (*S.S.*) *Ltd. v. Singapore Harbour Board*, [1952] A.C. 452.

(8) *Reeves v. Deane-Freeman*, [1953] 1 Q.B. 459; [1952] 2 All E.R. 506.

(9) *Attorney-General v. Hayter*, [1958] E.A. 393.

Judgment

Trevelyan J: A district officer in charge of transport left Garissa (the location of which I think I am entitled judicially to know) in a land rover in the course of his duties as transport officer. He was to inspect a damaged government car with a view to making a report about it to a government office in Nairobi where he was also to buy some motor spares. The land rover was being driven by the second defendant, a government employee engaged and working as one of the Provincial Commissioner's drivers. The two men did not reach Nairobi because the land rover was involved in an accident. The plaintiff claiming to have been injured in the accident and considering the second defendant to have been liable for it, brought this suit. In this preliminary trial it falls to be decided as a point of law whether the action is time barred by reason of the provisions of the Public Officers Protection Act (Cap. 186).

It is curious that the exact point does not seem to have been decided before but such appears to be the case. Be that as it may be it is clear that the local enactment is derived from the English Public Authorities Protection Act 1893, as amended (though thankfully repealed) so that English authorities may be referred to. I have read a good number of cases and I have also read an article beginning on p. 341 of the 39th volume of the Law Quarterly Review (1923) and the chapter starting on p. 192 of Preston and Newsome's Limitation of Actions, 3rd Edn., and though I have found it none too easy to come to a decision, for it has necessitated that delicate and difficult task of drawing a line, I think that the defence is entitled to the protection afforded by the Act. I do not intend to refer to all the cases I have read for I think that it will only be necessary to mention or to quote from five or six of them and, of these, I will first deal with *Clarke v. St. Helen's Borough Council* (1916), 85 L.J.K.B. 17 for I think that the plaintiff relied on it as much as on any other case.

In this case the judges held that a man engaged merely to drive a car where he is told is not necessarily engaged in the exercise of any statutory duty, a proposition with which I respectfully agree, but the decision and dicta expressed must be considered in relation to the facts of the case which are quite different from those before us where we are concerned, not with a local authority but government. The local authority was, by statute, constituted a water authority and the car concerned was purchased not for the water undertaking but for the council's general purposes. The judges were not prepared to hold that the driver was anything more than a factotum who must do whatever and go wherever he was told. But they recognised that a driver might be protected for the word "necessarily" was used. The decision has not been criticised but has not often been referred to, or so I think to be the case.

I do not believe that it can be doubted that the Republic and its servants are protected by the statute where duties in the national interest or for the public benefit are being carried out and I would draw attention to such cases as *Greenwell v. Howell*, [1900] 1 Q.B. 535, *The Danube II*, [1921] P. 183 and *Attorney-General v. Hayter*, [1958] E.A. 393. Not every exercise of a public duty is protected.

In the locus classicus *Bradford Corporation v. Myers*, [1916] 1 A.C. 242 at p. 251 Viscount Haldane expressed the view that it was difficult to know where the line between protection and non-protection should be drawn but thought that it depended on whether the act was or was not "the immediate and necessary outcome of a duty or authority in a particular case". In *Griffiths v. Smith*, [1941] 1 All E.R. 66 at p. 76 Viscount Maugham said:

> "It is sufficient to establish that the act was in substance done in the course of exercising for the benefit of the public an authority or a power conferred on the public authority not being a mere incidental power, such as a power to carry on a trade. The words in the section are 'public duty

> or authority', and the latter word must be taken to have its ordinary meaning of legal power or right, and does not imply a positive obligation."

But one must remember, as Lord Tucker pointed out in *Firestone Tire and Rubber Co.* (*S.S.*) *Ltd. v. Singapore Harbour Board*, [1952] A.C. 452 at p. 468, that the reference to carrying on trade must have been made with the facts of the *Bradford Corporation* case in mind.

It seems to me, then, that as the second defendant was certainly engaged in the performance of his public duties as a driver, the question for decision is whether he was driving in the public interest or merely doing something subsidiary thereto. The status of the servant concerned is not the criterion; a cleaner was held to be protected; *Woodward v. Mayor of Hastings*, [1945] K.B. 174. It has been conceded that had the district officer been driving he would have been protected. (I may be wrong about this, but I think that most of the cases I have looked at did not have the particular servant as a defendant.)

The case from which I derive most help and which is the nearest to the present case is that of *Reeves v. Deane-Freeman*, [1952] 2 All E.R. 506 and [1953] 1 Q.B. 459. At first instance Lord Goddard, C.J. set out Viscount Maugham's words as they appear above and went on:

> "It was for this reason that, before deciding, I required an admission, not only that the defendant was on duty but also as to the nature of the duty for I can conceive that, if, let us say the commanding officer of a battalion or depot had to attend to some social function . . . for which it might be proper for him to use an army car, it might be that the driver would not be acting in pursuance of a public duty . . . The evidence showed that on the day in question the defendant was on a journey from the army garage to Waterloo Station for duty in connection with the railway transport officer and that his journey had been authorised by the officer commanding the transport company. It seems to me, therefore, clear, that this was a journey which he was required by his military duty to undertake and that the duty was in connection with army service, and I am of opinion that he is protected by s. 21 (1) of the Limitation Act 1939, and that this action fails."

On appeal, at p. 464, Somervell, L.J. quoted Lord Sterndale, M.R. from the *Danube II* case (*supra*) as follows:

> "It seems to me that a man who, under orders of the Crown . . . is taking a battle target to Scapa Flow for the purposes of the fleet, is undoubtedly engaged in a public duty. Perhaps no member of the public could complain if he did not take it; but certainly he was doing what was for the benefit of the public, and under the authority of the Crown . . ."

He then went on to quote Scrutton, L.J. as follows:

> "I share the difficulty that the House of Lords felt in *Bradford Corporation v. Myers*, in knowing exactly what the limit is in the Public Authorities Protection Act between those acts which are protected by the measure of limitation and those acts which are not. But on the best consideration I can give to the matter it appears to me that the Admiralty were under a public duty to make provision for public defence; that in carrying out the particular measure of sending a battle target to Scapa Flow by tug, they were carrying out that public duty; and that the neglect of the servant in charge of the tug was a 'neglect in the execution of any such duty' within the words of the Act. The particular action, therefore, is *prima facie* within the Public Authorities Protection Act."

He went on to say at p. 465:

> "The plaintiff's next point was that a soldier, as here, driving a lorry on a highway, should be regarded as not in the execution of his duties, but the accident should be regarded as caused by a breach of a private right. I find great difficulty about that. In all the ordinary cases, of course, the plaintiff is complaining of a breach of his private rights. Once one comes to the conclusion to which I have come that the neglect was in the carrying out of duty as is indeed the commonest case which occurs where the protection of the Act is invoked, I do not think that that submission avails the plaintiff. Once you find that the claim is based on some act or neglect in carrying out duties, it seems to me that having regard to the cases which I have cited, the Act applies."

Birkett, L.J. quoted Lord Haldane in the *Bradford* case thus:

> "I do not think that they – i.e. the words of the Act – can be properly extended so as to embrace an act which is not done in direct pursuance of the provisions of the statute or in direct execution of the duty of authority . . ."

and went on to say:

> "The Lord Chief Justice, therefore, was dealing with it as a case in which the defendant was clearly carrying out his military duty, and he was careful to exclude, by an ascertainment of the real facts, anything which might suggest that this was a duty outside his recognised military duties."

And Romer, L.J. in simple, direct language said:

> "It is plain that a public authority can only act through its servants or its agents, whether it be in navigating a ship or driving a lorry . . . I should have thought (it) . . . clear . . . that, provided that a representative of a public authority is told to perform an act of public duty, then, if the other elements are present which are requisite to attract the operation of the Act, it will be attracted whatever be the position of employment of the representative in question."

The contest is as to whether the second defendant was performing a public duty for the benefit of the public or merely doing something subsidiary thereto. It seems to me that in administering the country, transport is essential – particularly in a place like Garissa – and if transport is essential it must be kept in trim. To be in good trim there must be adequate and appropriate spare parts. A transport officer must, in the public interest and benefit, inspect and report on damaged vehicles. It is no doubt better in most cases to inspect the damage in situ. To get there the officer could drive himself but that is a waste of energy. It is surely better for a driver to drive so that the officer can arrive fresh for the work in hand. That is why drivers are employed. It has been suggested that private transport could have been used. Perhaps. But why should the Provincial Commissioner Garissa be required to rely thereon? We do not of course, know whether anything suitable was available.

I dislike drawing lines and am prepared to go no further than to say that, as I read the facts of the case, the second defendant was performing a public duty benefiting the public, rather than that he was doing some private duty for the district officer or something subsidiary thereto in driving the officer to see, with a view to reporting upon, the damaged vehicle. I also think that the purchase of spares is within the same category but I leave open whether it is in the national interest to have to make the report in person in Nairobi, though one may, perhaps, assume that the journey would not have been undertaken simply for that. It follows that I decide the preliminary issue in favour of the defence.

Case dismissed.

For the plaintiff:
DN Khanna (instructed by *Khanna & Co*, Nairobi)

For the respondents:
TBH Phillips (State Counsel)

Editor's Summary

Against this decision the plaintiff appealed.

Held – on appeal

(i) the duty of a public officer to perform the functions of his office properly and correctly is a public duty;

(ii) the driver was engaged in the execution of a public duty.

Appeal dismissed.

No cases referred to in judgment

13 January 1970. The following considered judgments were read.

Judgment

Sir Charles Newbold P: This is an appeal against a decision of the High Court dismissing a claim for damages, arising out of the alleged negligent driving of a government vehicle, brought by the appellant against the Attorney-General and the driver of the vehicle. The plaint was not filed until one year and two months after the accident and the defendants pleaded that under the Public Officers Protection Act (Cap. 186) the action had not been filed in time. The issue of whether the Act applied was tried as a preliminary issue and for that purpose some evidence was led.

The relevant facts are that the driver was employed by the Government of Kenya as one of the drivers in the Provincial Administration. On the day in question he was instructed to drive the district officer in a government vehicle from Garissa to Nairobi. The district officer was travelling to Nairobi to buy articles for Government use and en route was to report on an accident to another vehicle. In the course of such journey to Nairobi the accident in respect of which the action was brought occurred. Section 2 (1) of the Act is as follows:

> "Where any action . . . is commenced against any person for any act done in pursuance or execution or intended execution of . . . any public duty . . . or in respect of any alleged neglect or default in the execution of any such . . . duty . . .
>
> (*a*) the action . . . shall not lie or be instituted unless it is commenced within six months next after the . . . neglect or default complained of . . ."

Mr. Khanna, in an able argument, has submitted that the duty being performed by the driver at the relevant time was not a public duty but a private duty arising out of the contractual relationship existing between the driver and his employer, the Provincial Administration. Mr. Khanna has accepted that the driver is a public officer. Having regard to the definition of public officer in s. 3 of the Interpretation and General Provisions Act (Cap. 2) it is clear that the driver is a public officer and, indeed, unless he was a public officer, by reason of s. 4 (6) of the Government Proceedings Act (Cap. 40), no action could be brought against the Attorney-General. It is submitted that before a duty can be said to be a public duty it must be owed by the performer of the duty directly to all members of the public alike and that all the duties of a public officer are not necessarily public duties. It is also submitted that, in order to determine whether there was neglect in the execution of a public duty in this case, the duty to be considered was the duty of the driver and not the duty of the Government officer he was driving. In general I would agree with both these submissions, but I do not think that the determination of what is a public duty should be dependent upon any rigid test. For example, a duty may be owed directly to all persons alike even though the person executing the duty may not

come into contact with any member of the public. Such a position would arise in the case

of a Government chemist who is responsible for the production of a medicine issued to the public by the Government though he may, in the execution of his duty, have no direct contact with any member of the public.

While I accept that all the duties of a public officer are not necessarily public duties, I am satisfied that every public officer owes directly to all members of the public a duty, which can only be a public duty, to perform the duties of his officer properly and correctly. Indeed, that is the basic reason for the offences of abuse of office and neglect of official duty contained in ss. 101 and 128 of the Penal Code. Thus the driver of this vehicle owed a duty directly to the public to execute the duties of his office without neglect and this duty is a public duty. Whether any particular act the driver may perform is in execution of a duty of his office is a question of fact. In this case, as the driver was instructed to drive the district officer and the district officer was clearly on government business, thus performing his public duty, I have no hesitation in coming to the conclusion that the driver was in the circumstances of this case engaged in the execution of a public duty. Accordingly the neglect complained of arose in the execution of a public duty and the Act applies.

For these reasons I would dismiss the appeal with costs. As the other members of the Court agree it is so ordered.

Duffus V-P.: I agree with the judgment of my Lord President.

Spry JA: I also agree.

Appeal dismissed.

For the appellant:
DN Khanna (instructed by *Khanna & Co*, Nairobi)

For the respondents:
TBH Phillips (State Counsel)

Chimanbhai v Republic
[1971] 1 EA 246 (HCK)

Division:	High Court of Kenya at Mombasa
Date of judgment:	30 May 1970
Case Number:	156/1969 (164/70)
Before:	Kneller J
Sourced by:	LawAfrica

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[1] Criminal Practice and Procedure – Charge – Duplicity – Separate acts of handling may be joined if one transaction.

[2] Criminal Practice and Procedure – Joint trial – Offences similar only – Joinder irregular.

[3] Evidence – Unsworn statement by accused – Incorrect statement cannot convict in absence of evidence.

Editor's Summary

The appellant and his nephew were jointly charged in a single count with having handled stolen goods, a tape recorder and a pair of binoculars, which were stolen on different days and found ten weeks later, one in the appellant's house and one in his shop. The appellant made an unsworn statement and called his nephew to give evidence in his favour. The nephew had earlier told the police that he had bought the tape recorder and he gave evidence to this effect. The appellant was convicted and appealed, alleging misjoinder of of accused, and duplicity.

Held –

(i) it is possible to join charges of handling stolen property where the handlings form part of the same transactions;

(ii) there was no evidence joining the two transactions;

(iii) the accused should not have been tried together as the offences were only similar in kind;

(iv) the appellant's statement could not convict him when there was not enough evidence against him.

Appeal allowed.

Cases referred to judgment

(1) *Tumahole Bereng v. R.*, [1949] A.C. 253.

(2) *R. v. Michalski* (1955), 39 Cr. App. R. 22.

(3) *Hobson v. Impett* (1957), 41 Cr. App. R. 138.

(4) *Mussajee v. R.*, [1959] E.A. 711.

(5) *Bassan v. R.*, [1960] E.A. 854.

(6) *Aguthu v. R.*, [1962] E.A. 69.

(7) *Nazir v. R.*, [1962] E.A. 345.

(8) *Noon v. Smith*, [1964] 1 W.L.R. 1450.

(9) *Frost and Hale v. R.* (1964), 48 Cr. App. R. 284.

(10) *David Mwangi Githua v. R.*, Kenya H.C., Cr. App. 840 of 1969 (unreported).

Judgment

Kneller J: Chimanbhai Bakorbhai Patel was convicted by a Mombasa resident magistrate on 30 October 1969, of handling stolen property contrary to s. 322 (2) of the Penal Code (Cap. 63) and sentenced to seven years' imprisonment with hard labour. He appeals against conviction and sentence.

The trial began on 2 September 1969, when the appellant was charged with his nephew, Rajendra Chimanbhai Patel, and each pleaded not guilty. The particulars of the offence were these:

> "On or about 7 July 1969, at Mombasa within the Coast Province you jointly handled stolen goods (otherwise than in the course of stealing) in that you dishonestly received the said goods, namely, one tape recorder, make Philips, model No. 3303 serial No. 661169, and one binocular serial No. 8144845 make Hansolot Wetzlar, Diagon 7 × 50, of the value of Shs. 2,020/-, knowing or having reason to believe the same to have been stolen."

The uncle was 40 and the nephew 23 at the time and they both worked in the same shop, the Novelty Studio, and lived in the same house in Mnazi Moja.

At the close of the case for the prosecution the advocate for Rajendra persuaded the magistrate there was no case to answer and Rajendra was acquitted. The magistrate ruled that the prosecution had not established any relationship between the tape recorder and field glasses and Rajendra, the nephew. He was right: on the evidence there was no case on this charge against Rajendra.

The trial magistrate did not amend the charge or its particulars and the appellant was put on his defence to it. He made an unsworn statement relating to the tape-recorder and called Rajendra, who gave evidence about the tape-recorder and the exhibited field glasses, and an Italian guitarist, Canavano, who swore he had sold Rajendra in early 1969 another pair of field glasses, a present from his Arusha uncle.

This is what the appellant said:

> "I live at Mnazi Moja. My nephew Rajendra lives with me. He bought this tape-recorder without my knowledge. I do not even know when it was bought. When the boys brought the tape-recorder to the house to play I was not at home. I was at the shop. He bought it for himself."

The material portions of Rajendra's evidence were:

> "I am 23 years old . . . I live at Mnazi Moja which is also known as Ganjoni with accused 1.
>
> There are three rooms in this flat. I live in one room and accused 1 lives in another room and the third room is occupied by accused 1's children.
>
> I have seen the binoculars exhibit 3 before and its case exhibit 4 and the tape-recorder.
>
> I saw them with an African at the shop. He wanted to sell them. It was in the afternoon. Accused 1 was not present. I bought these from the African. I paid Shs. 275/- for the tape-recorder. I paid Shs. 65/- for the binoculars exhibit 3 . . .
>
> I took the tape-recorder home for playing. I and accused's sons played the tape-recorder at home.
>
> . . .
>
> On 16 August 1969 I made a statement to the police and told them exactly the same story as I told today."

Cross-examined he added:

> ". . . I bought these things myself."

The magistrate reviewed all this evidence in his judgment and then made these findings.

The tape-recorder was stolen from Clara Callaghan on 24 April 1969, and found by Assistant Inspector of Police Mwachi on 4 July 1969, two and a half months later, in the appellant's house. The appellant told the officer the tape-recorder was his. His unsworn statement in the trial was therefore clearly an after thought. He also rejected the evidence given about the tape-recorder by Rajendra, formerly the first accused and then the first defence witness. He was trying to assist the appellant by fabricating his story about its purchase from an unknown African. He did so at a convenient stage after comfortably securing an acquittal on the prosecution's failure to make out a sufficient case to answer against him. The nephew never volunteered this information earlier to the police even when he assisted the police in making the list of the articles taken by the police from the shop and the house of the appellant. Had he done so there would have been evidence of it. The appellant's attempt to shift the ownership of the tape-recorder from himself to Rajendra provided evidence of his guilty knowledge.

The history of the binoculars was traced in the judgment. They were stolen from George Secone at Diani on 22 May 1969, and found in the Novelty Studio on 7 July 1969, as well. No findings were made about these binoculars in his judgment by the magistrate.

It is clear, however, that these separate and different items of property were stolen from different people on different dates in different houses and found in different places in Mombasa on the same day two and a half months later.

We do not know what was in the statement in the police file for the prosecutor. A cautioned statement from each accused was not admitted by the magistrate because he found they were taken without any charge being made though at that time the police had decided to charge them. It is difficult, therefore, to declare

that the charge should have been drafted to show different handling in different counts: *R. v. Michalski* (1955), 39 Cr. App. R. 22, 26.

It could not be said also, for the same reason, that these different acts, if they were separate acts of handling, did not form component parts of a whole and so could make up one transaction. If they did, the two men could be joined in one charge under s. 134 et sequentes Criminal Procedure Code (Cap. 75), *R. v. Nathani*, [1965] E.A. 777, at p. 780.

Suppose, for example, the statements of the witnesses in the police file showed the appellant and Rajendra bought together these stolen articles at the same time from the same African and believed, when they did so, they were stolen there would have been no duplicity and no misjoinder of persons in this case: *R. v. Nathani* (ibid): or so I think.

On the recorded evidence, however, there was duplicity. Even if the tape-recorder and binoculars were received at one time there was other evidence to make them different acts in law. *Mussajee v. R.*, [1959] E. A. 711.

There was also, in my view, misjoinder of these two men. They were offences which were similar in character only, according to the evidence, and that will not do. *Nazir v. R.*, [1962] E.A. 345, at p. 352.

Duplicity and misjoinder were not raised by the appellant at the trial. He was, with the draftsman, of the charge, and the magistrate, without depositions and so could not foresee what the evidence would be or should be.

Duplicity and misjoinder are, however, only irregularities. The trial is not inevitably void. *R. v. Nathani* (*supra*), at p. 780, *Nazir v. R.* (*supra*), at p. 358.

All this occasioned, in my opinion, a failure of justice. The appellant dealt in his unsworn statement with the tape-recorder only but his witnesses were led on the subject of the binoculars as well. The magistrate made no findings about the binoculars and did not convict the appellant of handling them. They seemed to have faded out of the picture though they were still in the charge after the prosecution case. The defence was clearly muddled by all this. I am unable to say that had these mistakes not occurred the magistrate would have reached the same conclusion. Consequently it is impossible to declare that there has been no failure of justice. *Aguthu v. R.*, [1962] E. A. 69, at p. 72.

The magistrate did not make any finding that the appellant handled this stolen tape recorder otherwise than in the course of stealing. This was implicit in the actual verdict on this evidence and as a ground of appeal had no merit.

He misdirected himself when he wrote that Rajendra never told the police he bought the tape-recorder. He did in his statement of 16 August 1969. This misdirection led him to reject Rajendra’s evidence. There were no other grounds set out in the judgment for his not believing it. Rajendra’s account supported what the appellant said about the tape-recorder at the trial. It was a material misdirection.

The magistrate found guilty knowledge on the appellant’s part because he said to the officer in his house the tape-recorder was his and at the trial it was his nephew’s property. There was not, I think, any serious challenge to the lower court’s finding that the appellant said in his house the tape recorder was his. His advocate never challenged it at the trial. There was no reason to suppose that the appellant did not use those words in their ordinary sense and mean what he said. There was an attempt to suggest he meant it was in his house or it belonged to his family which was a fruitless exercise in semantics. Nor was it in the least profitable to suggest he said these words to shield his nephew. He never covered up for him when the binoculars were found. He said, at once, they belonged to Rajendra. The trial magistrate was entitled to

disregard any extravagant or remote possibility which had not been put forward by way of explanation and to confine his consideration to the various hypotheses that were reasonable and normal. *Nazir v. R.* (*supra*), at p. 348.

The resident magistrate found the tape-recorder was stolen property and in the possession of the appellant. He made no mention of its control: see *Hobson v. Impett* (1957), 41 Cr. App. R. 138. The appellant said it was his which cured the omission.

Then he came to proof of guilty knowledge. He did not, as is usual, in such cases, make any finding of it on the doctrine of "recent possession". He may have thought a broken tape-recorder of that value in Mombasa often changes hands in a period of two to three months. He was content to ascribe guilty knowledge to the appellant on the contradictory statements of to whom the tape-recorder belonged. This was a robust decision. The evidence was not there to support it.

Let me recapitulate. He told the policeman that it was his. At the trial he said Rajendra bought it and then fetched it to his house. They are statements which are just reconcilable. If this explanation was consistent with innocence he had to be convinced it was untrue.

There was nothing else in the circumstances in which the appellant was found in possession of the property, according to the judgment, which would lead a reasonable person to draw the inference that it had been stolen: *Noon v. Smith*, [1964] 1 W.L.R. 1450.

What the appellant said at his trial was, in an academic sense, not evidence. The magistrate could attach what weight to it he considered appropriate. He was supposed to take it into consideration in deciding whether the prosecution had made out its case so that he felt sure the appellant was guilty. *Frost and Hale v. R.* (1964), 48 Cr. App. R. 284, at p. 291.

The investigation of this offence and the evidence led in the trial were brief. No one seems to have questioned the appellant or Rajendra enough. I do not believe there was enough material to sustain a verdict against the appellant. The magistrate has, with respect, added this false statement to the paucity of the prosecution case. This was going too far. Lord MacDermott said in *Tumahole Bereng v. R*, [1949] A.C. 253, at p. 270:

> "The giving of false evidence may bear against an accused and assist in his conviction if there is other material sufficient to sustain a verdict against him. But if the other material is insufficient either in its quality or extent they cannot be used as a make-weight."

See also *Bassan v. R*, [1960] E. A. 854, 861.

I turn to the sentence. Probation, absolute and conditional discharge were open to court below on this offence: *David Mwangi Githua v. R.*, Criminal Appeal 840 of 1969, Mwendwa, C. J. and Simpson, J. (unreported). It may be, of course, that having seen the appellant and presided over his trial he felt bound to sentence him to imprisonment in which event the statutory minimum one was correct. It is not clear.

It is certain the conviction and sentence cannot stand. A retrial, in all the circumstances, would not be appropriate.

Appeal allowed.

For the appellant:
AR Kapila and *S Ghalia*

For the respondent:
Rana (Senior State Counsel, Kenya)

Fourways Travel Services (Nairobi) Ltd v Associated African Dock Enterprises (Kenya) Ltd

[1971] 1 EA 251 (CAM)

Division:	Court of Appeal at Mombasa
Date of judgment:	23 November 1970
Case Number:	40/1970 (187/70)
Before:	Spry Ag P, Law Ag V-P and Lutta JA
Sourced by:	LawAfrica

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[1] Assignment – Debt – Notice of assignment valid although amount incorrectly shown – Indian Transfer of Property Act 1882, *s.* 131.

[2] Assignment – Debt – Single document may be both assignment of debt and notice of assignment – Indian Transfer of Property Act 1882, *ss.* 130, 131.

[3] Assignment – Debt – Notice – Address – Postal address of transferee sufficient.

[4] Evidence – Document – Summary of accounts not admissible – No attempt to obtain originals.

Editor's Summary

The respondent obtained judgment against the appellant for Shs. 42,000/- on a debt allegedly assigned to it by a third party. A single document was produced which was alleged to be both the assignment itself and notice of it to the debtor. The document stated the debt as Shs. 61,337/-. The appellant had attempted to produce a summary of its accounts in order to show that the debt had been repaid, the originals being with Central Bank.

The appellant contended that a single document could not be both assignment and notice thereof, that a notice with only a postal address was not a good notice, that the appellant had had no notice of the assignment, that the summary of accounts should have been admitted, alternatively that the appellant should have been allowed an opportunity to apply for an adjournment, and that the case should have been dismissed because of the incorrect statement of the amount of the debt.

Held –

(i) a single document may be both an assignment and notice to the debtor;

(ii) the address of the transferee may be a postal address (*Re W. W. K. Nadiope* (4) distinguished);

(iii) the debt transferred was the same debt owed by the appellant although the amount was incorrectly stated;

(iv) the incorrect statement of the amount did not invalidate the notice of assignment (dictum of Denning, L.J., in *W. F. Harrison & Co. Ltd. v. Burke* (2) disapproved);

(v) the summary of accounts was properly rejected;

(vi) the judge did not have to allow an opportunity to apply to an adjournment as a previous adjournment had been for the purpose of obtaining the original accounts.

Appeal dismissed.

Cases referred to judgment

(1) *Ram Nath Gupta v. Mohomed Rawji* (1954), 27 K.L.R. 43.

(2) *W. F. Harrison & Co. Ltd. v. Burke*, [1956] 2 All E. R. 169.

(3) *R. v. Bishop*, [1959] 2 All E.R. 787.

(4) *Re W. W. K. Nadiope*, [1959] E.A. 950.

23 November 1970. The following considered judgments were read.

Judgment

Law Ag V-P: This appeal arises out of a suit in which the respondent obtained judgment against the appellant for Shs. 42,000/- in respect of a debt allegedly due by the appellant to a company known as Nederland Transport and Maritime Agencies Ltd. (hereinafter referred to as "Nederland"), which debt was said to have been assigned by Nederland to the respondent.

By s. 130 of the Indian Transfer of Property Act 1882 which applies in Kenya, the transfer of an actionable claim such as a debt shall be effected only by the execution of an instrument in writing signed by the transferor, whereupon the rights and remedies of the transferor vest in the transferee, who can thereafter sue in his own name without obtaining the transferor's consent or making him a party to the suit. Upon notice being given to the debtor by the transferor, the debtor can look only to the transferee for a discharge. By s. 131 of the Act, every notice of transfer shall be in writing, signed by the transferor or, if he refuses to sign, the transferee, and shall state the name and address of the transferee.

In the suit the subject of this appeal the respondent relied on a single document for the purposes of both ss. 130 and 131, that is to say as having effected the transfer as well as having given notice thereof to the appellant. So much turns on the form, contents and effect of this document that it is necessary to set it out in full:

> "Fourways Travel Service (Nairobi) Ltd.
>
> Nederland Transport & Maritime Agencies Ltd. hereby notify you that the debt of Shs. 61,337/05 due by you to us has been this day assigned for valuable consideration to Associated African Dock Enterprises (Kenya) Ltd. of P. O. Box 5080, Mombasa, who have accepted the assignment and whose receipt to you will be a valid discharge to you.
>
> Signed on behalf of Nederland Transport
> and Maritime Agencies Ltd. by
> C. Rynveld.
> Signed on behalf of Associated African
> Dock Enterprises (Kenya) Ltd. by
> A. D. J. Brantenaar."

The trial judge held that this document operated both as an assignment and as notice thereof to the appellant. This holding is challenged in the first ground of the memorandum of appeal. Mr. Gautama for the appellant submitted that the document was notice of assignment, but was not itself an instrument of transfer, although signed by both the transferor and transferee. He submitted that the Act referred, in ss. 130 and 131, to two separate documents, and that no instrument of transfer had been produced in this case. There is persuasive authority both in England and India, where the law on the point is similar, to the effect that a legal assignment of a debt can be made by a writing addressed by the creditor to the debtor. In this case, the document was signed both by the creditor and the assignee, it acknowledged the fact that the debt had been transferred, and it gave notice of that fact to the debtor. In my view the document operated both as an assignment such as to satisfy the requirements of s. 130 and a notice, and I consider that the judge was right in so holding. Mr. Gautama also objected to the document being considered a valid notice because

he contended that it did not correctly state the address of the transferee. He relied on *Re W. W. K. Nadiope*, [1959] E. A. 950, which laid down that a post office box number in a bankruptcy notice was not a sufficient address, since it was not an address at which the creditor could be found. That was a decision based on the English Bankruptcy Rules, as applied to Uganda. I do not consider that it affords any assistance in interpreting s. 131 of the Transfer of Property Act, which requires a notice of assignment to state the name and address of the transferee. In this case the notice stated the transferee's name, and its address as "P.O. Box 5080 Mombasa". I consider that to be a sufficient compliance with s. 131. Buildings in Kenya are often unnumbered and it is not practicable in many cases to give a physical address as opposed to a postal address. In my view the first ground fails.

The second ground is to the effect that the judge erred in holding that Mr. Rynveld's purported receipt of the notice of assignment and his acknowledgement of the debt to the extent of Shs. 42,000/- must be regarded as acts of the appellant. The defence was amended in the course of the trial so as to allege fraud against Mr. Rynveld in these respects. Mr. Rynveld died in 1966 and could not therefore defend himself against these allegations, the basis of which was the evidence of Mr. Lawrence Fernandes, a director of the appellant, to the effect that so far as he was aware the appellant had no knowledge of the assignment or acknowledgement. Mr. Rynveld was the managing director of the appellant, a company operating in Nairobi. Mr. Fernandes, although a director, was resident in Mombasa and mainly occupied with management of the appellant's associated Mombasa company. No other director of the appellant was called to testify on this point. Notice to a company is normally effectual if given through a proper officer such as a managing director. Mr. Gautama has pointed out that Mr. Rynveld was in a peculiar position, being a director both of Nederland, the assignor, and of the appellant, and that he may have had a motive for concealing the transaction from the appellant. That may be so, but fraud must be strictly proved, and I agree with the judge that no such proof was produced in this case, and that there is no reason to hold that Mr. Rynveld's acts in acknowledging notice of the assignment, and of the debt to the extent of Shs. 42,000/-, were not the acts of the appellant. In my view this ground also fails.

The third, fourth and fifth grounds can be considered together. They are that the respondent had failed to prove the amount, if any, due from the appellant, and that the judge erred in holding in his judgment that a summary of the appellant's accounts was inadmissible in evidence after holding at the trial that it was admissible. The first point is easily answered. The respondent relied on Mr. Rynveld's admission that the appellant owed Shs. 42,000/-. It was for the appellant to show that the debt had been discharged. This Mr. Fernandes attempted to do by producing what purported to be a summary of the appellant's accounts, showing that the debt had been more than discharged by payments made to or on behalf of Mr. Rynveld and Mr. Brantenaar, a director of the respondent. The appellant's books were in the possession of the Central Bank of Kenya, having been impounded in connection with an investigation into alleged exchange control irregularities. No attempt was made to enforce the production of these books by any process issued by the court. Mr. Gautama complained that if the summary of accounts, which admittedly constituted secondary evidence, had been held inadmissible when tendered in evidence, as should have happened, it would have been open to the appellant to apply for an adjournment in order to compel production of the original. Mr. Gautama submitted that the judge, having had second thoughts as to the admissibility of the summary, should have re-convened the parties before delivering judgment so as to give the appellant the opportunity of applying for an adjournment so

as to be able to compel production of the original books of account. In my opinion these grounds must also fail. The appellant chose to rely on secondary evidence, and it is far from certain that if this evidence had been rejected at the trial, an adjournment would have been granted to compel production of the best evidence. The appellant had ample opportunity to obtain a court order for production of the books before trial. The appellant had already obtained an adjournment, which involved more than a year's delay in disposing of the suit, when the defence was amended to allege fraud against Mr. Rynveld. The record shows that the adjournment was required also to enable the books of account to be produced from Nairobi. It seems to me unlikely that the trial would have been adjourned a second time for the same purpose, no attempt having been made to compel production of the books the first time. What is more, notice to produce the books had been given by the respondent. I am not satisfied that any prejudice has been caused to the appellant by the judge's change of mind as to the admissibility of the summary. It follows that the judge was entitled to hold, as he did, that there was no satisfactory evidence that the assigned debt had been discharged, whether in full or in part.

This leaves for consideration the last and, in my view, most substantial ground of appeal, which was added to the memorandum at the hearing of the appeal with the leave of the court. This ground is stated as follows:

> "The respondent's claim being based on an assignment of the debt of the specified sum of Shs. 42,000/- as pleaded in paras. 3, 4 and 5 of the plaint, the judge erred in not dismissing the same when the alleged assignment produced and relied upon by the respondent, namely exhibit 2, was not of the said debt of Shs. 42,000/-."

Exhibit 2 is the instrument of assignment set out earlier in this judgment. It refers to the assignment of a debt of Shs. 61,337/-. Mr. Gautama submitted that this must be a different debt from that referred to in the plaint. On the evidence as a whole, it is clear that exhibit 2 does not relate to a different debt. In his letter acknowledging notice of the assignment of the debt of Shs. 61,337/-, Mr. Rynveld for the appellant pointed out that as the original loan was for Shs. 72,000/- and Shs. 30,000/- had been repaid, the debt at the date of assignment was Shs. 42,000/-. This figure was accepted by the respondent, and the suit was limited to the recovery of the lesser amount. The question arises, can a suit be maintained where the debt has been incorrectly stated at a higher figure than the true debt in the notice given to the debtor. Mr. Gautama submitted that such a notice was without effect, and he relied in support of this submission on the following dictum by Denning, L.J. in *W.F. Harrison & Co., Ltd. v. Burke*, [1956] 2 All E.R. 169, at p. 171:

> "I need not say anything about the amount of the debt, which in this case was put at £203 8s., when it was in fact, only £33 18s.; but, as at present advised, I should have thought that a notice of assignment ought to state the amount of the debt correctly, because it concerns a transfer of title and the statutory requirements must be strictly complied with."

Morris, L. J. was careful not to commit himself on the point, as there had been no argument on it, and it was not necessary for the decision of the case. The dictum of Denning, L. J. was obiter, but it does raise the question whether a notice of assignment which states the amount of the debt wrongly is a valid notice.

By s. 132 of the Transfer of Property Act, the transferee takes an assignment subject to all the liabilities and equities to which the transferor was subject. In this case the transferee accepted the assignment of a debt which the transferor put at Shs. 61,337/-. The debtor, on being given notice of the assignment,

admitted the debt to the extent of Shs. 42,000/-. The transferee was content to accept this lesser figure. I do not see how it can be said, in these circumstances, that either the assignment, or the notice thereof, was invalid. The transferee accepted the figure contended for by the debtor, although it was less than the amount transferred, so the debtor can have suffered no prejudice. There can be no doubt that the debt sued for was the same debt as that assigned, although the amount sued for was smaller; Mr. Rynveld's letter of acknowledgement makes that clear. As the judge remarked, the nexus between the two amounts is sufficiently established. It is in my opinion a pure question of fact whether the debt sued for is the same debt as the assigned debt. With respect, I do not agree that the mis-statement of the exact amount of the debt, whether in the instrument of transfer or the notice, is a vital consideration provided the debt sued for can be identified with the debt assigned, and the amount thereof proved. The judge was satisfied in both these respects, and I see no reason why this court should come to any other conclusion. In my opinion, the assignment of a debt stated to be owing on a certain date, without specifying the amount, is a valid assignment. The ascertainment of that amount is a question of fact to be decided by evidence. I do not see why the statement of a wrong figure should invalidate an assignment of a debt owing on a certain date, when the exact amount of the debt can be ascertained and does not exceed the sum stated to have been assigned, and can be identified with it.

For these reasons I would dismiss this appeal, with costs.

Spry Ag P: I have had the advantage of reading the judgment of Law, Ag. V. -P., with which I respectfully agree. I shall not re-state the facts and there are only certain aspects of the appeal on which I would add some comments.

I agree that there is no good reason why one document should not serve both as the instrument effecting the assignment of a debt and as the notice of it. In the present case, the document is in the form of a notice and speaks of the debt having been assigned, but while it is not expressed as an assignment, it contains all the essential constituents, it is unambiguous and is signed on behalf of assignor and assignee. In my opinion, it is a sufficient compliance with s. 130 of the Indian Transfer of Property Act 1882.

It was also argued that the document failed to comply with s. 131 of that Act, which requires the name and address of the transferee to be included, in that only a post office box number was given. This raises two questions: first, is the notice defective, and, secondly, if it is defective, does that render it invalid. The trial judge, after referring to the fact that service may be effected on a limited company by post, said:

> "I do not know if 'P. O. Box 5080 Mombasa' was the 'registered' postal address of the plaintiff company but for the purposes of s. 131 of the Act I would consider it a sufficient address and I hold that it was."

Mr. Gautama referred us to a decision of the High Court of Uganda, *Re W. W. K. Nadiope*, [1959] E.A. 950, in which, following two English authorities, it was held that a post box number is not a sufficient address for the purpose of a bankruptcy notice; what was required was "an address at which the creditor can be found".

Etymologically, an address was a communication and thence the subscription to a letter. In *R. v. Bishop*, [1959] 2 All E. R. 787, the facts of which are not relevant here, Lord Parker, C.J., said of a certain statute that the word "address" was not there used "in the ordinary sense of the word as a postal address".

The English authorities are not, however, of great assistance, since in England

a residential address is also a postal address, whereas in Kenya they are unconnected. In Kenya, I think the word “address” may mean either a residential or a postal address, except where the context shows that one or the other is exclusively intended. In common usage in Kenya, I think it more often means a postal address.

In this connection, I would also mention the decision in *Ram Nath Gupta v. Mohomed Rawji* (1954), 27 K.L.R. 43, in which Cram, Ag. J., held that a post box number is not an address for service for the purpose of O. 9, r. 1 of the Civil Procedure (Revised) Rules 1948. No reason was given but it must, I think, be presumed that the reason was that service is normally effected personally.

Even if it were to be held that the address was not a proper compliance with the statute, I would still hold that the notice was not invalid. It would appear from Mulla’s commentary on the Transfer of Property Act that the Indian courts have construed the section strictly but unfortunately the cases he cites are not available to us. In the circumstances of Kenya, it is not always easy to give a precise residential address and argument may arise as to whether an address is or is not adequate. In my view, the inadequacy of an address would be no more than an irregularity and the question for consideration would be whether it occasioned, or might have occasioned, any prejudice or embarrassment. In the present case, where the parties were closely associated, it is obvious that there can have been no prejudice.

The instrument of assignment and notice, which is dated 9 April 1965, refers to a debt of Shs. 61,337/05. It was acknowledged by the debtor, the appellant company, in a letter of the same date, which admits the existence of a debt but states that the amount due was Shs. 42,000/-. It was for the latter amount that the suit was brought. Mr. Gautama argued that it is not open to an assignee to sue for one amount, while relying on an assignment of a different sum. There appears to be no authority on this question, although certain observations made obiter dictum in *W. F. Harrison & Co. Ltd. v. Burke,* [1956] 2 All E. R. 169 lend some support to Mr. Gautama’s argument.

In the first place, it seems to me that if a creditor assigns the debt due to him, bona fide and for value, but by mistake inserts an incorrect amount in excess of what is due, the mistake cannot affect the validity of the assignment, provided there is no doubt as to the identity of the debt. It is not essential to a valid assignment that the amount of the debt be shown and if a wrong amount is shown, while the assignee may have a right of rescission, the assignment is good until rescinded.

Secondly, if the amount of the debt is incorrectly inserted in a notice of assignment, I cannot see that that invalidates the notice, provided, again, that there is no doubt as to the identity of the debt. The debtor may, of course, refuse to pay either his creditor or the assignee until the matter is clarified or he may institute interpleader proceedings. But he is not, in my opinion, entitled to pay his creditor and deny having received notice of assignment. I think his proper course, and the course any reasonable person would take, is to acknowledge the receipt of the notice but dispute the amount of the debt. That is exactly the course the appellant company took in the present case. I certainly do not think it is open to the appellant company, having acknowledged notice of the assignment, to argue now that it never received notice. It is unnecessary to express any opinion on what the position would have been, had the appellant company rejected the notice.

Finally I have no doubt that the account which it was sought to introduce was inadmissible as evidence and I agree with Law, Ag. V.-P. that the fact that it was admitted during the hearing but rejected in the judgment did not occasion

any failure of justice. In any event, it had, in my opinion, no value as evidence, because al it purported to show were the amounts which the appellant company had debited against the creditor company. These were not payments to the creditor company (apart from the agreed figures) but to third parties and no evidence was called to show that the appellant company had any right so to debit them.

On the other aspects of the appeal, I agree with Law, Ag. V.-P., and cannot usefully add anything. I agree with the order he has proposed and as Lutta, J. A., also agrees, it is so ordered.

Lutta JA: I also agree.

Appeal dismissed.

For the appellant:
SC Gautama and *HAT Anjarwalla*

For the respondent:
M Satchu (instructed by *Atkinson, Cleasby and Satchu*, Mombasa)

Bashford v Shabani
[1971] 1 EA 257 (HCT)

Division:	High Court of Tanzania at Dar Es Salaam
Date of judgment:	26 January 1971
Case Number:	4/1969 (37/71)
Before:	Hamlyn J
Sourced by:	LawAfrica

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[1] Muslim Law – Marriage – Consent – Obtained by fraud – Marriage voidable.

Editor's Summary

The parties were muslims who were married according to muslim law in Ontario, Canada. It was part of the bargain that the respondent husband was single. On arrival in Tanzania the petitioner wife discovered that the respondent had two other wives. The petitioner left the respondent and petitioned for a decree of nullity.

Held –

(i) where consent is obtained by fraud or force, a muslim marriage is void unless ratified (*Abdul Latif Khan and another v. Niyaz Ahmed Khan* (3) followed);

(ii) the petitioner's consent was obtained by fraud.

Petition granted.

Cases referred to judgment

(1) *Baindail* (*otherwise Lawson*) *v. Baindail*, [1946] P. 122.

(2) *Saburannessa v. Sabdu Sheikh and others* (1934), A.I.R. Cal. 693.

(3) *Abdul Latif Khan and another v. Niyaz Ahmed Khan* (1909), 31 I.L.R. All 343.

(4) *Ahmad-un-Nisa Begum v. Ali Akbar Shah* (1942), 29 A.I.R. Pesh. 19.

(5) *Mt. Ghulam Kubra Bibi v. Mohammad Shafi Mohammad Din and others* (1940), 27 A.I.R. Pesh. 2.

Judgment

Hamlyn J: This is a matrimonial cause in which the petitioner is seeking for a declaration from this court that the marriage ceremony

which was performed between her and the respondent on 7 May 1968, is null and void, and that she be granted other reliefs against the respondent.

The facts of the case are very simple, and the respondent, though served with a copy of the petition, did not see fit to enter an appearance.

The petitioner in her evidence informed the court that she met the respondent in Ontario, Canada; both he and the respondent are muslims. About 1967 the respondent first spoke to the petitioner about marriage, and he was referred to the petitioner's sponsors, which is the normal practice in these matters. Certain inquiries were made, but, as the respondent was a visitor to Canada, these appear not to have been exhaustive. The respondent informed the sponsors in the presence of the petitioner that he was unmarried.

On 18 May 1968, the marriage took place between the petitioner and the respondent in the house of the local Imam, who is a person licensed by the Government of Ontario to celebrate such marriages. I think it is worth stressing (though the fact does not seem to have been sufficiently made by the petitioner) that the ceremony was one under Muslim law and performed by a religious leader of that faith, both parties to the marriage being muslims. The original marriage certificate is on the record.

The petitioner was very explicit in her evidence that she thought that the respondent was, at the time of the ceremony, an unmarried man. Towards the close of her evidence, she said:

> "It was a part of the bargain of my marrying respondent that he was to be a single man, and I would not have married him or gone through the ceremony of marriage had I known that he was not single. My sponsor Hogben was also at the time of the marriage under the impression that the respondent was single."

The petitioner's evidence goes on to relate that she travelled to this country in December 1968 and was met by the respondent. The parties then went to Ifunda, where they proceeded to the respondent's house. She was there met by two women – Mariam and Mwatanga – who were introduced by the respondent to the petitioner as his wives; he added that he had married them prior to the date on which he went through the marriage ceremony with the petitioner.

Upon hearing this, the petitioner withdrew herself from the respondent, and, when opportunity arose, she left Ifunda without the respondent's permission; she states that she had no sexual intercourse with the respondent at all. There are some letters on the file as correspondence between the respondent and the petitioner, but, save that these support the petitioner's allegation that at the time of the marriage ceremony she thought that the respondent was a single man, they do not add very much to the story. There are no children of the marriage.

Counsel for the petitioner addressed me very briefly at the close of his client's evidence. He referred me to the Ontario Marriage Act (Cap. 85 of the Revised Laws of Ontario) which provided that the law applicable in England on 15 July 1870, shall be applicable to the province of Ontario. He also referred me to *Baindail* (*otherwise Lawson*) *v. Baindail*, [1946] P. 122, which was a case concerning the Hindu law of marriage. That case laid down the proposition that a prior potentially polygamous Hindu marriage prevents the respondent from entering into a valid marriage in England with another party.

In *Saburannessa v. Sabdu Sheikh and others* (1934), A.I.R. Cal. 693, the court observed:

> "The marriage under the Mohamedan law is a civil contract and is like a

> contract of sale. Sale is the transfer of property for a price. In the contract of marriage, the wife is the property, and the dower is the price."

I have no doubt that this is the true view of marriage in Mohamedan law and that, while not flattering to the woman, such contract is subject to the normal considerations which govern such agreements. In *Abdul Latif Khan and another v. Niyaz Ahmed Khan* (1909), 31 I.L.R. All. 343 (which was an earlier case), the court held that when consent to a marriage is obtained by fraud or force, such marriage is invalid unless ratified.

A case which seems to be on all fours with the present one is that of *Ahmad-un-Nisa Begum v. Ali Akbar Shah* (1942), A.I.R. Pesh. 19. In giving judgment in that case, the court said:

> "Under the Mohamedan law, the regular procedure for obtaining the consent of the girl, as laid down in (1940) 27 A.I.R. Pesh. 2, must be proved. In the absence of the proof that the procedure was gone through, no valid marriage can be taken to have been established."

The Peshawar case referred to above (*Mt. Ghulam Kubra Bibi v. Mohammad Shafi Mohammad Din and others*) is not particularly relevant to the present case, save that it establishes the requirement of clear consent by the woman to the marriage. It is of course the contention of the petitioner in these proceedings that the consent given to the ceremony was one of consent given under a misapprehension, deliberately caused by the respondent, and such being the case, such apparent consent was in law no consent at all.

There is ample evidence on the record (which is not in issue) that the petitioner would never have entered into the marriage contract with the respondent had she been aware of his marital status; such evidence I have accepted, and as a result the court finds that the woman, in consenting to the marriage ceremony, gave such consent on a completely erroneous conception of a condition precedent. Nor was such error a mere misconception which the petitioner could have, or should have, avoided, for it arose from a deliberate misrepresentation on the part of the respondent. I consequently allow the prayer in the petition as to the marriage and declare it to be null and void ab initio.

The petition also prays for the award of compensation to the petitioner as against the respondent. Counsel has not seen fit to address the court in regard to this prayer and it would clearly be quite wrong for this court to make any order in the absence of any information whatever as to the nature of such compensation and its quantum. I shall not, however, dismiss the prayer forthwith, but order that counsel be at liberty to apply to this court (should he so desire) so that this matter may be considered thereafter. There will be costs of these proceedings in favour of the petitioner.

Order accordingly.

For the petitioner:
RW Moisey (instructed by *Fraser Murray, Roden & Co*, Dar es Salaam)

The respondent did not appear.

Katende v Attorney-General
[1971] 1 EA 260 (HCU)

Division: High Court of Uganda at Kampala

Date of judgment: 2 March 1971

Case Number: 538/1970 (53/71)

Before: Phadke J

Sourced by: LawAfrica

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[1] Damages – Exemplary – Wrongful arrest – Whether should be awarded.

[2] Damages – Wrongful arrest – Quantum.

Editor's Summary

The plaintiff was employed by the American Information Service in Kampala. He had formerly edited a newspaper and had travelled widely. The plaintiff was arrested in a Kampala street and accused there and then of having bought his car with money stolen from a bank. The plaintiff was threatened with detention under the Emergency Regulations and was lodged in a cell with political prisoners. The cell was filthy and the plaintiff was not fed. On the next day the plaintiff was questioned and kept in custody until after midday when he was released. No charge was ever brought against him.

The plaintiff sued for wrongful arrest and false imprisonment and claimed exemplary damages.

Held –

(i) the policemen behaved in an oppressive manner towards the plaintiff;

(ii) exemplary damages should be awarded (*Obongo v. Municipal Council of Kisumu* (2) and *Rookes v. Barnard* (1) followed);

(iii) the damages would be assessed at Shs. 5,000/-.

Judgment for the plaintiff.

Cases referred to judgment

(1) *Rookes v. Barnard*, [1964] A.C. 1129.

(2) *Obongo v. Municipal Council of Kisumu,* [1971] E.A. 91.

Judgment

Phadke J: The plaintiff claims from the defendant general damages for wrongful arrest and imprisonment by two policemen on 6 March 1970. The defendant is sued pursuant to s. 11, Government Proceedings Act (Cap. 69). The defendant admits liability and the only issue for decision is the quantum of damages. The defendant has made payment into court of a certain sum which he submits is sufficient to satisfy the plaintiff's claim.

The plaintiff testified that on the day in question he was in the employment of the American Information Service, in Kampala. Prior to taking up this employment he had been the editor of a newspaper "Munno" and as such had travelled extensively – three times to the United Kingdom and to Italy, twice to the United States of America and to West Germany, and once to India and to Ethiopia. On 6 March 1970, at about 6 p.m., he was about to park his car near the Mexico bar in Burton Street, in Kampala, when a man dressed in civilian clothes asked that he be driven to the central police station. This man would not let him come out of the car and tried to grab the keys of the car but the plaintiff held on tightly to the keys. He suspected the man to be a thief. The man then shouted to someone inside the bar and another man, also dressed in civilian clothes, came out and introduced himself as a policeman. The plaintiff

told the two men that if they were policemen he was prepared to walk with them to the Central police station which was not far away, after locking up his car. By this time the bar-maids working in the Mexico bar had come out on the verandah and a crowd had collected. The man who had first accosted him then produced an old identity card and speaking at the top of his voice accused him of buying the car from money stolen by one Peter Jackena, an employee of the Uganda Commercial Bank. The plaintiff denied this accusation. Just then, a friend named P. Kitonsa, who used to be the district commissioner at Mbale, came along. Kitonsa assured him that the two men in civilian clothes were really policemen and so the plaintiff agreed to go with them to the police station. He and the man who had first accosted him then drove in his car to the Central police station. There this man took him into an office and informed him that under the Emergency Regulations he could be detained for 28 days. He was not charged with any offence. Kitonsa had followed him to the police station and the plaintiff asked permission to speak to him. Kitonsa was threatened with detention if he approached the plaintiff. The plaintiff was taken to the basement, his shoes were removed and he was put inside a cell. There were three persons in that cell, one of whom was Ibrahim Rajab, a captain in the Uganda army, who was accused of attempting to shoot the President of Uganda. The other two persons were political detainees. The plaintiff felt greatly worried.

The cell was in a filthy condition and full of fleas. The plaintiff was not given any food and was told that he could sleep on the floor. On the following morning, at about 9 a.m., he was taken to room 37 where the two men who had arrested him and four other persons were present. He was again accused of buying his car with stolen money and he again denied this accusation. The man who had first accosted him on the previous night then said – “If you will not tell us the truth, you will suffer. We will put you back in the cell”. The plaintiff replied that he had told them the truth. He was taken to another cell and kept there for four hours. Then he was again taken to room 37. After making a statement he was taken back to the basement and the guards were told that he be released. He was released at about 12.45 p.m.

The defendant did not call any evidence.

Mr. Mulira for the plaintiff submitted that the plaintiff is a man of considerable status and a widely travelled man who was formerly the editor of a prominent newspaper. He had been humiliated in the presence of many persons and had been subjected to indignity, discomfort and inconvenience. He submitted that exemplary damages be awarded.

Mr. Mwesiga for the defendant submitted that the plaintiff had been informed of his alleged offence and could not have suffered any mental anguish. The plaintiff should have been more co-operative, and counsel pointed out that the plaint did not allege any malice. He submitted that this was not a case for the award of exemplary damages.

Both counsel referred to several decisions of this court relating to the quantum of damages awarded in such cases. These cases concerned the claims of various persons of varying positions and status, e.g. an advocate who was at one time the Prime Minister of Uganda, a magistrate, a senior reporter of a newspaper, an employee of a District Administration, a farmer and a fisherman. The awards ranged from Shs. 14,000/- to Shs. 500/- and the decision in each case rested upon its particular facts. These decisions have furnished helpful guidance but they can hardly furnish any material for formulating a comparative basis. Ultimately the damages should be such as the court considers reasonable in all the circumstances of a case.

The main question which I will examine is whether or not exemplary damages should be awarded in this case. This question was recently discussed in the

judgments of the Court of Appeal in *Obongo v. Municipal Council of Kisumu*, [1971] E.A. 91. The Court referred to the decision of the House of Lords in England in *Rookes v. Barnard*, [1964] A.C. 1129, and I quote the following observations:

> Spry, V.P. – I am therefore of the opinion that this court should regard *Rookes v. Barnard* as authoritatively setting out the law of England as to exemplary damages in tort, which law was applied in Kenya by the Judicature Act 1967.
>
> Law, J.A. – I would only add a few words in relation to the case of *Rookes v. Barnard*, which I agree should be regarded as representing the law of Kenya in respect of the award of exemplary damages in actions of tort.

These observations made in relation to the law to be applied in Kenya are equally applicable to Uganda by virtue of the Judicature Act 1967.

The effect of the decision in *Rookes v. Barnard* (*supra*) has been summarised in the judgments of the Court of Appeal and I cannot do better than to quote the following extracts:

> Spry, V.P. – In the first place, it was held that exemplary damages for tort may be awarded in two classes of cases (apart from any case where it is authorised by statute); these are, first, where there is oppressive, arbitrary or unconstitutional action by the servants of the government and, secondly, where the defendant's conduct was calculated to procure some benefit, not necessarily financial, at the expense of the plaintiff. As regards the actual award, the plaintiff must have suffered as a result of the punishable behaviour; the punishment imposed must not exceed what would be likely to have been imposed in criminal proceedings if the conduct were criminal; and the means of the parties and everything which aggravates or mitigates the defendant's conduct is to be taken into account. It will be seen that the House took the firm view that exemplary damages are penal, not consolatory as had sometimes been suggested.
>
> Law, J.A. – As Lord Devlin pointed out, although a case may fall within the two categories for which exemplary damages may be awarded, it does not necessarily follow that they must be awarded. They should only be awarded if the sum given as comparison is insufficient to punish the defendant for his conduct. . . . Exemplary damages should not be used to enrich the plaintiff but to punish the defendant and deter him from repeating his conduct.

In this case I am satisfied from the plaintiff's evidence that the two policemen, who were servants of the government, behaved in an oppressive, arrogant and high-handed manner towards the plaintiff, and that the plaintiff was wrongfully subjected to humiliation, discomfort and inconvenience. In the light of the evidence which I have reviewed above at some length, it is my view that exemplary damages should be awarded in the circumstances of the case. In making an assessment, I will bear in mind that there is no evidence of any violence against the plaintiff and of any malice or improper motive.

Upon giving anxious consideration to all the factors and doing the best I can, I consider that the award of Shs. 5,000/- would be reasonable. There will be judgment for the plaintiff for Shs. 5,000/- and the costs of this suit.

Judgment for the plaintiff.

For the plaintiff:
D Mulira (instructed by *Binaisa & Co*, Kampala)

For the defendant:
M Mwesiga (State Attorney)

Kamunye and others v The Pioneer General Assurance Society Ltd

[1971] 1 EA 263 (CAK)

Division:	Court of Appeal at Kampala
Date of judgment:	27 October 1970
Case Number:	28/1970 (183/70)
Before:	Spry Ag P, Law Ag V-P and Mustafa JA
Sourced by:	LawAfrica

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[1] Estoppel – Judgment, by – Points directly or substantially in issue – Pleadings in previous case raised issue that mortgage valid in respect of one category of land and invalid as to another category – Suit barred.

[2] Mortgage – Land charged – Different categories of land – Indivisible debt and indivisible security.

[3] Mortgage – Possession – Mortgagee not in possession of Mailo land occupied by African tenants.

Editor's Summary

The respondent was the mortgagee of land owned by the appellants. The land was let partly to African and partly to non-African tenants. The respondent collected rents from non-African tenants, but it could not be in possession of land occupied by African tenants.

In an action in the High Court the appellants claimed that the mortgage was time-barred and that the mortgagee was never in possession of the mortgaged land. The High Court held that the mortgage was not time barred. An appeal from this decision was dismissed. The appellants filed a further action claiming substantially the same relief and the respondent contended that the claim was res judicata. The appellants claimed that the first action was solely concerned with the land occupied by non-Africans and that the mortgage was divisible between the two categories of land. The High Court dismissed the case and the appellants appealed.

Held –

(i) the defences raised were substantially the same as in the earlier case and the claim was res judicata against the appellants.

(ii) (Law, Ag. V.-P. not deciding) the mortgagee could not be in possession of African occupied land.

(iii) (Law, Ag. V.-P. not deciding) there was one indivisible security for one indivisible debt (*Charter v. Watson* (3) followed).

Appeal dismissed.

Cases referred to judgment

(1) *Soar v. Dalby* (1852), 51 E.R. 496.

(2) *Simmins v. Shirley* (1877), 6 Ch. D. 173.

(3) *Charter v. Watson*, [1899] 1 Ch. 175.

(4) *Greenhalgh v. Mallard*, [1947] 2 All E.R. 255.

(5) *Jadva Karsan v. Harnam Singh Bhogal* (1953), 20 E.A.C.A. 74.

27 October 1970. The following considered judgments were read.

Judgment

Law Ag V-P: This appeal arises out of a suit filed in the High Court by six plaintiffs, the heirs and successors of one Daudi Muise Mwebe deceased,

against the Pioneer General Assurance Society Ltd., to which I shall refer hereinafter as the mortgagee. Daudi Muise Mwebe (hereinafter referred to as the deceased) died in 1954. He was then, and his name is still on the register as, the registered proprietor of a number of estates of Mailo land, which we were informed exceed 20 square miles in area, which he mortgaged to the mortgagee in June 1943, as security for loans totalling Shs. 180,000/- made to him by the mortgage in the course of 1943. It was provided under the mortgage that interest on the principal sum lent or any part thereof remaining unpaid would accrue at the rate of 12 per cent per annum. No part of the principal sum lent has in fact been repaid, although some payments were made in respect of interest, and we have been told that the total debt, including accumulated interest, now exceeds Shs. 2,000,000/-. Some of the estates had been lawfully leased to non-African tenants, who are still in occupation, and the remainder were and still are occupied by tenants who are natives of Uganda. It appears that the mortgagee did little to enforce its rights under the mortgage, beyond collecting the rents payable by the non-African tenants.

In 1967, having been faced with a claim preferred by the heirs and successors of the deceased to those rents, the non-African tenants took out interpleader proceedings under O. 31 of the Civil Procedure Rules asking for a decision as to who was entitled to the rents. The non-African tenants were released from the proceedings on paying the arrears of rent into court; the mortgagee became plaintiff in a suit to decide the entitlement to these rents (which suit I shall refer to hereinafter as the first suit), and the heirs and successors of the deceased (the present appellants) became the defendants. Pleadings were filed, and the defendants raised *inter alia* the following defences to the mortgagee's claim to be entitled to the rents:

(1) that the mortgage was time barred;

(2) that the mortgagee had been guilty of laches;

(3) that the mortgagee was never in possession of the mortgaged lands, and could not be in possession thereof;

(4) that the contract was harsh and unconscionable.

The trial judge, Sheridan, J. (as he then was) gave judgment in favour of the mortgagee. He held that the mortgage was not time-barred; that although the mortgagee had been dilatory and the bargain one-sided, he could not refuse its prayer that it was entitled to the rents and profits accruing from the mortgaged land so long as the tenants remained in occupation, and he held that by receiving the rents and profits, the mortgagee had entered into possession of the mortgaged land. He did not differentiate in this respect between those pieces of land comprised in the mortgage occupied respectively by non-Africans and Africans.

The defendants filed an appeal to this court against the decision of Sheridan J. but it was never heard on the merits, being dismissed as incompetent for reasons which need not be discussed here.

The defendants then filed in the High Court the suit out of which this appeal arises, to which I shall refer in future as the second suit. The plaint in the second suit recited substantially the same facts as the defence in the first suit, and claimed substantially the same relief, that is to say:

(*a*) a declaration that the mortgage debt was time-barred;

(*b*) a declaration that the mortgagees were guilty of laches;

(*c*) a declaration that the heirs and successors of Daudi Muise Mwebe were released from the mortgage debt; and

(*d*) a declaration that the bargain was unconscionable and bad in law and equity.

The defence filed on behalf of the mortgagee pleaded *inter alia* that all the relief prayed for in the plaint had been raised by way of defence in the earlier suit and was decided upon the law and upon the merits in favour of the mortgagee and was accordingly res judicata. This issue of res judicata was tried as a preliminary issue when the second suit came for trial before Mead, J., who decided it in favour of the mortgagee and dismissed the suit. From this decision the plaintiffs, the heirs and successors of the deceased, now appeal. I shall refer to them henceforth as the appellants.

In a powerful and persuasive argument, Mr. Binaisa submitted that the first suit was confined to a consideration of one category of land only, those pieces occupied by non-Africans. The position of those pieces of land occupied by Africans, which by law cannot without approval be in the possession of non-Africans, did not come the ambit of Sheridan, J.'s judgment. Mr. Binaisa argued that the only matter that is res judicata by reason of the first judgment is that the mortgagees are entitled to the rents payable by the non-African tenants, and that they are in possession of those lands as mortgages. He submitted that the lands mortgaged were divisible into two categories, the first lawfully leased to non-Africans and the second occupied by natives of Uganda, of which the mortgagee could not by law enter into possession. Mead, J. held that by reason of the mortgage deed the mortgagee was constructively in possession of the African-occupied lands although incapable of physical possession thereof, a proposition strongly attacked by Mr. Binaisa who relied on the authority of *Soar v. Dalby* (1852), 51 E.R. 496 for his submission that a mortgagee in possession of part only of the mortgaged premises, who has allowed the mortgagor to remain in possession of the remainder, is not in constructive possession of the whole.

Mr. Wilkinson for the mortgagee submitted that all the issues in the second suit were common to the first suit, and were either disposed of specifically in the first suit or were directly or substantially in issue in the first suit, so that in accordance with s. 7 of the Civil Procedure Act and its explanations, these issues could not be raised again in the second suit.

The test whether or not a suit is barred by res judicata seems to me to be – is the plaintiff in the second suit trying to bring before the court, in another way and in the form of a new cause of action, a transaction which he has already put before a court of competent jurisdiction in earlier proceedings and which has been adjudicated upon. If so, the plea of res judicata applies not only to points upon which the first court was actually required to adjudicate but to every point which properly belonged to the subject of litigation and which the parties, exercising reasonable diligence, might have brought forward at the time *Greenhalgh v. Mallard*, [1947] 2 All E.R. 255. The subject matter in the subsequent suit must be covered by the previous suit, for res judicata to apply *Jadva Karsan v. Harnam Singh Bhogal* (1953), 20 E.A.C.A. 74.

The appellants in para. 13 of their defence in the earlier suit put the following matters in issue in contesting the validity of the mortgage:

(*a*) that it was time barred;

(*b*) that the mortgagees were guilty of laches;

(*c*) that the bargain was harsh and unconscionable.

These defences were raised against the mortgage as a whole, without distinction of the categories of land comprised therein; they were adjudicated upon and decided in a sense adverse to the appellants, and I have no doubt that it is not open to the appellants to bring these issues before the court again in the second

suit. There is more merit in Mr. Binaisa's point that he is entitled to challenge the validity of the mortgage, in the second suit, so far as the lands in African occupation are concerned, on the grounds that the first suit did not specifically deal with this question. Mr. Binaisa submitted that the mortgagee, being prevented by law from going into occupation, could not be mortgagee in possession whether actual or constructive, and that possession of the non-African occupied lands does not involve possession of the African-occupied lands mortgaged by the same deed, and that these lands should be released from the mortgage. Mead, J. distinguished the case of *Soar v. Dalby* (*supra*), relied on by Mr. Binaisa, on the ground that there is nothing to show that the appellants were allowed to retain possession of the African-occupied lands. Certainly it was never pleaded by the appellants that they were so allowed. The difference between the two categories of land was referred to in the pleadings in the first suit. By para. 13 (1) (iii) of the defence it was pleaded that the mortgagee not only never has been in possession but could not be in possession. This can only have been a reference to the African-occupied lands. This left it open to the trial judge to find that the mortgage was valid in respect of one category of land and invalid in respect of the other. He did not do so, and to the extent that relief was impliedly claimed in the first suit in respect of all the mortgaged land, including African-occupied lands, it must be deemed to have been refused; see explanation (5) to s. 7 of the Civil Procedure Act. The relief sought by the appellants in the first suit and the suit the subject of this appeal is in effect the same – a declaration that the mortgage is invalid. I see no reason to think that Mead, J. erred when he held that the appellants' claim in the second suit could not be maintained in law on the ground that the matter in issue was res judicata. I would dismiss this appeal, with costs, and I would certify for two advocates.

Spry Ag P: The facts from which this appeal arises are set out in the judgment of Law, Ag. V.-P., with which I respectfully agree, and I shall not repeat them.

Mr. Binaisa's main argument, as I understand it, is that a mortgagee cannot be regarded as constructively in possession of land of which the law forbids him to take actual possession. The respondent company is a mortgagee in possession as regards the lands let to non-Africans but that does not necessarily mean that it is constructively in possession of the other lands comprised in the mortgage and further charge. Mr. Binaisa relied on *Soar v. Dalby* (1852), 51 E.R. 496. Another authority is *Simmins v. Shirley* (1877), 6 Ch. D. 173, in which Fry, J., said:

> "It cannot be denied that a mortgagee may take possession of part of the mortgaged property. If there are two independent tenements, the mortgagor (*sic*) may take possession of one and not of the other . . ."

The word "mortgagor" is clearly a misprint for "mortgagee".

Although the mortgage empowered the respondent company to collect rents from African tenants, this was prohibited by law with the enactment of the Land Transfer Act (Cap. 202), and the respondent company never had power to enter into physical possession.

Up to this point, I would agree with Mr. Binaisa and I would hold that the respondent company is not a mortgagee in possession of the African-occupied lands. If either of the two judgments of the High Court in this matter implies a finding to the contrary, I must respectfully disagree.

Mr. Binaisa, however, sought to take the argument a stage further and submitted that because the incidents of tenure of the lands respectively occupied by Africans and non-Africans are different, the deed of mortgage should be treated

in effect as if it were two separate deeds. It would then be possible to argue that the notional mortgage debt relating to the African-occupied lands was barred by limitation, while conceding that the notional debt relating to the non-African-occupied lands was not so barred.

Mr. Binaisa was not able to produce any authority in support of this argument and for my part I would reject it. There is English authority, admittedly only persuasive in East Africa, to the contrary. This is the case of *Charter v. Watson*, [1899] 1 Ch. 175. That case concerned a mortgage of freehold and copyhold lands and of an insurance policy. The mortgagee had entered into possession of the lands and remained in possession so long, without acknowledging the mortgagor's title, that the mortgagor was barred from redeeming the lands. He claimed, however, to be entitled to redeem the insurance policy. Considering the provision for redemption, Kekewich, J., said at p. 182:

> "it would be impossible for either party to say that redemption of the property could be completed without payment of the whole of the money secured by the mortgage and reconveyance of the whole mortgaged property. There is one indivisible security for one indivisible amount."

Later, he said at p. 183:

> "It comes back to this: because the land and the policy make one security, and the plaintiffs cannot have back the land alone, they cannot have back the policy."

The position in the present case is not quite the same but the same reasoning applies. There is one indivisible security for one indivisible debt.

I have thought it desirable to go into this question because, while I agree with Law, Ag. V.-P., that, on a comparison of the pleadings, the issues in the suit from which this appeal springs are res judicata, I think it may also be said that if one goes behind the pleadings, the result must be the same. There is one debt, which the appellants have claimed to be time-barred: there are not two debts secured on different properties. As Mead, J., rightly said:

> "The mortgage debt is a charge upon the whole of the mortgaged lands. It cannot be extinguished except by mutual agreement, as against part of the mortgaged property, and left as a charge against the remainder."

Once this is accepted, it is clear that the issues in the second suit were substantially, as well as formally, the same as those in the first.

I agree with the order proposed by Law, Ag. V.-P., and as Mustafa, J., also agrees, it is so ordered.

Mustafa JA: I have had the advantage of reading in draft the judgments prepared by the Acting Vice-President and the Acting President.

As regards the issue of res judicata I agree with the Acting Vice-President that the trial judge was right in holding that the appellants' suit could not be maintained as the matter in issue was res judicata. In any event, even on the merits, the appeal must fail. As the Acting President has pointed out there is only one indivisible security for one indivisible debt, and if the mortgage debt is not time-barred in respect of non-African occupied land it similarly is not time-barred in respect of African occupied land.

I agree that the appeal must be dismissed.

Appeal dismissed.

For the appellant:
GL Binasia QC and *D Mulira* (instructed by *Binaisa & Co*, Kampala)

For the respondent:
PJ Wilkinson QC and *JS Shah*

Re Jan Mohamed Kisii Cinema Ltd
[1971] 1 EA 268 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	12 November 1970
Case Number:	163/1970 (9/71)
Before:	Trevelyan J
Sourced by:	LawAfrica

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[1] Company – Register – Restoration to register – Person to whom dissolved company purports to transfer land not a creditor cannot apply to restore company – Companies Act (*Cap.* 486), *s.* 339 (*K.*).

[2] Land – Company – Dissolved company – Transfer – Purported transfer after dissolution of company under s. 339 *Companies Act* (*Cap.* 486) (*K.*) *– Purported transferee cannot apply to restore company to the register.*

Editor's Summary

A company which owned land was in 1965 struck off the register and dissolved under s. 339 of the Companies Act. In 1969 the company purported to sell the land. The Registrar of Titles refused to register the transfer. The transferee then brought this application under s. 339 (6) for an order restoring the company to the register.

Held – the transferee was not a creditor of the company within s. 339 (6) and could not therefore apply for an order of restoration (*Re New Timbiqui Gold Mines Ltd.* (5) followed).

Application dismissed.

Cases referred to judgment

(1) *Re C. W. Dixon Ltd.*, [1947] Ch. D. 251.

(2) *Re Cambridge Coffee Room Association Ltd.*, [1952] 1 All E.R. 112.

(3) *Tymans Ltd. v. Craven*, [1952] 1 All E.R. 613.

(4) *In re Moses and Cohen Ltd.*, [1957] 1 W.L.R. 1007.

(5) *In re New Timbiqui Gold Mines Ltd.*, [1961] 1 All E.R. 865.

Judgment

Trevelyan J: Jan Mohamed Kisii Cinema Ltd., which I shall describe as the company, was the owner of some leasehold land, L.R. 1436/164, which I shall refer to as the land. As a result of its failure to submit annual returns to the registrar of companies it was, on 11 June 1965, struck off the register and dissolved under s. 339 of the Companies Act (Cap. 486). Having thus been dissolved its property became bona vacantia under s. 340 of the Act which provides that:

> "Where a company is dissolved, all property and rights whatsoever vested in or held in trust for the

> company immediately before its dissolution (including leasehold property but not including property held by the company in trust for any other person) shall, subject and without prejudice to any order which may at any time be made by the court under s. 338 or s. 339 of this Act, be deemed to be bona vacantia, and shall accordingly belong to the Government."

Nonetheless in 1969 the company purported to sell the land to a Mr. Nyamongo who instituted these proceedings and whom I shall term the applicant and who, having paid Shs. 20,000/- therefore, went into possession of it. When the transfer was presented to him, however, the Registrar of Titles, though the company's name still appeared on the register as the owner of the land, refused

to effect its registration unless, as the affidavit in support of the application puts it, "the company is alive or to be taken on Register of Companies". He was obviously aware of what had occurred to the company. To whom the purchase money was paid is not known to us at all for certain. A Mr. Ontito, whom I shall refer to as the second respondent (calling the Registrar General the first respondent and the Company the third respondent) told us "I cannot find the money. I am using it" whilst he and a Mr. Okari who style themselves as directors, and a Mr. Ohara who describes himself as the secretary, of the company witnessed its common seal being affixed to a transfer of all the company's right, title and interest in the land to the applicant. Counsel for Mr. Ontito and the company has told us that the money has been spent and that "the company cannot repay".

In the foregoing circumstances the applicant resolved to utilise the provisions of sub-s. (6) of s. 339 of the Act (which I shall refer to as "the subsection") and which reads:

> "If a company or any member or creditor thereof feels aggrieved by the company having been struck off the register the court on an application made by the company or member or creditor before the expiration of ten years from the publication in the *Gazette* of the notice aforesaid may, if satisfied that the company was at the time of the striking off carrying on business or in operation, or otherwise that it is just that the company be restored to the register, order the name of the company to be restored to the register, and upon a certified copy of the order being delivered to the registrar for registration the company shall be deemed to have continued in existence as if its name had not been struck off; and the court may by the order give such directions and make such provisions as seem just for placing the company and all other persons in the same position as nearly as may be as if the name of the company had not been struck off."

As I am told that there are no reported decisions of the courts in respect of the subsection I will draw attention to the fact that save as I think for the substitution of ten years for twenty years in the English Companies Act 1948, s. 353 (6) the subsections read the same.

The applicant says that he relies on the words "or otherwise that it is just . . ." in the subsection and asks that the application be granted "on moral grounds". With respect, I cannot equate the two expressions and even if I could I have some doubt that the subsection was intended to apply to the type of case that we have here or, even if it was, the application deserves, on the facts, to succeed. It seems to me that – and it is to be remembered that if an order of restoration is made it dates back to the time of striking off – the primary object of the legislature was to provide for a company wishing to resume business or to operate or to conclude a transaction begun before the striking off was ordered. In the instant case the company filed no returns between 1962 and 1965 and has not suggested that it wishes to do business or to operate or that if restoration is ordered it will file all the returns that it has failed to send in – it is usual to order their filing as a condition of ordering restoration – and five years have passed since it carried on business. It simply supports the application because, as counsel put it "It is only just that the company be restored to carry out this transaction." With respect I doubt that. It may be that the final part of s. 340 of the Act is in the nature of a tidying up provision but it does say that the company's property "shall accordingly belong to the Government" subject, of course, to an order of the court under one of the two sections referred to. It would appear from the transfer document that it was drafted and prepared by a person with some knowledge of conveyancing but the applicant took no steps to safeguard his money whilst the three signatories to the transfer flouted the

law presumably hoping that whoever dispossessed the applicant of his Shs. 20,000/- should be able to keep the money. I am far from the belief that in these circumstances "it is just that the company be restored to the register" on this application which, it will be borne in mind, is made not by the former directors or secretary of the company or the company itself (which for the purpose of such an application it appears to be able to do) but by a person claiming to be its creditor. Counsel for the applicant sought to pray in aid of his case the decisions in *Re Cambridge Coffee Room Association Ltd*., [1952] 1 All E.R. 112 and *In re Moses and Cohen Ltd*., [1957] 1 W.L.R. 1007 for the proposition that where a company is struck off the register for the failure to submit proper returns its name should be restored thereto (subject, if so ordered, to terms) for to keep it off the register for ever would be too great a penalty to have to pay for such failure. Subject to this, that each case must depend on its own facts, I would not quarrel with that. But the circumstances giving rise to the task to which I have been asked to address myself are quite different from those in those cases.

Having said this much I would now say that this application could never have succeeded even if it could be said that the merits were with the applicant for he is not an aggrieved person within the subsection. It will be recalled that the subsection begins "If a company or any member or creditor thereof feels aggrieved . . ." Accordingly the company, though struck off and dissolved, may yet make an application under the subsection but this does not mean that anyone other than a member or creditor of the company before its dissolution can be an aggrieved person thereunder. In the present case the company ceased to exist in 1965 whilst the applicant entered into his transaction in 1969 so that he cannot be said to be a "creditor thereof". There is support for the view which I have expressed in *Re New Timbiqui Gold Mines Ltd*., [1961] 1 All E.R. 865. In that case bankruptcy proceedings were begun against a company in Colombia which were continuing at the date of the petition. The registrar of companies had struck the company's name off the register in 1955. Two persons petitioned the court to have the company's name restored to the register under s. 353 (6) aforesaid, one being a holder of shares in the company which he acquired in 1959 and both petitioners claiming to be creditors of the company in respect of debts assigned to them in 1960 which accrued before the company's name was struck off. Buckley, J. held:

> "That is not the position of the creditors here, as I understand it, because they claim to be creditors as assignees of debts which accrued before the company's name was struck off the register, but the position seems to be that the original creditor, although he might be a person who was a creditor within the meaning of this section, would not be in law a creditor of the company when the company had become dissolved, and it is debatable whether he could assign to anybody else. The subsection involves some degree of make-believe and the question is how far the make-believe ought to be carried. Should it be taken that people should be treated as continuing to be members or creditors, who were at some time undoubtedly members, just as the company, before its dissolution, was a company and has to be assumed to be in existence after its dissolution, or should the make-believe extend to include persons who purport to have become members or creditors after its dissolution? On the whole I think that the right way to approach this sort of problem of construction is to adopt that interpretation which would give to the subsection a working effect without extending the operation of inference or imagination further than is really necessary for that purpose. Although the point is a difficult one, I reach the conclusion that in order to qualify to be a petitioner under this subsection, the petitioner must show that at the date when the company was

> dissolved he was a member or was a creditor, and that anyone who purported to become a member or creditor of the company afterwards, whether in ignorance or otherwise of the dissolution of the company, is not a person within the subsection."

The judge went on to deal with the case on the merits in case he was wrong in his views, but with great respect, I entirely endorse what he said. Moreover the decision, which the first respondent says is the latest one on the subject, has remained undisturbed for about ten years.

I mentioned at the outset that the land was of leasehold tenure. The Registrar General has drawn attention to the consequences which might flow from the making of an order of restoration. He points out, referring to *Re C. W. Dixon, Ltd*., [1947] Ch. D. 251 and *Tymans Ltd. v. Craven*, [1952] 1 All E.R. 613 that the transfer would be apparently effective but, he says, he has doubts that the registrar of titles would register it. He points to there being breaches of conditions in the lease and that his information is that the registrar would not accept the transfer for registration for that reason. He tells us that the normal procedure would be that the grant would be cancelled and that a fresh grant might be made to the applicant. He also tells us that upon the application being refused, he might well disclaim the lease so that either way the land "would come back to Government". This information is different from that given in the supporting affidavit and as he rightly points out, to utilise it would need evidence. Why then do I draw attention to it? I do so for this reason, that were I to have been minded to accede to the application I would have asked for the filing of an affidavit and then considered the implications of making an order knowing that it will almost immediately become ineffective, for I would have ordered restoration only to impose efficacy on the transfer which, in the event, would then soon enough become ineffective.

I would say a word or two about the procedure adopted. The application was brought by way of originating summons because, says counsel, r. 5(2) of the Companies (Winding Up) Rules 1961 provides that:

> "Any other matter or application may be heard in Chambers"

but the Rules were made under s. 344 of the Act in relation to winding up proceedings and r. 5 does no more than to specify which proceedings shall be conducted in court and which shall be dealt with in chambers. Rule 5(1) says:

> "The following matters shall be heard in open court . . ."

The first respondent says that proceedings under the English subsection are by way of petition, interested parties being joined therein. There is no doubt that applications under the subsection are also required to be by way of petition for r. 5 of the Companies (High Court) Rules 1964 provides that:

> "The following applications shall be made by petition–
>
> . . .
>
> (*h*) Application to restore a company's name to the register under s. 339 of the Act,"

and it will, I think, be of some use, if I reproduce the two preceding rules as follows:

> "3. Any proceedings brought under these Rules shall be deemed to be a suit within the meaning of the Civil Procedure Act and any rules made thereunder, and the general practice of the court, including the course of procedure and practice in chambers, shall apply so far as may be practicable except if and so far as the act or these Rules otherwise provide.

4. Every petition, notice of motion and summons and all notices, affidavits and other proceedings under any petition, notice of motion or summons shall be intituled in the court, and in the matter of the company (showing, where applicable, that the company is in liquidation), in the matter of the Companies Act and in the matter of the particular application."

The applicant not being a qualified person within the subsection, the application fails and is dismissed.

Application dismissed.

For the applicant:
AH Bharvada

For the Registrar of Companies:
DJ Coward

Mawagola Farmers and Growers Ltd v Kayanja and others (No. 2)
[1971] 1 EA 272 (CAK)

Division:	Court of Appeal at Kampala
Date of judgment:	13 January 1971
Case Number:	35/1970 (26/71)
Before:	Sir William Duffus, P and Lutta and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Uganda – Goudie, J

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[1] Company – Contract – Made before incorporation – Ratified after incorporation – Company bound.

[2] Company – Membership – Register of members of company not necessarily conclusive – Allottee may prove membership in absence of registration – Companies Act (*Cap.* 85), *ss.* 28 *and* 118 (*U.*).

[3] Specific performance – Shares – Allotment – Specific performance ordered of contract to allot.

Editor's Summary

The appellant company was incorporated with a capital of 500 shares of Shs. 20/- each. Before its incorporation the promoters held meetings and collected money from some of the respondents for shares. The other respondents paid money for shares after incorporation. No shares were, however, allotted to any of the respondents. After incorporation the company purported to hold meetings and to file returns with the Registrar showing that its shares had been consolidated, its capital increased and all its shares allotted to other persons. The respondents brought suit in the High Court praying for orders that their shares be allotted to them and that the company's register of members be rectified. The trial judge found that the purported meetings and allotments were invalid; that there was a contract between the company and the respondents; and found for the respondents. On appeal by the company:

Held –

(i) there was sufficient evidence of a contract;

(ii) the shares should be allotted to the respondents;

(iii) the purported allotments to other persons were void; the company's register of members not being conclusive evidence (*Portal v. Emmens* (1) followed).

Appeal dismissed.

Case referred to judgment

(1) *Portal v. Emmens* (1876), 1 C.P.D. 201.

13 January 1971. The following considered judgments were read.

Judgment

Mustafa JA: The appellant (hereinafter called the company) was incorporated as a public company in Uganda on 18 January 1964 with limited liability. The share capital of the company was divided into 500 ordinary shares of Shs. 20/- each. The company had power to increase or reduce capital. The respondents claimed that they had paid money to the company for the purchase of shares and claimed they were not issued with or allotted the shares they had purchased. The respondents successfully filed an action in the High Court claiming:

(1) that the company be ordered to allot to each of them the number of shares they had purchased;

(2) the company be directed to rectify the register of members accordingly. The company now appeals.

Prior to the incorporation of the company some promoters held public meetings when members of the public were asked to purchase shares of the proposed company. The value of each share was Shs. 20/-. A number of people paid money to the promoters. Respondents 1, 2, 3 and 4 paid sums of money and were issued with receipts for the purchase of shares before the incorporation, and the rest of the respondents paid for their shares after the incorporation of the company. The first respondent paid two sums of money before incorporation and one sum after incorporation. In its statement of defence to the plaint the company admitted having received only one sum of Shs. 1,000/- from the first respondent prior to its incorporation and denied receipt of any other sums of money from him. The company also denied having received any sums of money from the other respondents. At the hearing when receipts were produced, the company conceded that all the respondents had paid sums of money for the purchase of shares as alleged in the plaint.

The company alleged that on 7 August 1967 the share capital of the company was reconstituted by consolidating the original 500 shares of Shs. 20/- each into 10 shares of Shs. 1,000/- each and also the nominal capital of the company was increased from Shs. 10,000/- to Shs. 100,000/-.

The Registrar of Companies received notice of the consolidation of shares on 7 August 1967, and on 8 August 1967 he received the first return of allotment of shares dated 29 July 1967 from the company. The return showed that 443 shares of Shs. 20/- each were allotted to 9 persons. Seven of the persons named were subscribers to the memorandum and articles of association and they were each allotted 49 shares and the two new persons were allotted 50 shares each. Including the subscribers shares that would mean 450 shares had been allotted.

The trial judge found as a fact that there was a contract between the respondents and the company. He held that the respondents were therefore entitled to be allotted the shares for which they had paid and ordered that a register of members be prepared forthwith accordingly.

The affairs of the company, as the trial judge rightly said, were in a chaotic state. It is abundantly clear that the company:

(1) had no share register

(2) had never issued any shares

(3) had no share certificates

(4) had no minutes of meetings

(5) had not issued a prospectus or statement in lieu, and

(6) had not convened a statutory meeting.

By article 42 of the articles of association a quorum for a meeting was 25. It is clear none of the meetings which allegedly took place had a quorum as there was never this number of members at the relevant dates. The trial judge held that the court was not bound by the various returns submitted by the company to the registrar of companies as the contents of these returns, in the circumstances, could not accurately reflect the true state of affairs, in law or in fact. The trial judge further held that the only valid shares were the subscribers' shares allotted in the memorandum of association. He declared invalid the other purported allotments, as well as the purported consolidation and increase in share capital. The trial judge also declared illegal the removal of directors and their replacement by the company, as well as the meetings allegedly held by the company.

In its appeal the company alleged that as the first, second, third and fourth respondents had paid money for the purchase of their shares prior to the incorporation of the company their claims could only be against the promoters of the company personally, as no pre-incorporation agreement could bind the company, and the company could not, after incorporation, ratify or adopt any such agreement. I agree. In order that the company may be bound by agreements entered into before its incorporation there must be anew contract to the same effect as the previous agreement. This contract may however be inferred from the acts of the company when incorporated – see 6 Halsbury's Laws, 3rd Edn., para. 825. The trial judge gave reasons for his factual finding that there was such a contract with the company. He accepted the evidence of the first respondent and referred to the "deposit from members Shs. 35,940/-". Again Sadoki a subscriber to the memorandum of association and therefore one of the first directors (see art. 52 of the articles of the association) stated: "We had meetings of directors who were people who had signed memorandum and articles. Decided that subscribers be given shares". There is also the fact that although the company alleged that the first respondent had only paid Shs. 1,000/- prior to incorporation, it did allot shares to him after its incorporation. There was sufficient evidence for the trial judge to find that there was a contract between the first four respondents and the company, and I do not agree that this finding was outside the scope of the pleadings. I see no reason to interfere with this finding.

As regards the other respondents who had paid for their shares after the incorporation of the company, the company had alleged that it had, before the filing of the case, allotted all the 500 shares to its members and no more shares were therefore left to allot. It submitted these respondents therefore could only recover the money they had paid or claim for damages for failure to allot them their shares.

The company submitted that the trial judge had not exercised his discretion properly in granting specific performance of the contract to allot shares to the respondents. The company referred to ss. 50 and 51 of the Companies Act (Cap. 85) and alleged that there was no mutuality as the allotments were voidable at the instance of the respondents since no prospectus or statement in lieu was issued. The company also submitted that as it had already allotted all its shares the court was in fact ordering it to perform the impossible. I see no merit whatsoever in these contentions. The respondents were not attempting to avoid any allotments, they were asking for an allotment of shares for which they had

already paid. The question of mutuality does not arise. The trial judge found that the purported allotment of shares, apart from the seven original subscribers' shares, were null and void. It is not surprising that he did so. As was pointed out earlier, the company never had a properly convened meeting with the requisite quorum, and had no minutes of any meetings. The company in fact failed to comply with any of the basic and fundamental requirements of the Companies Act or its own articles of association. Its purported allotment of shares by means of its allotment return dated 29 July 1967 was rightly declared invalid, null and void. As such there were sufficient shares in the company which could be allotted to the respondents and the trial judge accordingly made the necessary order.

The company also submitted that the trial judge's order in effect deprived the allottees of their shares when the allottees were not parties to the suit and had no opportunity of being heard. That would offend against the rule of natural justice. On the face of it this point has substance. Counsel for the respondents submitted that the allottees were never shareholders or members of the company and therefore were not affected by the trial judge's order. He referred to s. 28 of the Companies Act, which reads as follows:

> "28. (1) The subscribers to the memorandum of a company shall be deemed to have agreed to become members of the company, and on its registration shall be entered as members in its register of members.
>
> (2) Every other person who agrees to become a member of the company, and whose name is entered in its register of members, shall be a member of the company."

He submitted that as there was no register of members the allottees of the shares could not have been members of the company. He referred to Palmer's Company Law, 19th Edn., for that proposition. I have not been able to obtain the 19th Edition here but have obtained the 21st Edition. In dealing with s. 26 of the Companies Acts of England (which corresponds with s. 28 above) at p. 441 this passage occurs:

> "In the case of members other than the subscribers to the memorandum two essential conditions have to be satisfied to constitute a person a member:
>
> 1. an agreement to become a member
>
> 2. entry on the register.
>
> These two conditions are cumulative: unless these are both satisfied the person in question has not acquired the status of member."

I am not persuaded that this view of the law, if it is a correct statement, is appropriate to Uganda or East Africa, taking into consideration the conditions obtaining here. It is well known that very many local companies in East Africa carry on their affairs without strict compliance with all the requirements of the Companies Act and such a strict view may cause injustice. If a person has paid for his shares and has been issued with a share certificate but his name is not in the share register, such a person should be allowed to prove he is a member despite the absence of his name in the register, or the absence of a register. I much prefer the proposition set out in Buckley On The Companies Act, 12th Edn., where in dealing with the same section it is stated on pp. 56 and 57:

> " 'The register is most important but is not conclusive.
>
> . . .'
>
> In *Portal v. Emmens* (1876), 1 C.P.D. 201 the Court of Common Pleas said of the Clauses Act 1845

> ‘The true view of the Act we take to be as follows:
>
> 1. If a proper register is kept, the register is *prima facie* evidence that the person whose name is on it is a shareholder.
> 2. . . .
> 3. If there be no register, or if the register is so defective as to be inadmissible in evidence, other evidence must be adduced to prove that a person is a shareholder.’ ”

In my view, although the trial judge was right in holding that the allotment of shares on 29 July 1967 was invalid, null and void, it does not necessarily mean these allottees cannot claim to be issued and allotted shares in proper form by the company if they can prove they are so entitled, despite the absence of a register of members. It is for them to take action to enforce their rights if they so desire. In the present case I do not think the rights of the respondents necessarily conflict with those of the allottees. In any event the rights of the respondents existed before the purported allotment. According to its memorandum of association the company has the right to increase its share capital and in fact it had purported, albeit invalidly, to do so. In these circumstances, I do not see how the rights of these allottees can be prejudiced by the trial judge’s order. I do not think the trial judge’s order offends natural justice in this case.

The company submitted that the trial judge erred in granting reliefs to the respondents which they did not seek. The respondents only prayed for an order:

> (1) that the company allot to each of them the shares they had claimed;
>
> (2) to rectify the register of members in accordance with such allotments.

The trial judge in his judgment granted these two prayers and further ordered and decreed:

> “(*a*) that the initial allotment of shares other than shares as shown and actually allotted in the memorandum of association of the defendant, the consolidation of the defendant’s 500 ordinary shares of 20/- each into 10 shares of 1,000/- each on the 7th August 1967 and increase of the capital of the defendant to 100,000/- by creation of 90 shares of 1,000/- each on 7th August 1967 and the allotment of 90 new shares are invalid,
>
> (*b*) the removal of existing directors of the defendant and their replacement is illegal and none of the meetings were legally constituted or held after due notice with proper quorum or minutes.”

As regards (*a*) I am of opinion it is directly concerned with and is consequent on the prayers by the respondents and it was necessary that it be made. As regards (*b*) I agree that the trial judge erred in making it. It was not consequential on the prayers and was not sought by the respondents. I would set aside this part of the order.

As regards cost in the High Court the company submitted that the trial judge erred in awarding costs to the respondents with a certificate for two counsel without an initial application to that effect by the respondents. Costs are always in the discretion of the court and the trial judge must have been of the view that the case merited a certificate for two advocates. I see nothing wrong with that order for costs.

In the result, apart from setting aside part of the order as above stated, which does not in any way affect the substance of the appeal, I would dismiss this appeal with costs.

Sir William Duffus P: I have had the advantage of reading the judgment of Mustafa, J.A. in draft. As both the trial judge and Mustafa, J.A. point out, there appears to have been an almost complete disregard of the provisions of the Companies Act (Cap. 85) by those responsible for the running of the affairs of this company. I am of the view that the trial judge on the established facts arrived at an equitable and correct decision except that as Mustafa, J.A. points out, his order went beyond the relief sought in the plaint. I agree with the judgment of Mustafa, J.A. and with the order he proposes and as Lutta, J.A. also agrees, the appeal will be allowed in so far as that the order of the High Court decreeing that the removal of existing directors and their replacement is illegal and declaring that none of the meetings were legally constituted or held after due notice with a proper quorum or minutes is set aside, but otherwise it is ordered that the appeal be dismissed. As the appeal has succeeded only on a comparatively minor point and one that was not disputed, I agree that the costs of this appeal be the respondent's and as Lutta, J.A. and Mustafa, J.A. agree it is so ordered.

Lutta JA: I have had the advantage of reading in draft the judgment prepared by Mustafa, J.A. and I agree and have very little to add.

Section 118 of the Companies Act gives power to the court to rectify the register of members of a company in cases where either the name of any person is, "without sufficient cause, entered in or omitted from" the register or where there has been a default or unnecessary delay in entering on the register "the fact of any person having ceased to be a member". It seems to me that in such cases the register cannot be said to be conclusive of membership of the company and I do not agree that s. 28 of the Companies Act makes the register of members final and conclusive of the membership. A person may agree to be a shareholder and is made a shareholder by paying for his shares and actually being issued with share certificates, or being given receipts in respect of the payment although his name may not, de facto, be in the register. It cannot be said that such a person cannot prove his membership. In my view, by reason of the peculiar facts of this case, the allottees, that is, the persons who were allotted shares on 29 July 1967 are entitled under s. 118 of the Companies Act to apply to the court to have their names entered in the register.

Appeal dismissed.

For the appellant:
RS Dave and *JC Patel*

For the respondents:
PJ Wilkinson QC and *MP Vyas*

I v I
[1971] 1 EA 278 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	25 November 1970
Case Number:	19/1970 (57/71)
Before:	Trevelyan J
Sourced by:	LawAfrica

[1] Statute – General application – Whether of general application in England – Married Women's Property Act 1882 *– Judicature Act* (*Cap.* 8), *s.* 8 (*K.*).

[2] Statute – General application – Whether circumstances of inhabitants require qualification of statute of general application – Married Women's Property Act 1882 *– Judicature Act* (*Cap.* 8), *s.* 8 (1) (*K.*).

[3] Statute – General application – Customary law subject to written law including statutes of general application – Judicature Act (*Cap.* 8), *s.* 8 (3) (*K.*).

[4] Husband and Wife – Property – Wife may own separate property – Married Women's Property Act 1882.

[5] Husband and Wife – Property – Conveyed into wife's name – Presumption of advancement – Not rebutted.

[6] Husband and Wife – Property – Identifiable fund – Original property represented by shares and deposits – Identifiable.

[7] Husband and Wife – Settlement – Post-nuptial settlement – Meaning – Matrimonial Causes Act (*Cap.* 152), *s.* 28 (*K.*).

[8] Husband and Wife – Settlement – Variation – Post-nuptial settlement – Principles on which variation ordered – Matrimonial Causes Act (*Cap.* 152), *s.* 28 (*K.*).

Editor's Summary

The applicant husband had divorced the respondent for adultery and thereafter applied for the determination of the parties' interest in a house, and if the respondent was held to have any interest, for the settlement of it on the applicant and the child of the marriage. The house had been put into the parties' joint names although the respondent had not contributed to the purchase price. On the sale of the house £1,000 was paid to the respondent and the balance invested.

The applicant contended that the Married Women's Property Act 1882 was not a statute of general application, that the presumption of advancement in favour of the respondent had been rebutted, that there was no longer any identifiable fund in respect of which an order could be made, and finally that the post-nuptial settlement be varied in favour of the applicant and the child. The respondent contended that no variation should be made since in view of the applicant's earnings, the break up of the marriage would not affect the standard of living of either himself or the child.

Held –

(i) the test of whether a statute is of general application is whether it was a statute of general application in England on 12 August 1897;

(ii) the Married Women's Property Act 1882 was such a statute;

(iii) the circumstances of Kenya and its inhabitants do not require that married women should not be able to hold property;

(iv) the fact that the majority of the country's inhabitants are subject to customary law is irrelevant as customary law is subject to any written law;

(v) as the applicant had put the house in the respondent's name to avoid death duties the presumption of advancement to a wife had not been rebutted (*Tinker v. Tinker* (12) followed);

(vi) as the proceeds of the sale of the house were represented by deposits and shares there was an identifiable fund in respect of which an order could be made.

(vii) there was a post-nuptial settlement within the meaning of the Matrimonial Causes Act, s. 28 (*Prinsep v. Prinsep* (4) followed);

(viii) the object of variation of a post-nuptial settlement is to make proper provision for the injured spouse and the children but that the settlement should not be interfered with further than necessary for that purpose;

(ix) on the facts the applicant had not shown a case for a variation of the settlement, as he had not shown a deterioration of his mode of life.

Order accordingly.

Cases referred to judgment

(1) *March v. March and Palumbo* (1867), L.R. 1. P. & D. 440.

(2) *Noel v. Noel* (1885), 10 P.D. 179.

(3) *Prinsep v. Prinsep*, [1929] P. 225.

(4) *Prinsep v. Prinsep*, [1930] P. 35.

(5) *Smith v. Smith*, [1945] 1 All E.R. 584.

(6) *Rimmer v. Rimmer*, [1953] 1 Q.B. 63.

(7) *Tunstall v. Tunstall*, [1953] 2 All E.R. 310.

(8) *Fribance v. Fribance*, [1957] 1 All E.R. 357.

(9) *Silver v. Silver*, [1958] 1 All E.R. 523.

(10) *Compton v. Compton and Hussey*, [1960] P. 201.

(11) *Smith v. Smith*, [1970] 1 All E.R. 244.

(12) *Tinker v. Tinker*, [1970] 1 All E.R. 540.

(13) *Spizewski v. Spizewski*, [1970] 1 All E.R. 794.

Judgment

Trevelyan J: In this application I am asked to declare the interests of a man and his wife, now divorced, in the proceeds of the sale of a house, number 4, the Mount, Weybridge, Surrey which I shall refer to as "the house" and, should I come to the conclusion that the wife, as I shall call her, is entitled to some share therein then to treat her interest as having been settled upon her by the husband and order it to be applied for him and the two children of the marriage, or upon him, or them. The application for the declaration is made under s. 17 of the Married Women's Property Act 1882 and that for a variation, under s. 27 or s. 28 of the Matrimonial Causes Act (Cap. 152). On the facts of the case I need say no more about s. 27 but for a better under-standing of the problems involved I will at once set out the other two provisions. Section 17 enacts that:

> "In any question between husband and wife as to the title to or possession of property"

either of them may apply for an order to the High Court or a County Court and the judge:

> "may make such order with respect to the property in dispute . . . as he thinks fit."

And in the language of s. 28:

> "The court may, after pronouncing a decree for divorce or for nullity of marriage, inquire into the existence of ante-nuptial or post nuptial settlements

made on the parties whose marriage is the subject of the decree, and make such orders with reference to the application of the whole or any part of the property settled either for the benefit of the children of the marriage or for that of the parties to the marriage as the court thinks fit."

There are five issues which I shall deal with seriatim. They are:

(1) Does the Married Women's Property Act 1882 apply to Kenya?

(2) Has the presumption of advancement to the wife been rebutted?

(3) Is there an identifiable fund on which an order under s. 28 can be made?

(4) Is there a settlement for the purposes of the section? and

(5) Is there a case for variation?

The house was bought in 1961. The husband says, "when I bought this house I put it into the joint names of myself and my wife", whilst the wife says that at first it was in her name being put into the joint names at a later stage and at the husband's request. Though the husband has not denied this, the wife's affidavit talks of joint ownership and the case came to me on that basis. And though I would have had to approach the matter rather differently I doubt that the result would have been much different in its effect if I had to proceed on the basis of the house having first been in her name. We do not know more than that money was borrowed on mortgage to enable the house to be purchased and we have not been told what down payment was made. But it is, I think, a not unfair assumption that the repayments over a period of some six or seven years were made out of the husband's earnings. The house was sold in 1967 and the nett proceeds came to about £9,000. The husband says that the wife did not object to the money coming to him and that he gave her £1,000 out of it as a gift, and she says that she did not agree to that and that the £1,000 was part of her entitlement; which I am inclined to accept. At any rate there was a balance of about £8,000 out of which, says the husband, he spent £2,273.19.5 but I cannot accept this because he also tells us that "of the balance" i.e. of the £8,000, he invested £1,600 in a company called Glynwed and £6,000 on the purchase of a house in Kenya and for furniture. This house was bought in the husband's name and the wife tells us that she had thought that it would go into their joint names. She says that she asked her husband to do this but that he refused, and there is no doubt that this is so because, though the husband says that he regarded the money "as purely mine", he admits that she did ask him to do so. This house and furniture were sold and the proceeds were re-invested in what has been called the "Dover Plan". Of this holding part has, since these proceedings began, been turned into Shs. 70,000/- which money is lying on deposit in a bank. The husband tells us that the value of the unsold unit is about Shs. 20,000/- and that the Glynwed shares are worth about Shs. 26,000/- so that with the Shs. 70,000/- there is a total of about Shs. 116,000/- involved.

The husband earns £7,500 a year though he surprisingly tells us that his "take home" salary is only £300 a month. He says that he is 47 years old, suffers as a consequence of his wife's infidelity from reactive depression and that this has taken him off flying duties and may require him to retire from flying two years or so earlier than he would otherwise have had to do. He tells us that he will be good for nothing when he retires so that he will only have £14,000 from a pension fund on which to live. This is a pessimistic outlook worthy only of Cassandra. It is not one for a man of his age, a man with the ability and courage to become an airline pilot, to take up. So far as the children are concerned the daughter no longer needs support and the boy is at public school costing about £750 a year. The wife hopes to marry the co-respondent but at the moment has no income and no capital beyond £100 on current account.

There are other facts to be dealt with but they can be more conveniently discussed later and I now turn to the issues.

In regard to the first, the Married Women's Property Act 1882 undoubtedly applies to this country. The argument that it does not is based on s. 3 of the Judicature Act (Cap. 8) and is built up on the proposition that a statute cannot be of general application unless it is applicable to courts generally. So far as I need to set it out the section reads:

> "(1) The jurisdiction of the High Court and of all subordinate courts shall be exercised in conformity with (*a*) the constitution; (*b*) subject there-to, all other written laws . . . ; (*c*) subject thereto and so far as the same do not extend or apply, the substance of the common law, the doctrines of equity, and the statutes of general application in force in England on the 12th August 1897. . . . Provided that the said common law, doctrines of equity and statutes of general application shall apply so far only as the circumstances of Kenya and its inhabitants permit and subject to such qualifications as those circumstances may render necessary.
>
> (2) The High Court and all subordinate courts shall be guided by African customary law in civil cases in which one or more of the parties is subject to it or affected by it, so far as it is applicable and is not repugnant to justice and morality or inconsistent with any written law . . ."

With respect the argument is misconceived. It is not a question of whether an Act is of general application here but whether on 12 August 1897 it was a statute of general application in England. In any event were I to have been of the opinion that the common law applied I would have used the proviso, for the circumstances of Kenya and its inhabitants do not generally require that a woman should not be able to own property. As for the argument that the Act cannot be of general application because the majority of this country's in-habitants are governed by customary law, I would say that sub-s. (2) is but a gloss on sub-s. (1) and that in any case it shows that a written law is to be preferred to customary law even where the parties or one of them is subject thereto.

As for the second issue, the presumption of advancement to the wife has not been (and I believe could not have been) rebutted on the facts. The husband told us that:

> "The house in England had been put in our joint names for Estate Duty purposes but as Estate Duty in Kenya is so much lower there was no purpose in attempting to effect an estate duty saving. The Respondent acquiesced."

The husband relies on *Silver v. Silver*, [1958] 1 All E.R. 523 in which Parker, L.J. (as he then was) after referring to *Fribance v. Fribance*, [1957] 1 All E.R. 357 and *Rimmer v. Rimmer*, [1953] 1 Q.B. 63 said:

> "I think that in the case of a family asset such as a house or the furniture acquired for the joint use of the spouses, the presumption of an advancement can easily be rebutted.

Which, with respect, I agree. Following a rebuttal there would be a resulting trust. In this case such a trust would be in favour of the husband if he bought the house in his wife's name, but I leave open what the position would be if the house was first bought in the wife's name, particularly as we know nothing of the circumstances concerning it. It does not matter to us, however, and need not be pursued, for when I drew the attention of counsel for the husband to *Tinker v. Tinker*, [1970] 1 All E.R. 540 in which it was held that the presumption that property was conveyed to the wife for her own use was not rebutted by the

husband's evidence that it was conveyed to defeat his creditors and consequently it belonged to the wife, and suggested that our facts were somewhat similar for the house was conveyed (according to the husband) to avoid death duties on his death, he changed his position and said that by acquiescence the wife had made a gift of the proceeds to the husband, which fails both on the facts and in equity. The wife has denied making the gift, which denial I accept, and a transfer from a husband to a wife is on a different footing from a transfer by a wife to a husband. In the latter case there is raised a presumption of trust. Assuming such a presumption here, it has not been rebutted.

As for the third issue, there is an identifiable fund, or rather there are identifiable funds, here. As was made clear in *Tunstall v. Tunstall*, [1953] 2 All E.R. 310 there must be an identifiable fund before an order (under a section similar to our s. 28) can be made, for there is no power under the section to order the payment of money. But we have three identifiable funds. It has been established that the proceeds of the sale of the house are now represented by the Glynwed shares, the deposit of Shs. 70,000/- and the balance of the holding in the Dover Plan and it is to be remembered that the transaction giving rise to the Shs. 70,000/- was effected after these proceedings began.

Dealing with the fourth issue, there was a post-nuptial settlement to attract the attention of s. 28. There was no real contest about it; neither is there a doubt. In the context of s. 28 the expression "settlement" is wider than that usually given to it by conveyancers. In *Prinsep v. Prinsep*, [1929] P. 225, at p. 232 Hill, J. said:

> "Is it [i.e. the settlement] upon the husband in the character of husband or in the wife in the character of wife, or upon both in the character of husband and wife? If it is, it is a settlement on the parties within the meaning of the section. The particular form of it does not matter. It may be a settlement in the strictest sense of the term, it may be a covenant to pay by one spouse to the other, or by a third person to a spouse. What does matter is that it should provide for the financial benefit of one or other or both of the spouses as spouses and with reference to their named state."

Denning, J (as he then was) spoke in similar terms in *Smith v. Smith*. [1945] 1 All E.R. 584. The foregoing is all just as applicable to s. 28.

And so we come to the final issue and the rest of the facts need now to be stated. The husband says that in regard to the boy's education he has "not hitherto been able to pay all his school expenses out of income" and "I have always expected to have to use capital for educating my son and the capital that I expected to use was that originally invested in the English house". I am impelled to say that coming from a man earning £7,500 a year, those are surprising words. But whether they are or are not, I find myself unable to believe what he says. The children were born in 1950 and 1956 and the house was purchased in 1960. Are we to understand that the matrimonial home was to be sold to educate the boy? If it is suggested that such intention was not formed till later, it is to be said that another house was bought. But let us compare the husband's outgoing as he says they were while his wife was living with him, and now. He says that when she went out to work she kept whatever she earned and contributed nothing to the matrimonial capital, he paying all the household expenses (though she says that she worked for about ten years, bought food and clothes and generally contributed to those expenses). I am not prepared to disbelieve her and, of course, if she did, it left her husband with extra money for other purposes. The husband also claims that "throughout . . . our married life the respondent was most extravagant and she never saved anything on our return here, my wife the respondent drew on unlimited charge accounts for all purposes that she needed and, in addition, I used to give her £5 a week as a

personal allowance". It is surely and immediately clear that if the wife was as extravagant as he says he must now be better off financially than when she was a drain on his financial resources. Without her he is saving £260 a year in pin money and the consequences of her extravagance too. No reasonable husband earning £7,500 a year would castigate his wife as extravagant unless she frittered away say £750 or £1,000 a year at least and we have heard nothing of them or him having to sell anything to realise capital to pay school fees or anything else. I am minded to think that the school fees should quite comfortably be able to be paid out of the saving from extravagance. How the husband could declare on oath that he has "not been able to save anything" I do not know. Nor do I understand how he can claim now to be worse off financially than he was some three months ago. It has not so been proved to me. And lastly on this aspect of the case, he appears to blame his liability in the sum of Shs. 70,000/- for income tax on to his wife's extravagance too. But it is surtax not yet due for payment to which he is referring, and like other people he can and should pay it when it falls due arranging his finances accordingly. If he loses his job he can pay it out of his £14,000. I fail to understand why counsel, when I suggested this, said that as the £14,000 would be paid in England it would be wrong to bring any part of it back to Kenya.

I have been referred to the general principles relating to the variation of settlements as set out in paragraph 52 on p. 270 of Rayden on Divorce, 10th Edn., and to such cases as *March v. March and Palumbo* (1867), L.R. 1 P. & D. 440, *Noel v. Noel* (1885), 10 P.D. 179, *Compton v. Compton and Hussey*, [1960] P. 201 and *Spizewski v. Spizewski*, [1970] 1 All E.R. 794 in regard to the principles involved. I accept that the main object of variation is to make proper provision for the injured spouse and the children of the marriage, and that, *prima facie* settlements should not be interfered with further than is necessary for that purpose: *Prinsep v. Prinsep*, [1930] P. 35, 47 C.A. I also accept that the court will take into account the probable pecuniary position which the parties and their children would have occupied if the parties had lived together in harmony on their joint incomes: *March v. March and Palumbo* (above) at p. 442. Indeed in its unlimited jurisdiction a court, as was stated in *Smith v. Smith*, [1970] 1 All E.R. 244 in relation to s. 17 of the Matrimonial Causes Act 1965, which is similar to our s. 28, is entitled to consider "the conduct of the parties; the incomes of each; their ages; their standards of living; the contributions made by each, and not merely their financial contributions, direct or indirect, but also any contributions made (Particularly by the wife) by looking after the home and caring for the children".

What is there to require a variation here? A boy will be kept at a public school for four years or so, the fees being about one-tenth of his father's earnings; the husband has reactive depression as a result of which there is a possibility, no more, that he may have to give up flying as a career. At the moment it cannot be said that he is financially worse off than when his wife was living with him. And the wife, who is very badly off may marry the co-respondent. For all the husband's reactive depression and his indignation at his wife's infidelity two facts are for mentioning, that the parties were married for 22 years before the marriage broke up and that five or six years before that the husband carried on a clandestine, undiscovered, adulterous association with a woman. It ill fell from the lips of his counsel that "It is a case if ever there were one where she should not be allowed to walk away with a capital sum" and counsel for the wife countered it neatly enough when he said that the husband had "lost nothing financially" on his case. The long and short of it is that at one point of their marriage either the wife put the house which had then been in her name into the names of both of them or the husband had it put straight into their two names. Whichever it was the wife, on what is before me, was certainly beneficially

entitled to one half thereof. Nothing has emerged to show that she gave any part of her share back to her husband, and nothing that I have heard leads me to believe that unless I order a variation the husband's mode of life will have to deteriorate or that the boy will need to be removed from his school. I am satisfied that the husband genuinely wants the boy to go through public school and I am just as satisfied that without a variation and without affecting his mode of living he can pay for the same, certainly out of his present income and without recourse to capital. We must not forget with what we are dealing. It is the half share in the house belonging to the wife as represented by certain investments and cash.

The wife was entitled to one half the proceeds of the house. She received £1,000 out of that half share and she is now entitled to one half of the shares in Glynwed one half of the units in the Dover Plan and one half of the Shs. 70,000/-, less £1,000. That I do not allow for the £2,273.19.5 is because the payments were not made out of the proceeds. They could not have been on what else the husband told us. The payments are the usual sort made out of a man's income. As arranged I will hear counsel on the form that the order should take, and costs.

Order accordingly.

For the applicant:
JA Couldrey (instructed by *Kaplan & Stratton*, Nairobi)

For the respondent:
P Le Pelley (instructed by *Hamilton Harrison & Mathews*, Nairobi)

Kalemera v Salaama Estates Ltd
[1971] 1 EA 284 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	27 March 1971
Case Number:	157/1970 (62/71)
Before:	Phadke J
Sourced by:	LawAfrica

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[1] Civil Practice and Procedure – Setting aside – Ex parte judgment – Not possible prior to judgment – Civil Procedure Rules, O. 9, r. 24 (U.).

[2] Civil Practice and Procedure – Inherent jurisdiction – Rehearing – Will be ordered where judgment would be set aside.

Editor's Summary

The case was heard in the absence of the defendant who did not appear. On the next day, before judgment had been written or delivered, the defendant applied for a rehearing of the case on the ground that its advocate had entered the hearing date incorrectly in his diary. The plaintiff contended that application could be made only after judgment had been delivered.

Held –

(i) no application could be made under O. 9, r. 24 before judgment;

(ii) a rehearing could and would be ordered in the exercise of the court's inherent jurisdiction.

Application allowed on terms.

Cases referred to judgment

(1) *Redditch Benefit Building Society v. Roberts*, [1940] 1 All E.R. 342.

(2) *Jamnadass V. Sodha v. Gordhandas Hemraj* (1952), 7 U.L.R. 7.

Judgment

Phadke J: On 1 May 1970, after the pleadings had closed, representatives of the respective advocates for the parties attended at the civil registry for fixing a date of hearing for this suit, and by consent the hearing was fixed for 28 September 1970. On this date of hearing, when the suit was called on in court, Mr. Kakooza appeared for the plaintiff but there was no appearance on behalf of the defendant. I heard the plaintiff's case *ex parte* under O. 9, r. 17 (1) (*a*), Civil Procedure Rules, and reserved judgment to a date to be notified. On the day following, this notice of motion was filed by the defendant's advocate applying for re-hearing of the suit. Because of the pendency of this application, I have not written the judgment.

This application is made under s. 101, Civil Procedure Act, which saves the inherent powers of the court to make such orders as may be necessary for the ends of justice, or alternatively under O. 9, r. 24, Civil Procedure Rules, which provides for setting aside an *ex parte* decree for any sufficient cause. I hold that O. 9, r. 24 is not applicable as no judgment has been delivered and there is no decree to set aside. It has been submitted by Mr. Kakooza that this application is premature. He argued that s. 101 cannot apply and that the defendant should have waited until judgment was delivered and then applied under O. 9, r. 24. I do not agree with this submission. In my opinion, the application is competent and can be entertained by virtue of s. 101. This section is parallel to s. 151 of the Indian Civil Procedure Code, and the remarks in Chitaley & Rao that "there will always be cases and circumstances which are not covered by the express provisions of the Code wherein justice has to be done" are very apt. This is one of such cases.

The application is supported by the affidavit of Mr. Jonathan Kateera, the defendant's advocate. Mr. Kateera states that due to an error on his part he mistakenly entered the hearing of this suit in his diary for 29 September instead of 28 September 1970 as had been fixed. Owing to this error, he did not attend court on 28 September, but did so on 29 September when he learnt that the suit had already been heard on the previous day and judgment had been reserved. I will say at once that I do not doubt the truth of what Mr. Kateera has stated in his affidavit, and I will add that on 29 September he saw me in chambers and explained the reason for his absence at the hearing on the previous day. Then, on that very day, he filed this application.

Mr. Kakooza submitted that the contents of the two affidavits sworn by Mr. Kateera indicate negligence on Mr. Kateera's part. I do not take such an extreme view of the circumstances. I prefer to treat the circumstances as arising out of an honest mistake, and what I will examine is whether that mistake can be treated as an excusable misfortune which calls for indulgence to be shown for the ends of justice under s. 101, Civil Procedure Act.

The test to be applied under s. 101 which speaks of "the ends of justice" is, in my opinion, wider in its terms and permits a greater discretion than under others orders, including O. 9 r. 24, which speak only of "sufficient cause". In construing the scope of this wider discretion, I consider that the following observations of Ainley, J. in *Jamnadas V. Sodha v. Gordhandas Hemraj* (1952), 7 U.L.R. 7, at p. 11, provide a very useful guide, and I propose to respectfully follow them.

> "In my view that (i.e. the poverty of the excuse) is not the sole matter which must be considered in cases of this kind. The nature of the action should be considered, the defence, if one has been brought to the notice of the court, however irregularly, should be considered, the question as to whether the plaintiff can reasonably be compensated by costs for any delay occasioned should be considered, and finally I think it should always be

remembered that to deny the subject a hearing should be the last resort of a court."

In this suit, the plaintiff's claim is for damages for wrongful dismissal. The defendant contends that the dismissal was justified under the terms of the written contract (annexed to the written statement of defence) between the parties. Clearly, the circumstances require that the defence be heard on its merits. If I may paraphrase the view of Clauson, L.J. in *Redditch Benefit Building Society v. Roberts*, [1940] 1 All E.R. 342, the defendant is here and is anxious to be put in a position to defend. Looking at the matter from the plaintiff's side, I do not think that he will be prejudiced or suffer hardship if he can be adequately compensated by costs.

I have reached the conclusion that the circumstances of this case are such that "ends of justice" require that a rehearing should take place. To avoid any misunderstanding about this conclusion, I wish to make it clear that I have riveted my attention to the circumstances of the error in this particular case, and not attempted to prescribe a general rule for dealing with all errors because there can be errors and errors involving circumstances of infinite variety.

I grant the application but will impose terms upon the defendant. I order that the defendant shall pay the plaintiff, through the plaintiff's advocate, not later than 7 April 1971, the costs thrown away which I assess at Shs. 300/- inclusive of the costs of this application. If the defendant duly complies with this order for costs, I direct that there shall be a re-hearing of this suit on a date to be fixed by the Registrar.

Application allowed.

For the plaintiff:
C Kakooza (instructed by *Kakooza & Co*, Kampala)

For the defendant:
J Kateera (instructed by *Hunter & Greig*, Kampala)

Okechi v Mowlem Construction Co Ltd
[1971] 1 EA 286 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	5 April 1971
Case Number:	662/1970 (66/71)
Before:	Youds J
Sourced by:	LawAfrica

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[1] Damages – Personal injuries – Quantum – Loss of wages – Multiplier used.

[2] Damages – Personal injuries – Quantum – Loss of hand and wrist.

Editor's Summary

The plaintiff, a 22 year old builder's labourer, lost his right hand, wrist and two inches of his forearm. He would not be able to work again. He earned Shs. 96/- a month net. The court was asked to assess

damages.

Held –

(i) for loss of earnings he would be awarded Shs. 20,000/-, based on a multiplier of 20, less an allowance for immediate payment;

(ii) for loss of his limb, pain and suffering and loss of the amenities of life he would be awarded Shs. 75,000/-.

Judgment for the plaintiff for Shs. 95,000/-.

No cases referred to in judgment

Judgment

Youds J: This is a claim for damages for personal injuries brought by a 22 year old builder's labourer John Okechi against Mowlem Construction Company Ltd., in whose employ he was on 5 June 1970 at a hospital building site at Kayunga when his right hand and forearm became caught up in the moving parts of a cement-mixing machine. It was one and a half hours before the plaintiff's hand and forearm could be released from the machine; he was rushed off to hospital where it was found that the injuries were so severe that his hand, wrist and the lower two inches of his forearm had to be amputated.

The plaintiff alleges that this very tragic accident happened to him whilst he was in the act of cleaning the power-driven cement-mixing machine. Another employee of the defendant came along and carelessly re-started the machine, with the result that the plaintiff's right hand and forearm were caught and dragged into the driving chain and gear wheels of the machine. The plaintiff sues the defendant on the ground that the company is vicariously liable for the negligence of its employee and servant, the company has not entered any written defence to the claim, interlocutory judgment has already been entered against the company, and the claim comes before me to assess the damages to which the plaintiff is entitled.

So far as the plaintiff's injuries are concerned, they speak for themselves and I have also had the advantage of the oral evidence of Mr. Manubhai B. Patel, a consulting surgeon, who submitted his medical report after examining the plaintiff. Mr. Patel gave evidence that artificial arms are not supplied or fitted to disabled persons in Uganda and that whilst there is a rehabilitation centre at Kampala for training handicapped persons, it is extremely difficult to obtain a place in one of the training classes, and of course the plaintiff has further difficulties in that he lives about 28 miles out of Kampala and his scholastic attainments are almost non-existent because his parents were too poor to pay for his schooling after he reached primary seven standard. I find it almost impossible to envisage any lucrative employment which the plaintiff can undertake with a single left hand and arm.

The plaintiff himself gave evidence that he is 22 years of age, a right-handed man, single with no dependants, and that he had worked for the defendant as a labourer and cement-mixing machine operator for about six months prior to the happening of his accident. He was receiving wages of Shs. 150/- a month gross, but by the time deductions had been made for union fees, graduated tax and insurances, he only received on an average about Shs. 96/- a month. It is a sorry reflection on the low standards of wages in Uganda that the plaintiff's nett earnings were so low, but of course I have to accept his evidence, and his very low earning capacity must materially affect the award of damages that I make to him when one of his main items of loss is the deprivation of his earning capacity. The plaintiff relied upon his hands and limbs to earn his living, and the loss of his right hand part of his forearm have virtually ended his working life as a manual labourer.

As regards his present and future loss of earning capacity, on the evidence before me the plaintiff's average annual earnings would have been likely to be in the region of Shs. 1,200/- if account is taken of the probabilities of short periods of unemployment off-setting probable increases in the rates of his pay in future years. Then at his age of 22 years, the plaintiff would be likely in the natural order of things to have continued to earn wages as a manual labourer for at least 20 years, and using this as a multiplier, this would give a sum of Shs. 24,000/-. Taking into account the fact that the plaintiff will be receiving his damages immediately in one lump sum instead of receiving wage payments spread over a period of many years, and that the damages received in one lump sum can be invested and made to bear immediate interest, it would be fair and

reasonable to award a sum of Shs. 20,000/- to the plaintiff as compensation for his present and future loss of earnings.

Then I have to consider the very difficult question of what would be a fair and proper sum to award to the plaintiff as compensation for the loss of his right hand, wrist and two inches of his forearm, with all the resultant losses of amenities and discomfort and the severe disfigurement of having only a stump of a forearm and no right hand or wrist. In addition, the plaintiff is entitled to be compensated for his pain and suffering which must have been considerable and excruciating when he was trapped in the machine for one and a half hours.

No comparable case decision where damages have been assessed in East Africa, has been found by the plaintiff's advocate in any of the law reports, and the only case decisions to which I have been referred for guidance are English case decisions reported in Kemp & Kemp on The Quantum of Damages, 3rd Edn., at pp. 443 – 448. The damages awarded in English case decisions are not, however, very helpful because wage standards and the standard and cost of living are so very much higher in England than they are in a developing country like Uganda. However, with such guidance as the English case decisions provide and taking into account the lower values appertaining in East Africa, I consider that the plaintiff is entitled to a sum of Shs. 75,000/- by way of compensation for his pain, suffering and the loss of his hand, wrist and lower part of his forearm together with all its many attendant losses of amenities, discomfort and severe disfigurement which will remain with him for the remainder of his life.

This sum has to be added to the Shs. 20,000/- which I have awarded to him as compensation for his loss of present and future earnings and accordingly there will be judgment for the plaintiff for Shs. 95,000/- with costs against the defendant.

I express the hope that the plaintiff who is a very young man, will not squander this large sum of damages when he receives it, and I strongly advise him not to listen to the advice or requests of friends or relatives regarding the manner in which he should use or dispose of his monies, but to act only on the legal advice of his advocate when he decides to invest his monies or use his monies to purchase some business which would provide him with an earning capacity.

Judgment for the plaintiff.

For the plaintiff:
SH Dalal (instructed by *Haque & Gopal*, Kampala)

The defendant did not appear.

Shah Vershi Devshi & Co Ltd v The Transport Licensing Board
[1971] 1 EA 289 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	11 March 1970
Case Number:	89/1969 (136/70)
Before:	Chanan Singh and Simpson JJ
Sourced by:	LawAfrica

[1] Licensing – Transport licensing – Revocation of licence – Refusal of renewal not a revocation – Transport Licensing Act (*Cap.* 404), *s.* 13 (*K.*).

[2] Prerogative Orders – Certiorari – May issue to Transport Licensing Board – Quasi – judicial functions.

[3] Prerogative Orders – Certiorari – Right of appeal only a factor not a bar to issue of order.

[4] Statute – Rules made under statutory powers – Whether regulation ultra vires the Act – Transport Licensing Act (*Cap.* 404) *s.* 7 (*K.*), *Transport Licensing Regulations, reg.* 15 (*K.*).

[5] Statute – Construction – Ejusdem generis rule – Whether applicable – Transport Licensing Act (*Cap.* 404), *s.* 7 (*K.*).

[6] Natural justice – Opportunity to dispute limitations on licence – Board not warning that imposition of conditions contemplated – No breach of natural justice.

[7] Constitutional Law – Fundamental rights – Protection of the law – No rights given by Constitution, s. 70 (*K.*).

[8] Constitutional Law – Fundamental rights – Right of association – Rights given only to members not to the association – Constitution, s. 80 (*K.*).

[9] Constitutional Law – Interpretation of Constitution – Person, and where context admits, individual, includes company – Constitution, ss. 82, 123 (*K.*).

[10] Constitutional Law – Discrimination – Public acts – Refusal of licence to citizens by reason of their Asian origin – Treatment discriminatory – Constitution, s. 82 (*K.*).

Editor's Summary

The applicant company had been refused the renewal of some of its transport licences and had the area of operation of the remainder reduced by the respondent on the ground that it was necessary to remove imbalances between Kenya citizens. In the reasons it was stated that the licences had been revoked.

The applicant applied for an order of certiorari to quash the refusal. It contended that the conditions for the revocation of a licence did not exist, that the Transport Licensing Regulations Reg. 15 (3) was ultra vires the Transport Licensing Act, that the decision of the respondent was ultra vires the regulations, that the reduction of area of operation was contrary to natural justice as no indication of intention was given to the applicant, that the decision denied to the applicant its right to the protection of the law, that the decision denied the applicant the right to freedom of assembly and association, and that the respondent treated the applicant in a discriminatory manner when acting by virtue of a written law and in the functions of a public office. The respondent contended that there was no right to apply for certiorari when there was a right of appeal from the decision concerned.

Held –

(i) the respondent performs quasi-judicial functions and application for certiorari may be made;

(ii) the existence of a right of appeal is only a factor to be taken into account, not a bar to an application;

(iii) in the circumstances the applicant could apply for certiorari;

(iv) no licences had been revoked; their renewal had been refused;

(v) the ejusdem generis rule does not apply to restrict the Minister's powers under the Transport Licensing Act, s. 7, to prescribing matters in the public interest;

(vi) (Chanan Singh, J. doubting) the Transport Licensing Regulations, reg. 15 (3) is intra vires the Transport Licensing Act;

(vii) the objection to the respondent's limitation of the licences would be rejected:

(*a*) (by Chanan Singh, J.) because the objection had not been pleaded;

(*b*) (by Simpson, J.) because the applicant knew that the respondent contemplated a refusal to renew its licences and could not complain that conditions had been imposed:

(viii) (Simpson, J. not deciding) "the protection of the law" in the Constitution, s. 70 does not give any rights and only refers to s. 77 which applies to trials for criminal offences;

(ix) (Simpson, J. not deciding) while the members of a company might be able to complain of the denial of the freedom of assembly, the company itself has no such right;

(x) a company is a person and also, where the context requires an individual, for the purposes of the constitution;

(xi) the applicant had been accorded different treatment attributable mainly to the race of the shareholders whereby a privilege or advantage had been refused to it;

(xii) in so acting the respondent had been acting by virtue of a written law and in the performance of its office;

(xiii) the discrimination against the applicant was unconstitutional.

Order of certiorari granted.

Cases referred to judgment

(1) *R. v. Edmundson* (1859), 28 L.J.M.C. 213.

(2) *Great Northern Railway Co. v. Great Central Railway Co*. (1899), 10 Railway and Canal Traffic Cases 266.

(3) *Koinange Mbiu v. R.* (1951), 24 K.L.R. 130.

(4) *Allen v. Emerson and others*, [1944] K.B. 362.

(5) *Joshi v. State of M.B.* (1955), 1 S.C.R. 1215.

(6) *Hans Muller v. Superintendent* (1955), 1 S.C.R. 1285.

(7) *Suberamania v. Revenue Divisional Officer*, A. 1956. Mad. 454.

(8) *R. v. Thames Magistrate's Court ex.p. Greenbaum* (1957), 55 L.G.R. 129.

(9) *Abraham v. I.T.O.*, A. 1961 S.C. 609.

[**Editorial note:** This report replaces the incomplete report published in [1970] E.A. 631, to which report reference should not be made.]

Judgment

Chanan Singh J: This is an application for an order of certiorari to remove into this court and to quash the decision of the Transport Licensing Board made in March 1969 on an application for licences. It appears Shah Vershi Devshi & Company Limited (hereinafter referred to as the company)

has been in the transport business for many years. We were informed from the Bar that the company was incorporated in 1948 but that its predecessor firm was founded as early as in 1919. There would not appear to have been experienced any difficulty in obtaining the necessary licences until 1967 when its application for 1968 licences was refused. The company then made an application similar to the present one but it never came to hearing because the necessary licences were granted. The respondent board may then have felt its position was weak in law. Later, the Minister amended the Transport Licensing Regulations by adding to reg. 15 a new sub-regulation reading as follows:

> "(3) The Licensing Authority shall, in the exercise of its discretion to grant or to refuse any application or to grant a licence subject to such conditions as it may see fit to impose, have regard to whether the applicant is a citizen of Kenya or, if the applicant is a company, to whether the members and employees of that company are citizens of Kenya."

This new sub-regulation was made on 2 August 1968 (L.N. 264/1968). The authority for the making of this new sub-regulation was stated to be s. 30 of the Transport Licensing Act. That section empowers the Minister to make regulations "for any purpose for which regulations may be made under this Act and for prescribing anything which may be prescribed in this Act and generally for the purpose of carrying this Act into effect . . ."

It seems this sub-regulation was intended to prescribe matters under s. 7 of the Act which gives the Board a "discretion either to grant or to refuse any application for any licence, or to grant a licence subject to such conditions as it may see fit to impose" and states that in exercising its discretion the Board "shall have regard primarily to the public interest, including the interest or interests of persons requiring, as well as those of persons providing, facilities for transport, and to such other matters as may be prescribed". Mr. Phillips, for the Board, contends that sub-reg. (3) of reg. 15 prescribes "such other matters as may be prescribed".

I have mentioned this amendment of the law at this stage because it seems to be contended by the Board that the amendment was brought in to meet the situation created by the refusal of licences to the company in 1968. The 1968 licences were granted because it was felt that the Board had no power to refuse them. The position, it is contended by the Board, has been changed by the new sub-regulation and that now the Board has full authority to deal, in the manner that it did, with any applications of the type made by the company.

It appears the company's application for 1969 licences was made sometime in 1968 and came before the Board for the first time on 17 February 1969. There was a preliminary discussion that day and then the hearing was adjourned. Later, on the same day, Mr. Satish Gautama, advocate for the company, wrote a letter to the chairman of the board setting out what had taken place at the meeting and asking for confirmation that the letter correctly recorded the discussions. This letter is attached as exhibit CDM 2A to an affidavit sworn on 14 July 1969 by Mr. Chuni Devshi Malde, a director of the company, and filed in these proceedings. The letter stated that it was pointed out by the chairman of the board that the company was mainly owned by non-citizens and also that there was some discussion concerning the proposed participation of Africans in the company's transport business. The letter then went on to say this:

> "You then detailed the following three points which you stated the Board had in mind:
>
> 1. That these licences should be refused on the ground that the majority of shares in my client company are owned by non-citizens.

2. That the Government's policy is to discourage monopoly business and our clients have far too many licences.

3. Alternatively the Board would have to consider, if it did not refuse the licences altogether, whether the number of licences should be reduced.

You then drew my attention to the Transport Licensing Regulations and particularly to the recent amendment as per Legal Notice No. 264 of 1968 to Reg. 15. You also pointed out that even if the entire shareholding was held by citizens the Board was still entitled, if it so desired, to refuse licences. It was also pointed out by you that my client company was a family concern and even the citizen shareholders and directors were members of the same family, and you would wish to be satisfied that the shares had been genuinely transferred to them.

I then made representation that I should be granted an adjournment to enable me to take detailed instructions from my clients since we did not have any indication as to what sort of information was required of us. After some discussions the Board acceded to my request for adjournment and at my request you stated that what the Board required specifically was information and evidence relating to the following matters:

1. How many members of our client company are citizens and how many are non-citizens.

2. How many shares are held by citizens and how many shares by non-citizens.

3. Evidence as to the dates when shares were registered in the name of the citizens.

4. What efforts have been made to have African participation."

The next meeting of the board was held on 27 March 1969 and at this meeting the company's advocate "furnished to the board the information and evidence sought by the board in respect of matters adverted to in exhibit CDM 2A" (paragraph 10 of Mr. Malde's affidavit). What this information and evidence was has not been placed before the court. The board itself has chosen not to file any affidavit and it is reasonable to conclude from this that the board does not contest any of the facts stated in the papers filed on behalf of the company. This is a very unsatisfactory aspect of the present application. Some of the statements made in the papers filed in the Court are not unambiguous, e.g.

(1) Paragraph 2 of Mr. Malde's aforesaid affidavit reads:

"The Applicant company was incorporated in Kenya and the majority of the shareholders and members and employees of the Applicant company are citizens of Kenya."

Of course, they are. The drivers and turnboys must all be Kenya Citizens!

The question raised in effect was: Are a majority of the shares held by Kenya citizens?

(2) Paragraph 2 of the Statement filed pursuant to O. 53, r. 2 reads:

"The majority of the shares in the Applicant company are held by Citizens of Kenya. The majority of the members and employees of the Applicant company are citizens of Kenya."

The first sentence is clear. The second is as ambiguous as anything can be. It is to be hoped that the information supplied to the board was not as equivocal as this and that the application for licences was not turned down because of the company's failure to give clear and straightforward answers to clear and straightforward questions.

On 25 February 1969 the executive officer of the board wrote to Mr. Satish Gautama in reply to the letter from which I have quoted extracts saying that "the chairman generally agrees with what you have stated". In a letter dated 21 April 1969 addressed to Mr. Satish Gautama and to the company, the executive officer of the board conveyed the following decision of the board:

> "1. Two 'B' licences for carriage of Petroleum products and three 'B' licences for carriage of general goods were revoked.
>
> 2. Area of operation in respect of seven 'B' licences was altered to read 'Central and Eastern Provinces and Nairobi'.
>
> 3. All the six 'C' licences to be renewed unaltered."

On 30 April 1969 Messrs. Shah and Shah, advocates acting with Mr. Gautama, wrote to the Transport Licensing Board asking for reasons for its decision. The reply to this communication was as follows:

> "I refer to your letter of 30 April 1969 on the above subject and have to state as follows:
>
> 1. 2 'B' licences for carriage of petroleum products and 3 'B' licences for carriage of general goods were revoked by the Board in order to remove imbalances that are existing at the moment between Kenya citizens. You will no doubt also bear in mind that some of the shares in the company are not owned by citizens.
>
> 2. It was also necessary to reduce the area of operation in order to give opportunities to other people to operate in other areas."

Mr. Gautama argues that the decision to "revoke" licences was made without jurisdiction since the conditions laid down in s. 13 of the Transport Licensing Act did not exist. Although the word "revoked" has been used in the letter of the chairman, I am satisfied that it was not used in the sense in which it is used in the Act. The tenor of the whole correspondence is that what was meant was that some of the licences applied for were being refused, not that any existing licences were being revoked. Mr. Gautama's argument on this point must, therefore, be rejected.

The application is, as already stated, for an order of certiorari. The right of the applicant to come to court for this relief is asserted by Mr. Gautama, for the company, but is feebly resisted by the board's counsel, Mr. Phillips. I think the company is entitled to come to this court for this remedy. The board is not a court or a judicial body but the functions that it performs are certainly quasi-judicial. Admittedly, the grant or the refusal of licences is not automatic but is left to the "discretion" of the board. Such discretion, however, is not to be exercised arbitrarily but in accordance with the guidelines given to it. It has to have regard to "the public interest . . . and to such other matters as may be prescribed". Dissatisfied applicants are given by s. 19 (1) of the Act the right of appeal to the Appeals Tribunal. There is provision for the filing of objections against applications. It appears from the papers filed in support of the present application that the Board hears applicants or their advocates, grants adjournments, and gives reasons for its decisions. I have, no doubt, therefore that the company is entitled to apply for an order of certiorari.

Lord Parker said this in *R. v. Thames Magistrates' Court, ex p. Greenbaum* (1957), 55 L.G.R. 129, C.A. (quoted in Constitutional and Administrative Law by R. H. Jones at p. 178):

> "One starts with this, that the remedy by way of certiorari is a *discretionary* remedy. Anybody can *apply for it* – a member of the public who has been inconvenienced or a particular party or person who has a particular

> grievance of his own. If the application is made by what, for convenience, one may call a stranger the remedy is purely discretionary. When, however, it is made by a person who has a particular grievance of his own, whether as a party or otherwise, then the remedy lies ex debito justitiae."

The application in the present case is made by one "who has a particular grievance of his own."

Two further points arise in regard to the availability of the remedy of certiorari. Has the company come to the Court promptly enough? The reasons for the board's decision were conveyed to the company in a letter dated 8 May 1969 and the present application was filed on 17 July. There has been considerable delay in bringing the application to hearing but that is no fault of the company. I am satisfied, therefore, that there has been no avoidable delay on the part of the company.

It has also been argued that the company is not entitled to the remedy it seeks because the law gives it the alternative of appealing to the Appeals Tribunal. Ordinarily, the High Court will decline to interfere until the aggrieved party has exhausted his statutory remedy (*Abraham v. I.T.O.*, A. 1961 S.C. 609, at p. 611). But this is a rule of policy, convenience, and discretion, rather than a rule of law. In other words, the existence of a right of appeal is a factor to be taken into account: it does not bar the remedy, especially where the alternative is not speedy, effective, and adequate (*Suberamania v. Revenue Divisional Officer*, A. 1956 Mad. 454 at p. 457). An appeal is without doubt more effective and perhaps more adequate because the Appeals Tribunal has power to "affirm or reverse the decision of the Licensing Authority, or make such other order as to the Tribunal appears necessary and just" (s. 19 (6) of the Transport Licensing Act). The High Court on an application for an order of certiorari can either dismiss the application or quash the decision of the board: it cannot substitute its own decision for that of the board.

The company says, however, that an appeal is the opposite of "speedy": an appeal was, in fact, filed in this very case on 12 May 1969 but it has not been listed for hearing. We were informed by the company's advocates that even the 1968 appeals have not yet been listed for hearing.

In these circumstances I am of the view that neither the existence of a right of appeal nor the filing of an appeal deprives the company of its right to ask for certiorari.

In relation to the law of transport licensing the present application raises two issues: (1) whether reg. 15 (3) is ultra vires the Transport Licensing Act; (2) whether the decision of the Board is ultra vires the Regulation under which it purported to act. The matter has been argued before the court on this basis. There is no suggestion by either party that the board acted or could act under any other provision of law.

I shall now deal with the first of these two issues. It is common ground that the Minister made and could make reg. 15 (3) only under s. 7 of the Act which says that the Board, in exercising its discretion, shall have regard primarily to "public interest . . . and such other matters as may be prescribed" by the Minister. "Public interest" is defined in s. 2 as meaning "the interests and convenience of the inhabitants of Kenya as a whole". Kenya as a whole, naturally, includes citizens and non-citizens. Therefore, the Board has to have regard to the interests of non-citizens also. There is nothing to show that Parliament intended that the board should attach more importance to the interests of one class than to those of the other. For this reason, Mr. Gautama has urged the court to interpret the words "such other matters as may be prescribed" ejusdem generis with the words "public interest". If this view is accepted, then Mr.

Gautama thinks reg. 15 (3) should be held to be ultra vires the Act because it requires the board to have regard to whether the applicant is a Kenya citizen of whether the members and employees of an applicant company are Kenya citizens.

Mr. Phillips, on the other hand, does not seem to accept this argument. He says that the ejusdem generis rule does not apply and that the words "such other matters as may be prescribed" are so wide as to cover reg. 15 (3).

The ejusdem generis rule was explained by Lord Campbell in *R. v. Edmundson* (1859), 28 L.J.M.C. 213, at p. 215 in these words:

> "I accede to the principle laid down in all the cases which have been cited, that, where there are general words following particular and specific words, the general words must be confined to things of the same kind as those specified."

But as Craies on Statute Law, 6th Edn., points out at p. 181:

> "To invoke the application of the rule there must be a distinct genus or category. The specific words must apply not to different objects of a widely differing character but to something which can be called a class or kind of objects. Where this is lacking, the rule cannot apply, but the mention of a single species does not constitute a genus."

The words "theatres and other places of public entertainment" came up for interpretation in *Allen v. Emmerson and others*, [1944] K.B. 362. It was held that the ejusdem generis rule did not apply and that a "fun-fair" was covered by the general words. But because the technical ejusdem generis rule does not apply, it does not mean that the Minister is free to prescribe any matters irrespective of their relevance and the scope of the Act. Subsidiary legislation must not go beyond the "purposes" or "dominant purpose" of the Act – see Law and Orders by Sir Carleton K. Allen, 3rd Edn., pp. 209 *et seq*., and Principles of Administrative Law by Griffith and Street, 3rd Edn., pp. 117 – 8.

The Transport Licensing Act is concerned with the "licensing" of "transport", the obvious object being to ensure efficient and cheap transport. The board has to have regard primarily – not solely – to two things, "public interest . . . and such other matters as may be prescribed". The use of the conjunctive "and" suggests that both factors must be considered. The Act itself defines the term "public interest" and this means that the board must have regard to the interest of the entire population of Kenya including citizens and non-citizens. No preference for one class over the other is indicated. Regulation 15 (3) on the other hand lays down that the board is to have regard to citizenship. There is a clear conflict here. The board cannot obey both the direction of the Act (given in the term "public interest") and the direction of the subsidiary legislation given in reg. 15 (3). The regulation, in case of a conflict, must give way to the Act.

Again, "public interest" is stated in the Act to include the interests of the transporters and the users of transport services. Both these classes consist of citizens and non-citizens. The Act does not say that one class is to be preferred to the other. The Act in effect says that the Board must have regard to the interests of all transporters and all users of transport. The Regulation on the other hand, says in effect that the interests of one class may be ignored or at least may be given less weight. There is no warrant for this differentiation in the Act. Differentiation of this major kind cannot be effected by subsidiary legislation which runs counter to the clearly non-discriminatory parent Act.

In *Koinange Mbiu v. R.* (1951), 24 K.L.R. 130, the Supreme Court was concerned with the Rules made under s. 4 of the Crop Production and Livestock Ordinance. Rules could under that section be made for purposes such as

declaring the kind of crop affected, improving the cultural conditions and methods of production, specifying any particular kind of crop or variety of crop that might or might not be grown and so on (p. 135). The Governor in Council in fact made rules prohibiting Africans from growing coffee in certain areas without a licence. The judgment of the court (Sir Hector Hearne, C.J., and Bourke, J.) said at p. 135:

> "In the opinion of this Court the rule is clearly invalid as being ultra vires s. 4 of the Ordinance and we so hold."

It makes no difference I think whether the basis of distinction is race or citizenship, if the parent legislation is generally applicable and envisages no distinction between sections of the population.

I am not saying that no distinction between citizens and non-citizens can be made. Indeed, it can be. The Constitution itself sanctions this. But it cannot, in my opinion, be made by subsidiary legislation under an Act which does not authorise, or even envisage, any distinctions. I am not concerned with the rightness or wrongness of a policy: I am concerned only with law as it is worded and as I understand the words.

In view of the finding that I make later on, it is not necessary to make a specific finding on this issue. The second issue concerns the exercise by the board of its powers under the Regulation. The reasons for the board's decision, although stated in two paragraphs of the chairman's letter of 8 May 1969 are, really three:

> "(1) 'Imbalances . . . existing . . . between Kenya citizens.'
>
> (2) 'Some of the shares in the company are not owned by citizens.'
>
> (3) 'Area of operation was reduced "in order to give opportunities to other people" '."

As regards the first reason the removal of "imbalances" seems to be regarded universally as a laudable object. Governments all over the world have been trying now for a long time to remove – or to reduce – the imbalances of wealth, income, and the resulting economic power. The anti-trust laws, the wealth tax, the estate duty, and the progressive income tax all have the object of removing imbalances. This list does not exhaust the possibilities. The only limitations on State action in this respect are those imposed by the Constitution and by any special laws dealing with the particular matter.

But what is the authority for the proposition that the Board can so use its discretion to issue or to refuse licences as to remove imbalances "between citizens"? Regulation 15 (3) seems to authorise distinctions between "citizens" and "non-citizens" but not between citizens themselves. As I have tried to show, the Act itself gives no such power to the board. Mr. Gautama's letter of 17 February 1969 to the chairman contained this sentence:

> "You also pointed out that even if the entire shareholding was held by citizens the board was still entitled, if it so desired, to refuse licences."

The chairman is also stated to have mentioned the Government's policy to discourage monopoly (p. 2 of Mr. Gautama's letter). There is everything to be said for such a policy: only the Act does not seem to accept it because s. 6 empowers the board to issue "exclusive licences". With respect I think the Board is in its thinking on monopolies trying to run ahead of the law and in its desire to remove imbalances "between Kenya citizens" it is trying to run against the law.

Mr. Gautama argues that the reference to "imbalances" should be understood

in the light of the facts (1) that his client company is a wholly Asian company and (2) that the chairman of the board had on 17 February 1969 asked a specific question: "What efforts have been made to have African participation?" Mr. Gautama urges the court to quash the decision of the board because it is really based on race, not citizenship. The chairman's question was reproduced in Mr. Gautama's letter of 17 February 1969. All that the board's executive officer stated in reply was that the chairman generally regarded the letter a correct record. When the present proceedings were filed, the correspondence between the company's lawyers and the board was attached to the application and the board, although served with the papers, has made no reply. If and in so far as there was a racial element in the decision, such decision becomes more vulnerable still.

The second reason given for the board's decision is I think a genuine effort to apply reg. 15 (3) but it is equally open to criticism. Apart from what that Regulation lays down – and I have already expressed the view that it goes outside the scope of the Act – there is nothing in the applicable law which authorises discrimination against companies in which some shares are held by non-citizens. Since companies are not capable of becoming "citizens", I agree that the only way in which the test of citizenship can be applied to them is to look at the national status of their members. But as I have stated, the Transport Licensing Act does not authorise distinctions based either on race or on citizenship.

The third reason given by the board has been criticised by Mr. Gautama as a denial of natural justice, it was never indicated to him or to the company that the board intended to consider a reduction in the area of operation, the only matters which the board intended to consider being listed in his letter of 17 February 1969. The decision on this matter was, according to him, taken without giving the company an opportunity to be heard. Mr. Phillips wants the court to presume that the board gave the company a hearing even on this issue. In the alternative, he argues that in changing the area the board was exercising its statutory power under s. 9 (2) (*a*) of the Act and that it was not necessary to give any prior notice to the company. Mr. Gautama says that in the absence of an affidavit from the board, the court must assume that the facts as stated by the company are correct. But what are the facts stated? When the board's decision on the area of operation was conveyed to the company and its advocate, no protest or complaint of lack of hearing was made. I have perused the affidavit of Mr. Malde, the statement of facts, the chamber summons filed on 17 July 1969, and the notice of motion dated 17 November 1969 and I cannot find it stated in any of those documents that the board decided to reduce the area of operation without hearing the company or its representative. Complaint of denial of natural justice has been made and so also of board's failure to hear and determine the company's application for licences according to law; but these are complaints in relation to the decision generally and are not related exclusively to that part of it which reduced the area of operation. The board could not therefore meet, even if it wanted to, a case that was never communicated to it.

I reject the complaint under this head for want of pleadings. Mr. Gautama's statements in the court cannot make up for the want of pleadings or evidence.

What is undisputed, however, is that the board reduced the area of operation of the company and this was done, as the board says, "in order to give opportunities to other people". It is a great pity that the board has not placed its own case before the court. A decision like this could perhaps be shown to be in the public interest. But there are no facts before us. One can only assume that there were other applicants for licences and who were granted licences to operate in the area taken away from the company. This was done in the exercise of a statutory discretion and it would not be right for the court to interfere.

Mr. Gautama also challenges the decision of the board on the ground that it denies to the applicant fundamental rights given to it by the Constitution of Kenya. He quotes in his support s. 70. This is the first section in Chapter V which is headed "Protection of Fundamental Rights and Freedoms of the Individual". It commences with the word "whereas" and enumerates certain "fundamental rights and freedoms of the individual" to which, it says, "every person in Kenya is entitled" and goes on to say this: "the provisions of this chapter shall have effect for the purpose of affording protection to those rights and freedoms subject to such limitations of that protection as are contained in those provisions . . ."

Although given a separate number, this section is quite clearly in the nature of a preamble. It speaks of "the provisions of this Chapter" which give protection "to those rights and freedoms" meaning the rights enumerated earlier. This section itself creates no rights: it merely gives a list of the rights and freedoms which are protected by other sections of the Chapter. That is the reason why it enumerates only those rights which are provided for in later provisions. This is shown by the table below

Right to life is protected by s. 71

Right to liberty and security of the person is protected by ss. 72 to 74

Right to protection of the law is given by s. 77

Freedom of conscience is secured by s. 78

Freedom of expression is secured by s. 79

Freedom of assembly and association is secured by s. 80

Protection for the privacy of a person's home is provided by s. 76

Protection of property and from deprivation of property is provided by s. 75

Section 70 may be of help in interpreting any ambiguous expressions in later sections of Chapter V, but it itself gives no rights or freedoms. Mr. Gautama's submissions made with reference to s. 70 must therefore be considered in the light of the later substantive sections.

Before proceeding to an examination of Mr. Gautama's submissions on constitutional issues it may be useful if I explain the meanings of two basic terms of Chapter V which are prominently used in s. 70.

(1) The word "person" is defined in s. 123 as including "any body of persons corporate or unincorporate". Thus, a company is a "person" within the meaning of Chapter V and would be entitled to all the rights and freedoms given to a "person" which it is capable of enjoying.

(2) The word "individual" can be misunderstood. It is not defined in the Constitution nor in the Interpretation and General Provisions Act (Cap. 2). But the meaning of it in the context in which it is used is, I think, clear. If a right or freedom is given to a "person" and is, from its nature, capable of being enjoyed by a "corporation" then a "corporation" can claim it, although it is included in the list of "rights and freedoms of the individual". The word "individual" like the word "person", does, where the context so requires, include a corporation. Section 9 of the United Kingdom Railway and Canal Traffic Act 1888 (now repealed) gave the Railway and Canal Commissioners jurisdiction to hear complaints where an enactment imposed on a railway company an obligation in favour of the public or any "individual". It was held in *Great Northern Railway Co. v. Great Central Railway Co.* (1899), 10 Railway and Canal Traffic Cases 266, *per* Wright, J., at p. 275:

"It seems to me that the word 'individual' must be construed as extending, not merely to what is commonly called an individual person, but to a

> company or corporation. Supposing the right to be given by a special Act of Parliament to a limited company, it seems to me impossible to suppose that they would not be within the word 'individual'. 'Individual' seems to me to be any legal person who is not the general public."

The first right that Mr. Gautama claims for his client company under s. 70 is the right to "the protection of the law". He says that this expression has the same meaning as "the equal protection of the laws" in Article 14 of the Indian Constitution. I think this argument by analogy is faulty.

The phrase "the equal protection of the laws" was, I believe, first used in the Fourteenth Amendment of the United States Constitution. It has been very widely used in that country because there was until recently no other law there under which applications to strike down racially discriminatory laws and practices could be brought. But even there it has not been possible to attack discrimination against aliens in business and employment in spite of the fact that the Fourteenth Amendment says that no State shall deny to any "person" within its jurisdiction the equal protection of the laws. See court cases quoted in Cases in Constitutional Law by Cushman and Cushman, 4th Edn., pp. 799 – 801.

Article 14 of the Indian Constitution uses a double expression "equality before the law or the equal protection of the laws" and this is not to be denied to any "person". Even there, however, courts have refused to declare unconstitutional

(*a*) a concession given to the residents of a State in the matter of education – *Joshi v. State of M.B.* (1955), 1 S.C.R. 1215, at p. 1228;

(*b*) a law providing for the expulsion and detention of foreigners – *Hans Muller v. Superintendent* (1955), 1 S.C.R. 1285, at p. 1295.

Article 14 was needed in India because the Constitution restricts to "citizens" freedom from discrimination (art. 15) the right to equality of opportunity (art. 16), and the right to various freedoms (art. 19).

The Kenya Constitution, on the other hand, contains one comprehensive section (s. 82) which protects citizens and non-citizens against discrimination although it provides that a "law" (if one is passed) cannot be attacked on the ground that it affects non-citizens. There is, therefore, not the same room here as exists in the United States of America and in India for guaranteeing "equal protection of the laws". In any case, the expression "the protection of the law" in s. 70 (on which Mr. Gautama bases his argument) does no more than to draw our attention to s. 77 which, according to the side-note, contains "Provisions to secure protection of law". There is nothing in the decision of the board which infringes the provisions of s. 77 which applies to trials for criminal offences.

For these reasons, I reject Mr. Gautama's argument under this head.

He also argues that the decision of the board denies to the company the right to the freedom of assembly and association given to it by s. 70. First, as I have already held the said freedom is not given by s. 70. Secondly, the freedom which is really given by another section (s. 80) is the "right to assemble freely and associate with other persons and in particular to form or belong to trade unions or other associations for the protection of his interests". The board's decision does not deny any such right to the company. If the company feels that the refusal of 5 out of 18 transport licences compels it to go into liquidation, then the members of the company can probably complain because it is they who are being stopped from remaining associated in a company. The company itself has no cause for complaint because it is not being stopped from joining, or remaining a member of an association. Mr. Gautama's argument is completely misconceived and I reject it.

I now come to the crucial point that arises in this case, namely, whether the decision of the board is rendered void by s. 82 of the Constitution. The first two subsections which are relevant read as follows:

> "82 (1) Subject to subsections (4), (5) and (8) of this section, no law shall make any provision that is discriminatory either of itself or in its effect.
>
> (2) Subject to subsections (6), (8) and (9) of this section, no person shall be treated in a discriminatory manner by any person acting by virtue of any written law or in the performance of the functions of any public office or any public authority."

The first of these subsections avoids a "law" which is discriminatory and the second prohibits the treatment of a person in a discriminatory manner. I think the company's complaint is covered by sub-s. (2). The word "person", as already stated, includes a company as well as a body of persons such as the board. Therefore, sub-s. (2) prohibits the board from treating the company in a discriminatory manner while "acting by virtue of a written law" (in this case, the Transport Licensing Act and reg. 15) "in the performance of the functions" of its office as the board or as a "public authority".

The word "discriminatory" is defined in sub-s. (3) as "affording different treatment to different persons attributable wholly or mainly to their respective descriptions by race, tribe, place of origin or residence or other local connexion, political opinions, colour or creed whereby persons of one such description are subjected to disabilities or restrictions to which persons of another such description are not made subject or are accorded privileges or advantages which are not accorded to persons of another such description".

In support of his argument, Mr. Gautama draws attention to the following statements contained in the papers filed in these proceedings:

(1) Paragraph 5 (*f*) (iv) of the Statement filed pursuant to O. 53 r. 2 reads:

> "The board's decision reflects a bias against the applicant because there was no African participation in the shareholding of the applicant company and that the applicant company was a family concern and that even the citizen shareholders and directors were members of the family."

The company has an Asian name and one of its directors (Mr. Chuni Devshi Malde who has filed an affidavit in these proceedings) is an Asian. Since all the shareholders and directors are stated to be members of the same family, it is clear that the company is a wholly Asian concern.

(2) Mr. Gautama's letter of 17 February 1969 addressed to the Chairman of the Board contained the following statements:

> "You pointed out that during the discussions between yourself and Mr. Malde there was some discussion concerning proposed participation of Africans in my client company's transport business
>
> . . .
>
> ". . . at my request you stated that what the board required specifically was information and evidence relating to the following matters:
>
> 1. . . .
>
> 2. . . .
>
> 3. . . .
>
> 4. What efforts have been made to have African participation.

(3) The Chairman of the Board wrote to the advocates of the company on 6 May 1969 giving reasons for its decision. This letter has been quoted above in

> full. The company contends that what the board meant by saying that some of its licences had been revoked "in order to remove imbalances . . . between Kenya Citizens" was that it was not granting some of the company's licences because there was an imbalance between the citizens of African origin and those of Asian origin.

I think it is obvious that the company was refused some of its licences because it had no African shareholders and because there was an imbalance between African and Asian citizens.

Now, sub-s. (2) of s. 82 is "subject to sub-ss. (6), (8) and (9)". Subsection (6) saves from attack laws which discriminate against non-citizens. Regulation 15 (3), if valid, is such a law and is saved. It is certainly not a law which discriminates against applicants on grounds of race. Therefore, sub-s. (6) does not apply. Subsections (8) and (9) are equally inapplicable.

I therefore hold that the decision of the board in so far as it refused five "B" licences to the company is hit by sub-s. (2) of s. 82 and is invalid. Since Simpson, J. in the decision about to be delivered, has come to the same conclusion the application for an order of certiorari is granted and the decision of the board in so far as it refuses five "B" Licences to the company is quashed.

Simpson J: This is an application by a limited company for an order of certiorari to remove into this court and quash a decision of the Transport Licensing Board "revoking" five of the applicant's "B" licences and restricting the area of operation of seven others.

In 1968 the applicant held various licences issued under the provisions of the Transport Licensing Act (Cap. 404). On or about 29 November 1968 the applicant applied to the Transport Licensing Board for the grant of new licences for the year 1969 in substitution for the existing licences which would have expired on 31 December 1968 were it not for the provisions of s. 10 of the Act by virtue of which they continued in force until the disposal by the Board of the application for new licences.

The application was first considered by the Board on 17 February 1969 when counsel for the applicant was requested to supply certain information. At the next meeting on 27 March 1969 the Board further considered the application and by letter dated 21 April 1969 it informed the applicant of its decision.

The applicant's advocates then wrote to the Board stating that they intended to appeal and requiring the Board to furnish the reasons for its decision.

The Chairman of the Board in a letter dated 8 May 1969, replied as follows:

> "I refer to you letter of 30 April 1969 on the above subject and have to state as follows:
>
> 1. 2 'B' licences for carriage of petroleum products and 3 'B' licences for carriage of general goods were revoked by the Board in order to remove imbalances that is existing at the moment between Kenya citizens. You will no doubt also bear in mind that some of the shares in the company are not owned by citizens.
> 2. It was also necessary to reduce the area of operation in order to give opportunities to other people to operate in other areas."

An appeal to the Appeals Tribunal established under the provisions of s. 19 of the Act was duly filed on 12 May 1969. This appeal has not yet been listed for hearing.

On 17 July the applicant filed an application in this court for leave to apply for an order of certiorari which leave was duly granted.

It is not clear why the present application which, being for an order in the nature of an immediate remedy, is one normally given the highest priority has not come before the court until now.

It was I think accepted by State counsel who ably represented the respondent Board that the Board is a body exercising quasi-judicial functions with a duty to act judicially when determining applications before it. The existence of an alternative remedy does not preclude the applicant from seeking relief by way of certiorari and although it can hardly be said that speedy justice, the object of certiorari, has been achieved in this case the remedy of certiorari appears nevertheless to be speedier than the alternative one of appeal to the Appeals Tribunal. I am satisfied that the applicant is entitled to ask for an order of certiorari.

For the applicant several grounds were put forward on which relief was sought. It is sufficient I think to refer to the following five grounds:

1. The Board had no jurisdiction to revoke the applicant's licences.
2. There was a failure to act in accordance with principles of natural justice.
3. The Board took into consideration the provisions of reg. 15 of the Transport Licensing Regulations as amended by the Transport Licensing (Amendment) Regulations 1968 which is ultra vires the Act and the Constitution.
4. The Board failed to exercise its discretion properly under the Act and the Regulations made thereunder.
5. The Board's decision reflected discrimination against Kenya citizens of Asian origin thus violating fundamental rights under the Constitution.

The first ground can be briefly disposed of. The Board informed the applicant that the licences in question had been "revoked". Section 13 of the Act gives the Board power to revoke licences in certain circumstances. Since none of these circumstances exist in the present case, the Board had no jurisdiction to revoke the licences. It is abundantly clear however that no licences were in fact revoked.

The Board considered the applications for renewal of the applicant's licences and decided to refuse such renewal in some cases. The term "revoke" was used loosely in disregard of the technical meaning given to it in the Act.

With respect to the second ground senior counsel for the applicant submitted that the principles of natural justice had been contravened in that the applicant was given no opportunity by the Board to make representations against reduction of the area covered by seven of the licences. In the first place it must be observed that although the applicant's advocate set out in a letter to the Board a resume of the proceedings at the first hearing which was generally accepted by the Board there is no record of the proceedings of the second hearing. Apart from counsel's statement from the Bar we have no knowledge that reduction of the area of operation was not discussed.

Be that as it may, s. 7 of the Act empowers the Board to grant a licence subject to such conditions as it may see fit to impose and s. 8 (2) of the Act sets out various conditions which the Board may attach to licences including in the case of "B" licences (sub-s. (2) (*f*))

> "a condition that they shall be so used only in a specified district or between specified places."

The applicant was aware that the Board contemplated a refusal to renew its

licences. It cannot complain that no indication was given that renewal subject to conditions was also contemplated.

It may well be, since we have no record of the proceedings, that it was as a result of the persuasive arguments put forward on behalf of the applicant that the Board decided not to refuse these licences but to grant them subject to conditions. This was the only ground of any substance relating to these seven licences. The reason given by the Chairman in para. 2 of his letter of 8 May was I think not one which would entitle this court to interfere.

I come now to the third ground. Regulation 15 (3) of the Transport Licensing Regulations as amended by the Transport Licensing (Amendment) Regulations, 1968 reads as follows:

> "The Licensing Authority shall in the exercise of its discretion to grant or to refuse any application or to grant a licence subject to such conditions as it may see fit to impose, have regard to whether the applicant is a citizen of Kenya or if the applicant is a company, to whether the members and employees of that company are citizens of Kenya."

The regulations are made by the Minister under the powers given to him by s. 30 of the Act which (so far as relevant) provides:

> "The Minister may make regulations for any purpose for which regulations may be made under this Act and for prescribing anything which may be prescribed under this Act and generally for the purpose of carrying this Act into effect . . ."

Section 7 is one of the sections in which matters are prescribed under the Act. It reads as follows:

> "7. The Licensing Authority shall have full power in its discretion either to grant or to refuse any application for any licence, or to grant a licence subject to such conditions as it may see fit to impose, and in exercising its discretion, the Licensing Authority shall have regard primarily to the public interest, including the interest or interests of persons requiring, as well as those of persons providing, facilities for transport, and to such other matters as may be prescribed."

There is a proviso which is immaterial for present purposes.

It was submitted by counsel for the applicant that the ejusdem generis rule applies but the mention of one species does not constitute a genus. In construing s. 7 it is to be noted that the words "including the interest or interests of persons requiring as well as those of persons providing, facilities for transport", are in parenthesis qualifying the expression "public interest". Disregarding therefore these words in parenthesis the section reads "the Licensing Authority shall have regard primarily to the public interest . . . and to such other matters as may be prescribed". Although the ejusdem generis rule is inapplicable "such other matters" obviously should not conflict with "the public interest" which is defined in s. 2 as meaning "the interests and convenience of the inhabitants of Kenya as a whole". While one can envisage the Authority in the application of reg. 15 (3) reaching a decision contrary to the public interest I am not prepared to hold that the matters prescribed by the sub-regulations are inconsistent with the public interest. Bearing in mind also the scope and policy of the Act I am not persuaded that reg. 15 (3) is ultra vires.

We were also invited to refuse to give effect to this sub-regulation on the grounds that it is vague and uncertain and confers an unguided power to discriminate.

No authority was cited to us with respect to the amount of guidance which

legislation should provide to statutory boards in the exercise of their discretion. It is by no means uncommon for legislation to set out the matters to which such boards may or shall have regard without further guidance and I can see no justification for refusing to give effect to this sub-regulation.

No serious attempt was made to show that reg. 15 (3) is ultra vires the Constitution of Kenya.

The relevant section of the Constitution of Kenya is s. 82 and since further reference will have to be made to this section I quote the material provision thereof.

> "82. (1) Subject to subsections (4), (5) and (8) of this section, no law shall make any provision that is discriminatory either of itself or in its effect.
>
> (2) Subject to subsections (6), (8) and (9) of this section, no person shall be treated in a discriminatory manner by any person acting by virtue of any written law or in the performance of the functions of any public office or any public authority.
>
> (3) In this section, the expression 'discriminatory' means affording different treatment to different persons attributable wholly or mainly to their respective descriptions by race, tribe, place of origin or residence or other local connexion, political opinions, colour or creed whereby persons of one such description are subjected to disabilities or restrictions to which persons of another such description are not made subject or are accorded privileges or advantages which are not accorded to persons of another such description.
>
> (4) Subsection (1) of this section shall not apply to any law so far as that law makes provision–
>
> (*a*) with respect to persons who are not citizens of Kenya:
>
> .....
>
> (6) Subsection (2) of this section shall not apply to–
>
> (*a*) anything which is expressly or by necessary implication authorised to be done by any such provision of law as is referred to in sub-section (4) of this section; "

While sub-s. (1) prohibits legislation with discriminatory effect sub-s. (4) (*a*) expressly excludes from such prohibition a provision "with respect to persons who are not citizens of Kenya".

Reg. 15 (3) is such a provision and is not therefore ultra vires the Constitution.

The applicant's fourth and fifth grounds are founded upon discrimination between Kenya citizens of Asian origin and Kenya citizens of African origin as shown in the Chairman's letter of 8 May 1969 which I quoted earlier.

It is I think clear that the main reason for refusing the 5 "B" licences was the removal of imbalances "existing at the moment between Kenya citizens".

The Chairman of the Board having filed no affidavit to explain what he meant by these words I have to endeavour to interpret them in the light of all the surrounding circumstances. As already mentioned the proceedings of the Board's second meeting were not before us. Some indication of the earlier proceedings is contained in Mr. Gautama's letter of 17 February 1969 to the Chairman of the Board. The contents of this letter which were "generally agreed" by the chairman are as follows:

> "I refer to the proceedings this morning before the Board when I appeared along with Mr. Ramnik Shah, Advocate, for Shah Vershi Devshi & Company

> Limited in response to the Board's letter reference T.L.B. 399 dated 1 February 1969 which was received by my clients on 13 February. For the sake of good order and to ensure that there is no misapprehension whatsoever at the next meeting of the Board to which my clients application was adjourned by the Board I deem it desirable to confirm as briefly as possible what transpired at the meeting.
>
> Your goodself opened the meeting by pointing out that the meeting had been convened to consider my client's applications for 'B' and 'C' Licences as advertised in the Official *Gazette* of 31st ultimo. You then pointed out that my clients had several licences in the region of some 18 both 'B' and 'C' for which they wanted further licences. You then proceeded to detail the 12 vehicles in respect of which my clients hold 'B' licences and 6 vehicles in respect of which they hold 'C' licences.
>
> You then proceeded to state that in the beginning of 1968 when my clients applied for 1968 licences that the Board at first refused my client's application on the ground that my client company was mainly owned by non-citizens. You then pointed out that after the Board's refusal my clients applied to the High Court and that the Board was then represented by the Attorney-General's Chambers.
>
> You also pointed out that subsequently as a result of some discussions between yourself and a Minister of the Kenya Government and an interview between your goodself and Mr. Malde of my client company licences were granted. You pointed out that during the discussion between yourself and Mr. Malde there was some discussion concerning proposed participation of Africans in my client company's transport business.
>
> You then detailed the following three points which you stated the Board hand in mind:
>
> 1. That these licences should be refused on the ground that the majority of shares in my client company are owned by non-citizens.
> 2. That the Government's policy is to discourage monopoly businesses and our clients have far too many licences.
> 3. Alternatively the Board would have to consider, if it did not refuse the licences altogether, whether the number of licences should be reduced.

You then drew my attention to the Transport Licensing Regulations and particularly to the recent amendment as per Legal Notice 264 of 1968 to regulation 15. You also pointed out that even if the entire shareholding was held by citizens the Board was still entitled, if it so desired, to refuse licences. It was also pointed out by you that my client company was a family concern and even the citizen shareholders and directors were members of the same family, and you would wish to be satisfied that the shares had been genuinely transferred to them.

I then made representation that I should be granted an adjournment to enable me to take detailed instructions from my clients since we did not have any indication as to what sort of information was required of us. After some discussions the Board acceded to my request for adjournment and at my request you state that what the Board required specifically was information and evidence relating to the following matters:

1. How many members of our client company are citizens and how many are non-citizens.
2. How many shares are held by citizens and how many shares by non-citizens.

3. Evidence as to the dates when shares were registered in the name of the citizens.

4. What efforts have been made to have African participation.

I shall be glad if for the sake of the record and clarity you would be good enough to confirm that what I have set out above represents accurately what transpired this morning so as to enable me to come fully prepared to assist the Board at its next meeting in its deliberations on my client's application."

It will be seen that the Board was inclined to refuse licences on one of two grounds.

(*a*) That the majority of shares in the company were owned by non-citizens, or

(*b*) That the Government's policy was to discourage monopoly businesses and the company had far too many licences.

In an affidavit dated 14 July 1969 the Manager of the company stated:

> "The applicant company was incorporated in Kenya and the majority of the shareholders and members and employees of the applicant company are citizens of Kenya."

This is somewhat ambiguous. It may be read disjunctively or conjunctively. It may refer either to three separate majorities or to a combined majority in which employees would no doubt form the largest number.

In para. 10 however it is stated that the Board was furnished with the information and evidence sought and having regard to the wording of the Chairman's letter of 8 May 1969, it can I think be assumed that the Board was satisfied that the majority of shareholders are Kenya citizens and that the majority of shares are held by Kenya citizens.

Did the Board then refuse the licences because the company had too many licences? Is that the "imbalance" to which the Chairman refers? I have no doubt that had this been the ground of refusal he would have stated it in clearer terms. Such a refusal could perhaps have been justified in the interests of "persons providing facilities for transport".

Having regard to the contents of the letter of 17 February 1969 stressing as it does citizenship and African participation, and the fact that the company is clearly an Asian concern, I am satisfied that by "the imbalances existing at the moment between Kenya citizens" the Chairman is referring to Kenya citizens of African origin on the one hand and Kenya citizens of non-African origin on the other.

The company as such is not a citizen but the Board has considered the citizenship of the individual shareholders as it is entitled to do under reg. 15 (3) which enables it to have regard to the question whether or not the shareholders are citizens of Kenya.

The Board is not empowered by reg. 15 or by any other regulation to have regard to whether members and employees of a company are Africans or non-Africans nor in my opinion can the expression "the public interest" appearing in s. 7 of the Act be construed as permitting such discrimination. Had it been possible so to construe it the amendment of reg. 15 would have been unnecessary. I am of the view therefore that the Board failed to exercise its discretion properly.

The fifth ground involves a consideration of the provisions of s. 82 of the Constitution of Kenya.

Under s. 82 (2) a public authority such as the Board is forbidden to treat any

person in a discriminatory manner by virtue of any written law or in the performance of its functions.

"Discriminatory" is defined in sub-s. (3). It includes affording different treatment to different persons attributable wholly or mainly to their respective descriptions by race. By virtue of the definition of "person" in s. 123 (1) of the Constitution the applicant company is a person. It has been afforded different treatment attributable mainly to the race of its shareholders whereby a privilege or advantage has been refused to it which would have been accorded to it had its membership been otherwise. I was not impressed by the submission of counsel for the Board that despite the definition of "person" s. 82 must be read as applying only to individuals.

Subsection (2) is subject to the provisions of sub-ss. (6), (8) and (9) of s. 82. The only provision which is material is that contained in sub-s. (6) (*a*).

The treatment of the applicant by the Board is neither expressly or by necessary implication authorised by any provision of law. Regulation 15 (3) permits it to make a distinction between citizens and non-citizens but not between different classes of citizens.

The Board accordingly, has treated the applicant in a discriminatory manner in contravention of s. 82 of the Constitution.

Having regard to the foregoing I would grant the application with costs to the applicant in so far as it concerns the five licences the renewal of which was refused by the Board.

Application granted.

For the applicant:
SC Gautama and *RR Shah* (instructed by *Shah & Shah*, Nairobi)

For the respondent:
TBH Phillips (Senior State Counsel)

Sango Bay Estates Ltd and others v Dresdner Bank Ag (No. 2)
[1971] 1 EA 307 (CAK)

Division:	Court of Appeal at Kampala
Date of judgment:	14 January 1971
Case Number:	50/1970 (29/71)
Before:	Sir William Duffus P, Lutta and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Uganda – Goudie, J

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[1] Civil Practice and Procedure – Third party procedure – Whether claim for contribution or indemnity.

[2] Civil Practice and Procedure – Third party procedure – Summons may be dismissed where all matters would not be disposed of and where plaintiff would suffer unreasonable delay.

Editor's Summary

The respondent was the holder in due course of bills of exchange, negotiated to it by the third party, which bills were part payment for a sugar factory built for the first appellant.

In an action on the bills the appellants sought to join the second respondent as a third party. In the High Court the judge dismissed the summons on the grounds that if there was any right against the third party it sounded in damages only and was not for an indemnity and that in the exercise of his discretion he

would refuse the application as all matters in dispute could not be determined in the action and because of the complexity the plaintiff's claim would be unreasonably delayed. The facts are set out in full in the judgment of Lutta, J.A. The appellants appealed.

Held –

(i) the judge correctly exercised his discretion not to allow third party proceedings;

(ii) (by Lutta, J.A.) the appellant's claim sounded in damages only and could not be the subject of third party proceedings.

Appeal dismissed.

For previous proceedings see [1971] E.A. 17.

Cases referred to judgment

(1) *Bower v. Harley* (1875-76), 1 Q.B.D. 652.

(2) *Pontifex v. Foord* (1884), 12 Q.B.D. 152.

(3) *Speller & Co. v. The Bristol Steam Navigation Co.* (1884), 13 Q.B.D. 96.

(4) *Birmingham and District Land Co. v. London and North Western Railway Co.* (1887), 34 C.L.D. 261.

(5) *J. T. Smith and the Barrow Haematite Steel Co. Ltd. v. Henry Cooke, Rachel Swinnerton and others*, [1891] A.C. 297, p. 299.

(6) *Baxter v. France* (No. 2), [1895] 1 Q.B. 591.

(7) *Barclays Bank v. Tom*, [1923] 1 K.B. 221; (1923) 92 L.J.K.B. 346.

(8) *Eastern Shipping Co. Ltd. v. Quah Beng Kee*, [1924] A.C. 177.

(9) *Glasgow Corporation v. Robertson*, [1963] E.A. 213.

(10) *Edward Kironde Kaggwa v. L. Costaperaria*, [1963] E.A. 213.

(11) *Mbogo v. Shah*, [1968] E.A. 93.

14 January 1971. The following considered judgments were read:

Judgment

Lutta JA: This is an appeal against a decision of a judge in chambers refusing to give directions under O. 1, r. 18 of the Civil Procedure Rules, as to the manner of determining the liability of the third party to make the contribution or indemnity claimed by the appellants. The facts were as follows.

The appellants were sued in the High Court by the first respondent (to whom I shall refer as "the Bank") for recovery of Shs. 2,345,882/20. The plaint alleged that the second respondent (to whom I shall refer hereinafter as "GHH") drew in Oberhausen, West Germany, five bills of exchange in the German language, upon the first appellant (to whom I shall refer as "Sango Bay") payable to GHH's own order on the dates specified in the said bills of exchange. The first bill was drawn on 30 November 1962 for Deutsche Mark 822,567/60 and was due for payment on 1 August 1967. The second bill was drawn on 5 July 1965 for Deutsche Mark 81,914/02 and its due date was 1 August 1967. The third bill was drawn on 7 July 1966 for Deutsche Mark 223,578/79 and was due to be paid on 1 August 1967. The fourth and fifth bills were drawn on 7 July 1966 for Deutsche Mark 70,405/86 and 29,010/44 respectively and both were due for payment on 1 August 1967. The total amount of the

bills was Deutsche Mark 1,227,476/71; converted into Uganda shillings it was Shs. 2,215,302/-. Sango Bay duly accepted all the bills which had been jointly and severally guaranteed by the second, third, fourth, fifth, sixth, seventh and eighth appellants (to whom for convenience I shall refer hereinafter as “the guarantors”). Subsequently but prior to the due dates GHH endorsed all the bills and

delivered the same to the Bank, who thereby became the bearer and holder in due course. The plaint further alleged that on the due dates when the bills were presented for payment, they were dishonoured.

Sango Bay and the guarantors applied *ex parte* for and obtained leave to issue a third party notice to GHH under O. 1, r. 14 of the Civil Procedure Rules. For convenience I shall refer to the Civil Procedure Rules as "The Rules". Sango Bay and the guarantors claimed to be indemnified by or contribution from the third party against liability under the bills and against the Bank's claim on the following grounds:

(1) The bills are drawn by GHH and after acceptance thereof by Sango Bay GEH negotiated the same to the Bank as the bearer and holder in due course.

(2) The bills were accepted by Sango Bay in pursuance of various contracts between Sango Bay and GHH under which GHH undertook to erect a sugar factory for Sango Bay and it was a written condition of the said contracts between Sango Bay and GHH that the bills to be accepted by Sango Bay would not be negotiated by GHH to any other party whatsoever and were merely securities for payments under the said contracts.

(3) That GHH negotiated the bills in breach of an express contract not to do so.

(4) That the consideration for acceptance of the bills has totally failed by reason of GHH's failure to fulfil its obligations under the said contracts to erect the said sugar factory as contracted.

After GHH had entered appearance Sango Bay and the guarantors applied by summons in chambers for directions under O. 1, r. 18 for determining the liability of GHH to make the contribution or indemnity claimed. The judge dismissed the application for directions and Sango Bay and the guarantors appealed to this court against that ruling.

Mr. Hunt, for Sango Bay and the guarantors, argued as I understood him, that the judge tried the issues raised in the third party notice instead of deciding whether the Bank had raised a *prima facie* case of claim against Sango Bay and the guarantors, and that the letter dated 27 July 1961 formed part of the contract, that it was governed by Swiss law, as the law of the contract and that it was the basis of the contract between Sango Bay and GHH. The letter is in the following terms.

"gutehoffnungshutte
sterkrade aktiengesellschaft
werk dusseldorf

Ref. 269 D.K.
Ho/D.

Postfach 27026,
4000 Dusseldorf-Grafenberg
27th July, 1961.

Messrs. Sango Bay Estates Ltd.,
Jinja/Uganda.

Dear Sirs,

Sub: 800 *tons Sugar Mill for Sango Bay*

We may confirm the results of the discussions we had with your esteemed Mr. Rupani and Shukla during our Mr. Hoch's short stop on the airport of Nairobi on his trip to South Africa in the middle of July:

(1) *Long term financing*

Now as before you are willing to place the order with us only supposing that we agree to the conditions of payment as follows:

7½% with placing of the order

7½% against shipping documents

85% balance to be paid in 8 equal half-yearly instalments, the first instalment to commence 6 months after starting of the production.

Meanwhile we succeeded in our discussions with the competent German authorities which principally agreed to the above mentioned terms of payment. Therefore our definite proposal is as under:

(*a*) 7½% of the fob value only within a fortnight after signing the contract,

(*b*) 7½% of the fob value only against shipping documents, i.e. pro rata of the shipments,

(*c*) 85% of the fob value only

+ 100% of the cif-costs (if any)

+ 100% of the financing costs

(interests)

in 8 equal half-yearly instalments – the first instalment due 6 months after starting of the production but not later than 12 months after last shipment.

Please find enclosed a calculation of the interests based on the above mentioned terms of payment and based on the interest rate of 6.5% p.a. for the amounts still pending after shipment.

(2) *Securities*

As you know the corresponding authorities normally ask for bank guarantees for the instalments sub (1), (*b*) and (*c*). We are glad to inform you that the said authorities have also principally agreed to accept promissory notes signed by your company and signed too by several companies also belonging to your group. As business men you will know that it is usual that we and our authorities have to ask for informations about the financial status of your companies which we are still expecting. Our willingness as well as the willingness of our authorities to accept promissory notes instead of bank guarantees is subject to satisfying informations.

The above mentioned promissory notes should be handed over to us within 4 weeks after signing the contract. In order to make the matter clear we like to point out expressly that the promissory notes to be given to us are only handled as securities and shall not be discounted.

(3) *Quotation and last negotiations*

Our complete quotation shall be ready for dispatch on 1 August 1961. We intend to send you our offer by air mail on the said date. However we are prepared to delegate our chief engineer in charge for the sugar department, Mr. Langen, to East Africa, taking with him the offer, for final technical discussions regarding the factory site and the definite scope of supply.

For that reason we have sent yesterday to Messrs. INHA, Nairobi, the following cable for you:

> ‘intend to airmail quotation august first stop also prepared to send chief engineer first days of august for final technical discussions if client interested and his expert really ready for discussions at said time stop airmailing.’

For the final negotiations and signing the contract we may propose the following:

After settling all technical questions which according to our feeling can be done within 8 or 10 days your Mr. Rupani and/or Mr. Shukla may come to Germany together with our Mr. Langen for working out the definite contract

here. As we are snowed under work, it would be very difficult for us to delegate Mr. Langen and Mr. Hoch for some weeks to East Africa taking into consideration too that we are having holiday-season in Germany and some of our managers are out of station during August. The main reason is however that you should come to know your partner GHH before settling such a big business. It may also happen that some special questions will arise during the final negotiations which have to be discussed with our bankers and the German authorities and we think it better to have your representative here.

As soon as the wording of the contract is ready for signature, we would be glad to welcome your esteemed Mr. Patel in Germany for signing the contract.

However if you see some difficulties for agreeing to our proposal, we are willing to delegate our Mr. Hoch to Nairobi to settle and sign the contract together with our Mr. Langen in East Africa.

Please let us have your answer as soon as possible. Hoping for further good co-operation we remain.

Yours sincerely

gutehoffnungshutte

sterkrade aktiengesellschaft"

Mr. Hunt submitted that Sango Bay and the guarantors were not claiming damages against GHH and therefore it was not open to the judge to hold that Sango Bay "at the very most would have a right to damages and no right of indemnity or contribution". He argued that Sango Bay's and the guarantors' case was that although the sugar factory had been completed there were major defects which rendered the said factory valueless or rather that because of the major defects in the design and construction of the sugar factory and the machinery supplied therewith the said factory turned out to be one for which Sango Bay did not contract and therefore GHH was liable to indemnify Sango Bay in respect of any claim resulting from the said contract. He submitted that the judge failed to take into consideration that contention. He also argued that GHH did not expressly deny that the Bank's claims are based on the letter of 27 July 1961, paragraph 2 thereof, which asked for bills as securities and agreed not to discount the same, and that as GHH did not state that the letter had nothing to do with the contract he is bound by the terms of that letter. He relied on the case of *Barclays Bank v. Tom* (1923), 92 L.J. K.B. 346. Mr. Hunt submitted that as the Bank had purchased the bills for value and GHH having been in a position of a holder of the bills on certain conditions, the Bank and GHH should not have demanded protest charges in respect of the bills and that in the absence of any explanation by either the Bank or GHH, mala fide, on their part or collusion between them to obtain money which they knew was not due must be implied. Mr. Hunt finally submitted that by an inference the undertaking in the letter of 27 July 1961 that the bills were not to be discounted or negotiated for purposes of refinancing was incorporated in the contract, and that GHH having committed a breach of this condition Sango Bay was entitled to be indemnified by GHH. He relied on *Eastern Shipping Company v. Quah Beng Kee*, [1924] A.C. 177. Mr. Mayanja, for the Bank, submitted that indemnity within O. 1, r. 14 of the rules can only arise in any of the following:

(*a*) where there is a contract, express or implied, to indemnify. It must be a contract by the third party to indemnify the defendant;

(*b*) by implication of law, for example, where there is a fiduciary relationship between the parties; and

(*c*) by legislation made by Parliament.

He argued that the instant case does not fall under any of these categories as

there was no contract by GHH to indemnify Sango Bay or the guarantors on the bills or on other matters arising out of the contract and that this is not a case in which equity can imply indemnity. The letter of 27 July 1961 has no indemnity clause and the court should not import a fiduciary relationship between GHH and Sango Bay whereby GHH ought to indemnify Sango Bay. Consequently there is no claim for indemnity within the meaning of O. 1, rr. 14 and 18 of the Rules once the court concludes that no proper indemnity has been made out. The court then cannot exercise its discretion. He referred to the cases of *Pontifex v. Foord* (1884), 12 Q.B.D. 152, and *Edward Kironde Kaggwa v. Costapareira*, [1963] E.A. 213. Mr. Mayanja argued that the contract between GHH and Sango Bay was a simple contract of supplying building material and machinery for sugar manufacture and that as such the court cannot import into such a contract an indemnity clause. He submitted that if GHH had committed a breach of the contract, Sango Bay's remedy would be a claim for damages for breach of a term of that contract and not indemnity within the meaning of the third party procedure. He referred to the case of the *Birmingham etc. Land Co. v. L.N.W. Rly* (1887), 34 Ch.D. 261. He further submitted that even if Sango Bay's and the guarantors' claim against a third party was an indemnity within O. 1, rr. 14 and 18 of the Rules the court should not allow a third party to be brought in for the following reasons:

(*a*) there was no common question to be tried as between the Bank, Sango Bay and the guarantors and GHH;

(*b*) introduction of the third party would prejudice, harass, embarrass, delay and cause inconvenience to the third party – GHH; and

(*c*) even if the third party is joined this would not dispose of the whole claim Sango Bay and the guarantors have against GHH,

Mr. Mayanja contended that the third party notice was based on breach of contract and failure of consideration and that looking at the pleadings, the only common question raised therein is that of fraud or collusion, which was not raised in the third party notice. He submitted that third party proceedings cannot determine the issues between the Bank, Sango Bay and the guarantors and GHH as they contain claims for damages for misrepresentation, penalties, commissions not paid, loss of profit, reduction of quantity of sugar not processed, reduction in prices, and defamation of character and therefore discretion should not be exercised in favour of Sango Bay and the guarantors. He relied on the cases of *Bower v. Hartley* (1875-6), 1 Q.B.D. 652, and *Glasgow Corporation v. Robertson*, [1936] 2 All E.R. 173. Mr. Clerk, for GHH argued that in the arbitration proceedings in Zurich, Switzerland, Sango Bay and the guarantors, claimed the loss of profits, which was not a matter covered under the guarantee by GHH concerning design, materials supplied and workmanship as well as the machinery and equipment supplied and that to grant an order for directions would be not only to disturb the arbitration proceedings but also would amount to putting Sango Bay and the guarantors in the position of plaintiffs, which would be prejudicial and embarrassing to GHH, as there might be conflicting decisions between the arbitration proceedings and the third party proceedings. He contended that the letter of 27 July 1961 was not part of the contract between GHH and Sango Bay and therefore indemnity could not be granted on the basis of this letter and that even if there was a breach by GHH of a term in the letter the remedy would be damages and not indemnity. He submitted that Sango Bay has operated the sugar factory for five years and there has thus been no failure of consideration and in view of the arbitration proceedings there would be a multiplicity of proceedings if an order for directions was granted and also that the court would have before it a matter which is already before a foreign court.

There are twelve grounds of appeal but in my view the question to be decided for the purpose of the instant case is whether Sango Bay and the guarantors, as the defendants in the action brought by the Bank, are entitled to indemnity over against GHH, who is not a party to the action, in respect of the bills of exchange or on any other matter arising out of the contract between Sango Bay and GHH and whether in the circumstances there was "a proper question to be tried as to the liability of GHH as the third party to make the indemnity claimed, in whole or in part" and whether the judge correctly exercised his discretion by refusing to grant an order for directions under O. 1, r. 18 of the Rules. Under the Judicature Act 1967, s. 32, the High Court has power to

> "grant, absolutely or on such terms and conditions as it thinks just, all such remedies whatsoever as any of the parties to a cause or matter is entitled to in respect of any legal or equitable claim properly brought before it, so that, as far as possible, all matters in controversy between the parties may be completely and finally determined, and all multiplicities of legal proceedings concerning any of those matters avoided".

Rules 14 and 18 of O. 1 of the Rules not only give effect to s. 32 of the Judicature Act 1967 in respect of the remedy of contribution or of indemnity by making provision for the procedure to be followed by a party claiming either but also restricts or limits the third party procedure to the case where the defendant claims to be entitled to contribution or indemnity. In the instant case Sango Bay and the guarantors have claimed the right to indemnity over against GHH not a party to the action. In considering the question as to whether, and, to what extent, Sango Bay and the guarantors are entitled to the right to indemnity, I think one must consider in the first place the meaning of "indemnity" in r. 14 of O. 1 of the Rules and secondly, the object or rr. 14 and 18 of O. 1 of the Rules. In *Speller v. Bristol Steam Navigation Co*. (1884), 13 Q.B.D. 96 one of the questions which arose for determination by the Court of Appeal was whether the defendants, in a third party proceeding under O. 16, rr. 48 and 52 of the Rules of the Supreme Court 1883 (which corresponds with O. 1, rr. 14 and 18 of the Rules) could claim indemnity against a person who was not a party to an action, in the absence of a contract of indemnity, express or implied. The court answered the question in the negative and in his judgment Brett, M.R. at p. 101 made these observations on the meaning of "indemnity" in Order 16, r. 48 of Rules of the Supreme Court 1883:

> "When by law may a person be entitled to indemnity? It is only when there is a contract express or implied that he shall be indemnified . . . and that it can only apply to the case where a third person has contracted to indemnify the defendant."

Indemnity is a "contract, express or implied, to indemnify against a liability it is intended to cover, and the liability under which is coterminous with the liability it is intended to cover, and is independent of the question whether somebody else makes default or not" – Stroud's Judicial Dictionary, 3rd Edn., p. 1433. On the authorities it seems to me that for the defendant to succeed under r. 18 of O. 1 of the Rules there must be a contract to indemnify either express or implied. A mere right to claim damages would not suffice. In the instant case, Mr. Hunt argued that Sango Bay's right to indemnity arose out of the contract with GHH and, in particular, out of the letter of the letter of 27 July 1961 but looking at the contract of 18 September 1961, and the "Additional Agreement" of 12 April 1962 there is no ambiguity at all; the words actually used are clear and so is the intention of the parties. There is no clause in either of these documents providing for indemnity by GHH to Sango Bay and, the letter of 27 July 1961 cannot form part of the contract. The contract and the Additional Agreement were executed much later than the letter of 27 July

1961 and in the absence of any ambiguity in the former, they must be construed according to the clear words, actually used by Sango Bay and GHH. In my view it would be quite wrong to imply a term in the contract and in the Additional Agreement giving Sango Bay a right to indemnity. It is clear that the parties did not intend what Mr. Hunt is asking this court to imply. As Lord Halsbury, L.C. in the case of *J. T. Smith and the Barrow Haematite Steel Co. Ltd. v. Henry Cooke, Rachel Swinnerton and others*, [1891] A.C. 297, at p. 299, said:

> "I must say I for one have always protested against endeavouring to construe an instrument contrary to what the words of the instrument itself convey, by some sort of preconceived idea of what the parties would or might or perhaps ought to have intended when they began to frame their instrument. . . . I think I am not entitled to put into the instrument something which I do not find there, in order to satisfy an intention which I do not find there, in order to satisfy an intention which is only reasonable if I presume what their intentions were. I must find out their intentions by the instrument they have executed; and if I cannot find a suggested intention by the terms of the instrument which they have executed I must assume that their intentions were only such as their deed discloses."

In my opinion the judge properly rejected the contention that the letter of 27 July 1961 formed part of the contract and that under the contract Sango Bay was entitled to the right of indemnity.

Mr. Hunt argued that the judge should not have exercised his discretion by dismissing the application for directions under r. 18 of O. 1 of the Rules. As will be observed, r. 18 gives the court unfettered power of discretion. The court "may, if satisfied that there is a proper question to be tried as to the liability of the third party to make the contribution or indemnity claimed . . . order the question of such liability . . . to be tried in such manner . . .". It is for the defendant to satisfy the court that there is a triable issue as to the liability of the third party to indemnify the defendant. If the court is not satisfied no discretion will be exercised. The judge in considering whether to exercise discretion said this:

> "First I draw attention to the outstanding arbitration proceedings which cover much wider issues than the issues mentioned as the grounds for applying for indemnity in these third party proceedings. Secondly, although it has been argued that by an unconditional appearance the third party has deprived itself of a right to stay of proceedings, there is outstanding an application in the suit for a stay of proceedings under s. 226 of the Companies Act (Cap. 85) consequent upon a winding-up petition. Since there is no provision for conditional appearance or appearance under protest in our rules this involves argument of some legal complexity. Thirdly, there is also at least a possibility, which admittedly also exists in the suit proper between the plaintiff and defendants only, that the Arbitration proceedings under Swiss Law, covering all sorts of additional issues, might result in a conflict of laws and conflict of orders. In this connection I think it is very relevant to note Article No. XI – Arbitration in the Contract and the words:
>
> > 'the matter in question will *definitely* be settled in accordance with the rules of conciliation and arbitration of the International Chamber of Commerce, Paris on the basis of the Swiss Law by an arbitration court in Zurich . . .'
>
> This is the contract between the first defendant and the third party which the defendants in their arbitration defence (p. 30) submitted included the restriction on negotiability of the notes said to have been imposed by the

> letter. Fourthly, the 'definite' intention to arbitrate by both the defendants and the third party could hardly be clearer nor could it be clearer that the negotiability of the notes and its connection with the contract is in issue in the arbitration proceedings. Fifthly, on this point, if these third party proceedings continued they would most certainly not clear up all the matters in dispute 'between the plaintiff, eight defendants and the third party'.
>
> Finally, directions will not be given if the case is one of too great complication or difficulty to be properly tried with the original action . . ."

I agree with the judge. As we have seen, s. 32 of the Judicature Act 1967 gives power to the High Court to grant:

> ". . . all such remedies whatsoever as any of the parties to a cause or matter is entitled to . . . so that as far as possible, all matters in controversy between the parties may be completely and finally determined, and all multiplicities of legal proceedings concerning any of those matters avoided".

In my view all matters in controversy between the parties herein will not be completely and finally settled, nor will legal proceedings between them, be avoided by granting an order for directions. I have stated earlier that rr. 14 to 18 of O. 1 of the Rules, *inter alia*, limit the third party procedure to cases where a defendant claims to be entitled to the remedy of indemnity; it therefore seems to me that one of the objects of this procedure is to prevent a multiplicity of actions. As Lord Esher, M.R., said in *Baxter v. France* (*No.* 2), [1895] 1 Q.B. 591, at p. 593, when considering the refusal by a judge at chambers to give directions under O. 16, r. 52:

> "The general scope of the third party procedure is to deal with cases where by applying it, all the disputes arising out of a transaction as between the plaintiff and the defendant, and between the defendant and a third party, can be tried and settled in the same action. In a case where there will remain a dispute arising out of the transaction which cannot be tried in the same action, but must form the subject of another action, so that in the result there must be two actions, the judge will rightly exercise his discretion by declining to give directions."

In the case of *Barclays Bank v. Tom*, [1923] 1 K.B. 221, at p. 224 Scrutton, L.J., said in regard to the object of the third party procedure:

> "to get the third party bound by the decisions given between the plaintiff and the defendant . . . to save the extra expense which would be involved by two separate independent actions".

In a third party proceeding, it is for the defendant to satisfy the court that there is a "proper question to be tried as to liability of the third party". In other words, the defendants in the instant case, must satisfy the court that they have a right of indemnity against GHH, and that that right arises out of the contract between Sango Bay and GHH. In the absence of such a contract they must fail. In my view and on the authorities the judge properly exercised his discretion in refusing to give directions. Mr. Hunt attacked the refusal and said the judge wrongly exercised his discretion. I cannot agree, and I see no reason to interfere with the judge's exercise of his discretion. As Sir Charles Newbold, P., said in the case of *Mbogo v. Shah*, [1968] E.A. 93, at p. 96 this court:

> "should not interfere with the exercise of the discretion of a judge unless it is satisfied that the judge in exercising his discretion has misdirected himself in some matter and as a result has arrived at a wrong decision, or unless it is manifest from the case as a whole that the judge has been clearly

> wrong in the exercise of his discretion and that as a result there has been misjustice."

In my view that is not the position obtaining in this case. In view of the arbitration proceedings in a foreign court involving many issues, and also as there is an application pending under s. 226 of the Companies Act it is clear that giving directions would not completely and finally determine the matters in dispute between the Bank, Sango Bay and the guarantors and GHH nor would a "multiplicity of legal proceedings" concerning any of those matters be avoided. Under these circumstance, I am of the opinion that the judge was right in refusing to give directions. In my opinion he exercised his discretion correctly. For these reasons I would accordingly dismiss this appeal with costs.

Sir William Duffus P: This is an appeal from the order of a judge of the High Court dismissing the appellants' application for directions on a third party notice. The effect of this dismissal is that the third party notice also stands dismissed.

The facts have been fully set out by Lutta, J.A., in his judgment which I have read in draft form. The summons was heard by Goudie, J., who in a clear and able decision had no hesitation in dismissing the application.

Order 1, r. 18 states as follows:

> "18. If a third party enters an appearance pursuant to the third party notice, the defendant giving the notice may apply to the court by summons in chambers for directions, and the court upon the hearing of such application, may, if satisfied that there is a proper question to be tried as to the liability of the third party to make the contribution or indemnity claimed, in whole or in part, order the question of such liability, as between the third party and the defendant giving the notice, to be tried in such manner at or after the trial of the suit, as the court may direct; and, if not so satisfied, may order such judgment as the nature of the case may require to be entered in favour of the defendant giving the notice against the third party."

The appellants based their claim for an indemnity on the ground that the third party, who contracted to build and did build a sugar factory for the first appellant company, had by letter dated 27 July 1961 agreed that the promissory notes given by the appellants, including the five bills of exchange the subject of this action, were only to be held by the third party as securities and were not to be discounted. They claim that it was in breach of this agreement that the third party had negotiated these bills with the plaintiff bank, the first respondent, and that they were therefore entitled to be indemnified by the third party for any amount they had to pay to the plaintiff bank in respect of these bills.

In his decision the trial judge based his dismissal of the application on three separate grounds. First he held that the appellants had not satisfied him that the letter of 27 July 1961 formed part of the contract between the third party and the first appellant company, secondly that even if it did it would, at the best, only give the first appellant a right to damages as against the third party and did not give rise to a claim for indemnity as required in the third party procedure, and finally, he found that even if he was wrong in both of these findings that, in any event, in the exercise of his discretion he would refuse the application for directions, and he gave various reasons why this would not be a proper case to allow the third party proceedings to continue.

I would first consider the last question, that is the general exercise of the judge's discretion. It is a fact that there is an extensive and apparently most complicated dispute now pending between the first appellant company and the third party. This dispute is at present being heard by arbitration in Zurich.

The extent of this dispute is shown by reference to the statement of defence and counter claim of the first appellant company in the arbitration proceedings, this document was put in evidence at the application and occupies some forty pages of the record of appeal. It involves disputes over the building of, apparently, every aspect of the sugar factory; there is a counter claim for Shs. 36,407,142/- and D.M. 1,004,526.80, and, of course, the third party's claim for payment.

In my view the judge would have been entirely correct to exercise his discretion in this manner. Apart from anything else, the dispute between the first appellant company and the third party could not possibly be determined in its entirety in this action, and the complexity and difficulties of that dispute would also greatly and unreasonably delay the hearing of the plaintiff's claim. Another compelling reason is that the parties have agreed that any dispute between them would be the subject of arbitration and in this respect I quote from article No. XI of the main contract between the parties dated 18 September 1961.

> "*Article No. XI – Arbitration*
>
> Divergencies arising from the interpretation and execution of this contract will first be settled by negotiations between the parties to this contract. Should these negotiations not be successful within 6 weeks after the occurrence of the divergencies, the matter in question will definitely be settled in accordance with the rules of conciliation and arbitration of the International Chamber of Commerce, Paris, on the basis of the Swiss law by an arbitration court in Zurich comprising 3 arbitrators nominated in accordance with these rules."

In this case not only have the parties agreed to arbitration but the arbitration is now actually proceeding. It would in my view be quite wrong to allow the same parties to sidetrack the arbitration and endeavour to settle the issue by these third party proceedings; proceedings which could not result in a final settlement of the issues between them and which might have the embarrassing effect of there being different decisions given by the court in Uganda to that of the arbitration in Switzerland.

I also agree with the judge that it does appear from the various documents in evidence in this application that the letter of 27 July 1961 does not form a part of the contract between the parties and further that the various written contracts entered into between the parties specifically allowed the third party a right to negotiate the bills of exchange when this became necessary in connection with "refinancing". I have not found it necessary to consider the question as to whether the claim against the third party is such a claim as could give rise to a claim for an indemnity under the third party proceedings as set out in O. 1, rr. 14 – 18. I agree that a right of indemnity the other as happened in the case of *Eastern Shipping Company Ltd. v. Quah Beng Kee* (8), but in the particular circumstances of this case it would be quite wrong to allow any claim between the first appellant company and the third party to be settled by third party proceedings. I agree therefore that the judge was correct in dismissing this application.

I agree with Lutta, J.A., that this appeal be dismissed with costs to both respondents as against the appellant and as Mustafa, J.A., also agrees it is so ordered.

Mustafa JA: I have had the advantage of reading in draft the judgments prepared by the President and Lutta, J.A. I agree that the appeal must be dismissed, and concur with the order of the President.

Appeal dismissed.

For the appellants:
RE Hunt (instructed by *Hunter & Airey*, Kampala)

For the first respondent:
Abu Mayanja (instructed by *Hunter & Greig*, Kampala)

For the second respondent:
AV Clerk (instructed by *Clerk & Co*, Kampala)

Melitus v Kericho Highland Service Co Ltd
[1971] 1 EA 318 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	6 June 1969
Case Number:	926/1968 (56/71)
Before:	Farrell J
Sourced by:	LawAfrica

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[1] Estoppel – Conduct, by – Issue of tickets for taxi service, display of name, etc. – Defendant estopped from denying responsibility for driver of vehicle.

[2] Estoppel – Conduct, by – Cessation of impression – Plaintiff not disabused of impression gained from conduct.

[3] Negligence – Vicarious liability – Special employer – Whether driver specially employed by operator of taxi service.

[4] Negligence – Vicarious liability – Agent – Personal and non-delegable duty – Responsibility for agent.

[5] Damages – Personal injuries – Quantum – Broken back and ribs, headaches, pain

Editor's Summary

The plaintiff was a passenger in a taxi which overturned due to the negligence of the driver. He suffered a broken back and ribs, and continued to suffer pain, headaches and dizziness. The defendant company held 27 licences for the operation of taxi services issued under the Transport Licensing Act (Cap. 404). The defendant owned no vehicles, but its members owned vehicles by means of which the defendant operated its services. The members employed and paid their own drivers. The defendant provided a ticket office where tickets were issued in the defendant's name. In return for the defendant's services 10 per cent of the fare was retained and balance was handed to the driver for the owner of the vehicle. The driver was therefore clearly not the defendant's servant.

The defendant company denied that it was responsible for the driver's tort. The plaintiff contended firstly that the defendant was estopped from denying that the driver was its servant by reason of the manner in which seats were booked and the prominence of the defendant's name, secondly, that the driver was lent to the defendant for the particular journey, and thirdly that the defendant owed a personal and non-delegable duty to the plaintiff in the performance of its statutory duty to operate the service and that by the delegation of its duty it did not avoid liability.

Held –

(i) the defendant's conduct would lead a reasonable person to believe that it was responsible for the driver of the vehicle;

(ii) the plaintiff had not been disabused of this impression and the estoppel continued to operate;

(iii) the defendant was estopped from disclaiming responsibility for the driver;

(iv) the defendant was not the special employer of the driver (*Mersey Docks and Harbour Board v. Coggins and Griffith* (1) followed);

(v) the defendant owed a personal non-delegable duty to the plaintiff in the operation of its taxi business and therefore was responsible for the negligence of the driver (*Selle v. Associated Motor Boat Co. Ltd*. (2) followed);

(vi) the plaintiff would be awarded general damages of Shs. 20,000/-.

Judgment for the plaintiff.

Cases referred to judgment

(1) *Mersey Docks and Harbour Board v. Coggins and Griffith*, [1947] A.C. 1.

(2) *Selle v. Associated Motor Boat Co. Ltd*., [1968] E.A. 123.

Judgment

Farrell J: The plaintiff was a passenger in a taxi on a journey from Nairobi to Kisumu. Shortly after leaving Kericho, the taxi left the road and overturned. The plaintiff was rendered unconscious and when he recovered consciousness he found himself in hospital. On the evidence there is no doubt that the accident was due to the negligence of the driver of the taxi. The only dispute as to liability is whether the defendant company is liable for the driver's negligence. I propose to reverse the usual order and to assess the damages before dealing with the issues as to liability.

The plaintiff as a result of the accident sustained a fracture of the seventh cervical vertebra and fracture of the first and third ribs at their junction with the spine. He was in hospital for 8 days and in bed at home for a further two weeks after his discharge. He continued to attend hospital for treatment for some time after that. He was able to return to his employment and his wages were paid during his absence from work. He has not suffered any loss of earnings. But he claims that he still has pain in his back and suffers from headaches and dizziness. The doctor's evidence suggests that in time he will cease to feel any pain. But, while the permanent effects of his injuries are fortunately much less severe then they might have been, there is no doubt that in the early stages he did suffer very considerable pain.

The special damages are agreed at a figure which I have rounded up to Shs. 1,000/-, and after taking into account some recent awards for comparable injuries, I assess the general damages as Shs. 20,000/-.

The claim is brought against the defendant company on the ground that it was at all material times the registered owner "or otherwise in control or management" of the vehicle involved in the accident. and that the driver was a servant or agent of the defendant company. In its defence, the defendant denies that it was the owner of the vehicle or that the driver was its servant or agent.

The facts disclosed by the evidence reveal an unusual state of affairs. The defendant company is the holder in its own name of 27 licences issued by the Transport Licensing Board (to which I shall refer as "the Board") under powers conferred by the Transport Licensing Act (Cap. 404). The licences are for the operation of a taxi service between Nairobi, Nakuru, Kericho and Kisumu, in accordance with a time-table submitted by the company and approved by the Board. The company itself owns no vehicle except a lorry. There are, however, a number of members of the company of whom 27 own individual vehicles by means of which the company operates its taxi service. The owners employ and pay their own drivers. The vehicle with which this case is concerned was owned by Njoroge, in the sense that he had entered into a hire-purchase agreement with a finance company and was paying the instalments. The driver was engaged by Njoroge and paid by him.

For the purpose of its taxi service the defendant company provided an office where tickets were issued to intending passengers. The office had the name of the company over its door, and printed tickets were issued in the name of the company by a clerk employed and paid by the company. Passengers would assemble at the company's office, and on the arrival of members' cars driven by the members' drivers passengers were allotted to the various vehicles by a clerk

or other official of the company. In return for the services rendered by the company in the provision of booking facilities, staff and premises, 10 per cent was deducted from the fare and the remaining 90 per cent was handed to the driver to be passed in turn to the owner of the car.

Evidence was given for the defendant company by a director Mr. Gichuru Stephen, and by Njoroge the owner of the vehicle who freely admitted that he was the employer of the driver Kariuki, and that the driver was subject to his control.

There was some conflicting evidence as to registered ownership of the vehicle, as to its insurance and as to the question whether the name of the company or of the individual owner or of both was written on the side of the vehicles and in particular of the vehicle involved in the accident. I shall deal with these points so far as may be necessary in the appropriate context.

On the facts proved it is *prima facie* clear that the employer in fact of the driver was Njoroge and not the company. The law as to vicarious liability for the torts of a servant is well established, and is stated thus in Clerk & Lindsell on Torts, 12th Edn., at para. 213:

> "When the relationship of master and servant exists, the master is liable for the torts of the servant committed in the course of his employment."

In this case no problem appears at first sight to arise as to whether the tort was committed in the course of the servant's employment. He was employed to drive the car, partly no doubt on his master's own business, but primarily in the operation of the company's taxi service. He was at the time performing the task which he was employed to do, and the tort was committed in the course of his employment.

In these circumstances, as is strongly urged by counsel for the defendant, the liability for the driver's tort would *prima facie* lie not on the defendant company, but on Njoroge as his master and employer.

Counsel for the plaintiff had not anticipated the nature of the defence which was going to be raised, and he is not entirely to be blamed for expecting a case less complex then it turned out to be. Faced, however, as he was by the clear evidence as to the driver's employment, he sought to save the day for his client by resort to two alternative devices. First of all, he argued in his closing speech that the defendant was estopped from denying that the driver was its servant. Subsequently, he applied by notice of motion for leave to amend the plaint by adding Njoroge as a defendant. It was obvious that there might be grave objection to adding a defendant at such a late stage of the case, when all the evidence had been heard and the closing speeches had been made. The court has deferred the hearing of the motion, since if the plaintiff were to succeed against the present defendant, the addition of another defendant would not be necessary.

The plea of estoppel had not been raised in the plaint, and the hearing was adjourned for further argument on the questions whether it was necessary for estoppel to be pleaded, and if so, whether an amendment for this purpose should be allowed. After hearing argument I ruled that, while it did not appear that the requirement of pleading was absolute, it would be of advantage to both parties that the plea, if it were to be considered, should be clearly formulated in a pleading, preferably in a reply. A reply has now been informally tendered and accepted by the court, subject to being properly filed later in the registry.

The plea of estoppel now put forward in the reply is set out in two parts: first it is said that by reason of certain matters the defendant ought not to be allowed to say that it is not the owner of the vehicle in question: second, that by reason

(presumably) of the same matters, the defendant ought not to be allowed to say that it did not employ Kariuki as its servant or agent. Before considering the matters alleged, it may be remarked that in my view the question of ownership of the vehicle has figured too prominently in the arguments in this case. There are, of course, cases where the ownership of the vehicle is a material point in deciding the owner's liability for injuries caused by the driver to a third party. But the liability is based not on the ownership as such, but on the relationship of the driver to the owner. If there is no nexus between the two, as (for instance) when the vehicle has been stolen, ownership by itself would not create any liability. In this case, it does not seem to me to be a material question whether the car belonged to the defendant company or to Njoroge, nor is it important whether the defendant is estopped from denying that it is the owner of the car. In terms of the plaint, no liability would be disclosed by pleading that the defendant company was the owner of the vehicle: what is material in this context is the allegation that Kariuki was the servant or agent of the defendant. For these reasons I do not propose to pay much attention to the first plea of estoppel raised in the reply, but to treat the second as the one on which (if any) the plaintiff is entitled to rely. I do not say that the question of ownership is to be entirely disregarded, but if it is material it is so only as a factor affecting the more fundamental question of the relationship between the defendant and the driver of the vehicle.

The issue of estoppel, as I see it, may be put in this way: did the defendant company by its conduct lead the plaintiff as a reasonable person (and in this connection I include the plaintiff's advocate as his agent) to believe that Kariuki as driver of the vehicle was a servant or agent of the defendant company for whose negligence the defendant company would be liable? In support of the plaintiff's case the most cogent evidence is that the defendant company occupied premises at which the defendant company's business was carried on in Nairobi, and had its name displayed outside the office. There the tickets were issued by an employee of the defendant company, and the tickets were clearly marked as issued in the name of the defendant company. The premises contained a waiting-room where passengers assembled and it was there that the vehicles operating the taxi service called. It was an employee of the defendant company who directed the passengers to the vehicle in which they were to travel. According to the plaintiff the vehicles all had the name of the defendant company displayed on them. This was not directly challenged by counsel for the defendant, but there was some evidence that besides the name of the defendant company there were some other words and Njoroge claims that the words on the vehicle in which the plaintiff travelled were "Stephen Njoroge c/o Kericho Highland Service Company". I am satisfied that the name of the defendant company appeared on some at any rate of the vehicles used in the operation of the service, and to a person booking a ticket at the premises of the defendant company, it seems to me that what would be significant would be the name of the company which was already familiar to the intending passenger, irrespective of any other persons or names which might appear in addition.

So far as the plaintiff or any other intending passenger was concerned, it seems to me clear that the defendant company had represented itself as the body responsible for running the taxi service, and the passenger was entitled to assume that the driver of the vehicle was the servant or agent of the company, and that if any question of liability arose, he would be entitled to look to the company and nobody else.

However, on the event happening, the advocate as agent of the original party would normally take over on his behalf and before bringing proceedings might be expected to make more searching inquiries. If those inquiries were to reveal the true position, it could no longer be said that the plaintiff was misled by the

conduct of the defendant into acting to his own detriment. If, however, the inquiries revealed nothing which would remove the first impression, the effect of the representation would remain. In this case the inquiries made by the plaintiff advocate revealed that the vehicle was registered jointly in the name of the defendant company and the finance company and that the name of Njoroge which had previously been entered as a co-owner, had been erased. Whatever may have been the reason for the erasure of Njoroge's name, the entry of the company's name was made with the connivance of the company, as is shown by the explanation given by Stephen Gichuru, the director, who said:

> "If the company's name did not appear in the log-book, it would not be so easy to obtain a T.L.B. licence. That was why the company's name was put in the log book."

Next the advocate discovered or could have discovered that the T.L.B. licence was issued in the name of the defendant company. This again was done with deliberate intent, since according to Stephen, he had been advised that if individual applications were made, they would not be likely to be granted. As regards insurance, the evidence is not clear, since no representative of the insurance company was before the court. That, however, is a factor which tells against the defence, since in view of all the indications already mentioned pointing to the defendant company as the body responsible for the running of the taxi service, the onus was shifted to the company to show that the false impression it had created by its conduct should have been removed by the discovery of contrary indications available to the plaintiff and his advisers. The company has not put forward any ground of argument to show why the plaintiff should have been disabused of the false impression implanted in his mind by the considerations I have mentioned. If the plaintiff or his advocate should have been made aware of their mistake, it was for the defendant company to put forward reasons why they should have discovered the true state of affairs. I am satisfied that having regard to all the circumstances the argument based on estoppel must succeed and that, notwithstanding that in fact Kariuki was employed and paid by Njoroge and was under his general control it does not lie in the mouth of the defendants to deny that Kariuki was at the material time their servant and agent.

Estoppel is, of course, a rule of evidence under which the party affected is precluded from setting up the true state of affairs. I have so far considered the relationship of the parties on the footing that if the driver was the servant of Njoroge, *prima facie* Njoroge would be liable and the defendant company would not be liable. The second proposition is not, however, a necessary corollary of the first: and if the defendant company can be shown to be liable on the basis of the proved facts, there is no need for the plaintiff to rely on any estoppel. Although I have found the defendant company liable on the basis of estoppel, my finding may be wrong and I think it right to consider two further arguments in support of the plaintiff's claim that even on the facts as proved the defendant company is liable.

The first was put forward rather half heartedly by counsel for the plaintiff and is based on what is described in Clerk & Linsell on Torts, 12th Edn., para. 208 as "service pro hac vice".

The issue is stated thus:

> "If A lends his servant to B for a job and the servant causes damage in the course of doing that job, the question may arise whether the person vicariously liable for the damage is the general employer, A, or whether the servant has become pro hac vice the servant of B, so that B is liable."

It would be an attractive view of this case to hold that Njoroge was as he unquestionably was the general employer of Kariuki, but that when he sent him

with the vehicle to the offices of the defendant company for the purpose of assisting in the operation of the taxi service, he was lending both car and driver to the defendant company, and that the defendant company thereupon stood in the shoes of Njoroge as his employer. However, authority does not appear to support such a proposition. the locus classicus on the topic is now *Mersey Docks and Harbour Board v. Coggins and Griffith*, [1947] A.C. 1. In that case a crane and its driver had been hired by the appellant a harbour authority to the respondents, a firm of stevedores, and the House of Lords on the facts of that case found that the harbour authority, as general employer, had not discharged "the heavy burden of proof" as so to shift to the stevedores its *prima facie* responsibility for the negligence of the craneman, who in the manner of his driving was exercising the discretion it had vested in him.

On the same principles as were applied by the Law Lords in that case, I think it has not been established that the defendant company was liable for the negligence of Kariuki merely on the basis of a transfer of his services from Njoroge to the defendants.

The second argument rests not so much on the relationship of master and servant as on that of principal and agent. The principles to be applied were discussed in a recent case in the Court of Appeal for Eastern Africa, *Selle v. Associated Motor Boat Co. Ltd*., [1968] E.A. 123. Let it be conceded at once that the facts of that case, while bearing a superficial resemblance to the facts now before the court, are clearly distinguishable, the boats in that case were owned by the respondent company, in this case the cars were owned by individual members. It is, however, not entirely clear, at any rate from the judgment of Sir Clement De Lestang, V.P., to what extent the element of ownership was material to the decision.

In his judgment at p. 128 the Vice-President refers to a passage in Bowstead on Agency, 12th Edn., art. 99, in which

> "it is stated that the principal will be liable for the wrongful act of his agent if it is one of a class of acts within the actual or apparent authority of the agent or if such wrongful act amounts to a breach by the principal of a duty personal to himself, liability for non-performance or non-observance of which cannot be avoided by delegation to another."

The Vice-President continued:

> "As I understand the law the fundamental and well settled rule is that a person employing another is not liable for his collateral negligence unless the relation of master and servant existed between them at the material time (*Quarman v. Burnett* (1840), 6 M. & W. 499; *Dalton v. Angus* (1881), 6 A.C. 740, at p. 829). It follows from this rule that the relationship of principal and agent will not in itself suffice to render the principal liable for the collateral negligence of the agent unless the agent is also a servant. Where however, a person delegates a task or duty to another, not a servant, or employs another, not a servant, to do something for his benefit or the joint benefit of himself and the other, whether the other person be called agent or independent contractor, the employer will be liable for the negligence of that other in the performance of the task, duty or act as the case may be (*Hewitt v. Bonvin and Another*, [1940] 1 K.B. 188; *Ormrod v. Crosville Motor Services Ltd*., [1953] 2 All E.R. 753 as explained in *Norton v. Canadian Pacific Steamships Ltd*., [1961] 2 All E.R. 785).
>
> Such liability is an application of the maxim qui facit per alium facit per se and the law appears to be now settled in England, at least in regard to the use of vehicles, that the liability of a principal for the wrongful acts of his agent exists in the same kind of circumstances as that of a master for

> those of his servants if scope of authority is substituted for course of employment."

On an analysis of the above passages, it becomes clear that the Vice-President is considering not one but two cases in which, contrary to the general rule, a principal may be liable for the wrongful acts of his agent: (*a*) where a task or duty is delegated; and (*b*) where a person, not a servant, is employed to do something for the joint benefit of himself and the employer. The Vice-President at p. 128 posed both questions, (*a*) whether they respondents delegated the task of operating the boats to the boatman and (*b*) whether they employed the boatman to operate the boats for their own benefit or for the joint benefit of themselves and the boatman. He answered both questions in the affirmative and found the respondents liable.

As regards the second exception to the rule of non-liability, most of the cases cited in support concern the liability of owners of motor vehicles: and since here the party sought to be made liable was not the owner of the vehicle in question it would be dangerous to rely on any such exceptions. It may be noted, however, that this exception is not one of those referred to in the passage cited from Bowstead: and further that as regards the first exception Bowstead stresses the requirement that the duty must be personal to the principal and "non-delegable". It is respectfully suggested that this requirement was to some extent overlooked by the Vice-President in his judgment. It was, however, present to the mind of Law, J.A. as appears in his judgment at page 131 where he says:

> "It was their duty, as common carriers licensed under the Port Rules, to transport passengers between ships and the shore."

In the instant case the defendant company was the holder of the licences for the operation of the taxi service, and the service was required to be operated in accordance with a time-table approved by the Transport Licensing Board. It is clear that the defendant company had a statutory duty to operate the service, and the question is whether or not that was a duty the performance of which was incapable of being delegated to another so as to avoid liability for negligence in its performance. In the similar circumstances of *Selle's* case it was held that the company could not so delegate its responsibilities, and it is implicit in the judgments in that case that this alone (irrespective of the ownership of the boats) would have been sufficient to make the company liable: and I think that if I follow the decision in that case as I am bound to I must hold that this, too, is a case where the defendant company is liable for the negligence of its agent.

Mr. Salter, who himself appeared in *Selle's* case, nevertheless invites me to hold that so far from the defendant company being a principal liable for the negligence of its agent, the position is quite the reverse, and the members of the company, including Njoroge were in fact the principals who were operating the taxi service, and the company was their agent in respect of (*a*) obtaining T.L.B. licences and (*b*) bookings and reservations. This was, he submits, a cooperative venture by a number of African vehicle-owners: the owners received 90 per cent of the takings; and the court should have regard to the true nature of the undertaking. This is an ingenious argument, but to give effect to it would, in my opinion, be to disregard the well-established principles of company law. I do not know any case in which a duly incorporated company has been regarded as the agent for its own members. The company is a separate person from its members and it was the company which was granted the licences, the company which had the authority and duty to operate the service. Whether it did so by means of the members' cars and the members' drivers or by means of any other cars and drivers appears to me to be immaterial.

In Winfield on Torts, 8th Edn., at p. 649 where the question of the liability

for torts of an independent contractor is discussed, there occurs the following passage:

> "It is submitted that the true question in every case in which an employer is sued for damage caused by an independent contractor is whether the employer himself was in breach of some duty which he himself owed to the plaintiff. Such a breach may exist if the employer has not taken care to select a competent contractor . . . It may also exist if the contractor alone has been at fault, provided that the duty cast upon the employer is of the kind commonly described as 'non-delegable' . . . It is a question of law whether the duty in a given case is 'non-delegable', but unfortunately, so far as common law duties are concerned, little by way of principle is to be gathered from the cases."

I have found no English case which is closely analogous to the facts of this case, but on the authority of *Selle's* case I hold that here the defendant company was under a statutory duty to run a taxi service and that it had the choice of performing its duty through its own servants, for whose negligence it would be liable on normal principles, or through agents. It chose to do the latter, but in my view by doing so it was unable to delegate its responsibilities so as to avoid liability for the negligence of its agents in the performance of the duty.

For the above reasons I find the defendant company liable, and that being so it is unnecessary to consider the application to add Njoroge as a second defendant. I should in any case have been most reluctant to do so, not only by reason of the late stage at which the application was made, but because it would appear to be inequitable that a person who had already given evidence in support of the defendant should later be himself made a co-defendant.

There will be judgment for the plaintiff against the defendant company for Shs. 21,000/-, interest and costs.

Order accordingly.

For the plaintiff:
SK Guram and *M Owuor* (instructed by *Guram & Co*, Nairobi)

For the defendant:
C Salter QC and *Parikh* (instructed by *Patel & Parikh*, Nairobi)

Dresdner Bank A G v Sango Bay Estates Ltd (No. 3)
[1971] 1 EA 326 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	7 April 1971
Case Number:	322/1968 (60/71)
Before:	Russell Ag J
Sourced by:	LawAfrica

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[1] Civil Practice and Procedure – Discovery – Documents – May be ordered when necessary to give details of fraud alleged.

Editor's Summary

The plaintiff sued the defendants on bills of exchange of which it alleged that it was the holder in due course. The defendants alleged that the plaintiff obtained possession of the bills mala fide and without consideration, but gave no particulars thereof. The defendants applied for discovery of documents. The plaintiff contended that discovery should not be granted in order to obtain for the defendants particulars which should have been set out in the plaint.

Held – the defendants were entitled to discovery in order to enable them to give details of the fraud alleged (*Leitch v. Abbott* (2) followed).

Application allowed.

Cases referred to judgment

(1) *Whyte v. Ahrens* (1884), 26 Ch. D. 717.

(2) *Leitch v. Abbott* (1886), 31 Ch. D. 374.

Judgment

Russell Ag J: In the plaint (which was filed in July 1968) the plaintiff is stated to be a body corporate incorporated and under the laws of the Federal Republic of West Germany and the first to the fifth defendants are companies incorporated in Uganda with limited liability and the sixth to eighth defendants are Asian businessmen ordinarily resident in Uganda.

The plaintiff is suing on five separate bills of exchange drawn in the German language upon the first defendant by Gutehoffnungshutte Sterkrade Aktiengesellschaft (hereinafter referred to as "GHH"), also stated to be a body corporate in and under the laws of the Federal Republic of West Germany in Oberhausen, West Germany, payable to the drawer's own order on a specified date. The bills of exchange were duly accepted by the first defendant and signed by each of the other defendants or their authorised agents as guarantors. It was further alleged that subsequently but prior to their respective due dates all the said bills of exchange were indorsed by the drawer, GHH and delivered to the plaintiff who then became the bearer and holder thereof in due course. The said bills were duly presented for payment by the plaintiff but were dishonoured and at the relevant rate of exchange on the date of matuirty the defendants became jointly and severally liable to the plaintiff thereon in Uganda in the sum of Shs. 2,215,302/-.

In their joint written statement of defence the defendants do not admit the status of either the plaintiff or GHH as alleged in the plaint and specifically deny the allegations that the plaintiff is or was the bearer and/or holder in due course of the said bills or any of them. They further contend that to the best

of their knowledge and belief the plaintiff obtained possession of the said bills mala fide and without giving value thereof but particulars could only be given after discovery and inspection of documents and the issue of interrogatories. It was further alleged by the defendants that in any event the plaintiff was aware that the said bills were in the hands of GHH as securities only and were not negotiable instruments and would not be honoured by the defendants owing to numerous disputes between the defendants and GHH. They jointly contended that the said bills were not presented for payment and that as it was not alleged in the plaint that notice of dishonour had been given to any of the defendants the plaint did not disclose any cause of action.

In its reply the plaintiff admitted formal notice of dishonour was not given to any of the defendants but alleged the plaintiff or its advocates gave notice to all the defendants within a reasonable time that the said bills had been dishonoured and alternatively that notice of dishonour was not necessary to the defendants in their capacity of acceptor and guarantors respectively.

The defendants have now applied by way of a chamber summons for an order pursuant to O. 10, r. 12 of the Civil Procedure Rules that the plaintiff make discovery on oath of the documents which are or have been in the plaintiff's possession or power relating to any matter in question in this suit. Counsel for the plaintiff informed me that he has or is about to lodge an application to strike out the last two sentences of paragraph 4 of the defence but that is a mater of which I cannot at present take cognisance.

Counsel for the plaintiff has urged me to dismiss the application on the grounds that as the cause of action is based on the said bills by a holder subsequent to the drawer all relevant documents have already been disclosed. Particulars as to the incorporation and status of the plaintiff and GHH and the relevant law as to protest and notice of dishonour are matters upon which expert evidence will be called by the plaintiff at the hearing of the case. Particulars of the alleged mala fides of the plaintiff and the lack of consideration should have been set out in the plaint and an attempt should not now be made to obtain them through an order for discovery.

Counsel for the plaintiff has referred me to the wellknown cases of *Whyte v. Ahrens* (1884), 26 Ch. 717 and *Leitch v. Abbott* (1886), 31 Ch. 374 which were both decided well before 1962 when the previous English O. 24 was amended by separating the rules as to "discovery" and "interrogatories" and by r. 2 of that order discovery was automatic (vide the "White Book" for 1967, p. 849). In *Whyte's* case it was held by Cotton, L.J., affirming the decision of Bacon, V.C. (dissentiente Foy, L.J.) that the plaintiff was not bound to give particulars of fraud under the old O. 19, r. 6 before obtaining discovery of documents. In *Leitch's* case it was held by Cotton and Bowen, L.JJ. (dubitante Fry, L.J.) that though there were no particulars of fraud alleged the plaintiff was entitled to discovery in order to enable him to give details of the alleged fraud.

Although the present application is made on behalf of the defendant I consider the same principles apply and I respectfully agree with the comments of Bowen, L.J. in *Leitch's* case when he states:

> "What is the object of that rule? The object, as it seems to me, is perfectly clear. It often happens that one party to an action makes an allegation of some fact, such as the existence of a partnership or an agency, which is disputed by the other party. If the allegation is true, the right to discovery would follow; if it is not true, there would be no right to discovery. The framers of the rules saw how ridiculous it would be if they did not give a power for the defendant to refuse discovery until the right of the plaintiff to have it had been established. Therefore rule 20 enables the judge to sever the trial of the issue of facts from the trial of the right to discovery.

> But in the present case it seems to me that rule 20 does not apply. The Judge could not properly say that he was satisfied that the right to discovery depended on the determination of any issue or question in dispute in the cause. The discovery is wanted for the determination of the issue in the action. Nor could it be said that for any other reason it was desirable that the issue in dispute should be determined before deciding upon the right to discovery."
>
> "Outht, then, the generality of an allegation of fraud to be a bar to the right to discovery? It seems to me that the very fact that the pleader is unable to plead except in general terms, is in many cases the very reason why he should have discovery from the other party, so as to enable him to plead the fraud in detail. If at a particular stage of an action you are stopped by reason of your ignorance of some fact which is known only to the other party, that is the very reason why you should have discovery of that fact from him, and what difference does it make whether you are stopped at the trial or before? I say this in order to shew that rule 6 of Order XIX is only a rule of pleading, and we ought not, I think, to scan the pleadings too narrowly upon a question of the right to discovery."

An order for discovery under O. 10, r. 12 is still discretionary in Uganda but for the above reasons I am satisfied that discovery as prayed for in the application is necessary and I grant the application. There will accordingly be an order that the plaintiff make discovery on oath of the documents which are or have been in his possession or power relating to the matters in question in this suit. I will hear counsel as to the period within which such discovery to be made and as to the costs of this application.

Application allowed.

For the plaintiff:
PJ Wilkinson QC and *RE Hunt* (instructed by *Hunt & Airey*, Kampala)

For the defendants:
II Mitha (instructed by *Mayanja, Mitha & Co*, Kampala)

Nzirane v Lukwago
[1971] 1 EA 328 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	7 April 1971
Case Number:	525/1968 (65/71)
Before:	Goudie J
Sourced by:	LawAfrica

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[1] Civil Practice and Procedure – Pleading – Amendment – New cause of action after expiry of limitation period to be rejected.

Editor's Summary

The plaintiff sued the defendant in a personal capacity for damages suffered by reason of the death of her husband. Two years outside the limitation period provided, she applied to amend to sue on behalf of her husband's estate and on behalf of ten other dependants.

Held – the proposed amendments raised a new cause of action outside the limitation period and would be disallowed (*Marshall v. London Passenger Board* (1) followed).

Application dismissed.

Cases referred to judgment

(1) *Marshall v. London Passenger Transport Board*, [1936] 3 All E.R. 83.

(2) *Epaineto v. Uganda Commercial Bank*, [1971] E.A. 185.

Judgment

Goudie J: This is an application to amend the plaint under O. 6, r. 18 of the Civil Procedure Rules.

In the original plaint the widow sued in a personal capacity, for damages for herself only, in respect of the alleged negligence of the defendant in causing the death of her late husband. The death occurred on or after 17 February 1966 and the plaint was filed on 29 November 1968, within the three year period of limitation laid down in the proviso to s. 8 (2) (*b*) of the Law Reform (Miscellaneous Provision) Act (Cap. 74). This reads as follows:

> "(*b*) every such action shall be commenced within 3 years after the death of such deceased person."

The plaintiff now seeks to amend the plaint. The amendments appear in paras. 3 and 6 of the proposed amended plaint. In effect the widow seeks to sue *additionally, on behalf of the deceased's estate and ten alleged dependants.* The application to amend was filed on 5 March 1971 and so far as the amendments are concerned, it is common ground that, viewed as such, these are applied for more than five years after the death of the deceased, more than two years outside the limitation period for an action brought under the provisions of s. 7 of the Law Reform (Miscellaneous Provisions) Act.

The issue is whether the proposed amendments ought to have been applied for within the limitation period provided for an action or whether, once an action has been filed, the widow can apply for amendments the effect of which is to bring in additional beneficiaries. To put it in another way "Do the proposed amendments relate back to the original cause of action or do they constitute fresh causes of action?"

The answer, in my opinion, clearly lies in the essential nature of the proposed amendments. Where the proposed amendments have the effect of creating or proceeding upon a fresh cause of action which is time-barred the amendment will not be allowed unless, owing to some disability or sufficient other cause, the fresh cause of action could not have been brought within the statutory time limit. In the instant case no question of disability arises and, in my view, the proposed amendments must amount to fresh causes of action which, if maintainable at all, should have been included in the original plaint. In passing, I would remark that I doubt whether the amended plaint as filed is even properly amended. The proposed amendments have been "concealed" in the body of the plaint but the effect of the proposed amendments would have been apparent if they had been shown, as they should have been, in the particulars of the parties. In the description of the plaintiff it should have been made clear that the plaintiff now sought to sue not only in a personal capacity but also in a representative capacity on behalf of others as well as herself.

This question of amendment of pleadings was dealt with in detail in *Epaineto v. Uganda Commercial Bank*, [1971] E.A. 185 by Russell, Ag. J. Although on the facts of that particular suit the Acting judge held there was no fresh cause of action shown he clearly accepted that, had there been, the amendments would have been refused. This is in accordance with the principle laid down in *Marshall v. London Passenger Transport Board*, [1936] 3 All E.R. 83. The Editorial Note to this case seems to me to be much in point:

> "The law does not allow the Statutes of Limitation to be circumvented by the device of bringing in a fresh claim by amendment of the pleadings in a pending action."

Moreover, viewed purely on the grounds of "hardship", I think it would

clearly be unjust to the defendant, at this late stage, to increase his legal liability, years after the limitation period has elapsed, and, when at least, he had good cause to understand that the limit of his liability was a personal liability to a single plaintiff suing in her own right and to put him in the position now of possibly being answerable for the alleged loss of dependency by a "whole tribe" of apparently newly discovered dependants.

This application is dismissed with costs.

For the plaintiff:
P Musaala (instructed by *Musaala & Co*, Kampala)

For the defendant:
JC Patel (instructed by *Patel & Mehta*, Kampala)

Woolf and another v Macharia
[1971] 1 EA 330 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	10 April 1970
Case Number:	1025/1968 (67/71)
Before:	Trevelyan J
Sourced by:	LawAfrica

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[1] Rent restriction – Business premises – Notice – Service by registered post – Service effective – Landlord and Tenant (*Shops, Hotels and Catering Establishments*) *Act* (*Cap.* 301), *s.* 4 (*K.*).

Editor's Summary

The plaintiff sent to the defendant by registered post at his last known address a notice under s. 4 (1) of the Landlord and Tenant (Shops, Hotels and Catering Establishments) Act (Cap. 301). The letter was returned to the plaintiff by the post office after it had been uncollected for a month. The defendant objected that the notice had not been served.

Held –

(i) registered post is an alternative and not a residual method of effecting service;

(ii) the notice had been properly served.

Order accordingly.

Case referred to judgment

(1) *R. v. The Westminster Unions Assessment Committee, Ex. p. Woodward & Sons*, [1917] 1 K.B. 832.

Judgment

Trevelyan J: I am asked to rule on the meaning of the words "shall be deemed to have been served on the tenant" in s. 4 (4) of the Landlord and Tenant (Shops, Hotels and Catering Establishments) Act (Cap. 301) and I am asked to do so because the advocates for the plaintiffs/landlords, in pursuance of their clients' wish to terminate the tenancy of the defendant/tenant, sent to him by registered post at his last known address – Box 17, Limuru – a notice as required by s. 4 (1) of the Act, and the same not having been collected by or for him at the post office, the postal authorities returned it to the advocates after about a month. The question, therefore, is whether or not the notice has been duly served. The subsection reads:

> "(4) A notice to a tenant required to be given under this section may be served by delivering it to him personally, or to an adult member of his family, or to his servant residing with him, or to his employer, or by sending

> it by prepaid registered post to his last known address, and any such notice shall be deemed to have been served on the tenant on the date on which it was delivered as provided in this subsection or on the date on which the registered letter would in the ordinary course of post have been delivered."

A consideration of the Act as a whole and the subsection in particular leads me to the view that, in the circumstances obtaining, the notice must be taken to have been properly served on the defendant who cannot now be heard to say that he has not in fact received it. The main object of the legislature in passing the Act was to protect certain classes of tenants from eviction or exploitation by landlords and one of the ways in which protection has been provided is to make it necessary for a landlord seeking to terminate a tenancy to give the notice to which I have referred. It seems that the legislature envisaged cases where, due to the conduct of the tenant, the notice may not or cannot reach him personally. One can readily think of an absconding tenant and one can almost as readily think of a tenant who considers it better not to clear his post office letter box or who does not bother to do so. Whether a second notice by a landlord can have any effect in law may, perhaps, be doubted but let it be assumed that it can have such effect, what would the position be if the defendant continued not to clear his post box? The use of the registered post is an alternative not residual method of effecting service under the subsection.

There is, I believe some support for my view to be found in *R. v. The West-minister Unions Assessment Committee, Ex. p. Woodward & Sons*, [1917] 1 K.B. 832 where it was held in relation to s. 65 of the Valuation (Metropolis) Act 1869 which provided that all notices might be served and sent by prepaid letter addressed to the person affected, and if sent by post should be deemed to have been served and received (as therein more particularly mentioned) that a notice properly addressed and prepaid as the section directed raised a presumption of law which could not be rebutted by showing that in fact the notice had not been received. There is also, I think further support for my view to be found in the following paragraph which I reproduce from p. 1019 of the 18th edition of Roscoe's Digest of the Law of Evidence on the Trial of Actions at Nisi Prius:

> "By the Agricultural Holdings (England) Act 1883 (46 & 47 V.c.61), 28, any notice under that Act may be served on the person to whom it is to be given, either personally, or by leaving it for him at his last known place of abode in England, or by sending it in a registered letter addressed to him there, and it will be deemed to be served at the time the letter containing it would be delivered in the ordinary course, and in order to prove service by letter, it shall be sufficient to prove that the letter, containing the notice, was properly addressed and posted."

But, having said that much, I would make it clear that, with respect, I agree with the comment made by Lord Reading, C.J. in *The Westminster Unions case* that:

> "In deciding this question we do not, in my view, derive much assistance from considering other statutes . . .".

The preliminary point fails.

Order accordingly.

For the plaintiffs:
Z Nimji (instructed by *Shapley, Barret, Marsh & Co*, Nairobi)

For the defendant:
GGS Munoru (instructed by *Munoru & Co*, Nairobi)

Hirani v Ramji Mepa and Co

[1971] 1 EA 332 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	2 April 1971
Case Number:	825/1970 (68/71)
Before:	Trevelyan J
Sourced by:	LawAfrica

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[1] Rent restriction – Business premises – Storehouses – Included in definition of shop – Landlord and Tenant (*Shops, Hotels and Catering Establishments*) *Act* (*Cap.* 301), *s.* 2 (1) (*K.*).

Editor's Summary

The plaintiff claimed possession of two storehouses let by him to the defendants who carried on wholesale and retail business. The storehouses were separate from the defendant's shop premises and were used solely as stores. The defendants claimed that they were entitled to the protection of the Landlord and Tenant (Shops, Hotels and Catering Establishments) Act (Cap. 301). The question was whether the storehouses came within the definition of shop in s. 2 (1) of the Act.

Held –

(i) the storehouses were occupied for the purposes of the defendants' businesses and the defendants were therefore entitled to the protection of the Act (reasoning of Denning, L.J. in *Deeble v. Robinson* (2) followed).

Case dismissed.

Cases referred to judgment

(1) *M. & F. Frawley Ltd. v. The Ve-ri-Best Manufacturing Co. Ltd.*, [1953] 1 Q.B. 318.

(2) *Deeble v. Robinson*, [1954] 1 Q.B. 77.

Judgment

Trevelyan J: This is a claim by the plaintiff/landlord against the defendants/tenants for possession of certain premises, mesne profits and costs. No evidence was led nor was a statement of agreed facts in the usual form put in for counsel considered that they sufficiently appeared in the agreed issues, which read as follows:

> "(1) The suit premises two comprise two storehouses away from the main shop premises of the defendants who are wholesalers and retailers where the defendants store their goods and other merchandise. The said storehouses which have no establishment such as staff, telephone, furniture, counters etc., remain locked up except on occasion when they are opened up for the purpose of moving some goods to replenish the stock in the said shop premises or executing an order from a retailer or a wholesaler.
>
> (2) Are the above described suit premises 'Shops' as defined in the Landlord and Tenant (Shops, Hotels and Catering Establishments) Act? If the answer is 'Yes', the suit should be dismissed with costs and if the answer is 'No', the suit should be decreed as prayed."

The word "shop" is defined in s. 2 (1) of the said Act (which I shall call "the Act") in this manner:

“‘shop’ means premises occupied wholly or mainly for the purposes of a

> retail or wholesale trade or business or for the purpose of rendering services for money or money's worth."

and the point which I am called upon to decide is a new one. There are, however, decisions on what I will refer to as the parent Act, i.e. the English Leasehold Property (Temporary Provisions) Act 1951 (which I shall call "the 1951 Act") which I shall be dealing with in considerable detail though as the wording of the two pieces of legislation is not alike and they do not cater for quite the same sets of circumstances, in the end, I must consider the words as they stand in relation to the enactment in which they appear. There seem to be no local authorities on the point.

Let us then consider the English cases, *M. & F. Frawley Ltd. v. The Ve-ri-Best Manufacturing Co. Ltd*., [1953] 1 Q.B. 318 (which, as other judges have done, I shall call "the *Ve-ri-best* case") and *Deeble v. Robinson*, [1954] 1 Q.B. 77 (which I shall refer to as "the *Deeble* case"). Both were decisions of the Court of Appeal the only dissenting judgment being that of Denning, L.J. in the latter case. I shall deal with it first.

The defendant carried on the retail trade of a milk roundsman. He sold milk from door to door. No milk was sold on his premises but he conducted his business from it and there was a shed there where he stored his spare milk bottles and a refrigerator and a stable where he kept his horse and float. Denning, L.J., said at p. 81:

> "Mr. Deeble has a milk round. He sells milk to people at the doors of their houses. He runs his business from a dairy building where he keeps his equipment, refrigerator, spare milk bottles, and so forth, and a stable where he keeps his horse and float. His round is seven streets adjoining the premises. He does not actually have a shop as ordinarily understood. His lease of these premises is coming to an end, and he wants to stay there. This depends on whether the premises come within the definition of a "shop" in the Leasehold Property (Temporary Provisions) Act 1951. In s. 20 Parliament has expressly ordained that in that Act the expression 'shop' means 'premises occupied wholly for business purposes, and so occupied wholly or mainly for the purposes of a retail trade or business'. I think that definition covers both the dairy and the stable. The trade of a milk roundsman carried on by Mr. Deeble was plainly a 'retail trade' and he occupied those premises for the purposes of that trade. It seems clear to me that 'the purposes of a retail trade or business' include not only the actual selling of the goods, but also the buying and storing of them, the office work, and other ancillary things necessary for the carrying on of the business.
>
> Mr. Alan Orr conceded that the dairy was within the definition of 'shop' in the Act of 1951 if that definition is literally interpreted; but he urged us to limit the statutory definition by reference to the general conception of a shop. There must, he said, be something which would popularly be considered to be a shop before the Act can apply. I do not agree with this contention. When Parliament has specifically declared what the expression 'shop' means in the Act, I do not think it open to the courts to say that it means something else. Nor is it permissible to cut down its statutory meaning by reference to its popular meaning . . . In the present case, in relation to the word 'shop' Parliament has not said that it 'includes' so and so. It has said that it 'means' so and so."

He conceded that if the statutory definition were obscurely worded or led to patent injustice other considerations would apply but he saw none of this as, in his view, the literal interpretation of the word coincided with what was just and reasonable. And he gave good reasons to support his view.

Dealing with what he called "the only argument to the contrary" and saying that it derived from a phrase in s. 10 (2) (*b*) and s. 10 (4) (*a*) of the 1951 Act he went on:

> "Those provisions give protection to living accommodation if it is occupied by a person who is employed for the purpose of 'the retail trade or business carried on in the shop'"

and he dismissed it by insisting on giving the expression its literal meaning. Having said so much, he continued:

> "A retail trade or business does not consist merely of selling over the counter. It is carried on, not only in the selling portion of the premises but also in the storage portion . . . It is said, however, that there is much significance in the word 'in'. The retail trade must, it is said, be carried on 'in' the shop, not 'from' it. This seems to me to give an altogether excessive emphasis to a preposition . . . I think it is our duty to give the word 'shop' in this statute the meaning which Parliament says it is to have, and not to give it a meaning of our own."

Three points are particularly to be noted in regard to this very powerful judgment, that the word "shop" was first literally interpreted, that counsel for the landlord conceded that such literal interpretation spelled out the end of his case for him and that the "only argument against" the judgment (which involved a consideration of other provisions of the enactment) did not affect that literal meaning. Yet five judges took a different view of the meaning of the word. Why did they do so? Let us go back to the *Ve-ri-best* case.

The premises were occupied wholly for business purposes by a firm of decorators and builders. They were denied the benefits of the 1951 Act. It was said that they did the greater part of their work not upon their own premises but upon those of their customers and it was held that it could not be said that they occupied those premises "mainly for the purposes of a retail trade or business" within the meaning of s. 20 (1) aforesaid and so their premises could not be said to be a "shop". As I read the judgments, their ultimate basis is that there was no *retail* trade or business carried on by the tenants. The leading judgment was given by Somervell, L.J. He began by referring to s. 10 of the 1951 Act and I think I ought now to reproduce it as far as it is necessary to us. It reads:

> "(1) The provisions of this Part of this Act shall have effect for enabling the occupier of a shop under a tenancy to which this section applies (hereinafter referred to as 'the expiring tenancy') to apply to the court for, and subject to the provisions of this Act to obtain, the grant of a new tenancy. . . . (2) This section applies to a tenancy, the subject of which (*a*) consists of a shop, or (*b*) consists of a shop and of living accommodation occupied wholly or mainly by the tenant . . . for the purposes of the retail trade or business carried on in the shop, or (*c*) includes a separate part which consists of a shop or which consists of a shop and of such living accommodation as is mentioned in the last foregoing paragraph . . . (4) In the case of an expiring tenancy the subject of which falls within paragraph (*c*) of sub-section (2) of this section and not within paragraph (*b*) thereof . . ."

The premises contained builder's and decorator's materials but there was no counter though some goods were displayed. The main, indeed the largest, part of the premises was not open to the public. There was no suggestion that the sale of materials to the public was a substantial or material part of the business and so the question for decision was simply whether the business of builders and decorators could be considered a "retail trade or business" within the 1951 Act. Somervell, L.J., was of the opinion that it could not be

so for there was no "retail" element involved. In other words, unless I am wrong about it, the basis of his judgment was that to have a trade or business was not enough to attract the advantages of the 1951 Act. For that there must be a *retail* trade or business and builders and decorators could not be said to be retailers.

Jenkins, L.J., thought it "worth nothing" that the contents of s. 10 (2) were perhaps:

> "indirectly relevant as showing that the Act contemplates that the retail trade or business, by virtue of which the shop qualifies as such under the definition, will be carried on in the shop."

But the basis of his judgment was this:

> "Accordingly, in view of the insignificant character of the trade done in this way of the sale of paint, and so forth, the issue in this appeal resolves itself into the very short question whether, on the true construction of the Act of 1951, the carrying on in the way I have indicated of a builders' and decorators' business, which consists of doing building and decorating work on sites or in houses wherever the services of the plaintiffs are required, is the carrying on of a 'retail trade or business' within the meaning of the definition"

and he, too, came to the conclusion that the defendants' business could not be said to be a "retail" one for

> "it does seem to me that the adjective 'retail' . . . is primarily applicable to the sale of goods in the way I have mentioned . . . the designation 'retail' seems to me to be wholly alien to the builders' and decorators' business here in question."

Three points are again for note, that the gravamen of the decision lies in what I have just quoted, that the comment relating to s. 10 (2) was not vital to the judgment and that we have no corresponding provision.

Hodson, L.J., thought that the word 'retail' primarily suggested the sale of goods rather than the rendering of services and apart from that simply agreed with the reasons given by the other judges.

In the light of what I have set out I do not think that anything in the *Ve-ri-best* case affects what Denning, L.J., had to say in the *Deeble* case about the literal meaning of the expression nor does it have any close bearing on the facts before us. But what of this case?

Somervell, L.J., again delivered the first judgment. He said at p. 80:

> "The applicant was, I think, carrying on a retail trade. This trade was not carried on in the shed. The shed was used for the trade. The shed, I think, quite plainly, was not a shop in the ordinary sense of the word. It is submitted, however, that it is within the definition to be found in s. 20 (1) of the Act."

He then set out the definition of "shop" as appearing therein – it appears above in my quotation from Denning, L.J.'s judgment – and pointed out that s. 20 also provides that "retail trade or business" should be given the same meaning as in the Shops Act 1950. He set out s. 74 of that Act, which reads:

> " 'retail trade or business' includes the business of a barber or hairdresser, the sale of refreshments or intoxicating liquors, the business of lending of books or periodicals when carried on for purposes of gain, and retail sales by auction, but does not include the sale of programmers and catalogues and other similar sales at theatres and places of amusement"

and went back to s. 20 (1). Saying that it did not end with such words as "carried on therein", he pointed out that:

> "On the other hand, if the legislature had intended the wider meaning I would have expected the words 'whether carried on in the premises or not' to be added. The definition has to be read in the context of the Act. S. 10 (2) and s. 10 (4) of the Act of 1951 both contain the words 'the retail trade or business carried on in the shop'. This phrase is difficult to reconcile with a definition which makes 'shop' include premises in which the retail trade or business is not carried on. There is a further consideration. It has often been laid down that plain words are necessary to establish an intention to interfere with common law or contractual rights. I do not think that the shed in question here is plainly covered by the relevant sections . . ."

With respect, that the shed was not a shop in the ordinary sense of the word seems immaterial to me for the word being statutorily defined the probability is, at least I think that the probability is, that the legislature intended it to have a different meaning from the usual one. Furthermore, the judge by setting out s. 74 of the Shops Act had in mind that it pointed to sales on the very premises; the exclusion of sales of programmes perhaps being the strongest pointer to that. But I find myself unable to accept that because the words "carried on therein" are not in the definition, one can say that one would have expected the words "whether carried on in the premises or not" to be there. One must take the words as they appear and, if they are not restricted, it is not for the courts to make them so without good reason. And once more were other provisions of the Act resorted to for the purpose of arriving at an interpretation. The words were not sought to be literally interpreted. Nor do I think that the words were not plain enough.

In his supporting judgment Romer, L.J., asked "What, then, is the general character of a shop?" and went on to quote other judges in other cases adopting that the essential element in a shop is that people can shop in it and that *prima facie* a shop is a place where goods are sold by retail and stored for sale. But whatever essential element should be present before you can have a shop in the popular sense of the word, I do not see why the legislature cannot define the word as it wishes. I am quite unable to convince myself that:

> ". . . one would approach any statutory definition of shop with some sort of expectation . . . that . . . the 'essential element' would not be abrogated . . ."

To have it in mind is one thing and I would agree that it should be so but to approach it with such expectation is another and I cannot agree to that. The judge went on at p. 85:

> "As I have previously indicated, however, the question before us . . . does not, in my opinion, fall to be determined wholly according to whether the applicant's dairy does or does not come within the definition of 'shop' in s. 20 (1) of the Act of 1951. That question is only a part of the broader problem which we have to decide, namely, whether the applicant has succeeded in bringing his case within s. 10 (2) of the Act . . . The definition of 'shop' in s. 20 (1) is incorporated in s. 10 (2) (*c*). . . . In order to arrive at a conclusion as to the meaning and effect of s. 10 (2) (*c*), it tends to clarification, I think, to write it out in extenso, incorporating in express language the ingredients which appear in the provision only referentially. So written it provides as follows: 'This section applies to a tenancy the subject of which includes a separate part which consists of premises occupied wholly for business purposes and so occupied wholly or mainly for the purposes of a retail trade or business (as defined in the Shops Act 1950) or which consists

> of such premises as aforesaid and of living accommodation occupied wholly or mainly by the tenant or by a person who is employed by the tenant for the purposes of the retail trade or business carried on in the premises' . . . The words show, in my opinion, that the draftsman was envisaging premises on which not from which a retail trade or business was being carried on . . ."

I need neither agree nor disagree with what is there said. For my purposes it is enough to point out that the Shops Act and s. 10 (2) were prayed in aid to interpret s. 20 (1). Indeed the judge said:

> "Now whatever might be the true meaning and effect of the definition of 'shop' in s. 20 . . ."

so that he did not seek literally to interpret it as Denning, L.J., did. The judge concluded by saying at p. 87:

> "The conclusion at which I have arrived is, I think, in conformity with the decision of this court in the *Ve-ri-Best* case. In that case the court held that the words 'retail trade or business' might include the rendering of certain categories of services as well as the sale of goods. The application by the tenants for a renewal of their tenancy was, however, rejected on the ground that the services which they rendered were performed not on the demised premises but elsewhere, viz., at the homes or houses of their customers and that the demised premises, therefore, did not constitute a 'shop'. By parity of reasoning, where the retail trade or business consists of selling goods, the premises are not, in my opinion, a 'shop' for the purposes of the Act unless the goods (at all events in the main) are sold to the customers on the premises themselves. This was indeed the view of Jenkins, L.J., in the *Ve-ri-Best* case where, in the course of his judgment, he said with reference to s. 10 (2):
>
> That provision is, perhaps indirectly relevant as shown that the Act contemplates that the retail trade or business, by virtue of which the shop qualifies as such under the definition, will be carried on in the shop."

But I cannot, I have to say, agree with all that. I have endeavoured to show what I believe to be the bases of the various judgments and with the very greatest of respect I do not endorse the reference to the parity of reasoning. In the *Ver-ri-best* case there was no retail business at all. In the *Deeble* case, there was. As for the reference to the comment of Jenkins, L.J., I have already expressed the view that it was not vital to his judgment.

Of the six judgments, that of Denning, L.J., is the one which attracts me most. It is the only one which literally interprets the English definition apart from which his reasoning most appeals to me. But let us consider our section without bearing in mind any of those judgments for "shop" is defined differently from the way it is defined in the 1951 Act and the Act contains no provision such as s. 10 of the 1951 Act. The Act gives its benefits not only to retail trades or businesses but to wholesale ones as well and a good deal of such trade can be carried on at long range, by letter or telephone, it mattering little enough where any required inspection is carried out. The local legislature obviously had in mind wider considerations than the English one. But be that right or wrong I can see no reason to restrict the meaning of the word "shop" having regard to the purport of the Act. There are no other provisions therein requiring or inviting this to be done. It seems to me that premises occupied wholly or mainly as a store by wholesalers or retailers for their businesses are occupied by them. wholly or mainly for the purposes of a wholesale or retail business. I have considered the reference to the rendering of services. It may be that it found its

way into the definition by reason of being referred to in the English decisions – perhaps, perhaps not. It could, perhaps, help to support my views. But whether that is so or not it does not lead me to believe that it restricts the clear wording of the definition in any way.

The suit is dismissed with costs.

For the plaintiff:
RD Patel (instructed by *Patel & Patel*, Nairobi)

For the defendant:
P Patel

M v Income Tax
[1971] 1 EA 338 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	22 July 1970
Case Number:	57, 58 and 59/1969 (73/71)
Before:	Chanan Singh J
Sourced by:	LawAfrica

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[1] Income Tax – Capital or income receipt – Rent or loan repayment – Money lent as three years rent – Advance rent.

[2] Income Tax – Avoidance or reduction of liability – New partners brought in, sons of original partners – Transaction genuine – East African Income Tax (*Management*) *Act* 1958, *s.* 23.

Editor's Summary

The appellants owned an industrial property and required money to complete the buildings. They negotiated payment of £9,000 from a company which was interested in occupying the property. The original document referred to "an advance of £9,000 that is three years rent". Subsequently two documents were executed, one a lease for four years providing for a total rental of £9,000, and the second a charge on the premises securing £9,000 which provided that the lender could withhold payment of the rent due under the lease. It was clear from these documents that the repayment of the loans was to be set off against the rent, the amount being the same.

The Commissioner contended that the payment was advance rental taxable in a single year and the appellants that it was a loan, and rent accrued from month to month.

In 1965 the appellants took in their six sons as further partners in the firm. There was no evidence that the sons brought in any property to the partnership, but four of them worked for the partnership. There were no provisions excluding the new partners from control or management or operation of bank accounts or providing for future diminution of their shares.

The Commissioner contended that the sons were not genuine partners as they had not contributed capital or labour.

Held –

(i) the payment of £9,000 was made and received as advance rent, taxable in a single year;

(ii) the action of the fathers in taking their sons into business and distributing part of their property during their life time was perfectly natural;

(iii) the sons were full partners and entitled to be treated as such (*E. v. The Commissioner of Income Tax* (1) distinguished).

Appeal allowed in part.

Case referred to judgment

(1) *E. v. The Commissioner of Income Tax*, 1 E.A.T.C. 30.

Judgment

Chanan Singh J: The matters involved in these appeals were the same and I consolidated them and heard them together. The two appellants hold a property in the industrial area. They had partly built on it and were looking for money to complete the buildings. What seems to have set the ball rolling were certain discussions between them and the East African Tobacco Company Ltd. (which later became B.A.T. Kenya Ltd.). On 11 February 1963 this company wrote to the appellants in their firm-name of East African Metal Works as follows:

> "We refer to our discussion regarding the possibility of us renting the above premises and would advise that the Financial Director has confirmed that we would be prepared to rent the premises provided they are completed to an acceptable standard by 1 May, for a period of three years at an annual rental of Shs. 60,000/-.
>
> We trust that this officer will enable you to raise the necessary finance to complete the building and we should be obliged if you would confirm that the conditions set out above meet with your approval, so that a formal agreement may be prepared."

The plaintiffs replied on 20 February 1963 as follows:

> "We thank you for your letter dated 11 February 1963 and apologise for the delay in replying. We tried everything possible to arrange the necessary finance required to complete the buildings, without success.
>
> If your board of directors are prepared to advance us £9,000, that is 3 years rent, we are prepared to let the premises to you for 4 years.
>
> Your other outgoings in connection with this building will behalf the site value tax which is about Shs. 2,000/- per annum.
>
> If you agree to advance the rent we will undertake to complete the building ready for occupying by 15 May 1963."

Now, it is admitted that the said sum of £9,000 was paid. There is difference between the parties to the appeal as to the exact purpose of this payment. The Commissioner of Income Tax contends that the payment represented advance rent for three years and that, therefore, it was income. The appellants contend, on the other hand, that the money was a loan by the East African Tobacco Company and that rent did not become payable until that Company occupied the premises and rent accrued from month to month.

If all the evidence were the two documents which I have reproduced above there would be no difficulty in deciding these appeals; but the matter is complicated by other documents that were executed in relation to this payment. On 21 February 1963 a document headed "Notes for discussion with Mr. Thomson" was written by somebody and signed by Mr. Ali Mohamed on behalf of the appellant's firm. This document said that the company had agreed to rent the said premises at a rental of £3,000 per annum and to advance the sum of £9,000 "and the East African Metal Works have agreed that for this sum they will give the Company a lease agreement for a period of 4 years". This also, in my opinion, serves to confirm the original position namely that the payment represented rent, but the document went on to say that "in the meantime"

East African Metal Works had agreed to give the company a second mortgage for £9,000 until the godown was completed. If the Tobacco Company did not occupy the godown, then the East African Metal Works was to pay 8 per cent interest on the mortgage. It was also agreed that the work would be completed to the satisfaction of the Tobacco Company's chief engineer and that the sum of £9,000 would be advanced at the discretion of their Chief Engineer.

There was to be an option for the extension of the lease beyond 15 May 1967, that is beyond the first 4 years.

On 25 September 1963, two further documents were executed. One was a lease "for a term of four years 1 June 1963". The rent was agreed as follows:

For the first year:

> "Monthly rent of One peppercorn".

For the following three years:

> "Monthly rent of Shs. 5,000/-."

The lease also contained the other usual provisions.

The substance of this document was that no rent was to be paid during the first year and that the rent payable during the following three years was to be Shs. 5,000/- per mensem making a total of £9,000.

The second document was a charge on the premises for a sum of £9,000. The loan was to be repaid by 36 equal monthly payments of Shs. 5,000/- "the first such payment to be made on 1 June 1964". This means that there was to be no repayment during the first year. One of the provisions in the charge was this:

> "The Lender shall be entitled to withhold payment of the rent amounting to Shs. 5,000/- per month due under a lease of even date herewith."

No interest was provided for. The clearest intention of this document was that the repayment of the loan was to be set off against rent from month to month, the amount in each case being the same, namely Shs. 5,000/-. As already pointed out, neither repayment of the loan nor payment of rent was to be made during the first year. In substance, the arrangement was that the Tobacco Company was to occupy the new godown for a period of 4 years on payment of three years rent.

In view of all these facts I hold that the sum of £9,000 was intended to be, and was paid and received as, 3 years rent but agreed to cover 4 years occupation by the Tobacco Company. It was rent paid in advance and should be so treated.

The second point raised is whether the six new partners introduced on 10 November 1965 were real partners in the firm or just names to save income tax. There is no dispute about the fact that up to 9 November 1965 the two appellants were the only partners in the firm. Then, each of them introduced three of his sons as partners. The Commissioner of Income Tax contends that these young men were not genuine partners because they did not contribute capital or labour to the firm. The main authority relied upon for this proposition is the case of *E. v. The Commissioner of Income Tax,* 1 E.A.T.C. 30. This was a Tanganyika appeal decided by Sinclair, J., as he then was. The facts briefly were these. The appellant had for some time prior to June 1942 been carrying on business as E. and Co. Then, he admitted three of his daughters and a minor son as partners and a proper partnership deed was executed. Before I list the distinguishing features of that case I should perhaps draw attention to s. 239 of the Indian Contract Act which governed partnerships in Tanganyika. That section defines partnership as "the relation which subsists between persons who

have agreed to combine their property, labour or skill in some business, and to share the profits thereof between them". We in Kenya have our own Partnership Act which does not contain a definition in these terms. So far as Tanganyika was concerned it would appear that it was a statutory requirement that the partners should bring into the partnership either property or labour and skill or both and should, in addition, agree to share the profits and, I suppose losses of the business.

The relevant provisions of the partnership agreement in the *E. v. Commissioner of Income Tax* case may now be summarized:

(1) The appellant, namely the father, was to have the sole and exclusive management and control of the partnership business to the exclusion of the other partners. We have no partnership agreement in the present case and there is no provision or understanding like this here.

(2) The business was to be carried on at Dar es Salaam and at such other places as the appellant determined.

(3) The appellant alone could draw cheques on the bank account. The judge's comments were:

"These provisions are not in themselves inconsistent with partnership and are frequently inserted in articles of partnership in the case of dormant partners but it is evident that the sons and daughters . . . did not contribute either labour or skill to the partnership. Nor did the other partners contribute any property to the partnership. They paid nothing for their shares."

In the present case there is no evidence that any of the sons brought in any property. Four of them, however, did work for the partnership as employees.

(4) The capital was contributed solely by the appellant and was considered as a debt due to him from the partnership bearing interest at the rate of 6 per cent per annum. There is no such condition in the present case. Although the new partners brought in no capital, they became full partners.

(5) There was another provision:

"The partners shall at all times hereafter take or admit as partner or partners such of the other sons and daughters of the said E. now or hereafter to be born as he the said E. may from time to time decide in the partnership business and the capital thereof for the time being on such terms and conditions and to the extent of such shares as the said E. may in his absolute discretion deem fit and in each such case the shares of the partners for the time being in the capital and property and profits shall be reduced proportionately."

Thus, the appellant had the power to reduce the shares of the partners without their consent and without any compensation. There is no such condition here. There is nothing to show that the original partners have any more power than the new partners. It is not unlikely, however, that the advice of the two original partners will be listened to by others but there is no obligation, legal or contractual, on them to carry it out.

(6) The three daughters were required by the appellant to give half their shares of the profits to their mother and two sisters. This proportion the appellant was empowered to retain and give to the mother and two sisters as and when he thought fit.

(7) The partners in fact drew no profits which were credited to them but they

formed part of the assets of the business when it was converted into a company.

It is quite apparent that the *E. v. Commissioner of Income Tax* case was decided on its special facts. There, the original owner of the business did not intend to, and did not in fact, part with any of the powers which he had as sole proprietor – the power to take business decisions, to take new partners, to use the income of the business at his discretion.

In the present case, the new partners were, so it appears, taken into the firm without reservations of any kind. Four of the six new partners were working in the firm. One left for the United Kingdom in March 1969. There is evidence that he intended to return in July 1970. The remaining two had never worked for the firm but have been studying overseas. Mr. Ali Mohamed told me that the new partners and the old partners have shared profits equally and that it is understood that they would share losses also equally. He also told the court that the new partners had drawn money against their shares. The four new partners who had been working for the firm drew salaries and, in addition, shared in profits. The two who never worked for the firm shared in profits only but received no salaries.

The existence of a partnership is a question of fact. In the present case, there is no suggestion that the new partners do not intend to assume all the obligations of partnership. There is no comparison, therefore, between this case and the *E.* case which I have analysed above. There is nothing new in sons joining fathers in business. That this should affect the income tax liability of the old partners is only natural; it follows upon their reduced income from the partnership. I am satisfied that this is not a sham partnership formed for the only purpose of avoiding income tax. The sons did not bring in capital because, obviously, they did not have any. Their share in the capital of the firm is a gift to them by their fathers and I see nothing wrong in this. It is a natural ambition of all prosperous business men to bring their sons into business, and it was a fortunate circumstance in the present case that the two original partners had an equal number of sons ready to join business.

In effect, the two fathers have decided to distribute at least some of their property among their sons during their lifetime. This happens all over the world. I was told by Mr. Ali Mohamed the remaining two sons of the original partners were also taken as partners in 1968. That shows the intention clearly. All the sons are now partners. The shares of the two fathers have been reduced from 50 per cent to 10 per cent each. Mr. Khaminwa, for the commissioner, asked Mr. Ali Mohamed questions which suggested that the commissioner would probably not object to the sons' coming in if the fathers had retired. Mr. Ali Mohamed did say that the fathers intended to retire because they were growing old. That might well be so. In my view, however, any prudent old man would retain some share in business as a source of independent income. Because the fathers have not retired, it does not mean that the sons' partnership is not genuine.

Nor do I accept the proposition that a partnership is not to be regarded as a genuine partnership for income tax purposes unless the sons contribute capital or labour. In my opinion, if the gift or transfer of a share to a son is final and unconditional, the son must be accepted as the owner of the share and therefore entitled to all income of that share.

There is in my mind no doubt on this point. Suppose the two fathers owned ten identical houses instead of the partnership business in question and suppose they transferred in consideration of natural love and affection eight of the houses to eight of their sons. Would the commissioner insist on disregarding the

transfers and on continuing to tax the fathers on the rents received by the sons from the eight houses transferred to them? The case of the partnership shares is no different. If the transferor of a partnership share be the wife or a minor child of a partner or sole proprietor, the law of partnership has its own way of dealing with the problem. The income tax authorities should use the provisions of the law of income tax instead of asking the court to declare that, for the purposes of income tax only, the partnership is no partnership. They should treat the income of the wife and the child as they would treat it if the income came from another source, say, legacies left by a rich relative.

I hold therefore that the partners of the East African Metal Works were the present appellants up to 9 November 1965 and the appellants and their six sons from 10 November 1965. To this extent, the appeals are allowed and the assessments should be adjusted accordingly.

Appeal allowed in part.

For the appellants:
PJ Wilkinson QC and *AAK Esmail* (instructed by *Akram & Esmail*, Nairobi)

For the respondent:
JM Khaminwa (Principal Assistant Legal Secretary)

Chimambhai v Republic (No. 2)
[1971] 1 EA 343 (HCK)

Division:	High Court of Kenya at Mombasa
Date of judgment:	14 November 1969
Case Number:	156/1969 (74/71)
Before:	Harris J
Sourced by:	LawAfrica

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[1] Appeal – Bail pending appeal – Delay coupled with other factors – Whether bail should be granted.

Editor's Summary

The applicant had been convicted of handling stolen goods and had appealed against conviction. He was 40 years old, married, with children, and without prior convictions. His passport was with the police. During the hearing of the case he had been on bail, and had surrendered every time, even though he knew that the minimum sentence for the offence was 7 years imprisonment. He had given the police full co-operation.

The applicant applied for bail pending appeal.

Held –

(i) anticipated delay in the hearing of the appeal together with other factors could constitute good grounds for granting bail pending appeal (*R. v. Akbarali Juma Kanji* (1) followed):

(ii) in the circumstances, bail would be allowed to the applicant.

Application allowed.

Cases referred to judgment

(1) *R. v. Akbarali Juma Kanji* (1946), 22 (1) K.L.R. 17.

(2) *Raghbir Singh Lamba v. R.*, [1958] E.A. 337.

(3) *Girdhar Dhanji Masrani v. R.*, [1960] E.A. 320.

(4) *Mansurali Hasham v. Republic*, Kenya H.C. Cr. App. 582 of 1967 (unreported).

(5) *H.K. Jetha v. Republic*, Kenya H.C. Cr. App. 938 of 1968 (unreported).

Judgment

Harris J: This is an application for bail pending appeal in which there have been discussed once again the principles applicable to the granting or refusing of such applications but in regard to which, as the researches of counsel would seem to show, there has been no reported decision in this country for more than twenty years. At the conclusion of the argument and after reserving judgment I made an order admitting the applicant to bail, and at the request of counsel I stated that I would give my reasons later, as I shall now proceed to do.

The material facts, very shortly, are that the applicant and another man were jointly charged in the resident magistrate's court at Mombasa under s. 322 (2) of the Penal Code with the newly created offence commonly known as that of handling stolen goods. The goods in question consisted of a tape recorder and what was described on the charge sheet as "one binocular". The applicant was convicted as charged in relation to the tape recorder, no finding being made with respect to the binocular, and was sentenced to imprisonment with hard labour for a term of seven years which is the minimum term of imprisonment that may be imposed for the offence. The co-accused was acquitted as to both articles.

The applicant has filed a petition of appeal against conviction and sentence raising issues of law and of fact, and without expressing an opinion as to the probable outcome of the appeal I may say that, having perused the petition and a copy of the judgment of the magistrate as required by s. 352 (1) of the Criminal Procedure Code, I did not see fit to reject the appeal summarily under that subsection.

It appears that there is no prior conviction recorded against the applicant, that he is a business man in Mombasa aged about forty years, is married with two children in this country, and that his passport is at present held by the police. It appears also that pending the determination of this case in the court below the applicant was allowed out on bail and duly attended at court upon each of the four occasions when the matter was brought up, and that at the hearing the police gave evidence that during their investigation of the case the applicant had given them his full co-operation.

Mr. Ghalia, who appears for the applicant, relies on two recent unreported decisions of this court, namely, *Mansurali Hasham v. Republic* (Kenya H.C.Cr. App. 582 of 1967) and *H. K. Jetha v. Republic* (Kenya H.C. Cr. App. 938 of 1968), in each of which the appellant was granted bail pending the hearing of his appeal to this court.

Mr. Kubo, representing the Attorney-General, in opposing the application relied upon the decision of de Lestang, J., in the Supreme Court of Kenya in *R. v. Akbarali Juma Kanji* (1946), 22 (1) K.L.R. 17, and also the decision of Sheridan, J., in the High Court of Uganda in *Girdhar Dhanji Masrani v. R.*, [1960] E.A. 320.

It is manifest that the case of an appellant under sentence of imprisonment seeking bail lacks one of the strongest elements normally available to an accused person seeking bail before trial, namely, that of the presumption of innocence, but nevertheless the law of today frankly recognizes, to an extent at one time unknown, the possibility of the conviction being erroneous or the punishment excessive, a recognition which is implicit in the legislation creating a right of appeal in criminal cases. As to the measure of that recognition the decision in *Kanji's* case is directly in point. There two persons had been convicted of assault causing actual bodily harm and sentenced to terms of imprisonment. Each appealed against both conviction and sentence and applied to the magistrate for bail pending the hearing of the appeal. The magistrate granted bail to one

of the appellants but not to the other, whereupon the latter applied to the court by way of appeal from such refusal. Although in his judgment the judge said that it was not the practice to grant bail to an appellant after he had been convicted and sentenced to imprisonment unless in very exceptional circumstances, he went on to illustrate what he considered would be circumstances justifying the granting of bail to such an appellant. The mere fact of anticipated delay in hearing an appeal, he said, was not of itself exceptional circumstance but might become one when coupled with other factors, and he added that the good character of the appellant together with such an anticipated delay might constitute an exceptional circumstance.

The particular circumstances in that case by virtue of which it was considered that bail should be allowed were:

(1) that the appellant was a first offender;

(2) that his appeal had been admitted to hearing, showing thereby that it was not frivolous;

(3) that there would probably be a delay of six or eight weeks before the appeal could be heard, by which time the applicant would have served more than one-fourth of his sentence; and

(4) that the co-accused and fellow-appellant, who was in no respect in a different position from him, had been allowed bail.

Although the practice in criminal law and procedure in the three East African territories has always followed generally that of the English courts, the practice in regard to bail is possibly not entirely uniform as between the three states themselves. Both the Tanganyika decision in *Raghbir Singh Lamba v. R.*, [1958] E.A. 337, and the Uganda decision in *Masrani's* case (*supra*) would suggest a somewhat more rigid approach than that to be found in *Kanji's* case (*supra*).

In the present case the relevant circumstances corresponding to some extent to those in *Kanji's* case may be summarized as follows:

(1) the applicant is a first offender;

(2) the appeal has been admitted to hearing;

(3) it may be expected that it will take between twelve and twenty-four weeks before the appeal is heard; and

(4) the offence of which the applicant has been convicted, unlike the offence in *Kanji's* case (*supra*), is not one involving personal violence.

The principal danger against which the court must guard in the granting of bail pending appeal is, of course, that the appellant may in the meantime either abscond or commit further offences, while, unlike the case of granting bail before trial, there is usually no danger of his destroying evidence or interfering with witnesses. In regard to the possibility of his absconding a material consideration is the length of the term of imprisonment against which the applicant is appealing, for clearly the longer that term the more likely is he to be tempted to abscond and possibly to leave the country. In *Kanji's* case the sentence was one of only a few months whereas here it is one of seven years. Nevertheless it seems to me that this may be more a question of conditions to be imposed rather than of the granting of bail in itself, and in the present case the applicant's passport, I understand, has already been seized by the police. Furthermore this sentence of seven years is the statutory minimum term of imprisonment for the offence and accordingly when the applicant surrendered to his bail at the time of the trial he then knew that if convicted and sentenced to imprisonment

the term would not be of shorter duration. This case therefore is perhaps distinguishable from one where an accused person who was allowed bail pending trial has received a substantially heavier sentence on conviction than he had anticipated and might on that account be thought to constitute a greater risk in regard to the granting of bail pending appeal than he did when granted bail pending trial.

For these reasons, taking everything into account, I granted the application and directed that the applicant might be released on bail pending the hearing of the appeal upon his own security of Shs. 2,000/- in cash and two independent sureties for Shs. 5,000/- each to be approved by the Registrar and I directed that the police do forthwith lodge the applicant's passport in court pending further order.

Order accordingly.

For the applicant:
S Ghalia

For the respondent:
BP Kubo (State Counsel)

Abdullahi v Republic
[1971] 1 EA 346 (HCK)

Division:	High Court of Kenya at Mombasa
Date of judgment:	17 April 1970
Case Number:	2/1970 (171/70)
Before:	Kneller J
Sourced by:	LawAfrica

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[1] Appeal – Bail pending appeal – Delay coupled with other factors – Likelihood of appellant absconding.

Editor's Summary

The applicant had been sentenced to fourteen years hard labour on his conviction of robbery with violence. The applicant was a local resident, 25 years old, unmarried, and without any business or property.

Held –

(i) bail pending appeal may be granted in exceptional circumstances (reasoning of Harris, J. in *Chimanbhai v. Republic* (*No.* 2) (1) approved);

(ii) the likelihood of the appellant absconding in the circumstances of this case precluded his being admitted to bail.

Application refused.

Case referred to judgment

(1) *Chimanbhai v. Republic* (*No.* 2), [1971] E.A. 343.

Judgment

Kneller J: The applicant was convicted by the resident magistrate, Mombasa on 3 April 1970 of robbery with violence contrary to s. 296 (2) of the Penal Code and was sentenced to fourteen years hard labour together with six strokes corporal punishment.

On 14 April his appeal was admitted to hearing and that was because it was not frivolous or vexations or filed merely to obtain time. I have not heard full arguments on its merits, of course, and so I cannot forecast its chances of success. It will take, I am told, six to eight weeks to come on for hearing so there will be delay.

The applicant is aged 25, unmarried, hitherto of good character, a Kenya citizen and on 27 February was released on his own bond in the sum of Shs. 1,000/- and that of one surety, Said Hemed Said, also in the sum of Shs. 1,000/- by the police and in his own bond, the prosecution not objecting, in the sum of Shs. 1,000/- on the same date by the senior resident magistrate of Mombasa for trial on 20 March 1970. He duly attended his trial and for judgment and sentence a fortnight or so later. He is prepared to deposit his passport with the police or the court, produce respectable worthy sureties for substantial sums and to deposit cash bail.

Harris, J. in *Chimanbhai v. Republic* (No. 2), [1971] E.A. 343 released the applicant on bail upon his own security of Shs. 2,000/- in cash and two independent sureties for Shs. 5,000/- each to be approved by the registrar and directed the police to lodge forthwith the applicant's passport in court pending further order. On 14 November 1969 he gave his considered reasons for the order and with them I respectfully agree.

In *Chimanbhai's* case Harris, J., summarized the relevant circumstances. He found the applicant was a first offender, his appeal had been admitted to hearing, it was feared that the appeal would not be heard for twelve to twenty – four weeks and the offence of which he had been convicted was not one involving personal violence. It was handling stolen property and he was sentenced to seven years' imprisonment with hard labour. The applicant in that appeal was a Mombasa businessman, married with two children in this country and not a Kenya citizen. His passport revealed he was British.

Bail for a man who has been convicted and sentenced before his appeal has been heard will only be granted in exceptional circumstances.

The dangers against which the court must guard in the granting of bail pending appeal are that the appellant may in the meantime either abscond or commit further offences.

The court has a discretion in the matter and must exercise it judicially on the particular facts in each application before it. This I will now try to do.

The applicant before Harris, J., was not of the indigenous people of this area, he had a wife and children in this port, he had a business here and he was of mature age.

Abdullahi appears to be an M'Bajun (they may be found between the furthest borders of Somalia and Tanzania) with no wife and children yet, and so far as can be found in the evidence, no business here. He is only 25.

Chimanbhai's passport was probably vital to him if he wished to abscond. Abdullahi could move anywhere without his passport within the limits I have mentioned.

Chimanbhai's sentence is one seven years' imprisonment with hard labour. Abdullahi has begun one double that. Chimanbhai's offence is rarely committed by convicted men on bail and Abdullahi's is more frequently so. Chimanbhai's offence involved no violence and Abdullahi's, if the conviction is correct, did because while he removed the complainant's watch, her face was punched by the man who was with him.

In all these circumstances, and giving the facts the best consideration I can, I think the applicant with this substantial sentence of imprisonment ahead of him if his appeal fails might be surely tempted to abscond at any cost. And, I am bound to add, would probably do so. It would be so easy for him to do so.

This being so, I do not think it is, in this application, more a question of conditions to be imposed rather than of the granting of bail in itself as Harris, J., found in *Chimanbhai's* case.

Application refused.

For the applicant:
PD Prinja

For the respondent:
M Rana

Republic v Hasham
[1971] 1 EA 348 (HCT)

Division:	High Court of Tanzania at Dar Es Salaam
Date of judgment:	26 August 1970
Case Number:	46/1970 (76/71)
Before:	Biron J
Sourced by:	LawAfrica

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[1] Criminal Practice and Procedure – Probation – Order for probation on young first offender of previous good character correct.

[2] Criminal Practice and Procedure – Probation – Serious nature of offence not conclusive against order of probation.

Editor's Summary

The respondent was convicted on his own plea of breaking into a bank with intent to rob. The offence was committed with an older man and nothing was stolen. The respondent was 18 years old, came of a good family and was a first offender. A probation officer's report strongly recommending probation was before the magistrate. The magistrate put the respondent on probation for twelve months. While on probation the respondent had taken up employment and was continuing with his studies.

The Republic applied for the sentence to be enhanced contending that the offence was serious and that the sentence should be increased to serve the purpose of deterrence.

Held –

(i) the fact that an offence is serious does not outweigh the circumstances of the individual offender;

(ii) in view of the individual circumstances of the respondent the magistrate was correct to put reformation of the respondent first.

Enhancement refused.

No cases referred to in judgment

Judgment

Biron J: The accused was convicted on his own plea, of breaking into the National Bank of Commerce with intent to steal therefrom. He had been charged together with another man, one David Freementle. This man in separate proceedings, was convicted on this and another charge of stealing and so, I am informed, he was sentenced to imprisonment for 30 months and to the statutory 24 strokes corporal punishment. This factor incidentally, as will hereinafter be demonstrated, is not without significance.

The accused, who appeared in court as a first offender and whose age at the time of the commission of the offence was 18 years, was given a very good character by the probation officer.

Before dealing with the question of sentence, it is, I think, necessary to summarise, if only very briefly, the facts of the case.

The bank had been broken into by the removal of a glass pane, the manager's office was entered and according to the State Attorney, an attempt was made to open the safe. However, nothing was in fact stolen.

As noted, the accused was given a very good character by the probation officer, who stated that he came from a very good family, that he was studying, and the probation officer very strongly recommended that the accused be put on probation.

The magistrate in sentencing the accused stated and as they are short, his remarks can, and I think should be, quoted verbatim. He said:

> "The accused is a first offender. He has been spoiled by David Freementle serving sentence. In view of this it would be unwise to send him to jail where he is going to meet his friend Freementle and learn more tricks. It would be reasonable to keep the accused on probation for 12 months. He should report to probation officer once a week. The father should give him some job to keep his delinquent propensities absorbed."

As a result of a submission in a letter from the office of the Director of Public Prosecutions that: "The sentence seems to be 'woefully inadequate' ", and seeking its enhancement, notice to show cause why the sentence should not be enhanced, was served on the accused.

He has duly appeared together with his counsel, Mr. N. S. Patel.

Counsel strenuously argued that the course taken by the magistrate was the proper one in the circumstances in that, *inter alia*, the accused was influenced by an older man. And he further submitted that both the probation officer in making his recommendation, and the magistrate in acceding to it, have been proved right, in that the accused, since he was placed on probation on 6 April, has taken up employment with the Tanganyika Dyeing and Weaving Mills Ltd., and also in his spare time is taking a secretarial course at Jacob's Commercial Tutory.

In answer to Mr. Patel's submissions, Mr. Rahim, who appeared for the Republic, submitted, *inter alia*, that the offence in general is serious, and in particular, great dexterity and skill was employed in breaking into the building and, he submitted that and I quote:

> "The sentence should be increased to serve the purpose of deterrence."

With respect, I fully agree with the State Attorney that the offence is serious. That, however, is a general proposition and cannot be used simply as an umbrella to cover all offences of such a nature, irrespective of the particular circumstances of each individual offence and the offender.

We will deal with the offender first. He is a youth aged eighteen years, comes of a good family, has been given a good character by the probation officer who, I have no doubt, had investigated the case thoroughly and acquainted himself with the accused's character and antecedents. He has, as noted, strongly recommended probation. In fact, if I may quote from the record, he went as far as to say:

> "I request that he should be released on probation on condition that he should appear once a week before a probation officer to report his activities."

It is also abundantly clear from the proceedings, as well as from those against the accused's companion, David Freementle, that the accused was influenced

by this older man who, as noted, has been sentenced not only for this offence, but for other offences as well, to imprisonment for 30 months and to the statutory 24 strokes corporal punishment. That, I think, should answer the submission of the State Attorney, that the offence was committed with great skill and dexterity. Great skill and dexterity on whose part – the accused, or his companion, who is obviously a criminal, apparently an experienced one – ? I therefore fully agree, with respect, with Mr. Patel that this particular aspect should not be held against the accused.

Apart from the fact urged in mitigation by Mr. Patel, that in the result, probation has been proved to have been the proper course, in that the accused has taken up employment and in his spare time is pursuing his studies, in general, unless precluded by law, as would be the case if for instance this offence came under the Minimum Sentences Act 1963, a court has a discretion to assess and determine the appropriate punishment for an offence, or course of action it should take in any particular case. And no appellate or revisional tribunal will interfere with the exercise of such discretion, provided it is properly exercised and its exercise is based on good grounds.

To recapitulate, here we have a youth of eighteen years of age, committing, it must be stated without qualification, a serious offence, but under the influence of an older man and a criminal, given a good character by the probation officer and incidentally, as in the event, nothing was in fact stolen, and the magistrate acceding to the request of the probation officer, placed the accused on probation, giving very good reasons for so doing.

One of the main objects of punishment, is the reformation of the individual convicted, in order to make him a good citizen. The magistrate directed himself that the accused, if he went into jail and associated with this man Freemantle would, to quote him, “learn more tricks”. Apart from that, association with hardened criminals by a youth in the circumstances of this case, is hardly calculated to ensure that the accused comes out of prison a good and honest citizen.

As, I think, sufficiently demonstrated, the magistrate exercised his discretion properly and it was based on a very firm foundation and grounds advanced by the probation officer.

Naturally it is incumbent on the courts to discourage crime and punish criminals, not just for the sake of punishment, but in order to deter others and also, as remarked to reform the particular culprit.

The State Attorney has submitted that the Government aims at deterring criminals, but the Government has also set up the probation services, as I remarked only last week, in a case of youthful offender on his very first essay into crime, in being found with house – breaking implements. He was also given a very good character by the probation officer, who recommended that he be placed on probation, and he was convicted on his own plea, as well, which is also a mitigating factor, as contrition, is obviously the first manifestation of reformation. If in such cases, the probation services are not utilized, as I remarked in that case, it is a waste of public money to have such services at all.

I think I have said sufficient to indicate that I am very far from persuaded, that this court would be justified in interfering with the exercise of the magistrate’s discretion, and I do not propose to do so.

The probation order made accordingly remains in force undisturbed.

Enhancement of sentence refused.

For the Republic:
Rahim (State Attorney)

For the respondent:
NS Patel

Republic v Himo
[1971] 1 EA 351 (HCT)

Division:	High Court of Tanzania at Dar Es Salaam
Date of judgment:	25 November 1970
Case Number:	9/1970 (78/71)
Before:	Georges CJ
Sourced by:	LawAfrica

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[1] Criminal Practice and Procedure – Charge – Particulars – Facts constituting dangerous driving not set out or stated – Plea not properly taken.

Editor's Summary

The accused was remanded to the High Court for sentence after the magistrate had recorded him as pleading guilty to a charge of causing death by dangerous driving. The prosecution had stated only that the accused ran into a parked vehicle at night. No mention was made of the speed of the accused's vehicle nor whether the parked vehicle showed lights. The magistrate stated that the accident could not be explained other than by negligence.

Held –

(i) there was no plea to facts constituting the offence charged;

(ii) the specific acts establishing dangerous driving must be stated.

Case remitted for plea.

No cases referred to in judgment

Judgment

Georges CJ: The accused in this case was charged with causing death by dangerous driving contrary to s. 44 (*a*) of the Traffic Ordinance (Cap. 168). The particulars of the offence in the usual manner stated that at Kilwa Road on 27 June 1968 at 8.20 p.m. he

> " . . . did drive the said vehicle on the said road recklessly and in such a condition which is dangerous to the public having regard to all the circumstances of the case including the nature and the condition and use of the road and the amount of traffic which is actually at the time or which might reasonably be expected to be on the road; and thereby causing death of George Fundisha and Mrs. Malta Fundisha."

In reply to this the accused is recorded as saying:

> "I plead guilty."

He had earlier stated to the charge:

> "It was an accident."

The prosecutor stated the facts of the case but there is nothing on the record to show that the accused accepted them as true. He was convicted, the conviction being entered immediately after his plea of

guilty. The trial magistrate thought the case serious and forwarded the matter to the High Court for sentencing.

The advocate for the Republic has quite properly pointed out some unsatisfactory features of the record. In the first place, one ought to examine with much care a plea of “guilty” to a charge of causing death by dangerous driving. The accused may intend to do no more than to admit that he was responsible for the accident which caused the death. In answer to a question from the

court this is precisely what the accused person said that he meant. It is most important to obtain the admission of facts which constitute the offence. In this case there is no such admission. Indeed even on the facts stated it is not clear whether there was negligence on the part of the accused person sufficient to support a charge of causing death by dangerous driving. The prosecution stated no more than that the accused had run into a parked vehicle at night. There was no indication as to the speed at which he was driving. There was no indication as to whether or not the parked vehicle showed the normal rear light or any other indication of its presence on the road. Indeed, in her remarks the trial magistrate stated as follows:

> "Further in this case the accused collided with a stationary vehicle TDM 976. Such act cannot be explained but for sheer negligence on the part of the accused."

This seems to impart into the Criminal Law the doctrine of res ipsa loquitur. This would clearly be a mistake.

The Republic should state the specific acts of negligence on which it depends to establish the dangerous character of driving. In this case the prosecutor stated as follows:

> "After Inspector Evans had completed his investigations and found the fault lay absolutely on the accused the accused was arrested and brought before this court."

Such a statement is not enough. The specific faults should be set out. Accordingly the conviction must be quashed.

I had at first thought it might have been possible to obtain from the accused an admission of a sufficient number of facts to justify recording a plea of guilty. His answer seems to indicate that he is seeking to excuse himself. In particular he alleges that the vehicle had no rear lights, that it was parked at a corner and because of these circumstances he was unable to avoid colliding with it though he had been driving at 30 m.p.h.

The matter is remitted to district court. The accused will be called upon to plead afresh and unless he pleads guilty unequivocally the matter will proceed to trial.

It is noted from the record that there was some difficulty in getting the accused to appear to answer the charges. Accordingly I shall remand him in custody until the hearing. He can apply for bail before the magistrate when he appears to answer the charge.

Appeal allowed. Retrial ordered.

For the prosecution:
GMB Kilindu (State Attorney)

The accused appeared in person.

Motokov v Auto Garage Ltd and others (No. 2)
[1971] 1 EA 353 (HCT)

Division:	High Court of Tanzania at Dar Es Salaam
Date of judgment:	19 February 1971
Case Number:	46/1966 (79/71)
Before:	Biron J
Sourced by:	LawAfrica

[1] Civil Practice and Procedure – Pleading – Amendment – Limitation – Whether amendment adds new cause of action after limitation period.

[2] Civil Practice and Procedure – Pleading – Amendment – Plaint disclosing no cause of action – May be amended to show cause of action – Civil Procedure Rules, O. 6, *r.* 17*, O.* 7*, r.* 11 (*T.*).

[3] Civil Practice and Procedure – Pleading – Amendment – Whether application genuine.

Editor's Summary

In an action on bills of exchange the judge ruled that the plaint disclosed no cause of action and the plaintiff thereupon applied for leave to amend to claim in the alternative for the goods sold and delivered to the defendant in respect of which the bills of exchange were given. The defendants opposed the application on the grounds that the court had no power to amend a plaint which disclosed no cause of action, that the amendment would introduce a new cause of action and so deprive the defendants of a plea of limitation, and that the application was not bona fide.

Held –

(i) there is no conflict between the provision that a plaint disclosing no cause of action shall be rejected and the provisions allowing amendment;

(ii) the court has power to allow amendment of a plaint disclosing no cause of action (*Husseinali Dharamsi Hasmani v. The National Bank of India Ltd*. (9) distinguished);

(iii) as the contract was referred to in the plaint and as the defendants set up the contract as a defence and counterclaim, the amendment did not introduce a new cause of action;

(iv) delay had been caused by attempts at settlement and the application to amend was bona fide.

Application allowed.

Cases referred to judgment

(1) *Budding v. Murdoch* (1875), 1 Ch. D. 42.

(2) *Tildesley v. Harper* (1878), 10 Ch. D. 393.

(3) *Clarapede v. Commercial Union Association* (1883), 32 W.R. 262.

(4) *Weldon v. Neal* (1887), 19 Q.B.D. 394.

(5) *Raleigh v. Goschen* (1898), 1 Ch. 73.

(6) *Midnapur Zemindary Co. Ltd. v. Secretary of State for India* (1917), 44 Cal. 352.

(7) *Ma Shwe Mya v. Maung Mo Hnaung* (1921), 48 I.A. 214, 48 Cal. 832.

(8) *Napoleone Corbellini v. Twentsche Overseas Trading Co. Ltd*. (1933), 3 T.L.R. 45.

(9) *Husseinali Dharamsi Hasmani v. The National Bank of India Ltd.* (1937), 4 E.A.C.A. 55.

(10) *Hilton v. Sutton Steam Laundry*, [1946] K.B. 65.

(11) *Ahmed Hossein v. Mt. Chembelli and others*, [1951] A.I.R. Cal. 262.

(12) *G.L. Baker Ltd. v. Medway Building and Supplies Ltd*., [1958] 3 All E.R. 540.

(13) *Eastern Bakery v. Castelino*, [1958] E.A. 461.

(14) *Hagod Jack Simonian v. S.K. Johar and others*, [1962] E.A. 336.

(15) *S.S. Gupta v. Inder Singh Bhamra*, [1965] E.A. 439.

(16) *Mitchell v. Harris Engineering Co. Ltd*., [1967] 2 All E.R. 682.

(17) *Rashid Moledina & Co. (Mombasa) Ltd. and others v. Hoima Ginners Ltd*. (1937), 4 E.A.C.A. 55.

(18) *Sterman v. E.W. & W.J. Moore* (*a firm*), [1970] 1 Q.B. 596.

[For previous proceedings in this case see [1970] E.A. 249.]

Judgment

Biron J: The plaintiff company or corporation, as it is described in the plaint, actually a foreign corporation, is suing the three defendants respectively, a company and two directors of the company, claiming the sum of Shs. 275,127/10, with interest, being the amount due on bills of exchange drawn by the plaintiff on the first defendant and accepted by it and dishonoured when presented for payment. The other two defendants, the directors of the company, are being sued as guarantors on the bills of exchange.

[The judge dealt with the pleadings at length, and ruled that the plaint did not disclose a cause of action. He then turned to the application to amend the plaint.]

It is now necessary to consider the application by the plaintiff to amend the plaint. Mr. Nazareth submits that the court not only should not allow the amendment prayed but it cannot; that it has no discretion in the matter but to dismiss the application on the grounds (1) that a plaint which discloses no cause of action cannot be amended, (2) that the amendment would work injustice to the defendants in depriving them of the defence of limitation, and (3) that the amendment introduces a new cause of action. Mr. Nazareth further submits that even if the court had a discretion it should not exercise it in the plaintiff's favour due to mala fides.

The authority for the submission that a plaint which discloses no cause of action cannot be amended is the case of *Husseinali Dharamsi Hasmani v. The National Bank of India, Ltd*. (1937), 4 E.A.C.A. 55.

Order 7, r. 11 of the Indian Civil Procedure Code, with the exception of subpara. (*c*) in the Indian Code which does not appear in our Civil Procedure Code, 1966, corresponds to our O. 7, r. 11, which reads:

> "11. The plaint shall be rejected in the following cases:–
>
> (*a*) where it does not disclose a cause of action;
>
> (*b*) where the relief claimed is undervalued, and the plaintiff on being required by the court to correct the valuation within a time to be fixed by the court, fails to do so;
>
> (*c*) where the suit appears from the statement in the plaint to be barred by any law."

The other Order referred to in the judgment, O. 6, r. 17, Indian Civil Procedure Code, corresponds to our own O. 6, r. 17, which reads:

> "17. The court may at any stage of the proceedings allow either party to alter or amend his pleadings in

such manner and on such terms as may be

> just, and all such amendments shall be made as may be necessary for the purpose of determining the real questions in controversy between the parties."

As I think is clear from the report of the case, and doubtless conceded by Mr. Nazareth, that the decision in this case is based on the case of *Midnapur Zemindary Co., Ltd. v. Secretary of State for India* (1917), 44 Cal. 352.

Mr. Lakha submitted that as this Indian case whereon the Court of Appeal case is based has been overruled by subsequent Indian cases, the Court of Appeal case should not be followed. In fact it was not followed by Keatinge, J., in *S.S. Gupta v. Inder Singh Bhamra*, [1965] E.A. 439, the relevant part of the headnote to which reads:

> "The plaintiff sued on a dishonoured cheque without alleging due notice of dishonour or why notice of dishonour was dispensed with. After a defence had been filed the plaintiff put in an amended plaint showing that notice of dishonour was not necessary. The defendant contended that as the original plaint did not disclose the cause of action, in that it had not pleaded notice of dishonour, it must be rejected and could not be amended under the provisions of O. 7, r. 11. The defendant relied on the case of *Husseinali Dharamsi Hasmani v. The National Bank of India Ltd*. which had been followed in the High Court of Uganda in at least three unreported cases.
>
> *Held*: (i) the court was not bound by the *Hasmani* case because: (*a*) the *Hasmani* decision rested on the interpretation of the Indian Civil Procedure Code and Rules, which Rules have the same effect as if they were enacted in the body of the Code; whereas in Uganda the Civil Procedure Rules are made by a committee under powers given by the Civil Procedure Ordinance, which specifically provides that such Rules must not be inconsistent with the Ordinance. Thus, the Uganda O. 7, r. 11 (*a*) could not be applied inconsistently with s. 103, of the Ordinance; (*b*) comments made in the *Hasmani* case, which concerned a bill of exchange requiring a notice of dishonour are obiter with reference to bills which do not require such notice; (*c*) the Indian case relied on by the court in the *Hasmani* case is no longer good law;
>
> (ii) if any averments stating why notice of dishonour was dispensed with were necessary, the amendment should be allowed under s. 103 of the Civil Procedure Ordinance;"

The Uganda O. 7, r. 11 is similar to the Indian and our O. 7, r. 11, and s. 103 of the Uganda Ordinance is similar to the Indian and our O. 6, r. 17. However, as pointed out by Mr. Nazareth, the position in Uganda is different, as the Uganda Civil Procedure Rules are made by a Rules Committee under s. 85 (1) of the Civil Procedure Ordinance, which provides that the Rules Committee has power – and I quote – "to make rules not inconsistent with the provisions of this Ordinance and subject thereto to provide for any matters relating to the procedure of civil courts." The court therefore held, following other Uganda decisions:

> "that O. 7, r. 11 must be construed so that it does not conflict with the provisions of the Civil Procedure Ordinance (s. 103) and that, therefore, the words 'does not disclose a cause of action' must mean that the plaint must be such that no legitimate amendment can be made which would make it disclose a cause of action."

The judge went on to say:

> "I would observe that the latter part of s. 103 of the Civil Procedure Ordinance is couched in mandatory terms–

> 'and all necessary amendments *shall* be made for the purpose of determining the real question or issue raised by or depending on such proceeding'.
>
> In the present case there is really no defence on the merits. The only defence pleaded is that there is no averment in the plaint stating why notice of dishonour is dispensed with. In my opinion, assuming such averment is necessary, if this court were to disallow the amendment it would be failing in its duty to carry out the provisions of s. 103 of the Civil Procedure Ordinance."

Before leaving this case it is, I think, necessary to quote another passage from the judgment at p. 441.

> "The other point is that the court in *Hasmani's* case, when holding that a plaint which does not disclose the cause of action must be rejected, relied on *Midnapur Zemindary Co. Ltd. v. Secretary of State for India*. I think it is clear that the *Midnapur* case is no longer good law: *Ahmed Hossein v. Mt. Chembelli* and *Gagaumal Ramchand v. The Hong Kong & Shanghai Banking Corporation*. In India though a court is bound to reject under O. 7, r. 11 (*a*), a plaint which does not disclose a cause of action still it has power to allow amendments so that it should disclose a cause of action."

Although Mr. Nazareth is right in distinguishing between the position in Uganda and here, where the Civil Procedure Rules are part of the legislation and each of the rules with which we are concerned has equal force, even so I can see no conflict between the two rules and no reason at all why both cannot be applied. Order 7, r. 11 merely says that a plaint which discloses no cause of action must be rejected. It does not say that it cannot be amended so as to disclose a cause of action. In this connection it is pertinent to quote from the judgment in *Ahmed Hossein v. Mt. Chembelli and Others*, (1951) A.I.R. Cal. 262, one of the cases referred to in the Uganda case as over – ruling the *Midnapur* case, at p. 265.

> "The object of O. 7, r. 11 therefore is really to prevent the ordinary consequences of dismissal viz., to prevent the filing of another suit on the same cause of action that is to say prevent another suit filed on the same cause of action from being barred. If such is the object, it cannot be defeated by allowing the plaint to be amended so as to remove the defect and prevent the operation of O. 7, r. 11. The result of saying that when O. 7, r. 11 applies the plaint cannot be amended would be to say that it was the intention of the Legislature that the parties would be compelled to have the suit dismissed and start afresh and made to throw away large costs incurred in the first suit. It strikes me as absurd to say that this was what the Legislature intended. In my view therefore O. 7, r. 11 does not in the least affect or take away the court's powers or duties as to amendment and all necessary amendments should be made even if O. 7, r. 11 applies."

Although the Uganda case, as noted, can be distinguished, Mr. Lakha invited me not to follow *Hasmani's* case. Although for the reasons sufficiently, I think, disclosed, I agree with Mr. Lakha in principle, I cannot over – rule a case decided by the Court of Appeal, though I have little doubt that *Hasmani's* case will no longer be held good law by the same court should the occasion arise, but this court cannot make such departure on the application of the doctrine of stare decisis.

All that *Hasmani's* case decided is that in a claim on a dishonoured bill of exchange brought in a plaint filed as a summary suit under Order 37 of the Indian Civil Procedure Code, which disclosed no cause of action, the plaint

could not be amended by adding further ingredient factors to the claim as laid, or by an amendment adding an additional claim for money had and received by the defendant for the use of the plaintiffs. The claims which could have been brought under the summary procedure provided for in O. 37 of the Indian Civil Procedure Code, and now under O. 35 in our Code, are limited, and it would not be out of place to set out which claims can be so brought. The relevant part of O. 35, rr. 1 and 2, as amended by the Civil Procedure Code (Amendment of the First Schedule) Rules, 1968 and 1970, reads: [the judge set out the text and continued]

What *Hasmani's* case does not lay down is that a plaint filed in ordinary form claiming on dishonoured bills of exchange which discloses no cause of action cannot be amended by adding a claim in the alternative, based on the original contract which in fact was the actual consideration for the bills of exchange drawn and accepted, as is sought in this instant case.

The other case followed in *Hasmani's* case, that of *Napoleone Corbellini v. Twentsche Overseas Trading Co., Ltd.* (1933), 3 T.L.R. 45, wherein it was held that a plaint which disclosed no cause of action could not be amended, is a case of this court and therefore not binding on me. It is also not irrelevant to note that it was decided in 1933, when the courts apparently were much more technically minded and were more insistent on the due observance of technical niceties, which, I cannot refrain from remarking, instead of serving the ends of justice often defeated them.

This first objection to the court's power to amend the plaint, because it discloses no cause of action, is therefore rejected.

The second ground of objection with which I propose to deal is that the amendment sought cannot be allowed in that it deprives the defendant of the defence of limitation. In support of this submission, Mr. Nazareth cited a number of English cases wherein it was held that an amendment to a plaint could not be allowed where it deprived a party of a defence of limitation. However, these cases are no longer good law. The law in England is now as laid down in *Mitchell v. Harris Engineering Co., Ltd.*, [1967] 2 All E.R. 682, the headnote to which reads:

> "The new rule, R.S.C., O. 20, r. 5 (2), (3), which permits amendment of a party's name on, e.g., a writ, notwithstanding that the effect will be to substitute a new party after the limitation period has expired, is not ultra vires.
>
> The plaintiff was employed by H.E. Co., Ltd. at their Tunbridge Wells works. On 27 August 1963, he had an accident at work and was injured. He claimed damages from his employers. On 9 August 1966, a writ was issued on his behalf. When the writ was drafted the name H.E. Co., Ltd. was inserted as defendants. A junior clerk of the solicitors was sent to Somerset House to search the register. He searched the register of English companies and found the name of an English company, H.E. Co. (Leeds). Ltd. He inserted '(Leeds)' in the name of the defendant on the writ before it was issued. H.E. Co., Ltd. was in fact incorporated in Northern Ireland. It and H.E. Co. (Leeds), Ltd. had the same directors and secretary. The three year limitation period expired on 27 August 1966. On 28 September 1966, the writ was served on the English company; the endorsement showed that the accident was alleged to have occurred at the Tunbridge Wells works, which were the Irish company's works. On appeal from an order allowing the plaintiff to amend the writ, under R.S.C., O. 20, r. 5, by substituting the Irish company as defendants,

> *Held:* there had been a genuine mistake, which had not misled the defendants, and accordingly the amendment was rightly allowed.
>
> Appeal dismissed."

However, as was rightly pointed out by Mr. Nazareth, this case was decided under the new rules made in England in 1965, the relevant one reading:

> "(2) Where an application to the court for leave to make the amendment mentioned in paras. (3), (4) or (5) is made after any relevant period of limitation current at the date of issue of the writ has expired, the court may nevertheless grant such leave in the circumstances mentioned in that paragraph if it thinks it just to do so."

However, Mr. Lakha submitted that the amendment was allowed there although it deprived the defendant of his defence of limitation, not on account of the new Rules of the Supreme Court but because, as stated by Lord Denning, M.R., at p. 686:

> "Some of the judges in those cases spoke of the defendant having a 'right' to the benefit of the statute of limitations: and said that that 'right' should not be taken from him by amendment of the writ; but I do not think that was quite correct. The statute of limitations does not confer any right on the defendant. It only imposes a time limit on the plaintiff. Take the statute here in question. It is s. 2 of the Limitation Act 1939, as amended by s. 2 (1) of the Law Reform (Limitation of Actions, etc.) Act 1954. It says that in the case of actions for damages for personal injuries for negligence, nuisance or breach of duty 'the action shall not be brought' after the expiration of three years from the date on which the cause of action accrued. In order to satisfy the statute, the plaintiff must issue his writ within three years from the date of the accident. There is nothing in the statute, however, which says that the writ must at that time be perfect and free from defects. Even if it is defective, nevertheless the court may, as a matter of practice, permit him to amend it. Once it is amended, then the writ as amended speaks from the date on which the writ was originally issued and not from the date of the amendment. The defect is cured and the action is brought in time. It is not barred by the statute (see *Hill v. Luton Corpn.; Pontin v. Wood*)."

Much as I agree with the rationale of the dictum and with Mr. Lakha's submission in principle, the fact remains that the case on which Mr. Lakha relies was decided under, and because of, the new Rules. This, I think, is clear from Lord Denning's own statement in the case of *Sterman v. E. W. & W. J. Moore*, [1970] 1 Q.B. 596 at p. 604, that:

> " 'Since the new rule, I think we should discard the strict rule of practice in *Weldon v. Neal* (1887), 19 Q.B.D. 394. The courts should give O. 20, r. 5 (1) its full width. They should allow an amendment whenever it is just so to do, even though it may deprive the defendant of a defence under the Statute of Limitations.' "

However, since independence and the abolition of appeals to the Privy Council, the English authorities are no longer binding on this court, as stated by Sir Charles Newbold, P., in *Rashid Moledina v. Hoima Ginners Ltd.*, [1967] E.A. 645 at p. 655.

> "It has been urged on behalf of the respondent that this court is not bound to English decisions and that it should over-rule the decision in the *Sohan Lal* case as that decision was given at a time when this court was subordinate to the Privy Council. It is clear that this court is not bound by any English decision, whether given before or after Independence."

Both counsel in support of their respective arguments have cited and referred to a very large number of cases and authorities, both on this aspect of limitation and also on the other objection to the plaint being amended in that it raises a new cause of action, and each in turn has distinguished the authorities quoted and cases cited by his opponent. I will, I hope, be forgiven if I do not refer to them all, but quote and cite, comprehensively and in the main, the general principles. Mr. Lakha relied on a passage in Mulla, 12th Edn., at p. 599, which reads:

> "In a suit on a promissory note which was inadmissible in evidence for want of proper stamp, leave was given to amend the plaint so as to allow the suit to be on the original consideration or debt, even though at the date of the application for amendment the claim on the original consideration or the debt was time-barred, as a special case, the original claim being not raised through some blundering on a lawyer's part, and the defendant not being prejudiced as the defence was a total denial of the whole transaction."

Mr. Nazareth relied on a passage in Chitaley, 5th Edn., at p. 1748, note 5, which reads:

> "5. *Amendment taking away right accrued to a party by lapse of time.* – The object of the rule being to get at and try the merits of the case and to do substantial justice between the parties, no amendment will be allowed which will work *injustice* to one of the parties. The rule of conduct of the court is, that 'however negligent or careless the first omission may have been, and however late the proposed amendment, the amendment should be allowed if *it can be made without injustice to the other side.*' One of the classes of cases in which an amendment will work injustice to the opposite party is where it takes away from a party a right accrued to him by lapse of time. As a rule, therefore, a plaintiff will not be allowed to amend his plaint by introducing a new cause of action, which, since the date of the plaint, has become barred by the statute of limitation. In other words, no such amendment should be allowed as will take away a valid defence under the law of limitation. Thus, where a plaintiff though entitled to various alternative reliefs sued only for one of the reliefs within the period of limitation, it was held that he should not be allowed to amend the plaint in such a way as to enforce his other reliefs which have become time-barred at the date of the amendment."

In *Eastern Bakery v. Castelino*, [1958] E.A. 461, Sir Kenneth O'Connor, P., at p. 462 set out in brief the principles which should guide the courts in allowing or disallowing amendments sought. He said:

> "It will be sufficient, for purposes of the present case, to say that amendments to pleadings sought before the hearing should be freely allowed, if they can be made without injustice to the other side, and that there is no injustice if the other side can be compensated by costs: *Tildesley v. Harper* (1878), 10 Ch. D. 393; *Clarapede v. Commercial Union Association* (1883), 32 W.R, 262. The court will not refuse to allow an amendment simply because it introduces a new case: *Budding v. Murdoch* (1875), 1 Ch. D. 42. But there is no power to enable one distinct cause of action to be substituted for another, nor to change, by means of amendment, the subject matter of the suit: *Ma Shwe Mya v. Maung Mo Hnaung* (1921), 48 I.A. 214; 48 Cal. 832. The court will refuse leave to amend where the amendment would change the action into one of a substantially different character: *Raleigh v. Goschen*, [1898] 1 Ch. 73, 81; or where the amendment would prejudice the rights of the opposite party existing at the date of the proposed amendment, e.g. by depriving him of a defence of limitation accrued since the issue of the writ: *Weldon v. Neal* (1887), 19 Q.B.D. 394; *Hilton v. Sutton*

> *Steam Laundry*, [1946] K.B. 65. The main principle is that an amendment should not be allowed if it causes injustice to the other side. Chitaley, p. 1313."

It will be noted that on the question of limitation, Sir Kenneth relied on English cases which, as demonstrated earlier in this judgment, are no longer good law even in England and are no longer binding on this court. Sir Kenneth also referred to Chitaley, 2nd Edn., at p. 1313, the passage in question reading:

> "As has been seen already the main principle guiding the discretion of the court in granting or refusing amendments is, that no amendment should be allowed if it causes injustice to the other side. It is also a cardinal rule that 'there is no injustice if the other side can be compensated with costs'."

Apart from the fact that Sir Kenneth O'Connor's dictum is obiter, as in fact in that particular case the amendment sought was allowed, it is not out of place to quote another passage from Chitaley, and I propose to use the 5th Edn., continuing the very passage he quoted and relied on, and which reads, at p. 1750:

> "The rule, however, is not a universal one, and, under peculiar or special circumstances, an amendment may be allowed even where it has the effect of depriving the defendant of his right to plead limitation. See also note 19. In *Charan Das v. Amir Khan*, Lord Buckmaster in delivering the judgment of the Privy Council observed as follows:
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> > 'That there was full power to make the amendment cannot be disputed, and though such a power should not as a rule be exercised where its effect is to take away from a defendant a legal right which has accrued to him by lapse of time, yet there are cases where such considerations are outweighed by the special circumstances of the case.' "

I have already apologised for not specifically referring to all the cases cited by counsel, as in this respect I would adopt what was said by Crawshaw, J.A., in *Hagod Jack Simonian v. S. K. Johar and Others*, [1962] E.A. 336, at p. 343, after referring to the statement in Chitaley that, "The main principle is that an amendment should not be allowed if it causes injustice to the other side. Chitaley, p. 1313." The Justice of Appeal went on to say:

> "We have been referred to a considerable number of cases in some of which amendments have been allowed and some disallowed. As was said by Jenkins, L.J., in *G. L. Baker Ltd. v. Medway Building and Supplies Ltd.*, [1958] 3 All E.R. 540 at p. 546,
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> > 'As to these authorities, one may observe that the circumstances in which amendments may be sought are infinitely various and a decision against an amendment in the particular circumstances of one case may be no ground for refusing leave in another.'
>
> At the same time the authorities do show the liberality with which the courts allow amendments if made at a proper stage of the proceedings, including the introduction of new alternative causes of action. I have read the cases to which we have been referred, but the circumstances have been particular to each and they are not, I think, much help except insofar as they set out, or apply to those special circumstances, the principles already stated above."

Very few cases are altogether alike, and each must be decided on its own merits. The over-riding principle is laid down in the very rule itself, that "The court may at any stage of the proceedings allow either party to alter or amend his pleadings in such manner and on such terms as may be just, and all such amendments shall be made as may be necessary for the purpose of determining the real

questions in controversy between the parties." The first part of the rule gives the court a discretion as to when and when not to allow an amendment, and the second part makes it mandatory on the court to allow such amendments as may be necessary to determine the questions in issue between the parties. In this respect it is pertinent to quote from the headnote to *Ahmed Hossein v. Mt. Chembelli and Others*, already cited in this ruling, that "The making of amendments is not really a matter of power of a court but its duty, so that substantial justice may be done."

Again quoting Crawshaw, J.A., in *Hagod Jack Simonian v. S. K. Johar and Others*, at p. 343:

> "In applying general principles to the facts of the instant case I can see nothing inherently wrong in basing an amendment on the nature of the other party's pleadings, and the authorities support this view",

in this instant case, apart from the fact that even in the plaint as it stands there is a reference in paragraph 6 to the agreement between the parties, and the very bills of exchange each and every one of them gives the invoice number or numbers under which they are drawn, in view of the fact that the defendants themselves have set up the agreement between the parties and its implementation, not only as a defence to the claim but also as a set-off as the basis for a counterclaim against the plaintiff, it appears to me most unrealistic even to allege that the amendment sought introduces a new cause of action and one that is time-barred.

In all the circumstances, subject to Mr. Nazareth's submission that the application has been brought mala fides, I consider, for the reasons I have attempted to set out, that not only has the court a discretion to allow the amendment sought but it has a duty to do so, in the words of the Rule, "for the purpose of determining the real questions in controversy between the parties".

The basis of Mr. Nazareth's accusation of mala fides on the part of the plaintiff is the long delay in making the application to amend. It must be conceded at once that there has been a very long delay in the making of this application, but I accept Mr. Lakha's explanation for the delay in that the parties were attempting to reach a settlement, and that there was apparently every hope of a settlement out of court.

In the circumstances, therefore, I grant leave to amend the plaint as prayed, and the amendment is to speak from the date on which the plaint was filed.

With regard to costs, I consider that the defendants are entitled to all the costs due to and incurred as a result of the amendment applied for and granted.

Order accordingly.

For the plaintiff:
AA Lakka (instructed by *Fraser Murray, Roden & Co*, Dar es Salaam)

For the defendants:
JM Nazareth QC and *RC Kesaria*

Shah v Uganda Argus
[1971] 1 EA 362 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	11 May 1971
Case Number:	456/1968 (86/71)

Before: Youds J

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[1] Defamation – Damages – Assessment – Other injury to plaintiff's reputation.

[2] Defamation – Identification – Plaintiff not named – Identifiable by persons with knowledge of the facts.

[3] Defamation – Illegal or unethical scheme alleged – Defamatory.

[4] Defamation – Privilege – Qualified – Public duty – To communicate government inspired announcements to public – Privileged.

[5] Defamation – Privilege – Qualified – Alteration of report – Whether alterations germane and reasonably appropriate.

Editor's Summary

The plaintiff, an advocate, together with eight other Asians was arrested and detained under the Emergency Powers Act for reasons not disclosed to them. Two days later the defendant's newspaper published a report which stated that the Asians had been arrested in connection with an alleged passport and immigration racket and in respect of suspected illegal practices in the Immigration Department. Assistance of the public for the police was requested. The substance of the report originated from a release by the Ministry of Information which the newspaper was specially asked to collect and which it was under a strong moral obligation to publish. The words passport and racket had been added to the release as reported for journalistic impact.

The defendants denied that the report was either capable of referring to the plaintiff or defamatory of him, and claimed that it was published on an occasion of qualified privilege, having been published in discharge of a public duty.

Held –

(i) the report was capable of defaming the plaintiff even though he was not named in it if it designated him in such a way as to lead readers with knowledge of the facts to understand that it referred to him;

(ii) the report alleged some illegal or unethical scheme designed to circumvent the immigration laws and was defamatory;

(iii) the report was published in discharge of a moral and public duty to communicate government-inspired announcements to the public and was privileged (*Allbutt v. General Council of Medical Education* (1) followed);

(iv) the alterations made to the report did not go beyond what was germane and reasonably appropriate to the occasion (*Adam v. Ward* (6) and *Nevill v. Fine Arts and General Insurance Co.* (3) considered);

(v) in view of all the other injuries to the plaintiff's reputation damages of Shs. 4,000/- would have been awarded.

Case dismissed.

Cases referred to judgment

(1) *Allbutt v. General Council of Medical Education* (1889), 23 Q.B.D. 400.

(2) *Pullman v. Hill Ltd.*, [1891] 1 Q.B. 524.

(3) *Nevill v. Fine Arts and General Insurance Co.*, [1895] 2 Q.B. 156.

(4) *Mangena v. Wright*, [1909] 2 K.B. 958.

(5) *Hulton v. Jones*, [1910] A.C. 20.

(6) *Adam v. Ward*, [1917] A.C. 309.

(7) *Astaire v. Campling*, [1965] 3 All E.R. 666.

(8) *East African Standard v. Gitau*, [1970] E.A. 678.

Judgment

Youds J: This is a claim for damages for libel brought by Jayantilal Somabhai Shah, an advocate practising in Kampala, against Consolidated Printers Ltd., Uganda Argus Newspapers Ltd. and Mr. Charles Harrison, who at all material times were respectively printers, publishers and editor of the daily newspaper "Uganda Argus". The claim arises out of the publication on the front page of that newspaper issued on 25 January 1968 of the following article:

"ASIANS HELD

> Ten Ugandan Asians have been arrested in connection with an alleged passport and immigration racket, it was disclosed, yesterday.
>
> The ten have been arrested 'in order to help the police in their inquiries relating to suspected illegal practices in the Immigration Department', a Ministry of Internal Affairs spokesman said yesterday.
>
> He confirmed that the arrests were connected with the suspension from duty of five immigration officers.
>
> The Ministry appeals to the public to help the police when approached for information in matters connected with the inquiry."

In his plaint, the plaintiff, after describing himself as a Ugandan of Indian origin and as having been in legal practice for a number of years and being widely known in social and political circles and throughout Uganda, went on to allege that on 23 January 1968 – i.e. two days before the article was published in the "Uganda Argus" – he was detained with eight other Ugandans of Asian origin by a senior police officer under the Emergency Powers Act and Regulations then in force in Uganda without any reasons being assigned or given to him for such detention. In these circumstances, the plaintiff alleged that the newspaper publication was not only capable of referring to him, but was understood by persons to refer to him and that it was libellous because it

> "meant and was understood to mean that the plaintiff had committed a criminal offence, or alternatively that the plaintiff had been arrested because he was accused of being a party to illegal practices in relation to the passport and immigration laws of Uganda."

and

> "meant that the plaintiff was engaged in or was accused of being engaged in a dishonest conspiracy or proceeding to defraud or mislead the lawful Uganda Immigration Authority."

In their amended defence, the three defendants make a number of formal admissions including the admission of publication of the newspaper article in question, but they deny that the article or any of its words referred to or were understood to refer to or were capable of referring to the plaintiff and that the words of the article were capable of bearing any of the defamatory meanings alleged. Then the defendants go on to aver that the words contained in their

newspaper article were true in so far as they were statements of fact, and were fair and bona fide comment in so far as the words amounted to comment. Then the defendants claim that the occasion of the publication of their newspaper article was privileged and that the publication was without malice; and lastly they seek to claim some form of qualified privilege for their newspaper article on the ground that it was a government-inspired newspaper report published at the request and instance of a government officer of state. As I understand it, the plea is just another way of pleading qualified privilege, and in the course of legal argument, Mr. Salter on behalf of the defendants did not seek to put forward any novel defence and merely treated paragraph 9 as an alternative way of pleading and claiming qualified privilege.

From the various issues raised by the pleadings, the first two matters which I have to consider and decide are were the words contained in the newspaper article defamatory?; and were the words defamatory of the plaintiff? The burden is on the plaintiff to establish both these matters to my satisfaction. If the plaintiff establishes both these essential matters, then the burden shifts on to the defendants to establish, if they can, one or more of the defences that they have raised to the claim.

Dealing first with the question as to whether the words contained in the newspaper article were defamatory, I begin by reminding myself of the tests to be applied. Any words or imputation which may tend "to lower a person or persons in the estimation of right-thinking members of society" or expose a person or persons to "hatred, contempt or ridicule" have been held to be defamatory, and it is the general impression that the words are likely to create in the minds of reasonable persons which must be considered rather than making a close and precise analysis of the words used – see *East African Standard v. Gitau*, [1970] E.A. 678 and in particular the judgment of Spry, Ag. P., at p. 681.

Applying these tests and considering the article appearing in the defendants' newspaper, I think that the general impression which would be left in the mind of any reasonable person reading the words, would be that the Ugandan Asians mentioned in the article were involved in some illegal or unethical scheme or enterprise designed to circumvent or defeat the immigration and passport laws and regulations of Uganda, and as this is, in my considered view, the imputation to be derived from a general reading of the article, it is clearly defamatory of the Ugandan Asians because the article and words used would tend to lower their characters and reputations in the minds of right-thinking citizens.

But then the second matter which has to be considered is whether the article and words were defamatory of the plaintiff when he was neither named nor identified in or by the article itself. It is clear that the article and words complained of would not libel the plaintiff in the minds of the general readers of the "Uganda Argus" knowing nothing of the background circumstances because there was nothing in the article itself naming or positively identifying the plaintiff as one of the Asians, and the plaintiff could only have been libelled, if he was libelled, in the minds of those persons who knew him and had knowledge of relevant facts and circumstances concerning him.

A person can, of course, be defamed by words in a newspaper article or book without being actually referred to by name in that article or book, see *Hulton v. Jones*, [1910] A.C. 20 – and the test to be applied is whether the libellous statement designates the plaintiff in such a way as to lead those of its readers who knew him and also had knowledge of such other relevant facts, not contained in the article, as they might reasonably be expected to possess, to understand that he was a person referred to in the statement – see *Astaire v. Campling*, [1965] 3 All E.R. 666, at pp. 668 – 9.

The plaintiff gave extrinsic evidence as he was entitled to do – see Gatley on Libel and Slander, 6th Edn., arts. 1237 and 1238 – and called a number of witnesses who testified that they understood from reading the newspaper article and from their knowledge that the plaintiff had been one of a number of Asians arrested by the police a day or so prior to the publication of the article, that he was one of the Asians referred to in the article. Some of the witnesses called by the plaintiff were more impressive than others. Of the witnesses called, I was most impressed by the demeanour and testimony given by Mr. Rambhai B. Patel who had been a close friend of the plaintiff and his family and was present and himself witnessed the arrest of the plaintiff by senior C.I.D. Officers about 9.15 p.m. on 23 January 1968. This witness gave clear and affirmative evidence that he had no doubt that the plaintiff was one of the 10 Asians mentioned in the newspaper article appearing on 25 January 1968 because he had himself seen the plaintiff being arrested and taken away from his home.

Of course I am not bound to accept the evidence or opinions expressed by witnesses and must form my own opinion and make my own finding as to whether or not this newspaper article was defamatory of the plaintiff, but having listened to the evidence and bearing in mind that I must consider the position of a reader of the article who might reasonably be expected to possess the knowledge that the plaintiff, an Asian, had been arrested by the police only a day or so prior to the appearance of the article in the defendants' newspaper, I have come to the conclusion and so find that this newspaper article was defamatory of the plaintiff.

I now proceed to consider the various defences put forward by the defendants in answer to the claim, and I have to bear in mind that the onus or burden is on the defendants to satisfy me of the validity of their defences.

The first of the specially pleaded defences alleges that in so far as the words in the newspaper article consist of statements of fact, they are true in substance and in fact, and in so far as the words consist of expressions of opinion, they are fair and bona fide comment made without malice on a matter of public interest. In the course of legal argument, it was conceded by Mr. Salter on behalf of the defendants that the article contained virtually nothing which could be pointed to or accurately described as comment and that the article was all factual, and he argued that the article was and consisted of a true statement of facts based upon and a repetition of a Government publication given to the press and radio by the Ministry of Information, Broadcasting and Tourism.

Once Mr. Salter had conceded that there was really nothing in the newspaper article which could be pointed to and accurately described as "comment", then paragraph 7 of the defence ceased to provide any effective defence for the simple reason that a defence of fair comment cannot be set up when the article complained of does not contain anything in it which can be properly described as comment. Mr. Salter did go on and seek to argue that the newspaper article consisted of a true statement of facts and was a faithful repetition of the Government publication, but before he or the defendants could properly rely upon this line of defence, justification ought to have been pleaded by way of defence, when in point of fact it was not pleaded; and furthermore evidence would have been needed to be called from the police or Ministerial official sources to prove affirmatively that the plaintiff and the other Asians were at least suspected in police or Ministry circles of being involved in or of having knowledge of some illegal or unethical scheme or enterprise designed to defeat or circumvent the immigration and passport laws of Uganda and that they had for this reason been apprehended and held by the police for questioning. No such evidence was called by the defendants who, as I have already stated, have never sought to plead justification or to prove that the defamatory imputation contained in

their newspaper article was true of the plaintiff or indeed of any of the other Asians mentioned in the article.

Accordingly I find that the defence of fair comment and the rolled-up plea contained in paragraph 7 of the amended Statement of Defence fail and provide no answer to the plaintiff's claim.

I now come to deal with the defence of qualified privilege. This is a special defence based upon well-established law which recognises that there are occasions upon which, on grounds of public policy and convenience, a person may, without incurring legal liability, make statements about another which are defamatory and in fact untrue. On such occasions a man, stating what he believes to be the truth about another, is protected in so doing, provided he makes the statement honestly and without any indecent or improper motive. These occasions are called occasions of qualified privilege, for the protection which the law, on grounds of public policy, affords is not absolute, but depends on the honesty of purpose with which the defamatory statement is made – see Gatley on Libel and Slander, 6th Edn., art. 441.

The burden of proving that the newspaper article complained of was published on a privileged occasion lies on the defendants, and their contention is that their newspaper article was published in the discharge of a public duty which all responsible newspaper proprietors and editors have to perform of keeping the general public informed on matters of public concern and interest. In the course of his argument on behalf of the defendants, Mr. Salter relied upon the definition of a "privileged publication" first laid down by Lopes, L.J., in *Allbutt v. General Council of Medical Education* (1889), 23 Q.B.D. 400 and repeated by Phillimore, J., in his judgment in *Mangena v. Wright*, [1909] 2 K.B. 958, at p. 978 – "The publication of a matter of a public nature and of public interest and for public information was privileged, provided it was published with the honest desire to afford the public information and with no sinister motive."

In support of their defence, the defendants called before me a Mr. Joseph Courtney-Fitch, Senior Information Officer in the Uganda Government's Ministry of Information and the person responsible for issues to the press or for broadcasting of public announcements emanating from other Government departments. This witness, whose evidence I accept, stated that on 24 January 1968 there was a release by his Ministry of a public announcement relative to the apprehension of certain Asians, and the text of the release was numbered 218 in his file or book of releases.

Evidence was also given by Mr. Charles Ernest Harrison, the third defendant and editor of the "Uganda Argus" at the material time of the publication of the article complained about, and he gave evidence which I accept, that his newspaper office was specially telephoned by the Ministry of Information and was requested to collect the release of an important public announcement which, upon being collected, was found to be an announcement prepared by the Ministry of Internal Affairs and distributed for publication by the Ministry of Information. In cross-examination, Mr. Harrison agreed that he was under no physical obligation or coercion to print any Government or Ministry announcement in his "Argus" newspaper, but that he was under a strong moral obligation to do so and that as his newspaper was a medium of mass information for the public, the Government of Uganda relied upon his newspaper to propagate its policies, statements and public announcements. He went on to state that the purpose of printing the article and announcement on the front page of his newspaper was to give this public announcement due prominence and obtain public co-operation for the police.

Accepting as I do this evidence given by the two defence witnesses, I find that the defendants who printed and published the newspaper article complained

about, did so in discharge of the moral and public duty which they had to communicate government-inspired announcements to the general public, and that the general public had a corresponding interest or duty to receive and read the information contained in the article. Having regard to the definition already quoted as to the meaning of a privileged communication and to the rules laid down by Lord Esher, M.R., in *Pullman v. Hill Ltd.*, [1891] 1 Q.B. at p. 528 that "An occasion is privileged when the person who makes the communication has a moral duty to make it to the person to whom he does make it, and the person who receives it has an interest in hearing it", and by Lord Atkinson in *Adam v. Ward*, [1917] A.C., at p. 334 that "A privileged occasion is . . . an occasion where the person who makes a communication has an interest or a duty, legal, social or moral, to make it to the person to whom it is made and the person to whom it is so made has a corresponding interest or duty to receive it", I am constrained to find and do find that the occasion for the publication of the newspaper article complained of was and is privileged and that the defendants were under a moral and public duty to make the publication.

On such a finding, the defendants, although publishing a defamatory and untrue article concerning the plaintiff, do not incur legal liability to compensate and pay damages to him unless the plaintiff can prove malice, i.e. some dishonest or improper motive, on the part of the defendants, in publishing their defamatory newspaper article concerning him, but what is said and has been forcibly argued by Mr. Gautama on behalf of the plaintiff is that the defendants have forfeited and lost the privilege to which they might otherwise have been entitled by printing an inaccurate and distorted article and introducing new matter into their article which was not present in the original Government release. It therefore becomes necessary to examine more closely both the law applicable to the proposition that privilege and protection may be lost if a publication exceeds certain bounds, and also the facts and evidence relative to the newspaper article complained of.

The law has been clearly stated in various speeches delivered in *Adam v. Ward*, [1971] A.C. 309. At pp. 320 and 321 Earl Loreburn said this:

> "But the fact that an occasion is privileged does not necessarily protect all that is said or written on that occasion. Anything that is not relevant or pertinent to the discharge of the duty or excessive of the right or the safeguarding of the intent which creates the privilege will not be protected. To say that foreign matter will not be protected is another way of saying the same thing. The facts of different cases vary indefinitely, and I do not think the principle can be put more definitely than by saying that the judge has to consider the nature of the duty or right or interest and to rule whether or not the defendant has published something beyond what was germane and reasonably appropriate to the occasion or has given to it a publicity incommensurate to the occasion. For a man ought not to be protected if he publishes what is in fact untrue of someone else when there is no occasion for his so doing or when there is no occasion for his publishing it to the persons to whom he in fact publishes it."

Further guidance is provided in the judgment of Lord Esher in an earlier and leading case considered in the Court of Appeal – *Nevill v. Fine Arts and General Insurance Co.*, [1895] 2 Q.B. 156, at p. 170:

> "There may be an excess of privilege in the sense that something has been published which is not within the privileged occasion at all, because it can have no reference to it . . . but when there is only an excessive statement having reference to the privileged occasion, and which therefore comes within it, then the only way in which the excess is essential is as being evidence of malice."

What is said and argued by Mr. Gautama is that the defendants introduced extraneous and irrelevant matter into their newspaper article by introducing the words passport and racket and making reference to an illegal passport and immigration racket and then connecting the Ugandan Asians with that "racket", whereas in the carefully-worded Government release there were no references to passports or rackets and merely a reference to suspected illegal practices in the Immigration Department.

For the defendants, on the other hand, it was argued that, whilst there had admittedly been some alteration of the original Government release which of itself was too verbose and long-winded to create any real impact upon the average newspaper reader, such alterations as had been made in the original Government release by introducing the words "passport" and "racket" into the newspaper article were merely use of journalistic language intended to create maximum impact upon and better understanding by members of the public reading the article.

In deciding as between these two conflicting arguments I have to have regard to what was said by Earl Loreburn in his speech in *Adam v. Ward* and by Lord Esher in *Nevill v. Fine Arts and General Insurance Co*., and then ask myself the questions:

> Have the defendants published something going beyond what was germane and reasonably appropriate to the occasion?
>
> Have the defendants published an article which has no relevance or reference to the privileged occasion, or is this article only an excessive statement within the privilege, the excessive language only being material as being possible evidence of malice?

In answering these questions, I bear in mind the emphasis laid by Mr. Gautama in his argument on the introduction of the word racket into the newspaper article, but the shorter Oxford English Dictionary defines this word in its slang meaning as "any scheme for obtaining money or effecting some other object by illegal means", and therefore, in my view, the most that can be made or said about the use of the word racket is that it is a more picturesque way of describing – and perhaps use of excessive language when describing – an illegal practice or practices. And again mention of the word passport would be likely to provide better understanding to an ordinary newspaper reader of what the article was all about than mere use of the word immigration.

I therefore answer the questions which I have posed to myself in the following say: the defendants' newspaper article does *not* go beyond what was germane and reasonably appropriate to the occasion which was to publish an article that would have impact on members of the public reading it and give them information that there were suspected illegal practices taking place in Uganda's Immigration Department, that the police were investigating and had already apprehended a number of Asians suspected of being involved or of having knowledge of the malpractices, and that the police and Ministry concerned were seeking the co-operation and help of the general public in their investigations. I answer the further question that the published newspaper article contains nothing, in my view, which has no relevance or reference to the privilege occasion, and that the most that can possibly be said against the article is that it is an excessive statement and makes use of excessive language. I then ask myself – does the introduction of the word racket and use of excessive and slang language by the newspaper provide any evidence that the defendants were acting maliciously or were actuated by improper or dishonest motives? – and the answer to this question is that it does not, and that the defendants were in no way acting maliciously or had any improper or dishonest motive in publishing

the article, but were, on the other hand, actuated by the best possible motives and had the honest desire to afford the public information and were seeking to assist the Government, police and general public in ridding Uganda of suspected illegal practices in its Immigration Department.

In the result, therefore, I find not only that the defendants newspaper article was published on a privileged occasion, but that the defendants did not lose or forfeit that privilege by using the more picturesque journalistic language and words that they did use when seeking to create the maximum impact upon and understanding by members of the public reading their article. I can find no evidence suggestive of malice or of improper or dishonest motive on the part of the defendants in and about the publication of their newspaper article, and accordingly the defence of qualified privilege succeeds and the defendants are not legally liable to compensate the plaintiff in respect of their newspaper article which I have found to have been defamatory of him.

For the sake of completeness and in case I should hereafter be held to have been wrong when finding as I have done that the defence of qualified privilege succeeds and that the defendants are entitled to judgment, I propose to make a provisional assessment of the damages that I should have awarded to the plaintiff, had I been able to find for him.

In provisionally assessing the damages, it has to be clearly kept in mind that the plaintiff is only entitled to be compensated for the damage to his reputation and hurt to his feelings caused by the publication of the "Argus" newspaper article on 25 January 1968, and that he cannot expect the defendants to compensate him for the damage done to his reputation and feelings by the police arresting him on the evening of 23 January 1968 and holding him in detention for the best part of a month thereafter. Furthermore there was evidence given by various witnesses that rumours and gossip were going around the City of Kampala on 24 January 1968, all of which rumours and gossip were damaging to the plaintiff's reputation; and on that same day there were also radio broadcasts announcing the arrests of a number of Asians in connection with suspected malpractices in the Immigration Department, all of which publications would be damaging to the plaintiff's reputation when heard by persons knowing him and knowing of his recent arrest. All this damage was caused to his reputation and feelings before ever the newspaper article appeared in the defendants' newspaper on the morning of 25 January 1968 and, in my view, most, if not all, of the damage had been done to the plaintiff's reputation and feelings before ever the defendants' newspaper article made its appearance.

In all these circumstances, the most damages that I should have felt myself able to award to the plaintiff as compensation for the damage caused to his reputation and feelings by the defendants' newspaper article published on 25 January 1968, would have been a sum of Shs. 4,000/-.

However, having found that the defence of qualified privilege succeeds and that the defendants are accordingly not liable to compensate the plaintiff at all in respect of their libellous publication, I must give judgment for all the defendants against the plaintiff.

Case dismissed.

For the plaintiff:
SC Gautama and *VN Ponda* (instructed by *Mrs HP Varia*, Kampala)

For the defendant:
C Salter QC and *PV Phadke* (instructed by *Parekhji & Co*, Kampala)

Eastern Province Bus Co v Bibi

[1971] 1 EA 370 (CAK)

Division:	Court of Appeal at Kampala
Date of judgment:	30 April 1971
Case Number:	4/1971 (96/71)
Before:	Sir William Duffus P, Spry V-P and Lutta JA
Sourced by:	LawAfrica
Appeal from:	High Court of Uganda – Mukasa, J

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[1] Appeal – Preliminary decree – Appeal filed after subsequent assessment of damages – Incompetent.

[2] Damages – Personal injuries – Quantum – Brain damage – Award not too high for interference.

[3] Damages – Personal injuries – Quantum – Pain and suffering – Award reduced.

Editor's Summary

The respondent sued the appellant for damages arising out of an accident. The judge gave judgment on liability in February 1970. No decree was extracted in respect of this preliminary judgment. In September 1970 the judge assessed the quantum of damages to be awarded to the respondent.

The respondent suffered damage to the parts of the brain which control the emotions and was severely and permanently disabled mentally and he would have difficulty in supporting himself. The evidence concerning pain and suffering was scanty. The judge awarded £6,000 general damages for the brain injury and £2,000 general damages for pain and suffering.

The appellant appealed both on liability and quantum.

Held –

(i) the determination of the issue of liability was a judgment on which a decree must follow;

(ii) the appeal against liability was therefore incompetent (*Farrab Incorporated v. Official Receiver and Provisional Liquidator* (2) followed);

(iii) the award of £6,000 general damages was high, but not so high that the court would interfere;

(iv) the award of £2,000 general damages for pain and suffering was too high and it would be reduced to £500.

Appeal allowed in part.

Cases referred to judgment

(1) *Flint v. Lovell*, [1935] 1 K.B. 354.

(2) *Farrab Incorporated v. Official Receiver and Provisional Liquidator*, [1959] E.A. 5.

(3) *Edirisa Kazalal v. Eastern Province Bus Co. Ltd.*, Uganda H.C.C.C. 318 of 1968 (unreported).

(4) *Gomes v. Attorney General of Uganda*, [1969] E.A. 259.

(5) *Anderia v. Mowlem Construction Co. Ltd.*, [1970] E.A. 461.

30 April 1971. The following considered judgments were read.

Judgment

Lutta JA: This is an appeal by the defendant against the judgment of the High Court of Uganda on a question of liability and quantum of damages in a negligence action resulting from an accident on 27 January 1969 along the Nakabugu – Jinja Road in Busoga District between the defendant's car driven by an employee of the defendant, and the plaintiff. The trial judge found that the accident was due solely to the defendant's employee's negligence and accordingly gave judgment for the plaintiff. In a separate judgment he awarded the plaintiff £8,000 general damages against the defendant. The defendant now appeals to this court.

At the hearing of the appeal Mr. Salter appeared for the appellant and Mr. Dalal for the respondent. The court raised the question as to whether an appeal lay on the issue of liability for the negligence. Mr. Dalal argued that the appeal on liability was incompetent because the leave of the court for an extension of time had not been obtained and the appeal was out of time, the appellant having failed to extract the preliminary decree. He submitted that since the preliminary decree was not extracted the appellant was precluded from appealing by virtue of s. 70 of the Civil Procedure Act (Cap. 65). He relied on the cases of *Champion Motor Spares Ltd. v. Barclays Bank D.C.O. and another*, [1964] E.A. 385 and *Kenneth Odendaal and The Official Receiver v. Richard Gray*, [1960] E.A. 263. Mr. Salter argued that the whole of the suit had not been disposed of and as the final decree embodied both the issues of liability and quantum of damages, the court had jurisdiction to hear the appeal on the issue of liability. We reserved our ruling.

After hearing evidence on the issue of liability the trial judge gave judgment on 21 February 1970, of which the concluding passage reads as follows:

> "I find that the defendants are liable for this negligence of their driver who was then acting in course of his inspection duties then."

On 14 September 1970, the trial judge, after hearing evidence, gave judgment on the issue of quantum of damages, the second passage reading as follows:

> "By consent of the parties to the suit, this court first decided the question of liability, after the same had been argued. The question of the quantum was thus left to the parties to agree to, if they saw it fit, but thereafter the parties failed to come to agreement, whereupon they came back to court to settle even this question of the quantum itself."

A final decree was drawn up and the material part reads as follows:

> "Upon this suit coming for final disposal . . ., after hearing evidence and submissions by counsel it is decreed and ordered that the defendants do pay to the person or persons approved by this court to be held by such person or persons in trust for the said infant plaintiff the sum of Shs. 160,000/- with interest at 6% per annum from date hereof. It is further ordered that the defendant do pay to the plaintiff the taxed costs of this suit."

The issue of liability was decided in the first or preliminary judgment on 21 February 1970 and the final judgment delivered on 14 September 1970 only dealt with the issue of quantum of damages. The final decree was only concerned with the general damages awarded in the final judgment. If I understood Mr. Dalal correctly he argued that since the appellant failed to extract the preliminary decree, he is precluded from challenging its correctness, and cannot, by reason of s. 70 of the Civil Procedure Act, appeal against it without obtaining leave of the court for extension of time. In my view, there are two judgments

in this case, the preliminary judgment in which the issue of liability was disposed of and on which by reason of s. 25 of the Civil Procedure Act a decree should have followed, and the final one disposing of the question of damages. It seems to me that unless a preliminary decree was extracted (in respect of the preliminary judgment) an appeal against it could not lie by reason of r. 56 of the East African Court of Appeal Rules 1954 and s. 70 of the Civil Procedure Act. If a decree were to be extracted in regard to the judgment dealing with the question of liability, which date would it bear in view of the provisions of O. 18, r. 7 of the Civil Procedure Rules? In my view it could not bear the date of the final judgment, that is, 14 September 1970 because that judgment dealt only with the issue of the quantum of damages. It seems to me that the appropriate date which the decree would bear would be 21 February 1970, the day on which the preliminary judgment was delivered. Thus the notice of appeal against the latter should have been given within fourteen days from 21 February 1970 as provided under r. 54 of the East African Court of Appeal Rules 1954. Having failed to do this the proper procedure would have been to apply for leave of the court otherwise the appeal on the issue of liability is incompetent. In my view the appeal on the question of liability for negligence is incompetent. It is therefore unnecessary to consider the grounds of appeal on the question of liability.

With regard to the question of damages Mr. Salter submitted that the award of £6,000 for injury to the brain and £2,000 for pain and suffering was too great in view of the conditions prevailing in Uganda. He relied on the cases of *Anderia v. Mowlem Construction Co. Ltd*., [1970] E.A. 461; *Gomes v. Attorney General of Uganda*, [1969] E.A. 259; and *Edirisa Kazalal v. Eastern Province Bus Co. Ltd*., H.C.C.C. No. 318 of 1968 (Uganda). Mr. Dalal submitted that the plaintiff had suffered severely and has no prospects in life as compared with what he had before the accident, and that the plaintiff's future is bleak, having lost a future career. He argued that the main criterion to influence the assessment of damages in East Africa should be income and that English authorities on the loss of amenities should only be used as a guide. He submitted that the damages awarded are not excessive and that unless the trial judge acted on a wrong principle in assessing damages, this court cannot interfere. There is no doubt that the plaintiff suffered serious injuries. According to Professor German, he:

> ". . . sustained major damage to his cerebral cortex, particularly the frontal lobes of the brain. As a result he is severely disabled mentally. This has to be seen against his previous intellectual ability, which, according to his school report for P. 3 in 1968 was very good. He was second in a class of forty, reported to be a promising pupil, and performed particularly well in mathematics. At his age, such a Primary School report would be in keeping with an I.Q. of about 115 – 120. I would place his present I.Q. at 70 – 80. In addition to this considerable intellectual deficit, he has sustained damage to those parts of the brain concerned with control of emotions, hence his frequent rages. This will embarrass him socially, and when he is older and bigger may well bring him into conflict with the Law . . ."

The injuries have affected the plaintiff's education and prospects of reasonable earnings in future and any award by way of general damages will have to take not only this into account but also the pain and suffering resulting from his injuries. Following *Flint v. Lovell*, [1935] 1 K.B. 354 this court has repeatedly said that it will not interfere with the exercise of discretion of a trial judge in regard to an award of damages unless it is satisfied that the award is wrong or that the trial judge acted on a wrong principle. An award for personal injury is intended to be compensatory in nature. The question is whether the award of £6,000 for personal injury and £2,000 for pain and suffering is so excessive that it justifies this court's interference with it. With regard to personal injury

the plaintiff has suffered a permanent disability of a major character and the trial judge's impression was that the nature of the plaintiff's injury justified the amount awarded. According to the evidence the respondent is severely and permanently disabled mentally, having sustained damage to those parts of the brain which are concerned with the control of emotions. He gets headaches in the sun and suffers from forgetfulness. Prior to the accident he was a promising pupil at school – he was second in a class of forty and his I.Q. was placed at 115 – 120; after the accident his I.Q. is placed at 70 – 80. His education has been affected and he is unlikely to qualify for a place in a secondary school. He is likely to have difficulty in supporting himself. His future career is lost. I must confess that looking at the award and accepting the principle that this Court should not interfere unless the award is manifestly excessive and looking at the person to be compensated, I find it difficult to say that the trial judge acted on a wrong principle. In my view taking the figure of £6,000 as for personal injury it is within the limit in which this court should not interfere. On the question of pain and suffering the judge awarded £2,000 in respect thereof. The evidence on this head of damages was scanty. According to a report prepared by Dr. Patel, which was put in with consent of the parties, the respondent was unconscious for about one week and that he stayed in the hospital from 27 January 1969 to 7 February 1969 and that he continued to receive treatment until 15 February 1969. Dr. Patel was of the opinion that with the number of wounds the respondent "would have had severe pain and suffering for about 10 days" and moderate pain and suffering for a further week. Professor German who gave evidence expressed the view that as a result of the accident the respondent was severely disabled mentally and suffered from headaches daily, particularly on exertion, when hot and when exposed to noise. It is not always easy to give an exact estimate of the measure of damages for pain and suffering and its assessment must necessarily depend on the evidence available. In this case the evidence is scanty. In my view, from the permanent injuries suffered by the respondent it is reasonable to infer that he must have suffered some pain and taking a very reasonable view of the evidence here and considering what is a reasonable amount to be awarded in this case, I feel that the sum of £2,000 awarded by the trial judge is on the high side. In my opinion an adequate compensation for the pain and suffering as a result of the injuries sustained by the respondent would be £500. For these reasons I would dismiss the appeal on the question of the award of £6,000 for damages for personal injury and allow the appeal on the question of the award of £2,000 for pain and suffering by reducing that figure to £500, and I would award the appellant one quarter of the costs of the appeal.

Spry V-P: I agree with Lutta, J.A., that so far as this appeal is against the finding of liability, it is incompetent. I have no doubt that the judgment of 21 February 1970, was a judgment giving rise to a preliminary decree and that as notice of appeal against that judgment was not given in time and no application for extension of time has been made, no appeal lies against it. Mr. Salter suggested that the decree which was extracted embodied both judgments and that it was against the decree that the present appeal is brought. He suggested also that s. 70 of the Civil Procedure Act had no application, because no preliminary decree was in fact extracted. This amounts to a submission that a person aggrieved by a judgment on one or more issues is not obliged to appeal against it unless the successful party submits a draft decree under O. 17, r. 7 but can wait until the final decree is extracted. With respect, I cannot agree. A decree embodies a judgment and bears the date of the judgment, and it is on that date that the time for appeal depends. It follows, in my opinion, that when fourteen days have elapsed after a judgment, the right of appeal against it has gone, unless an extension of time is obtained. A judgment, whether preliminary

or final, ought to be embodied in a decree and failure to extract one cannot enlarge the time for appeal.

The judge divided his award of general damages into two parts: he awarded £6,000 in respect of injury to the brain and £2,000 in respect of pain, suffering and disfigurement. I am aware that this method has been employed in Uganda in other cases but personally I regard it as an unsatisfactory approach. The more usual, and in my view the preferable, approach is to categorize, so far as it is necessary to categorize at all, in relation to the nature of the loss: thus it is sometimes possible to quantify those heads when the loss is directly financial, such as loss of earning power, and then add some appropriate figure for the other heads, such as loss of amenities, cosmetic injury and pain and suffering. On the judge's categorization, it appears that all forms of loss, other than pain and suffering and disfigurement, are included in the figure of £6,000.

There is no doubt, on the evidence, that the life of this boy has been ruined. He was an intelligent boy and he is now below average. Moreover, his temperament and personality have been affected. It is impossible to say what he might have achieved had he not been injured but it can safely be said that such chances as he had of a successful career have now disappeared. Also, according to the medical evidence, the temperamental changes in the boy make a happy marriage unlikely. It is unfortunate that no evidence was given of his family background.

Two Uganda cases were cited to us: *Gomes & another v. Attorney General of Uganda*, [1969] E.A. 259, where two schoolboys who sustained brain injuries were awarded £2,250 and £1,000 respectively, and *Anderia v. Mowlem Construction Co., Ltd*., [1970] E.A. 461, in which the plaintiff received £3,000 for a brain injury and a further sum for other injuries. Neither is on all fours with the present case but compared with them the award of £6,000 appears on the high side. I agree, however, with Lutta, J.A., that this is not a case where this court would be justified in interfering.

In my view, however, the award of £2,000 for pain and suffering and disfigurement must be approached rather differently. There is very little evidence to show what pain the boy suffered immediately following the accident. It appears that he was immediately rendered unconscious. He was taken to hospital. There is no evidence how long he was there or what treatment he received. In a written report put in by consent, Mr. M. B. Patel, a consulting surgeon, said "With the number of wounds he would have had severe pain and suffering for about 10 days and then moderate for further week." As regards subsequent pain, Mr. Patel's report, which is dated 26 January 1970, speaks of headache, particularly in the sun. Another report also put in by consent, was made by Professor German, who is Professor of Psychiatry at Makerere University College: this report, which is dated 3 April 1970, says that the boy complained that he suffered headaches daily, particularly on exertion, when hot, and when exposed to noise. The boy himself gave evidence during the first stage of the hearing, on the issue of liability, when he made no mention of pain, and he was not re-called in the second stage, on damages. On this very slender evidence, it appears that the boy may have suffered severe pain for ten days and reduced pain for another week and that he had headaches for more than a year thereafter. There is nothing to show whether or not he still had headaches at the time of the trial. My conclusion would be that the degree of pain shown to have been suffered is less than that in the majority of cases concerning victims of motor accidents. As regards disfigurement, it appears that he has scars near the nose and the temporal region. There is nothing to show how bad they are and the judge made no finding on them. In any case, scars are, of course, much less damaging to a boy than to a girl.

It is difficult to make comparisons, because it is rarely that a trial judge awards

a specific figure for pain and suffering; it is usually included in a round figure representing all the non-financial causes of loss, including loss of amenities, which in the present case we must assume were included in the award of £6,000. My impression is that the award of £2,000 is far above the average, in a case where the award should, on the evidence, have been rather below than above the average. Mr. Salter suggested the substitution of £200 or £300. I think the higher of those figures might be appropriate but I would not dissent from an award of £500.

Sir William Duffus P: I have read the judgments of the Vice-President and Lutta, J.A. and agree that no appeal lies on the question of liability. There was a preliminary trial in this case to decide the question of liability. This was concluded but no decree on this preliminary issue was extracted. The decision on liability was a judgment conclusively determining the rights of the parties on the issue of liability, and was, in my view, a judgment within the meaning of s. 25 of the Civil Procedure Act on which a decree must follow. I would also refer to the definition of "decree" in s. 2 of the Act. The decree which was eventually extracted and included in this record only deals with the question of the quantum of damages and not with liability. Both s. 70 of the Act and r. 56 of the East African Court of Appeal Rules apply here.

Under r. 56 a notice of appeal may be filed before the decree is extracted but a decree shall in any event be extracted before the appeal is lodged. This was not done in this case and as was decided by this court in the case of *Farrab v. Official Receiver*, [1959] E.A. 5 this is a defect which goes to the jurisdiction of this court.

Section 70 precludes any aggrieved party who did not appeal against the preliminary decree from doing so on an appeal against the final judgment. Mr. Salter submitted that s. 70 of the Civil Procedure Act did not apply as no decree was extracted, but then if no decree had been extracted no appeal lies as the right of appeal is against the decree and not the judgment. The Vice-President has pointed out that the decree when extracted must by virtue of O. 18, r. 7 of the Civil Procedure Rules bear the date of the judgment so that in any event the time within which to appeal would have long since expired. I agree that under r. 7 it is the duty of the successful party, here the respondent, to have in the first instance prepared the draft decree but he failed to do this and if the appellant desired to appeal against the preliminary judgment then he would first have had to take steps to have the decree extracted and signed and then to ask for an extension of time within which to appeal against that decree. In this case the appellant took no steps in the matter and a preliminary decree was never extracted so that he cannot now appeal against liability.

In this case the trial judge chose to award separate damages for the injury to the brain, £6,000 and for pain and suffering and apparently disfigurement, £2,000. It is difficult to make a distinction here between the damages arising from the brain damage and from those due to the pain and suffering of the respondent. The respondent has suffered grievous injury to his brain and I agree that the amount of £6,000 for damage to the brain should be upheld, but that the evidence does not support the substantial further award of £2,000 for pain and suffering and disfigurement and I agree with the other members of the court that this amount be reduced to £500.

The order of the court will therefore be that the appeal against liability is dismissed and the appeal against damages is allowed to the extent that the damages will be reduced to £6,500. The appellant will have one quarter of the costs of this appeal.

Appeal allowed in part.

For the appellant:
C Salter QC and *PV Phadke* (instructed by *Parekhji & Co*, Kampala)

For the respondent:

SH Dalal and *Z Haque* (instructed by *Haque & Gopal*, Kampala)

Robinson v Oluoch
[1971] 1 EA 376 (CAN)

Division:	Court of Appeal at Nairobi
Date of judgment:	30 April 1971
Case Number:	7/1971 (97/71)
Before:	Spry V-P, Law and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Kenya – Miller, J

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[1] Civil Practice and Procedure – Appearance – Out of time – Leave not required – Appearance good – Civil Procedure (*Revised*) *Rules* 1948, *O.* 5, *r.* 1 (*K.*).

[2] Evidence – Negligence – Conviction of careless driving – Allegation of negligence may be made against other party – Evidence Act (*Cap.* 80), *s.* 47*A* (*K.*).

Editor's Summary

The respondent appeared and filed a defence in a suit arising out of a motor accident some five months after the summons had been served. The appellant applied to strike out the appearance and defence. On the dismissal of the application the appellant appealed, contending that an appearance out of time could only be entered by consent of the opposing party or on leave obtained on a formal application, and that as neither course had been followed the appearance was a nullity. He argued that O. 5, r. 1 (1) (*a*) Civil Procedure (Revised) Rules 1948 was mandatory and time could only be extended for a good cause which he should be able to contest, and that the present delay was too long. The appellant also argued a point not dealt with in the court below, that the respondent's conviction of careless driving in connexion with the accident the subject of the suit was conclusive evidence of his sole negligence under the Evidence Act (Cap. 80) s. 47A.

Held –

(i) the only sanction enforcing O. 5, r.1 (1) (*a*) is the right of the plaintiff to set the case down for hearing;

(ii) the delay was immaterial as the remedy lay in the hands of the plaintiff;

(iii) appearance may be entered at any time before judgment notwithstanding that the time limited has expired (*Fisher Simmons & Rodway* (*East Africa*) *Ltd. v. H. A. Allidina Visram* (1) and *J. H. E. Smith v. Auto-Electric Services* (2) followed);

(iv) a person convicted of careless driving may allege that another person was also guilty of negligence which caused or contributed to the accident.

Observations on whether a person convicted of careless driving may deny all negligence.

Appeal dismissed.

Cases referred to judgment

(1) *Fisher Simmons & Rodway* (*East Africa*) *Ltd. v. H. A. Allidina Visram* (1932), 14 K.L.R. 93.

(2) *J. H. E. Smith v. Auto-Electric Services* (1951), 24 (2) K.L.R. 22.

Judgment

The considered judgment of the court was read by **Law JA:** On 22 August 1969, the appellant filed a suit in the High Court of Kenya, claiming damages for personal injuries suffered in an accident which occurred on 16 August 1968, the injuries having resulted from the alleged negligence of the respondent in driving a motor car. The plaint and summons were served on the respondent on 8 September 1969, and by the summons the respondent was required to enter an appearance within ten days. He did not do so. The suit was then listed for *ex parte* proof on 22 October 1969. Before that date, the appellant's advocate was approached by an advocate representing the respondent's insurance company. The latter made it clear that he had no instructions from the respondent, but that his clients, the insurance company, were willing to consider a settlement by way of an ex gratia payment, without any admission as to liability. In apparent expectation of a settlement, the suit was taken out of the list on the application of the appellant's advocate. Negotiations for a settlement then started by way of correspondence "without prejudice" but led to nothing. On 27 February 1970, an appearance was entered on behalf of the respondent and a defence filed on the same day denying negligence on the respondent's part and pleading sole or alternatively contributory negligence on the appellant's part. On 27 May 1970, the appellant applied by notice of motion headed "s. 97 and O. 50, r. 1" (presumably of the Civil Procedure Act and Revised Rules) for orders that the respondent's appearance and defence be struck out. Section 97 of the Act saves the inherent powers of the court to make such orders as may be necessary for the ends of justice or to prevent abuse of the process of the court, and O. 50, r. 1 of the Revised Rules lays down the procedure for making applications. At the hearing the heading of the notice of motion was amended to include a reference to O. 6, r. 29, and in argument reliance was also placed on rr. 5 and 6 of O. 49 of the Revised Rules in that the respondent had not sought the appellant's consent to an extension of time for entering an appearance and filing a defence out of time, nor had he applied to the court for time to be enlarged. The application was heard by Miller, J., on 8 July 1970, but judgment on the application was not delivered until 18 December 1970. The judge dismissed the application. He did not deal specifically with the cases cited and arguments raised before him, beyond commenting that as the applicant had not availed himself of the right which accrued to him when the respondent failed to enter an appearance, he could hardly complain of the respondent's subsequent delays, and he held that no sufficient reason had been shown for striking out the defence. He does not seem to have ruled on the validity of the belated appearance.

The appellant has appealed against this judgment. Mr. Sharma for the appellant argued that an appearance out of time could only be validated by consent of the opposing party, or by leave of the court obtained on a formal application by way of motion as prescribed in O. 50, r. 1. As neither course had been taken he submitted that the appearance was a nullity, so that the defence filed on the same day was likewise a nullity. He also argued a point which he mentioned in the court below but was not dealt with in the judgment the subject of this appeal, and which can be summarised as follows – that as the respondent had been convicted on his own plea of the offence of careless driving in connection with the accident, the subject of the suit, this was conclusive evidence of sole negligence on his part under the provisions of s. 47A of the Evidence Act (Cap. 80) so that the respondent was precluded from raising any defence as to liability.

We will deal with this latter ground first. Section 47A was introduced into the Evidence Act by an amendment in the schedule to the Statute Law (Miscellaneous Amendments) Act 1969 and reads as follows:

> 47A. A final judgment of a competent court in any criminal proceeding

> which declares any person to be guilty of a criminal offence shall, after the expiry of the time limited for an appeal against such judgment or after the date of the decision of any appeal therein, whichever is the latest, be taken as conclusive evidence that the person so convicted was guilty of that offence as charged."

The respondent to this appeal was convicted by a competent court of careless driving in connection with the accident, the subject of this suit. Careless driving necessarily connotes some degree of negligence, and we think, without deciding the point, that in those circumstances it may not be open to the respondent to deny that his driving, in relation to the accident, was negligent. But that is a very different matter from saying, as Mr. Sharma would have us say, that a conviction for an offence involving negligent driving is conclusive evidence that the convicted person was the only person whose negligence caused the accident, and that he is precluded from alleging contributory negligence on the part of another person in subsequent civil proceedings. That is not what s. 47A states. We are satisfied that it is quite proper for a person who has been convicted of an offence involving negligence, in relation to a particular accident, to plead in subsequent civil proceedings arising out of the same accident that the plaintiff, or any other person, was also guilty of negligence which caused or contributed to the accident. We accordingly agree that the judge was right in not striking out the defence as a whole. In our view this ground of appeal fails.

As regards the other grounds, there are two decisions of the High Court of Kenya, *Fisher Simmons & Rodway* (*East Africa*) *Ltd. v. H. A. Allidina Visram* (1932), 14 K.L.R. 93 and *Smith v. Auto-Electric Services* (1951), 24(2) K.L.R. 23 to the effect that it is open to a defendant to enter an appearance at any time before judgment, although the time limited for doing so has expired. That is what happened in the case the subject of this appeal.

Mr. Sharma argued that those decisions were wrong, and could in any case be distinguished. The main ground on which he sought to distinguish them was that in those cases, the appearance was entered only a few days out of time, whereas in the present case the delay was more than five months. His argument that they were wrongly decided depended, first, on a submission that an order made under para. (*a*) of r. 1 (1) of O. 5 is mandatory, and, secondly, on a submission that an extension of time would only be granted for good reason and that he ought to have the opportunity of contesting the reasons advanced. With respect, we cannot agree. The only sanction enforcing r. 1 (1) (*a*) is the right of a plaintiff to set down the suit for *ex parte* hearing under O. 9, r. 8. The length of delay is, we think, immaterial, since a plaintiff has the remedy in his own hands: there can, therefore, be no delay without his consent or at least acquiescence. We see no reason for thinking that the long established practice of the High Court of Kenya on this subject, recognised as it is by the two authorities to which we have referred, is wrong or should be changed. The courts will not, if it can be avoided, debar a defendant from putting forward his defence, although a dilatory litigant may find himself liable to pay costs which he would not have otherwise incurred. As the appearance was, in our opinion, valid and effective, the defence which was filed on the same day was, under O. 8, r. 1, filed in time. We see no merit in these grounds of appeal, and agree with the conclusion reached by the judge in dismissing the application the subject of this appeal. The appeal is accordingly dismissed, with costs.

Appeal dismissed.

For the appellant:
MG Sharma

For the respondent:
DG Bakrania (instructed by *Veljee Devshi & Bakrania*, Nairobi)

Musambu v West Mengo District Administration
[1971] 1 EA 379 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	18 June 1971
Case Number:	575/1970 (104/71)
Before:	Youds J
Sourced by:	LawAfrica

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[1] Limitation of Actions – Wrongful arrest and false imprisonment – Cause of action – Arises on arrest not on dismissal of prosecution – Civil Procedure and Limitation (*Miscellaneous Provisions*) *Act* 1969 (*U.*).

Editor's Summary

The plaintiff filed his claim for damages for wrongful arrest, false imprisonment and malicious prosecution one year and seventeen days after his arrest. On the plea that the claims for wrongful arrest and false imprisonment were barred by effluxion of time the plaintiff contended that these claims were tied up with the claim for malicious prosecution and that until the dismissal of the prosecution against him he did not know that he had a cause of action.

Held –

(i) the cause of action for wrongful arrest and false imprisonment arose on the date of arrest and the subsequent dismissal of the prosecution did not affect the position (*O'Connor v. Isaacs* (1) followed);

(ii) the claims were accordingly barred.

Order accordingly.

Case referred to judgment

(1) *O'Connor v. Isaacs*, [1956] 2 Q.B. 288, 328

Judgment

Youds J: With the agreement of the parties, a preliminary point of law was taken by Mr. Tinyinondi on behalf of the defendant local authority that the plaintiff's claims for wrongful arrest and false imprisonment are statute-barred by s. 2 of the Civil Procedure and Limitation (Miscellaneous Provisions) Act 1969.

The submission of Mr. Tinyinondi is that the causes of action for the torts of wrongful arrest and false imprisonment arose on 2 October 1969 according to the plaintiff's own case as pleaded, yet the action was not commenced against the defendant until the filing of the plaint on 19 October 1970, which was 17 days out of time.

Mr. Balikuddembe's argument is that the causes of action for wrongful arrest and false imprisonment are so intertwined and mixed with the cause of action for malicious prosecution that it

ought to be held that time should not begin to run against the plaintiff until after 22 October 1969 which was the date when criminal proceedings taken against him in the magistrate's court for tax evasion terminated in his favour; and that it was not until after the termination of those proceedings in his favour that he became aware of his wrongful arrest and knew he had been falsely imprisoned.

I am afraid that I cannot accede to Mr. Balikuddembe's argument, and I consider it is immaterial to the question which I have to decide at what point of time it was that the plaintiff first became aware that he had an actionable

case. I have to decide the question in accordance with the terms and wording of the statute and consider "the date on which the cause of action arose" as the sole criterion.

Neither of the advocates produced any decision from East African courts which provides me with any assistance, but the English case of *O'Connor v. Isaacs*, [1956] 2 Q.B. 288 and Court of Appeal at p. 328 is directly in point and was a case of false imprisonment where it was held both by Diplock, J. (as he then was) in the court of first instance and by the Court of Appeal that the cause of action arises at the date of imprisonment and time starts to run at that date, and not at the date of the subsequent quashing of a conviction or order which in that case was a necessary preliminary step before the action for false imprisonment could be brought – see also Clerk & Lindsell on Torts, 12th Edn., para. 1801, at p. 941.

I therefore must hold that the causes of action for wrongful arrest and false imprisonment arose on and by 2 October 1969 and that time began to run against the plaintiff on and after that date. He is therefore statute-barred and is unfortunately 17 days out of time in starting his action for wrongful arrest and false imprisonment.

Order accordingly.

For the plaintiff:
JBM Balikuddembe (instructed by *Balikuddembe & Co*, Kampala)

For the defendant:
GM Tinyinondi (State Attorney)

Mwangi v Republic
[1971] 1 EA 380 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	29 October 1969
Case Number:	840/1969 (109/71)
Before:	Mwendwa CJ and Simpson J
Sourced by:	LawAfrica

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[1] Criminal Practice and Procedure – Sentence – Minimum sentence – Handling stolen property – Probation order or absolute or conditional discharge proper alternatives – Penal Code s. 322 (*K.*).

Editor's Summary

The appellant, a first offender, was convicted on his own plea of handling stolen goods of a total value of less than Shs. 10/-. The magistrate imposed the minimum sentence of seven years' imprisonment and expressed his unhappiness at having to do so.

On appeal.

Held –

(i) no fine or sentence of imprisonment of less than seven years could have been imposed;

(ii) a probation order could have been made and the appellant could have been given an absolute or conditional discharge.

Sentence varied to a conditional discharge.

No cases referred to in judgment

Judgment

The considered judgment of the court was read by **Mwendwa CJ:** The appellant was convicted on his own pleas of two counts of handling stolen goods contrary to s. 322 of the Penal Code.

He was sentenced to seven years imprisonment on each count, the sentences to run concurrently and now appeals against these sentences.

The appellant is a first offender and a shoe-shine boy. The stolen goods consisted of two shoe brushes and a wire brush of a total value of less than Shs. 10/-.

Section 322 (2) provides a minimum penalty for this offence of seven years imprisonment with hard labour. The magistrate quite properly expressed his unhappiness in having to pass such a severe sentence in this case.

While the magistrate was precluded by the provisions of s. 26 of the Penal Code from substituting a fine for imprisonment he was not precluded from making a probation order under the Probation of Offenders Act (Cap. 64) or granting an absolute or conditional discharge under s. 35 of the Penal Code.

We consider that in all the circumstances of this case a conditional discharge would have been appropriate.

The sentences of seven years imprisonment with hard labour are set aside and the appellant is discharged subject to the condition that he commits no offence during the period of six months from the date of this order.

Appeal allowed.

The appellant appeared in person.

For the respondent:
Miss AA Barros-D'Sa (State Counsel)

Saleh and another v Republic
[1971] 1 EA 381 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	21 June 1971
Case Number:	258 and 259/1971 (110/71)
Before:	Mwendwa CJ and Trevelyan J
Sourced by:	LawAfrica

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[1] Exchange Control – Forfeiture of property – May be combined with a nominal fine.

[2] Exchange Control – Forfeiture of property – All factors must be taken into account on decision – "Good reason" not equivalent of "special reasons" in Traffic Act.

[3] Exchange Control – Forfeiture of property – Order must be in respect of all property in charge.

[4] Exchange Control – Forfeiture of property – Onus not on accused to show cause against forfeiture.

[5] Criminal Practice and Procedure – Sentence – Mitigation – Evidence not generally required of defence statements in mitigation.

[6] Evidence – Sentence – Mitigating circumstances – Evidence not generally required.

Editor's Summary

The appellants were convicted on their own pleas of importing currency notes of the Yemen into Kenya. In mitigation it was shown that export of the notes

from the Yemen was legal and it was submitted that the offence could not harm the economy of Kenya. The magistrate was also asked to exercise his discretion not to forfeit the currency. The magistrate fined the appellants Shs. 200/- each, stated that a good reason had not been made out for refusing to forfeit the currency and ordered the forfeiture of all of it.

On appeal against the order for forfeiture it was argued for the appellants that the expression "good reason" in the forfeiture provision, should be limited to reason relating to the offence by analogy with "special reasons" under the Traffic Act, that forfeiture need not be of the whole of the property the subject matter of the charge and that in view of the nominal fine a case for forfeiture had not been made out. The respondent argued that the onus was on the accused to show that no good cause existed for forfeiture and that evidence required to be taken before statements made on behalf of the defence in mitigation could be considered.

Held –

(i) "good reason" is not equivalent to "special reasons" in the Traffic Act;

(ii) all factors must be taken into account in considering whether or not there is good reason to forfeit property;

(iii) the onus of showing good cause against forfeiture is not on the accused;

(iv) as a matter of general practice evidence is not required of matters relied upon by the defence in mitigation of sentence;

(v) the magistrate's exercise of his discretion to forfeit the currency was properly exercised;

(vi) an order for forfeiture may be combined with a nominal fine;

(vii) (obiter) where forfeiture is proper all the property comprised in the charge must be forfeited.

Appeal dismissed.

Case referred to judgment

(1) *R. v. The Westminster Unions Assessment Committee, Ex p. Woodward & Sons* [1917] 1 K.B. 832.

Judgment

The judgment of the court prepared by **Trevelyan J:** was read by **Mwendwa CJ:** These are appeals against sentence.

The appellants were convicted on their own plea of attempting unlawfully to import certain currency notes into Kenya, the prosecutor in the person of the Deputy Public Prosecutor, outlined the facts, defence counsel urged in mitigation and each of the two appellants was fined Shs. 200/- each with sentences of detention in default of their being paid. In addition the notes were forfeited and it is against these orders of forfeiture that they now appeal. The orders were made under para. 1 (3) of part 11 of the Exchange Control Act (Cap. 113) which reads:

> "Any person who commits an offence under this act shall be liable to imprisonment for a term not exceeding ten years or to a fine, or to both such imprisonment and a fine; and, where the offence is concerned with any property, the court shall order it to be forfeited, unless it sees good reason not to do so."

and which was provided by s. 6 (1) of the Exchange Control (Amendment) Act 1968.

The Deputy Public Prosecutor's statements of fact were presented to the lower court with absolute fairness. Counsel for the appellants, relying largely on a letter purporting to have come from the People's Republic of Yemen to the effect that the export of the notes from that country was lawful and that the offence is less than well known even in Kenya asked that the court should consider the offences to be of a technical character and nothing more. He also urged that no great punishment was called for because what the appellants did could not have had the effect of damaging this country's economy. He invited the magistrate, within his discretion, not to forfeit the money. The magistrate considered that the ends of justice would be served by the imposition of nominal fines, and went on to say:

> "However, I do not consider that a good reason has been made out not to order forfeiture and therefore, I order forfeiture to Kenya Government of all the currency specified in the charge-sheet."

We are asked to interpret the meaning of the section with particular reference to the meaning of the words "good reason" and, in relation thereto, to apply, by analogy, decisions under various Traffic Acts. We are also invited to hold that because the expression "special reasons" under those Acts have been interpreted to relate to the offence and not to the accused, we should similarly limit the words "good reason". With respect, we think that we should not do so. The Traffic Acts are concerned with entirely different sets of circumstances from those which concern exchange control and totally different language is used. The question of disqualification, for instance, is dealt with in a far different fashion from forfeiture under the Exchange Control Act. We would express the view that the words are not to be limited in any way. It seems to us that when one considers whether there is or is not good reason to forfeit property under the Act all relevant facts must be taken into account. We are not prepared to equate the words "good reason" with "special reasons". We would echo a comment made by Lord Reading, C.J. in *R. v. The Westminster Unions Assessment Committee, Ex p. Woodward & Sons*, [1917] 1 K.B. 832 that "in deciding this question we do not . . . derive much assistance from considering other statutes . . .".

An argument was put forward that the effect of the amendment of the provisions relating to forfeiture, from what they were previously which was:

> "Where the offence is concerned with any currency, any security, any gold, any goods or any other property, the court may, if it thinks fit so to do, order the currency, security, gold, goods or properly to be forfeited."

was to place the onus upon an accused to show that no good reason exists for ordering forfeiture. We would express the opinion that this is not so. It seems to us that when the court is considering the matter of forfeiture everything put before it, whether by the prosecution or the defence, must be taken into account in its totality. Obviously, however, the defence will generally the better be able to put before the court facts to show that good reason does exist. It was also urged that evidence needs to be taken before what the defence says can be relied upon. We do not consider this to be necessary. It is a practice of very long standing that courts when approaching the matter of sentence act upon what is stated by the prosecution and urged in mitigation by the defence and whilst we do not say that there may not be cases where evidence ought to be taken, we do not think that as a matter of general practice it is needed in cases such as here concern us.

We cannot in this particular case say that such discretion as the magistrate had was wrongly exercised. Forfeiture is to be ordered unless there be good reason to the contrary. What was there in the present case to the contrary? It is true there was the letter to which we have referred, but much else remained unexplained. What, for instance, prompted each of the appellants, said to be illiterate Yemeni Arabs, to seek to bring into Kenya the large sums of money concerned? Where did they get the money from? Why and by whom were the notes exported from East Africa in the first place? Why did not the defence, which alone could speak about these various matters, not tell the court something about them? We do not believe that it can be said that "good reason" was shown to the court to exist.

In view of the decision to which we have come we are not obliged to decide another point which was raised, that is whether, if there be an order for forfeiture, it must be of everything the subject matter of the charge or whether a discretion exists to forfeit part only, but again we will express our views. We think that the important word here is "it" and it seems to us that by its use the court's discretion is limited to considering whether a case has or has not been made out to forfeit. If the court decides that forfeiture is called for then we think that it must make its order in relation to all the property described in the charge.

It was put to us that the fines awarded in this case "cannot live with the orders for forfeiture" i.e. that because nominal fines were awarded a case for forfeiture could not have been made out. We are unable to accept this. We do not consider that because the lower court showed clemency in relation to the substantive sentence, this would be a proper ground for setting aside the orders for forfeiture.

Appeals dismissed.

For the appellants:
AR Kapila (instructed by *AR Kapila & Co*, Nairobi)

For the respondent:
JB Karugu (Deputy Public Prosecutor)

Mwangi and another v Tasker
[1971] 1 EA 385 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	18 June 1970
Case Number:	53/1969 (69/71)
Before:	Trevelyan J
Sourced by:	LawAfrica

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[1] Local Government – Surcharge – Failure to accept lowest tender in absence of consent of Minister – Surcharge authorised – Local Government Regulations 1963, *reg.* 143 (*K.*).

[2] Local Government – Surcharge – Proper ground for declaration that councillor acted in belief that action authorised by law.

Editor's Summary

The appellants were the chairman and a member of the tender committee of the Muranga County Council. A contract for the supply of petrol and diesel to the Council was awarded to a concern which had not submitted the lowest tender. The consent of the Minister had not been obtained to the acceptance of the tender which was not the lowest. Both appellants held shares in the successful tenderer. The respondent, a local Government Inspector, surcharged both appellants with the difference in price between the tenders. On appeal the appellants contended that they had been concerned to see that African businesses should be given preference, and that they should be relieved from liability and accordingly asked for a declaration under the Local Government Regulations 1963, reg. 239 (1).

Held –

(i) in the absence of the Minister's consent, the acceptance of other than the lowest tender was illegal;

(ii) the appellants did not believe that their action was authorised by law and they did not reveal their shareholding in the tenderer;

(iii) in the circumstances it could not be said that they acted reasonably and they would not be relieved of liability.

Appeal dismissed.

No cases referred to in judgment

Judgment

Trevelyan J: Following the acceptance by the Muranga County Council of a tender which was not the lowest tender for the supply to the Council of petrol and diesel 38 people were surcharged an amount of Shs. 23,728/- representing the difference between the lowest tender received and the one accepted. The certificate of surcharge dated 17 April 1969 sets the circumstances out quite clearly and the reasons for the surcharge are just as clearly set out in the inspector's statement of reasons of 3 September 1969 as amended. There is no doubt that in accepting the tender which was accepted, there was an ignoring of the law for reg. 143 of the Local Government Regulations 1963 which provides that the Minister's consent must be obtained for the acceptance of such a tender and this was not done. Both appellants could properly be surcharged as they were if they were present at the relevant meetings subject as more particularly set forth in reg. 236 (3) of the Regulations. One of the appellants claims not to have been present when the council adopted the committee's resolution but I believe that both were present at that meeting. Both were also present at the committee meeting.

Evidence was called on both sides and I do not have any doubt that the evidence led for the respondent is the more acceptable representing, generally, the truth.

The appellant Mr. Mwangi became Chairman of the Tender Committee, a type of meeting which he says he had never before attended. He claims not to be able to read or write and to have had no formal education. He says that envelopes containing tenders were shown to the members and that having established that they were intact "We asked the officers and clerks to open them and count them and bring them to us according to law. To bring them to us at 2 p.m. and tell us who won . . . . The person who won the tender was Mr. Mahesh. (Q) Who decided? (A) The officers told us. (Q) Why did you not decide? (A) I could not because I could not count . . . (Q) Did you examine the tenders yourself? (A) No. (Q) Did any other councillor do so? (A) No. (Q) Did you know at the time that the Mahesh tender was not the lowest ? (A) I could not know . . .". I do not, having heard all the evidence in the appeals, believe that to be true. The tenders were made known to the meeting, there was discussion about them and the Mahesh tender was accepted though it was not the lowest for reasons which will appear. But be it accepted as representing what happened, the meeting according to this appellant, completely abrogated its duties by telling the council's officers to do their work for them and the surcharge was rightly raised. But why should the officers choose the particular tender? If the matter were left to them would not they give the name of the lowest tenderer as "the winner"? Certainly this appellant was present at the meeting of the Council which adopted the resolution and he did not dissociate himself therefrom.

For all his lack of education Mr. Mwangi is not a stranger to public affairs for he has been a politician for some years. I regret to say that he was evasive in some of his answers. And there is grave suspicion as to his bona fides too. Apart from any legal consequences which could flow therefrom there is nothing in the records before us to show that he disclosed that he had an interest in the concern of the successful tenderer. He was asked "You had an interest in Mahesh at that time. You had 35 ordinary shares valued at Shs. 100/- each at that time?" and he replied "Yes but that was not the reason why". And having earlier said that the matter was not discussed and being asked "This was discussed by the Tender Committee on 13 February?" he agreed that it was so.

In his notice of appeal Mr. Mwangi puts forward that he was concerned to see that African businesses should be given preference because of a government circular which had been issued but I do not think such a circular had by then been issued and in any event when asked whether this influenced him at the meetings he said that it did not. He is the only one who ought to know whether it did or did not do so and he says that it did not. What was the reason that caused him to reject Shell's tender which was less than that of Mahesh? Believing as I do that he was aware of the amounts of all the tenders it must have been that a company of which he was a shareholder was to be favoured.

The appellant Mr. Macharia was not only a member of the Council at the time with which we are concerned, but its vice-chairman too. If one accepts his evidence he was totally unfit for either purpose but again I do not, I regret to say, think that he was an honest witness. His evidence is somewhat in line with that of Mr. Mwangi in that he too says that the officials made the decision but he differs in that, according to him, the acting clerk said that he would have to count, i.e. compute figures and that he would nominate the successful tenderer in due course. Mr. Macharia says that "The acting clerk was going to tell us who won." Whether or not one is educated it is difficult to believe that the vice-chairman of a council went to a committee meeting as an ex-officio member

without having the slightest idea of what was involved in the receiving of tenders. And one cannot accept that at that meeting "I could not say anything" or that "I did not know what a tender meeting meant". He had been a councillor for at least about a year before then and had attended meetings. He too, I regret to say, I found evasive. Quoting from the record:

"(Q) Do you remember considering the supply of foodstuffs and miscellaneous requirements?

(A) Yes, we considered that.

(Q) You considered that?

(A) They were decided.

(Q) Who by?

(A) The clerk who told us."

and:

"(Q) Was it the clerk or one of the members of the committee who said that the partners of Mr. Chege Kariuki might be exploited?

(A) I can't remember who said.

(Q) Do you remember that matter coming up?

(A) I can't remember."

Mr. Macharia also says that he was not present when the tenders were adopted in council but I believe that he was as I shall show when dealing with the respondent's evidence. Mr. Macharia at the relevant times had 30 shares in the Mahesh concern.

In support of the appellants' appeals the then chairman of the Council Mr. Njeroge gave evidence of attending the tender meeting. He, I regret to say, I found rather glib. He prefaced various answers "according to law" though generally it was not so. He prefaced various answers "according to law" though generally it was not so. He says that at the meeting "We asked the acting clerk what to do" and, like the two appellants, claimed that the meeting soon enough adjourned. Which I do not believe it did. He says that he asked the acting clerk to declare the name of the successful tenderer which is odd coming from a man who says that he was the chairman of the council not only in 1967 but also in 1966. He was also evasive. He was asked whether he knew the purpose of tendering, said that he did, and then the record reads:

"(Q) To get supplies for lowest prices possible?

(A) According to law when committee sits people are there to advise."

and:

"(Q) Which applicant wins?

(A) Applicant who is going to win is the one who the officers in the office – the officers decide.

(Q) On what basis does the officer decide?

(A) They decide according to comparison of this and this *and that is decided by the committee members*."

But later we have:

"Officers according to law decide."

There is also the unsatisfactory evidence he gave about the issue as to exploitation of one of the tenderer's partners evident on the record.

Mr. Muhia the acting committee clerk has given evidence contradicting that given by and for the appellants and I far prefer what he told me to what they did. I accept that when the tender envelopes were opened their contents were circulated and considered by the members after which calculations

were done and

produced to the committee members. He recalled for us the discussion about the acceptance of the Mahesh tender. He told us:

> "If I well recall, Mahesh was given petroleum. It was said they had supplied the council for years and it was trying to Africanise its business. All the calculations were quoted to the committee. It was discussed. (Q) What can you remember was said beyond what you have told us? (A) A lot of things were said on that issue. Each tenderer's price was read to the meeting. (Q) Mahesh was not the lowest price – Was any reference made to that when committee decided who to give tender to? (A) Discussion took place. (Q) Did anyone, do you recall, say they haven't offered the lowest price? (A) Yes I think the acting clerk told them it was not the lowest price. (Q) What effect did it have on the committee members? (A) My impression I remember is that Africans were being tried to be brought in and he should be given preference."

That is objective enough evidence. I believe it to be true as, generally speaking, the whole of his evidence was.

In relation to the appellant Mr. Macharia, Mr. Muhia's evidence makes it clear that the adoption of the tenders must have been on the first day of the Council meeting and not the second, i.e. on 6 not 7 April. At the meeting of the 6 April Mr. Macharia was present.

Mr. Mwangi the Council's Treasurer also gave evidence which is substantially true. It is in line (though with some difference in detail) with that of Mr. Muhia. He told us:

> "Mahesh was shown not to be the lowest tenderer. There was discussion about that. There followed. Mahesh having been suppliers for many years and he had some Africans in his firm. That was main points discussed in his favour. Committee decided to offer the contract to Mahesh. They felt that since what they discussed was satisfactory to the majority of councillors they should give the contract to him.
>
> (Q) Was there discussion as to whether by law they were entitled to do that?
>
> (A) The councillors thought it was right."

That, too, is objective enough though I did not, alas, appreciate at the time when the evidence was given that the words "majority of councillors" had been used. Had I done so I should have asked for it to be followed up.

Very fairly Mr. Mwangi conceded that:

> "It is my duty to advise councillors on question of finance. I knew at the time the majority were new and some were not well educated. . . . Councillors largely depended on the officers particularly when technical advice is required. (Q) Dealing with tenders is technical? (A) Yes. (Q) On 13 February 1967 Councillors left everything to officers of the Council? (A) Yes."

Certain instructions concerning tenders procedure were issued and there are three documents in evidence about this. None is addressed, however, to councillors and there is no evidence that the appellants knew of them. The documents are of little use in these appeals but I accept for what it is worth that they indicate a preference for Africans within certain limits. I am prepared, indeed, to accept as a matter of reality that in 1967 the matter of Africanisation and preference for Africans was already well in vogue. Nonetheless the law was for observation and the acceptance of the Mahesh tender, as it was accepted, was against the law: proviso to reg. 143 (5) (*a*) of the 1963 Regulations. There is no doubt that Mr. Tasker was right to issue the certificates which he did. But reg. 239 allows those who are surcharged to seek relief.

The regulation reads:

> "(1) In the case of a surcharge, the person surcharged may . . . apply to the Court . . . for a declaration that in relation to the subject matter of the surcharge he acted reasonably or in the belief that his action was authorised by law, and the Court . . . if satisfied that there is proper ground for doing so, may make a declaration to that effect.
>
> (2) Where such a declaration is made . . . the Court may, if satisfied that the person surcharged ought fairly to be excused, relieve him either wholly or in part from personal liability in respect of the surcharge, and the decision of the Court . . . under this regulation shall be final."

I appreciate that a meeting of African councillors might well feel that an Indian who was trying to Africanise his business should be preferred but public money was involved and without reference to the Minister the tender accepted meant an excess expenditure of Shs. 23,738/- for petrol and diesel over what they could elsewhere have been got for. As counsel suggested in court – would a private individual have done such a thing? However the council's officers or someone of them at least would have done better to have told the meetings in terms of reg. 143 5(*a*)'s proviso and not merely that the Mahesh tender was not the lowest. Nonetheless, whatever may be the position as to the other thirty-six people who were surcharged I do not consider that I can, or should, make a declaration within reg. 239 (1) of the Regulations. I am not satisfied that there is proper ground for my doing so. I do not see that either appellant believed his action to be authorised by law or that either of them acted reasonably. They were two of seven persons present at a meeting not all being in favour of the resolution and they kept quiet when a tender which would cost the Council (and so the public) a good deal of excess money was accepted not disclosing their shareholding in the company awarded the tender. It cannot be said that they acted reasonably. Even where a declaration is made, however, there is yet a discretion in the Court for it is only where the person surcharged ought fairly to be excused that he may be relieved in whole or part of the liability in respect of the surcharge. Not only am I not satisfied about that but I see no reason at all to excuse either appellant from liability in the circumstances of the case.

The appeals are dismissed with costs.

For the appellants:
KC Gautama

For the respondent:
JF Shields (Senior State Counsel)

Administrator-General v Luzinda
[1971] 1 EA 390 (CAK)

Division:	Court of Appeal at Kampala
Date of judgment:	20 April 1971
Case Number:	57/1970 (94/71)
Before:	Sir William Duffus P, Spry V-P and Lutta JA
Sourced by:	LawAfrica
Appeal from:	High Court of Uganda – Phadke, J

[1] Probate and Administration – Administrator-General – Small estate – Administrator-General as administrator – Administrator-General's Act (*Cap*. 140) *s*. 5 (*U*.), *Succession Exemption Order* 1966 (*U*.).

[2] Probate and Administration – Administrator-General – Small estate – Has power to sue – Administrator-General's Act (*Cap*. 140) *s*. 5 (*U*.).

[3] Probate and Administration – Administrator-General – Small estate – Estate subsequently proving of higher value – No necessity to apply for letters of administration – Administrator-General's Act (*Cap*. 140) *s*. 5 (*U*.).

[4] Civil Practice and Procedure – Joinder of plaintiff – When will be ordered on appeal – Civil Procedure Rules, O. 1, *r*. 20 (*U*.).

Editor's Summary

The Administrator-General is empowered to deal with the estate of a deceased without obtaining letters of administration where he estimates that the estate does not exceed Shs. 20,000/-. Under this provision the Administrator-General took action in the estate of a deceased and also filed action in his name on behalf of the estate and also of the dependants of the deceased for damages in respect of the death of the deceased in a traffic accident. In the High Court it was held that the powers of the Administrator-General acting in a small estate did not include the power to sue and that he was not the deceased's administrator.

The appellant appealed, contending that the appellant did have power to sue and was the administrator of the deceased and he asked that the judgment be set aside in full and that the deceased's father be joined as a plaintiff to represent the dependants.

The respondent contended that the appellant could not have power to sue for general damages which could exceed Shs. 20,000/-.

Held –

(i) the object of the statute was to enable the Administrator-General to wind up small estates with the minimum of expense or formality, and the power to sue is included;

(ii) the Administrator-General's duty is to decide at the time of taking possession of an estate whether its gross value is likely to exceed Shs. 20,000/-: if it subsequently proves to be worth more he does not have to apply for letters of administration (reasoning in *In re Devereux, Toovey v. Public Trustee* (1) approved);

(iii) as the Administrator-General is legally appointed in small estates he is the administrator of such an estate;

(iv) as there was no question of action by the dependants being time-barred it was proper to join the father in order to avoid further costs.

Observations on proper procedure by Administrator-General when a small estate is later found to be worth more than Shs. 20,000/-.

Appeal allowed.

Case referred to judgment

(1) *In re Devereux, Toovey v. Public Trustee*, [1911] 2 Ch. 545.

20 April 1971. The following considered judgments were read.

Judgment

Spry V-P: The Administrator-General as legal representative of Athanasius Rutaro-Byeka deceased, who had been killed in a traffic accident, filed a suit against the respondents claiming damages for the benefit of the estate of the deceased and for the benefit of his dependants. At an early stage of the proceedings, the suit was dismissed as against the first and third respondents and, although technically they are parties, they have no interest in this appeal.

The suit continued against the second respondent, on whose behalf an admission of negligence was made. Three issues were framed, of which the first was

> "(1) Is the plaintiff the legal representative of the estate of the deceased?"

This was tried as a preliminary issue.

Evidence was given on behalf of the Administrator-General that, as he estimated that the value of the assets of the deceased did not exceed Shs. 1,200/- in value, he was acting under the powers conferred by proviso (ii) to s. 5 (3) of the Administrator-General's Act (Cap. 140). That proviso (to which I shall refer as "the proviso") empowers the Administrator-General to act in relation to small estates without obtaining probate or letters of administration. Argument was then heard on the question whether the powers conferred by the proviso included the power to sue and the trial judge held, in a reserved decision, that they did not. It is against that decision that this appeal was brought. I may add, since the matter was mentioned before us, that I have no doubt that the decision was a judgment giving rise a decree.

The proviso reads as follows:

> "(ii) where it appears to the Administrator-General that the gross value of the property of a deceased person dying intestate, or of a deceased person dying leaving a will in such circumstances that the Administrator-General may apply for leave to administer as hereinbefore provided, does not exceed twenty thousand shillings the Administrator-General may, notwithstanding anything contained in this Act, without any letters of administration or other formal proceedings or notice take possession of such estate and realise the same by sale or otherwise and pay thereout any debts or charges and pay, remit or deliver any surplus to such person as may appear to him to be entitled thereto and he shall not be liable to any action, suit or proceedings in respect of anything done bona fide under this proviso unless it is shown that such thing was done not only illegally but wilfully or with gross negligence."

Commenting on this, the judge said:

> "the question is what are his powers thereunder. This provision speaks of taking possession of the estate, of realising the same by sale or otherwise, of paying debts and of paying the surplus to the person entitled thereto. There is not a word to say that the Administrator has the power to sue on behalf of the estate, and for the reasons which I will state I have reached the conclusion that such a power cannot be read into the provision by implication as submitted by Mr. Katera."

The judge went on to quote s. 3 (2) of the Administrator General's Act, which reads as follows:

> "(2) The Administrator-General shall be a corporation sole by the name of the Administrator-General of Uganda with perpetual succession and an official seal and in all proceedings under this Act and in all legal proceedings he shall sue and be sued by such name and it shall be necessary to state and to prove his authority and title in the specific estate to which the proceedings may relate, but not his general authority or appointment."

He said that the suit was brought under ss. 7 and 8 of the Law Reform (Miscellaneous Provisions) Act (Cap. 74) and on that basis and relying also on the definition of "administrator" contained in the Succession Act (Cap. 139), held that the Administrator-General was not an administrator for the purposes of s. 8 and had failed to prove his "title and authority" to sue. In this connection, he said:

> "In my opinion, it is not sufficient in this respect to merely rely upon certain powers mentioned in the proviso (ii) to s. 5 (3) as indicating a comprehensive authority to deal with an estate in all its aspects."

It is unfortunate that the judge appears to have overlooked the fact that while the suit was brought under ss. 7 and 8 so far as it was for the benefit of the dependants, it was brought under s. 13 so far as it was for the benefit of the estate.

The memorandum of appeal filed on behalf of the appellant attacked the judge's decision in its entirety but before the appeal came on for hearing, the ground of appeal against the dismissal of the suit so far as it was brought by the Administrator-General for the benefit of the dependants of the deceased was expressly abandoned. The appeal was accordingly heard only on that part of the judgment which dismissed the suit so far as it was for the benefit of the estate, although we were asked to set aside the judgment in its entirety and to add or substitute an additional party.

Mr. Belk, who appeared for the Administrator-General based his argument on two propositions, which are not inconsistent but on either of which he might succeed. The first was, that on a true interpretation, the proviso does confer a power to sue. The second was that whether or not the Administrator-General has a general power to sue, he has an express power under s. 13 (7) of the Law Reform (Miscellaneous Provisions) Act. Mr. Kazzora, for the second respondent, supported the decision of the judge that the proviso confers no power to sue and argued that there certainly could not be any power to sue for unquantified damages which might, at least in theory, exceed the financial limit contained in the proviso, and he submitted that s. 13 (7) of the Law Reform (Miscellaneous Provisions) Act should not be interpreted as operating to defeat that limit.

As regards the general power to sue, Mr. Belk relied on the words "realise the same by sale or otherwise" in the proviso. He argued that the normal meaning of "realise" is "convert into cash", and I would accept that, at least in the present context. He went on to argue that the words "or otherwise" should be given their natural, wide, meaning. He submitted that the ejusdem generis rule could not apply, because the word "sale" cannot establish a genus. That is true, but it would not prevent a restrictive interpretation under the noscitur a sociis rule of construction. He argued also that we should not be so strict in our interpretation of statutes as are the English courts, because local legislation tends to be more explanatory in character. With respect, I cannot agree. Thirdly, he argued, and here in my view he was on stronger ground, that the obvious intention of the legislature was to enable the Administrator-General to

wind up small estates with the minimum of expense or formality. I think that is undoubtedly so, and that obvious intention would be defeated in many cases if the Administrator-General, acting under the proviso, could not sue to recover some small debt. Again, suppose the assets of a small estate include a bill of exchange: the Administrator-General could undoubtedly negotiate it at a discount because that amounts to a sale and it would seem quite illogical that he should not be able to sue on it, when he might be able to realise the full amount of it for the benefit of the estate.

Mr. Kazzora submitted, as I have said, that particular difficulties would arise where the suit was for general, unquantified, damages. I am not persuaded that this raises any real difficulty. The Administrator-General's initial duty is clear: when he takes possession of an estate, he must immediately decide whether, in his opinion, the gross value of the estate, including the probable yield of any surviving cause of action, is likely to exceed Shs. 20,000/-. If it is, he must apply for probate or letters of administration; if not, he can proceed with the administration of the estate under the power conferred by the proviso.

The proviso is silent as to what happens when the value of the assets proves to be greater than the Administrator-General had anticipated and exceeds Shs. 20,000/-. That question does not arise in the present appeal but as it was touched on in argument and as Mr. Belk informed us from the Bar that there have been cases in the past where the Administrator-General continued to administer estates without any grant after the value of the assets had proved to be above the limit, it may be desirable to say a few words on it. I was at first inclined to think that the Administrator-General ought in such cases to apply for a grant but, on further consideration, I do not think he is under any obligation to do so. I think the authority to act without a grant comes into being at the moment when the Administrator-General, after making such enquiries as he thinks reasonable, decides what in his opinion is likely to be the gross value of the assets of the estate and that that authority is not revoked by the discovery of additional assets or the sale of the assets at higher prices than expected. I am strengthened in this opinion by the reasoning in the English case *In re Devereux, Toovey v. Public Trustee,* [1911] 2 Ch. 545. Of course, where the assets prove to be very substantial, the Administrator-General should, as a matter of prudence, follow the same procedure, particularly in matters such as advertisement, as if he were acting under a grant.

Again, I do not, with respect, think that s. 3 (2) of the Administrator-General's Act affects the question. It is true that the subrule requires the Administrator-General "to state and to prove his authority and title in the specific estate to which the proceedings may relate" but if he has authority and title it is just as easy to state and to prove it whatever the source from which it is derived.

In my opinion, where the Administrator-General, being of the opinion that the gross assets of an estate are less than Shs. 20,000/- in value, has undertaken the administration of an estate in exercise of the powers conferred by the proviso, he is entitled as administrator to institute proceedings to enforce any right of action that has survived for the benefit of the estate. I may add here that having regard to the known assets of the estate with which we are concerned and to the normal level of damages awarded for loss of expectation of life, the Administrator General appears to have been fully justified in regarding this as a small estate.

Mr. Belk's argument on s. 13 of the Law Reform (Miscellaneous Provisions) Act was briefly, that sub-s. (7) expressly confers a right of action on the personal representative of a deceased person (unlike s. 8 which refers to the executor or administrator) and "personal representative" is defined in s. 2 to include persons other than executors and administrators within the meaning of the Succession

Act. He submitted that as the deceased was a Uganda African who had died intestate, he was, under the Succession (Exemption) Order, 1966, a person to whom the Succession Act did not wholly apply and therefore that the Administrator-General was entitled to be considered a personal representative under para. (*b*) of the definition. If I have understood the argument correctly, and I hope I have not misrepresented it, I cannot agree with it. The definition reads as follows:

> " 'personal representative' means–
>
> (*a*) in the case of a deceased person to whom the Succession Act applies either wholly or in part, his executor or administrator;
>
> (*b*) in the case of any other deceased person, any person who, under law or custom, is responsible for administering the estate of such deceased person."

This definition seems to me badly drafted, leaving a possible hiatus, but, on the information before us, it seems to me clear that para. (*a*) applies to the present case, since the deceased was a person to whom the Succession Act applies in part. I am not, however, convinced that the definition of "administrator" which is contained in the Succession Act ought to be read into the Law Reform (Miscellaneous Provisions) Act, to which it is certainly not expressly applied. The Administrator-General, acting in exercise of the powers contained in the proviso, is, in my view, clearly an administrator and I think it would be wrong to adopt so narrow a definition as to deprive him of the right to exercise the powers conferred on administrators by the Law Reform (Miscellaneous Provisions) Act. However, as this aspect of the matter was not fully argued before us, I prefer to base my decision on my interpretation of the proviso.

Mr. Belk asked us, if we allow the appeal, to make an order joining one of the dependants of the deceased as an additional plaintiff. Mr. Kazzora suggested that the better course would be for the dependants to file a fresh suit. He conceded that they had the right to do so and that there was no question of any such suit being barred by limitation. In these circumstances, it seems to me better that the additional party be joined now. To have two separate suits would add greatly to the costs and might, conceivably, lead to contradictory decisions, a result which is always unsatisfactory. I think the matter should be decided in one suit with all the interested parties before the court. This court has, under s. 81 of the Civil Procedure Act, save as otherwise provided, all the powers of the High Court, which would include the power to order joinder of parties, and I think this is a case where it should be exercised. Mr. Belk informed us that he had the consent in writing, required under O. I, r. 10 (3), of Maliko Babweyaka the father of the deceased, to being joined.

I was at first a little uncertain whether we were entitled to make such an order, in view of the fact that with the abandonment of the second ground of appeal, there was no express appeal against the judgment so far as it related to the claim on behalf of the dependants. As, however, the judge did not deal separately with the two aspects of the case and as his decision was on an issue concerned solely with the question whether the Administrator-General was the legal representative of the deceased, I think that if the appeal is allowed, the judgment must be set aside in its entirety and consequently that it is open to us to join a dependant.

Finally, Mr. Belk asked for an order against the second respondent, that he do pay to the appellant the costs of the third respondent, which the appellant was ordered to pay (that is, for a Bullock order). Mr. Kazzora did not expressly address us on this, and I think that, the second respondent having admitted negligence, the Administrator-General is at least *prima facie* entitled to the order if the appeal succeeds.

I would allow the appeal and set aside the judgment (described as a ruling) and decree (described as an order) of the High Court, and substitute an order declaring that the Administrator-General is the legal representative of the estate of the deceased. I would order, under O. I, r. 10 (2), that Maliko Babweyaka, on his own behalf and on behalf of the other dependants of the deceased, be joined as an additional plaintiff, conditional on his consent in writing being filed within seven days. I would order that the suit be remitted to the High Court for the hearing to be resumed on the remaining two issues. Application should be made to the High Court for any necessary amendments to the pleadings.

I would set aside the order for costs made against the Administrator-General in favour of the second respondent and leave the matter of those costs to be decided by the trial judge when the suit is finally decided and I think it is at that stage that the making of a Bullock order should be considered.

I would give the Administrator-General the costs of the appeal, except such costs (if any) as arise directly from the ground of appeal which was abandoned and award those costs (if any) to the second respondent.

Sir William Duffus P: The facts have been fully set out in the judgment of the Vice-President which I have had the advantage of reading in draft.

The appellant, the Administrator-General, claims to act as administrator of the estate of Athanasius Rutaro-Byeka deceased, by virtue of the provisions of the second proviso to s. 5 (3) of the Administrator-General's Act (Cap. 140). The purpose of this proviso clearly is to enable administration of small estates to be carried out expeditiously and economically. The Administrator-General is empowered to act and to administer the estate without having to take out letters of administration or other formal proceedings. The operative words of the section are:

> ". . . may, notwithstanding anything contained in this Act, without any letters of administration or other formal proceedings or notice take possession of such estate and realise the same by sale or otherwise and pay there out any debts or charges and pay, remit or deliver any surplus to such person as may appear to him to be entitled thereto . . ."

This quotation, in a few sentences, sets out the whole extent of the duties of an administrator in a deceased's estate; that is, the taking possession of the estate; the realisation of the assets; the payment of his debts; and the handing over of the remainder of the estate to the persons entitled. The Administrator-General, when he acts under this provision, is in fact administering the estate of a deceased. This is borne out by a reference to s. 31 (3) of the Administrator-General's Act. This subsection gives the Administrator-General or his agent full power to decide and settle disputes and questions:

> ". . . which may arise in the course of the administration by him under s. 5 of this Act of an estate in which the gross value does not exceed Shs. 10,000/- . . ."

It is my view that when the Administrator-General administers an estate under proviso (ii) of s. 5 (3) of the Act, then clearly he is the administrator of that estate by virtue of his so acting.

The claim in this case is made by virtue of Part II "Survival of Causes of Action" of the Law Reform (Miscellaneous Provisions) Act (Cap. 74) s. 13. The appellant, as administrator of the estate also originally represented the members of the deceased's family and claimed damages on their behalf under Part II of the Act, but the appellant specifically withdrew his appeal against the

judgment of the High Court in so far as it refused his right to represent the family. The appeal was therefore only concerned with his claim to represent the deceased's estate and the question was whether or not the Administrator-General, by virtue of the powers given him by s. 5 of the Administrator-General's Act, could claim damages under the Law Reform (Miscellaneous Provisions) Act for the benefit of the estate of the deceased. Section 13 (7) gives the personal representative of the deceased the right to sue. This subsection states:

> "Subject to the provisions of this Act, the personal representative of a deceased person shall have the right to prosecute or defend any cause of action which has by virtue of this section survived for the benefit of or against the estate of such deceased person."

Mr. Belk, the advocate for the appellant, based his argument on two legs. First, he claimed that the Administrator-General, acting under the Administrator-General's Act, had the specific right to realise any cause of action forming part of the deceased's estate by action in court or, in the alternative, that he has in any event the right to bring this specific action by virtue of s. 13 (7) of the Law Reform (Miscellaneous Provisions) Act. Section 13 is the provision under which the cause of action survives for the benefit of a deceased's estate and sub-s. (7) gives a specific right to the personal representative to enforce this cause of action.

I think that the first question to be decided is whether the appellant is the personal representative of the deceased's estate within the meaning of the Law Reform (Miscellaneous Provisions) Act. Personal representative is defined in that Act as:

> "personal representative means–
>
> (*a*) in the case of a deceased person to whom the Succession Act applies either wholly or in part, his executor or administrator;
>
> (*b*) in the case of any other deceased person, any person who, under law or custom, is responsible for administering the estate of such deceased person."

Mr. Belk submitted that the Administrator-General would, in this case, come under the second category but he agrees that the Succession Act does partly apply to the deceased person so clearly (*b*) could not apply and the question would be whether the Administrator-General is an executor or an administrator of the deceased person in this case. It would be argued that the definition of an administrator in the Succession Act would apply. That definition reads:

> ". . . 'administrator' means a person appointed by a competent authority to administer the estate of a deceased person when there is no executor;"

I am of the opinion that the meaning of this definition is that the administrator should be legally appointed. When the Administrator-General is acting under the provisions of s. 5 of the Administrator-General's Act then he is acting as he administrator of the estate and he is legally sanctioned and authorised to administer the estate and take possession of, and realise the assets before paying the debts and distributing the balance. In my view, therefore, the Administrator-General, when he is acting under the provisions of s. 5 is, in fact, the administrator of the estate and comes within the meaning of the definition of personal representative as defined in the Law Reform (Miscellaneous Provisions) Act and accordingly the Administrator-General was in this case entitled to maintain this action on behalf of the deceased's estate. I am therefore of the view that the Administrator-General can, for these reasons, maintain this action and I would accordingly allow the appeal.

I have also considered the question as to whether the Administrator-General has in other cases the right to sue and recover a debt or other cause of action owing to the deceased's estate by virtue only of his acting as administrator under s. 5. I entirely agree with the Vice-President that the Administrator-General does have this right for the reasons which he has so ably set out in his judgment.

I also agree with the Vice-President that this is a proper case on which to order the addition of one of the deceased person's family as a plaintiff to represent himself and other members of the family in respect of their claim under ss. 7 and 8 of the Law Reform (Miscellaneous Provisions) Act and I agree with his proposed order.

As Lutta, J.A., also agrees the appeal is allowed with costs in accordance with the terms of the order set out in the judgment of the Vice-President.

Lutta JA: I have had the advantage of reading in draft the judgment prepared by the Vice-President with which I respectfully agree. The Succession Act s. 3 defines "administrator" as "a person appointed by a competent authority to administer the estate of a deceased person when there is no executor". Section 2 of the Law Reform (Miscellaneous Provisions) Act defines "personal representative" as follows:

> "(*a*) in the case of a deceased person to whom the Succession Act applies either wholly or in part, his executor or administrator;
>
> (*b*) in the case of any other deceased person, any person who, under law or custom, is responsible for administering the estate of such deceased person."

By virtue of the Succession (Exemption) Order 1966 – Parts IV and V, ss. 24 to 42 of the Succession Act do not apply to the deceased. In other words the deceased was a person to whom the Succession Act applied in part only. It follows therefore that s. 2 (*a*) of the Law Reform Act would apply in this case. If so, then the powers conferred on the personal representative or administrator by s. 13 (7) would be exercisable by an administrator acting in pursuance of the powers conferred under para. (ii) of the proviso to s. 5 (3) of the Administrator-General's Act. It seems to me clear that when the Administrator-General is acting by virtue of para. (ii) of the proviso to s. 5 (3) of the latter Act, he is administering the estate and as such he is the administrator of that estate; in this particular case, he is the personal representative of the deceased as defined in para. (*a*) of s. 2 of the Law Reform Act. In my view the Administrator General is entitled to bring this action by reason of s. 13 (7) of that Act. Accordingly I would allow this appeal with costs.

Appeal allowed.

For the appellant:
CTS Belk and *J Kateera* (instructed by *Hunter & Greig*, Kampala)

For the respondent:
JWR Kazzora (instructed by *Kazzora & Co*, Kampala)

Variety Timber Ltd v Musa
[1971] 1 EA 398 (HCK)

Division: High Court of Kenya at Nairobi

Date of judgment: 3 December 1970

Case Number: 160/1969 (100/71)

Before: Chanan Singh and Harris JJ

Sourced by: LawAfrica

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[1] Landlord and Tenant – Forfeiture – Trade in breach of covenant – Liability of grant to forfeiture – Breach substantial.

[2] Landlord and Tenant – Forfeiture – Trade in breach of covenant – Continuing breach not capable of being waived.

Editor's Summary

The appellant leased a plot from the respondent under a lease which provided that the appellant should not do anything whereby the lessor's title might be forfeited. The lessor held on a grant subject to the special condition that the land could only be used for godown, warehouse or factory purposes, for which railway facilities were required. The appellant carried on a retail trade in the premises, and contended that the terms of the grant had never been brought to its attention and that there was no contemplation of forfeiting the grant. The appellant argued that the respondent had waived his right to forfeiture by accepting rent after having knowledge of the breach, and also relied on the offer made before the tribunal to cease the offending trade.

Held –

(i) the fact that no intention to forfeit the lessee's grant had been shown was irrelevant as the grant was in jeopardy on the carrying on of a prohibited trade;

(ii) any breach which may result in forfeiture is a substantial breach;

(iii) actual knowledge by the appellant of the conditions in the grant was irrelevant as it was put on notice by its obligation to do nothing leading to a forfeiture;

(iv) the covenant was a continuing covenant and was broken from day to day so long as the prohibited trade was carried on: accordingly its breach was not waived by acceptance of rent (*Kalsi v. Commissioner of Lands* (2) distinguished);

(v) a last minute offer to cease the prohibited trade, made in the tribunal, is no ground for refusing the order sought.

Observations on the manner of preparation of records for appeal from lower courts.

Appeal dismissed.

Cases referred to judgment

(1) *Mathews v. Smallwood*, [1910] 1 Ch. 777.

(2) *Kalsi v. Commissioner of Lands*, [1958] E.A. 367.

3 December 1970. The following considered judgments were read.

Judgment

Harris J: The appellant company, which is the lessee of a plot of land at Kisumu measuring approximately one-seventh of an acre with buildings on it and held under a lease dated 21 June 1963

(to which I will refer as “the lease”), was served by its lessor, who is the present respondent, pursuant to the provisions of s. 4 of the Landlord and Tenant (Shops, Hotels and Catering Establishments)

Act (Cap. 301), with a notice of termination of its tenancy. It thereupon gave notice to the lessor in the statutory form of its objection to such termination, and the matter was referred to a tribunal appointed under the Act. The tribunal upheld the lessee's objection whereupon the lessor appealed to the resident magistrate's court at Nairobi. The appeal was heard by Mr. Cockar, one of the senior resident magistrates, and was allowed, the decision of the tribunal being set aside. From the judgment of the magistrate the lessee now appeals to this court.

The issues raised on the appeal are, in short, first, as to whether the conduct of the lessee in carrying on a wholesale and retail trade in the premises constituted a "substantial breach", within the meaning of s. 7 (1) (*c*) of the Act, of its obligations under the lease so as to incur a forfeiture, and, if so, whether the lessor has waived the forfeiture.

By the lease the lessor's predecessor in title demised the premises to the lessee for a term of five years from 1 June 1963, and among its provisions is a covenant on the part of the lessee:

> "not to do or permit to be done in or upon the demised premises anything which may be or become a nuisance or annoyance to or in any way interfere with the quiet and comfort of the lessor or the occupants of the adjacent or neighbouring buildings or do or cause anything to be done whereby the lease to the lessor might be forfeited."

The lessor's title to the premises is as the successor to the original grantee in a grant from the Crown under the Registration of Titles Ordinance for a term of thirty years from 1 March 1947. This grant is subject to the provisions of the Government Lands Act (Cap. 280), and to a number of special conditions in the grant including among others numbers 1, 5 and 10 which are expressed as follows:

> "1. The grantee shall erect within two years of the commencement of the term and thereafter maintain on the land to the satisfaction of the General Manager of the East African Railways and Harbours Administration a rat-proof godown warehouse or factory constructed of the best materials and in a substantial and workmanlike manner such building shall include a suitable platform at truck floor level on the railway side of the plot to facilitate the loading and unloading of goods.
>
> 5. The grantee shall use the land only for godown warehouse or factory purposes for which railway access and facilities are required and shall not carry on or permit to be carried on any retail trade or business of any description and shall not use or permit the land or any building erected thereon to be used as a place of residence except for a caretaker or watchman.
>
> 10 The grantee shall not assign, sublet or otherwise part with the possession of the land or any part thereof without the previous consent of the governor in writing."

For convenience I will refer to the Crown grant as "the grant" and to the grantor's successor in title as "the reversioner".

It appears that the lessor in the year 1967 purchased the grantee's interest under the grant, at which time the lessee was carrying on in the premises a wholesale and retail business in the sale of timber, cement, hardware and corrugated iron sheets. Shortly before the lease was due to expire on 31 May 1968 the proper officer of the East African Railways and Harbours Administration, acting on behalf of the reversioner as owner of the reversion expectant on the determination of the grant and which had given its consent in writing to the lease, wrote to the lessor drawing his attention to the fact that the lease

would expire shortly and stating that if both the lessor and the lessor so wished the consent of the reversioner would be granted for a renewal of the lease provided that there were no contraventions of the terms of the grant. Correspondence passed between the lessor and the lessee later in the year regarding the possibility of the latter being granted a new lease at an enhanced rent, and in the meantime the lessee remained in occupation, paying the rent reserved by the lease and continuing to carry on its wholesale and retail trade as before. I am satisfied that, in so holding over, the lessee remained subject to the same covenants and conditions as were contained in the lease.

At the hearing before the tribunal, where each party was represented by counsel, evidence was given on behalf of the lessee by one of its directors that neither the terms of the lease nor those of the grant had been brought to his attention but that the lessee was prepared, if required, to cease carrying on any retail trade in the premises. It was conceded in this court that, in carrying on a retail trade in the premises as had been done, the lessee had committed a breach of covenant.

The tribunal in its decision held that the grant prohibited the carrying on of retail trade on the premises, that nobody had informed the appellant of this fact, that the lease contained no specific prohibition against the carrying on of retail trade, that no "substantial breaches" of the lease within the meaning of s. 7 (1) (*c*) had been committed, and accordingly that the lessor's notice of termination of the tenancy was of no effect.

Mr. Gautama, seeking in this court to have the decision of the tribunal restored, submitted that, although there was a clear breach of cl. 5 of the special conditions in the grant, there had been no indications that the reversioner was contemplating forfeiting the lessor's grant. He was unable, however, to point to any finding by the tribunal that the reversioner had in fact become aware of the breach but relied upon the finding that the attention of the lessee had never been drawn either to the prohibition in the grant against the carrying on of a retail trade in the premises or to the fact that breaches of covenant had occurred.

The fact that no intimation had been given by the reversioner of an intention to forfeit the lessor's title is, in my view, quite irrelevant for, unless some measure of acquiescence had been shown by the reversioner (as to which there was no evidence whatever), that title would be placed in jeopardy so soon as the breach became known to the reversioner. The unawareness on the part of the lessee company of the terms and conditions specifically set out in its own lease, together with those in the grant which were incorporated in the lease by reference, arising, as it does, from an apparent failure of the directors to acquaint themselves with the obligations due to the lessor under the lease which they themselves executed, cannot afford any protection whatever to the lessee against the lessor's decision to terminate the tenancy. The tribunal, in acceding to this argument on behalf of the lessee, quite clearly misdirected itself.

As to whether the lessee's action constituted a "substantial breach" of the terms of its tenancy there is little room for doubt. It was suggested in argument in this court that the reversioner in practice follows a policy of taking no notice of breaches of the conditions of their grants but no evidence in support of this was adduced. A breach of the terms of a lease which, as here, may at any time immediately result in the lessor's own title being forfeited by a superior owner is, by its very nature, a substantial breach, and if in the present case the reversioner were to seek to forfeit the lessor's interest under the grant the lessor might have considerable difficulty in resisting successfully such a course.

The last point taken by Mr. Gautama, and which does not appear to have been urged before the magistrate, is that, subsequent to the fact of the breach

having come to the knowledge of the lessor, the latter continued to receive rent from the lessee and thereby waived his right of forfeiture in respect of that breach. In support of this contention Mr. Gautama referred to the decision of the Court of Appeal for Eastern Africa in *Kalsi v. Commissioner of Lands*, [1958] E.A. 367, and particularly to certain passages in the judgment of O'Connor, P., appearing at pp. 371 and 374 of the report. In the earlier of these passages the President referred to the well-known expression of opinion of Parker, J., in the English case of *Matthews v. Smallwood*, [1910] 1 Ch. 777 at p. 786, where it was said that:

> "Waiver of a right of re-entry can only occur where the lessor, with knowledge of the facts upon which his right to re-enter arises, does some unequivocal act recognising the continued existence of the lease. It is not enough that he should do the act which recognises, or appears to recognise, the continued existence of the lease, unless, at the time when the act is done, he has knowledge of the facts under which, or from which, his right of entry arose. Therefore we get the principle that, though an act of waiver operates with regard to all known breaches, it does not operate with regard to breaches which were unknown to the lessor at the time when the act took place."

O'Connor, P., followed this up by saying at p. 371:

> "It seems that a waiver of a lessor's right to re-enter may arise from the doing by the lessor, with knowledge of the facts upon which his right to re-enter arises, of some unequivocal act recognising the continued existence of the lease, notwithstanding that the lessor's actual intention may not be to effectuate a waiver. Once the unequivocal act is done, with knowledge, the law presumes an intention to waive the forfeiture."

In the later of the passages referred to O'Connor, P., continued, saying at p. 374:

> "An express covenant or condition requiring a lessee or grantee to build within a certain time can only be broken once. Failure to build within that time is not a continuing breach . . . The respondent's right to re-enter for breach of the building condition has been waived once and for all. But that would not effect his right to claim damages for the breach in another action, if so advised: *Stephens v. Junior Army & Navy Stores Ltd.*, [1914] 2 Ch. 516."

In *Kalsi's* case the covenant which had been broken was one by the lessee to erect a building before a specified date in accordance with plans to be previously approved by the lessor. At that date the building work had not been commenced nor had the plans even been approved and the lessor gave notice of forfeiture. Subsequently the lessor through one of its officers considered and approved plans for the building submitted by the lessee and the work was put out by the latter to contract. The lessor shortly afterwards commenced proceedings for the recovery of the land and obtained a decision in his favour, and it was this decision which was set aside by the Court of Appeal. In the present case, however, the covenant is a continuing covenant, a breach of which may be a continuing breach and therefore, unlike that in *Kalsi's* case, the covenant is not one which, as was there said, can only be broken once". For this reason the decision in *Kalsi's* case is of little assistance.

The position here would appear to fall within the principle stated shortly in Woodfall's Law of Landlord and Tenant, 25th Edn., at p. 656, where the editors say: "A covenant not to carry on or suffer upon the demised premises during the term any specified trades or businesses, or any trade or business

whatever, is a covenant of a *continuing nature*, and broken from day to day so long as any prohibited trade or business is carried on."

In this context it is clear that the breach of covenant in regard to user committed here by the lessee as already conceded constituted a breach of a continuing covenant, and it is necessary now to consider whether it can be said that the lessor by acquiescence or otherwise has waived his rights to enforce the forfeiture to which this breach has given rise and, if continued by the lessee, will recurrently give rise in the future. Turning again to Woodfall, we find on p. 1000 of the same edition this passage:

> "In order to render acceptance or rent or any other act a waiver of a forfeiture, the lessor must have notice or *knowledge* of the forfeiture at the time of the supposed waiver, and the onus is on the lessee to give some evidence of the lessor's *knowledge* since mere recognition of the tenancy will not suffice, unless the forfeiture be of such a nature as to be equally within the knowledge of both the lessor and lessee. Long continued acquiescence in repeated breaches of covenant will usually amount to a waiver . . . . Where the breach is of a continuing nature, the waiver of any forfeiture up to a certain day will afford no defence to an ejectment for a subsequent breach; as where the covenant is to keep the demined premises in repair during the term; or to keep them insured in a certain manner during the term, or not to use in a particular manner."

In his evidence to the tribunal the lessor said that sometime in the months of April or May 1968 he had come to know that no retail trade should be carried on in the premises and that the lessee was shown the lease in May or June of that year. The lessor's son Sadrudin said in evidence that in July 1968 he took the lease to Kisumu and, having been shown the terms of cl. 5 of the grant by his father, he went to one of the directors of the lessee company and showed the lease to him and then, on the lessee refusing to cease contravening cl. 5 of the grant, caused a forfeiture notice to be served. A director of the lessee company admitted that the lease had been signed by two of the directors but said that he himself had never read cl. 7 of the instrument. The tribunal in its judgment made no finding as to any of these matters, restricting itself to holding that the lessee had not been notified of its breach of covenant, that the lease contains no specific prohibition against the carrying on of retail trade, and that there had been no substantial breach of the lease.

The onus in this case rests, in the events which have happened, on the lessee to establish the doing by the lessor of some act, unequivocal in character, sufficient to constitute acquiescence or waiver on his part, not only in relation to the breaches regarding user which occurred contrary to the lease of 1963, but also to such future breaches of the like nature as may yet occur. I am not satisfied that this onus has been discharged.

I have not overlooked the fact that, in his evidence before the tribunal, one of the directors of the lessee company stated that, if so required, the lessee would be prepared to desist from carrying on a retail business on the premises. Although no doubt a discretion lies in the tribunal as to the grant or refusal of the relief sought by a tenant in proceedings before it, and encouragement should be given to the settlement of disputes and the attainment of compromises without resorting unnecessarily to legal proceedings, it is not in the spirit of the Act that a landlord, finding himself compelled to contest proceedings before the tribunal, and having done so successfully, should be faced with yet a further obstacle to the recovery of his property in the form of a last-minute offer by the tenant put forward at that stage for the first time and the acceptance of which the tribunal, in effect, presses upon him. In my opinion the bringing forward by the lessee of this offer at the eleventh hour would not have afforded justification (if, indeed,

the tribunal relied upon it, which is doubtful) for the decision at which the tribunal arrived.

At the conclusion of his argument in support of the decision of the tribunal Mr. Gautama submitted that, if that decision were not to be restored, the matter should at least be remitted to the tribunal for a new trial, contending that the possibility of the lessor having waived his right to object to the lessee's breach of covenant had not been sufficiently explored. At the hearing before the tribunal each side was represented by counsel and all matters brought before the tribunal would appear to have been duly considered. Assuming that there is jurisdiction to adopt the course suggested, as to which I express no opinion, no justification has been shown for directing a new trial.

For the reasons which I have indicated, in addition to those given by the magistrate in his careful judgment, I am of the opinion that the appeal should be dismissed with costs.

I would add one word more. In the hearing of this appeal the court has been compelled to have resort, not only to the memorandum of appeal and the copy of the judgment against which the appeal is taken, properly furnished by the appellant, but also to the original files of proceedings before both the tribunal and the resident magistrate, for nowhere else could a record of those proceedings be found. We also had to ask for a copy of the precise terms of the grant and, as no copy was available, we have had recourse to the original grant itself. These difficulties, all of which make for delay, are not confined to appeals under the present Act but arise in many other cases of second appeals and the remedy would appear to be in a suitable amendment to O. 41 of the Civil Procedure (Revised) Rules 1958, which governs appeals to this court, in order to place upon the parties in their own interests an obligation to ensure that the court is not hampered in this way.

Chanan Singh J: I concur in the judgment just delivered by Harris, J. There are only one or two matters on which I wish to make observations.

The plot of land in question was granted by the Government of Kenya for a specific purpose. That purpose is described in condition 5 attached to the grant. The carrying on of "any retail trade or business" on this plot is specifically prohibited. The positive part of this covenant is that the grantee shall use the land only – the word "only" should be noted – "for godown warehouse or factory purposes". Not only this. The grant adds the words: "for which railway access and facilities are required". To allow the carrying on of retail trade or business would nullify the whole purpose of the grant.

There might be something to be said for the appellant if it did not know of this condition. Mr. Gautama does, in fact, say that his client company had no knowledge of it. His argument is two-fold. He says, first, that his client was never told about the prohibition of retail trade. He does not agree that the clause in the lease which prohibits the lessee from doing anything whereby the lease (i.e. the grant) to the lessor might be forfeited amounts to even constructive notice to his client. He argues that, if the words of the clause were read ejusdem generis, they could not mean that retail trade was prohibited but only that the lessee was not to do anything which might be a nuisance or which might annoy or interfere with the quiet enjoyment or comfort of the lessor or the occupiers of buildings nearby and that the lessee was not to do anything of the same nature or kind which might lead to the forfeiture of the lessor's title. I do not accept that argument: the clause in the lease cannot possibly be read that way. The clause quite clearly prohibits the lessee from doing two types of acts: one that creates nuisance, annoyance, etc., and the other that can cause forfeiture of title.

Here, we have two categories of results described in express terms. There is no question of reading one ejusdem generis with the other.

Be that as it may, the clause, merely by referring to the possibility of the forfeiture of the lessor's title, invites the lessee to acquaint itself with the contents of the grant or "the lease to the lessor". Having brought in the grant by reference, the lessor had done all that was necessary to give notice to the lessee of the condition prohibiting retail trade or business. And the lessee cannot be heard to complain of the lack of knowledge of the special condition.

It is common ground, of course, that the lessee has been carrying on retail trade on this plot and that this constitutes a breach of condition 5 of the grant or head lease.

This means that the plot is not being used for the purpose for which it was expressly granted. Knowing this and knowing of the existence in the lease of a clause prohibiting acts which might lead to forfeiture, no judicial tribunal properly directing itself can – or, at least, should – come to a conclusion that "no substantial breaches" of the lease have been committed.

Mr. Gautama also seems to be suggesting that, the lease having expired, his client is holding on as a monthly tenant and is, therefore, not bound by the written lease. The case was, however, fought before the Tribunal on the basis that the lease existed. Even if the term of the lease had expired, the tenant, so long as it retained possession, continued to be bound by the conditions attached to the lease – certainly by the conditions as to user.

Mr. Gautama has laid special emphasis on the fact – to which the Tribunal seemed to attach considerable importance – that in the correspondence that preceded the reference to the Tribunal, the respondent never referred to any breaches of the terms of the lease but was concerned with the expiration of the lease and with his demand for the increase of the monthly rent from Shs. 900/- to Shs. 1,800/-. Again, the East African Railways and Harbours (to whom the administration of land in this area has been entrusted) was willing to consent to the renewal of the lease in favour of the appellant but the respondent showed no interest in this offer. These are matters which might be taken into account in a certain eventuality. We are concerned with the breach of a fundamental condition of the lease. This is what has been made by the landlord the basis of his claim for ejectment. He claims ejectment as a legal right, subject of course, to the right of the tenant to bring the matter before the Tribunal. We are not concerned with his motives – assuming that the facts referred to by the Tribunal and by Mr. Gautama are true.

Since I agree with Harris, J., the appeal is dismissed with costs and the judgment of the senior resident magistrate is affirmed.

Appeal dismissed.

For the appellant:
SC Gautama

For the respondent:
DN Khanna (instructed by *Khanna & Co*, Nairobi)

Equator Inn Ltd v Tomasyan
[1971] 1 EA 405 (CAN)

Division: Court of Appeal at Nairobi

Date of judgment:	16 July 1971
Case Number:	14/1971 (115/71)
Before:	Sir William Duffus P, Spry V-P and Mustafa JA
Sourced by:	LawAfrica
Appeal from:	High Court of Kenya – Madan and Miller, JJ

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[1] Rent restriction – Business premises – Rent Tribunal – Composition – Must include appointed Chairman – Proceedings without chairman a nullity – Landlord and Tenant (*Shops, Hotels and Catering Establishments*) *Regulations, regs.* 2, 21 (*K.*).

[2] Statute – Rules – Ultra vires – Whether rule appointing chairman essential member of Tribunal ultra vires – Landlord and Tenant (*Shops, Hotels and Catering Establishments*) *Act* (*Cap.* 301), *ss.* 11, 16 (*K.*).

Editor's Summary

The Business Premises Rent Tribunal purported to make an order for the possession of premises in proceedings in which the *gazetted* chairman of the Tribunal did not sit. The appellant applied for a declaration that the proceedings were a nullity and appealed from the dismissal of his suit.

On appeal it was argued that a Tribunal could only be properly constituted when the *gazetted* chairman sat. For the respondent it was argued that chairman only meant the person who chaired any session, and that if the regulation meant otherwise it was ultra vires the Act.

Held –

(i) as the minister has power to appoint persons to a Tribunal he has power to appoint a chairman (*R. v. Bird* (1) distinguished);

(ii) chairman means the duly appointed chairman and his presence is necessary before the Tribunal has a quorum;

(iii) in the absence of the chairman the proceedings were a nullity.

Appeal allowed.

Cases referred to judgment

(1) *R. v. Bird*, [1898] 2 Q.B. 340.

(2) *Utah Construction & Engineering Pty Ltd. v. Pataky*, [1966] A.C. 629.

16 July 1971. The following considered judgments were read.

Judgment

Mustafa JA: The appellant, a limited liability company, was carrying on the business of an hotelier and was the tenant of business premises owned by the respondent. The respondent gave notice of termination of the tenancy and the matter was referred to the Business Premises Rent Tribunal for decision. The Tribunal ordered the appellant to deliver up possession of the premises. From that decision the appellant appealed to the court of the resident magistrate which dismissed or struck out the appeal as incompetent. On further appeal the High Court upheld the decision of the resident

magistrate. The decision of the High Court being final was not appealable.

The appellant then filed a suit in the High Court asking for a declaration that the proceedings and the decision of the Business Premises Rent Tribunal were a nullity and for an injunction restraining the respondent from enforcing the

order of possession given by the said Tribunal. The appellant then filed an application seeking two interlocutory orders against the respondent which briefly were that the respondent be restrained, until the disposal of the suit, from recovering possession of the premises in terms of the decision of the Tribunal and that the respondent be restrained from wasting or alienating the premises.

The High Court rejected the appellant's submission that the proceedings of the Tribunal, which were heard by two members not including the *gazetted* chairman, Mr. Wariithi, were a nullity and dismissed the appellant's application with costs. From that decision the appellant has appealed to this court.

The appeal in fact largely turns on one point, how the word "chairman" in the regulations made under the Landlord and Tenant (Shops, Hotels and Catering Establishments) Act (Cap. 301) (hereinafter called the Act) should be interpreted and construed. Hotel business premises are protected under the Act. Matters in dispute between the appellant as tenant and the respondent as landlord as regards the possession of the premises have to be referred to a Tribunal set up under the Act. Section 11 (1) of the Act so far as is relevant reads:

> "11. (1) A Tribunal shall consist of a person or persons appointed as such by the Minister, and shall exercise such jurisdiction as is conferred on it by or under this Act, over such area as shall be specified in such appointment."

Section 16 (1) reads:

> "16. (1) The Minister may make regulations for the better carrying out of the provisions of this Act and without prejudice to the generality of the foregoing such regulations may prescribe–
>
> (*a*) the manner in which a Tribunal shall conduct its business;
>
> (*b*) the procedure in connexion with any reference to a Tribunal, or the determination of any matter by a Tribunal;
>
> (*c*) the matters which a Tribunal shall take into account in exercising its powers under this Act;
>
> (*d*) the fees which shall be payable in respect of any matter or thing to be done under this Act; and
>
> (*e*) the scale and taxation of costs and expenses of witnesses in proceedings before a Tribunal."

The Minister made regulations in terms of s. 16 of the Act. Regulation 2 so far as relevant reads:

> "In these Regulations unless the context otherwise requires–
>
> 'chairman' means the chairman of the Tribunal;"

This word "chairman" appears in regs. 19 (1), 21, 23 and 25. Regulation 21 reads:

> "21. Two members of the Tribunal, one of whom shall be the chairman, shall form a quorum."

Regulation 23 reads:

> "23. When only two members of the Tribunal are present and arrive at different findings, the decision of the chairman shall be deemed to be the decision of the Tribunal."

The Minister appointed the Hon. H. C. Wariithi, M.P. (Chairman); and G.G.W. Nthenge, Wafula Wabuge, and Wambugu Kaigua to be a Tribunal

for the purposes of the Act: It is common ground that the hearing of the dispute between the appellant and the respondent took place before two members of the Tribunal and that Mr. Wariithi, the *gazetted* chairman, was not one of them. Mr. Gautama for the appellant has submitted that in the absence of the chairman, Mr. Wariithi, the proceedings including the judgment of the Tribunal were a nullity. He relies on reg. 21 which provides that two members of the Tribunal, one of whom shall be the chairman, shall from a quorum. Here, since the chairman, Mr. Wariithi, was not one of the two, there was no quorum, and the proceedings were a nullity. Mr. Gautama's submission is that "chairman" in reg. 21 can only mean the chairman of the Tribunal as defined in reg. 2, and the chairman of the Tribunal was Mr. Wariithi who was so appointed by the Minister.

Mr. Khanna has submitted that "chairman" in reg. 21 does not mean the *gazetted* chairman but only a member who happens to chair a particular meeting of the Tribunal. If it were otherwise, he submits that reg. 21 would be ultra vires as it would have gone beyond the powers conferred on the Minister by the Act. He argues that if "chairman" in reg. 21 is the *gazetted* chairman it would mean there was discrimination by the Minister between the powers of the chairman and the other members of the Tribunal, as in the absence of the chairman, other members of the Tribunal would have no jurisdiction to sit. He points out that the Act does not mention a chairman or his powers. He refers to *Utah Construction & Engineering Pty Ltd. v. Pataky*, [1966] A.C. 629, at p. 640 where in dealing with subsidiary legislation Lord Guest says:

> " 'The result is to show that such a power does not enable the authority by regulations to extend the scope or general operation of the enactment but is strictly ancillary. It will authorise the provision of subsidiary means of carrying into effect what is enacted in the statute itself and will cover what is incidental to the execution of its specific provisions. But such a power will not support attempts to widen the purposes of the Act, to add new and different means of carrying them out or to depart from or vary the plan which the legislature has adopted to attain its ends.' "

Mr. Khanna submits that reg. 21 should not be construed as meaning that without the presence of the *gazetted* chairman there would be no quorum and the Tribunal would have no jurisdiction as such a construction would imply that reg. 21 went beyond the powers conferred on the Minister by the Act and would be outside the scope of the Act itself. Mr. Khanna does not say that the Minister has no power to appoint a chairman under s. 11 of the Act; he appears to state that the chairman so appointed would be merely an "administrative" chairman but whose powers and authority would be the same as those of the other members of the Tribunal. To hold otherwise, he submits, would be inconsistent with the Act, as it would vary, restrict, widen or modify the scheme of the Act. He points out that s. 11 only mentions that a Tribunal shall consist of a person or persons appointed as such by the Minister; there is no mention at all of a chairman. In my view, once the Minister appoints more than one person to the Tribunal as he is entitled to do, it is implicit that he has the power to appoint one of such persons as chairman or its equivalent. I think therefore that the Minister was not acting outside the scope of the Act when he appointed Mr. Wariithi as the Chairman of the Tribunal.

Chairman in reg. 21 must mean the chairman of the Tribunal as defined in reg. 2 and that would be the duly appointed chairman, Mr. Wariithi. That would be its plain and ordinary meaning. In terms of s. 16 of the Act the Minister has very wide and comprehensive powers to regulate the manner in which the Tribunal shall conduct its business and the procedure to be followed. The Minister has thought fit to appoint a chairman whose attendance is necessary

before the Tribunal can have a quorum. The Minister could have appointed a sole member to the Tribunal, thus giving him full powers. I cannot say the provision that the chairman's attendance is necessary before there is a quorum in any way interferes with or abridges the rights of any litigants or infringes the Act or its general scheme. The Act and the Regulations are not exactly a model of draftmanship, but in my view, reg. 21 means what it says, and that is, when only two members of the Tribunal sit, one must be the Chairman, otherwise there is no quorum.

Mr. Khanna sought to rely on *R. v. Bird*, [1898] 2 Q.B. 340, but there the position was entirely different. In that case, a rule restricted the right of parties to appear before a tribunal. In the present case, the regulation in no way affects the rights of the parties but merely prescribes the composition of the tribunal before which they appear.

I would therefore hold that the proceedings and the decision of the Tribunal are a nullity as there was no quorum when the matter was heard. I would allow the appeal, set aside the order of the High Court, and grant the appellant the injunction to restrain the respondent from enforcing the decision of the Tribunal pending the disposal of the suit. The appellant in his appeal has abandoned the prayer for the injunction in relation to alienation and waste and that prayer stands dismissed. In the circumstances I would award five sixths of the costs of the appeal and of the High Court to the appellant. I would not certify for two advocates.

Sir William Duffus P: I agree with the judgment of Mustafa, J.A., and as the Vice-President also agrees the appeal will be allowed in accordance with the order set out in Mustafa, J.A.'s judgment.

Spry V-P: I agree.

Appeal allowed.

For the appellant:
SC Gautama and *Aziz Mohamed*

For the respondent:
DN Khanna (instructed by *Khanna & Co*, Nairobi)

Dresdner Bank Ag v Sango Bay Estates Ltd (No. 4)
[1971] 1 EA 409 (CAK)

Division:	Court of Appeal at Kampala
Date of judgment:	6 July 1971
Case Number:	17/1971 (116/71)
Before:	Law, Lutta and Mustafa JJA
Sourced by:	LawAfrica
Appeal From	High Court of Uganda – Russell, J

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[1] Civil Practice and Procedure – Discovery – Documents – May be ordered when necessary to give details of fraud alleged.

[2] Bill of Exchange – Holder in due course – Presumption of good faith – Neutralised by

documents.

[3] Civil Practice and Procedure – Discovery – Documents – Confined to issue before the court.

Editor's Summary

The appellant sued the respondents on bills of exchange of which it alleged that it was the holder in due course. The respondents alleged that the appellant had obtained possession of the bills mala fide and without consideration, but gave no particulars thereof. The respondents applied in the High Court for discovery and general discovery was granted.

On appeal the appellant contended that the bills were ex facie in order and that a holder in due course is presumed to hold in good faith until it is admitted or proved otherwise and that an allegation of fraud without particulars is not an averment of which a court should take notice. For the respondents it was submitted that there were indications in the documents that the appellant only held the bills for collection. There was also a demand by the drawee for noting and protesting charges.

Held –

(i) there can be circumstance in which a party, who does not know the facts necessary to enable him to give particulars, may obtain discovery before giving particulars;

(ii) the court would not interfere with the exercise of the judge's discretion in ordering particulars;

(iii) the order for discovery was too wide and would be restricted to documents relating to the obtaining of the bills by the appellant.

Appeal dismissed.

Cases referred to judgment

(1) *John Wallingford v. Mutual Society* (1880), 5 App. Cas. 685.

(2) *Leitch v. Abbott* (1886), 31 Ch. D. 374.

(3) *Mbogo v. Shah*, [1968] E.A. 93.

Order of the High Court sub nom *Dresdner Bank A.G. v. Sango Bay Estates Ltd.* (*No.* 3) [1971] E.A. 326 upheld.

6 July 1971 The following considered judgments were read.

Judgment

Mustafa JA: This is an appeal by the appellant bank (hereinafter called the bank) from an order for discovery of documents made by the High Court under O. 10, r. 12 of the Uganda Civil Procedure Rules. The bank had

filed an action on five separate bills of exchange drawn upon the first respondent by Guteheoffnungshutte Sterkrade A.G. (hereinafter referred to as GHH) and payable to the drawer's order. The bills of exchange were accepted by the first respondent and guaranteed by the other respondents. The bank alleged these bills were delivered and indorsed to it by GHH. When the bills were dishonoured on presentation on due date the bank sued the respondents on the said bills as holder in due course.

There was a contract between the first respondent and GHH by which GHH was to supply and install machinery in a plant or factory of the first respondent for sugar production. The first respondent accepted a number of bills of exchange, 41 in number, drawn upon it by GHH, in part payment of the machinery supplied. Serious differences arose between the first respondent and GHH in regard to the said contract. The whole matter in dispute, including the series of bills of exchange, has been referred to arbitration. However these five bills of exchange, which form a part of the series, were not included in the reference to arbitration, and the bank had sued the respondents on them as a bearer and holder in due course.

In the joint statement of defence to the plaint, the respondents had alleged that the bank had obtained possession of the said bills mala fide and without giving value therefore, but that they could only supply particulars of mala fide after discovery and inspection of documents and the issue of interrogatories. The respondents also did not admit the status of the bank and GHH and wanted discovery of documents in relation thereto, but on appeal, this has been abandoned.

The trial judge made a general order for discovery on oath of the documents which are or have been in the possession or power of the bank relating to matters in question in the suit. The appeal is against the order for discovery and the nature of the order – that it should have been limited in extent or to class.

Mr. Salter for the bank has submitted that the bank was simply suing on the bills of exchange as a holder in due course and could not be involved in any dispute between the respondents and GHH. The bills are ex facie in order and proper. A holder in due course is presumed to hold in good faith and for value unless it is admitted or proved otherwise: vide s. 30 of the Bills of Exchange Act (Cap. 76). The respondents have only made a general allegation of fraud or mala fide on the part of the bank without giving any particulars, and such a general allegation, however strongly made, cannot even amount to an averment of fraud of which a court ought to take notice, see *John Wallingford v. Mutual Society* (1880), 5 App. Cas. 685 at p. 686. In the circumstances, he has submitted, the trial judge was wrong to make an order for discovery.

In general I would agree with this contention. However in this case certain unusual features have emerged. It is clear, from the record in Civil Appeal 50 of 1970, in which the parties and the subject matter are the same as in this present appeal, that appeal having arisen out of an application to join GHH as a third party in third party proceedings, that the bank was intimately connected with GHH right from the beginning of its contract with the first respondent. The bank was the collection bank for GHH throughout the transaction of all its bills of exchange. At p. 355 of that record there is a letter dated 10 January 1967 from GHH to the first respondent calling attention to three bills of exchange due for payment on 1 February 1967 at the bank. At p. 356 of the record there is a letter dated 23 January 1967 from the first respondent to the bank stating that disputes had arisen between it and GHH and that all bills of exchange including those mentioned in the letter of GHH dated 10 January 1967 would not be honoured until the disputes were resolved. The bank alleged that the five bills

of exchange, the subject matter of the suit, were indorsed to it by GHH on 11 May 1967 on purchase – see p. 207 of the said record. The five bills fell due for payment on 1 August 1967. Yet on 21 August 1967 a sort of invoice was sent by GHH to the first respondent in respect of these five bills of exchange which had matured on 1 August 1967 and were unpaid. In the invoice was an item for protest and notarial charges for the unpaid bills – see p. 357 of the said record.

Mr. Hunt for the respondents has submitted that there are indications that these bills of exchange were held by the bank for collection on behalf of GHH. As stated earlier there was a series of 41 bills of exchange drawn by GHH on and accepted by the first respondent. All those bills were to be paid at the bank which was the collection bank for GHH. The bank was allegedly informed by the first respondent on 23 January 1971 that the first respondent would not honour any of the bills of exchange drawn on it by GHH until the dispute between them was settled. Nevertheless the bank alleged that GHH indorsed five bills of exchange to it for value on 11 May 1967. When the five bills of exchange were dishonoured, GHH on 21 August 1967, demanded payment of them together with the notarial and protest charges, although the bills had allegedly been indorsed to the bank on 11 May 1967. Mr. Hunt has submitted that the bank knew or must have known that all the bills of exchange were the subject of dispute, and the alleged endorsement of the five bills of exchange by GHH to the bank was merely an attempt by GHH and the bank to make the respondents liable to pay these five bills under the provisions of the Bills of Exchange Act. In these circumstances there is force in Mr. Hunt's submission that the respondents have grave doubts and suspicions and do not have the facts as to why, and how, in relation to these five bills out of a series of 41, the bank became the holder in due course for value, and would therefore need discovery.

These facts alleged by Mr. Hunt, together with the curious demand by GHH for protest and notarial charges in respect of these five bills of exchange, would perhaps neutralise or rebut the presumption in favour of the bank as holder in due course. Each case has to be decided on its own facts. There can be circumstances when a party who has to give particulars does not know the facts necessary to enable him to do so, but his opponent does or ought to know them, and a party in such an event may obtain discovery before giving the particulars; Halsbury's Laws of England, 3rd Edn., Vol. 12, p. 21, para. 27. The trial judge dealt carefully with the circumstances of the case and in particular considered the well known case of *Leitch v. Abbott* (1886), 31 Ch. D. 374. He came to the conclusion that this was a case in which discovery should be made before the particulars could be supplied. There was certainly sufficient material for the trial judge to have exercised his discretion in the way he did. I cannot say that he erred.

However, in my view, the order for discovery was too general, and the first respondent might be tempted to indulge in a "fishing" expedition. I think the order for discovery should be restricted to all such documents relating to the five bills of exchange to show how, when and in what manner and circumstances the bank obtained them. The same order should apply to the item for protest and notarial charges in respect of these five bills.

Apart from limiting the order for discovery as above stated, I would dismiss the appeal. As the respondents have in the main succeeded, I would award them the costs of the appeal.

Law JA: I have had the advantage of reading in draft the judgment prepared by Mustafa, J.A., in which the facts are fully set out. I have only a few words to add.

Whether or not to grant an application for discovery of documents, under O. 10, r. 12 of the Civil Procedure Rules, is a matter within the discretion of the judge who is dealing with the application. The circumstances in which this court will interfere with the exercise by a judge of his discretion are clearly laid down in *Mbogo v. Shah*, [1968] E.A. 93 as follows:

> "A Court of Appeal should not interfere with the exercise of the discretion of a judge unless it is satisfied that he misdirected himself in some matter and as a result arrived at a wrong decision, or unless it is manifest from the case as a whole that the judge was clearly wrong in the exercise of his discretion and that as a result there has been misjustice."

I would substitute, for the word "misjustice" at the end of the above-quoted passage, the word "injustice", which I think must have been intended. Mr. Salter for the appellant bank did not suggest that the judge misdirected himself in considering the application for discovery, or that the order for discovery resulted from any misdirection. What Mr. Salter did submit is that the order should never have been made: that its making was clearly a wrong exercise of discretion, and that it will result in injustice to the appellant bank.

Mr. Salter's main argument in support of his submission that the order for discovery should never have been made was based on ss. 29, 30 and 90 of the Bills of Exchange Act (Cap. 76), under which a holder of a bill is *prima facie* deemed to be a holder in due course who has given value for the bill in good faith. As to this, Mr. Hunt for the respondents submitted that they had reasonable grounds for pleading mala fides on the part of the appellant bank, and he referred in particular to the fact that when the five bills, the subject of the suit out of which this appeal arises, were dishonoured, the original holders of the bills claimed to be entitled to be reimbursed the protest charges in connection with those bills, a claim which was wholly inconsistent with the appellants' contention that they were the holders in due course of the bills at the time of dishonour.

Mr. Salter also complained of what appears to have been the inordinate delay on the part of the respondents in applying for discovery, over 2 1/2 years having elapsed between the institution of the suit and the making of the application. Mr. Salter submitted that this delay was part of a course of conduct on the part of the respondents designed to postpone as long as possible the trial of the suit. Mr. Hunt explained that the delay was due to the respondents' unsuccessful efforts (which were finally adjudicated by this court early this year) to make the original holders third-parties in the suit, so that discovery could be obtained against them as well as against the appellant bank. The application, the subject of this appeal, was filed on 2 February 1971, within a few days of the delivery of the judgment of this court in the third-party proceedings.

Finally Mr. Salter submitted that undue hardship, delay and expense would be involved if the order for discovery of documents situated in Germany was allowed to stand, especially as the judge refused to limit the scope of the order. Mr. Hunt undertook to restrict discovery to those documents showing in what circumstances, when and for what value the five bills were taken over by the appellant bank, and to those relating to the question as to who gave instructions to the notary to protest the bills, and on whose behalf, and who paid the notarial charges.

After careful consideration of the arguments on both sides, I am of opinion that this court should not interfere with the judge's discretion in ordering discovery, provided it is restricted in accordance with Mr. Hunt's undertaking. The fact that the original holders of the bills demanded payment of the protest fees, although the appellant bank claims to have become the holder in due

course of those bills before dishonour, in my view justifies the order for discovery of documents relating to the alleged transfer of the bills for value to the appellant bank and relating to the claim made for reimbursement of the protest fees by a party who had allegedly parted with possession of the bills for value and therefore had no interest in them, notwithstanding the presumptions raised by the Bills of Exchange Act.

For these reasons I would dismiss this appeal, with costs, subject to restricting the scope of the order appealed against in accordance with Mr. Hunt's undertaking referred to earlier in this judgment. As Lutta, J.A., and Mustafa, J.A., agree, it is so ordered. The affidavit of documents required in connection with discovery is to be supplied within 42 days of the delivery of this judgment, with liberty to the appellant bank to apply to a judge of the High Court for an extension of time should this prove necessary.

Lutta JA: I have read in draft the judgments prepared by Law, J.A. and Mustafa, J.A. I agree with them and with the order proposed.

Appeal dismissed.

For the appellant:
C Salter QC and *T Mitha* (instructed by *Mayanja Mitha & Co*, Kampala)

For the respondents:
RE Hunt (instructed by *Hunt & Airey* Kampala)

Mapunda v Republic
[1971] 1 EA 413 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	3 June 1971
Case Number:	40/1971 (117/71)
Before:	Sir William Duffus P, Spry V-P and Lutta JA
Sourced by:	LawAfrica
Appeal From	High Court of Tanzania – Georges, C.J

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[1] Criminal Law – Theft – Constituents of offence – Taking of possession – Subsequent attempt to obtain certificate of ownership merely evidence of intent permanently to deprive.

Editor's Summary

The appellant was convicted of unlawfully hunting an elephant and of stealing its tusks which were the property of the government. After shooting the elephant the appellant obtained a licence and returned for the tusks. He obtained the tusks from the villagers who had found them and took them to the appropriate officer to record them and obtain a certificate of ownership. For the appellant it was argued that the offence was not one of theft but of cheating or an attempt at stealing.

Held –

(i) the tusks were the property of the government;

(ii) the appellant stole the tusks when he took possession of them: his subsequent actions in attempting to obtain a certificate of ownership were merely evidence of his intention permanently to deprive the owner of them.

Appeal dismissed.

No cases referred to in judgment

Judgment

The considered judgment of the court was read by **Sir William Duffus P:** This is a second appeal from the judgment of the Chief Justice sitting in his appellate jurisdiction from a conviction in a magistrate's court.

The established facts are that the appellant hunted and killed an elephant without having the necessary game licence in accordance with the provisions of the Fauna Conservation Ordinance (Cap. 302), and then that he further claimed and took possession of the tusks.

The appeal is against conviction on two charges. The first was for the unlawful hunting of an animal, contrary, to s. 12 (3) of the Fauna Conservation Ordinance. There was no merit in the appeal on this count. There was ample evidence to support the magistrate's finding that the appellant hunted and shot the elephant without having at the time the necessary game licence and that it was only after he discovered the elephant had died and he wanted to claim the tusks that he rushed and purchased the game licence. The licence, of course, granted permission to hunt and kill an elephant after its issue and had no retrospective effect. The appeal on this count is dismissed.

The other conviction was for stealing a pair of elephant tusks, the property of the Government of Tanzania. The magistrate had convicted the appellant of stealing as a public servant, contrary to s. 270 of the Penal Code, but the Chief Justice substituted a conviction for stealing contrary to s. 265 of the Code, but as the tusks were Government trophies, the property of the Government, the provisions of the Minimum Sentences Act applied.

The appellant did, in fact, obtain a game licence to hunt and kill an elephant on 17 June 1969, but there was ample evidence to prove that the elephant from which the tusks were removed had died several days before 17 June. The magistrate was satisfied and found that the dead elephant was in fact the elephant which the appellant had shot, without having a licence to do so, sometime between 4 and 15 June 1969. There was evidence to justify this finding, but for the purposes of the charge of theft this is immaterial: what is important, and was, as we have said, clearly established, is that this elephant died or was killed before 17 June, and was not killed by the appellant under his game licence. Section 47 of the Fauna Conservation Ordinance provides that any game animal or the trophy of such an animal killed without a licence, or any game animal found dead and the trophy of such an animal is a Government trophy and as such the property of the Government. A game animal, of course, includes an elephant and the definition of trophy includes any animal alive or dead, and also the tusks, of such an animal. The elephant tusks in this case were therefore the property of the Government of Tanzania.

The other relevant established facts show that the dead elephant was found, partly decomposed, by a villager searching for firewood on Sunday, 15 June 1969. She made a report and the tusks were removed and kept by the villagers who made a report to the authorities on Monday, 16 June 1969. It was at this stage that the appellant heard of the discovery and he then, on 17 June 1969, obtained a game licence to hunt and kill an elephant, and it was on the same day that he demanded and obtained the pair of tusks from the villagers. There was evidence that the villagers were reluctant to hand over the tusks, but did so on the appellant's insistence and on his giving the a receipt.

The appellant then took possession of the tusks, and undoubtedly claimed them as his property, and on either 19 or 20 June, took the tusks to the Revenue Office at Singed in order to have the tusks registered. This would be in accordance with the provisions of s. 40 of the Fauna Conservation Ordinance whereby the authorised officer, on production of the trophy, issues a certificate of ownership. Sections 42 and 43 would also apply and the tusks, after being weighed,

registered and marked, would be returned with the certificate of ownership to the applicant. It was at this stage that the authorities seized the tusks and the various charges followed.

On these facts the magistrate and the Chief Justice were both satisfied that the appellant had stolen the tusks, but in granting the appellant leave to appeal out of time, the judge of the High Court expressed some doubt as to whether the offence was not rather one of obtaining by false pretences, or only of an attempt at stealing and felt that the matter needed fuller consideration. On the hearing before us Mr. Chakera, for the appellant, submitted that the offence was really one of cheating under s. 304 of the Penal Code, having in mind that the appellant had tricked the villagers to part with the possession of the tusks, while Mr. Umezurumba for the Republic supported a conviction only for an attempt at stealing.

The matter is one of considerable interest. It is necessary first to consider the elementary principles of what is stealing and then to apply these to the fairly simple facts of this case.

The theft that is charged here occurred when the appellant took possession of these tusks from the villagers at Ngongosolo Village.

Theft is a statutory offence in Tanzania and is defined by s. 258 as, *inter alia*:

> "258 (1). A person who fraudulently and without claim of right takes anything capable of being stolen, or fraudulently converts to the use of any person other than the general or special owner thereof anything capable of being stolen, is said to steal that thing.
>
> (2). A person who takes or converts anything capable of being stolen is deemed to do so fraudulently if he does so with any of the following intents, that is to say–
>
> (*a*) an intent permanently to deprive the general or special owner of the thing of it; . . ."

The facts established first show, as we have already pointed out, that these tusks were Government property. For the purposes of this case it is really immaterial whether or not the appellant had found the elephant with the tusks in the bush or whether he obtained these tusks from the villagers by a trick or otherwise. The theft charged is not a theft from the villagers, the undoubted fact is that the appellant did take these tusks, and took them into his possession intending to keep them. The question of a claim of right was raised and argued before the Chief Justice, and in our view rightly rejected. The fact that the appellant rushed to get a game licence to kill an elephant and his very defence that he had shot this elephant after he got his licence clearly show that the appellant full well knew that he had no right to those elephant tusks, and that he had a guilty intention to steal when he seized them.

The difficulty that arises here is caused by his taking the tusks to the Revenue Office for registration, and to obtain his certificate of ownership, but this in our view really amounts to further evidence that he did intend permanently to deprive the owner, the Government, of the tusks.

The offence of stealing is the deprivation of possession not of ownership – the theft is committed when he wrongly removes the goods with the necessary intent – that is, in this case, permanently to deprive the owner of it. A thief obtains no title to the articles stolen. A short example might illustrate this, e.g. a thief who steals a motor car and then subsequently attempts to have the vehicle registration book altered to his name. The theft here is committed when he takes the car, and the subsequent attempt of registration would be evidence of his intention permanently to take rather than borrow the car but offence

would be committed when he unlawfully took the car. The same position would apply here, the theft was committed when he wrongly took the tusks at the village. The evidence establishes that he did so with the intent to keep the tusks for himself, and he deprived the Government of them. The obtaining of the game licence on 17 June, his attempt to have the tusks registered and to obtain a certificate of ownership are all evidence supporting the fact that he intended permanently to keep the tusks. He did not take these tusks in order to surrender or hand them over to the Government. In fact, he was very incensed when the authorities seized the tusks and both at his trial and incidentally in his petition of appeal, he still maintains that the tusks are his and seeks their return.

In these circumstances we are satisfied that the appellant was properly convicted of stealing these tusks.

Appeal dismissed.

For the appellant:
MM Chakera (instructed by *Baloo Patel, Chakera & Co*, Dar es Salaam)

For the respondent:
SO Umezurumba (State Counsel)

Desai v Republic
[1971] 1 EA 416 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	3 June 1971
Case Number:	55/1971 (118/71)
Before:	Sir William Duffus P, Spry V-P and Lutta JA
Sourced by:	LawAfrica
Appeal From	High Court of Tanzania – Saidi, J

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[1] Criminal Practice and Procedure – Interpretation – Fact of to be recorded together with name of interpreter and languages used.

[2] Criminal Practice and Procedure – Charge – Defect – Curable by prosecution's statement of facts agreed to by accused.

[3] Criminal Practice and Procedure – Sentence – Minimum sentence – Court has no general discretion to consider whether to award minimum sentence – Minimum Sentence Acts (*Cap.* 526), *s.* 5(*T.*).

[4] Criminal Practice and Procedure – Sentence – Minimum sentence – Special circumstances – What may constitute.

[5] Criminal Practice and Procedure – Sentence – Minimum sentence – Accused to be asked whether special circumstances exist.

Editor's Summary

The appellant was convicted on his own plea of corruption when the other charge of conveying stolen property was withdrawn. He was sentenced to two years' imprisonment and twenty-four strokes and appealed against the sentence. For the appellant it was argued that his plea was equivocal as he spoke little English and the words recorded were not likely to have been used by a person of limited education, that the purpose of the bribe had not been explained to the appellant, and that the magistrate had misdirected himself in holding that there were no special reasons for reducing the minimum sentence. For the respondent it was argued that the court had no power to interfere with the severity of the sentence.

Held –

(i) wherever interpretation is required the fact should be recorded together with the name of the interpreter and the languages used;

(ii) any irregularities in the charge were curable and were cured when the appellant accepted as correct the prosecutor's statement of facts;

(iii) the court may consider whether a sentence is lawful and also whether a trial court has misdirected itself in law when considering the sentence to be passed:

(iv) where a sentence passed resulted directly from a misdirection in law the court may substitute the sentence the trial court would have imposed had it directed itself correctly;

(v) no general discretion is given to the trial court in considering whether to award the minimum sentence;

(vi) the triviality of the bribe together with other circumstances may constitute special circumstances;

(vii) where the qualifications are met, an accused should be asked whether he claims that any special circumstances exist;

(viii) in this case, and considering especially the withdrawal of the charge relating to the goods, special circumstances for imposing less than the minimum sentence had been shown.

Observations concerning factors which may constitute special circumstances.

Sentence varied.

Cases referred to judgment

(1) *Hando son of Akunaay v. R.* (1951), 18 E.A.C.A. 307.

(2) *Chacha son of Wamburu v. R.* (1953), 20 E.A.C.A. 339.

(3) *Republic v. Kapande*, [1947] E.A. 287.

(4) *Masita v. Republic*, [1968] E.A. 138.

(5) *Mbunde v. Republic*, [1969] E.A. 475.

Judgment

The considered judgment of the court was read by **Spry V-P:** The appellant was charged in the court of the resident magistrate in Dar es Salaam on two counts, one of conveying property suspected to have been stolen or unlawfully obtained, contrary to s. 312 of the Penal Code, and the other of corruption, contrary to s. 3 (2) of the Prevention of Corruption Ordinance.

At the first hearing of the charge, the appellant is recorded as having said, in answer to the first count, “I bought the packets from the shop” and in answer to the second count, “It is true I corruptly gave Shs. 40/- to Sgt. Samson as alleged”. A plea of not guilty was entered on the first count and a plea of guilty on the second. The proceedings were then adjourned.

The following day, the prosecutor applied for, and was granted, leave to withdraw the first count. A formal acquittal should have been entered under s. 200 of the Criminal Procedure Code: this was not done, but that is immaterial as regards the present appeal. The appellant is then recorded as having said “I still plead guilty to the second count”. The facts as alleged by the prosecution were then recited and the appellant is recorded as having said “the facts are correct”. The magistrate convicted the appellant on his own plea and passed a sentence of two years’ imprisonment and twenty-four strokes, holding that the Minimum Sentences Act (Cap. 526) applied and that there were no special circumstances within the meaning of s. 5 (2) (*c*) of that Act.

The appellant appealed unsuccessfully to the High Court. The main ground of appeal argued on his behalf by Mr. Lakha was that the plea as entered was not unequivocal. He also argued against the

imposition of the minimum sentence.

Before us, Mr. Lakha relied again on these submissions. He began by referring us to the judgment of this court in *Chacha son of Wamburu v. R.* (1953), 20 E.A.C.A. 339 as authority that there is a rule of practice that an accused's plea should always be recorded verbatim. We respectfully endorse that decision, merely remarking that it is an absolute rule only when the plea is one of guilty. Mr. Lakha submitted that the words attributed to the appellant are not those likely to be used by a person of limited education. It was submitted in the High Court that the appellant speaks little English and that he answered to the charge in Kiswahili, a language with which the trial magistrate was not conversant.

We would interpose here that we are of the opinion that whenever interpretation is required in any court proceedings, the fact should be recorded and the name of the interpreter and the languages used should be shown.

Mr. Lakha drew attention to the use of the word "corruptly", which is a term of art, and the words "as alleged", which are not commonly used in colloquial speech. He submitted that in recording the plea, the magistrate must have expressed in his own words what he thought the appellant was intending to say. We think it is equally possible that the plea as recorded represents an affirmative answer to a question "Is it true . . . ?".

Secondly, Mr. Lakha referred us to the judgment in *Hando son of Akunaay v. R.* (1951), 18 E.A.C.A. 307, in which this court said:

> "As has been said before by this court, before convicting on any such plea, it is highly desirable not only that every constituent of the charge should be explained to the accused, but that he should be required to admit or deny every such constituent."

Mr. Lakha submitted that in the present case, one major constituent of the charge, as well as some of the minor ones, had not expressly been admitted: that was, the purpose of the alleged bribe.

We think there is some substance in both Mr. Lakha's submissions, but we think the irregularities were curable and were in fact cured by the statement of facts accepted by the appellant and we are satisfied that no miscarriage of justice resulted.

Mr. Lakha also pointed out certain discrepancies of a very technical nature between the particulars of the offence charged and the statement of facts, but with respect we do not think these are of such a nature as to vitiate the proceedings and we are satisfied that they caused no prejudice. He also argued that the words "the facts are correct" are not likely to have been those used by the appellant. Here, unlike the plea in answer to a charge, we see no objection to a simple affirmative. Of course, if an accused person disagrees with or seeks to qualify the statement of alleged facts, it is desirable to record the exact words he uses, but if he is asked if he has understood the statement and agrees that it is correct, and he replies affirmatively, we think that is enough, provided the statement is made in clear and simple language.

We would therefore reject the first ground of appeal.

It is not in dispute that the offence of which the appellant was convicted is included in the Schedule to the Minimum Sentences Act. The trial magistrate found that the appellant was a first offender and that the amount of the bribe was less than Shs. 100/- but he said he could find no special circumstances which would justify a sentence less than the statutory minimum. This decision was endorsed by Saidi, J. (as he then was).

Mr. Lakha informed us from the Bar that there is some uncertainty as to the true interpretation of sub-s. (2) of s. 5 of the Minimum Sentences Act and that

there have been conflicting decisions by different judges of the High Court. We understood Mrs. Chirwa, who appeared for the Republic, to concur in this. We do not think it necessary to deal specifically with the cases they cited.

Mr. Lakha's submission was, that while paras. (*a*) and (*b*) of sub-s. (2) lay down the essential qualifications which must be satisfied before leniency can be exercised, para. (*c*) gives the trial court a general discretion. In the exercise of that general discretion, he submitted, the court is entitled to take into account the smallness of the sum involved and the good character of the appellant, notwithstanding that those factors will have been considered in dealing with paras. (*a*) and (*b*). In the present case, he suggested that those factors, coupled with the plea of guilty, were sufficient to justify the exercise of clemency. He argued that the trial magistrate had, by implication, misdirected himself in holding that he had no discretion in the matter and that therefore this court could, and should, interfere.

We asked Mrs. Chirwa whether she agreed that we have jurisdiction to consider these arguments, when she submitted that the question is substantially one concerning the quantum of punishment, and therefore that our jurisdiction conferred by s. 8 (6) of the Appellate Jurisdiction Ordinance (Cap. 451) does not extend to it since it is limited to "matters of law (not including severity of sentence".

On consideration, we think that while it is not open to us to consider, on second appeal, whether a sentence is unduly severe or unduly lenient, it must be open to us to consider whether a sentence is lawful, and to interfere if it is not. By necessary extension, we think we have jurisdiction to entertain a submission that a trial court, in considering the sentence to be passed, has misdirected itself in law and, if we uphold such a submission and consider that the sentence passed resulted directly from the misdirection, to interfere with that sentence, so as to substitute for it the sentence which the trial court would have imposed had it directed itself correctly. For example, if a trial court, wrongly thinking that some offence was subject to the Minimum Sentences Act, passed a sentence which would have been correct had that Act applied but which, though not illegal, was manifestly inappropriate when the Act did not apply, we think we have jurisdiction to correct the matter.

With respect, we cannot agree with Mr. Lakha that para. (*c*) of s. 5 (2) of the Act gives the trial court a general discretion. Had the legislature intended no more than that, the paragraph would have been unnecessary and even had it been included to remove any doubt as to the court's discretion, it would not have included the requirement that the special circumstances be recorded. We think that the trial magistrate and the appellate judge were correct in considering that para. (*c*) does impose a third condition and that there must be some factor or combination of factors that makes a case exceptionally deserving of leniency.

We respectfully agree with those decisions of the High Court in which it has been held that the triviality of the amount involved may constitute "special circumstances". We see no reason to think that the fact that clemency cannot, under para. (*a*), be exercised when the amount involved exceeds Shs. 100/- precludes the smallness of the amount being considered under para. (*c*), either alone, where it is trivial, or together with other factors. We do not think any limit should be laid down, as each case depends on its own facts.

Mr. Lakha, relying on *Masita v. Republic*, [1968] E.A. 138 also submitted that previous good character may constitute "special circumstances". As a general proposition, we agree, although we think something more must be shown than that the accused is a first offender, a qualifying factor under para. (*a*). Certainly, long and honourable service to the community might be a relevant factor.

We would add that the fact that the accused was employed at a very low salary has been considered relevant, as has the fact that he has dependants

Republic v. Aloys Kapande, [1964] E.A. 287; *Mbunde v. Republic*, [1969] E.A. 475.

Where the offence is the offering of a bribe, the activating motive is highly relevant; for example, it is obviously far more reprehensible to give a bribe to persuade a person to do something wrong than it is where the object is to induce a dilatory official to do more quickly what it is his duty to do. The latter purpose might be taken into consideration in considering "special circumstances". So also might the spontaneous offer of a small bribe as contrasted with a calculated and deliberately planned temptation.

We have mentioned these matters merely as examples. We think it would be wrong to attempt to give a comprehensive list of factors that might be relevant.

Mr. Lakha mentioned also the fact that the appellant pleaded guilty from the beginning. We agree that in appropriate circumstances this may be a reason for leniency. In general, it is a factor only where, in the opinion of the trial court, the plea is a manifestation of genuine repentance, not where it is the mere recognition of overwhelming evidence, although the fact that an accused has saved the time of the court and expense to the State may be a small factor in his favour.

Before considering the facts of the present case, we would observe that the appellant, who was not legally represented in the trial court, is not recorded as having been asked whether he wished to make any submission regarding special circumstances. It appears from the record that he was merely asked in the usual way if he had anything to say on the question of sentence. We think that in every case where an accused is unrepresented and where the Minimum Sentences Act applies and the qualifying requirements of paras. (*a*) and (*b*) of s. 5 (2) are satisfied, the court should explain sub-s. (2) (*c*) and (4) to the accused and ask him if he claims that any special circumstances exist.

So far as the present appellant is concerned, the amount involved, Shs. 40/-, is small but not trivial, and appears to have been offered spontaneously. We think it has not been shown affirmatively that the appellant was previously of good character: indeed, we know nothing of him or his circumstances except that he is a clerk, aged 27 years, and there is no record of his having been previously convicted of any offence. We have, unfortunately, no finding from the trial court whether or not he showed genuine repentance.

There is, however, one factor which has not been considered in this connection, although it was touched on in relation to other arguments. The appellant was originally detained and subsequently charged on the suspicion of being in possession, when leaving the port area, of property reasonably suspected of being stolen. That charge was withdrawn and so far as we know no charge was preferred either of dishonesty or of possessing uncustomed goods. He must therefore be presumed to have been innocent of any offence at the time of his detention. If that was the case, and he offered the bribe to escape the inconvenience and discredit of detention that offence would, we think, have been much less heinous than if he had been a guilty person trying to evade trial and punishment.

We think that had the magistrate considered these factors, he would have thought it proper to exercise the discretion vested in him to impose less than the statutory minimum sentence. While we agree with Mrs. Chirwa that corruption is a grave social evil which must be stamped out, we think that, looking at all the circumstances, this was a relatively minor offence.

We accordingly dismiss the appeal against conviction but allow the appeal to this extent, that we set aside the sentence of two years' imprisonment and twenty-four strokes and substitute a sentence of nine months' imprisonment.

Sentence varied.

For the appellant:

MA Lakha (instructed by *Lakha & Co*, Dar-es-Salaam)

For the respondent:
Mrs VM Chirwa (State Counsel)

Haining and others v Republic
[1971] 1 EA 421 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	5 July 1971
Case Number:	5/1971 (119/71)
Before:	Lutta JA
Sourced by:	LawAfrica

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[1] Appeal – Sentence, against – Leave to appeal – Power to grant leave vested solely in Court of Appeal – Appellate Jurisdiction Act 1961, *ss*. 8, 17 (*T*.).

[2] Appeal – Sentence, against – Powers of High Court – Limited to ancillary matters – Appellate Jurisdiction Act 1961, *s*. 17 (*T*.).

[3] Appeal – Sentence, against – Application – Must be made formally by notice of motion – East African Court of Appeal Rules 1954, *rr*. 19, 29.

[4] Appeal – Out of time – Leave to appeal improperly granted by judge – Sufficient reason made out.

Editor's Summary

After having been sentenced to imprisonment by the High Court the applicants applied informally to the sentencing judge for leave to appeal which leave he granted. On the appeal coming on for hearing, it was struck out as incompetent.

The appellants thereafter made this application for leave to appeal and to appeal out of time, submitting that the mistake of their advocates should not prejudice them. The respondent argued that leave should first have been sought from the High Court.

Held –

(i) power to grant leave to appeal against sentence is vested solely in the Court of Appeal;

(ii) the High Court only has power to extend time for filing notice of appeal or for filing application for leave to appeal or to grant a certificate that a case is fit for appeal;

(iii) the Court of Appeal has power to extend the time for filing an appeal;

(iv) leave to appeal cannot be granted other than on a formal motion;

(v) in this case sufficient reason had been shown for granting leave to appeal out of time.

Application allowed.

No cases referred to in judgment

Judgment

Lutta JA: This is an application for leave to lodge an appeal against an order passing sentence against the applicants out of time and for leave to appeal against the order of sentence. The applicants were jointly charged at Mwanza and on their own pleas of guilty were convicted and sentenced to varying terms of imprisonment on 30 March 1971. The advocates who appeared for the applicants applied for leave to appeal against sentence to Saidi, J. (as he then was) who granted the leave after satisfying himself that the Republic had no objection to the application. The notices of appeal were filed and the records were consequently prepared and served on the applicants. The memoranda of appeal were filed. When the appeal came up for hearing on 7 May 1971 Mr. King, for the Republic took objection to the appeal on the ground that the necessary leave to appeal had not been granted by this court. The court, after hearing Mr. Kapila on this objection ruled that the appeal was

incompetent and ordered it to be struck out. The applicants have now formally applied for leave to appeal against the sentences and for leave to appeal out of time, and filed affidavits in support of this application.

Mr. Lakha, for the applicants, has urged a number of grounds in support of the application. He has argued, *inter alia*, that the delay in making a formal application for leave to appeal against sentence was occasioned by the belief of the advocates who appeared at the trial that leave of the High Court was sufficient and has submitted that this view of the advocates, although erroneous, should not prejudice the applicant's case. Mr. King, on the other hand, has argued that ignorance of the law by the advocates is not an excuse to justify the granting of leave to appeal out of time and that the application should have been made before a judge of the High Court sitting in chambers. He has referred to s. 17 of the Appellate Jurisdiction Ordinance 1961 (Cap. 451) and submitted that Mr. Lakha should have first applied for leave to appeal out of time in the High Court and after obtaining it, he should then apply for leave to appeal against sentence.

Section 8 of the Appellate Jurisdiction Ordinance 1961 deals with appeals in criminal cases. The power to grant leave to appeal against sentence is clearly conferred on the Court of Appeal alone under sub-s. 1 (*b*) (iii) of this section. Section 17 does not confer on the High Court such power and I have no hesitation in rejecting Mr. King's submission that this court should not entertain the application for leave to appeal against sentence as the same should have been made to the High Court by reason of s. 17. In my view s. 17 deals only with applications for extension of time for giving notice of intention to appeal or for making an application for leave to appeal under s. 8 (1) (*b*) (ii) or for a certificate that the case is fit for appeal. This power, surely, is supplementary to that conferred on the Court of Appeal.

Under s. 10 of the Appellate Jurisdiction Ordinance 1961, the Court of Appeal Rules are made applicable in Tanzania and under r. 9 of the East African Court of Appeal Rules 1954 the Court has power for "sufficient reason" to extend time for making any application. Under r. 29 (2) leave to appeal in respect of a case where the sentence of death has not been passed must be made formally as provided for under r. 19 and "shall be so made as nearly as practicable at the time of filing the notice of appeal". An application under r. 19 is by motion and is first made to a single judge of this court or to a judge of the High Court, who is an ex officio member of the court. The application which was made to Saidi, J., was informal and probably made under s. 17 and although the advocates for both parties thought it proper then, it was not in compliance with r. 19. The judge should not have granted leave without a formal application being made as provided under r. 19 and that he could only grant it if he was acting under s. 8 (1) (*b*) (iii) and not under s. 17. In my view and on the facts of this case, the error by the advocates is a sufficient reason for granting leave to file notice of appeal out of time. Accordingly I grant leave to file notice out of time and leave to appeal against the order of sentence.

Order accordingly.

For the applicants:
M Lakha (instructed by *Lakha & Co*, Dar es Salaam)

For the respondent:
N King (Senior State Counsel)

Kasule v Attorney-General
[1971] 1 EA 423 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	17 May 1971
Case Number:	582/1969 (85/71)
Before:	Goudie J
Sourced by:	LawAfrica

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[1] Lotteries – Premium Development Bonds – Conditions of draw – Conditions ultra vires Act – Premium Development Bonds Act (*Cap*. 176), *ss*. 1, 6, 7 *and* 11 (*U*.).

[2] Statute – Rules made under statutory powers – Rules ultra vires Act – Premium Development Bonds Act (*Cap*. 176), *s*. 6 (*U*.).

Editor's Summary

The plaintiff bought a Premium Development Bond the number of which was drawn for a prize. The Government refused to pay the prize to the plaintiff relying on Orders purporting to be made by the Minister to regulate the draw and imposing a condition that a Bond had to be bought more than two weeks before the draw to be eligible.

Held – the purported orders were ultra vires the Premium Development Bonds Act, the conditions were therefore invalid and the plaintiff was entitled to payment of the prize.

Judgment for the plaintiff.

No cases referred to in judgment

Judgment

Goudie J: The plaintiff sues the Attorney-General as representative of the Government pursuant to s. 11 of the Government Proceedings Act (Cap. 69).

Prior to 1 January 1966 the Minister of Finance issued Premium Development Bonds (second issue) for sale to the general public in accordance with the provisions of the Premium Development Bonds Act (Cap. 176).

On or about 1 January 1966, the exact date being in dispute, the plaintiff bought Bond No. B. 354325.

On 1 February 1966 the draw took place and bond No. B.354325 was declared a winner of a first prize of Shs. 50,000/- by G.N. 133 of 1966 dated "February" 1966.

The plaintiff presented his bond as a prize-winning bond for payment but was refused payment on the grounds contained in a letter written on behalf of the Secretary to the Treasury dated 14 May 1966.

The plaintiff contends that the grounds for rejecting payment on his prize-winning bond are unlawful and he sues for a declaration that he is a winner of the prize in respect of bond No. B.354325 as notified in G.N. 133 of 1966, for an order that the defendant shall pay the said prize, and for the usual interest and costs arising out of the suit.

The defence contains the following admissions:

1. That on 1 February 1966 the first draw by lot was held in the prescribed manner and bond No.

354325 won the prize of Shs. 50,000/- as provided by ss. 6 and 7 of the Act.

2. The said bond number was declared a winner of a prize of Shs. 50,000/-.

It also contains the following denials:

1. That the said bond was the plaintiff's bond.
2. That he personally was ever declared the prize winner.
3. That the rejection of the plaintiff's claim was in breach of the Act.

On the contrary, it is pleaded that the rejection of the plaintiff's claim was lawful and asks for the suit to be dismissed with costs.

Since it is not the practice to publish the actual names of the prize-winners, but merely the winning bond numbers, I think that *prima facie* the holder of the winning bond number as published is entitled to the prize and the burden must rest on the defendant to show good cause for non-payment. Moreover I consider he is bound by the reasons set out in the letter of 14 May 1966 from the Secretary to the Treasury.

The defendant can, however, only be bound in so far as the contents of this letter correctly state the legal position.

Since the whole case hinges on the vital letter of 14 May 1966, I propose, despite its length, to set out the whole of the operative part of this letter:

> "2. Paragraph 4 (1) of Statutory Instrument No. 160 of 1965 states that no bond shall be eligible for a prize in any draw unless such Bond was sold at least two months before such draw is held. This condition is printed on the back of each bond and on the leaflets giving details of the Second Issue. This period of two months was at the last minute (my underlining) reduced to two weeks by paragraph 1 (*b*) of Statutory Instrument No. 18 of 1966 in order to allow more bonds to participate in the Draw.
>
> 3. Regulation 5 of Statutory Instrument No. 17 of 1966 is also very relevant to the claim in question, and for ease of reference I quote the paragraph in full:–
>
> '5(1) Where the number of an unsold bond is drawn for prize, the Committee shall declare the prize won by the number of the bond drawn and any money payable therefore shall be paid into the Consolidated Fund.
>
> (2) A bond shall be deemed to have been unsold for the purposes of sub-regulation (1) of this regulation unless it be first sold at least two weeks before the date of the draw held in pursuance of these Regulations.
>
> (3) The monthly return of sales of bonds submitted to the Treasury Officer of Accounts by the bond sellers in pursuance of the directions issued under the Premium Development Bonds (Sellers) Regulations 1964 shall be conclusive evidence to the committee as to whether any particular bond is unsold for the purposes of this Regulations (*sic*).'
>
> The Return of Sale from the Uganda Commercial Bank showed that the Bond No. 354325 was unsold on 17 January 1966 which was the last day for purchasing bonds to go into the Draw on 1 February 1966. The Premium Development Bonds Officer was therefore right in rejecting Mr. E. Kasule's claim to the prize of Shs. 50,000/-."

Leaving aside for the moment the Return of Sales from the Uganda Commercial Bank, it is very far from clear on the plaintiff's own evidence just when in fact he purchased the disputed bond from the Bank at Mbarara. The plaint avers that the plaintiff bought it "on or before 1 January 1966". In evidence, the plaintiff was at first sure it was on 2 January 1966 until the court pointed out that this was a Sunday. The plaintiff then admitted the bank was shut on

Sunday and agreed that all he could say was that he bought it "in January". Eventually he said it was before 17 January and early in January.

The Returns of Sales of Uganda Commercial Bank, Mbarara do not appear to comply with reg. 5 (3) of S.I. 17 of 1966 and, in any case, are themselves contradictory. Regulation 5 (3) says that the "*monthly* return of sales of bonds . . . shall be conclusive evidence as to whether any particular bond is unsold". The forms themselves are headed "Return of Sales for the month of . . ." but the blank space in the heading on the first reads "1 to 17 January 1966", and on the second "17 to 31 January 1966". Neither of these cover a full month and *both* cover 17 January 1966 which is supposed to be the vital "last day for purchasing bonds to go into the draw on 1 February 1966". As if this were not enough contradiction the first shows "Unsold Bonds on hand at *End of the Month*" (*sic*), 354325–354460, Number of Bonds 136 (the correct number of bonds), whereas the second, shows "Bonds sold during the Month" (*sic*) 354325–354354, Number of Bonds 30 (again the correct number of bonds). The joint effect of the two returns is to show 354325 sold and unsold on the allegedly vital date, 17 January 1966.

I am asked to regard the date 17 January 1966 on the second return as a clerical error which should read 18 January 1966. I do not consider that there would be any justification in law for so doing. As I have said, according to the defendant this is a vital date and the Return of Sales is supposed to represent conclusive evidence that the bond was unsold on this date and therefore not eligible for the 1 February 1966 draw. Not only are these not "Monthly" Returns as provided for in reg. 5 but how can they be "conclusive evidence" if I am now asked to amend one of the returns so that 17 January does not appear on both.

It seems to me that there is no "proof" whatsoever that bond No. B.354325 was unsold on 17 January 1966 which is not contradicted by other evidence, much less "conclusive" proof.

So far I have dealt with the defendant's reasons for rejection of the claim on the basis that the law and the facts are as he contends in the letter of rejection of 14 May 1966. Now I wish to detail why, in my opinion, this is not a correct statement of the relevant law and facts.

The disputed bond has printed on the reverse "Terms and Conditions":

> "This bond is one of a numbered series of 4,000,000 bonds of the Second Issue of Uganda Government Premium Development Bonds. Draws for prizes will be held under the supervision of the Uganda Government on the 1st February and 1st August during each of the years 1964 to 1970 inclusive, and this bond will be eligible to participate in *all the draws commenced at least two clear calendar months after the date of sale of the bond*."

This condition is in accordance with the provisions of S.I. 160 of 1965.

In my view it is this condition which might arguably apply to the sale of the bond in question and the period of two months was not reduced to two weeks "at the last minute" by S.I. 18 of 1966 "in order to allow more bonds to participate in the draw".

Whatever may have been the intention, and from the fact that bonds were sold until two weeks before the 1 February draw for inclusion in the draw it seems to have been the intention to substitute the two weeks period for the former two months, I do not see how S.I. 18 could affect the February draw. Its date of publication was not until 28 January 1966, three days before the February draw. It would not, therefore, in my view, without being specifically applied to the February draw exclude bonds unsold two weeks before the

February draw but could only affect the following August and subsequent draws. There is, of course, a presumption against legislation having retrospective effect. If one applied the amendment to the February draw for a period of eleven days prior to the publication of the Statutory Instrument I think one would logically need to apply it to all the earlier draws.

It remains, however, to consider whether the time limits purported to have been imposed by S.I.'s 160 of 1965 or 18 of 1966 were intra vires s. 6 of the Premium Development Bonds Act. This section (as amended) reads as follows:

> "6. During the currency of the bonds of any particular bond issue there shall be drawings by lot in the manner prescribed of numbers corresponding to *all* the numbers of the bonds issued and the holders of the bonds corresponding to the numbers so drawn shall be entitled to such prizes as may be prescribed under paragraph (*b*) of section 7 of the Act."

Section 7 (*b*) says:

> "7. The Minister shall by statutory order prescribe before the occasion of any bond issue–
>
> (*b*) the amounts of prizes offered . . . and the dates on which the drawings of lot for those prizes shall be made."

In my view, there is certainly nothing in the sections themselves to suggest giving the Minister any power to close the draw nominally but not physically for any period prior to the draw. Such a power seems to me contrary to the whole spirit of the draw as shown in the sections themselves. It seems clear to me that as from the date of purchase of a bond the holder is entitled to have his bond number included in *every* six monthly draw during the currency of such bond issue "during each of the years 1966 to 1970 inclusive". This quotation from the condition on the back of the bond seems to me to run counter to the purported further condition, "and this bond will be eligible in all the draws *commenced at least two clear calendar months after the date of sale of the bond*". As I see it the only way in which one could argue for the validity of such a condition would be by construing the words in s. 6 "in the manner prescribed" as giving power to close a draw nominally earlier than the date of purchase of the bond. But, in my opinion, the words "in the manner prescribed" clearly are governed by the earlier words "drawings by lot". I do not see how it can reasonably be argued that the imposition of an eligibility clause has anything to do with the manner of the "drawings by lot".

If one looks at the S.I. 160 of 1965 one finds that it purports to cover all sorts of "miscellaneous provisions" but that they are all purported to be ordered "In exercise of the powers conferred upon the Minister by ss. 1, 6 and 7 of the Act." Section 1 is irrelevant to the "eligibility clause" so if there is any such power it must be contained in either s. 6 or 7. Section 7 could not possibly give the power since it is very specific in its scope and clearly does not cover the question of "eligibility". For the reasons I have given I do not consider any such power is given by s. 6.

S.I. 17 of 1966 seems to me to be clearly outside the powers conferred by s. 11 of the Premium Development Bonds Act, which is the section under which the "Regulations" are purported to have been made. In particular, I do not see how "the specification of the form of bonds", having regard to s. 6 of the Act, can reasonably be said to cover reg. 5 (1) and (2) which provided for certain sold bonds to be excluded from one draw if they happen to have been sold later than a certain period prior to a particular draw.

Moreover, if S.I. 160 of 1965 imposed a valid eligibility restriction period "In exercise of the powers conferred upon the Minister by ss. 1, 6 and 7 of the

Premium Development Bonds Act 1965", why, under S.I. 17 of 1966, was it necessary to reduce the period "In exercise of the powers conferred upon the Minister by s. 11" of the said Act? In my opinion, the plaintiff as holder of the winning bond number to which an illegal condition was attached is entitled to his declaration and payment of the prize money and I give judgment accordingly, together with interest and costs of the suit as prayed.

I feel I must add a comment on reg. 5 of S.I. 17 of 1966. Since s. 6 of the Act provides that there shall be drawings by lot of numbers corresponding to *all* the numbers of bonds issued during the currency of any particular bond issue and reg. 5 provides that where the number of an unsold bond is drawn for prize the committee shall declare the prize won by the number of the bond drawn and any money payable therefore shall be paid into the Consolidated Fund, it seems to me that a very unfair situation is created. Indeed, it might well be that all the bond numbers drawn as winners were on unsold tickets. Thus the whole of the so-called "prize money" would be returnable to the Consolidated Fund and no bond holder receive a cent. I note that this issue has now expired. I would suggest that if it is proposed to make any fresh issue the whole of the procedure should be overhauled.

Judgment for the plaintiff.

For the plaintiff:
DW Nabudere

For the defendant:
MB Matovu (Principal State Attorney)

Abifalah v Rudnap Zambia Ltd
[1971] 1 EA 427 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	30 March 1971
Case Number:	3/1971 (95/71)
Before:	Duffus P, Law and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Tanzania – Onyiuke, J

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[1] Workmen's Compensation – Agreement – Bar to continuation as well as institution of proceedings – Workmen's Compensation Ordinance (*Cap.* 263), *s.* 24 (*T.*).

[2] Workmen's Compensation – Agreement – Cancellation of Agreement – Within jurisdiction of district court only – Workmen's Compensation Ordinance (*Cap.* 263), *s.*15 (*T.*).

[3] Workmen's Compensation – Agreement – Workman alleging agreement not binding – Procedure – Workmen's Compensation Ordinance (*Cap.* 263), *s.*15 (*T.*).

Editor's Summary

The appellant, a workman, filed a suit against the respondent claiming damages for personal injuries under the Workmen's Compensation Ordinance. After filing the suit he signed one agreement with the respondent accepting payment in settlement of his claims. This agreement was in due form and complied with the requirements of the Ordinance; but the appellant claimed that it was not binding on him and was not a bar to the suit. The judge below stayed the suit to enable the appellant to apply to the district court to have the agreement set aside. Against that order the appellant brought this appeal.

Held –

(i) the power to cancel an agreement made under s. 15 of the Workmen's Compensation Ordinance which is *prima facie* valid is exclusively within the jurisdiction of district courts;

(ii) an agreement under s. 15 is a bar not only to the institution of proceedings brought in respect of the same injuries independently of the Ordinance but also, if the agreement is made after such institution, to the continuation of such proceedings;

(iii) the judge below was correct in not hearing evidence himself as to the validity of the agreement, but in staying the suit to enable an application to be made to the district court.

Obiter: the district court of the district in which the agreement was made has jurisdiction to entertain an application to have that agreement cancelled.

Appeal dismissed with costs.

Case referred to judgment

(1) *Ali Mahdi v. Abdullah Mohamed*, [1961] E.A. 456.

30 March 1971. The following considered judgments were read.

Judgment

Law JA: This appeal arises out of a suit filed in the High Court of Tanzania by the appellant, in which he claims damages for personal injuries caused by the alleged negligence or breach of duty or breach of contract of employment on the part of his employers, the respondents. The plaint contains an alternative claim for compensation under the Workmen's Compensation Ordinance (Cap. 263), hereinafter referred to as the Ordinance. The plaint was filed on 21 July 1970. On 4 August 1970, the appellant – apparently without the knowledge of his advocates – entered into what on the face of it appears to be a valid agreement with a representative of the respondents for the payment to him of the compensation to which he was entitled under the Ordinance. Attached to the agreement is a receipt signed by the appellant, acknowledging the payment of Shs. 61,773/30 being:

> "Payment in full and final settlement of Workmen's Compensation Claim Accident No. DAR/262/70 – this payment is in final settlement including claim lodged in the High Court Civil Case No. 103 of 1970."

The respondents then filed their defence on 13 October 1970, denying negligence, breach of duty or breach of contract on their part, and alleging that the appellant's injuries were solely caused or alternatively contributed to by his own negligence. They also pleaded that by reason of the agreement of 4 August, and the payment by them to the appellant of Shs. 61,773/30, the appellant's claims both under the Ordinance and under the suit were satisfied and discharged. In a reply to the defence dated 27 October 1970, the appellant alleged that he was induced to sign the agreement and receipt as the result of various fraudulent or false representations made to the appellant by a servant or agent of the respondents acting on their behalf.

By s. 15 (1) of the Ordinance, an employer and workman may, with the approval of the Labour Commissioner or a person appointed by him in that behalf, agree in writing as to the compensation to be paid. The agreement is not binding against the workman, if expressed in a language which he is unable to read or understand, unless endorsed by a certificate of a labour officer or person appointed by the Labour Commissioner in that behalf to the effect that he read over and explained to the workman the terms thereof, and the workman appeared fully to understand and approve the agreement. It is not in dispute that the agreement in this case is for the payment of the correct sum of money, is in due form, and is endorsed with the requisite certificate. By sub-s. (2), such

an agreement may be made an order of the court, and by sub-s. (3) such an agreement, whether or not it has been made an order of the court, may be cancelled by the court upon application being made within 3 months of the date thereof, if it is proved:

> "(*c*) that the agreement was obtained by such fraud, undue influence, misrepresentation or other improper means as would, in law, be sufficient ground for avoiding it."

I have not set out paras. (*a*) and (*b*) which are not material to this appeal.

By s. 24 of the Ordinance, where it is alleged that the injury to the workman was caused by the negligence or wilful act of the employer, then:

> "nothing in this Ordinance shall prevent proceedings to recover damages being instituted against the employer in a civil court independently of this Ordinance;
>
> Provided that–
>
> (*a*) a judgment in such proceedings whether for or against the employer shall be a bar to proceedings at the suit of any person by whom, or on whose behalf, such proceedings were taken, in respect of the same injury under the provisions of this Ordinance;
>
> (*b*) a judgment in proceedings under this Ordinance whether for or against the employer shall be a bar to proceedings at the suit of any person by whom, or on whose behalf, such proceedings were taken, in respect of the same injury independently of this Ordinance;
>
> (*c*) an agreement come to between the employer and the workman under the provisions of subsection (1) of section 15 shall be a bar to proceedings by the workman in respect of the same injury independently of the Ordinance;
>
> (*d*) where compensation for an injury has been paid by an employer to any person entitled to the same under the provisions of this Ordinance without such compensation having been claimed in any proceedings under this Ordinance and otherwise than pursuant to an agreement come to between the employer and the workman under the provisions of sub-section (1) of section 15, the court shall, in any proceedings for the recovery of damages for the same injury, take into account the amount of such compensation so paid in assessing the damages recoverable in such proceedings."

When the suit opened in the High court it was agreed to treat the following two issues as preliminary issues:

1. Does the agreement comply with s. 15 of the Workmen's Compensation Ordinance and if so is it a bar to the continuation of the present proceedings?
2. If not, can the agreement and the receipt be regarded as a compromise of the suit under O. 23, r. 3 of the Civil Procedure Code?

Mr. Balsara, who then appeared for the appellant, indicated that he wished to lead evidence to show that the agreement did not comply with s. 15 of the Ordinance in that it was not explained to and understood by the appellant, so that the certificate endorsed on it to that effect is false, and he submitted that even if the agreement was valid it did not operate as a bar to the hearing of the suit as it was made after the institution of the proceedings in the suit.

For some reason which is not apparent from the record no evidence was led, and in a considered ruling the judge stayed the proceedings in the suit sine die

to enable the appellant to make the appropriate application to have the agreement set aside. The effect of the judge's ruling is that he has held:

1. that the agreement was *prima facie* a valid agreement under s. 15 of the Ordinance;
2. that until it is set aside or cancelled, the agreement is a bar to proceedings brought independently of the Ordinance even though made after the institution of those proceedings; and
3. that only a district court has jurisdiction to entertain an application to cancel the agreement.

It would also appear, although the judge has not specifically dealt with this point, that he did not consider that the appellant was entitled, in the High Court, to contend that the agreement was not in fact an agreement within the meaning of s.15 of the Ordinance. All these matters have been made the subject of grounds of appeal. In addition it is contended on the appellant's behalf that the power to cancel agreements conferred on district courts by s. 15 aforesaid is limited to agreements which have been made an order of the court, under sub-s. (2), and that the High Court, having been seized of jurisdiction to try the suit could not be deprived of jurisdiction to decide the suit on the issues arising out of the pleadings which issues include the validity or otherwise of the agreement.

As regards this last point, it seems to me clear that jurisdiction in respect of workmen's compensation is, by the clear intendment of the Ordinance, exclusively reserved to district courts, except to the extent that provision to the contrary is specifically made in the Ordinance. These exceptions are

(*a*) the power of the High Court to answer questions of law submitted by a district court (s. 20);

(*b*) the limited power of the High Court to entertain appeals from district courts (s.21);

(*c*) the power of a court, including the High Court, to determine the compensation payable under the Ordinance, where the workman has unsuccessfully sought to make the employer liable in proceedings independently of the Ordinance (s.24).

I accordingly consider that the power to cancel an agreement which is *prima facie* valid, on any of the grounds specified in s. 15 (3) of the Ordinance, is exclusively within the jurisdiction of district courts. I am also satisfied that the power to cancel agreements is not confined to agreements which have been made orders of the court under s. 15(2); this appears clearly from the wording of s. 15 (3) which states that the court may cancel an agreement notwithstanding that it has been made an order of the court, in other words whether or not it has been made an order of the court. I also agree with the judge that an agreement under s.15 is a bar not only to the institution of proceedings brought in respect of the same injuries independently of the Ordinance but also, if the agreement is made after such institution, to the continuation of such proceedings. This appears to me to be clear from a perusal of the provisos to s. 24 of the Ordinance, particularly proviso (*d*), which requires a court to deduct from damages awarded in proceedings brought independently of the Ordinance any compensation paid by the employer, other than compensation claimed in proceedings under the Ordinance or pursuant to an agreement. There could be no logical justification for this distinction unless a judgment under the Ordinance (proviso (*b*)) or an agreement under s. 15 (Proviso (*c*)) had the effect of barring or putting an end to proceedings brought independently of the Ordinance.

It follows that I would dismiss all the grounds of appeal with which I have dealt so far. This leaves for consideration the grounds which allege that the judge should have heard the evidence tendered on the appellant's behalf with the intention of proving that the agreement was not an agreement at all within the meaning of s. 15 of the Ordinance, and that it was not open to the judge to assume, in the absence of evidence, that it was such an agreement; because if it was not an agreement within the meaning of s. 15 aforesaid, it could not operate to bar the suit and could not be cancelled by the district court. Mr. Talati who appeared for the appellant on the appeal submitted that the judge should have heard the evidence tendered, and decided whether in fact the agreement was read and explained to and apparently understood by the appellant in accordance with proviso (*b*) to s.15 (1) of the Ordinance, and whether the certificate to that effect endorsed on the agreement and apparently signed by the Principal Labour Officer was true or false. If the agreement was not read over and explained, and if the certificate to that effect was false, then in Mr. Talati's submission it never was an agreement within the meaning of s. 15 and was not capable of being the subject of an application to the district court of cancellation. In my opinion, these submissions are misconceived and must fail. Even if it is a fact that the agreement was not read over and explained to the appellant or understood by him, with the result that the Labour Officer's certificate endorsed on it was not true, the agreement would not for those reasons only be void. It might nevertheless be advantageous to the appellant, who could at his option elect to propound it and rely on it, in which case the employer would be bound by its terms. Such an agreement is, however, voidable at the option of the workman, who can apply under s. 15 (3) of the Ordinance to have it cancelled as having been obtained by improper means. Such an application can only be made to a district court. I accordingly find myself in full agreement with the action taken by the judge in this case. He was faced with an apparently valid agreement, which he in my opinion rightly considered to constitute a bar to further proceedings in the suit until and unless it was cancelled. He stayed the suit to enable the necessary application to be made, that is to say an application under s. 15 (3) of the Ordinance. As to which district court has jurisdiction, I do not consider the matter to be concluded by the decision of this court in *Ali Mahdi v. Abdullah Mohamed*, [1961] E.A. 456 which lays down that jurisdiction to entertain claims for compensation, under s. 16 (1) of the Ordinance, is exclusively vested in the court of the district where the accident occurred. We are not here concerned with a claim for compensation, but with an application to cancel an agreement for the payment of compensation under s.15 (3) of the Ordinance. The Ordinance is silent on the point, and in my opinion the district court of the district in which the agreement was made has jurisdiction to entertain an application to have that agreement cancelled. The position might be different if a claim to compensation had been lodged, or the agreement had been made an order of the court in another district court, but that does not arise in this case.

I would dismiss this appeal with costs.

Sir William Duffus P: I have read and agree with the judgment of Law, J.A. and with the order he proposes, and as Mustafa, J.A., also agrees, the appeal is dismissed with costs.

Mustafa JA: I am in entire agreement with the reasoning and conclusion of the judgment of Law, J.A., which I have had the opportunity of reading in draft. I have nothing to add.

Appeal dismissed.

For the appellant:
PS Talati (instructed by *Sayani Balsara & Velji*, Dar es Salaam)

For the respondent:
MA Lakha (instructed by *Lakha & Co*, Dar es Salaam)

Emco Plastica International Ltd v Freeberne
[1971] 1 EA 432 (CAN)

Division:	Court of Appeal at Nairobi
Date of judgment:	19 August 1971
Case Number:	5/1971 (114/71)
Before:	Law, Lutta and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Kenya – Chanan Singh, J

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[1] Agency – Ostensible authority – Managing director – Authority extends to employing company secretary on 5 *year contract.*

[2] Company – Managing director – Authority of, to make contracts for company – Authority to employ company secretary on 5 *year contract.*

Editor's Summary

The appellant company by resolution of the board appointed the respondent as its secretary. The terms of his employment were contained in a letter signed on behalf of the company by its managing director which provided that the contract was for a minimum period of 5 years. The managing director dealt with the day to day affairs of the company. The company purported to dismiss the respondent by 5 days' notice. The respondent sued for benefits under the contract. The company contended that the managing director had no authority from the company to make the contract, there being no resolution of the board to support it and nothing in the company's Articles of Association conferring any powers on the managing director. The judge below having held that the managing director had implied or ostensible authority to make the contract, the appellant company brought the appeal.

Held –

(i) the contract was binding on the company as being made within the scope of the ostensible authority of the managing director.

(ii) the respondent even though an insider was not obliged to enquire whether the Articles of Association had been complied with.

Appeal dismissed.

Cases referred to judgment

(1) *Royal British Bank v. Turquand* (1856), 119 E.R. 6 E.& B. 327; [1843-60] All E.R. Rep. 435.

(2) *Rama Corporation Ltd. v. Proved Tin & General Investments Ltd.*, [1952] 1 All E.R. 554.

(3) *Freeman and Lockyer v. Buckhurst Park Properties* (*Mangal*) *Ltd.*, [1964] 1 All E.R. 630.

(4) *Hely-Hutchinson v. Braymead*, [1967] 3 All E.R. 98.

19 August 1971. The following considered judgments were read.

Judgment

Lutta JA: The appellant company (which expression I shall use to include its predecessor, Dodhia Plastica International Ltd. employed the respondent on the terms set out in a letter dated 5 October 1965 (hereinafter referred to as “the contract”). These terms were that the appellant company would pay the respondent a salary of £3,000 per annum, house rent in excess of Shs. 800/- per mensem, medical expenses (including those of the respondent’s

wife), a bonus at the end of each year (at the discretion of the appellant); in addition the respondent was entitled to local leave of three weeks per annum and overseas leave of one month for each year of service with passages paid to the U.K.; and to payment of £1,000 on termination of service and a monthly retirement benefit of Shs. 3,500/-. The respondent was required to work for the entire Dodhia Group of companies but in fact worked only for the appellant company, the contract commencing on 5 October 1965, and was to last for a minimum period of 5 years with a proviso that either party was entitled to terminate it by giving 12 months' notice in writing. On 26 may 1968 the appellant company's managing director wrote to the respondent terminating his services with effect from 31 May 1968. The letter stated, *inter alia*:

> "It is with deep sorrow and very great regret that we have to inform you that the company – Board of Directors decided during the last Board meeting to close the Nairobi offices, which has resulted in the necessity of advising you of the termination of your services, effective from 31 May 1968 . . ."

The respondent, on 27 May 1968, wrote to the managing director in reply stating, *inter alia*:

> "An important omission in your letter is any reference to the contract of employment between Freeberne and Dodhia Plastica International Ltd., a copy of which is in your possession and the terms of which are well known to you."

The appellant company did not reply to this letter and on 13th June 1968 the respondent wrote again to the managing director of the appellant company stating, *inter alia*:

> "This is to remind you that up to the time of writing I have not received my reply to the letter of 27 May regarding the termination of the employment with Dodhia Plastica International Limited by 5 days' notice and in complete disregard of my contract of employment."
>
> I now request you to make payment to me forthwith in full satisfaction of the terms of my contract of employment."

There was again no reply to this letter and it appears that the respondent took no further action until 17 March 1969 when his advocates wrote to the appellant company claiming loss of salary in the sum of £10,033 in respect of unexpired period of 3 years, 4 months and 4 days at the rate of £3,000 per annum, £1,000 terminal bonus, medical expenses incurred by the respondent until 4 October 1971, £30 a month for the use of the company car until 4 October 1971, £496 being the minimum of one return passage to the U.K. for the respondent and his wife, and the sum of £15,750 for 7½ years at the rate of £2,100 per annum by way of pension. Messrs. J.J. Patel and Co. advocates replied expressing surprise at the contents of the latter's letter and stating further that their clients had not been aware of the alleged contract. The respondent on 28 August 1969 filed his plaint claiming damages for breach of the contract. The total amount claimed was £27,866 10s. The appellant company filed a defence in February 1970 denying liability for breach of the contract and alleged that Mr. Dhanani was not managing director of the appellant company and had no authority or power to make an offer on behalf of the appellant company in terms of the contract. The appellant company also alleged that the respondent as Secretary of the appellant company knew that Mr. Dhanani did not have authority to make an offer to him as stated in the contract.

The judge held that Mr. Dhanani had the authority as managing director of the appellant company and had the authority not only just to offer to the

respondent these terms and conditions of appointment contained in the contract but also had power to enter into contract on behalf of the appellant company, and he awarded to the respondent £9,058 and £298 in respect of two air tickets from Kenya to the United Kingdom. The appellant company appealed against that decision to this court and the grounds of appeal were *inter alia*, that the judge erred in law in holding that Mr. Dhanani had authority to enter into the contract on behalf of the appellant. Mr. Georgiadis for the appellant company argued that the respondent was acting as the company secretary throughout the material period and was paid a salary but they had no knowledge of the contract, and that in any case Mr. Dhanani did not have the authority and powers to enter into such a contract on behalf of the appellant company. However, Mr. Georgiadis conceded that it is possible that the board of directors had approved the respondent's appointment and left the details of the contract to be worked out by Mr. Dhanani. He submitted however that this contract was so unusually generous as to require the approval of the board of directors, and that the respondent as Secretary of the appellant company had full knowledge of Article 14 of the Articles of Association and its limitation and restrictions and as such was fixed with notice of the powers of directors and should consequently, have known that Mr. Dhanani did not have authority to enter into such a contract on behalf of the appellant company. He further submitted that the respondent having been fixed with notice of Mr. Dhanani's powers and of the limitation and restrictions thereon imposed by Article 14, cannot hold the appellant company responsible for breach of the contract as the fixing of contractual terms was a responsibility of the board of directors. He contended that as the respondent was an insider, with full knowledge of the Articles of Association and an officer of the appellant company, the rule in the *Royal British Bank v. Turquand* (1856), 6 F. & B. 327 did not apply to this case. He further contended that the cases of *Rama Corporation Ltd. v. Proved Tin General Investments Ltd*., [1952] 1 All E.R. 554 and *Freeman and Lockyer v. Buckhurst Park Properties* (*Mangal*) *Ltd*., [1964] 1 All E.R. 630 were distinguishable from the present case in that in both the latter cases those concerned were outsiders and third party outsiders respectively whereas in the present case it was an insider who was concerned and that it was actual knowledge of the irregularities rather than the status of the respondent which should have put the respondent on inquiry, in the absence of ratification of the contract by the board of directors.

Mr. Salter, for the respondent, contended that the contract was genuine, valid and enforceable as the terms thereof had been discussed before the first meeting and that either the other directors knew that some terms had been agreed or they were not interested in the matter as they had left the management of the day to day business of the appellant company to Mr. Dhanani who had authority to manage the general business of the appellant company and that Mr. Dhanani was the person on whom the respondent was entitled to rely, whether he was an insider or outsider. Mr. Salter submitted that there was a strong inference that Mr. Dhanani was the main person through whom the appellant company acted during the initial period and as such he had authority to enter into the contract on behalf of the appellant company, and that everything he did would have been within his ostensible authority as agent of the appellant company. He submitted further that so long as the respondent was satisfied that his contract had been discussed by the board of directors, whether outside or within, at a meeting of the board, it was immaterial whether he was an outsider or an insider. He relied on the case of *Hely-Hutchinson v. Braymead*, [1967] 3 All E.R. 98.

It seems to me that the question to be determined here is whether Mr. Dhanani had actual or ostensible authority to enter into the contract with the respondent and on behalf of the appellant company. Article 1 of the Articles of Association of the appellant company incorporates regulations contained in Part II of

Table A in the First Schedule to the Companies Act (Cap. 486). Regulation 1 of Part II provides that regulations contained in Part I of Table A shall apply, with the exception of regs. 24 and 53. Regulations 80–106 inclusive of Part I deal with the powers and duties of directors and reg. 110 deals with appointment of the Secretary. A meeting of subscribers to the memorandum and Articles of Association of the appellant company was held on 1 October 1965. At this meeting Mr. Dhanani was appointed chairman of the appellant company "until otherwise resolved" and the respondent was appointed Secretary "of the company to hold that office until otherwise resolved". The position then was that on 1 October 1965 the subscribers to the Memorandum and Articles of Association and the directors of the appellant company by a resolution appointed the respondent as Secretary. They did not, in that resolution, specify the terms and conditions of the appointment. There is no resolution specifically giving Mr. Dhanani authority to enter into an agreement with the respondent on the terms contained in the contract. In its Articles of Association no specific power or authority is conferred on the chairman or director in regard to the transaction of the business of the appellant company. There was thus no actual authority on the part of Mr. Dhanani as chairman, or director, to offer the respondent those terms. However, the judge made findings of fact as follows:

(*a*) that the contract having been typed on the appellant company's letterhead and the appellant company's name appearing "immediately above Mr. Dhanani's signature" sufficiently indicated that the contract was intended to be entered into on behalf of the appellant company;

(*b*) that the making of contracts of service was the responsibility of Mr. Dhanani or in his absence his alternate director; and

(*c*) that Mr. Dhanani having been appointed chairman was regarded by the board of directors as "managing director" and as such was the person "more likely" to sign contracts of service.

The judge held, in effect, that Mr. Dhanani had implied or ostensible authority to enter into the contract on behalf of the appellant company. The basis of this would appear to be that the appellant company held out Mr. Dhanani as the person who was managing its day to day business and therefore had authority to enter, on its behalf, into a contract with the respondent. In my view, the judge's decision, on the facts of this case, was correct. Several acts of Mr. Dhanani suggest that the appellant company knew of Mr. Dhanani holding himself out as acting on the appellant company's behalf thus impliedly representing that he had authority to do so. He was appointed chairman of the appellant company on 1 October 1965; someone had to represent the appellant company in the conduct of its business, particularly at the initial period, and such person must surely have authority to bind the appellant company. Thus a third party dealing with the appellant company was entitled to assume that there was authority on the part of that person to bind the appellant company. The question as to whether or not the Articles of Association or a resolution of the board empowered the chairman or any other director to enter into a contract binding the appellant company was not a matter into which the third party should have inquired as long as he acted on a representation that the chairman or director had authority to bind the appellant company. In my view, it is immaterial whether Mr. Dhanani had authority to enter into the contract. The appellant company cannot repudiate the actions of the chairman/director done within the scope of this ostensible authority.

The management and conduct of the business of the appellant company throughout the material period was in the hands of Mr. Dhanani. The board of directors, by their conduct, helped to create this impression or belief in the mind of the respondent, and, indeed, in the minds of other persons who dealt with

the appellant company. The respondent thus reasonably believed that Mr. Dhanani had authority to enter into the contract, as this matter, that is, entering into contracts, was a matter which was within the Articles of Association and powers of the board of directors. It is submitted by Mr. Georgiadis that the respondent was an insider and therefore was put on inquiry in regard to the powers of directors, particularly Mr. Dhanani's authority to enter into the contract; that the respondent should have known that Mr. Dhanani did not have power to offer the terms in the contract; that the board of directors had no knowledge of the contract and therefore by reason of the irregularity in his appointment the contract is not binding on the appellant company. Regulation 80 in Part I of Table A provides that "the business of the company shall be managed by the director . . . and who may exercise all such powers of the company as are not . . . required to be exercised by the company in general meeting . . ." Regulation 102 gives power to the directors to delegate any of their powers to a committee. Thus under the Articles of Association the board of directors had actual authority to appoint the respondent, or rather, could act on behalf of the appellant company in a matter of appointment of its officers. Mr. Dhanani was chairman of the appellant company and managed its affairs with full knowledge of the board of directors, that is, he performed the functions of the managing director, and as the contract was a contract of service, which a person performing the functions of the managing director would have power to enter into on the company's behalf, the respondent was not, even though he was an insider, obliged to inquire whether or not the Articles of Association had been complied with before entering into the contract. The respondent, in my view, was entitled to infer that the directors held out Mr. Dhanani as authorised to enter into the contract on behalf of the appellant company. The appellant company had to have someone conduct correspondence on its behalf; such person surely must have authority to bind the company by letters written on its behalf. Entering into a contract is a matter in which normally a managing director would have power to act. Mr. Dhanani being a director and chairman and having been held out as the person managing the day to day business affairs of the company, the respondent was entitled to rely on his acts (Mr. Dhanani's) as being those of the appellant company, and the latter must be responsible for those acts in respect of which they have held him out as having power or authority to perform. In my opinion the judge came to the right conclusion when he held that the respondent, being Secretary of the company, was not placed in a position different from that of an outsider, who is entitled to assume in the absence of knowledge to the contrary that a director signing a contract has authority to do so. In my view the appellant company cannot dispute Mr. Dhanani's authority to enter into the contract, whether or not they actually conferred on him authority to do so. For these reasons I would dismiss this appeal with costs. I would grant a certificate for two advocates.

Law JA: I have read the judgment prepared by Lutta, J.A., in which the facts are fully set out. The respondent Mr. Freeberne was appointed secretary of the appellant company at the first meeting of the company held on 1 October 1965, which he attended by invitation. Nothing was decided at that meeting as regards the respondent's emoluments and terms of service. Clearly it was not intended that he should work without remuneration. It is common ground that the two American directors only came to Kenya to attend board meetings, and that the day-to-day management of the company was left in the hands of Mr. Dhanani. Mr. Dhanani was appointed chairman of the board at the first meeting. He does not appear ever formally to have been appointed managing director, but he resigned from that position at a board meeting held on 15 January 1968, so that the inference is inescapable, to my mind, that his fellow directors considered him to have been the managing director since the

company's inception, and held him out as such, or they would not have accepted his resignation from that position. It is clearly within the ostensible authority of a managing director to negotiate a contract of service with an employee of the company. Mr. Georgiadis for the appellant company has submitted that the negotiation of a contract of service of the unusually generous type offered to the respondent was "the business of the board", within the meaning of Article 14 of the company's Articles of Association, and as such required the approval of a quorum of the directors, and that it was the duty of Mr. Dhanani and of the respondent to ensure that the contract was placed before the Board for its approval. It should be noted that it was originally pleaded that the contract was the outcome of fraudulent collusion between Mr. Dhanani and the respondent. This allegation was unreservedly withdrawn at the trail. The position was thus that the respondent was appointed secretary at the first board meeting. A few days later he received a letter setting out the terms and conditions of his appointment signed on behalf of the company by the director to whom, to the respondent's knowledge, the management of the company had been entrusted. The respondent accepted those terms. In my opinion, he was entitled in those circumstances to look upon the letter as emanating from the Board, which had appointed him but left his conditions of service unspecified. I agree with Lutta and Mustafa, JJ.A., that Mr. Dhanani had ostensible authority to make the offer, and that the company is bound by it. In these circumstances, whether the respondent was an insider or outsider in relation to the company, he was under no duty to refer the contract to the board for approval. I agree that this appeal fails. There will be an order in the terms proposed by Lutta, J.A.

Mustafa JA: I have had the opportunity of reading the judgment of Lutta, J.A., in draft and I agree with him that the appeal must be dismissed.

I would only add a few words. The respondent was appointed secretary of the appellant company by the board of directors at its first meeting on 1 October 1965. The Chairman of the board of directors, Mr. Dhanani, on 5 October 1965 wrote a letter on behalf of the board of directors offering a contract of service to the respondent which the respondent accepted. The contract contained some generous terms, especially the provision relating to pension rights. Before the contract period expired the respondent's services were terminated by the appellant company which resulted in the action for loss of benefits and damages.

In its defence the appellant company had *inter alia* alleged fraud and collusion between the respondent and Mr. Dhanani in relation to the contract of service. These allegations of fraud and collusion were then unreservedly withdrawn in the course of the trail. The appellant company then relied on its alternative defence which was based on the alleged breach of duty on the part of the respondent in failing to have his contract of service brought before the board of directors for ratification or express approval.

It seems to me that once the allegations of fraud and collusion were withdrawn the main basis of the defence fell away. It may be that the appellant company would be entitled to seek some explanation from Mr. Dhanani for having offered comparatively generous and unusual terms to the respondent, but that cannot affect the rights of the respondent. In the absence of collusion or fraud there was no valid reason for the respondent, albeit the appellant company's secretary, to place the contract of service before the board of directors. As the trial judge has rightly found, Mr. Dhanani in effect had ostensible authority to act for the appellant company in offering the contract of service to the respondent. There was no evidence adduced to indicate that the respondent knew or ought to have known that he was not entitled to rely on the contract of service offered him by Mr. Dhanani; in fact the evidence points the other way.

The appeal fails. I concur with the order proposed by Lutta, J.A.

Appeal dismissed.

For the appellant:
B Georgiadis and *JJ Patel* (instructed by *JJ Patel & Co*, Nairobi)

For the respondent:
Clive Salter QC and S Malik-Noor (instructed by *Archer & Wilcock*, Nairobi)

Riddoch Motors Ltd v Coast Region Co-op
[1971] 1 EA 438 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	30 March 1971
Case Number:	38/1970 (113/71)
Before:	Sir William Duffus P, Law JA and Onyiuke J
Sourced by:	LawAfrica
Appeal from:	High Court of Tanzania – Mustafa, J

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[1] Agency – Ostensible authority – May not be argued for first time on appeal.

[2] Appeal – New Point – Ostensible authority – May not be taken where case fought on actual authority.

[3] Contract – Enjoyment of benefit and opportunity to reject – Whether established – Laws of Contract Ordinance (*Cap.* 433), *s.* 70 (*T.*).

[4] Restitution – Benefit of work accepted – Payment recoverable.

Editor's Summary

The appellant sued the respondent for work done and materials supplied in the repairing of tractors owned by the respondent. The trial judge held that the repairs had been carried out but that the assistant manager of the respondent who gave the orders did not have actual authority to do so from the respondent. The question of his ostensible authority was not raised before the trial judge. On the appellant's alternative claim for compensation the judge held that the respondent had not enjoyed the benefit of the repairs and had not had an opportunity of accepting or rejecting the benefit.

On appeal

Held –

(i) as the question of the ostensible authority of the manager had not been raised at the trial it could not be raised on appeal;

(ii) as the repairs had been done at the request of the respondent's assistant manager and the tractors returned to the respondent it had had the benefit of the repairs and materials;

(iii) as no attempt had ever been made to return the spares fitted to the tractors the respondent had had an opportunity to accept or reject the benefit.

Appeal allowed.

Case referred to judgment

(1) *Selle v. Associated Motor Boat Co.*, [1968] E.A. 123

30 March 1971. The following considered judgments were read.

Judgment

Sir William Duffus P: The appellant company brought this action against the respondent union for work done and materials supplied in repairing some 15 tractors belonging to the respondent union. The trial judge found as a fact that the appellant company had done the work and supplied the materials used in repairing the tractors and further that these 15 tractors were the property of the respondent union. The judge however, found that the respondent union had not given the order for the repairs to be carried out. The appellant company had as an alternative claimed compensation under s. 70 of the Law of Contract Ordinance (Cap. 433) and in respect of this alternative claim the judge held that it had not been established that the respondent union had the benefit of the repairs nor had it been established that the respondent union had had the

opportunity of accepting or rejecting such benefit. The trial judge accordingly held that the appellant company had failed to establish its claim and dismissed the plaint.

At the hearing of the appeal Mr. Talati for the appellant company relied on two main grounds of appeal. First he submitted that the judge should have held that Mr. Morani the assistant manager of the respondent union at the branch where the tractors were kept and who confirmed the order that the repairs be carried out had the ostensible authority of the respondent union to do so and then in the alternative he submitted that in any event the judge should have held that the provisions of s. 70 of the Contract Act applied and accordingly the appellant company were entitled to compensation for the work done and materials supplied.

An appeal to this court from a trial in a High Court is by way of a re-trial and "this court must reconsider the evidence, evaluate it itself and draw its own conclusions though it should always bear in mind that it has neither seen nor heard the witnesses and should make due allowance in this respect. In particular this court is not bound necessarily to follow the trial judge's findings of fact if it appears either that he has clearly failed on some point to take account of particular circumstances or probabilities materially to estimate the evidence or if the impression based on the demeanour of a witness is inconsistent with the evidence in the case generally" ("de Lestang, V.-P., *Selle v. Associated Motor Boat Co.*, [1968] E.A. 123, at p. 126).

I would first consider this question of the ostensible authority of Morani to bind the respondent union. Unfortunately this question was never made a specific issue at the trial and indeed I can find no reference at all to this matter either in the judgment or in the address of the advocates to the courts. It may be said that this was a matter of evidence and not a fact requiring to be pleaded but from an early stage in the dispute it does appear that the issue was whether or not the repairs had been authorised by the respondent union. In the course of the trial a great deal of stress was placed on the question as to whether a local purchase order had been issued by Morani and whether in fact he had the necessary authority to do so, but the real issue was whether Morani when he ordered the repairs to be done had the express or ostensible authority to bind the respondent union.

The trial judge has found as a fact that the appellant company did carry out the repairs to the tractors as claimed as set out in the evidence of the appellant's first witness Joseph Jumeau but he was not satisfied that the respondent union had given the order for this work. I quote from his judgment,

> "I am satisfied also that Joseph did carry out the repairs to the tractors as he has alleged, but I am not satisfied that it was the defendant union which had given the order to the plaintiff company to do so in view of the evidence adduced."

I have pointed out the significance given at the trial to this question of the local purchase order and on this question I would again quote from the judgment given where the judge said,

> "The local purchase order must be signed by an authorised official of the union before the union could be held responsible for payment, and in this case, even if a local order of some sort had been given to Joseph by Morani, the plaintiff has still not proved that the said local purchase order was a genuine one and was signed by a competent and authorised official of the defendant union."

The evidence however, of Joseph on this point was definite and not contradicted and in my view it must be accepted as established that Morani did give orders for these 15 tractors to be repaired and for the supply of the necessary

spare parts, and that he gave these orders in his capacity as assistant manager of the respondent union. I do not consider the question whether an L.P.O. was issued or not as essential, but in this respect, I am of the view that the evidence of Joseph must be accepted as established, that Morani did issue a paper purporting to be an L.P.O. authorising the work to be done.

The judge has found that Morani had in fact no express authority to issue such an order and there was clear evidence to justify his finding, so that the only issue left was whether or not Mr. Morani had ostensible authority. Unfortunately this issue was overlooked and not made an issue at the trial. The result is that the matter was not fully investigated or considered at the trial. Thus the duties and powers of Morani as assistant manager were not clearly ascertained; although generally speaking, one would expect a manager in a district to have power to order some repairs to be done to a single tractor yet the question here is that of major repairs being carried out on some 15 tractors. I agree that there are circumstances here which would lend support to Morani having had ostensible authority but I am of the view that this issue was not properly investigated or considered at the trial and that it is now too late for the appellant company to raise this question. The onus was on the appellant company, to show that Morani had the express authority of the respondent union or that he had in the circumstances of this case the ostensible or apparent authority of the respondent union. The judge was justified in finding on the evidence that the respondent union had not authorised the repairs and this court, in my opinion, cannot now on the established facts of this case find that Morani had the ostensible or apparent authority to bind the union. I am of this view therefore that the appellant company cannot succeed on this issue.

The appellant company's alternative claim is under s. 70 of the Law of Contract Ordinance (Cap. 433) which states:

> "Where a person lawfully does anything for another person, or delivers anything to him, not intending to do so gratuitously, and such other person enjoys the benefit thereof, the latter is bound to make compensation to the former in respect of, or to restore, the thing so done or delivered:
>
> Provided that no compensation shall be made in any case in which the person sought to be charged had no opportunity of accepting or rejecting the benefit."

This alternative claim appears to have been fully argued and considered at the trial. In dealing with this claim in his judgment the trial judge found that the appellant company had not carried out the work of repairs or supplied the spares gratuitously and he then proceeded to consider whether the respondent union enjoyed the benefits of such repairs and further whether the union had the opportunity of accepting or rejecting the benefit. The trial judge considered the evidence of the respondent union's manager and then he made the following findings:

> "I accept this evidence, I think on a balance of probabilities the union had not made use of any of the tractors during 1967. If seventeen tractors were in fact repaired by Joseph, it is not impossible somebody else might have made use of these tractors unbeknown to the defendant union for a short period. I am satisfied that Amiri was telling the truth when he said he found thirty-two tractors lying unserviceable and that thirty were repaired by Boniface at considerable cost in spare parts before they could be put into use. I cannot rule out the possibility on the evidence adduced before me that after Joseph had repaired some of the tractors somebody not connected with the defendant union might have taken advantage of such repairs and surreptitiously used the tractors without the knowledge or consent at all of

> the defendant union. In the circumstances I cannot say the defendant union had the benefit of any repairs, if any, carried out by Joseph on some of the tractors, nor had the defendant union any opportunity of accepting or rejecting such benefit; the said union did not authorise or know of such repairs at the material time."

There are three essentials to the recovery of compensation under s. 70. First the appellant company must prove that it has done the repairs and supplied the materials to the respondent union and that it did not intend to so do gratuitously. The judge has accepted these facts as established. Then the appellant must prove that the respondent union has enjoyed the benefits of the repairs and supplies. The judge has found that this has not been proved to his satisfaction. I agree that the onus of proof must rest here with the person claiming compensation under s. 70 but with great respect to the trial judge he does not appear to have fully considered all the established facts on this issue. The simple facts as proved here are that these repairs were done on the order of the respondent union's servant, the assistant manager Morani, the person admittedly in charge of the tractors and of the running of the union's business in Rufiji District, and that the tractors repaired belonged to the union and were repaired and the new spare parts fitted on the union's premises in the presence of and helped by the mechanics employed by the union or working on its behalf and that after each repair the union's mechanic signed acknowledging the repairs and spare parts in respect of each tractor and further that this mechanic then removed the old spares and kept these in a store. There is also evidence that these repairs took some five weeks to complete and there is no dispute but that the tractors were always in and remained in the care and custody of the union's servants. I am of the view that this was sufficient to discharge the onus of the appellant to show that the respondent union enjoyed the benefits of these repairs and of materials supplied. The respondent union has adduced no evidence at all from the persons that they employed to look after the union's business at Rufiji and no evidence to show that no use was in fact made of the tractors. This was a matter within the peculiar knowledge of the union and its servants and in my view the appellant company did not have to call evidence to show whether these tractors were used or not and it was sufficient to show that the tractors were repaired and the materials supplied and that these then were handed over to the union's servants who clearly were employed by the union to use, control and look after these tractors. In his judgment the judge said:

> "I cannot rule out the possibility on the evidence adduced before me that after Joseph had repaired some of the tractors somebody not connected with the defendant union might have taken advantage of such repairs and surreptitiously used the tractors without the knowledge or consent at all of the defendant union."

With great respect I can find no evidence to support this possibility and even if in fact such a misuse had taken place, surely it would have been due to the negligence or deliberate misbehaviour of the union's servants, in respect of which the appellant company could hardly be held liable. The judge does apparently accept that these 15 tractors were among the 32 tractors found by the respondent union's manager Amiri. This witness said generally that all these tractors needed repairs but he was not a mechanic and did not himself know what was wrong with each tractor. He relied apparently on the findings of a Mr. Boniface from an examination made early in 1968. No attempt was made to show what was wrong with the 15 tractors that were repaired by the appellant company in September and October 1967 and no evidence to show whether the various parts supplied were still on the tractors and still usable.

On the whole of the evidence it appears to me that the appellant company had quite clearly established that the respondent union had enjoyed the benefit of the repairs and materials supplied.

The further question arises whether the respondent union had the opportunity of accepting or rejecting the benefit of the work done and the materials supplied. As I have set out before it was established that the repairs were done at the request of the respondent union servants and with the approval of the persons in charge of the tractors in Rufiji Division and further that these repairs were done on their premises over a period of five weeks. Then there is a further fact as I have set out that the evidence did establish that the respondent union enjoyed the benefit of the repairs and materials supplied. The evidence shows that they refused to pay for these benefits but yet the respondent union at no time returned or attempted to return the various spare parts that were used on the tractors and even up to the time of the trial it does appear that the respondent union were still enjoying the benefit and use of the repairs and of the considerable amount of new parts supplied according to the various vouchers in evidence. In the circumstances I am of the view that the provisions of s. 70 applied to this case and that the appellant company is entitled to be compensated for the repairs and materials supplied. The trial judge had quite correctly considered the possibility of this court coming to a different decision on the first of the agreed issues before him and he correctly found that in this event that the charges made by the appellant company were reasonable so that I would accordingly fix the amount of compensation in accordance with the appellant company's claim.

I would therefore allow this appeal and order that the judgment of the High Court be set aside and the judgment be entered for the appellant company. I would allow the appellant company the costs of the trial and the costs of this appeal and as the other members of the Court agree, it is so ordered.

Law JA: I have had the advantage of reading in draft the judgment prepared by the President. I agree with his conclusions and with the order proposed by him. The trial judge found, and the evidence supports his findings, that 15 tractors belonging to the respondent union were repaired by the appellant company, who provided the mechanic who did the work and supplied the necessary materials and spare parts. The repair work was done at the respondent union's premises at Kibiti, under the direction of the union's assistant manager Mr. Morani, and took about five weeks to complete. The evidence is that after the repairs the tractors were in working order, and the parts which had been replaced were taken by a representative of the union and placed in a store belonging to the union. The judge found that the appellant company had failed to prove the contract on which it relied. Certainly the evidence on this point was most unsatisfactory, and I would not interfere with this finding. But with the greatest of respect, I am unable to agree with the judge's finding on the alternative ground of claim, which was based on s. 70 of the Law of Contract Ordinance (Cap. 433). The judge found that the appellant company's charges were reasonable, and that it did not intend to provide the services and materials gratuitously, but he held that the claim for compensation must fail as the union had no opportunity of rejecting the benefit. The evidence does not support this finding. Each tractor as it was repaired was signed for by an employee of the union designated for the purpose by the union's assistant manager. In each such tractor were new spare parts supplied by the appellant company, and the replaced parts were retained by the union. Mr. Morani was in charge of the union's business at Kibiti, and over this period of five weeks accepted each tractor as it was repaired. He must, in the absence of evidence to the contrary, be deemed to be the union's agent with at least the ostensible authority

to accept or reject goods and services on its behalf. I consider that the appellant company amply discharged the onus of proving that the union enjoyed the benefit of the services rendered and goods delivered by the appellant company, and that the union, having done so, is bound to make compensation therefore. For these reasons I agree the appeal should be allowed.

Onyiuke J: I agree that this appeal should be allowed for the reasons given by the President. I also agree with his conclusions and with the final order proposed by him.

Appeal allowed.

For the appellant:
PS Talati (instructed by *Sayani Balsara & Velji*, Dar es Salaam)

For the respondent:
PR Dastur and *RC Kesaria*

Sonko and others v Haluna and another
[1971] 1 EA 443 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	22 June 1971
Case Number:	365/1969 (120/71)
Before:	Mead J
Sourced by:	LawAfrica

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[1] Civil Practice and Procedure – Pleading – Cause of action – Discovery of fraud within limitation period – Cause of action shown.

[2] Civil Practice and Procedure – Representation order – Essential before unnamed plaintiffs can be represented – Civil Procedure Rules, O. 1, *r.* 8 (*U*).

Editor's Summary

The two plaintiffs sued the defendants and purported to sue on behalf of 21 infants without having obtained a representation order. The plaint alleged that the fraud on which the claim was based had been discovered within the limitation period, and that the second defendant was a party to the fraud.

The defendants asked that the claim be struck out.

Held –

(i) the claim showed the time at which the fraud was discovered and showed a cause of action;

(ii) the allegation of fraud against the second defendant showed a cause of action;

(iii) in the absence of a representation order the claim on behalf of unnamed plaintiffs could not stand and would be struck out.

Order accordingly.

No cases referred to in judgment

Judgment

Mead J: The defendants' advocate Mr. Kirenga raises preliminary objections on points of law to the plaintiff's claim:

(1) Non-compliance with the provisions of O. 7, r. 1 (*e*) in that the date when the cause of action arose is not shown.

(2) Non-compliance with the provisions of O. 1, r. 8 in that the plaintiffs having sued in a representative capacity for numerous persons have not obtained the permission of the court.

(3) The plaint does not disclose a cause of action as against the second defendant.

I will first consider the objections raised on O. 1, r. 8 as this is a fundamental issue.

The provisions of O. 1, r. 8 are provisions of convenience to avoid the necessity for encumbering the plaintiff or the defendants with the names of many persons and to avoid the necessity for their personal service of proceedings and their personal appearance. Persons having the same rights of relief arising out of the same act or transaction can elect whether to proceed under the provisions of O. 1, r. 1 so that all such persons are joined as plaintiffs, or whether to apply for permission to sue by a representative or representatives under O. 1, r. 8 (1) if they are numerous. There is no provision in the rules for representative plaintiffs other than under O. 1, r. 8, O. 7, r. 4 and O. 18, r. 1, neither of which latter rules applies to the present claim. Order 7, r. 4 is in respect of persons such as executors, administrators or trustees. Order 18, r. 1 is in respect of infants. The plaintiffs having elected to sue in a representative capacity should have proceeded in accordance with the provisions of O. 1, r. 8 (1). It is not for the court to decide on the present submission of the defendants whether or not the persons represented by the plaintiffs are numerous within the meaning of O. 1, r. 8 (1). That would be for the court when considering an application under that rule. The permission of the court not having been granted to the plaintiffs to sue on behalf of the 21 unnamed persons, the plaintiffs' claim is not properly before the court in as far as it purports to be on behalf of those unnamed persons. I dismiss from the suit the unnamed children of Sirimani Kikwaku deceased.

I now consider the objection raised on O. 7, r. 1 (*e*).

The plaintiffs' claim is for recovery of land. The Limitation Act, s. 6 prescribes a period of limitation within which any action for recovery of land should be brought. Section 26 of the Act provides that where an action, as in the present case, is based on fraud, the period of limitation shall not begin to run until the plaintiff has discovered the fraud or could with reasonable diligence have discovered it. By the amendment to para. 10 of the plaint allowed by this court on 17 June 1971 the plaintiffs show the date of discovery of the alleged fraud to be some time in 1958. I hold that the plaintiffs have complied with the requirements of O. 7, r. 1 (*e*).

I now consider the last of the defendants' objections.

The plaint avers that the second defendant assisted the plaintiffs in the fraudulent transfer of the land, the subject matter of this suit, to the first defendant. The plaintiffs clearly aver that the second defendant was a party to the fraud. I hold that the plaint discloses a cause of action against the second defendant.

The hearing of the suit to proceed as between the plaintiffs Haji Alamazani Sonko and Haji A. Senkungu against the two defendants Haluna Semwange Sonko and Bumbakali Semwezi.

Order accordingly.

For the plaintiffs:
G Binaisa QC and *Paidhan* (instructed by *Binaisa & Co*, Kampala)

For the defendants:
FX Kirenga (instructed by *Kirenga & Gaffa*, Kampala)

Mutongole v Nyanza Textile Industries Ltd
[1971] 1 EA 445 (HCU)

Division: High Court of Uganda at Kampala

Date of judgment:	3 June 1971
Case Number:	94/1968 (122/71)
Before:	Jones J
Sourced by:	LawAfrica

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[1] Civil Practice and Procedure – Pleading – Jurisdiction – Averment of jurisdiction unnecessary, only the facts showing jurisdiction – Civil Procedure Rules, O. 7, *r.* 1 (*U.*).

Editor's Summary

The respondent applied to strike out a plaint on the ground that it did not contain an averment that the court had jurisdiction. The magistrate agreed and dismissed the case.

On appeal

Held –

(i) there was no necessity to state that the court had jurisdiction;

(ii) facts were pleaded showing that the court had jurisdiction as it was alleged that the defendant resided in the jurisdiction and that the cause of action arose there (*Assanand & Sons* (*U.*) *Ltd. v. East African Records Ltd.* (1) considered).

Observations on the duty of advocates in drawing pleadings.

Appeal allowed.

Cases referred to judgment

(1) *Assanand & Sons* (*U.*) *Ltd. v. East African Records Ltd.*, [1959] E.A. 360.

(2) *Bisuti v. Busoga District Council* (unreported).

Judgment

Jones J: When this case came up for hearing, issues were framed, and evidence was called for the plaintiff, and one witness for the defence. Halfway through the defence witness's evidence, Mr. Kaderbhoy, who was appearing for the defendants, said that he had just discovered that the plaint as framed did not contain any averment to show jurisdiction of this court. He asked that the plaintiff's case be dismissed as the plaint was bad in law.

Mr. Kawera applied under O. 15, r. 1, Civil Procedure Rules to amend the plaint to show jurisdiction.

Mr. Kaderbhoy, in reply referred to r. 7 (1) (*f*), saying that jurisdictional facts must be shown. He therefore urged that the defect was incurable.

The magistrate gave a ruling in these terms:

> "I think O. 7, r. 1 has to be complied with before plaint is held to be valid. Facts showing jurisdiction must be found in the plaint. There is nowhere in the plaint anything or fact to show that this court has jurisdiction to try this suit. In my view it is a fundamental and incurable defect as I do not find that this court has any jurisdiction to entertain or hear this suit.
>
> The result is that suit must be dismissed as this defect cannot be cured, by amendment to the prejudice of

the defendant’s Co. I therefore dismiss the suit with costs.”

In the Memorandum of Appeal there were two salient points:

(1) that the magistrate erred in holding that the non averment of the court's jurisdiction was such a defect as was "incurable . . . by amendment".

(2) that he erred in holding that to allow an amendment of the plaint would prejudice the defendant company.

I do not think that the magistrate did hold that the non averment of the court's jurisdiction was a defect which was not curable. What he did say was that nowhere in the plaint could be find anything or fact to show that he had jurisdiction.

He didn't expand on that statement.

Mr. Gaffa pointed out that it was not necessary to say specifically in the plaint that the court had jurisdiction. All that was necessary was that there were facts recited in the plaint from which jurisdiction stemmed. I agree with his submission.

It is a time honoured practice for lawyers to insert in their plaint what is, in my view, a useless surplusage – a statement that "this honourable court has jurisdiction". Such a statement alone, does not bestow jurisdiction on any magistrate or court. It has no magical qualities.

Mr. Mehta puts it tersely in his argument that facts must be disclosed in the plaint from which jurisdiction can be assumed. When Mr. Kaderbhoy made his sudden application that the case be dismissed it was assuredly on the ground that there was "no averment to show jurisdiction in this court", a reference no doubt to the omission of that "time honoured phrase" to which I have referred above.

Both sides rested their case on *Assanand & Sons* (*Uganda*) *Ltd. v. East African Records Ltd.*, [1959] E.A. 360. The facts were that the respondents sued the appellants on a breach of contract. The respondents traded in Nairobi and the appellants in Kampala.

The respondents obtained leave to serve the summons on the defendant outside the jurisdiction in Kampala. The respondents obtained judgment against the appellants in Nairobi. The appellants had not entered appearance. The decree was transferred to Kampala after execution proceedings had been started in Kampala. The appellants applied to the High Court of Kenya to set aside the *ex parte* decree on the ground that the cause of action arose in Kampala, and that no facts had been pleaded in the plaint as requested by O. 7, r. 1 (1) (*f*) of the Civil Procedure (Revised) Rules 1948, to show that the Kenya court had jurisdiction. The judge dismissed the application and held that non compliance with O. 7, r. 1 (1) (*f*) was no more than an irregularity, which could at any time be cured by amendment and was in itself no ground for setting aside the judgment.

On appeal the Court of Appeal held that O. 7, r. 1 (1) placed upon the plaintiff the burden of pleading "the facts showing that the court has jurisdiction", and a mere assertion by the plaintiff that the court had jurisdiction was not enough. As there were no facts in the plaint in that case from which jurisdiction could be inferred, the omission was in their view a deficiency in an essential effect which was not cured by the affidavit supporting an application for the issue of the summons outside the jurisdiction. The appeal was allowed on that point. Dickson, J., followed this case in *Bisuti v. Busoga District Council*, Civil Suit 83 of 1969.

The whole point in this appeal is, was the magistrate wrong in finding that there were no facts recited in the plaint showing that he had jurisdiction to hear the case.

The case under consideration, was for damages for wrongful dismissal. The plaintiff was an employee of the Nyanza Textile Industries Ltd., which is situated at Njeru, on the Buganda side of the Nile. The alleged breach of contract was committed on the premises of the Nyanza Textile Industries Ltd., and any payment of damages would be made from those premises.

Mr. Mehta complained in particular that the plaint read that the plaintiff lived in Busiro. As there are two places called Busiro, one in Busoga and one in Buganda it was not clear from the plaint that the plaintiff was living in Busiro, Buganda. When one looks at the plaint however the plaintiff is alleged to be living in *Buzzi* in Busero and not in Busiro. Mr. Mehta did not claim that there were two Buzzis – one in Busoga and one in Buganda.

The facts disclosed in the plaint clearly indicated that the defendants at least were situated in Buganda. There is little doubt that the plaintiff also lived in Buzzi, Busiro and not Busiro in Busoga. The *cause of action also arose in Buganda*, and the facts on which the plaintiff relied to prove breach of contract were clearly stated. The magistrate therefore in my view fell into error in dismissing this suit. Had he consulted the Schedules to the Constitution, he would have seen what the boundaries of Buganda are. He had judicial notice of these Schedules. Had he done so, he would not have gone astray as he did. I therefore allow the appeal with costs and order that the case be reheard in Mengo district court. The plaint should be amended to avoid any possible doubt.

All the trouble in this case was primarily caused by careless pleadings. Particular care should be taken in drafting and settling pleadings. All the i’s should be dotted and the t’s crossed as pleadings are the foundation of a case.

One gets the impression that in a great many cases, advocates have proformas, and only the names and dates and some facts are changed from case to case.

Each pleading should be carefully drafted and treated as something individual. Advocates owe it to their clients and the court to do so. If they did the courts would not be bedevilled with niggling, meritless technical points.

Appeal allowed.

For the appellant:
FX Gaffa (instructed by *Kirenga & Gaffa* Kampala)

For the respondent:
Mehta (instructed by *Visana, Richura & Singh* Jinja)

Girado v Alam & Sons (U) Ltd
[1971] 1 EA 448 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	3 May 1971
Case Number:	300/1966 (123/71)
Before:	Goudie J
Sourced by:	LawAfrica

[1] Civil Practice and Procedure – Setting aside – Ex parte judgment – Sufficient cause for non-appearance not shown – Judgment nevertheless set aside – Civil Procedure Rules, O. 1, *r.* 20 (*U.*).

[2] Civil Practice and Procedure – Inherent jurisdiction – To set aside ex parte judgment – Exercisable when no sufficient cause for non-appearance shown.

Editor's Summary

The appellant applied to set aside a judgment given in the absence of his advocate a year previously. The affidavits in support of the application showed contradictions.

Held –

(i) sufficient cause for non-appearance at the hearing had not been shown;

(ii) nevertheless in order that there be no injustice to the applicant the judgment would be set aside in the exercise of the court's inherent jurisdiction.

Application allowed.

No cases referred to in judgment

Judgment

Goudie J: This is an application by way of notice of motion under O. 9. r. 20, and the court's inherent jurisdiction, to set aside the dismissal of the suit.

Mr. Phadke, an advocate, swore an affidavit to the effect that when the suit came on for hearing on 19 September 1969, before Musoke, J., there was no appearance for the plaintiff, that the trial judge adjourned for three-quarters of an hour and gave instructions for the plaintiff's advocates to be directed to appear for the hearing, that one of their clerks appeared after the adjournment and said all his principals were engaged in other courts and that his office had received a telephone call the previous day saying the case had been removed from the list for hearing. The trial judge is said to have checked with the clerk in charge of the hearing list in the Civil Registry who denied any such telephone call having been made to plaintiff's advocate. The trial judge therefore dismissed the suit.

Two clerks of the plaintiff's advocates' firm swore affidavits intended to support the alleged telephone call from the High Court Civil Registry of 18 September 1969 and denying that any clerk from their firm attended before the trial judge next day at the hearing.

I am very far from impressed with these affidavits purporting to give details of telephone calls over a year ago. I also note that Mr. Bossa's affidavit was so carelessly prepared that he swore that the suit had been "removed from the Cause List of 19 *October* 1970". There is nothing to suggest it was ever in the Cause List for this date and his colleague, Mr. Nsubuga, swore that it was "removed from the Cause List of 19 *Septembe*r 1969". I am also bound to ask myself why, if these affidavits are true, no application to set aside was filed

for nine months after the dismissal. The application was not filed until 2 July 1970.

Unfortunately the trial judge's record does not mention any adjournment or appearance of clerks before him. Although, therefore, I consider it most improbable that he would dismiss the suit without first trying to contact the plaintiff's advocates or, at least, giving some time for them to appear, I fear I am bound by the record. It is, therefore, improbable but just possible that Mr. Phadke has confused this suit with another one, particularly after a year's delay and since there is no reference to any notes on his brief.

I am very far from satisfied that sufficient cause for non appearance has been shown under O. 9, r. 20. At the same time all the authorities support the view that the court has an inherent power to restore a suit dismissed for default even if no sufficient cause is shown. I have hesitated whether to do so in this case in view of the long delay in bringing the application since the application itself was not brought until after the suit limitation period had expired. However there is no limitation period within which the application itself needs to be brought although I note that under the Indian Code it has to be brought within 30 days. It seems to me that it would be a very useful provision in our rules to set a time limit within which applications to set aside may be brought.

Purely in order to ensure that there is no possibility of injustice to the plaintiff, and without having the slightest sympathy for his advocates, I direct that the order dismissing the suit be set aside on condition that the costs thrown away, which I assess at Shs. 1,500/-, be paid within 7 days from the date of delivery of this ruling.

Order accordingly.

For the applicant:
Phadke (instructed by *Phadke & Co*, Kampala)

For the respondent:
Nsubuga (instructed by *Nsubuga & Co*, Kampala)

Dasani and others v Uganda African Newspapers Ltd and another
[1971] 1 EA 450 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	24 May 1971
Case Number:	135/1965 (124/71)
Before:	Goudie J
Sourced by:	LawAfrica

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[1] Defamation – Identification – Members of organisation – Reference to organisation reasonably capable of referring to all members.

Editor's Summary

The plaintiffs were members of the Lint Marketing Board a statutory body consisting of not more than nine members. The defendants published an article alleging that the Board had been taking bribes and exploiting farmers. For the defendants it was argued that the words were not capable in law of reasonably referring to individual members of the Board.

Held –

(i) the Lint Marketing Board would be reasonably understood to refer to the board members only and not to the whole organisation;

(ii) the words are reasonably capable of referring to all the individual members of the Board (*Knupffer v. London Express Newspaper* (5) followed).

Order accordingly.

Cases referred to judgment

(1) *Hulton v. Jones*, [1909] 2 K.B. 444.

(2) *Ortenburg v. Plamondon* (1914), 24 Quebec K.B. 69.

(3) *Clark v. Vare*, [1930] N.Z.L.R. 430.

(4) *Gross v. Cantor* (1936), 270 N.Y. 93.

(5) *Knupffer v. London Express Newspaper*, [1944] 1 All E.R. 495.

(6) *Shah v. United Africa Press Ltd*., [1961] E.A. 93.

Judgment

Goudie J: In this consolidated suit the chairman and members of the Lint Marketing Board are individually suing the first defendants as proprietors, publishers, and printers, and the second defendant as editor of a vernacular newspaper "Taifa Empya" for damages for libel.

Each of the plaintiffs complain of an article in the newspaper dated 28 December 1964 which each says defamed him "in the way of his said office as a Member of the said Lint Marketing Board and in relation to his conduct therein".

The English translation of the article has been agreed as follows:

"Mayanja Receives thanks from Growers"

"The Executive Committee of a society known as the Uganda Farmers Voice have written to Mr. Abu Mayanja thanking him for his struggles on behalf of the farmers when he exposed the working of the Lint Marketing Board. In their statement they say that we have written to thank you very much and pledge our full support for the determination you have shown towards the farmers in fighting for them as far as the two crops cotton and coffee are concerned.

We, as the source of wealth in this country, would implore you that in as much as you have come out bravely and have publicly denounced the

> Lint Marketing Board in how they take bribes, we the farmers know about those bribes and have the evidence.
>
> The surprising thing is that those of the Board instead of telling the truth to the farmers are only threatening you with legal actions in the courts. We have decided to die with you.
>
> We inform you that the end of exploitation of the farmers by making them ladders, sacking them, deceiving them, playing with them and robbing them by giving them not enough money for their crops; the farmers hope will all end during this year.
>
> This time as we know that each ton of coffee is sold for Shs. 8,000/- the farmers should be paid Shs. 1/50 per lb. of coffee, Shs. 1/20 for cotton and Shs. 2/- per lb. for tobacco. We also want to see that the authority that the Government has in selling cotton and coffee is returned to the farmers themselves who grow the crops and should, therefore, sell them. If those things are not done, when we farmers become angry, we are going to take actions that will paralyse every activity. It is because we are fed up that we announced that in 1967 we shall elect representatives of the farmers who will look after our interests in the National Assembly."

The manner in which the plaintiffs each claim the words complained of to refer to him is shown as follows:

> "By the said words the defendants and each of them meant and were understood to mean that the Lint Marketing Board and consequently the plaintiff as a member of the Lint Marketing Board had in common with the other members of the said Board received bribes and that he had received bribes in the course of carrying out his duties as a member of the Lint Marketing Board and that he in common with those of the Lint Marketing Board had exploited farmers in Uganda by deceiving and robbing them and paying them less than they were entitled to receive as the price of their crops of cotton."

The damages alleged appear at para. 5 which reads as follows:

> "The plaintiff has in consequence been gravely injured in his character credit and reputation and in the way of his post as a Member of the Lint Marketing Board and has been brought into public scandal odium and contempt and has suffered damage."

On the present hearing the advocates for both parties agreed to confine the issue to a preliminary point of law, the defence "that the plaint is bad in law and that the plaint discloses no cause of action". In brief the contention of the defendants is that the words complained of are not capable, as a matter of law, of being reasonably taken as referring to any of the individual plaintiffs. Each plaintiff, on the other hand, says, and it is not disputed, that he was a "member" of the "Lint Marketing Board", that the article is defamatory of the Board as a whole and must, therefore, be capable of being taken as referring to him as an individual member of that Board.

I do not think I ought, at this stage, to make a final finding as to whether the article is itself, in fact, defamatory since I have not heard evidence as to the exact circumstances of the publication. I am, however, entirely satisfied that it is capable of being regarded as bringing "the Lint Marketing Board" and "those of the Board" into "hatred or contempt" and, in the words of Lord Acton, "lowering them in the estimation of right-thinking members of society generally".

The first question for decision seems to me to be what ordinary reasonable

persons would understand by the words “the Lint Marketing Board” and “those of the Board”. It has been submitted for the defendants that “the Lint Marketing Board” would be understood to cover the whole of the Lint Marketing Board organisation, possibly even down as far as messengers, and certainly the organisational and administrative staff. I am unable to accept this argument. In my view, which I think would be the view of the ordinary reasonable person it would only cover the people who were, to use a colloquialism, “on the Board”, and who would correspond to the directors of a company.

I do not think it is necessarily conclusive on this point, but neither do I consider it is irrelevant, that the Lint Marketing Board Act (Cap. 234) provides as follows:

> “3. (1) There shall be established a Board to be known as the Lint Marketing Board which shall consist of a chairman, deputy chairman and not more than seven other members to be appointed by the Minister.
>
> (2) The members of the Board (excluding the chairman and deputy chairman) shall consist of – (here follows the constitution of the Board).”

It was also argued for the defendants that the use of the words “those of the Board” showed that the article referred not to the Board as a whole but only to some unspecified members of the Board or might even show an intention to enlarge the reference to the whole “organisation”. I do not think this is a valid argument if one looks at the phrase in its context in the article. The article commences by a reference to “the working of the Lint Marketing Board”. It continues with a reference to “the Lint Marketing Board in how they take bribes”. It then continues “The surprising thing is that ‘those of the Board’ instead of telling the truth to the farmers are only threatening you with legal actions in the courts”. I think it is just possibly arguable that the suggestion was that only some members of the Board were threatening legal action but I do not think it detracts from the general allegations which are the crux of the defamatory matter, the alleged acceptance of bribes and exploitation of the farmers. These are, in my view, clearly made against “the Board” which in its ordinary sense must mean the whole Board.

It thus follows that, assuming the article to be defamatory, the persons defamed are a limited class of persons who are by statute restricted to “a chairman, deputy chairman and not more than seven other members”, nine persons in all. I have no hesitation in finding that each of these individuals, who include the seven plaintiffs in this consolidated suit, has a cause of action for damages for defamation.

I support this finding with the following legal authority.

Knupffer v. London Express Newspaper, [1944] All E.R. 495.

> “Where the plaintiff is not named the test which decides whether the words used refer to him is the question whether the words are such as would reasonably lead persons acquainted with the plaintiff to believe that he was the person referred to. There are cases in which the language used in reference to a limited class may be reasonably understood to refer to every member of the class, in which case every member may have a cause of action. A good example is *Browne v. Thompson & Co*. (1912), S.C. 359, where a newspaper article stated that in Queenstown instructions were issued ‘by the Roman Catholic religious authorities that all Protestant shop assistants were to be discharged’, and where seven pursuers who averred that they were the sole persons who exercised religious authority in the name and on behalf of the Roman Catholic Church in Queenstown were held entitled to sue for libel as being individually defamed”.

> "There are two questions involved in the attempt to identify the appellant as the person defamed. The first question is a question of law – can the article, having regard to its language, be regarded as capable of referring to the appellant? The second question is a question of fact, namely does the article in fact lead reasonable people, who knew the appellant, to the conclusion that it does refer to him?" – *per* Viscount Simon, L.C.

(In the proceedings presently before me I am only concerned with "The first question" referred to above.)

> "I venture to think that it is a mistake to lay down a rule as to libel on a class, and then qualify it with exceptions. The only relevant rule is that in order to be actionable the defamatory words must be understood to be published of and concerning the plaintiff. It is irrelevant that the words are published of two or more persons if they are proved to be published of him; and it is irrelevant that two or more persons are called by some generic or class name. There can be no law that a defamatory statement made of a firm or trustees, or the tenants of a particular building is not actionable, if the words would reasonably be understood as published of each member of the firm or each trustee or each tenant." – *per* Lord Atkin.
>
> "A body of trustees *or directors* (my italics) would furnish another instance in which defamation of the body involves defamation of each member thereof." – *per* Lord Russell of Killowen.
>
> "My Lords, the case raises once again the question which is commonly expressed in the form: 'Can an individual sue in respect of words which are defamatory of a body or class of persons generally?' The answer as a rule must be 'No'. But the inquiry is really a wider one and is governed by no rule of thumb. The true question always is: Was the individual or were the individuals bringing the action personally pointed to by the words complained of?
>
> The question whether the words refer in fact to the plaintiff or plaintiffs is a matter for the jury or for a judge sitting as a judge of fact, but as a prior question it has always to be ascertained whether there is any evidence upon which a conclusion that they do so refer could reasonably be reached. In deciding this question the size of the class, the generality of the charge and the extravagance of the accusation may all be elements to be taken into consideration.
>
> Whatever the tribunal the first question is: Are the words in conjunction with the relevant circumstances reasonably capable of being understood to apply to the plaintiff?" – *per* Lord Porter.

Hulton v. Jones, [1909] 2 K.B. 444.

It is not necessary that the words should refer to the plaintiff by name provided that the words would be understood by reasonable people to refer to the plaintiff. In order to be actionable the defamatory words must be understood to be published "of and concerning the plaintiff".

Thus far I have referred only to English cases, which are, of course, only of persuasive weight in Uganda. I wish to point out that the above-quoted principles have been fairly universally accepted.

The principles were accepted in *Shah v. United Africa Press Ltd*., [1961] E.A. 93. Also in *Ortemburg v. Plamondon* (1914), 24 Quebec K.B. 69 the Jews of Quebec numbering 75 families out of a total population of 80,000 were held entitled on a basis of "restricted collectivity" to maintain an action of defamation against the defendant who had violently abused the Jewish race

to stir up the public against the Jews in Quebec. Again, in *Gross v. Cantor* (1936), 270 N.Y. 93 it was held that one of 12 radio editors in New York City was entitled to maintain an action for defamatory statements by the defendant that "all the radio editors of New York City (save one, unnamed), were 'experts at log robbery' and engaged in rackets that are a disgrace to the newspaper profession". In lighter vein, but still illustrative of the principle that it is not necessary to spell out the actual name of the plaintiff, there is the case of *Clark v. Vare* (1930), N.Z.L.R. 430 where a placard with the legend "one man one Trade one Wife" was held to be defamatory of a next door trade rival who carried on business under the name "UNO" and lived apart from his wife and had a house-keeper who was living apart from her husband.

Finally, I see nothing in the defendants' submission that no innuendo was pleaded. Paragraph 4 of the plaint is explicit as to the manner in which the reference to the Lint Marketing Board necessarily pointed directly at the plaintiffs and no innuendo was, in my view, required to be pleaded. The word "innuendo" is derived from the Latin and means literally "by nodding at". The plaintiffs, in my view, were not indirectly "nodded at" but were directly mentioned generically if not by their individual names.

I find on this application for the plaintiffs and the defendants must pay the costs of the application in any event.

Order accordingly.

For the plaintiffs:
Ssengendo (instructed by *Hunter & Greig*, Kampala)

For the defendants:
A Clerk (instructed by *A Clerk & Co*, Kampala)

D Ltd v Income Tax
[1971] 1 EA 455 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	8 January 1971
Case Number:	38/1970 (125/71)
Before:	Wicks J
Sourced by:	LawAfrica

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[1] Income Tax – Capital or income receipt – Compensation by tenant for depreciation in value of leased premises – Capital receipt not affected by failure to spend the payment.

Editor's Summary

The appellant was the landlord of business premises let on a long lease. The tenant obtained permission to make alterations to the premises on condition that he would restore the premises to their previous condition. On the expiry of the lease, the sum required to carry out the restoration work was

agreed and this was paid by the tenant to the appellant, who sold the property in the condition the tenant had left it, receiving a reduced price for it.

The respondent assessed the sum paid by the tenant to tax, claiming that it was money paid by a tenant and profit earning to the extent that it was in excess of expenditure actually carried out on repairs.

The appellant contended that the sum was a capital payment being in respect of the depreciation of a capital asset.

Held –

(i) the alterations depreciated a capital asset;

(ii) the payment made to restore the capital asset to an income-producing condition was capital in the appellant's hands;

(iii) the fact that the sum had not been spent did not alter its nature.

Appeal allowed.

Cases referred to judgment

(1) *Burmah Steamship Co. Ltd. v. I.R.C.*, 16 T.C. 67.

(2) *I.R.C. v. West*, 31 T.C. 402.

(3) *Harry Ferguson* (*Motors*) *Ltd. v. I.R.C.*, 33 T.C. 15.

Judgment

Wicks J: This is an appeal against the decision of the Local Committee, Nairobi, brought under s. 111 (2) of the East African Income Tax (Management) Act 1958 which I will refer to as the Act.

The appellant's statement of facts is:

1. D. Ltd. is a limited liability Company incorporated in Kenya, whose financial year ends on 31 December each year.

2. Under a lease dated 10 May 1962, and duly registered, V. V. Patel and K. V. Patel, who were then the proprietors of Plot LR. No. 209/4550, Nairobi, let the said plot together with the buildings thereon to Kosangas (Kenya) Limited for the term of five years from 15 April 1963. The said plot was transferred to Divine Investments by a Deed dated 28 December 1962, duly registered subject to the said lease.

3. It was one of the terms of the said lease that the tenant would keep the interior of the demised premises clean and tidy and in good and

tenantable repair and condition (fair wear and tear excepted) and would do all repairs and work necessary to put and keep the same in such repair and condition. There was a further term in the said lease, that the tenant would yield up the demised premises at the expiration or termination of the said term in good and tenantable repair and condition, reasonable wear and tear damage by fire excepted. There was a further term in the said lease that the tenant would not make any additions or alterations to the premises without the written consent of the landlords.

4. The appellant craves leave to refer to the said lease for its full terms and effect at the hearing of this appeal.

5. The tenant wished to make various alterations and additions to the premises for the purpose of its business, and such consent was given by the owners on condition that at the end of the lease, the tenant would remove all the alterations and additions at its own cost, and would restore the premises to their previous condition.

6. When the lease expired on or about 14 April 1967, negotiations took place between the appellant and the tenant as to the amount of restoration work and repairs, which the tenant was under a duty to carry out under the terms of the lease. Instead of actually carrying out the said restoration work and repairs, the tenant agreed to pay to the appellant the said sum of Shs. 16,500/-.

7. Soon after, the appellant entered into negotiations for the sale of the said plot and the buildings thereon, and in fact, sold the said plot, together with the buildings thereon in the same condition as they were in at the end of the lease to the E.A. Building Society Ltd., in July 1967 for Shs. 300,000/-. The purchase price was depressed by the fact, that the tenant had not carried out the restoration, and repair work, the tenant paid the said sum of Shs. 16,500/- in lieu. Considerable restoration and repair work and alterations had to be carried out by the said E.A. Building Society Ltd., before they could use the premises.

8. At the hearing hereof, the appellant will produce oral and/or documentary evidence, including the said lease and other documents, relating to the subject matter of this Appeal.

The grounds of appeal are:

(*a*) The said assessment (and the said decision) is erroneous in law in that it upholds the contention that Shs. 16,500/-, paid by the tenant to the appellant in lieu of restoration and repairs which the tenant was under a duty to carry out under the lease, was to be treated as income and should accordingly be taxed. The said sum was in the nature of the capital, and should not be taxed.

(*b*) The said assessment (and the said decision) is erroneous in law in holding that the said payment was a gain or profit attracting tax, either under the provisions of s. 3 and/or s. 6 and/or any other section of the East African Income Tax (Management) Act 1958.

The evidence of Mr. K. B. Patel, a director of the appellant, was that in 1962 he and his brother were the owners of a building in, as it was then, Victoria Street, Nairobi and they leased the building to Kosangas (Kenya) Ltd. who I will refer to as Kosangas for 5 years from 15 April 1962, at a rent of Shs. 2,600/- a month. Later in the same year Mr. Patel and his brothers assigned the property to the appellants, of which company they became directors.

At the time when Kosangas took the lease they wanted to alter the premises and it was agreed that they could do so subject to obtaining the consent of the City Council to the plans and to their restoring the building to its original state at the end of the lease. The alterations were agreed and they were:

1. The shop windows each side of the entrance door were set back at an angle.
2. Concrete slabs were put behind the shop windows and along the sidewalks.
3. Semicircular concrete decorations were put on the side walls.
4. An artificial ceiling installed.
5. Wood and glass office partitions built.
6. At the back a concrete half height wall was built.

Items 2 and 3 were for the purpose of displaying Kosangas's cookers and other stock.

When the lease was nearing its end there were discussions between the architects for Kosangas and for the appellant's regarding restoring the premises to their original state and eventually a sum of Shs. 16,500/- was agreed as being the cost of this work which involved taking out the front show-cases and restoring them to their original position, the windows and entrance door being level with the pavement, taking out the concrete platforms leaving the floor level as it was before, taking down the semi-circular decorations to the side walls and making good the walls to their original flat condition, taking out the office partitions and removing the low wall at the back. Kosangas is a subsidiary of Esso Standard Kenya Ltd. and the latter firm paid the Shs. 16,500/- and 5 weeks rent, the voucher attached to the cheque stating "Restoration of Premises and loss of rent compensation payable to D. Ltd."

Kosangas having vacated the premises the appellants considered occupying them themselves, but instead sold them without carrying out the restoration work to the East African Building Society who reconstructed the premises to their own requirements. Mr. Patel said that had the premises been restored to their original condition the appellants would have obtained an additional £2,000 for the building.

Clause 3 (3) of the lease under which Kosangas held the premises is:

> "To keep the interior of the demised premises including floors, walls ceilings and all windows doors locks fasteners water-closets cisterns pipes drains fittings and fixtures therein and all additions thereto and appurtenances thereof clean and tidy and in good and tenantable repair and condition (fair wear and tear excepted) and to do all repairs and work necessary to put and keep the same in such repair and condition. The tenant hereby consents to the landlords' appointing their own architect in order to assess the state and condition of the demised premises after the completion on or before 15 May 1962 of such alterations and additions to the demised premises as are authorised in writing by the landlords such architect's fees to be paid by the tenant;"

and cl. 3 (*g*) is:

> "Not to injure cut or maim any of the walls floor or ceiling of the demised premises nor to make any addition or alteration to the demised premises not to permit any of the foregoing to be done without the written consent of the landlords;"

I find that all of the work carried out by Kosangas which I have referred to above came under Cl. 3 (*g*) and that the Shs. 16,500/- was a reasonable estimate of the cost of restoring the premises to the condition in which they were before

this work was done. I find further that, the additions and alterations being of use only to Kosangas, depreciated the value of the building and had the appellants expanded the Shs. 16,500/- on restoring the building to its original state it would have commanded a commensurating higher price on sale.

The issue can be stated quite simply:

1. Was the payment capital or income?
2. If it was income
   (*a*) is it a permissible deduction under s. 14 of the Act? If so,
   (*b*) must the sum be expended before it can be allowed as a deduction?

The decision whether a particular sum is capital or income is not an easy one, and the difficulty is well expressed by Lord MacDermot in the case of *Harry Ferguson* (*Motors*) *Ltd. v. I.R.C.*, 33 T.C. 15, at p. 12:

> "During the debate many cases were cited in which a decision was reached as to whether particular payments were capital or income. We do not propose to review those authorities. They set up no conclusive test of general applicability and it is fruitless to argue from the facts of one instance to the differing facts of another. There is, so far as we are aware, no single, infallible test for settling the vexed question whether a receipt is of an income or capital nature. Each case must depend on its particular facts and what may have weight in one set of circumstances may have little weight in another. Thus, the use of the words 'income' and 'capital' are not necessarily conclusive; what is paid out of profits may not always be income; and what is paid as consideration for a capital asset may, on occasion, be received as income. One has to look to all the relevant circumstances and reach a conclusion according to their general tenor and combined effect."

A number of principles do emerge and these are such as that the test is the quality of the payment in the hands of the recipient. For instance the price of a van received by a motor dealer is an income receipt of his trade, the van purchased by a grocer for the purpose of his trade becomes a capital asset. Another principle is that the fact that compensation has been calculated on the basis of profits that would have been earned had the event which gave rise to the compensation not occurred is not material in determining the nature of the compensation. Then there is the basic principle that if the receipt or profit is specifically charged the name given to a transaction will not obscure its real nature.

Two cases concerning the quality of the payment in the hands of the recipient are of interest. The first is *Burmah Steam Ship Co. Ltd. v. I.R.C.*, 16 T.C. 67 where, at p. 71 Lord Clyde spoke of an instance of a breach of charter and damages paid therefore being an injury inflicted on the shipowners trading and to make a "hole" in his profits, and continued:

> ". . . Suppose on the other hand, that one of the appellant's vessels was negligently run down and sunk by a vessel belonging to some other shipowner, and the appellant recovered as damages the value of the sunken vessel, I imagine that there could be no doubt that the damages so recovered could not enter the appellant's profit and loss account because the destruction of the vessel would be an injury inflicted, not on the appellant's trading, but on the capital assets of the appellant's trade, making (so to speak) a hole in *them* and the damages could therefore – on the same principles as before – only be used to fill *that* hole."

The second case is *I.R.C. v. West*, 31 T.C. 402. In that case certain fishing boats were requisitioned by the Admiralty there being an understanding to restore them

to the owner in the same condition as they were when they were requisitioned. Instead of restoring the vessels they were handed back to the owners as they were, they being paid a lump sum estimated to be the cost of reconverting them and making good damage so as to bring them to their pre-requisition state.

At p. 414 Lord Cooper said:

> "From whatever angle these sums are regarded I am unable to understand on what principle they could be treated as trading receipts. The test may not be a final one, but the question may be asked whether any competent auditor would have approved of these sums being carried to the credit of a profit and loss account and distributed as profits available for dividend. So far from being revenue earnings these sums are the monetary equivalent of the partial destruction of the capital asset with which the owner earned trading receipts, and the estimated cost price of restoring that asset to a condition in which it can once again be employed in the owners' normal peacetime pursuit of herring."

The owners of the vessels only expended part of the sums received from the Admiralty and the argument put forward on behalf of the Commissioners, as it was put before me, was that had they been expended on carrying out the work for which they were paid they would be allowed as a deduction. On this aspect of the case Lord Cooper, at p. 415 said:

> "The Inland Revenue were prepared to admit as a deduction against the sums in question whatever sums might have been actually expended in executing the repairs; but I am at a loss to understand what concern the Inland Revenue have with the expenditure of the money, or why the owner should suffer if, perhaps through shortage of labour or materials, the money is not expended in full, or even if the owners decide to save some of the money and keep a depreciated ship."

The concession that the sum is expended on carrying out the work for which it had been paid would be allowed as a deduction does not relate to the issue whether or not the sum is a capital one, it presupposes that it is income and that is made very clear in Lord Keith's judgment at pp. 417 – 418:

> "It was part of the argument for the Revenue that in any contract of hiring there was commonly included in the sum agreed for the hire a capital element to compensate the owner for the wear and tear suffered by the thing hired in the use for which it was hired. But nonetheless, it was said, the whole of the hire paid was treated for revenue purposes as a trading receipt. Apart from special statutory exceptions no depreciation charge was recognised as a deduction from the hire received or the profit earned."

This was the basis of Mr. Khaminwa's argument. He referred me to cl. 3 (*e*) of the lease and said this money is in respect of repairs, it was paid by the tenant and was as a result profit earning and only that part of it actually expended on carrying out the repairs can be claimed and then as a deduction. Lord Keith continued saying that so far he was in agreement with the Revenue's contention and with respect I agree also. If, for instance, the appellants had received £2,000 rent during the tax year and claimed £100 for the cost of repairing broken windows, smashed sanitary fittings etc., they would not be allowed a deduction from the rent unless they had spent the £100 on repairing the broken windows etc. As was pointed out by Lord Keith there would be no hardship on the taxpayer because when he comes to carrying out the repairs and replacements caused by wear and tear the cost of these would be allowed as a trading expense, that is as a deduction. Then Lord Keith continues, referring to the issue capital or income:

> "The argument then took an expanded form as I understood it. A payment made by the user of the thing hired to compensate the owner for extraordinary damage caused by excessive or negligent or unforeseen use, or possibly by abnormal but contemplated use, of the thing hired, was as much a trading receipt, it was said, even though paid in the form of a lump sum, as the ordinary hire paid for normal use. But here I part company with counsel for the Revenue. Leaving aside the exceptional case where the owner agrees to the use of his property for some clearly abnormal purpose, subjecting it to risk of loss or serious damage for which in return he could be expected to stipulate for a payment proportionate to risk, I cannot agree that a sum paid for damage caused by abuse or a non-stipulated use of the thing hired is a trading receipt. It is money paid to enable the owner to restore his property, if possible, to the condition in which it may again become suitable for use or hire, or if restoration is impossible, to compensate him for the loss or depreciation of a profit-earning subject."

It is not suggested that the premises in this case were let for a clearly abnormal purpose, subjecting it to the risk of loss or serious damage. Such a case, as I understand it, is where for instance premises worth £1,000 p.a. are let to be used for electro-plating at £2,000 a year it being recognised that the acid fumes will damage the fabric.

Once it has been decided that a sum is a capital receipt the expenditure of the money is not an issue. This was made clear by Lord Cooper in the passage which I have set out above and at pp. 418 – 419 Lord Keith said:

> "It was I think essentially a capital receipt intended to enable the owners to convert the vessel from whatever war purpose she had been used for back to her use as a fishing vessel and to make good the damage to her in the course of the requisition. It is true that the owners have not expended all the money received for these purposes. I can see several possible reasons for this. But that does not affect the question."

Considering the quality of the payment in the hands of the appellant in the case before me I am of opinion that the additions and alterations made by Kosangas was a depreciation to the capital value of the appellant's premises. To employ Lord Clyde's illustration in the *Burmah Steam Ship* case the work carried out by Kosangas made a hole in the appellant's capital asset and the payment of Shs. 16,500/- served to fill that hole and was capital. Then adopting the reasoning of Lord Keith in *West's* case the Shs. 16,500/- was money paid to enable the appellants to restore their property to the condition in which they were at the commencement of the lease so that they might again become suitable for letting in the open market, and again was capital in the hands of the appellant.

The sum being a capital receipt it is not relevant whether or not it was spent and, not being income the question of it being a permissible deduction does not arise.

The appeal is allowed, the decision of the Local Committee is reversed and the assessment is amended accordingly. The respondent is to pay the appellants' costs.

Order accordingly.

For the appellant:
AE Hunter (instructed by *Daly & Figgis*, Nairobi)

For the respondent:
JM Khaminwa (Principal Assistant Legal Secretary)

Kantilal v Eagle star insurance Co Ltd
[1971] 1 EA 461 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	27 October 1969
Case Number:	866/1968 (126/71)
Before:	Simpson J
Sourced by:	LawAfrica

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[1] Insurance – Motor insurance – Compulsory third party insurance – Action by injured third party – Driver not authorised and use of vehicle outside limitation of use – Insurance company bound to pay – Insurance (*Motor Vehicles Third Party Risks*) *Act* (*Cap.* 405), *ss.* 8, 10 (*K.*).

Editor's Summary

The defendant insurance company was sued on a judgment properly obtained against its insured in respect of damages for injuries liability for which was required to be covered by third party insurance. The defendant contended that it was not liable to meet the judgment by reason of the admitted facts that the vehicle was being driven by an unauthorised driver and contrary to the policy's limitations as to use. The plaintiff contended that the exceptions were ineffective by reason of s. 8 of the Act, and the defendant asked the court not to follow *New Great Insurance Co. of India v. Cross* (1) as there was no ratio decidendi in that case.

Held –

(i) agreement with the judgment of Newbold, V.-P. is implicit in the judgment of Crabbe, J.A., in *New Great Insurance Co. of India v. Cross* (1) and accordingly the ratio of the case is contained in the former's judgment;

(ii) neither the exception of authorised driver nor that of the limitation on use protected the defendant.

Judgment for the plaintiff.

Case referred to judgment

(1) *New Great Insurance Co. of India v. Cross*, [1966] E.A. 90.

Judgment

Simpson J: On 31 January 1965, a collision occurred on the Nairobi to Thika road between the plaintiff's motor car and a motor car number KAP 903 belonging to Jonah Thambuku and driven by Carthew Wambugu in his capacity as servant of Jonah Thambuku and in the course of his employment. The plaintiff who was a passenger in his own car was severely injured.

The plaintiff subsequently instituted legal proceedings against Jonah Thambuku and Carthew Wambugu, to recover damages in respect of personal injuries.

On 27 March 1968, judgment was entered in favour of the plaintiff against John Thambuku and Carthew Wambugu jointly and severally.

This judgment and decree are wholly unsatisfied.

By a policy of insurance dated 11 May 1964 and issued by the defendant company to Jonah Thambuku the defendant agreed in consideration of the payment of the premium of Shs. 240/- to

insure Jonah Thambuku in respect of *inter alia* any liability at law for damages, compensation, costs or expenses

which might be incurred by the insured in respect of the death of or bodily injury to any person caused by or arising out of the use on a road of motor car of which the insured was the owner.

The defendant company is an authorised insurer within the definition of s. 5 (*a*) of the Insurance (Motor Vehicles Third Party Risks) Act (Cap. 405) and the liability covered is such as is required to be covered by a policy of insurance under s. 5 (*b*) of that Act.

A certificate of insurance in respect of this policy was duly issued in pursuance of the provisions of s. 7 of the Act. This policy and certificate were in force on 31 January 1965, the date of the accident.

Due notice of the bringing of action by the plaintiff against Jonah Thambuku, the insured, was given to the defendant company as required by s. 10 of the Act.

The plaintiff accordingly claims that by virtue of the provisions of that section the defendant company is liable to pay him the sum of Shs. 426,800/- together with interest thereon in terms of the judgment, and he seeks a declaration to that effect.

The defendant company while admitting the foregoing facts resists the claim on two grounds.

First. Under the general exceptions clause in the policy it is provided that the company shall not be liable in respect of any accident, loss, damage or liability caused, sustained or incurred whilst the motor vehicle is being driven by any person other than an authorised driver. Authorised driver is defined in the Schedule to the policy as the insured only.

The vehicle was at the time of the accident being driven by an employee of the insured.

Second. The same general exceptions clause provides that the company shall not be liable in respect of any accident, loss, damage or liability caused, sustained or incurred whilst the motor vehicle is being used otherwise than in accordance with the limitations as to use.

In the Schedule these are stated to be, “use only for social, domestic and pleasure purposes.”

The insured’s vehicle it is conceded was at the time of the accident being used for business purposes.

For the plaintiff it was contended that these exceptions relied upon by the defendant were ineffective because of the provisions of s. 8 of the Act.

Section 8 reads as follows:

> “8. Any condition in a policy of insurance providing that no liability shall arise under the policy, or that any liability so arising shall cease in the event of some specified thing being done or omitted to be done after the happening of the event giving rise to a claim under the policy, shall as respects such liabilities as are required to be covered by a policy under section 5 of this Act, be of no effect:
>
> Provided that nothing in this section shall be taken to render void any provision in a policy requiring the persons insured to repay to the insurer any sums which the latter may have become liable to pay under the policy and which have been applied to the satisfaction of the claims of third parties.”

Section 5, so far as is relevant provides that a policy of insurance to comply with s. 4 of the Act (which makes it unlawful for any person to use a motor vehicle on a road unless the user of the vehicle is insured in respect of third party risks) must be a policy which:

> "(*b*) insures such person, persons or classes of persons as may be specified in the policy in respect of any liability which may be incurred by him or them in respect of the death of, or bodily injury to, any person caused by or arising out of the use of the vehicle on a road."

It was submitted for the plaintiff that the policy, as it was required to do, insured the use of the vehicle by the insured irrespective of the person who was actually driving and the purpose for which it was being used and that the exceptions clause constituted conditions hit by s. 8 of the Act.

Mr. Mackie-Robertson for the defendant company argued persuasively and at some length that the exceptions clause merely laid down the extent of the cover provided; it defined the use of the vehicle. The legislation he submitted did not impose on insurers a greater risk than they had contracted to bear. He invited me to disregard the decision of the Court of Appeal in *New Great Insurance Co. of India v. Cross*, [1966] E.A. 90 on the ground that there is no ratio decidendi and that nothing was decided except as between the parties to that case.

The first question I have to decide therefore is whether I can disregard this decision. If I am bound by that decision it would serve no useful purpose to express my own views or to consider further Mr. Mackie-Robertson's interesting argument.

In that case "authorised driver" in the policy was defined as the insured and:

> "Any person driving on the insured's order or with his permission:
>
> Provided that the person driving is permitted in accordance with the licensing or other laws or regulations to drive the motor vehicle or has been so permitted and is not disqualified by order of a court of law or by reason of any enactment or regulation in that behalf from driving the motor vehicle."

The motor vehicle was at the time of the accident in question being driven by a person with the permission of the owner but one who was disqualified from holding a licence.

Newbold, V.-P. (as he then was) held that this proviso must be treated as a condition coming within s. 8 and the effect of that section was:

> "that a condition in a policy of insurance providing that no liability shall arise under the policy is ineffective, in so far as it relates to such liabilities as are required to be covered by a policy under s. 5 (*b*) of the Act and in so far as any such condition is prayed in aid to avoid liability to a third party who has been injured."

With respect to s. 5 (*b*) as read with s. 4 he said:

> "it seems to me that the only possible construction of these two sections is that a statutory duty is imposed upon, *inter alia*, the owner of a vehicle to cover by insurance any liability which that owner may incur in respect of injury to third parties arising from the use of the vehicle on the road by such person, persons or classes of persons as may be specified in the policy."

De Lestang, J.A. (as he then was) dissented.

Crabbe, J.A. agreed with the conclusion of the Vice-President in a judgment in which, it was submitted by Mr. Mackie-Robertson, none of the reasoning of the Vice-President was accepted.

As I understand this judgment Crabbe, J.A., found that by virtue of ss. 4 and 5 of the Act it is the use of the car, not the driver, which has to be covered by a

policy of insurance, that the use of the car was duly covered by a valid policy and that s. 10 gave the injured parties a right to recover from the insurers which was not excluded by the restriction which the insurers purported to put on the class of persons permitted to drive the car.

The following passage is I think relevant with respect to the restriction (contained in the policy in the instant case) to use for social, domestic and pleasure purposes.

> "In my opinion," the judge said, at p. 103B:
>
> "any disregard of the restriction on the user of the vehicle would only entitle the insurers to avoid or cancel the policy vis-a-vis the insured, but the insurers would not be exempted from the liability to a third party which they were required under s. 5 (*b*) of the Act to cover."

Agreement with the opinion of Newbold, V.-P. is I think implicit in the judgment of Crabbe, J.A.

Although no reference to s. 8 of the Act is to be found in the latter's judgment he could not have reached the conclusion he did had he not agreed with Newbold, V.-P.'s interpretation of s. 8 of the Act.

In my opinion I am bound by the majority decision in the case.

I hold that the plaintiff is not precluded by the general exceptions clause in the policy from recovering the sum claimed by him by virtue of the provisions of s. 10 of the Act.

There will therefore be a declaration as prayed that the defendant company is liable to pay to the plaintiff the decretal amount awarded to the plaintiff against Jonah Thambuku by virtue of the provisions of s. 10 (1) of the Insurance (Motor Vehicles Third Party Risks) Act (Cap. 405).

Judgment for the plaintiff.

For the plaintiff:
GR Shah (instructed by *Shah & Shah*, Nairobi)

For the defendant:
JA Mackie-Robertson, QC and *AE Hunter* (instructed by *Daly & Figgis*, Nairobi)

Chandulal v Republic
[1971] 1 EA 465 (HCK)

Division:	High Court of Kenya at Mombasa
Date of judgment:	2 July 1971
Case Number:	23/1971 (127/71)
Before:	Mosdell J
Sourced by:	LawAfrica

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[1] Criminal Practice and Procedure – Charge – Defect – Exchange Control – Four types of currency charged in one count – Should be separate counts.

[2] Criminal Practice and Procedure – Plea – Equivocal – Exchange Control charge not constituting offence – Exchange Control Act (*Cap.* 113), *s.* 4 (*K.*).

[3] Exchange Control – Person entitled to sell foreign currency – Entitlement only from permission by Central Bank – Exchange Control Act (*Cap.* 113), *s.* 4 (*K.*).

Editor's Summary

The appellant was a shopkeeper who was found in possession of specified foreign currency. He was charged that as a person entitled to sell foreign currency he had failed to offer it to an authorised dealer. This single charge covered four types of foreign currency. The appellant purported to plead guilty and on appeal it was contended that the plea was equivocal. The appellant had no permission from the Central Bank of Kenya to sell foreign currency and it was contended that he could not therefore be guilty of an offence under s. 4 (1) Exchange Control Act (Cap. 113), and that the words of the section were not explained to the appellant. For the respondent it was argued that any person in or resident in Kenya in possession of specified foreign currency is authorised to sell it.

Held –

(i) the words of the charge had not been adequately explained to the appellant;

(ii) the appellant was not a person entitled to sell specified foreign currency and therefore could not be guilty of the offence charged;

(iii) there should be different counts covering different types of foreign currency.

Appeal allowed.

Case referred to judgment

(1) *Chunilal v. Republic*, [1971] E.A. 469.

Judgment

Mosdell J: On 11 March 1971 in the court of the senior resident magistrate, Mombasa, the appellant purportedly pleaded guilty to an offence contrary to s. 4 (1) and para. 1(1) of Part II of the Fifth Schedule of the Exchange Control Act (Cap. 113) (hereinafter called the "Act"). He was convicted and sentenced to two years' imprisonment. The foreign currency concerned was ordered to be forfeited.

The main issue in this appeal is whether or not the appellant's plea was equivocal.

Section 4 (1) of the Act reads as follows:

> "4. (1) (*a*) Every person in or resident in Kenya who is entitled to sell, or to procure the sale of, any gold, or any foreign currency to which this section applies, and is not an authorised dealer shall offer it, or cause it to be

offered, for sale to an authorised dealer, unless the Minister consents to his retention and use thereof or he disposes thereof to any other person with the permission of the Minister.

(*b*) The foreign currency to which this section applies is such foreign currency (in this Act referred to as specified currency) as may from time to time be specified by order of the Minister."

The fiscal terminology of such legislation is somewhat confusing but it appears to have been conceded both by Mr. Rana, for the State and Mr. Kapila, for the appellant, that entitlement to sell or procure the sale of, specified foreign currency in Kenya can arise from accepting it in payment for goods or services.

The particulars of offence read as follows:

"*Chandulal Jeshang Shah*: On or about the 7 January 1971 in Kenya, being a person resident in Kenya, and entitled to sell, or to procure the sale of certain specified foreign currency namely, United Kingdom pounds £470, United States dollars $1,957, German Deutschmarks 20 Dm and Kuwait dinars 5 and not being an authorised dealer, failed to offer, or cause to be offered, the said currency for sale to an authorised dealer, without the Minister consenting to his retention and use of the said currency or permitting his disposal of the said currency to another person."

All this foreign currency has been specified by the Minister under s. 4 (1) (*b*) of the Act. The issue here, as I see it, turns on the construction to be placed on the words "entitled to sell or to procure the sale of" in s. 4 (1) (*a*) of the Act. The section only applies to those persons who are entitled to sell or procure the sale of gold or foreign currency as specified. Was the appellant such a person? Mr. Rana submitted that he was; Mr. Kapila that he was not. If he was not, the appellant has not committed an offence contrary to s. 4 (1) (*a*). Mr. Rana submitted that any person in, or resident in, Kenya who is in possession of specified foreign currency is entitled to sell it or procure its sale and hence had to comply with the provisions of s. 4 (1) (*a*) of the Act. Mr. Kapila, on the contrary, submitted that only those persons in, or resident in, Kenya who have permits to accept specified foreign currency are entitled under s. 4 (1) (*a*) to sell or procure the sale of it and hence had to comply with the latter's provisions. Were it otherwise, Mr. Kapila submitted, the whole object of s. 4 (1) of the Act would be defeated.

I was referred to Exchange Control Circular No. 7 contained in a booklet entitled "Exchange Control Administrative Notices and Instructions" (4th Edition). The introduction of this booklet reads as follows:

"This series of Administrative Instructions is issued in the form of Circulars by the Kenya Exchange Control Authority to draw attention in convenient form to the Law contained in the Exchange Control Act (Cap. 113) and Orders made thereunder, and by virtue of powers delegated to the Assistant Secretary (Exchange Control) by the Minister for Finance under section 3 of the Transfer and Delegation of Powers Act 1955, by L.N. 411/1957, to give certain exemptions, permits. consents, authorities and directions (including directions imposing certain requirements on banks and others) under section 36 of the Exchange Control Act. It should be construed accordingly,"

Paragraph 1 of the said Circular reads as follows:

"1. Under the Exchange Control Act (Cap. 113) no transaction in foreign currency is legal, except with the express permission of the Minister for Finance, unless one of the parties thereto is an authorised dealer, i.e.

> one of the recognized banks in Kenya. This means to say that the acceptance of foreign currency in whatever form in whole or part payment for goods and services rendered is forbidden by law, unless one of the parties to the permission of the Minister has been sought and obtained."

This paragraph supports the submission of Mr. Kapila as to who is "entitled to sell or procure the sale of" specified foreign currency. Indeed, in another appeal (*Chunilal v. Republic*) in which I shall be giving judgment in due course, the appellant, another shopkeeper, was given permission by the Central Bank of Kenya "to accept foreign currency, cheques or travellers' cheques in payment of whole or part, for goods or services provided" and hence, as I see it, became a person entitled "to sell or procure the sale of" specified foreign currency. It appears, however, that the appellant in the instant appeal had no such permission. He was, therefore, as it seems to me, not a person "entitled to sell or procure the sale of" specified foreign currency and hence, as s. 4(1) (*a*) of the Act only applies to persons in, or resident in, Kenya who are "entitled to sell or procure the sale of" specified foreign currency, was outside the ambit of s. 4 (1) (*a*) of the Act. Does this fact, however, render the appellant's plea an equivocal one? He was represented by Mr. Amin in the lower court proceedings and Mr. Amin appears to have been taken aback by his client's purported plea of guilty. The relevant portion of the record reads as follows:

> "The substance of the charge and every element of it has been stated by the court to the accused person who being asked whether he admits or denies the truth of every element of the charge replies: 'I plead guilty'.
>
> *Amin*: I understand accused is pleading guilty.
>
> *Court*: Accused found guilty on plea."

Though the words "the substance of the charge etc." appear on the record, in fact they form the part of the printed "plea form" being "Criminal 113" and appear on the record whenever such a form is used. I doubt very much if in fact the printed words to which I have referred were applicable in this case. I doubt very much if the words of s. 4(1) (*a*) of the Act, namely, "entitled to sell or procure the sale of" were explained to the appellant who would appear to have disregarded the advice of his advocate. In a case such as this where the offence has many technical implications it is particularly important that the substance of the charge and every element of it should be explained to an accused. I do not think this was done in the instant case. I hold, therefore, that the appellant's plea was equivocal. This would be sufficient to dispose of his appeal in the appellant's favour but as other matters were raised, I will refer to some of them.

As to the number of counts in the charge. In fact there was only one count covering four different types of foreign currency. It seems, therefore, that it would have been better had there been four counts in the charge. However, no injustice was occasioned to the appellant by reason of the fact that only one count was laid and the defect is remediable under s. 382 Criminal Procedure Code.

As to duplicity. As I understand him, Mr. Kapila, *inter alia*, submitted that as the particulars of offence were framed in the alternative the charge is duplex. With respect, I do not think this is so. Such drafting is specifically permissible under s. 137 (*b*) (1) Criminal Procedure Code.

Much emphasis was laid on para. 5 of the circular to which I have referred. This reads as follows:

> "5. For the convenience of travellers, certain airlines, hoteliers and

> travel agents have been authorized to provide cash exchange facilities for visitors in urgent cases at the current rate of exchange, but they are under the obligation to offer all foreign currency that comes into their possession in this way to an authorized dealer within forty-eight hours."

This paragraph appears to me to be irrelevant in the instant case. The appellant is a shopkeeper not an airline, hotelier or traveller agent. I observe, however, that in *Chunilal v. Republic*, [1971] E.A. 469 the typescript permission given by the Central Bank of Kenya to the appellant contains the provision that:

> "You should sell all foreign currencies purchased to an authorised dealer within two days of the date of purchase. You are not permitted to sell foreign currencies purchased to any person other than an authorised dealer."

Paragraph three thereof. The 48 hour period of grace would appear, therefore, to stem not from para. 5 of the said circular but from para. 3 of the typescript permission from the Central Bank of Kenya, if and when issued.

Lastly, I would add that though the appellant does not appear to have committed an offence under s. 4(1) (*a*) of the Act, he may well have committed an offence under s. 3 (1), *ibid*.

In the light of the above named considerations, I accordingly quash the conviction and set aside the sentence. Unless lawfully held in custody in connection with another matter, the appellant must be set at liberty forthwith. The forfeited foreign currency must be returned to him unless required as an exhibit in subsequent proceedings.

Appeal allowed.

For the appellant
AR Kapila (instructed by *S Ghalia*, Mombasa)

For the respondent:
MR Rana (Senior State Counsel)

Chunilal v Republic
[1971] 1 EA 469 (HCK)

Division:	High Court of Kenya at Mombasa
Date of judgment:	2 July 1971
Case Number:	22/1971 (128/71)
Before:	Mosdell J
Sourced by:	LawAfrica

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[1] Criminal Practice and Procedure – Plea – Equivocal – Failure to sell foreign currency within two days – Possibly obtained in two days – Plea equivocal – Exchange Control Act (*Cap*. 113), *s*. 4 (*K*.).

Editor's Summary

The appellant was a shopkeeper who had permission from the Central Bank of Kenya to accept foreign currency in payment. His permission specified that all foreign currency should be sold to an authorised dealer within two days. Amounts of various foreign currencies were found in his possession and he was charged with failing to offer the currency for sale to an authorised dealer. In the outline of the facts the prosecution repeated the appellant's statement that he had collected the foreign currency during the preceding six days. For the appellant it was contended that his plea of guilty was equivocal since the currency or part of it could have been collected during the previous two days.

Held – as it was not known beyond doubt when the currency was collected the plea was equivocal.

Appeal allowed.

Case referred to judgment

(1) *Chandulal v. Republic*, [1971] E.A. 465.

Judgment

Mosdell J: The appellant was charged in the court of the senior resident magistrate, Mombasa with an offence contrary to s. 4 (1) (*a*) and para. 1 (1) Part II of the Fifth Schedule of the Exchange Control Act (Cap. 113) (hereinafter called "the Act") on 11 March 1971. On the same day he purportedly pleaded guilty, was convicted and sentenced to three years' imprisonment. The foreign currency concerned was all forfeited.

In contrast to the appellant in *Chandulal v. Republic*, [1971] E.A. 465 the appellant here had permission "to accept foreign currency, cheques, or travellers' cheques in payment of whole or part, for goods or services provided" at the material time. He was, therefore, as it appears to me, a person "entitled to sell or procure the sale of" foreign currency under s. 4 (1) (*a*) of the Act. He could, therefore, only be properly convicted of an offence contrary to s. 4 (1) (*a*) and para. 1 (1) of Part II of the Fifth Schedule of the Act were he to break any of the conditions upon which he was authorised to accept foreign currency. Section 4 (1) (*a*) of the Act reads as follows:

> "4. (1) (*a*) Every person in or resident in Kenya who is entitled to sell, or to procure the sale of, any gold, or any foreign currency to which this section applies, and is not an authorised dealer, shall offer it, or cause it to be offered, for sale to an authorised dealer, unless the Minister consents to his retention and use thereof or he disposes thereof to any other person with the permission of the Minister.
>
> (*b*) The foreign currency to which this section applies is such foreign

currency (in this Act referred to as specified currency) as may from time to time be specified by order of the Minister."

The breach of any of the conditions appertaining to the permission granted to him is made an offence by virtue of para. 1 (1) of Part II of the Fifth Schedule of the Act.

One of the conditions upon which the appellant could have legally been in possession of foreign currency on 5 January 1971, when he was allegedly found in illegal possession of it, was para. 3 of the typescript permission, granted to him by the Central Bank of Kenya, which reads as follows:

> "3. You should sell all foreign currencies purchased to an authorised dealer within two days of the date of purchase. You are not permitted to sell foreign currencies purchased to any person other than an authorised dealer."

The appellant, therefore, if found in possession of foreign currency as listed in the particulars of the offence (all of which has been specified by the Minister under s. 4 (1) (*b*) of the Act), and there is no dispute that he was so found, would have committed an offence only if he had retained it beyond the permitted two days or 48 hours. It is in regard to this matter that Mr. Kapila, for him, has submitted that the appellant's plea was equivocal.

From the outline of facts given by the Deputy Public Prosecutor, Mr. Karugu, it appeared that on 5 January 1971, the appellant was visited by police officers in his shop in Kilindini road in Mombasa, known as "Articraft" and was asked if he had any unregistered foreign currency. The police officers having seen the register and the appellant having denied he had any foreign currency not appearing in his register, various searches were made in the premises and varying amounts of different unregistered foreign currency were found. Some of the foreign currency found having been entered in the register, which the appellant was required to keep, the police were satisfied he was in lawful possession of it. Other foreign currency not being so registered was the subject matter of the charge.

The particulars of offence read as follows:

> "*Chunilal Pethraj Shah*, on or about 5 January 1971, in Kenya, being a person resident in Kenya, and entitled to sell, or to procure the sale of certain specified foreign currency namely, United States of America dollars $11,375, Canadian dollars $70, United Kingdom pounds £413, Japanese Yen 75,000, and German Deutschmarks 2,345 Dm and not being an authorised dealer, failed to offer, or cause to be offered, the said currency for sale to an authorised dealer, without the Minister consenting to his retention and use of the said currency or permitting his disposal of the said currency to another person."

The total local equivalent value of this foreign currency was stated to be Shs. 101,569/-, a sizeable sum.

According to the record, in the outline of facts it is stated that the appellant told the police officers that he "collected" all the foreign currency listed in the particulars of offence "from 31 December 1970 to 5 January 1971". It is not clear, from the record, whether or not the prosecution accepted the veracity of this statement from the appellant, but it is from this statement that stems the submission by Mr. Kapila that the appellant's plea was equivocal. It also has a bearing on the lack of more than one count in the charge. If all the foreign currency mentioned in the particulars of offence had been "collected" within the 48 hours immediately preceding the time when it was found in the appellant's

possession by the police officers on 5 January 1971, then the appellant would have committed no offence. The trouble is, submitted Mr. Kapila, we do not know from the particulars of offence or from the outline of facts when the appellant "collected" what. Did he receive, for example, the $11,375 United States dollars before or during the 48 hour period of grace? The same question can be asked concerning the other foreign currency found in the appellant's possession and unregistered, hence the plea was equivocal: so the argument runs. It was an omnibus plea to what might, or might not, have been several separate offences.

The question was raised as to the person upon whom, lay the burden of proving that the 48 hour period of grace had or had not been exceeded? Mr. Rana submitted that it lay on the appellant to prove it had not. Mr. Kapila that it lay on the prosecution to prove the converse. Mr. Rana submitted that the appellant should have proved that the 48 hour period of grace had not been exceeded by virtue of s. 111 of the Evidence Act (Cap. 80). Mr. Kapila submitted that this section had no application in the instant case. I think Mr. Rana is right here to the extent that, had there been no plea of guilty in the trial, the burden of proving that the 48 hour period of grace had not been exceeded would have been on the appellant, but as there was a purported plea of guilty here, no question as to where the burden of proof lay, therefore, arose.

In the face of the statement of the Deputy Public Prosecutor namely, "Asked where he got all from. Said collected from 31 December 1970 to 5 January 1971" and no further matter being stated to show the 48 hour period of grace must have been exceeded, in my view, the appellant's purported plea of guilty was rendered equivocal. I am not impressed with the argument that such a large sum of foreign currency must have been collected over a period much longer than that from 31 December 1970 to 5 January 1971. The point is, we do not know, beyond doubt, when any of the foreign currency was collected. It could, though it is unlikely, it must be admitted, have all been collected on 5 January 1971 before the police officers arrived or on 4 January 1971 or over both days. The 3 January 1971, was a Sunday when the appellant's shop may have been shut, but was it? This is a case, too, in which, by making all the different foreign currency found allegedly in the appellant's illegal possession the subject matter of one count, the appellant could be said to have been prejudiced. If in fact the foreign currency as a whole was collected at different times and dates between 31 December 1970 and 5 January 1971, some of it could well have been collected within the 48 hour period of grace.

The record shows that, after the outline of facts had been given, Mr. Kanji, for the appellant, said "Facts are admitted". What facts was he admitting? Equivocal facts it would seem. I think the magistrate, after the outline of facts had been given, should have allowed the appellant to change his plea. I think the earlier endorsement on the record after plea, namely, "guilty on plea" was intended to be "plea of guilty entered", for, later, after Mr. Kanji had said the facts are admitted, there appears on the record" Court – accused convicted as charged". Hence the appellant can be said to have been then convicted of the offence and prior to such an event he could have been permitted to change his plea.

It was submitted by Mr. Rana that the words in the outline of facts, namely, "Asked where he got *all* from" should have read "Asked where he got *this* from", as referring only to the foreign currency found "in a paper", but the original manuscript record has the word "*all*" not "*this*" and consequently I think the phrase must be construed as referring to all the foreign currency, the subject matter of the charge, and not merely that found "in a paper".

So then, I have reached the conclusion that the appellant's plea was equivocal.

Accordingly, I quash the conviction and set aside the sentence. However, I direct in addition, that the appellant be re-tried by a court of competent jurisdiction and that he be held in custody pending his re-trial.

Appeal allowed. Re-trial ordered.

For the appellant:
AR Kapila (instructed by *S Ghalia*, Mombasa)

For the respondent:
MR Rana (Senior State Counsel)

Shyam and others v New Palace Hotel Ltd
[1971] 1 EA 472 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	22 July 1971
Case Number:	16/1971 (131/71)
Before:	Spry V-P, Law and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Tanzania – Biron, J

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[1] Rent Restriction – Business premises – Whether lease of business or running concern as whole – Test whether landlord and tenant relationship constituted – Rent Restriction Act (*Cap*. 479) (*T*.).

Editor's Summary

The High Court on appeal from the Rent Tribunal held that the contract between the parties constituted a lease of a business or running concern as a whole and so was outside the ambit of the Rent Restriction Act (Cap. 479). The contract was in the form of a lease, for a fixed term with covenants to let and take on lease, to pay rent and for quiet enjoyment.

On further appeal:

Held –

(i) the fact that an agreement contains terms beyond the relationship of landlord and tenant is irrelevant;

(ii) the question is whether the relationship of landlord and tenant exists between the parties;

(iii) as the contract was on the face of it a lease and the relationship had not been rebutted, the Tribunal had jurisdiction.

Appeal allowed.

No cases referred to in judgment

Judgment

The considered judgment of the court was read by **Spry V-P:** This is an appeal from a judgment and decree of the High Court, holding that a contract between the parties constituted “a lease of a business or running concern as a whole”, not a lease of commercial premises, and that it was therefore outside the ambit of the Rent Tribunal established under the Rent Restriction Act (Cap. 479).

The tribunal, acting under the power conferred by s. 7 (1) (*b*) of the Act, had required the respondent company to apply for the determination of the standard rent of a building operated as an hotel under the name "New Palace Hotel". At the hearing of the application, it was submitted that the tribunal had no jurisdiction: the tribunal ruled that it had jurisdiction and there was no appeal from that ruling. The tribunal proceeded to assess the standard rent and the appellants then appealed against the decision.

At the beginning of the hearing of the appeal, the judge raised of his own motion the question whether the tribunal had had jurisdiction to entertain the application, and eventually decided, as we have said, that the matter had been one outside the ambit of the Act.

At the hearing of this appeal, Mr. Dastur, for the appellants, submitted that since the repeal of para. (*a*) of s. 7 (1), the tribunal has had no power to decide whether premises are within its purview, that power being reserved to the court, under s. 11A. With respect, we do not think that question is of any relevance to this appeal, as the High Court undoubtedly had jurisdiction to consider and adjudicate on the matter.

The contract between the parties was signed on 14 November 1966, at a time when the Act did not apply to business premises. In form, it is an ordinary lease: it is expressed to be for a fixed term, with an option for renewal; it defines the premises, thereafter referring to them as "the demised premises"; it contains an agreement to let, on the part of the respondent company, and to take, on the part of the appellants; it contains an agreement to pay rent, a covenant for quiet enjoyment and other provisions usual in leases.

The judge found on the evidence that the parties "regarded the arrangement between them as the lease of a business as a running concern operated from the suit premises and which premises constitute but part of the agreement as a whole." That may well be so, but, with respect, we do not think that answers the real question in issue. That question is, we think, whether as a result of the contract, the relationship between the parties was that of landlord and tenant of the suit premises. If the answer to that question is in the affirmative, then, we think, the Act applies and it is immaterial that there may be other parts of the contract that may be outside, and ancillary to, the relationship of landlord and tenant.

Mr. Lakha, for the respondent company, has sought to uphold the judge's decision. The essence of his argument is that the giving of possession to the appellants was merely incidental to the larger transaction relating to the business as a whole. Mr. Lakha went so far as to describe it as no more than a licence. He referred us to cases showing that it is possible for a licensee to have exclusive possession and therefore that exclusive possession does not point irresistibly to the existence of a tenancy.

With respect, we are not persuaded by this argument. *Prima facie*, the contract between the parties is an agreement for a lease. We can find nothing in the evidence to show that it was not what it appears to be. We accept that the contract between the parties may have included elements going beyond the landlord and tenant relationship, but that cannot take the tenancy outside the provisions of the Act. Such matters may be for consideration by the tribunal under s. 4 (2) of the Act or they may only be enforceable, if at all, by the courts: those are not matters that concern us on this appeal.

We think, with great respect, that the judge erred in thinking that if the relationship between the parties went beyond that of landlord and tenant, the Act did not apply. If the relationship of landlord and tenant existed, we think the tribunal had jurisdiction, and we have no doubt that that relationship

existed, whether it was part of a wider one, as alleged, or whether the transaction was basically a lease with certain additional elements.

Accordingly, the appeal is allowed, the judgment and decree are set aside and the proceedings are remitted to the High Court to hear and determine the appeal from the tribunal. The appellants are awarded the costs of this appeal but the costs in the High Court are to be determined by the High Court on the determination of the appeal to that court.

Order accordingly.

For the appellants:
PR Dastur (instructed by *Sayani, Balsara & Velji*, Dar es Salaam)

For the respondent:
MA Lakha (instructed by *Fraser, Murray, Roden & Co*, Dar es Salaam)

Hirji & Co v Panjwani
[1971] 1 EA 474 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	26 August 1971
Case Number:	25/1971 (133/71)
Before:	Spry V-P, Law and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Tanzania – Biron, J

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[1] Appeal – Preliminary issue – Decision on preliminary issue and not on application to strike out plaint – Appeal competent.

[2] Guarantee – Indemnity – No suit maintainable until actual loss suffered.

Editor's Summary

The respondent sued the appellant for damages for fraudulent misrepresentations in respect of a contract for the sale of a business. The equipment sold included boxes marked with a trade mark. The contract provided that the appellant would pay the respondent any sums he was called upon to pay by reason of the user of the trade mark.

The respondent sued for damages being the value of the boxes and loss of expected profits on the sales of soap in them.

The High Court decided that the claim for damages was maintainable as a preliminary issue of law or on an application to strike out the plaint.

On appeal:

Held –

(i) (Spry, V.-P. dissenting) the decision of the High Court must be taken to have been on a preliminary issue of law so that the appeal was competent;

(ii) the contract provided an indemnity between the parties if damages were claimed by a third party;

(iii) accordingly the respondent could only sue in respect of loss actually suffered by him.

Appeal allowed.

Case referred to judgment

(1) *Mukisa Biscuit Co. v. West End Distributors*, [1969] E.A. 696.

Judgment

The following considered judgments were read. **Law JA:** This appeal rises out of a suit in the High Court of Tanzania in which the respondent sued the appellant for damages for fraudulent misrepresentations allegedly made in connection with a contract entered into between the parties. The contract was for the sale by the appellant to the respondent of the goodwill and fixtures, fittings, chattels, machinery, equipment, accessories and all other assets of the appellant's business known as "Jaffer Soap Factory", Amongst those assets were a number of soap boxes bearing the trade mark "Simba". By cl. 5 of the agreement between the parties:

> "The purchaser shall be entitled to use the boxes and other equipment bearing the vendor's trade mark 'Simba' until the same are exhausted and the vendor hereby undertakes to repay to the purchaser any sums the purchaser might be called upon to pay on account of the use by the purchaser of the boxes and other equipment as stated hereinbefore."

This clause clearly constitutes a contract of indemnity within ss. 76 and 77 of the Law of Contract Ordinance (Cap. 433). The intention of the parties was that the respondent should use the soap boxes bearing the trade mark "Simba", but that if as a result of such user he became liable to pay any sum as damages for passing-off or infringement of trade mark, he would be entitled to be indemnified by the appellant.

In his plaint, the respondent pleaded amongst his particulars of false and fraudulent misrepresentations and warranties allegedly made by the appellant that the appellant had claimed to be entitled to use the trade mark "Simba"; he went on to plead that the appellant had no lawful right or title to use that trade mark, and that in consequence the boxes were useless. The respondent went on to claim in para. 9 of the plaint *inter alia* the following items of loss and damage:

> ....."(*a*) Value of the boxes made useless as per paragraph 6 ..... Shs. 12,162/-
>
> .....(*b*) Loss of profits on expected sales of Simba soap in the said boxes ..... Shs. 42,022/-

By consent of the parties, two issues of law arising out of the pleadings were tried first, apparently in accordance with O. 14, r. 2. I say "apparently", because it is not clear from the record whether the matter was dealt with in the High Court as a trial of preliminary issues of law under that order, or as an application to strike out the plaint under O. 7, r. 11 of the Civil Procedure Rules. The appeal was however argued before us by Mr. Lakha as arising out of a trial of preliminary issues of law, and no objection to this course was taken by Mr. Versi. I think we should accept the position as it was presented to us by the advocates, both of whom appeared in the court below, and which is to some extent confirmed by the wording of the formal order. The preliminary issues of law were, firstly, whether the plaint disclosed a cause of action, an issue which was decided in favour of the respondent and in respect of which no appeal has been brought. The second issue of law was whether the claim for damages in respect of the alleged uselessness of the boxes was maintainable. This issue was also decided in favour of the respondent, and forms the subject of the instant appeal.

In his ruling, the judge gave the following reasons for his decision:

> "Mr. Lakha is, I think, submitting that this part of the plaintiff's claim is premature. Apart from the fact, as submitted by Mr. Versi, that the claim referable to the use of the boxes and equipment is only part of the claim, with respect, I do not agree that it is incumbent on the plaintiff to wait

> until he is actually mulcted and has to pay out money, and then claim to be indemnified."

Mr. Lakha for the appellant has appealed against this ruling. His first submission is that the judge misdirected himself in holding that the issue should be decided against the appellant for the reason that the claim referable to the use of the boxes "is only part of the claim", Mr. Lakha points to the wording of r. 2 of O. 14 which makes it clear that the case "or any part thereof" may be disposed of on the preliminary trial of an issue of law. I think Mr. Lakha's submission on this point is valid, but it seems to me that the judge's main reason for deciding the issue as he did was that he did not consider that the respondent, in respect of the user of the boxes, was bound to wait until he was actually mulcted.

The question for decision in this appeal is whether the respondent, in claiming damages in respect of allegedly useless boxes, has shown on the pleadings a maintainable cause of action. Mr. Lakha submits that he has not done so. No defect is alleged in the boxes. The only reason put forward by the respondent for not using them is his contention that the appellant is not the owner of the trade mark appearing on the boxes. The respondent does not plead that any other person is the owner, or that he has been threatened with legal proceedings if he uses the boxes. In these circumstances, as the respondent's claim is based solely on the user of the boxes, Mr. Lakha submits that the only remedy in this respect open to the respondent is the one freely selected by the parties in cl. 5 of their agreement, which is that if by reason of using the boxes he is put to expense, he is entitled to be indemnified.

Mr. Versi for the respondent informed us that he could prove that the trade mark "Simba" was owned by a third party, and that the respondent would be in danger of being sued if he used the boxes. I do not see how we can take notice of such matters without amendment of the plaint. Preliminary points of law are argued on the basis that the facts pleaded are correct, see the observations by Sir Charles Newbold in *Mukisa Biscuit Co. v. West End Distributors*, [1969] E.A. 696, at p. 701. There is nothing in the plaint to indicate that any third party is the owner of the trade mark "Simba" or that the respondent will be at risk if he uses the boxes. If he does use the boxes, and becomes liable in damages to a third party thereby, he has his remedy under cl. 5 of the agreement and can join the appellant as a party to any suit against him or otherwise claim to be indemnified. If he decides not to use the boxes, there is nothing pleaded to justify a claim for damages against the appellant in respect of that non-user. The situation which may arise in this case is expressly dealt with by the contract between the parties, and a court will not readily imply any provisions into a contract beyond those stipulated by the parties.

For these reasons I agree with the submissions made on behalf of the appellant. According to the facts pleaded in the plaint, the claims made in para. 9 items (*a*) and (*b*) of the plaint have not been shown to be maintainable. For all I know, the respondent may well be able to use the boxes for the purpose for which he has bought them, without objection from anyone. Certainly nothing to the contrary is stated in the plaint.

I would accordingly allow this appeal, with costs, and vary para. 2 of the order appealed from by substituting the following:

> "2. The suit is not maintainable to the extent of the plaintiff's claim as pleaded in items (*a*) and (*b*) of paragraph 9 of the plaint,"

I would not interfere with the judge's order that the costs of the proceedings before him be costs in the cause.

Spry V-P: I have had the advantage of reading in draft the judgment of Law, J.A. I entirely agree with him on the substantial issue, that is, that the fifth paragraph of the contract between the parties was one of indemnity and that the respondent can only sue on it in respect of loss actually suffered by him. He cannot anticipate an objection that has not been made to his use of the boxes.

I differ, with respect, on what may seem a very technical point. Mr. Lakha based his arguments on the proposition that the decision against which he was appealing was a decision made under O. 14, r. 2 on preliminary issues of law and Mr. Versi did not appear to contest it, although it was questioned by the court. I cannot accept that that was the position. The case was set down for hearing "on preliminary points only". When it came on for hearing, the judge's first note was "Hearing set down for argument on a preliminary point." Mr. Lakha is then recorded as having opened with the words "My submission is that the plaint discloses no cause of action." He ended his address, according to the judge's notes – "So submit that the plaint does not disclose a reasonable cause of action – so the claim must fail." Mr. Versi is recorded as having said – "Submit claim does disclose a cause of action and ought not to be rejected . . ." At no stage was any issue framed. From this, it seems to me clear that what was being argued was a submission that the plaint ought to be rejected under O. 7, r. 11.

The judge referred to the question before him as a preliminary objection that the claim as pleaded was not maintainable in law and concluded by saying that it was in effect a submission that the plaint disclosed no cause of action. He described his decision as a ruling, on which an order was extracted. Had issues been tried, a judgment would have been delivered, giving rise to a preliminary decree. Finally, Mr. Lakha applied for, and was granted, leave to appeal, which was unnecessary if he was appealing from a preliminary decree. It is, of course true that we have to look at the substance of the decision and, if it was really a judgment, it would be immaterial that it was described as a ruling, but I can see nothing in the decision itself to suggest that it is other than what it purports to be.

Obviously a submission that a plaint discloses no cause of action must fail when two or more causes of action are pleaded and any one of them is maintainable. Here the judge rejected the objection raised against the claim contained in para. 10 of the plaint (a submission that the pleading was defective as regards a claim for moneys had and received) and there has been no appeal against that part of his decision. It follows that the plaint could not properly have been rejected.

It is possible that this was a preliminary objection of the kind referred to by Sir Charles Newbold, P., in *Mukisa Biscuit Manufacturing Co. Ltd. v. West End Distributors Ltd.* (above) not based on any provision in the rules, but I do not think this would lead to any different result. Indeed, even if Mr. Lakha is right as to the nature of the proceedings, I think the result would be the same. If this was a trial of issues under O. 14, r. 2, the first question for consideration would be what were the issues. As the record stands, I think the answer must be that there was only one issue, that is, whether or not the plaint disclosed a cause of action. It was argued on two grounds, relating to two different claims, and to succeed on the issue, the appellant had to succeed on both grounds.

These difficulties would be avoided if, whenever applications are made or objections taken, it were made clear by the party applying or taking the objection exactly what order he was seeking and under what rule he was applying.

I would add that if I am right in thinking that the judge refused to reject the

plaint under O. 7, r. 11, or if he was dealing with a preliminary objection, I think this appeal was incompetent. As, however, this question was not canvassed or argued before us, I prefer not to express a firm opinion on it and it would involve unnecessary expense to no practical purpose to invite the advocates concerned to address us on the point.

I would have dismissed the appeal, but as the other members of the court are of a different opinion, there will be an order in the terms proposed by Law, J.A.

Mustafa JA: I have had the advantage of reading in draft the judgments prepared by Spry, V.-P., and Law, J.A.

Clause 5 of the agreement between the parties was clearly one of indemnity and as the respondent had not claimed he had suffered any actual loss, his claim on the basis of possible anticipatory loss was not maintainable.

The appeal was argued before us on the basis that the judge had erred in his decision on a point of law under the provisions of O. 14, r. 2 of the Civil Procedure Rules. At the High Court trial, it was not clear whether the matter was dealt with exclusively as a trial of preliminary issues of law or as an application to strike out the plaint under O. 7, r. 11. It seems to me both these points were taken and argued indiscriminately at the trial. In these circumstances I agree with Law, J.A., that we should accept the position adopted by both the advocates who argued the appeal before us and deal with the appeal as an appeal from a decision on a preliminary point of law under the provisions of O. 14, r. 2. With great respect, I cannot agree with the view of the Vice-President that in effect this was only an appeal from an unsuccessful application to strike out a plaint under O. 7, r. 11 from which probably no appeal lies.

I therefore agree with the judgment of Law, J.A. that the appeal be allowed and I concur with the order proposed by him.

Appeal allowed.

For the appellant:
MA Lakha (instructed by *Lakha & Co* Dar es Salaam)

For the respondent:
BAS Versi (instructed by *Fraser, Murray, Roden & Co*, Dar es Salaam)

Mbeluke v Republic
[1971] 1 EA 479 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	20 July 1971
Case Number:	61/1971 (137/71)
Before:	Spry V-P, Law and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Tanzania – Bramble, J

[1] Evidence – Insanity – Burden of proof – On balance of probabilities – The same whether raised by accused or by court.

[2] Evidence – Insanity – Raised by state after plea – Court's attention properly drawn – Psychiatrist's report admissible – Criminal Procedure Code, s. 168*A* (*T.*).

[3] Criminal Practice and Procedure – Insanity – Psychiatrist's report – May be called for by court of its own motion or where attention called by anyone else – Criminal Procedure Code, s. 168*A* (*T.*).

Editor's Summary

After the appellant had pleaded not guilty to murder, and had been remanded in custody, the state attorney raised the question of the appellant's sanity and asked for his examination under s. 168A of the Criminal Procedure Code. At the end of the case the psychiatrist's report was put in evidence. The appellant appealed against the finding that he was sane, and asked that the burden of proof of insanity be reconsidered. For the respondent it was contended that s. 168A of the Criminal Procedure Code applied only when in the course of the proceedings the judge himself suspected insanity.

Held –

(i) the burden of proving insanity is settled, in that it must be proved on a balance of probabilities (*Nyinge Suwato v. R.* (1) followed);

(ii) the same standard of proof must be applied where the issue of insanity has been raised by the court;

(iii) the question of the appellant's insanity arose during the trial as he had already pleaded;

(iv) the court's attention may be drawn to the possibility of insanity and therefore for s. 168A to apply the question does not have to have been raised by the court;

(v) on the evidence the appellant was insane at the time of the killing.

Observations on the weight to be accorded to uncontroverted expert evidence.

Appeal allowed.

Cases referred to judgment

(1) *Nyinge Suwato v. R.*, [1959] E.A. 974.

(2) *Bratty v. A.-G. for Northern Ireland*, [1961] E.A. 523.

(3) *Victory Kalinga v. Republic*, Cr. App. 17 of 1971 (unreported).

Judgment

20 July 1971. The considered judgment of the court was read by **Spry V-P:** The appellant was tried before the High Court, convicted of murder and sentenced to death. He was first brought before the court on 2 July 1970, when he was arraigned and pleaded not guilty. He was remanded in custody until the next sessions. Later, on the same day, the state attorney said that there

was a question of insanity and asked, under s. 168A of the Criminal Procedure Code, that the appellant be sent to the Isanga Institution for examination. The appellant's attorney concurred and the judge ordered accordingly.

The matter next came before the court on 4 November 1970, when another judge was presiding. The state attorney informed the court that the appellant was still at Isanga and no report had yet been received. A further adjournment was ordered.

The appellant again appeared before the court on 29 March 1971, when the trial proceeded. Nothing was said regarding the appellant's mental condition until the end of the case for the defence, when, at the request of the defence attorney, the psychiatrist's report was put in. In the meanwhile, questions put to the prosecution witnesses in cross-examination had shown that the issue of insanity was still a live one. Both closing addresses dealt with it, as did the judge in summing up to the assessors and in his judgment.

It is not in doubt that the appellant committed the act on which the charge was founded. Mr. Jadeja, for the appellant, based his main arguments on the question of insanity. In the first place, he submitted that the judge had failed to direct the assessors on the standard of proof required on the issue of insanity, although he told them that the burden was on the defence and he had previously directed them fully and correctly on the general burden of proof that lies on the prosecution. There is substance in this complaint.

Secondly, Mr. Jadeja submitted that the judge, while telling the assessors that it was for them to form their own opinions on issues of fact, had gone on to give them too strong an indication of his own views and had virtually excluded from them the question whether the appellant had known what he was doing. Mr. Jadeja particularly criticised a statement by the judge which reads – "From these facts it can safely be said that the accused knew what he was doing and that it was wrong but this is a question of fact for you to decide". Also, in seeking the opinions of the assessors, he put a specific question "Did he know that what he was doing was wrong?" but did not put the other question, whether the appellant knew what he was doing. Again, we think there is some merit in this criticism.

We may at this point interpose a matter which was not raised as a ground of appeal. The judge appears to have put three specific questions to the assessors, instead of seeking their opinions generally. This is a subject with which we dealt in the case of *Victory Kalinga v. Republic*, Cr. App. 17 of 1971 (unreported).

Mr. Jadeja also criticised the judge's direction to the assessors regarding the evidence of the psychiatrist, in that he merely told them they were free to accept or reject it. We agree that the uncontroverted evidence of an expert deserves more respect, although, in the words of Windham, J.A. (as he then was) in *Nyinge Suwata v. R.*, [1959] E.A. 974, "a court is not obliged to accept medical testimony if there is good reason for not doing so . . ."

Mr. Jadeja asked us to reconsider the standard of proof required where a defence of insanity is put forward, particularly in the light of certain observations of Lord Denning in the case of *Bratty v. A.-G. for Northern Ireland*, [1961] 3 All E.R. 523. On this question, we think the law of East Africa is so well settled that it could now only be altered by legislation. It is expressed most clearly in *Nyinge's* case in which it was said that an accused person raising a defence of insanity must "not merely raise a reasonable doubt; his burden, as in a civil case, is to prove insanity upon a balance of probability; that is to say he must show, on all the evidence, that insanity is more likely than sanity, though it may be ever so little more likely. Merely to raise a reasonable doubt might still leave the balance tilted on the side of sanity." With that expression, we respectfully agree.

Finally, Mr. Jadeja submitted that where s. 168A of the Criminal Procedure Code applies, the burden of proof becomes irrelevant, because the nature of the proceedings changes from accusatorial to inquisitorial.

Mr. King, for the Republic, submitted that s. 168A did not apply, that the report of the psychiatrist was not admissible in evidence and that if it were excluded, there was no evidence on which a finding of insanity could be based. Section 168A applies where "it appears to the court during the trial" of any person that he may have been insane. Mr. King submitted that this restricted the scope of the section to those cases where in the course of the proceedings the judge, from what has taken place before him, suspects insanity. He argued that here the issue did not arise in the course of the trial and was not raised by the judge but by the state attorney.

It may well be that the primary purpose of s. 168A is to meet the kind of situation Mr. King envisaged but we do not think the wording of the section is so restrictive. We have no doubt that the matter arose "during the trial" because the appellant had been arraigned and had pleaded to the charge. We think also that the words "it appears to the court" apply equally whether the question is drawn to the attention of the court or is raised by the court of its own motion. It is clear from the record that the judge was asked to act and believed he was acting under s. 168A and the subsequent procedure was substantially in accordance with the section. We think, therefore, that the psychiatrist's report was properly admitted.

As regards the burden of proof where s. 168A has been applied, we think this must depend on the way the matter has arisen. If the issue has substantially been raised by the defence, we think the burden of proof must rest on the defence in the ordinary way. If, on the other hand, the issue has been raised by the court itself, possibly against the wishes of the accused person, there can obviously be no burden of proof on the defence. In any case, however, we think the standard of proof must be the same, that is, the balance of probabilities, and on that footing, it is not of great practical importance where the burden lies.

We come, therefore, to what is the substantial issue in this appeal, that is, whether the judge was right in holding that insanity had not been established. There is, of course, a presumption of sanity contained in s. 12 of the Penal Code, and it is from this that we must start. The psychiatrist said that during the interviews he had with the appellant, his conversation was rational and relevant. He described his mood as varying from anxiety to apprehension but said that his orientation was correct in all spheres. He said that the appellant had no clear recollection of the events at the time of the alleged crime. From the case history as told to him, he thought the appellant had paranoid ideas of persecution. He summed up his conclusions as follows – "I am of the opinion that the accused has suffered from catatonic excitement. This is a schizophrenic reaction in which the patient became acutely disturbed with destructive and aggressive behaviour . . . I am also of the opinion that it is most likely that he committed the alleged crime while in this state of unsound mind."

The judge commented, and we agree, that it was unfortunate that the psychiatrist was not called as a witness. He thought that the reference to "unsound mind" meant that the appellant was suffering from a disease of the mind. We agree. He went on to say that the report does not furnish evidence that the appellant did not know what he was doing or that it was wrong. Certainly this was not spelled out, but we think that it would be unfair to hold, as did the judge, that this report did not support the defence. It was not the report of a private practitioner, whose experience might be limited to minor ailments of the mind, but was made by the specialist psychiatrist at the Isanga Institution, to which all cases of this sort in Tanganyika are referred, and he

must be presumed to be familiar with the legal as well as the medical definition of insanity. Mr. King supported the judge's finding, arguing that in law the report was not evidence of insanity because it contained no reference to the appellant being so insane "as not to be responsible for his action". With respect, we think this is too narrow an approach. Mr. King also argued that the other evidence tended to establish sanity rather than insanity. Again, we are unable to agree: the evidence is so vague and unsatisfactory as to be neutral on the question.

In an extra-judicial statement, the appellant spoke of hiding after the killing and the judge treated this as showing a consciousness of having done wrong. That is, of course, a possible interpretation but, with respect, it is not the only one: if the appellant was suffering from persecution mania, he might have been hiding from imaginary enemies.

We noticed that in his opening address, the state attorney adumbrated evidence which was not called. We have no doubt that in not calling it, the state attorney was, very properly, trying to avoid introducing material highly prejudicial to the appellant, which was not directly relevant to the charge against him. Unfortunately, the result was to give a false picture of what happened. We do not understand why the full facts were not brought out by the advocate for the defence. In the circumstances, we have thought it proper to take the very exceptional course of looking at the statements read at the preliminary inquiry.

In his extra-judicial statement, made six days after the killing, the appellant after speaking of hostile demonstrations against him, said that he reported the matter to Hamisi, who took him to a doctor. In the light of the evidence at the trial, this seems meaningless. However, at the preliminary inquiry, we see that a statement by one Hamisi Lukwimbe was read, in which he said that on the day in question, the appellant had come to him, saying that people wished to kill him, although he did not know why. Hamisi pacified him but saw him later; he said:

> "I took him to the hospital where I told the doctor I suspected that person to be suffering from the incapacity of mind and the doctor affirmed this."

We are at a loss to understand why neither Hamisi nor the doctor was called as a witness at the trial.

Again, in his unsworn statement at his trial, the appellant spoke of his fears that his money was going to be stolen. This, again, in the context of the evidence, appears to be a last-minute attempt to exonerate himself. The manager of the sisal estate on which the appellant was employed had, however, in his statement read at the preliminary inquiry, said that the appellant complained to him, before the killing, that many people were planning to rob him of his money. This was never brought out at the trial, either in examination-in-chief or in cross-examination.

The evidence at the trial gives the impression of a senseless attack on one of a group of children playing together. The statements at the preliminary inquiry present a completely different picture of a man who must have been completely beserk, who caused a general, local, panic, and who inflicted grave injuries on three men, apart from killing the small girl, the subject of the charge. The only constant factor is that there was no grievance, no quarrel, no provocation, that caused the appellant's behaviour.

We have not the slightest doubt, on the evidence at the trial, including the psychiatrist's report, read with the earlier statements, that the appellant was

insane, legally as well as medically, at the time of the killing. We think that both the state attorney and the advocate for the defence were at fault in not ensuring that the relevant facts were brought out at the trial and in those circumstances we think, with respect, that this is one of those exceptional cases where the judge would have been justified in taking a rather greater part in the proceedings.

We do not think it necessary to deal with the other grounds of appeal.

The appeal is allowed, the conviction is quashed and the sentence of death set aside, and there is substituted a special finding that the appellant did the act charged but by reason of his insanity is not guilty of the offence. The appellant is to be kept in custody as a criminal lunatic, pending the order of the Minister.

Appeal allowed.

For the appellant:
SJ Jadeja (instructed by *SJ Jadeja & Co*, Dar es Salaam)

For the respondent:
N King (Senior State Attorney)

Di Caprio v Argo Films (E A) Ltd and another
[1971] 1 EA 483 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	31 July 1970
Case Number:	1375/1969 (139/71)
Before:	Wicks J
Sourced by:	LawAfrica

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[1] Damages – Personal injuries – Medical expenses – Increased by removal of claimant to Italy – Recoverable.

[2] Damages – Personal injuries – Quantum – Fracture of leg – Osteo-arthritis.

Editor's Summary

The plaintiff, an Italian speaking no English and who was the general manager of a firm of merchants and marine surveyors in Somalia, while on a visit, was injured in a traffic accident in Nairobi for which the defendants were found to blame. He suffered a comminuted fracture of his right femur.

At his own request, and on the advice of the specialist, he was removed to Italy for operation and treatment. This was a difficult operation and was highly successful. Nevertheless osteo-arthritis set in the hip joint.

The claim for the additional expenses incurred by reason of the plaintiff's removal to Italy were challenged.

Held –

(i) the plaintiff was justified in going to Italy and his expenses were recoverable;

(ii) general damages of £4,950 would be awarded for the injury.

Judgment for the plaintiff.

No cases referred to in judgment

Judgment

Wicks J: [The judge considered the evidence, found the second defendant to blame for the accident and continued.]

As a result of the accident Mr. di Caprio suffered a fracture of the right femur. It was comminuted into five parts at the upper end of the bone and just below the

hip joint. He was taken to Nairobi Hospital where he was seen by Dr. A. P. Landra and Mr. Garth Williams, a surgeon. Dr. Landra's evidence was that Mr. di Caprio wanted to be taken to Italy for treatment provided that travel by air would not prejudice his recovery. Dr. Landra was satisfied that air travel would not prejudice recovery and on Dr. Landra and Mr. Garth Williams recommendation Mr. di Caprio was taken to Italy for treatment. There he was admitted to the Institute Ortapedico Gaetarno Pini, Milan, where an operation was carried out by Professor Pollari, an orthopaedic surgeon with a world-wide reputation. The operation was to fit a plate and seven screws and a long nail going into the head of the bone. Mr. H. L. Peake, a surgeon, who examined Mr. di Caprio, said that it was a big operation and highly successful. It is not disputed that the operation could have been performed in Nairobi and had that been done the claim for special damages would have been much reduced. Was Mr. di Caprio justified in going to Italy for treatment? The evidence of Dr. Landra was that when he first saw Mr. di Caprio he was in a state of shock, he was almost hysterical and was insistent on being taken to Italy. Dr. Landra said that three factors had to be considered, the psychological, the difficulty of communication, and the right of a patient to choose his doctors. In Dr. Landra's opinion the Nairobi Hospital could not have managed Mr. di Caprio both from his mental state and from the aspect of impossibility of communication, Mr. di Caprio speaking no English. Mr. Garth Williams considered the injury to be one that required the greatest skill to deal with and was reluctant to undertake the operation, and considered that if there was any possibility of sending Mr. de Caprio to an orthopaedic hospital that should be done. Both Dr. Landra and Mr. Garth Williams advice was that Mr. di Caprio go to an orthopaedic hospital in Italy for treatment. Mr. Peake first examined Mr. di Caprio seven months after the accident and his opinion was that in view of the nature of the damage he considered it reasonable that Mr. di Caprio went to Milan for the operation. The evidence of Mr. Y. Kodwavwala, a surgeon was that injuries such as was suffered by Mr. di Caprio can be and are dealt with in Kenya and that at the Aga Khan Hospital where he works three or four such operations are done in a year. In this case there was the psychological aspect, factors such as the difficulty of communications, that Mr. di Caprio is not resident here, quite apart from the nature of the treatment necessary. In all the circumstances I find that it was reasonable that Mr. di Caprio did go to Italy for treatment. The special damages are agreed in the sum claimed of Shs. 69,172/- subject to liability and the defendants being wholly liable the plaintiff is entitled to judgment in this amount.

I must now turn to the assessment of general damages and this falls under two headings – loss of bonus and pain and suffering and the prospect of permanent disability. I propose to consider the second head first.

Mr. di Caprio suffered considerable pain as a result of his injuries and this was extended by pain in the area and subsequent removal of the plate and nail.

As I have said Mr. Peake saw Mr. di Caprio for the first time about seven months after the accident. As could be expected Mr. di Caprio still showed signs of the injury. Mr. Peake saw Mr. di Caprio two months later, on 18 November 1968, when he complained of severe pain under the operation scar and he had a high temperature. Mr. Peake's opinion was that Mr. di Caprio showed no improvement since the time of the first examination. After this examination Mr. di Caprio returned to the Hospital in Milan where the plate, screws and nail were removed and the pain in that region disappeared. Mr. Peake saw Mr. di Caprio a third time on 21 June 1969 when the opinion was that he should make a full recovery, and have no permanent disability, but advised a further examination after 6 months when the leg could be expected to be stronger. Mr. di Caprio was examined by Mr. Peake again on 12 June

this year when Mr. di Caprio walked without a limp, but complained of pain in the right knee after considerable walking. Mr. Peake could find no injury to the right knee and, referral of pain from the hip to the knee being recognised and quite common in diseases of the hip joint and suggesting the onset of osteoarthritis, x-rays of the hip joint were taken. In them Mr. Peake found signs of damage and considered that it is most likely that this was caused by the head of the femural bone being damaged at the time of the accident, that a blood clot probably formed in the head of the bone which so damaged its vitality that now after two years it is beginning to show signs of dying and this will result in osteo-arthritis in the hip joint. The condition can be kept in check and Mr. di Caprio kept fairly compatible for about 5 years with medical treatment after which operations will be necessary, the first giving relief for about 10 years, the second for about 15 years. In short there will be pain which will be abated first by medical treatment, then by operations. Mr. Kodwavwala read Mr. Peake's reports and was shown the x-rays and examined Mr. di Caprio. Mr. Kodwavwala could not see the changes Mr. Peake spoke of, but he would not say that Mr. Peake was wrong, and he has no reason not to accept Mr. di Caprio's statement that he has pain in the right knee. Mr. Kodwavwala agrees that the pain could be referral and suggests a combination of causes, these being shortening of the leg, wasting of the thigh muscles, nerve entanglement in the scar tissue, muscle scarring and osteo-arthritis. In Mr. Kodwavwala's opinion the pain is probably a combination of all these possible causes, his opinion differing from that of Mr. Peake who attributes the pain to osteo-arthritis alone. This is a case where it would be of assistance if some issues could be reserved for a number of years but there is no provision in our law for this – a plaintiff must be content with an assessment based on the evidence as it exists now and a defendant is entitled to have that assessment made and the issues determined now once and for all. I must do the best that I am able. I accept Mr. Peake's opinion that a condition does exist which is the onset of osteoarthritis, and that the head of bone was damaged when Mr. di Caprio was struck, thrown into the air, and fell on his side as a result of the impact. Mr. di Caprio now has to face the development of osteo-arthritis in his hip with the consequences described by Mr. Peake. He is a young man, his enjoyment of recreation has been curtailed and will be progressively more so in the future and this will be accompanied with increasing difficulty in performing the duties of his employment, particularly that of marine surveyor. I assess the damages for this aspect of the case in the sum of £4,950.

The claim for loss of bonus relates to Mr. di Caprio being unable to do the work of a marine surveyor. This has necessitated his employers engaging another principal, Mr. di Caprio having to act as his assistant, and it was 8 or 9 months after he returned to his duties before he could resume his duties as principal. He estimates that his loss in the first year was £400 to £500 and about the same in the second, and says that the assessment of the bonus is very much a matter of estimation. I assess the loss of bonus in the sum of £600.

Judgment for the plaintiff.

For the plaintiff:
PJ Ransley (instructed by *Archer & Wilcock*, Nairobi)

For the defendants:
RK Mitra (instructed by *JK Winayak & Co*, Nairobi)

Bharmal Jivraj & Sons v Customs
[1971] 1 EA 486 (HCK)

Division: High Court of Kenya at Nairobi

Date of judgment:	8 April 1970
Case Number:	462/1969 (141/71)
Before:	Chanan Singh J
Sourced by:	LawAfrica

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[1] Customs and Excise – Refund – Satisfaction that goods will not be consumed locally – Must be of proper officer and must be arrived at reasonably – East African Customs Management Act 1952, *s.* 122.

[2] Customs and Excise – Refund – Evidence – No higher onus of proof put by refusal of proper officer to be reasonably satisfied.

[3] Customs and Excise – Evidence – Onus on claimant – Only where prosecution or claim to goods seized – East African Customs Management Act 1952, *s.* 167.

Editor's Summary

The plaintiff contracted to import 5,000 dozen scarves in 50 cases and paid customs duty on them. On arrival the cases were found to contain only 1,535 dozen scarves. The plaintiff claimed a refund of duty on the scarves not received.

The defendant contended that he was not satisfied that the goods would not be consumed in East Africa and insisted that he required evidence that the goods had not been packed before he could refund the duty. He referred to the onus of proof established by s. 167 (*b*) of the East African Customs Management Act 1952.

Held –

(i) The satisfaction or otherwise of the proper officer that goods will not be consumed locally must be reasonably arrived at;

(ii) expression of dissatisfaction by the proper officer cannot put an unreasonable burden of proof on the plaintiff;

(iii) no onus of proof is established by s. 167 (*b*) of the Act where there is no prosecution of any person and no claim to any goods seized;

(iv) on the evidence the scarves never landed at Mombasa.

Judgment for the plaintiff.

No cases referred to in judgment

Judgment

Chanan Singh J: The plaintiff firm (hereinafter called the firm) claims against the Commissioner of Customs and Excise a declaration that they are entitled to a remission of duty on certain goods included on an invoice but short-received, by them. The firm imported from Hong Kong 50 cases which were supposed to have contained 5,000 dozen scarves but were found to contain only 1,535 dozens.

It is common ground that 3,465 dozen scarves were in fact not received by the firm, that the insurance company concerned has paid to the firm the value of the lost scarves, and that a claim for

the lost scarves has not been made against the port authorities in Mombasa.

But there is no agreement on where the scarves were lost, that is, whether they were lost during the voyage or after landing at Mombasa. If goods are landed from a ship but are lost or stolen thereafter then the goods have come into

East Africa and have been consumed here by somebody. In that event the Commissioner is entitled, so it is contended, to the proper customs duty. Mr. Acharya, for the Commissioner, relies for this proposition on s. 122 of the East African Customs Management Act 1952 which says that if any goods are "lost or destroyed by accident" either on board the vessel or after landing but "before they are delivered out of Customs control" then, "if the proper officer is satisfied that such goods have not been and will not be consumed in the Territories, he may remit the duty payable".

Mr. Shah, who appears for the firm does not seem to contest that the claim is covered by s. 122, but he does contend that the Commissioner is not entitled to refuse to remit the duty which has been paid.

The defence states: "The defendant insisted on full payment of customs duty on 5,000 dozen scarves as he was not satisfied that the goods had not been and will not be consumed in the East African States." This allegation would not seem relevant because s. 122 speaks of the satisfaction of "the proper officer", not of the Commissioner. In the nature of things the Commissioner could not be expected to be "satisfied" personally.

Mr. Acharya refers me to s. 167 (*c*) (iv) which says that "the assessment by the Crown or by the Commissioner . . . that the Commissioner, or any officer, is or is not satisfied . . . shall be *prima facie* evidence of such fact". But where is the averment that "the proper officer" was not satisfied? The defence says that the "Commissioner" is not satisfied that the goods were not consumed locally.

But quite apart from defective pleadings, the Commissioner cannot unreasonably assert that his proper officer is not "satisfied" within the meaning of s. 122, and while asserting his officer's non-satisfaction he cannot throw any unreasonable stringent burden of proof on the firm. This position seems to have been appreciated by the Principal Collector of Customs and Excise, Mombasa, in his letters to Mr. V. D. Lakhani, the clearing agent of the firm. In his letter of 24 September 1968 he referred to what he thought was "sufficient evidence indicating that the cases had been tampered with". He went on to say this: "Where these were tampered with is the crucial issue which has not and perhaps cannot be resolved. In view of the foregoing and unless you can furnish evidence of short packing (which your supplier has turned down) by the supplier or manufacturer together with an appropriate credit or adjustment from the supplier or manufacturer no refund or remission of duty will be entertained by this department."

This means that an importer must pay duty on goods which he does not receive unless he can produce evidence of short packing because otherwise the crucial issue of where the packages were tampered with "cannot be resolved". If goods are short landed due to something happening during the voyage and they are not consumed locally, the importer, it seems cannot be excused the import duty because he cannot prove conclusively that they were not so consumed.

In a letter of 13 November 1968, the Principal Collector goes one step further He says: "Please be advised that you have hitherto not been able to prove (in fact this may be impossible) that the goods found short did not go into home consumption in East Africa. I am therefore unable to give any further consideration to your request as I cannot merely assume that the goods did not go into home consumption."

There must be something wrong with the Customs Department's understanding of the legal position. No law expects a person to prove what is "impossible" to prove. Mr. Acharya quotes s. 167 (*b*) in his support. This places "the

onus of proving" several specified facts "on the person prosecuted or claiming anything seized under this Act". Nobody has been prosecuted and the firm is not claiming "anything seized" by the Commissioner.

Oral evidence has been given by one person on behalf of each party. Dr. R. R. Worsley says that he was employed by the firm as a surveyor and that he examined the consignment in question which consisted of two lots of 25 cases each. He examined each case separately and found a total of 3,465 dozen scarves missing. Two survey reports giving full details of his examination are exhibits in the proceedings of this case. The examination was carried out on 11 September 1967 in customs sheds. He stated, *inter alia*: "The bands around the cases had been broken in some cases and nailed up again and some of the boards were splintered at the edges suggesting that the cases had been opened and fastened up again". He also stated that the packing cases used appeared to be new and he thought it was "extremely unlikely" that the pilferings occurred in the port area.

Mr. P. S. Patel who is a tally clerk employed by the E.A. Cargo Handling Services Ltd. at Mombasa told me, on the basis of his records, that only two of the fifty cases were found broken and that the others were in good condition and showed no signs of tampering. He also stated that a removal order in respect of five cases was made out on 12 September 1967.

The making out of a removal order does not affect the position. It shows that the goods were still under customs control when they were examined by Dr. Worsley on 11 September 1967.

In so far as Mr. Patel suggests that on landing only two packages were found damaged and none of the others, I accept Dr. Worsley's evidence in preference to his. The reason is that Mr. Patel would not closely look at each package but would make note of any packages that were obviously damaged. Thus, he picked out two packages as damaged because the damage was such as could not be missed. Dr. Worsley, on the other hand, had only one duty to do and that was to examine each package carefully and to open it and check the contents.

Mr. Patel's evidence only suggests that the damage and the loss took place in the port area after landing and that therefore, the missing goods must have been taken from the port by some person or persons and distributed for consumption within East Africa.

This reasoning ignores the very vital fact that 3,465 dozen scarves were missing out of 5,000 dozen contained in 50 cases. This quantity was so large that it could not be removed surreptitiously from the port. To remove it illegally as part of other goods going out of the port would need a collusion among the customs staff, the police, and transporters. I do not think that is a possibility seriously to be considered.

I am satisfied that the 3,465 dozen scarves found missing never landed at Mombasa. In my opinion, a reasonable man would have been satisfied that such goods could not be consumed in the Territories. "The proper officer" of the Customs Department ought to have been so satisfied.

I should perhaps add that s. 122 on which Mr. Acharya relies does not seem to me to make much sense. In the case of goods which are "lost or destroyed by accident" the proper officer has under this section the power to remit duty if he is "satisfied that such goods have not been and will not be consumed in the Territories". If the goods are "destroyed", how can they be "consumed" in East Africa? The word "lost" can perhaps be interpreted as temporarily lost but there is here no evidence of any sort to suggest the goods were lost and later found.

We are here concerned with a taxing statute. It is for the Commissioner to show under what provision duty can be levied on goods which are "lost or destroyed by accident". It is not in my opinion sufficient to quote s. 122 which is at least partly meaningless and which imposes on an importer a burden which, according to two letters from the Principal Collector of Customs, the importer cannot possibly discharge. I think the Commissioner is stretching his taxing powers a great deal.

But the case has been fought on the basis that it was for the firm to prove that the goods were not lost in the port area and they were not and would not be consumed in East Africa. I think the firm has proved, in so far as it was possible for anyone to prove, that the goods were never landed at Mombasa and could not therefore have been consumed in East Africa. Mr. Acharya does not contest the right of the court to grant a declaration in the terms sought. In view of the findings I have already made, I grant the declaration applied for with costs.

Judgment for the plaintiff.

For the plaintiff:
AB Shah (instructed by *Shah & Parekh*, Nairobi)

For the defendant:
RP Acharya (Principal Assistant Counsel)

Sapra Studio v Tip-Top Clothing Co
[1971] 1 EA 489 (HCK)

Division: High Court of Kenya at Nairobi

Date of judgment: 10 March 1970

Case Number: 1617/1969 (142/71)

Before: Chanan Singh J

Sourced by: LawAfrica

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[1] Copyright – Works eligible for copyright – Whether copyright automatically conferred – Copyright Act (*Cap.* 130), *ss.* 3, 4 (*K.*).

[2] Copyright – Licence – Not required for copyright to exist – Copyright Act (*Cap.* 130), *s.* 4 (*K.*).

[3] Copyright – Extension – To individuals and bodies corporate in Italy – Firm either an individual or a corporation and so covered – Copyright Act (*Cap.* 130), *s.* 15 (*K.*).

[4] Copyright – Industrial design – Not excluded from protection of Copyright Act.

[5] Copyright – Infringement – Injunction a normal remedy.

Editor's Summary

The plaintiff firm applied for an interlocutory injunction in its action alleging breach of copyright in respect of scarves, some bearing designs prepared by an artist residing in Kenya and some by a firm in

Italy. The defendants did not challenge the facts. The plaintiff contended that copyright in the designs by the Kenya artist were vested in the plaintiff as the work of an author resident in Kenya and as transferred to the person who commissioned the work, and that copyright in the Italian works was provided for by the extension of the Act to works of individuals or bodies corporate in Italy.

The defendants contended that it was not clear whether the Italian group was an individual or a corporation, that s. 3 of the Copyright Act does not confer copyright, that no copyright exists until a licence is issued under s. 4, that industrial designs are not protected by copyright, and that an injunction should not be granted as damages would be an adequate remedy. The plaintiff pointed out that the defendants' scarves were of very different quality from those of the plaintiff.

Held –

(i) copyright is conferred on works which are eligible for it;

(ii) no licence is required for copyright to exist;

(iii) if the Italian group was not a corporation it was a group of individuals and so within the extension of the Act to Italy;

(iv) industrial designs are not excluded from the protection of the Copyright Act;

(v) injunction is a normal remedy in breach of copyright cases;

(vi) the keeping of accounts by the defendants would not be adequate in view of the difference in quality of the scarves and an injunction would issue.

No cases referred to in judgment

Judgment

Chanan Singh J: The plaintiff firm filed an action against the five defendants claiming injunctions, damages, and certain other reliefs in respect of breach of copyright. On the same day, it filed the present application asking for a temporary injunction restraining the first defendant from importing into Kenya artificial silk scarves which are the subject matter of the suit and for another temporary injunction restraining each of the five defendants from selling by way of trade or exposing or offering for sale without the licence of the plaintiff the said scarves or any other product bearing the copyright designs.

Mr. Shah, for the defendants, opposes the grant of temporary injunctions.

Mr. Deverell, for the plaintiff, says that his client firm had certain designs executed by Italian artists on commission. Ten designs were prepared by Rena M. Fennessy who is described in the affidavit of Mr. M. M. Sapra, a partner in the plaintiff firm, as “a well known artist resident in Kenya”. These designs were executed by Creazione Serica Lariana, which appears to be the name of a firm or organisation, in Italy. These designs were also commissioned by the plaintiff firm.

The defendants do not challenge the facts that the designs were executed as stated in Mr. Sapra’s affidavit and that the artificial silk scarves in respect of which the five defendants have been sued are exact copies of the said designs. They seem to contest everything else.

Mr. Deverell says that under s. 3 of the Copyright Act the designs in question are “eligible” – Mr. Shah emphasises this word – for copyright under the name of “artistic works”. He then refers to s. 2 which defines “artistic works” as including “painting” and “drawings”. The designs in question would, according to Mr. Deverell, come within both these classes. This classification does not seem open to objection.

Section 4 confers copyright on the work of an author who is a “resident” of Kenya. Mr. Sapra’s affidavit states that Rena Fennessy is a resident of Kenya. Under s. 11 copyright in the work executed on commission is “deemed to be transferred” to the person who commissioned the work.

This, according to Mr. Deverell, shows that the copyright of the ten designs by Rena Fennessy is vested in the plaintiff under s. 11 read with ss. 3 and 4.

As regards the three designs by the artist residing in Italy, Mr. Deverell argues as follows. Under s. 15, the Attorney General has power to “extend the application of this Act” in respect of works mentioned in s. 3 – which covers “artistic works” – to “individuals or bodies corporate who are

citizens of, domiciled or resident in or incorporated under the laws of . . . a country which

is a party to a treaty to which Kenya is also a party and which provides for copyright in works to which the application of this Act extends."

Under this power, the Attorney General extended the application of the Act to a number of countries including Italy under L.N. 322 of 1966 which says that all those countries "are parties to the Universal Copyright Convention to which Kenya is also a party and which provides for copyright in works to which the application of the Act extends". Section 15 empowers the Attorney General to extend the Act "to individuals or bodies corporate." Mr. A. B. Shah argues that it is not clear whether the group described in Mr. Sapra's affidavit as Messrs. Creazione Serica Lariana" is a firm or a corporation. A corporation is specifically covered by s. 15. "Individual" are also covered. If the group referred to is a firm, even then it is in my opinion covered because a firm is nothing but a collection of individuals.

I hold therefore that, subject to further objections which I shall examine later, the copyright in these designs by Messrs. Creazione Serica Lariana is also "deemed to be transferred" to the plaintiff firm.

Mr. Shah also argues that s. 3 makes the designs in question "eligible" for copyright and does not confer copyright on them. The equivalent provision in the English Act of 1956 is "copyright shall subsist". Mr. Deverell, in reply, refers to ss. 4 and 5 both of which use the expression "copyright shall be conferred by this section". I am satisfied that this is sufficient to confer copyright on works which are made "eligible" for it by s. 3.

The next point taken by Mr. Shah is that copyright does not actually belong to anybody until a licence is issued under s. 4. In my opinion, this point has no substance. If the arrangements envisaged in s. 14 were in force in relation to the works in question and if the plaintiff was found to have a copyright then it would be the defendants who would need a licence, not the plaintiff.

Mr. Shah has drawn attention to the fact that industrial designs in England are not protected by the Copyright Act and that the United Kingdom Designs Protection Act (Cap. 510) of our laws applies to industrial designs. This argument also in my opinion does not help the defendants. Industrial designs are included in the definition of works eligible for copyright both in England and in Kenya but in England such designs are, by s. 10 of the Copyright Act 1956, taken out of the protective provisions of that Act because there is special legislation governing them. In Kenya, we have no special legislation and nothing equivalent to s. 10 of the English Act. The United Kingdom Designs Protection Act applies to such designs as are registered under the 1949 Act. The designs which are the subject matter of the present proceedings are not registered in England and are not deprived of whatever protection they would be entitled to under our Copyright Act.

In the result, I find that the designs in question are protected under the Copyright Act.

The substantive application can be disposed of briefly. I am satisfied that there has been a breach of copyright. Nevertheless, Mr. Shah argues that I should not grant an interlocutory injunction because if the plaintiff wins in the end relief by way of damages will be an adequate remedy and an injunction can also be granted then. I agree that that is how courts generally deal with applications for temporary injunctions. The position in the present case is different to this extent. Having satisfied myself (on whatever evidence and arguments the two sides have themselves placed before me) that the defendants have committed a breach of the copyright of the plaintiff, am I entitled to refuse an injunction on the basis of general court practice? I think not.

Mr. Deverell has also brought to my attention the law quoted in 8 Halsbury, pp. 444–5. This is how the relevant part of paragraph 808 headed "Injunction

a normal remedy" reads:

> "The general principles upon which injunctions are granted for the protection of copyright do not differ from those upon which they are granted for the protection of other property. The nature of copyright property, however, makes an injunction a peculiarly suitable, and indeed, the normal remedy."

Paragraph 809 of the same volume deals with "interlocutory injunction". It says that "if the granting of such an injunction will not seriously interfere with the defendant, it may be granted although the plaintiff does not fully prove his title to the right alleged to be infringed or has only an equitable title, or although the quantity of the defendant's work which constitutes the infringement has not been ascertained". In the present case, the matter has been fully argued and I do not think the plaintiff's title will be open to any serious challenge at the trial.

Halsbury goes on to say:

> "An interlocutory injunction will not, however, be granted where the plaintiff can be properly protected by the defendant being ordered to keep an account and the defendant might suffer irreparable injury from an injunction restraining him from publishing pending the trial; nor will an interlocutory injunction be granted if the plaintiff has been guilty of undue delay in coming to the court or if his conduct has amounted to acquiescence in the infringement, or there is any substantial doubt as to the plaintiff's right to succeed."

Having heard the advocates of the parties at some length, I cannot say that there is "any substantial doubt as to the plaintiff's right to succeed." There has been no acquiescence unless negotiations for a settlement outside court can amount to acquiescence. I do not think they can. There has been delay in coming to court but that delay has been satisfactorily explained.

The defendants will suffer by being stopped from selling the existing stock and their loss may at least in part be irreparable because the terms on which they will ultimately have to sell the scarves in question are bound to be less favourable than sale in the open market. But in the circumstances of this case where a breach of the copyright has been proved almost conclusively a loss cannot be avoided.

The keeping of accounts by the defendants will not be sufficient because the quality of the scarves sold by the plaintiff is widely different from that of the defendants' scarves. The assessment of damages, if the plaintiff succeeds will not be a question merely of arithmetic.

Mr. Shah has thrown doubt on the plaintiffs' statement as to the firm's loss. He has I think succeeded in showing that the loss is not as big as Mr. Sapra tries to make out in his affidavit. This is a point that will have to be considered at the trial of the action.

He also criticises Mr. Sapra's affidavit as not showing the source of his information in regard to his statements in para. 2. I agree that the usual formal statement showing which statements are true from knowledge and which are based on information is missing from this affidavit. But the material statement in para. 2 is this: "On behalf of the plaintiff I commissioned at a fee of Shs. 35,000/- Rena M. Fennessy a well known artist resident in Kenya". In my opinion, Mr. Sapra is saying that this statement is being made from his personal knowledge.

For all these reasons, I hold that the plaintiff is entitled to the temporary injunction prayed for and I so order.

Order accordingly.

For the plaintiff:
WS Deverell (instructed by *Kaplan & Stratton*, Nairobi)

For the defendants:

AB Shah (instructed by *Shah & Parekh*, Nairobi)

Wanjema v Republic
[1971] 1 EA 493 (HCK)

Division: High Court of Kenya at Nairobi

Date of judgment: 27 April 1970

Case Number: 204/1970 (146/71)

Before: Trevelyan J

Sourced by: LawAfrica

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[1] Criminal Practice and Procedure – Sentence – Causing death by dangerous driving – When prison sentence appropriate – Deliberate risk-taking.

[2] Criminal Practice and Procedure – Sentence – Causing death by dangerous driving – Deterrent effect of loss of licence.

[3] Criminal Practice and Procedure – Sentence – Plea of guilty not taken into account.

[4] Criminal Practice and Procedure – Sentence – Magistrate purporting to act on warning given by him – Misdirection – Sentence reduced.

Editor's Summary

The appellant was charged with causing death by dangerous driving. He attempted to overtake a vehicle in the face of oncoming traffic, lost control of his car which mounted a pavement and killed a pedestrian.

He was 22 years old and a first offender and he pleaded guilty. The magistrate sentenced him to the maximum of 5 years' imprisonment and at the same time referred to a warning that he the magistrate had issued that dangerous drivers would be severely dealt with.

On appeal:

Held –

(i) imprisonment is only appropriate where there is some element of deliberate risk-taking or evidence of conscious recklessness;

(ii) these factors were present and justified a prison sentence;

(iii) the magistrate erred–

(*a*) in not taking into account the appellant's plea of guilty;

(*b*) in acting on a warning given by him;

(*c*) in awarding an inordinately long prison sentence;

(*d*) in not cancelling the appellant's driving licence (*R. v. Eneriko Sempala* (1) followed).

Sentence varied to 9 months' imprisonment and 10 years' loss of licence.

Cases referred to judgment

(1) *R. v. Eneriko Sempala* (1936), E.A.C.A. 23.

(2) *R. v. Evans,* [1962] 3 All E. R. 1086.

(3) *Skone* (1967), 51 Cr. App. R. 165.

(4) *Godfrey* (1967), 51 Cr. App. R. 449.

(5) *R. v. Joliffe,* [1970] Crim. L.R. 50.

Judgment

Trevelyn J: The appellant was driving his car on a main road within the Nairobi city area at a speed of about 50 m.p.h. and began to overtake the vehicle in front of him at a time when a car was coming from the opposite direction. He tried to avoid colliding with that car and succeeded in doing so but it was at the cost of losing control of his car which mounted a pavement and struck two pedestrians one of whom died there and then, the other dying as a result some little while later in hospital. The appellant who is

22 years of age, a student working his way through college and a first offender, pleaded guilty to the charge and was sentenced to five years' imprisonment. Against this sentence he now appeals. No order was made suspending or cancelling his driving licence.

The question of the proper sentence to be ordered in cases of causing death by dangerous driving was canvassed in the recent appeal of *R. v. Joliffe*, [1970] Crim. L.R. 50, and I believe that the views of the Court of Appeal (Edmund Davies and Fenton Atkinson, L.JJ. and Shaw, J.) expressed therein are as applicable to Kenya as they are to England. The judges were asked to say that there must be an outstandingly bad case of dangerous driving before imprisonment should result but they would not accept the qualification "outstandingly". They said that in these days of appalling fatality figures on the roads drivers should know, and know clearly, that if they cause death by dangerous driving they are in imminent danger of being sent to prison. But it appears to be a rule in England, and I would endorse it for adoption here, to consider imprisonment appropriate only where there is some element of deliberate risk-taking such as racing or a degree of intoxication in the driver, though there may also be cases where evidence of conscious recklessness in the offender's driving will be enough; which in my view was the case here.

A sentence must in the end, however, depend upon the facts of its own particular case. In the circumstances with which we are concerned a custodial order was appropriately made. But that which was made cannot possibly be allowed to stand. An appellate court should not interfere with the discretion which a trial court has exercised as to sentence unless it is evident that it overlooked some material factor, took into account some immaterial factor, acted on a wrong principle or the sentence is manifestly excessive in the circumstances of the case. The instant sentence merits this court's interference with it on each of these grounds. No account was taken, as it should have been, of the fact that the appellant pleaded guilty: *Skone* (1967), 51 Cr. App. R. 165 and *Godfrey* (1967), 51 Cr. App. R. 449. (This admits of no doubt because the magistrate awarded the maximum sentence to this first offender; which of itself is unusual.) Matter extraneous to the trial was acted upon for the magistrate bore in mind that he had "issued a warning only last week that dangerous drivers will be dealt with severely by the court". This was quite wrong. It is not the function of magistrates to issue warnings but to decide the issues in the case before them. Nor was it established that the appellant had heard of the warning. Judgments should be left to speak for themselves. Moreover, such a long period of imprisonment as that awarded is generally unnecessary and serves no useful purpose in cases like this. The issue as to whether a driver was deliberately reckless, careless, momentarily inattentive or simply doing his incompetent best is highly relevant to the question of sentence it is true: *R. v. Evans*, [1962] 3 All E.R. 1086, but once imprisonment has been resolved upon the court must in assessing its term bear in mind (with all other relevant factors) that the accused is not ordinarily a criminal in the narrow sense of the word. In any case the sentence is manifestly excessive in all the circumstances.

The courts in this country should do all within their power to keep death off the roads but this purpose will best be achieved by ordering the suspension or cancellation of the offender's driving licence for a substantial period of time rather than by imposing inordinately long prison sentences. In *R. v. Eneriko Sempala* (1936), 3 E.A.C.A. 23 the Court of Appeal for Eastern Africa considered a sentence of seven years' imprisonment awarded for the more serious offences of manslaughter to a driver of an omnibus who was criminally negligent in the way he drove the vehicle. It observed that it was a bad case but said:

> "if sentences of three years, which have heretofore been passed in Uganda for offences of this kind . . . have failed to act as a deterrent then recourse must be had to other means than imprisonment to lessen the toll of the road . . . If imprisonment is to be regarded as a deterrent surely a sentence of three years should be adequate. What we do regard as real deterrent is the permanent cancellation of a driver's licence . . . the prevalence of a particular class of crime in a locality is not necessary of itself a ground for imposing a more sever sentence than that which would normally be imposed."

The section under which the appellant was convicted does not refer to the making of such orders but there is another section, s. 76 of the Traffic Act (Cap. 403), which does. This was a case where its provisions should have been invoked.

-The sentence of five years' imprisonment is reduced to one of nine months I cancel the appellant's driving licence and declare him to be disqualified for holding another one for a period of ten years from the date of his conviction.

Order accordingly.

For the appellant:
JK Kamere (instructed by *Kamere & Co*, Nairobi)

For the respondent:
Mrs E Majisu (State Counsel)

Mattaka and others v Republic
[1971] 1 EA 495 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	23 July 1971
Case Number:	32/1971 (151/71)
Before:	Sir William Duffus P, Spry V-P and Lutta JA
Sourced by:	LawAfrica
Appeal from:	High Court of Tanzania – Georges, CJ

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[1] Criminal Law – Treason – Overt Act – Plot itself an overt act of treason.

[2] Criminal Law – Treason – Overt act – Acceptance of letter – Can be overt act when more than mere receiving.

[3] Criminal Law – Treason – Overt act – Handing over letter – Constitutes sufficient publication to support charge.

[4] Criminal Law – Treason – Conspiracy effected – Intention of accused to put into effect irrelevant.

[5] Criminal Law – Misprision of treason – Ingredients of offence.

[6] Criminal Law – Illegal arrest – Accused, of – No answer to charge.

[7] Criminal Practice and Procedure – Charge – Treason – Overt acts correctly charged in separate counts.

[8] Criminal Practice and Procedure – Charge – Misprision of treason – Not naming person intending to commit treason – Defective.

[9] Appeal – Cross-examination of accused disallowed – Failure of justice usual where court has relied on evidence.

[10] Evidence – Accused – Compellability – At no stage accused a compellable witness even for co-accused.

[11] Evidence – Accused – Right of co-accused to cross-examine – Evidence inconsistent with evidence of co-accused adverse – Impracticable for trial judge to decide – Co-accused may cross-examine as of right.

[12] Evidence – Accused – Right of co-accused to cross-examine – Not confined to facts stated in examination-in-chief.

[13] Evidence – Extra-judicial statement – Magistrate – Qualification to take – Personal not territorial.

[14] Evidence – Extra-judicial statement – Police custody – Accused in police custody although in direct care of prison warders.

[15] Evidence – Extra-judicial statement – Voluntary – Actual violence – Puts higher burden on prosecution to prove voluntariness – Evidence Act 1967, *s.* 29 (*T.*).

[16] Evidence – Conspiracy – Evidence of other conspirators – Not available against accused acquitted of conspiracy – Evidence Act 1967, *s.* 12 (*T.*).

[17] Criminal Practice and Procedure – Sentence – Treason – Serious enough to justify life imprisonment even with misdirection.

[18] Criminal Practice and Procedure – Sentence – Repentance – Failure to show not ground for heavier sentence.

Editor's Summary

Four of the six appellants were convicted of treason and the remaining two were convicted of misprision of treason. The full facts have not been set out for reasons of space. The treason charges set out first the statement and particulars of the offence followed by the various overt acts in different counts. One of the overt acts charged against all four appellants convicted of treason was the act of conspiring together. The trial judge refused to allow any co-accused to cross-examine an accused who gave evidence except in respect of evidence which he considered adverse to that co-accused. The judge stated that any accused could call any other accused to give evidence. The judge also ruled that the receipt of a letter is capable of being an overt act.

The main witness against all the appellants was a South African, P. K. Leballo whom the trial judge found to be an unreliable and at times untruthful witness on whose evidence the judge stated he would rely only where it was shown by other evidence to be true.

The issues in the appeal therefore turned largely on the nature of the supporting evidence.

The first appellant Mattaka was not allowed to cross-examine the second appellant Chipaka about the authenticity of letters alleged to have been written by him to Chipaka and the judge considered Chipaka's evidence when deciding the guilt of the first appellant. Other than these letters the evidence of Leballo was all that there was against the first appellant.

The second appellant Chipaka made an extra-judicial statement to a Tanganyika magistrate while he was in custody in Zanzibar, having been arrested by the police, although he was in the direct care of prison warders. The appellant had been illegally arrested in Nairobi and taken to Dar es Salaam. Later he had been taken to Zanzibar and he was aware of rumours of the fate of a former Tanzanian minister who had been taken to Zanzibar. He complained to the magistrate that he was in fear of his life. There was no record of the appellant having been cautioned. It was also urged for the second appellant that he had had no intention finally to carry the conspiracy into effect.

The third appellant Bibi Titi Mohamed also made an extra-judicial statement after having been in lawful custody. She made no complaint to the magistrate who took her statement and had been allowed to see the President and Vice-President during her detention. The trial judge was not satisfied that she had been cautioned before making her statement.

The fifth appellant Captain Lifa was alleged to have published a treasonable letter by handing it to a man who did not understand the language in which it

was written for delivery to another, and it was argued that this was not publication of the letter.

The fourth appellant Kamaliza was convicted of misprision of treason and the charges did not name the person who intended to commit treason to the appellant's knowledge. It was argued that the trial judge had taken into account against the appellant all the evidence in the trial even though he had been acquitted of conspiracy.

In sentencing the second, third and fifth appellants the trial judge stated that there appeared to be a complete absence of penitence and that this could be taken into account when passing sentence.

Held –

(i) the manner of laying the charges with the overt acts in separate counts was correct;

(ii) (Spry, V.-P. dissenting) the plot itself is an overt act which can be charged as such;

(by Spry, V.-P.) "act of conspiring" must mean a specific act and only a general meeting of the conspirators could be charged as such an overt act;

(iii) at no stage of a trial is an accused a compellable witness for his co-accused;

(iv) since evidence which is inconsistent with that of the co-accused may be just as injurious to the co-accused's case as that which seeks to implicate him, it is impracticable for a trial judge to decide whether it is adverse and therefore a co-accused may cross-examine as of right;

(v) cross-examination of a co-accused may not be confined to facts testified to in examination-in-chief (dictum of Lord Alverstone, C.J. in *R. v. Hadwen* (4) approved);

(vi) the refusal to allow cross-examination of a co-accused will ordinarily result in the quashing of the conviction where the trial court has relied on the evidence;

(vii) the failure to allow the first appellant to cross-examine his co-accused concerning the authenticity of letters alleged to have come from the first appellant was fatal to his conviction;

(viii) the failure to allow the second, third and fifth appellants to cross-examine their co-accused did not occasion a failure of justice as the evidence against them was of a convincing and cogent nature;

(ix) where a letter has been accepted as distinct from being merely received this can be an overt act;

(x) the qualification of a magistrate to take an extra-judicial statement is a personal one and is not tied to his territorial jurisdiction;

(xi) the second appellant was in the custody of the police having been arrested by them although he was under the direct care of prison warders;

(xii) although actual violence is not referred to in the Evidence Act, s. 29, the onus on the prosecution to prove that a statement is voluntary is even higher after actual violence has been used than when there were only threats or inducements;

(xiii) the illegality of the second appellant's arrest was no answer to the charge against him;

(xiv) as the conspirators were planning and taking steps to put the plot into effect the second appellant could not be heard to say that he had no intention of putting it into effect;

(xv) (Spry, V.-P. dissenting) the third appellant's extra-judicial statement had been made voluntarily;

(xvi) the handing over of a letter is publication of it (*R. v. Burdett* (1) followed);

(xvii) a charge of misprision of treason which does not name the person intending to commit treason is defective;

(xviii) in order to establish the offence of misprision it must be proved that the accused knew that a named person had a fixed intention to commit treason;

(xix) once the fifth appellant had been acquitted of treason, evidence of things said and done by the other accused persons ceased to be evidence against him (*Gill v. The King* (6) followed);

(xx) to expect a person who has pleaded not guilty to express repentance rather than to face a higher sentence would interfere with his right of appeal: accordingly lack of repentance cannot be an aggravating factor on sentence;

(xxi) nevertheless the offence of treason is so serious that the life sentence on the second, third and fifth appellants would not be interfered with.

Appeals of first, fourth and sixth appellants allowed.

Cases referred to judgment

(1) *R. v. Burdett* (1820), 106 E.R. 873; [1814-1823] All E.R. Rep. 80.

(2) *R. v. Duffy*, 7 St. Tr. N/S. 795.

(3) *Mulcahy v. R.* (1968), L.R. 3 H.L. 306.

(4) *R. v. Hadwen*, [1902] 1 K.B. 882.

(5) *Ndania Karuki v. R.* (1945), 12 E.A.C.A. 84.

(6) *Gill v. The King*, A.I.R. (35) 1948 P.C. 128.

(7) *Edward Msenga v. R.* (1956), 23 E.A.C.A. 553.

(8) *Nayinda Batungwa v. R.*, [1959] E.A. 688.

(9) *Murdoch v. Taylor*, [1965] 1 All E.R. 406.

(10) *Ngura v. Republic*, [1968] E.A. 206.

(11) *R. v. Hilton* (1971), Times Newspaper 22 June.

Judgment

23 July 1971. The written judgment of the majority of the court was read by **Sir William Duffus P:** The first appellant, Gray Likungu Mattaka, the second appellant, John Dunstan Lifa Chipaka, the third appellant, Bibi Titi Mohamed, and the fifth appellant, Eliyah Dunstan Lifa Chipaka referred to as Captain Lifa were all convicted on three counts of treason, contrary to s. 39 of the Penal Code and sentenced to life imprisonment. The fourth appellant, Michael Marshall Mowbray Kamiliza, and the sixth appellant, William Magori Chacha, were found guilty of misprision contrary to s. 41 (*b*) of the Penal Code and each sentenced to ten years' imprisonment.

This was a long and difficult trial before the Chief Justice which lasted over six months. Our record of appeal came to some 6,000 pages and the hearing of the appeal itself lasted seventeen days.

Sections 39 and 41 of the Penal Code, along with other sections of the law relating to treason, were amended by the Written Laws (Miscellaneous Amendments) Act (2 of 1970). The charges in this case were in respect of events which occurred between March 1968, and October 1969, but the offences enacted in the 1970 Amendments were made retrospective and therefore apply to these charges. We would here set out the relevant provisions of s. 39 which applies to the first three counts of treason.

> "(2) Any person who, being under allegiance to the United Republic, in the United Republic or elsewhere, forms an intention to effect or to cause to be effected, or forms an intention to instigate, persuade, counsel or advise any person or group of persons to effect or to cause to be effected, any of the following acts, deeds or purposes, that is to say–
>
> (*a*) the death, maiming or wounding, or the imprisonment or restraint, of the President; or
>
> (*b*) the deposing by unlawful means of the President from his position as President or from the style, honour and name of Head of State and Commander-in-Chief of the Defence Forces of the United Republic; or
>
> (*c*) the overthrow by unlawful means of the Government of the United Republic; or
>
> (*d*) the intimidation of the Executive, the Legislature or the Judiciary of the United Republic;
>
> and manifests such intention by publishing any writing or printing or by any overt act or deed whatsoever shall be guilty of treason and shall be liable on conviction to suffer death."

The three main essentials of treason under sub-s. (2) are:

(*a*) allegiance to the Republic;

(*b*) the formation of the necessary intent;

(*c*) the manifestation of such an intention by the publication of any writing or printing or by an overt act or deed.

Each of the three treason counts relates to a different intention under sub-s. (2); thus, count 1 is a charge for treason, contrary to sub-s. (2) (*a*) and the particulars of the charge state:

> "Gray Likungu Mattaka, John Dunstan Lifa Chipaka, Bibi Titi Mohamed, Michael Marshall Mowbray Kamaliza, Eliyah Dunstan Lifa Chipaka, William Magori Chacha and Alfred Phillip Millinga in March 1968 and on divers other days thereafter and between that month and 30 October 1969, being then, to wit on the said several days, persons under allegiance to the United Republic of Tanzania, in the United Republic and elsewhere formed an intention to cause to be effected the following act, that is to say, the death of the President, and manifested such intention by publishing any writing or by an overt act or deed."

Count 2 relates to an offence under sub-s. (2) (*b*) and the particulars state that the intention is "the deposing by unlawful means of the President from his position as President of the United Republic." Count 3 is for an offence under sub-s. (2) (*c*) and the particulars state that the intention is "the overthrow by unlawful means of the Government of the United Republic." All these appellants, along with one, Alfred Phillip Millinga, were jointly charged on all these three counts and were further jointly charged in the alternative with a fourth count of misprision of treason. Millinga was acquitted on all the counts, Mattaka, Chipaka, Bibi Titi and Captain Lifa were convicted of treason

on counts 1, 2 and 3; Kamaliza and Chacha were acquitted on the treason charges but convicted on the charge of misprision of treason. Mattaka was acquitted on the fourth count at the end of the prosecution's case as he had been outside the United Republic at all material times and the court, having found Chipaka, Bibi Titi and Captain Lifa guilty of the treason charges, did not in their cases proceed to a verdict on the fourth count.

The Criminal Procedure Code makes no specific provision as to the method of laying a charge for treason contrary to s. 39 (2) and the prosecution followed the English practice of setting out the various overt acts in each count after having first set out the statement and the particulars of the offence. This procedure has not been questioned and was, in our view, correct. It complied with the provisions of s. 135 of the Criminal Procedure Code as it set out a statement of the specific offence charged and then gave such particulars as may be necessary for giving reasonable information as to the nature of the offence charged. Section 135 states:

> "Every charge or information shall contain, and shall be sufficient if it contains, a statement of the specific offence or offences with which the accused person is charged, together with such particulars as may be necessary for giving reasonable information as to the nature of the offence charged."

It also complied with s. 138, and the use of the English procedure in setting out the overt acts after the particulars was justified by s. 3 (3) of the Code which provides that the procedure and practice observed by the High Court in England, as on 28 September 1945, shall be followed in cases where the procedure is not prescribed by the Code.

The first overt act in each of the three counts of treason alleges that the accused persons, between the months of March 1968 and 30 October 1969, conspired together with one Oscar Selathel Kenneth Kambona, and other persons unknown, to effect the particular treasonable act charged in each of the counts. A very important question arises here as to whether it was proper and lawful to charge a conspiracy as a specific overt act. The question was first raised by this court at the appeal. The Chief Justice and the various advocates appearing for the Republic and the accused were apparently of the view that this procedure was in order although both Mr. Jadeja, who appeared for Mattaka at the trial and Mr. Raithatha, who similarly appeared for Chipaka and Captain Lifa did object to the inclusion of the conspiracy charge as an overt act but this was not on the ground that conspiracy could not be charged as an overt act within the meaning of our law but rather that their clients would be prejudiced at the trial by the inclusion of conspiracy as an overt act along with the specific overt acts. They submitted that this would mean that the acts of another accused could be admitted as evidence against the other accused persons as a co-conspirator by virtue of s. 12 of the Evidence Act. Section 12 of the Evidence Act states:

> "Where there is reasonable ground to believe that two or more persons have conspired together to commit an offence or an actionable wrong, anything said, done or written by any one of such persons referring to or in execution or furtherance of their common intention, after the time when such intention was first entertained by any one of them, is a relevant fact as against each of the persons believed to be so conspiring, as well for the purpose of proving the existence of the conspiracy as for the purpose of showing that any such person was a party to it."

We would first consider whether a conspiracy can be used as an overt act. Apparently according to the latest edition of Archbold's Criminal Pleading

Evidence and Practice this is still the practice in England and would be in accordance with the judgment given by the judges and upheld by the House of Lords in the old case of *Mulcahy v. The Queen* (1868), L.R. 3 H.L. 306. The answer must, however, depend on the interpretation of our laws and in particular with the interpretation of s. 49 of the Penal Code which states:

> "**49. Definition of overt act.** – In the case of any of the offences defined in this chapter, when the manifestation by an overt act of the intention to effect any purpose is an element of the offence, every act of conspiring with any person to effect that purpose, and every act done in furtherance of the purpose by any of the persons conspiring, is deemed to be an overt act manifesting the intention."

The question depends on the interpretation of the words "every act of conspiring with any person to effect that purpose". Does "act" here mean the individual act of one person or does the act of conspiring refer to the conspiracy itself? Simply defined, conspiracy is the agreement of two or more persons to do an unlawful act or to do a lawful act unlawfully. The gravamen of a conspiracy charge is the unlawful agreement so here the words "every act of conspiring with any person to effect that purpose" must mean the agreement between two or more persons to effect or carry out a treasonable purpose as set out in s. 39. We would refer to the following extract from the judges' opinion in the case of *Mulcahy* (*supra*) defining a conspiracy.

> "A conspiracy consists not merely in the intention of two or more, but in the agreement of two or more to do an unlawful act, or to do a lawful act by unlawful means. So long as such a design rests in intention only, it is not indictable. When two agree to carry it into effect, the very plot is an act in itself, and the act of each of the parties, promise against promise, actus contra actum, capable of being enforced, if lawful, punishable if for a criminal object or for the use of criminal means."

As those judges explained, the very plot is an act in itself and forms the conspiracy. In each of these three counts the conspiracy charged is a plot between the appellants and Kambona and others unnamed to carry out a specific treasonable purpose, thus in count 1 the plot is to cause the death of the President, contrary to s. 39 (2) (*a*). The section, despite the marginal note, does not define an overt act nor clearly does it include all overt acts but it is specifically put in by the legislature in order to make certain that an act of conspiracy is an overt act. "Act" is defined in the Interpretation and General Clauses Ordinance (Cap. 1) as "used with reference to an offence or civil wrong includes a series of acts, and words which refer to acts done extend to illegal omissions". The act of conspiring here must mean the actual conspiracy itself to carry out any of the treasonable purposes mentioned in s. 39. The act of conspiring cannot be committed by one person. It can and must be committed by two or more persons and to prove this act of conspiracy the evidence could not be limited to just the act of one particular person, but would include all the various acts of the conspirators which would together go to prove the one particular "act of conspiracy". The section then goes on to provide that every act done in furtherance of the purpose by any of the persons conspiring is deemed to be an overt act; thus specifically providing for the individual acts of any person in carrying out the purpose once the act of conspiring has been established. A conspiracy necessarily involves the participation of two or more persons and therefore all the persons involved would be correctly charged together and joined in one count and also in one overt act. We are therefore satisfied that the words "every act of conspiring with any person to effect a treasonable purpose" can only refer to the conspiracy itself and that therefore the first overt acts charging a conspiracy in all three counts were correctly laid.

One of the general grounds of appeal advanced on behalf of several of the appellants was that the Chief Justice erred in law in refusing to allow cross-examination of the appellants who gave evidence by the advocates for their co-accused. This question was considered by the Chief Justice just before the accused persons gave evidence. He heard arguments and ruled that cross-examination of an accused person by another co-accused would only be allowed when the accused gives evidence adverse to that co-accused, although the court stated that it would not interpret "adverse" very restrictively. Where the Chief Justice did allow cross-examination, he severely restricted its scope.

It may be convenient to mention here that in connection with the procedure at the trial within a trial, the Chief Justice had said:

> "any accused person who wishes to call any other accused person as a witness in his trial-within-a-trial is perfectly free to do so."

We think, with respect, that this last statement is misleading and needs qualification. Under the provisions of s. 130 (3) of the Evidence Act 1967 and s. 279 of the Criminal Procedure Code, an accused person, whether he is charged solely or jointly with any other person, is a competent witness but he cannot be compelled to give evidence. This applies at every stage of the proceedings. It follows that it is only with his own consent that an accused person can be called by a co-accused. In theory, an accused person might consent but in practice it is most unlikely that he would expose himself to a second cross-examination. In practice, therefore, the only opportunity an accused person will have of putting questions to his co-accused will be by way of cross-examination.

It is well established that where an accused person gives evidence that is adverse to a co-accused, the co-accused has a right of cross-examination (see *Ndania Karuki v. R.* (1945), 12 E.A.C.A. 84 and Edward *Msenga v. R.* (1956), 23 E.A.C.A. 553). The questions that arise are, first, what is the test whether or not evidence is adverse and, secondly, whether any cross-examination by a co-accused is to be restricted to the adverse evidence.

On the first question, we are not aware of any authority. We were referred to *Murdoch v. Taylor*, [1965] 1 All E.R. 406 but, with respect, we do not think it is of much assistance because it dealt with examination as to character, where special rules apply. We think the question must be decided on basic principles. It is well established that where an accused person gives evidence, that evidence may be taken into consideration against a co-accused, just like any other evidence. Evidence which is inconsistent with that of the co-accused may be just as injurious to his case as evidence which expressly seeks to implicate him, and should, we think, give rise to a right of cross-examination. If this broader view is adopted, we do not think it practicable or desirable for the trial judge to decide whether or not evidence is to be regarded as adverse. To do so might involve a lengthy enquiry and where the accused who wishes to cross-examine has not yet given evidence, the rehearsal of his evidence. It is, normally, the accused who is in the best position to judge what is adverse to his case. We think, therefore, that where an accused wishes to cross-examine his co-accused, he should be permitted to do so as of right, subject, of course, to the overriding power of the court to exclude irrelevant or repetitive questions.

We think, also, that the scope of such cross-examination should not be restricted. Under s. 147 (2) of the Evidence Act 1967, cross-examination:

> "need not be confined to the facts to which the witness testified on his examination-in-chief."

There may well be facts to which an accused person may be able and willing

to testify, which were irrelevant to his own case and were unknown to the prosecutor, but which may assist his co-accused. We think some authority for this view is to be found in the judgment of Lord Alverstone, C.J., in *R. v. Hadwen*, [1902] 1 K.B. 882, when he said:

> "Speaking for myself, I think that the ordinary case of two or more persons being jointly indicted for the same offence is exactly the case where general cross-examination ought to be allowed."

There remains the question whether a refusal to allow cross-examination is necessarily fatal to a conviction. In *Msenga's* case (*supra*), this court referred to a failure to allow cross-examination as "the denial of a fundamental right" and in that case the court found it impossible to say that there had not been prejudice and consequently a miscarriage of justice. This was considered by Georges, C.J., in *Ngura v. Republic*, [1968] E.A. 206, when he held that the test was whether there had been a miscarriage of justice. We agree, but we would add that we think that the failure of a trial court to allow cross-examination of one accused by another will ordinarily result in the quashing of a conviction when the trial court has relied on the evidence on which it was sought to cross-examine, unless without that evidence there is an overwhelmingly strong case against the accused. We will consider this matter further when dealing with the case of each appellant but shortly we are of the view that this irregularity will affect the decision in Mattaka's case but not in the case of the other appellants.

Since drafting our ruling on this matter in so far as it affects Tanzania, we have seen the decision of the Court of Appeal in England in *R. v. Hilton* as reported in *The Times* of 22 June 1971, and we note with interest that their Lordships in that case came to a similar decision as we have done here.

One other question common to the case of several of the appellants was whether the receipt of a letter is capable in law of constituting an overt act. On this subject, the Chief Justice said:

> "It was argued by the defence that the mere receipt of a letter could never be an overt act manifesting any intention. With that broad proposition I cannot agree. Receipt of an unsolicited letter could not be an overt act. Where, however, the receipt of the letter can be fitted into a sequence of events leading to the accomplishment of a certain scheme one may legitimately draw the inference that the receipt of the letter discloses an intention to put the scheme into effect."

We respectfully agree with this qualification, that "receipt" must be interpreted in the sense of acceptance. It must be an act of volition. The mere physical receipt of an envelope the contents of which are unknown cannot be an overt act. This question specially arises in the appeals of Chipaka, Bibi Titi and Captain Lifa.

The prosecution's case is that this was a plot to overthrow the Government by force and to kill the President and other leading figures of the Government of Tanzania and detain others and then bring back Kambona into power in the Republic. Kambona was a former Minister and a leading figure in the Republic until he left the country in July 1967. He is alleged to have been the leading figure in the plot and to be residing in either London or Geneva.

The principal witness for the prosecution was Potalko Litchener Leballo. Leballo is a South African and a leader of the Revolutionary Movement and Chairman of the Revolutionary Council of the Pan-African Congress. He was living in Tanzania as a leader of a group commonly known as Freedom Fighters. His evidence was to the effect that he was approached by Mattaka and asked to join in the plot to overthrow the government and that he did this after first

consulting with the Director of Intelligence in Dar es Salaam and that he was thereafter acting as a government agent, taking a leading part in the plot and all the time passing on what information he had to the Director of Intelligence and also any letters or papers which came into his hands. He also acted as a messenger or courier taking letters between the plotters. Leballo gave evidence over a period of some three weeks and although the assessors appeared to be satisfied that he was speaking the truth he was clearly a most unreliable and at times an untruthful witness.

We are of the view that this assessment of Leballo's evidence by the Chief Justice must be accepted. Broadly speaking, the Chief Justice was satisfied that the main portion of Leballo's evidence was true and this is borne out by the admitted or proved facts, but the Chief Justice found that he would not accept any portion of his evidence as involving any of the appellants except where that evidence was shown by other evidence or by the sequence of events, to be true. In considering the case against each of these appellants the Chief Justice's assessment of Leballo's evidence must always be borne in mind, together with the fact that he is undoubtedly an unreliable witness and one who was always endeavouring to obtain proof of the appellant's guilt and has shown that he is not above lying or grossly exaggerating his evidence, which is only a polite way of describing a lie, in order to ensure the conviction of any of the appellants.

We would now proceed to consider separately the appeals of each of the six appellants. We will first deal with the case of the four appellants convicted of treason on counts 1, 2 and 3, that is, Mattaka, Chipaka, Bibi Titi and Captain Lifa and thereafter we will consider the case of Kamaliza and Chacha who were convicted on the 4th count of misprision.

[The judge considered the evidence against Mattaka and continued.]

There is sufficient evidence, without taking into accounts the letters P. 49, P. 50 and P. 105 to show that Mattaka was acting on behalf of Kambona and that Mattaka had distributed "Ukweli" and had a desire to have Kombona returned to power in Tanzania. We would refer here to his admitted letter of 12 August 1968, but all this evidence would not be sufficient, in our view, to establish his being a party to the conspiracy to murder the President or to overthrow the President and the Government by force, but if the letter P. 49 was written by Mattaka, then we would feel that this would be evidence of his being a party, at any rate to the conspiracy to overthrow the President and Government of Tanzania.

We would here refer to our ruling on the question of the cross-examination by an accused of a co-accused. In this case the evidence of Chipaka was vital to the authenticity of the letters P. 49 and P. 50 as in both cases his evidence is that when he received these letters he thought they were genuine letters written by Mattaka. A reference to page 3188 of Vol. IV of the Stenographers' Notes would show what occurred when it came to the turn for the accused persons to cross-examine Chipaka. After the State Attorney had finished his cross-examination the Chief Justice enquired whether Chipaka had said anything against any of the accused and Mr. Jadeja, who appeared for the appellant, Mattaka, said that Mattaka had given evidence about Chipaka being involved in constitutional reforms and the Chief Justice allowed him to cross-examine Chipaka on this point but he did not give him permission to cross-examine about the letters on this question.

It must be remembered that this took place after court had already ruled that it would not allow cross-examination except as regards any adverse evidence and with respect both to Mr. Jadeja and to the Chief Justice, they did not appear to realise that Chipaka's evidence on these letters was most important

and vital in deciding whether Mattaka wrote these letters: this evidence was considered by the Chief Justice in his judgment and must have influenced his decision.

This is not, in our opinion, a case in which we could apply the provisions of s. 346 of the Criminal Procedure Code. The case against Mattaka was highly suspicious but apart from the tainted evidence of Leballo there was no other positive evidence against Mattaka to show that he was a party to the conspiracy except these disputed letters. The evidence against him was of such a weak nature that it is impossible for us to find that the refusal to allow the cross-examination of the other accused persons has not, in fact, occasioned a failure of justice in Mattaka's case. It would be unsafe and wrong to allow his conviction to stand. We therefore allow Mattaka's appeal on all three counts.

The second appellant, John Dunstan Lifa Chipaka, is a cousin of Oscar Kambona and a full brother of Captain Lifa. He led a life of political activity and unquestionably was a strong supporter of Kambona. He, together with Mattaka, was concerned with the distribution of the seditious publication "Ukweli" in 1968. This publication and also the correspondence which passed between Mattaka, Chipaka and Kambona formed the background of the prosecution's case against Mattaka and Chipaka and are of some relevance to prove their involvement in the conspiracy to carry out the treason charged in the three counts.

The evidence against this appellant may be considered under three heads. The first is his extra-judicial statement to Mr. Jonathan in Zanzibar; secondly, the oral evidence of Leballo, and in this case, the further evidence of the witnesses Libangile and K. S. Baina and then further on the various letters written and received by him.

We would first consider his extra-judicial statement. This was made in Zanzibar on 1 April 1970, to Mr. P. M. Jonathan, who was at that time a senior resident magistrate in Tanganyika. Objection was taken to this statement on the ground that as Mr. Jonathan had no jurisdiction in Zanzibar, the statement was not rendered admissible by s. 28 of the Evidence Act 1967. That section provides that no confession made by any person whilst he is in the custody of a police officer may be proved against him unless it was made in the immediate presence of a magistrate. Although much of the statement was exculpatory, the Chief Justice decided, and we think rightly, that in considering its admissibility, it should be treated as a confession. In relation to Kamaliza, the Chief Justice held, and again we think rightly, that, having been arrested by the police, he must be regarded as having been in police custody, even though under the direct care of prison warders: this applies equally to Chipaka. On the objection, the Chief Justice held that although a magistrate is assigned to a particular court and his jurisdiction is territorially limited, that has nothing to do with his appointment as a magistrate. He held that the recording of a statement is not an exercise of jurisdiction. This ruling was vigorously attacked by counsel for the appellants but, with respect, we think it was correct. We think that s. 28 requires the presence of a magistrate as a person who, by his qualifications, experience and status will ensure propriety and will give a prisoner confidence that he may speak freely. In other words, it is a matter of personal qualifications and not of jurisdiction.

The more difficult question to decide is whether the statement was a voluntary one. The Chief Justice rightly directed himself that the onus is on the prosecution to prove that a statement was voluntary. He referred to the fact that s. 29 refers only to promises and threats and does not expressly refer to actual violence but held that the same principles must apply. We agree, and we would add

that when actual violence has been used, the onus on the prosecution will be all the heavier.

Sections 29 and 30 of the Evidence Act 1967 are new and have not, so far as we are aware, been the subject of judicial consideration. Section 29 provides that a confession shall not be rejected on the ground that a promise or threat was held out

> "unless the court is of the opinion that the inducement was made in such circumstances and was of such a nature as was likely to cause an untrue admission of guilt to be made."

This section undoubtedly allows a court to admit a confession in circumstances when, under the former law, it would have been inadmissible. The extent of the change will have to be decided as different circumstances come to be considered in different cases.

Section 30 provides that where an inducement has been made in such circumstances and was of such a nature as was likely to cause an untrue admission of guilt to be made and a confession is subsequently made, that confession need not be rejected if the court is of the opinion that the impression caused by the inducement has been fully removed when the confession was made. This is not, we think, materially different from the former law.

In the light of these two sections, we must consider what were the circumstances in which the extra-judicial statement was made, whether there was any threat or inducement and if so of what nature, in particular whether it was likely to induce an untrue confession, and finally, if there was any such inducement, whether the effect of it had fully been removed by the time the statement was made.

In the first place, it is not disputed that Chipaka was unlawfully arrested in Nairobi and taken to Dar es Salaam. At the time when he made his statement, he had been detained unlawfully for well over five months in places other than normal prisons. He had not been charged with any offence, he had not been taken before a magistrate and he was not the subject of a detention order. He had, admittedly, been subject to interrogation. He was taken to Zanzibar on 4 February 1970. The significance of his being taken to Zanzibar was that there had been rumours current in East Africa – it is immaterial whether they were true or not – concerning the fate of a former Tanzanian minister who had been taken there.

The inducement to which Chipaka was alleged to have been subjected was four-fold. First, he alleged that he had been subjected to threats and physical violence on 19 and 23 October 1969. The Chief Justice said that he could not dismiss from his mind the very real possibility that these incidents took place, and he ruled that it was possible that they had. Secondly, it was alleged that in early November Chipaka had been threatened with death in particularly gruesome circumstances. The Chief Justice held that these alleged incidents had not taken place. Thirdly, there were rather general allegations of bad treatment: the Chief Justice held on this that the manner of his confinement had caused Chipaka

> "strain and worry, but I am also satisfied that he was not put in fear as a result."

Finally, it was alleged that being taken to Zanzibar put him in fear of his life and on this the Chief Justice held that–

> "he had real fear that his life was in danger."

We think there can be no possible doubt that the alleged threats and violence

in October 1969, and the fear of death in February and March 1970, amounted to an inducement within the meaning of s. 29. The question is whether that inducement had been fully removed when Chipaka made his extra-judicial statement on 1 April.

The first point that emerges is that, according to Mr. Jonathan, Chipaka said he had been brought in by force against his will. The Chief Justice accepted that as fact, but said it was

> "not because he actively did not wish to see Mr. Jonathan, but because he had not been told where he was being taken, and he feared the worst."

Mr. Jonathan said:

> "I was eventually completely satisfied that what he was going to say he was going to say completely voluntarily."

It is significant, however, that after they had had a preliminary talk and before Chipaka made his statement, Mr. Jonathan recorded, by way of preamble, that Chipaka had said:

> "Before I make my statement I wish to make a plea that I be transferred to any prison in mainland Tanzania because here I do not feel safe; my life is in danger . . . One other request. Can arrangements be made so that an advocate visits me at my own expense."

After saying that Mr. Jonathan had been satisfied that the statement was voluntary, the Chief Justice went on to say that he was quite satisfied "from the statement itself" that Chipaka had

> "felt free to say whatever he had a wish to say."

The Chief Justice did not indicate what passages in the statement led him to this conclusion.

Finally, the Chief Justice said that there might be doubts whether a caution had been administered, but that even if it had not been given, this was not fatal. As a general proposition of law, we agree, but we think that when a person in detention has said that he is in fear that he will be killed, the desirability of a caution before taking a statement becomes obviously greater. This is one more factor that must be taken into account.

We regret that we cannot concur in the Chief Justice's finding that the statement was admissible. We have already said that in our opinion the inducements to which the Chief Justice found that Chipaka may have been subjected were made in such circumstances and were of such a nature as to be likely to cause an untrue admission of guilt to be made. Chipaka was taken forcibly, against his will, into the presence of Mr. Jonathan. We accept that Mr. Jonathan did his best to reassure him and believed that he had done so. The fact remains, however, that the statement is prefaced by an expression of fear of death and request for an advocate. We think that shows in the clearest possible way that the impression caused by the earlier inducements had not fully been removed. In the face of that, it is impossible to infer from the contents of the statement that it was voluntary. We would hold that the prosecution had failed to discharge the onus of proving the confession voluntary and that it should have been excluded.

We are of the view that there was strong, almost overwhelming evidence against Chipaka to show that he was one of the principal plotters in the conspiracy to commit the various treasonable acts charged in these counts. Indeed, Chipaka produced so much evidence against himself, and, incidentally, the other conspirators, by keeping these various letters, that one of the advocates for another appellant put forward the proposition that Chipaka may, in fact,

have been another Government agent like Leballo, endeavouring to trap Kamaliza and Chacha. In this respect we would again refer to the Chief Justice's judgment and his assessment of Chipaka when he considered this possibility. He said:

> "Having seen and heard Chipaka I assess him as being vain, and self-indulgent. His achievements seem to him unsatisfactory when he matches them against his abilities. He conceives himself in the role of the saviour of democracy and the clan, the arch foe of communism and non-western influences. Although having no desire to die for any cause he enjoys the idea of dying for a cause and living thereafter in history. Preserving correspondence is for him safeguarding history. Letters have been preserved from the time of "UKWELI". He could not then have been acting as an agent."

Mr. Raithatha also submitted that Chipaka was illegally arrested in Kenya. We agree that his arrest in Kenya and his subsequent removal to Tanzania appears to have been illegal but this would not, in our opinion, affect his appearance before the courts in Tanzania to answer to these charges of treason.

The main consideration here is perhaps Mr. Raithatha's further submission that Chipaka never at any time really intended to carry out any of the treasons charged. This was perhaps a most ineffective conspiracy in that no actual physical attempt was made to carry it out but there can be no doubt that it was planned and that the conspirators were taking steps to put the plot into effect. It never became effective but it might have done so and if any of the plotters or any of the persons approached had started the use of force it is impossible to say what would have occurred. We find no merit in this submission. Chipaka's guilt on these three counts of treason has been established beyond doubt and his appeal against his conviction is dismissed.

The third appellant, Bibi Titi Mohamed, was described by the Chief Justice as a woman of apparent determination and courage. She was a founder member of TANU, the leader of the women's section and a junior minister in 1964. She lost her seat in Parliament in 1965, and in 1967, after the Arusha Declaration, she resigned as the leader of the women's section. She owned and rented out three houses. The prosecution's case is that this appellant was one of the leaders of the conspiracy to overthrow the President and the Government by force of arms, and to kill the President and other leaders of the Government. The trial court accepted the prosecution's case and found Bibi Titi guilty on each of the three counts of treason, and in doing so, the Chief Justice found that she was a party to the conspiracy in the first overt act charged in each court, and in addition to this, that she had committed overt acts 8, 16, 20, 21 and 22 in count 3.

Bibi Titi's defence was a complete denial of any treasonable intention or of the manifestation of any such intent. She agreed that she was a friend and supporter of Kambona and was a party to the campaign to change the constitution but to do so by lawful means. She also explained her visits to Nairobi and also the receipt of certain monies from Kambona as having been done in connection with her financial difficulties in meeting her obligations on the mortgages of her houses. She also received some money from Kambona to pay Shs. 1,000/- each to one Chogga and Macha and on Kambona's instructions she paid Leballo Shs. 1,000/- out of this amount.

We would first consider the three overt acts of conspiracy. The evidence here may be considered under four heads. First that of Leballo; secondly, the extra-judicial statement to the magistrate, Mr. Jonathan; third, the various letters written and received by her; and lastly, the amounts she received from Kambona and the payments she made to Leballo.

We have already dealt with the value of Leballo's evidence. The extra-judicial statement was made in Tanganyika to Mr. Jonathan in his capacity as a magistrate and therefore the question as to his jurisdiction does not arise. We have already set out and discussed the principles which should guide the court in dealing with statements of this nature. The Chief Justice correctly considered the statement of each accused on its own merits, and he only admitted in evidence those statements which he was satisfied were voluntary.

In the case of Bibi Titi, the Chief Justice was not satisfied that she had been duly cautioned before she made her statement. The caution was not recorded in the statement. He correctly directed himself on the principles laid down by this court in *Nayinda Batungwa v. R.*, [1959] E.A. 688, and after full consideration of all the facts he held that the statement was a voluntary one and he exercised his discretion and admitted it in evidence. We are satisfied that although he did not in this case state so directly, he always had in mind the fact that the onus lay on the prosecution that the statement was a voluntary one. We think that the Chief Justice acted correctly in this matter. He considered the fact that she had been unlawfully detained by security officials, in some secret place, and he apparently rejected Bibi Titi's complaint that she had been subject to brutal and degrading treatment, and in this respect he preferred the evidence of the doctor who examined her to that of the appellant. The Chief Justice also considered the fact that she had, during her detention, been allowed to see the President and also the First Vice-President, and also the fact that she never complained to Mr. Jonathan or indeed to anyone in authority of having been beaten and subjected to the brutal ill-treatment that she complained of in court. In the final result the Chief Justice held that the statement was a voluntary statement and in the exercise of his discretion on the principles set out in the *Nayinda* case, he admitted this in evidence. We are satisfied that the Chief Justice was Justified in doing so. [The judge considered the evidence against the third appellant and concluded.]

We would therefore allow the appeal of Bibi Titi on the first count but dismiss the appeals against conviction on counts two and three.

[The judge next considered the evidence against the fifth appellant and stated that there was an abundance of evidence against him.]

We will now consider the charge of publication by the fifth appellant of the letter P. 91 to Leballo. There can be no doubt that the writing of this letter and handing it to Leballo for delivery to Kambona was an act manifesting the intention of effecting the particular treasonable act charged of "the overthrow by unlawful means of the Government of the United Republic". The difficulty which arises here is really a technicality. Was the delivery of the letter to Leballo a publication of that letter? There would be no difficulty if the particulars had alleged "delivery" instead of "publishing". The evidence shows that the letter was written in Kinyanja, a language which Leballo did not understand, and in finding that this was a publication the Chief Justice said:

> "In the case of a letter, however, I would hold that there is publication once the writer releases it from his control intending that it should in due course reach its destination. Unlike spoken words which are heard for a moment and are no more (unless recorded) a letter can be shown to others, translated and its contents in that way released."

This important issue was dealt with in the old English case of *R. v. Burdett* (1820), 106 E.R. 873. The views of the majority of the judges in that case were summarised by Ball, J., when he referred to this case in *R. v. Duffy*, 7 St. Tr. N/S 795, at p. 898 Said:

> "The principle laid down in *R. v. Burdett* is, that wherever third parties

> have an opportunity of reading, whether they read or not, that is a publication, as fully as if ten thousand read it."

These charges are brought under s. 39 of the Penal Code and in that section the publication of any writing or printing or the overt act or deed must be such as to manifest an intention to commit a treasonable act. The importance of the publication is that it is such as to manifest the treasonable intention. In this sense the handing over or sending out of the writing or printing which in itself shows a treasonable intention, would be a sufficient manifestation of the treasonable purpose. It would be immaterial in that case, whether the person who received the writing could read it. When Captain Lifa handed the letter to Leballo with intent that it should be delivered to Kambona, he, in effect, put it into circulation and thereafter had no control over it. He exposed it to Leballo and others into whose hands it may fall, thereby giving him or them, as the case may be, an opportunity to know to the contents of the letter. In these circumstances we agree with the Chief Justice that delivery of the letter to Leballo was publication.

We have considered whether the fact that Chipaka, Bibi Titi, and Captain Lifa were not allowed to cross-examine the co-accused persons made any difference to their convictions, but the evidence against all these three appellants was of such a convincing and cogent nature that we are satisfied that this is a case in which the provisions of s. 346 of the Criminal Procedure Code applies and we find that the irregularity has not in their cases occasioned a failure of justice.

We will now consider the case of the fourth and sixth appellants, Kamaliza and Chacha who were convicted of misprision, contrary to s. 41 (*b*) of the Penal Code. The particulars allege that the accused persons:

> "between the month of March 1968 and 30 October 1969, knowing that any person intended to commit treason, did not give information thereof . . ."

This, we think, is clearly defective. Just as a charge of murder must in the particulars name the person alleged to have been murdered or a charge of theft is knowledge that someone intended to commit treason, it is essential that that person be named. Without the necessary particulars, it would be impossible for an accused person to prepare his defence. Even where a count is charged in the alternative, it must still be complete, because in law every count is to be treated as if it stood alone. For reasons which will appear, it is unnecessary to consider whether this irregularity was cured by the subsequent proceedings.

The offence of misprision is committed when someone who knows that another person intends to commit treason does not report the matter promptly. It will be seen that there are two essential factors. First, the accused person must have had knowledge, not merely suspicion or belief. Secondly, the knowledge must be of an intention on the part of the other person: knowledge that another person is considering or even discussing possible treasonable action is not enough.

The only real evidence against Kamaliza on this count was that of Leballo, when he testified to certain conversation in which he alleged Kamaliza had taken part. The Chief Justice was, however, not prepared to base any conviction on the unsupported evidence of Leballo regarding anything spoken.

The Chief Justice in fact based his conviction of Kamaliza on two grounds. First, he held that he had received an undated letter P. 73, alleged to have been written by Kambona and delivered by Leballo. Kamaliza agreed that Leballo had handed him a letter, but denied that it was this letter. On this, the Chief

Justice accepted Leballo's evidence. He went on to find that Kamaliza "understood that it was from Kambona". The letter itself is, however, quite innocuous. The only phrase in it to which any sinister meaning could possibly be attached is one in which the writer says that he hopes to go to Tanzania that year. That phrase is equally capable of an innocent interpretation.

Secondly, the Chief Justice found that Kamaliza had received a letter P. 89 dated 14 August 1969, from Chipaka. Chipaka admits writing this letter and Leballo claims to have delivered it. Again, Kamaliza denies receipt and again the Chief Justice accepts Leballo's unsupported evidence, even though it contains contradictions. This letter also is, on the face of it, innocuous. It begins with a reference to waiting until money arrives. It asks for information as to what is happening and says that Lifa is to be trusted. It ends with a reference to the "drawback of waiting". The Chief Justice comments on this that "it can only mean the danger of delay in such enterprises". With respect, while we think that is a possible interpretation, we are not convinced that it is the only one. The Chief Justice then repeated that he could not rely on Leballo's account of his discussions with Kamaliza but said that "P. 89 confirms my view that they were discussions about the coup". He went on "Only in such circumstances could Chipaka have written this letter".

We think with respect, that this is reading far more into P. 89 than the terms of the letter justify. In any case, we do not think a finding that there were "discussions about the coup", even if it were justified, is enough basis for a conviction. Even if an approach had been made to Kamaliza to enlist his support and there had been some discussion, and that discussion were proved, it would not establish a charge of misprision. We have already said that we regard the charge as drawn as seriously defective and we think the finding is similarly defective. We think that what was required, if the evidence justified it, was a finding that the accused knew that a named person had a fixed and settled intention of committing treason.

Mr. Velji submitted that the Chief Justice's decision must indicate that he was taking into account all the evidence that had been given in the case as a whole. He submitted that once Kamaliza had been acquitted of conspiracy s. 12 of the Evidence Act 1967 ceased to apply and that evidence of things said or done by other accused persons, which had been admissible against Kamaliza as long as there was reasonable ground to believe that he had been a member of a treasonable conspiracy, ought thereafter to have been excluded. In support of this proposition, he cited the Indian case of *Gill v. The King*, A.I.R (35) 1948 P.C. 128, a decision of the Privy Council on a section precisely similar to our s. 12. We respectfully agree.

We think there is nothing in either letter which could, in itself, prove Kamaliza guilty of misprision of treason. There is no evidence that he took any action on either letter. There is no evidence that he wrote any letter to any other of the appellants or to Kambona. No correspondence was found in his possession at the time of his arrest. There is, in fact, no evidence against him except Leballo's unsupported account of certain conversations, on which reliance cannot be based. His conviction cannot therefore be sustained and his appeal must succeed.

[The judge considered the evidence against Chacha and decided that it did not justify the conviction.]

For these reasons, we think that Chacha's appeal against conviction must succeed.

There remains the appeal against sentence in respect of Chipaka, Bibi Titi and Captain Lifa. In passing the sentence, the Chief Justice remarked:

> "I note also in all cases a complete absence of penitence. To my mind, this is a most important prerequisite for mercy. I do not suppose the omission is a matter of negligence, and must indicate a frame of mind. It is my view that the absence of penitence is a factor which can be taken into account in passing sentence, just as the presence of penitence is a factor to be taken into account in mitigation of sentence."

With respect, we regard this as a misdirection in law. A person who has pleaded not guilty and has maintained his innocence throughout and who intends to appeal cannot be expected to express repentance, which would amount to a confession of guilt. A person who has been found guilty may believe himself innocent, as a matter of fact or law, and that belief may be upheld by an appellate court. If, however, lack of repentance could be treated as an aggravating factor, the right of appeal would be fettered, because the convicted person would, in effect, be put to a choice, whether to risk a heavier sentence by maintaining his innocence or to abandon his right of appeal in the hope of leniency.

The position is analagous to that when a person is pleading to a charge. It is well established law that a plea of guilty springing from genuine repentance may be treated as a factor in mitigation. It is equally well established that the fact that a person has pleaded not guilty may not be treated as an aggravating factor, because that would derogate from the right of every accused person to be tried on the charge laid against him.

These three appellants have, however, been found guilty of treason, one of the most serious crimes in any country. The maximum penalty imposed by the Legislature may be a sentence of death but in this case the Chief Justice, in the exercise of his discretion, imposed the less severe sentence of imprisonment for life. All these appellants are of good character but the nature of the offence is such that it demands a severe sentence, both as a deterrent and also as punishment of the individual. If this plot had succeeded the whole of Tanzania might have been thrown into a state of complete chaos and resulted in the death of many of its citizens. We can find no reason to interfere with the exercise of the Chief Justice's discretion in this matter and the appeal against sentence is dismissed.

This is the judgment of the court. The members of the court have agreed on all the findings on law except on the question as to whether conspiracy can be charged as an overt act. The Vice-President differs from the view of the majority on this question and in view of the importance of this issue the President has, in accordance with r. 43 of the Court of Appeal Rules, directed that he write a separate judgment. This issue will also affect his findings on counts 1 and 2 against the second and fifth appellants and on count 2 as against the third appellant.

In conclusion, therefore, the appeals of the first appellant, the fourth appellant and the sixth appellant are allowed and their convictions set aside. These appellants are acquitted and discharged on all counts in this information.

The appeals of the second appellant and the fifth appellant against conviction and sentence on counts 1, 2 and 3 of the information are dismissed.

The appeal of the third appellant is allowed on the first count and the verdict of guilty quashed and she is acquitted on this count. Her appeal against conviction and sentence on the 2nd and 3rd counts is dismissed.

Spry V-P: I agree that the appeals of Mattaka, Kamaliza and Chacha must be allowed, and also the appeal of Bibi Titi so far as it relates to the first count in the information. I also agree that the appeals of Chipaka, Bibi Titi

and Lifa against conviction and sentence on the third count should be dismissed. I would have allowed the appeals of Chipaka and Lifa against conviction on the first and second counts and that of Bibi Titi against conviction on the second count.

Where, with respect, I am unable to agree with the majority of the court is as regards the first alleged overt act under each of the first three counts. I do not consider that a general allegation that seven named persons conspired to a certain end with another named person and other unnamed persons over a period of twenty months can be regarded as "an act of conspiring" within the meaning of s. 49 of the Penal Code. As an overt act, I regard it as bad in law.

I base my opinion on two grounds. First, I think the ordinary meaning of the words "act of conspiring" must signify a specific act. The essence of conspiracy is agreement and an act of conspiring is therefore, in my opinion, an act of agreeing, which may, of course, be expressed by words or deeds. In some cases, the agreement may be reached at a general meeting of the conspirators and in such a case participation in the meeting may be cited as an overt act against the conspirators jointly. In the present case, there never appears to have been any such meeting: if the prosecution evidence is to be believed, it would appear that the conspirators were recruited one by one and there was therefore a series of acts of conspiring, which should, if there was evidence to prove them, have been cited separately against the participants in each.

In this connection, it is relevant to note that when the Penal Code was introduced in 1930, it substituted, so far as treason is concerned, what was substantially the law of England for the very different law of India that previously applied. At the same time, s. 49 was introduced, which had, so far as I am aware, no precedent. It was clearly intended to define the extent to which conspiracy could be relied on as an overt act and I think that the use of the words "every act of conspiring with any person to effect that purpose, and every act done in furtherance of the purpose by any of the persons conspiring" was intended to make the law more restricted and more precise.

Secondly, I think the citing of such a general conspiracy as an overt act in the particulars of a charge of forming a treasonable intent offends against s. 138 (*a*) (iii) of the Criminal Procedure Code. In this connection, I note that it was said in *Mulcahy v. R.* (1868), L.R. 3 H.L. 306 at p. 321, that:

> "an indictment only states the legal character of the offence and does not profess to furnish the details and particulars."

To that extent, I think that *Mulcahy's* case must have ceased to be good law with the enactment of the Indictments Act 1915, of England, the relevant parts of which have been followed in the Criminal Procedure Code of Tanganyika.

I differ also from the majority of the court in that I think the Chief Justice misdirected himself in holding that the prosecution had discharged the onus of proving that the extra-judicial statements of Bibi Titi and Lifa were voluntary.

Appeals of first, fourth and sixth appellants allowed.

For the first appellant:
S Jadeja

For the second and fifth appellants:
MJ Raithatha

For the third appellant:
PR Dastur

For the fourth appellant:
N Velji

For the sixth appellant:
IG Peera

For the respondent:
N King (Senior State Counsel)

Auto Garage and others v Motokov (No 3)

[1971] 1 EA 514 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	9 September 1971
Case Number:	22/1971 (132/71)
Before:	Spry V-P, Law and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Tanzania – Biron, J

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[1] Civil Practice and Procedure – pleading – Amendment – Limitation – Whether amendment adds new cause of action after limitation period.

[2] Civil Practice and Procedure – Pleading – Amendment – Plaint disclosing no cause of action – May not be amended to show cause of action – Civil Procedure Rules, O. 6, *r.* 7, *r.* 11 (*T*).

[3] Civil Practice and Procedure – Pleading – Cause of action – May be shown, even when not containing all facts constituting the cause of action.

Editor's Summary

In an action on bills of exchange the judge ruled that the plaint disclosed no cause of action and the respondent thereupon applied to amend the plaint to claim in the alternative for the goods sold and delivered to the first appellant in respect of which the bills of exchange were given. The appellants opposed the application on the grounds that the court had no power to amend a plaint which disclosed no cause of action and that if there was a power to amend, it should not be exercised so as to introduce a new cause of action after the expiry of the period of limitation.

The judge allowed the application, holding that the court had power to allow amendment to a plaint disclosing no cause of action and that no new cause of action was introduced.

The appellants appealed, and the respondent cross-appealed against the finding that the plaint disclosed no cause of action.

Held –

(i) the respondent was not the holder of the bills of exchange and so the plaint disclosed no cause of action;

(ii) the provision that a plaint not disclosing a cause of action shall be rejected is mandatory

(*Hasmani v. National Bank of India Ltd*. (6) and *Price v. Kelsall* (10) approved; *Central District Maize Millers Asscn. v. Maciel & Co. Ltd*. (8) and *Gupta v. Bhamra* (19) disapproved;

(iii) a plaint may disclose a cause of action without containing all the facts constituting the cause of action provided that the violation by the defendant of a right of the plaintiff is shown (*Lake Motors Ltd. v. Overseas Motor Transport* (*T*.) *Ltd*. (12) approved);

(iv) (Mustafa, J.A. dissenting) the plaint did not contain an essential element in that the plaintiff was not shown to be aggrieved by the dishonour of the bills;

(v) (Mustafa, J.A. dissenting) the amendment introduced a new cause of action and should not be allowed so as to defeat a defence of limitation.

Appeal allowed. Cross appeal dismissed.

Ruling of Biron, J. sub nom *Motokov v. Auto Garage Ltd*. (*No*. 2), [1971] E.A. 353 overruled.

Cases referred to judgment

(1) *The King of Spain v. Machado* (1827), 8 E.R. 790.

(2) *Warrington v. Leake* (1855), 11 Exch. 304; 156 E.R. 846.

(3) *Mindapur Zemindary Co. Ltd. v. Secretary of State for India* (1917), 44 Cal. 352.

(4) *Charan Das v. Amir Khan*, [1921] A.I.R.P.C. 50.

(5) *Corbellini v. Twentsche Overseas Trading Co. Ltd*. (1933), 1 T.L.R. (R.) 482.

(6) *Hasmani v. National Bank of India Ltd*. (1937), 4 E.A.C.A. 55.

(7) *Cottar v. Attorney-General for Kenya* (1938), 5 E.A.C.A. 18.

(8) *Central District Maize Millers Asscn. v. Maciel & Co. Ltd.* (1944), 6 U.L.R. 130.

(9) *Hossein v. Mt. Chembelli*, [1951] A.I.R. Cal. 262.

(10) *Price v. Kelsall*, [1957] E.A. 752.

(11) *Sullivan v. Alimohamed Osman*, [1959] E.A. 239.

(12) *Lake Motors Ltd. v. Overseas Motor Transport (T.) Ltd*., [1959] E.A. 603.

(13) *Amin Electrical Services v. Ashok Theatres Ltd*., [1960] E.A. 298.

(14) *Parry v. Carson*, [1962] E.A. 515.

(15) *Matharu v. Italian Construction Co. Ltd*., [1964] E.A. 1.

(16) *Pathak v. Mrekwe*, [1964] E.A. 24.

(17) *Kholi v. Popatlal*, [1964] E.A. 219.

(18) *Mehta v. Shah*, [1965] E.A. 321.

(19) *Gupta v. Bhamra*, [1965] E.A. 439.

(20) *Mitchell v. Harris Engineering Co. Ltd*., [1967] 2 All E.R. 682.

(21) *Adonia v. Mutekanga*, [1970] E.A. 429.

(22) *Ascherberg Hopwood & Crew Ltd. v. Casa Musicale Sonzogno Di Piero*, [1971] 1 All E.R. 577.

[**Editorial note:** G.N. 228 of 1971 amended the Civil Procedure Rules, O. 7, r. 11 (T.) to allow amendment to a plaint not disclosing a cause of action.]

9 September 1971. The following considered judgments were read.

Judgment

Spry V-P: This is an appeal from an order of the High Court, giving leave to the respondent corporation, Motokov, to amend its plaint, and there is a cross-appeal against a finding by the trial judge that the plaint in its unamended state did not disclose a cause of action.

The proceedings arose out of a contract between Motokov, a body incorporated in Czechoslovakia, and the first appellant, Auto Garage Ltd., a company incorporated in Tanganyika, for the supply of motor vehicles. Motokov drew some thirty-seven bills of exchange, in Czechoslovakia, on Auto Garage Ltd., in favour of Statni banka Ceskoslovenska, a national or at least parastatal bank, or order. These were accepted, in Tanganyika, by Auto Garage Ltd., and endorsed by way of guarantee by the

second and third appellants. Statni banka indorsed the bills over to National and Grindlays Bank Ltd., Dar es Salaam, for collection but on presentation they were dishonoured.

On 15 July 1966, Motokov filed a plaint claiming from the three appellants the amount of the bills, interest, charges and costs. On 5 September, a written statement of defence was filed on behalf of Auto Garage Ltd., and another on behalf of the second and third appellants. The written statement of Auto Garage Ltd. contained, *inter alia*, an express averment that

> "the plaintiff is not entitled to bring this action against this defendant as they are not the holders in due course of all the bills of exchange subject matter of this suit, as they are not endorsed in their favour by National & Grindlays Bank, Dar es Salaam, who were the holders of the said bills of exchange on the dates when they became due and on whose behalf the alleged protest notices were given."

After various interlocutory proceedings and adjournments, replies were filed by Motokov on 29 July 1970, and on 7 August, notice was given of intention to apply for leave to amend the plaint. The hearing began on 11 August and continued on the following day. It began with argument on whether leave should be given to amend the plaint and in the course of the argument an oral application was made that the plaint be struck out as disclosing no cause of action.

The amendment to the plaint which Motokov sought leave to make was the insertion of an additional paragraph, pleading as an alternative cause of action a claim to the price of goods sold and delivered, with interest and expenses. The application for leave to amend was opposed by the appellants. They claimed, first, that the plaint did not disclose a cause of action and therefore, under O. 7, r. 11 had to be rejected and could not be amended. In the alternative, if there was power to amend, they submitted that that power should not be exercised, both because it would allow the introduction of a new cause of action after the expiration of the period of limitation and because of undue delay in the making of the application.

The outcome of this appeal will depend very largely on the interpretation of O. 7, r. 11 and it may be convenient to proceed directly to that rule. So far as it is relevant to these proceedings, it reads as follows:

> "11. The plaint shall be rejected in the following cases–
>
> (*a*) where it does not disclose a cause of action; . . ."

The provision that a plaint "shall" be rejected appears to be mandatory and it was held to be so by this court in *Hasmani v. National Bank of India Ltd*. (1937), 4 E.A.C.A. 55. This decision was expressly upheld in *Price v. Kelsall*, [1957] E.A. 752, at p. 763 and the same conclusion was reached, without reference to the earlier authorities, in *Sullivan v. Alimohamed Osman*, [1959] E.A. 239, at p. 243.

The meaning of the words "disclose a cause of action" were first considered in *Corbellini v. Twentsche Overseas Trading Co. Ltd*. (1933), 1 T.L.R. (R.) 482, when, in a very short judgment, Sir Joseph Sheridan, C.J., after referring to the failure of the plaintiff to plead a certain material fact, said:

> "in the absence of the essential pleading to which I have referred, there is no cause of action."

This decision was referred to with approval in *Hasmani's* case. This was a suit on a dishonoured bill of exchange but the plaint failed to aver notice of dishonour. In his judgment, Law, C.J., said:

> "O. 6, r. 11 and O. 7, r. 1 (*e*) require the plaint to disclose the fact of this notice as one of the particulars necessary for constituting the cause of action in a case of this nature.
>
> Where the cause of action is not thus disclosed O. 7, r. 11 (*a*) directs that the plaint shall be rejected."

The references are to the rules contained in the First Schedule to the Indian Code of Civil Procedure 1908; these are similar to and bear the same numbers

as the corresponding rules in the First Schedule to the Civil Procedure Code 1966. In *Sullivan's* case, Windham, J.A., said, after referring to the failure to plead certain facts:

> "The plaint must allege all facts necessary to establish the cause of action . . . I would hold that the court below erred in finding that the plaint disclosed a cause of action."

On the next question, whether a plaint which does not disclose a cause of action can be amended, Sir Joseph Sheridan in *Corbellini's* case said:

> "there is no cause of action and nothing to amend."

This was quoted with approval by Wilson, J., in *Hasmani's* case, while Law, C.J., said that the terms of O. 7, r. 11(*a*)–

> "do not give a court any discretion to allow an amendment."

That is, I think, the main stream of the authorities, but there are two, apparently diverging, side streams to which I would refer. The first appears in *Central District Maize Millers Assn. v. Maciel & Co. Ltd.* (1944), 6 U.L.R. 130. This is a decision of the High Court of Uganda. In it, Manning, Ag. C.J., held that he was not bound by *Hasmani's* case, since it was decided under the Indian Code of Civil Procedure, under which the rules have effect as if enacted in the body of the code, whereas in Uganda the rules were made by a Rules Committee and might not be inconsistent with the Civil Procedure Ordinance. He considered s. 99 (now s. 103) of the Civil Procedure Ordinance (corresponding with s. 97 of the Tanzanian Code), which gives a general power of amendment and says in imperative terms that:

> "all necessary amendments shall be made for the purpose of determining the real question or issue raised by or depending on"

any proceeding in a suit. Reading O. 7, r. 11 with this, he held that:

> "the words 'does not disclose a cause of action' mean that the plaint must be such that no legitimate amendment can be made which would make it disclose a cause of action."

This was followed by Keatinge, J., in another decision of the High Court of Uganda, *Gupta v. Bhamra*, [1965] E.A. 439. For reasons which will appear, I think, with respect, that those decisions were mistaken.

The other side stream appears in *Lake motors Ltd. v. Overseas Motor Transport* (*T.*) *Ltd.*, [1959] E.A. 603, a decision of the High Court of Tanganyika. Law, J. (as he then was) distinguished the case before him from *Sullivan's* case, and after saying that he thought a certain fact could properly be inferred, said:

> "The plaint is defective in the respect pointed out above, but that defect, in my opinion, although it relates to the cause of action does not go to the root of it, and is an irregularity curable by amendment."

This was followed by Sheridan, J. (as he then was) in the Uganda case of *Amin Electrical Services v. Ashok Theatres Ltd.*, [1960] E.A. 298. I shall refer later to the *Lake Motors'* case.

Against this background of law, I now turn to the ruling of the judge. He quoted at length from *Hasmani's* case and observed that he thought it clear that the decision was based on the Indian case of *Mindnapur Zemindary Co. Ltd. v. Secretary of State for India* (1917), 44 Cal. 352. He said that it had been submitted to him that the latter case had been overruled by subsequent Indian cases and that therefore *Hasmani's* case should no longer be followed.

The judge rightly said that he had no power to overrule it, although he said that he agreed in principle with the submission and had little doubt that it would no longer be held good in law if it came again before this court.

I would remark here that it was an overstatement to say that *Hasmani's* case was based on the *Mindnapur* decision. The judgment of Law, C.J., made no mention of it, and Wilson, J., merely found guidance in it. In any case, even if the judgment had been based on it, inconsistent Indian decisions would not necessarily lead to a change in the law of Tanzania. The judge also said that *Hasmani's* case could be distinguished on the ground that the claim was there brought under summary procedure, but with respect that was not the basis of the decision. He referred to *Corbellini's* case but remarked that as a judgment of the High Court it was not binding on him. That is true, but as I have said it was expressly approved by this court in *Hasmani's* case.

The judge also quoted at length from *Gupta's* case and while distinguishing the position in Uganda, obviously found it of persuasive value. He also considered at some length another case *Hossein v. Mt. Chembelli*, [1951] A.I.R. Cal. 262. He concluded:

> "I can see no conflict between the two rules and no reason at all why both cannot be applied. O. 7, r. 11 merely says that a plaint which discloses no cause of action must be rejected. It does not say that it cannot be amended so as to disclose a cause of action."

With respect, I think such an interpretation virtually deprives O. 7, r. 11 of all meaning.

The decision that O. 7, r. 11 is mandatory has been part of the law of Tanzania for nearly forty years and it would need a great deal of persuasion to convince me that it should be altered. Far from being so persuaded, I think the decision was correct. In this connection, I note that the rule was included in the 1908 Indian Code in place of a provision in the earlier Code that

> "the plaint may, at the discretion of the court, at, or at any time before the settlement of issues be rejected . . ."

Clearly, therefore, the substitution of "shall" for "may" was a deliberate act intended to make the provision mandatory and that is the plain meaning of the words. It is always open to the appropriate authority to amend the rule if that is considered desirable.

I respectfully agree, also, with the judgment of Sir Joseph Sheridan in *Corbellini's* case. What he was saying was, in effect, that where a plaint fails to disclose a cause of action, it is not a plaint at all and you cannot amend a nullity. That must, in my view, be correct. If it is, no question arises of any conflict between O. 7, r. 11 and the sections and rules relating to amendment and for this reason I think that the decisions in the *Central District Maize Millers'* case and *Gupta's* case were misconceived.

I am, however, not wholly in agreement with the decisions in *Corbellini's* case and *Hasmani's* case. They are, I think, clearly based on the assumption that if a plaint does not contain all the facts constituting the cause of action, as required by O. 7, r. 1 (*e*), it does not disclose a cause of action. I think, with very great respect to the distinguished judges who decided those cases, that this is reading too much into r. 11. That rule uses the word "disclose", which is not a term of art. Its meaning has not, so far as I am aware, expressly been considered in the East African courts. It was considered, many years ago, in an English case, *Warrington v. Leake* (1855), 11 Exch. 304, in relation to s. 27 of the Common Law Procedure Act 1852, which spoke of "disclosing" a defence upon the merits. Pollock, C.B. is recorded as saying:

> "but the word 'disclose' is a very vague and general expression, and may mean no more than that the party shall state his defence . . . The Legislature has made use of a word which does not necessarily convey more than the sense of 'telling'."

I would respectfully adopt those words. I think it is reasonable and proper to distinguish between r. 1, which says that the plaint shall contain the facts constituting the cause of action, and r. 11, which says that the court shall reject the plaint where it does not disclose a cause of action. I think that a plaint may disclose a cause of action even though it omits some fact which the rules require it to contain and which must be pleaded before the plaintiff can succeed in the suit. In *Cottar v. Attorney-General for Kenya* (1938), 5 E.A.C.A. 18, it was said by Sir Joseph Sheridan, C.J. that:

> "what is important in considering whether a cause of action is revealed by the pleadings is the question as to what right has been violated."

In addition, of course, the plaintiff must appear as a person aggrieved by the violation of the right and the defendant as a person who is liable. I would summarize the position as I see it by saying that if a plaint shows that the plaintiff enjoyed a right, that the right has been violated and that the defendant is liable, then, in my opinion, a cause of action has been disclosed and any omission or defect may be put right by amendment. If, on the other hand, any of those essentials is missing, no cause of action has been shown and no amendment is permissible. I think this accords with the words I have quoted from Law, J., in *Lake Motors'* case, with which I respectfully agree.

I think this approach is not inconsistent with the East African decisions regarding substitution of parties, to which it may be helpful briefly to refer. Thus where a suit is brought in the name of a dead man, the plaint is a nullity and there can be no amendment by way of substitution (*Pathak v. Mrekwe*, [1964] E.A. 24). Similarly, where there was an application by a sole defendant that he be dismissed from the suit and the Official Receiver be substituted as defendant, it was held by Windham, C.J., that to do so would amount to holding that the plaint disclosed no cause of action against him and so dispose completely of the suit as framed (*Parry v. Carson*, [1962] E.A. 515). But the courts have always held that they have power to correct mere misnomers (*Matharu v. Italian Construction Co. Ltd.*, [1964] E.A. 1; *Kohli v. Popatlal*, [1964] E.A. 219). The same general principle seems to emerge, that where a plaint is a nullity there can be no amendment, but that if it can fairly be said that a plaint is not a nullity, any defect or irregularity may be cured by amendment if the justice of the case so demands and where amendment is permissible, the power to allow amendment will be exercised liberally.

I turn now to the question whether the plaint in the present suit disclosed a cause of action. The case for the appellants was quite simply that Motokov was not the holder of the bills and therefore had no right to sue on them, and on this basis the judge held that no cause of action had been disclosed. Mr. Lakha, who appeared for Motokov both in the High Court and before us, argued that as, in Czechoslovakia, all foreign trade is controlled by the state, the bills had to be drawn in favour of Statni banka, but that that bank, like National and Grindlays Ltd., was no more than a collecting agent. He conceded that as the bills were drawn in favour of Statni banka or order, mere possession did not make Motokov the holder of them, but he claimed that Motokov was the owner and as such entitled to sue.

The judge rejected that argument. He held that to sustain it would involve reading into the plaint an implied allegation that Statni banka was the collecting agent of Motokov. Relying on *Sullivan's* case, he refused to do so, holding

that a plaint must allege all facts necessary to establish the cause of action. I respectfully agree and, indeed, I would go further. I think that the plaint would still be incompetent even if such an implied allegation were read into it. So far as I am aware, an action in the form of the plaint may only be brought by the holder of a bill.

In support of his cross-appeal, Mr. Lakha repeated the arguments he had advanced in the High Court and added an additional argument. This was that under s. 72 of the Bills of Exchange Ordinance (Cap. 215) "the interpretation of the drawing" of the bills would be governed by the law of Czechoslovakia and that in the absence of evidence of that law, it could not be assumed that the fact that they were drawn in favour of Statni banka precluded Motokov from suing on them. Mr. Lakha also spoke of an onus of proof being on a defendant who alleged that a plaint showed no cause of action. Dealing with this last point first, I do not, with respect, think any question of onus arises: the matter is one to be decided by perusal of the plaint and any annexures to it, not on a basis of evidence.

It may well be that the determination of the suit would involve the application of Czechoslovak law, but if it is necessary to invoke that law to show that Motokov has a cause of action on the bills of exchange, it should, in my view, have been pleaded. For this purpose, foreign law is regarded as a matter of fact. Here we have documents printed in the English language, which appear to be bills of exchange as understood in English and Tanzanian law and the plaint shows that they are being sued on as such. If, in accordance with Czechoslovak law, they have a significance other than that which appears on the face of them, it should have been set out in the plaint. In this respect, I think that the law of Tanzania is the same as that of England (*The King of Spain v. Machado* (1827), 38 E.R. 790, at p. 795, recently cited with approval in England in *Ascherberg Hopwood and Crew Ltd. v. Casa Musicale Sonzogno Di Piero*, [1971] 1 All E.R. 577).

The position is this: the High Court had before it a plaint, in which Motokov was suing on dishonoured bills of exchange, copies of which were annexed to the plaint. Reference to those copies shows that they were drawn to order and not to bearer and that Motokov was not the holder. Looking at the plaint and the annexures, it would appear that the right to sue on the bills lay with National and Grindlays Bank Ltd., and that Motokov had no right of action. In my opinion, the judge was clearly right when he held that the plaint did not disclose a cause of action, because what was missing was one of the essential elements, in that on the face of the plaint, the plaintiff does not appear to be a person aggrieved by the dishonour of the bills.

Since, as I have said, I am of the opinion that a plaint which does not disclose a cause of action must be rejected, it follows that I would allow the appeal and dismiss the cross-appeal.

That being so, I propose to deal only briefly with the two other matters raised on this appeal. These were whether, if the court had power to allow amendment, it should do so if the result would be to defeat limitation and to condone inordinate delay. There is a long line of East African cases to the effect that discretionary powers should not be exercised so as to defeat limitation. This has arisen particularly in relation to the exercise of the inherent powers of the court, *Mehta v. Shah*, [1965] E.A. 321; *Adonia v. Mutekanga*, [1970] E.A. 429, but I think exactly the same principles apply whenever the court has a judicial discretion. As I understand the position, there is no absolute rule preventing the exercise of a discretionary power so as to defeat limitation, but this will be done only in exceptional circumstances. The judge considered a recent English decision, *Mitchell v. Harris Engineering Co. Ltd.*, [1967] 2

All E.R. 682, but, as he observed, the position in England has been changed by amendment of the Rules of the Supreme Court expressly to meet this situation. For my part, I think the law in East Africa is well established and reasonably clear and I do not think there is any justification for changing it by judicial decision.

I have no doubt that the amendment sought would have introduced a new, though allied, cause of action and I would not have considered this a case for departure from the general rule. In this, I am particularly influenced by the fact that, as shown in the passage quoted above, the written statement of defence of Auto Garage Ltd., which was filed on 5 September 1966, expressly raised the defence that Motokov was not the holder in due course of the bills of exchange, yet it was not until 7 August 1970, nearly four years later, that Motokov gave notice of intention to apply for amendment of its plaint. I accept that negotiations for a settlement were in progress but that does not, in my opinion, excuse the apparent failure to study the defence and to take promptly such action as might be necessary, by way of amendment or otherwise, to put the suit in order. It has repeatedly been said that applications for amendment should be made without delay.

As Law, J.A., agrees, it is ordered that the appeal be allowed and the cross-appeal dismissed, with costs and a certificate for two advocates. The ruling and order in the High Court are set aside and there is substituted an order that the plaint be rejected as disclosing no cause of action, and that the application for amendment be dismissed. The appellants are awarded their costs in the High Court.

Law JA: I agree with the judgment prepared by the Vice-President, but I do so with regret, because the result is to leave the respondents, who supplied the first appellant with motor cars and spare parts allegedly worth over Shs. 250,000/- without any remedy; a state of affairs which the judge in the court below was naturally anxious to avoid. With regard to the case of *Hasman' v. National Bank of India Ltd.* (1937), 4 E.A.C.A. 55, I agree that it must continue to be regarded as authoritative for the proposition that a plaint which does not disclose a cause of action must be rejected. Like the Vice-President, I am not convinced that *Hasmani's* case was rightly decided on its peculiar facts, as it seems to me that the unpleaded particular in that case – notice of dishonour – might be one of those particulars which, as explained by Windham, J.A., in *Sullivan v. Alimohamed Osman*, [1959] E.A. 239, must be read into the plaint by necessary implication from its context. In the case the subject of this appeal, the respondent was not the holder of the bills on which the suit was based and could not therefore sue on them. This was pointed out in the defence of the first appellant as long ago as September 1966. As a plaint which does not disclose a cause of action must be rejected, it is not capable of amendment. Even if it were, to allow the respondent to amend his plaint at this stage by adding a new cause of action based on the price of goods sold and delivered would involve depriving the appellants of a defence to that cause of action based on limitation. This would be an undue hardship on the appellants who gave the respondent every opportunity to put its house in order nearly five years ago. For these reasons I agree that the appeal should be allowed and the cross-appeal dismissed, and I concur in the order proposed by the Vice-President.

Mustafa JA: The facts of the case have been fully set out in the judgment of Spry, V.-P., and I will only briefly refer to them.

The respondent sold motor vehicles and spares to the first appellant on credit and drew a number of bills of exchange on the first appellant who accepted them. The bills were drawn in Czechoslovakia in favour of the Statni banka

Ceskoslovenska and accepted by the first appellant in Dar es Salaam. The bills which were payable to order were endorsed over to the National and Grindlays Bank Ltd., Dar es Salaam for collection. They were dishonoured when presented for payment.

The respondent sued the first appellant on the dishonoured bills.

The second and third appellants were sued as guarantors.

The respondent's claim against the second and third appellants was as follows:

> "In consideration of the plaintiff selling the goods to the first defendant on credit, the second defendant and third defendant guaranteed the payment of the said sum of money. The said guarantee is endorsed on the reverse of the said bills."

The first appellant in its defence denied liability on the ground, *inter alia*, that the respondent was not the holder in due course of the bills and therefore had no right to sue and that the plaint disclosed no cause of action. The first appellant also counter-claimed against the respondent for loss and damages on the ground that the motor vehicles sold were defective and unmerchantable. The respondent in its reply alleged that the bills of exchange were made in Czechoslovakia and were subject to Czechoslovak laws.

The plaint was filed in July 1966, and the defences were filed in September 1966. There were a number of adjournments and interlocutory proceedings and the respondent filed its reply to the defence and counter-claim in July 1970. In August 1970 the respondent gave notice of intention to amend the plaint – the amendment was to add an alternative claim against the first appellant reading:

> "In the alternative, the plaintiff's claim against the 1st defendant is for Shs. 275,127/10 being the balance amount due and owing by the 1st defendant to the plaintiff for motor cars and spares sold and delivered by the plaintiff to the defendant at the latter's request between 1963 and 1965 and a further sum of Shs. 24,946/40 and Shs. 1,619/- being interest and other charges respectively making a total sum of Shs. 308,707/50."

It will be noted that the application to amend by adding an alternative cause of action was made about 4 years after the first appellant had raised the issue of no cause of action. However, it is also not in dispute that throughout that period negotiations for a settlement between the parties were taking place, and Mr. Lakha informed us from the Bar that such efforts took place right up to the date of hearing.

The trial judge held:

(1) that the plaint disclosed no cause of action;

(2) that leave would be granted to the respondent to amend, such amendment to speak from the date on which the plaint was filed.

The appellants have appealed against the granting of the amendment and the respondent has cross-appealed against the ruling that the plaint disclosed no cause of action.

I will deal with the cross-appeal first. I respectfully agree with Spry, V.-P., that the trial judge was right in holding that the plaint disclosed no cause of action. The respondent was not the holder of the bills, the holders being the National and Grindlays Bank Ltd. It is true that on the face of them the bills were drawn and indorsed in a foreign country, and the provisions of s. 72 of the Bills of Exchange Ordinance (Cap. 315) would apply. However it was not pleaded that foreign law was applicable or what it was, and in the absence of such averment, the trial judge was entitled to deal with the bills of exchange

which were payable in Dar es Salaam in terms of the laws in Tanzania. And according to Tanzanian law it was clear that the plaint as filed disclosed no cause of action.

I will now deal with the appeal against the trial judge's granting leave to amend. After a comprehensive review of the relevant authorities in connection with the issues of rejection of plaints and amendments to plaints, Spry, V.-P., has come to the conclusion that there are three essential elements to support a cause of action:

(1) the plaintiff enjoyed a right

(2) the right has been violated

(3) the defendant is liable.

If any one of these essential elements is missing the plaint is a nullity and no amendment can be made as there is nothing to amend. Spry, V.-P., held that in this case the identity of the plaintiff as the person aggrieved by the dishonour of the bills was missing and therefore there was no cause of action disclosed and no amendment could be made of a nullity.

Spry V-P: however, is of the view that a plaint does not have to allege all facts necessary in terms of O. 7, r. 1 (*e*) to disclose a cause of action, and if there is an omission or a defect which does not go to the root of the cause of action, such defect may be cured by amendment if the justice of the case so demands, and in such cases the power to amend will be exercised liberally. Spry, V.-P., said that he was not wholly in agreement with the decisions in *Corbellini v. Twentsche Overseas Trading Co. Ltd.* and *Hasmani v. National Bank of India Ltd.* He was of the opinion that these two cases were decided on too narrow an interpretation of the word "disclose" and the provisions of O. 7, r. 1 (*e*) of the Civil Procedure Code. Speaking for myself I think that the amendment sought for in the *Hasmani* case, that is, to aver notice of dishonour, should have been allowed. With great respect I doubt if the decision in the *Hasmani* case is now good law.

For the purpose of this case I will accept with respect the general proposition of law as enunciated by Spry, V.-P., with regard to the necessary elements to support a cause of action. Can it be said that the identity of the plaintiff as the person aggrieved in this case is missing and untraceable to the extent that the plaint is a nullity and therefore no amendment can be made? I do not think so.

In this case the amendment applied for, being a claim for money due for goods sold and supplied, was not foreign to or inconsistent with the original cause of action but stemmed from the same transaction for which the bills of exchange were given. It was germane to and connected with the cause of action based on the bills of exchange. For the purpose of amendment I think para. 6 of the plaint in which the claim against the second and third appellants as guarantors was made can be looked at. In para. 6 it was clearly stated that the transaction giving rise to the guarantee was in respect of sale of goods. I would also refer to the counter-claim filed by the first appellant in which the first appellant had claimed damages and loss because of defective and unmerchantable goods supplied by the respondent. ". . . I can see nothing inherently wrong in basing an amendment on the nature of the other party's pleadings . . ." *per* Crawshaw, J.A. in *Simonian v. Johar*, [1962] E.A. 336, at p. 343. The amendment sought for was not a new, different and distinct cause of action but was an alternative cause of action intimately linked to the original one. It cannot be said that the first appellant was taken by surprise by the alternative claim.

As regards the identity of the plaintiff as the person aggrieved I think notice

has to be taken of the fact that as the bills were drawn and indorsed in Czechoslovakia, the provisions of s. 72 of the Bills of Exchange Ordinance would be relevant. Although in the circumstances of this case that would not have been sufficient to rebut the presumption that local law was applicable, it is, in my view, sufficient as some indication of the identity of the plaintiff. The plaintiff was the drawer and claimed as such, and the bills were indorsed in Czechoslovakia. Section 72 (*a*) reads in part:

> ". . . the validity as regards requisites in the form of supervening contracts, such as acceptance or indorsement . . . is determined by the law of the place where such contract was made."

Again in para. 6 of the plaint it was quite clear that the plaintiff who claimed from the first appellant on the bills of exchange was the same person who claimed from the guarantors on goods sold and delivered. And once the pleadings in the defence and the counter-claim of the first appellant are taken into account there can be little doubt about the identity of the plaintiff as the aggrieved party. In my view this is one of those cases where the identity of the plaintiff as the person aggrieved can be traced and found from the plaint and the subsequent pleadings on a closer look. In this case there was sufficient material in the plaint and the subsequent pleadings to identify the plaintiff. The plaint was defective but was not a nullity, and the defect was curable by amendment. I do not think that the trial judge erred in allowing the amendment in the exercise of his discretion.

As I have mentioned there was great delay – a delay of four years before the amendment was applied for. However this particular point was dealt with by the judge who accepted the respondent's explanation that the delay was due to the attempts at a settlement which continued right up to the time when the case came up for trial.

The first appellant has argued that by the amendment being allowed it was deprived of the defence of limitation and had thereby lost its rights which had accrued to it by lapse of time. In dealing with this point the trial judge quoted from *Charan Das v. Amir Khan*, [1921] A.I.R.P.C. 50 where Lord Buckmaster, delivering the judgment of the Privy Council said:

> "That there was full power to make the amendment cannot be disputed, and though such a power should not as a rule be exercised where its effect is to take away from a defendant a legal right which had accrued to him by lapse of time, yet there are cases where such considerations are outweighed by the special circumstances of the case . . ."

The trial judge clearly considered there were special circumstances here. I am therefore of the view that the judge was right in granting leave to amend the plaint.

I observe that the judge referred with approval to the judgment in *Hossein v. Mt. Chembelli*, [1951] A.I.R. Cal. 262 which in fact decided that amendments are allowed even if the plaint discloses no cause of action, where it is necessary to meet the ends of justice. This would mean that even if one of the essential elements to support a cause of action as mentioned by Spry, V.-P., is missing a plaint can be amended. The provisions of O. 7, r. 11, as regards the rejection of plaints and those of O. 6, r. 17 as regards amendments were duly considered in that case. That is an interesting and persuasive proposition of law which may have particular reference in East Africa where the emphasis is increasingly being shifted on to the side of substantive justice. I hope one day this proposition would be fully considered in an appropriate case.

I would therefore dismiss both the appeal and the cross-appeal.

Appeal allowed. Cross-appeal dismissed.

For the appellants:
C Salter QC and *RC Kesaria*

For the respondent:

AA Lakha (instructed by *Fraser Murray, Roden & Co*, Dar es Salaam)

Reid v National Bank of Commerce
[1971] 1 EA 525 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	9 September 1971
Case Number:	28/1971 (134/71)
Before:	Spry V-P, Law and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Tanzania – Georges, CJ

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[1] Guarantee – Discharge – Of guarantor – By variation of relationship between creditor and principal debtor without guarantor's consent – Creditor postponing mortgage.

[2] Guarantee – Discharge – Of guarantor – By fulfilment of subsequent undertaking given by creditor to discharge guarantor upon repayment of indebtedness.

[3] Guarantee – Variation – Terms of guarantee enabling creditor to vary other securities without consent of guarantor – Creditor postponing mortgage – Guarantor discharged.

Editor's Summary

The appellant as director of a company gave a personal guarantee to the respondent as security for the company's indebtedness to it. The guarantee which was limited in amount contained clauses (set out in full in the judgments) providing that the guarantee was to be a continuing security and that the respondent could vary or release other securities held by it. The respondent also held a first mortgage from the company itself. The company later obtained a loan from a finance company secured by a second mortgage from the company which amount was paid into the company's account with the respondent. The appellant asked to be released from his guarantee; but the respondent by letter refused to release him until "the company repays its indebtedness to the Bank . . ." Later, without the appellant's consent the respondent waived its priority on its mortgage from the company, thus promoting the finance company's mortgage to the status of a first mortgage. When the respondent sought to enforce the appellant's guarantee the appellant argued (*inter alia*) firstly, that the receipt by the respondent of the amount of the finance company's loan had repaid the company's indebtedness to the respondent and therefore the guarantee was discharged in terms of the respondent's letter; and secondly that the respondent's postponement of its mortgage without his consent released him from the guarantee. At the hearing the indebtedness of the company was sought to be proved by a certificate which showed that the indebtedness had arisen "subsequent to" a date later than the letter from the respondent.

Held –

(*a*) (i) Except for the letter from the respondent, payment of the company's indebtedness would not have discharged the guarantee, which was a continuing one; but

(ii) in equity, the appellant was entitled to be discharged from his guarantee in fulfilment of the undertaking or offer contained in the letter from the respondent if the company's indebtedness was repaid;

(iii) (Mustafa, J.A. dissenting) on the evidence the indebtedness had been repaid;

(*b*) (Obiter) (by Law, J.A.; Mustafa, J.A., contra and Spry, V.-P., not deciding) notwithstanding the wording of the guarantee, by postponing its mortgage the respondent had acted in a way not contemplated by the parties, without the consent of the appellant and to his prejudice, and thereby had discharged him from liability under the guarantee.

Observations on (i) the extent to which a creditor can vary his relationship with the principal debtor without releasing a surety from liability;

(ii) the effect of the wording of a guarantee document on the release of a guarantor;

(iii) the effect of s. 85 of the Law of Contract Ordinance (Cap. 433).

Appeal allowed.

Cases referred to judgment

(1) *National Bank of Nigeria Ltd. v. Awolesi*, [1964] 1 W.L.R. 1311.

(2) *Harilal and Co. v. Standard Bank Ltd.*, [1967] E.A. 512.

(3) *Patel v. National & Grindlays Bank Ltd.*, [1970] E.A. 121.

(4) *K. R. Ghitguppi & Co. v. Vinayak* (1921), 45 Bom. 157.

9 September 1971. The following considered judgments were read:

Judgment

Law JA: The enactment of the National Bank of Commerce (Establishment and Vesting of Assets and Liabilities) Act 1967 (referred to as the Act) had the effect of vesting in the respondent bank all the assets and liabilities of the banks named in the Schedule to the Act, including the National and Grindlays Bank Ltd. (referred to as Grindlays Bank) with effect from 6 February 1967.

In October 1964, the appellant was a director of a limited liability company known as Imara Plywood Ltd. (referred to as the company) which carried on business at Moshi, in Tanzania, and together with two persons who were also then directors the appellant executed a written instrument of guarantee in consideration whereof Grindlays Bank agreed not to require immediate payment of sums then due, or which might thereafter become due, from the company to Grindlays Bank, to the extent of a maximum of Shs. 460,000/-. The instrument of guarantee provided *inter alia* for it to be binding as a continuing security for the whole amount which might from time to time be owing, and contained the following clause which is of importance in the determination of this appeal:

> "Specifically and without prejudice to any other provision herein contained you [meaning Grindlays Bank] are to be at liberty, in case of there being more than one Undersigned, to release any one or more of the Undersigned from liability hereunder without prejudicing or affecting your rights in any way against the other Undersigned."

In 1966 the company negotiated with the Tanganyika Development Finance Company Ltd. (referred to as the Finance Company) and as a result received advances totalling Shs. 900,000/- which were paid to the credit of the company's account with Grindlays Bank on various dates between 17 September and 4 November 1966. On 1 September 1966, the appellant had written to the Manager of Grindlays Bank the following letter:

> "Dear Sir, 1 September 1966.
>
> Re Imara Plywood Limited
>
> I understand that new arrangements have been made for the above mentioned company to obtain finance from the National Development Corporation and, as I have not been in favour of the arrangement, I have agreed to sell my shares to my Co-Directors and have resigned my Directorship.

I take it that the securities held by the Bank will be discharged and shall be obliged if you will confirm that the guarantee given by me to the Bank has been released.

Yours faithfully,

A. Reid"

The answer to this letter from the Bank was as follows:

"Dear Sir, 8 September 1966.

Imara Plywood Limited

We refer to your letter of 1st September and the undersigned's discussion with you on the morning of 3 September.

We note that you have resigned your directorship of the above company but you will appreciate that we are unable to release you from your personal and continuing guarantee until such time as the company repays its indebtedness to the Bank or until adequate alternative security is furnished. We will advise you as soon as this has been done.

Yours faithfully,

D. R. E. Murray

Manager"

The "securities held by the Bank" referred to in the appellant's letter of 1 September set out above included a mortgage registered against the title of the company's right of occupancy over 13.53 acres of land at Moshi. A second mortgage against the same title was registered by the Finance Company as security for its loans to the company, on 4 October 1967; and on 6 February 1968, the respondent bank, as successor to Grindlays Bank, waived its priority, thus transforming its own first mortgage into a second mortgage and giving priority to the Finance Company's second mortgage which thereby assumed the status of a first mortgage.

At the hearing of the suit before Georges, C.J., a certificate was produced on behalf of the respondent bank to prove the indebtedness of Imara Plywood Limited. The relevant part of that certificate reads:

". . . as on 7 January 1970, Imara Plywood Ltd. was indebted to the National Bank of Commerce in the sum of Shs. 399,461/25 and that this indebtedness has arisen subsequent to 1 February 1967."

The appellant raised a number of defences in the High Court, all of which failed, and all of which were presented to this Court afresh as grounds of appeal. The substantial grounds of appeal are, in my view, firstly, that by reason of the receipt by Grindlays Bank on behalf of the company of Shs. 900,000/- in September and November 1966, the company's indebtedness to the bank was more than extinguished and the appellant's liability under the guarantee thereby discharged; and secondly, that the action of the respondent bank in postponing its mortgage in favour of the subsequent mortgage of the Finance Company without the knowledge and consent of the appellant as guarantor had the effect of releasing him from all liability under the guarantee.

As regards the first of these grounds, it is my opinion that, if the appellant can show that either of the two events postulated in the letter of 8 September 1966, from the manager of Grindlays Bank, in fact took place, then the appellant is entitled in equity to hold the respondent bank (as successors to Grindlays Bank) to the undertaking contained in that letter to release him from his obligation under the guarantee. These events were:

(*a*) repayment of the company's indebtedness, or

(*b*) the furnishing of adequate alternative security.

As regards (*b*), the Chief Justice found as a fact that no alternative security was provided, and the evidence supports this finding. As regards (*a*), he made no finding, and it is incumbent on this court to do so. The evidence indicates that the company's overdraft facilities were limited to a maximum of Shs. 460,000/-. Grindlays Bank's mortgage was expressed to secure a sum of Shs. 250,000/-. The guarantors' liability under the guarantee was limited to Shs. 460,000/-. There is no evidence that facilities exceeding this amount were ever granted to the company. In September and November 1966, the Finance Company paid Shs. 900,000/- to the credit of the company at Grindlays Bank. The appellant submitted that the inescapable inference is that the company's overdraft was thereby extinguished. To this argument Mr. Borneo for the respondent bank submitted that as the appellant's liability under the guarantee was a continuing one, it would not be affected by the company temporarily ceasing to have an overdraft. This submission would be valid if no effect was to be given to the letter of 8 September. If effect does have to be given to that letter, then Mr. Borneo submitted that the appellant, upon whom the onus lay, had not proved that the company had at any time cleared its indebtedness to the bank. The appellant could easily have proved, by asking for particulars of the account on which the respondent bank was suing (as he should have done) that the company was on any particular date free of indebtedness to Grindlays Bank. That lacuna was however filled, in my opinion, by the certificate produced on behalf of the respondent bank at the trial. According to this certificate, the indebtedness of the company, for which it is sought to make the appellant liable, arose "subsequent to 1 February 1967". In other words, on 1 February 1967, six days before the assets and liabilities of Grindlays Bank were taken over by the respondent bank, the company's indebtedness to Grindlays Bank was nil. In my opinion, the appellant was at that moment entitled to be discharged from his liability under the guarantee, in terms of the letter of 8 September 1966. I consider that this ground of appeal succeeds.

As regards the second substantial ground of appeal, the respondent bank for reasons which are not apparent waived its rights to a first mortgage secured on the company's right of occupancy at Moshi and gave precedence to the Finance Company's second mortgage. The Chief Justice, in respect of this transaction, commented:

> "It appears to me that the terms of the guarantee did permit such conduct by the Bank, prejudicial though it may have been to the first defendant,"

that is to say the appellant, and he cited an extract from the guarantee to the effect that Grindlays Bank was at liberty:

> ". . . to vary, exchange, renew, modify or release any securities or guarantees held by it from or on account of the debtor."

Mr. Borneo supported this part of the Chief Justice's decision.

It is unfortunate that the case of *Harilal & Co. v. Standard Bank Ltd.*, [1967] E.A. 512 was not cited in the court below, and in particular the following passage from the judgment of Sir Charles Newbold, P., at p. 520:

> "I do not accept the submission that those words would entitle the bank to change the whole nature of the account which the guarantor guaranteed and nevertheless impose upon the guarantor a liability arising in circumstances different from those which were in the contemplation of the parties at the time the guarantee was given".

These words seem to me apposite to the instant appeal. When the appellant

and his co-directors signed the guarantee, the nature of the transaction envisaged was that Grindlays Bank should have a mortgage over the company's land and factory as a primary security, supported by the directors' personal guarantees as a secondary security. By postponing its mortgage, without reference to the appellant, the whole nature of the transaction was changed. The guarantee, from being a secondary security, became the principal security for the company's indebtedness. This was never in the appellant's contemplation when he gave his personal guarantee, and I do not consider that in these completely altered circumstances he can be held to his guarantee. In postponing its mortgage, the respondent bank did something not contemplated by the parties, without the appellant's knowledge, and to his grave prejudice. The burden on the appellant was thereby unduly increased, in my view so as to discharge him from his liability under the guarantee. I am of opinion that this ground of appeal also succeeds.

I would allow this appeal, and set aside the judgment and decree in the court below, substituting therefore a decree dismissing the suit, with such costs here and below as are appropriate in the case of an advocate litigant appearing in person.

Mustafa JA: I have had the advantage of reading in draft the judgment of Law, J.A., in which the facts of the case are set out.

The appellant as one of the directors of Imara Plywood Ltd. (referred to as the company) had executed a personal guarantee dated 9 October 1964 guaranteeing payment of monies then due and owing or which from time to time might be owing by the company to the Grindlays Bank. By virtue of the National Bank of Commerce (Establishment and Vesting of Assets and Liabilities) Act 1967 all the assets and liabilities of the Grindlays Bank (among other banks) were vested in the respondent bank as from 6 February 1967.

There are two substantial issues raised in the appeal. I think it will be convenient at this stage to set out some of the relevant portions in the document of guarantee. They read:

> "In consideration of your agreeing at the request of the Undersigned not to require immediate payment of such of the sums mentioned below as are now due or unpaid and in consideration of any further sums which you may hereafter advance or permit to become due the Undersigned Alexander Reid, Hasanali Mohamedali Ladak and Isidoro Baschiera hereby guarantee to you the payment to you on demand of every sum of money which may be now or may hereafter from time to time become due or owing to you anywhere from or by Imara Plywood Limited (hereinafter referred to as 'the Debtor' which expression shall where the Debtor is a firm include the person or persons from time to time carrying on business in the name of the said firm) or from or by the Debtor jointly with any other or others in partnership or otherwise including the usual banking charges.
>
> (1) This Guarantee is to be a continuing security for the whole amount now due or owing to you or which may hereafter from time to time until the expiration of the notice hereinafter mentioned become due or owing to you by the Debtor and remain unpaid but nevertheless the total amount recoverable hereon shall not exceed Shillings Four Hundred and Sixty Thousand 460,000 together with interest thereon at your then current rate from the date of your demand until payment.
>
> (2) This Guarantee is to be in addition and without prejudice to any other securities or guarantees which you may now or hereafter hold from or on account of the Debtor and is to be binding on the Undersigned as a continuing security notwithstanding any settlement of account or the

> Undersigned or any of them (if more than one) being under disability or dying until the expiration of one month from the time when you shall receive notice in writing to the contrary from the Undersigned or the personal representatives of the Undersigned.
>
> . . .
>
> (7) You are to be at liberty without thereby affecting your rights hereunder at any time or times until you shall have received the whole amount due or owing to you by the Debtor or so long as any part thereof shall remain unpaid by the Debtor to you to determine or vary the amount of any credit to the Debtor to vary exchange renew modify or release any securities or guarantees held or to be held by you from or on account of the Debtor or in respect of the moneys hereby guaranteed to renew bills or promissory notes in any manner and to compound with give time for payment to accept compositions from and make any other arrangements with the Debtor or to from or with the Undersigned or any of them (if more than one) or any obligants on guarantees bills notes or securities held or to be held by you from or on account of the Debtor or in respect of the moneys hereby guaranteed . . .”

The “securities” referred to in para. 7 included a mortgage of a piece of land owned by the company being L.O. No. 13445 in favour of the bank registered on 7 November 1964, to secure Shs. 250,000/-.

During 1966 the company had plans for expansion and it made arrangements with the Tanganyika Development Finance Company Ltd. (referred to as the “Finance Company”) for the injection of Shs. 900,000/- into the company. This sum was earmarked for specific purposes: Shs. 720,000/- for additional machinery, Shs. 120,000/- for factory extension and Shs. 60,000/- for the purchase of logs. The Finance Company between 17 September 1966 and 4 November 1966 paid Shs. 900,000/- into the bank to the account of the company.

The appellant had resigned from the company on 1 September 1966 and on the same date wrote a letter to the bank and the bank replied. [Letters set out in the judgment of Law, J.A., above.]

The appellant has submitted, rightly in my view, that in accordance with the bank’s letter of 8 September 1966, once the company had repaid its indebtedness or when alternative security was furnished, the appellant would be released from his personal and continuing guarantee. The Chief Justice found that no alternative security was furnished, and I think that finding was sufficiently supported by the evidence. The appellant’s liability under the guarantee was restricted to Shs. 460,000/-, which sum was also the limit of the overdraft facilities allowed the company by the bank. The appellant has submitted that since the Finance Company had paid in a sum of Shs. 900,000/- to the credit of the company with the bank during September and November 1966, a sum which was in excess of the limit of the overdraft facilities allowed, the only reasonable inference was that the company’s indebtedness to the bank was extinguished. The appellant submitted he therefore was released from liability in terms of the letter of 8 September 1966. Unfortunately we do not have the assistance of the Chief Justice’s finding on this point as he did not deal with it.

Mr. Borneo, for the respondent bank, has submitted that the appellant had not established that the company had at any time extinguished its indebtedness to the bank. It is, I think, on the appellant to discharge this onus. The payment of monies to the account of the company by the Finance Company did not necessarily mean that the indebtedness of the company to the bank had been extinguished. There could have been continued withdrawals which would

keep the account of the company with the bank always in debit. The appellant was entitled to ask for particulars of the company's bank account if he had wanted to establish that the company at some stage was not in any way indebted to the bank. The appellant did not choose to do so.

It is true that the respondent bank in order to prove the indebtedness of the company produced the following certificate. [Set out in the judgment of Law, J.A., above.]

From this certificate it would seem that the indebtedness, on which the appellant was sued, "has arisen subsequent to 1 February 1967". The assets and liabilities of Grindlays Bank were vested in the respondent bank on 6 February 1967 and the certificate could be construed to mean that as on the 1 February 1967, the company was not in any way indebted to the Grindlays Bank. If that were so, then in terms of the bank's letter of 8 September 1966, since the company was not in debt on 1 February 1967, the appellant's liability on the guarantee was extinguished.

The Chief Justice, however, had dealt with this point. He said:

> "There would appear to be inaccuracies in this statement. The indebtedness of the company to the plaintiff as at 1 January 1970 may be accurate but this amount would not have all been advanced nor would it have become due to the plaintiff after 1 February 1967. The plaintiff did not come into existence until 6 February 1967. Properly the pleading should have described the sum due as being the total of sums advanced by the Bank to the company prior to 6 February 1967 which sum became due to the plaintiff on that date and sums advanced by the plaintiff to the company from 6 February 1967.
>
> I am at a loss to understand Mr. Kanji's preoccupation with 1 February 1967 as a date having some relevance to some periods of limitation. The evidence of Mr. Mambo is that the company's account was current up to 2 February 1968. Thereafter there were no debits save for addition of interest.
>
> . . .
>
> Mr. Reid argued that the deficiency in pleading in paragraph 9 was such that I ought to dismiss the claim. I do not think so. A deficiency in a pleading should not be a ground for dismissing a claim unless the situation is such that the plaint failed to disclose a cause of action. Paragraph 7 properly pleaded the guarantee and the devolution of rights under it to the Plaintiff. Paragraph 8 properly alleged that the Bank and the plaintiff from time to time advanced further sums on mutual open and current accounts to the company with the Bank. Paragraph 9 then set out the total indebtedness. The misdescription is not significant and I would be prepared at this stage to grant an amendment to correct it."

Paragraph 9 of the plaint averred in part:

> "On 5 January 1970, the Company was indebted to the plaintiff in the sum of Shs. 399,461/25 being the total of the amounts advanced and/or became due from the company to the plaintiff subsequent to 1 February 1967 . . ."

Mr. Mambo, the official who signed the certificate of indebtedness, in his evidence said *inter alia*:

> "As a result of my investigations I see from this letter that I found out that the turnover of the account of Imara Plywood for 3 years ending 31 December 1969 was shillings Shs. 805,602/80 and that there were

> withdrawals on the account between the dates 23 December 1967 to 2 February 1968 after which time all debts were in respect of interest and bank charges . . .”

I think the Chief Justice was right in the way he had dealt with the phrase “subsequent to 1 February 1971” contained in the certificate of indebtedness. The certificate did not speak clearly as regards dates in the context of the evidence adduced. There was no evidence adduced by the appellant that the company’s indebtedness to the bank was ever discharged. I do not think that the appellant has shown, on a balance of probabilities, that there was a stage when the company had “re-paid its indebtedness to the bank”. Further in the letter of 8 September 1966 there was also this sentence: “We shall advise you as soon as this has been done”. There is no evidence that the appellant was ever so advised. In my view the ground of appeal that the appellant’s liability as guarantor was extinguished because the company had at some stage repaid its debts in full to the bank fails.

I now turn to the other and more important ground of appeal. As stated earlier there was a mortgage of L.O. No. 13445 in favour of the bank to secure the sum of Shs. 250,000/-. Perhaps because of the monies advanced to the company by the Finance Company for the company’s programme of expansion the bank waived its priority as a first mortgagee of L.O. No. 13445 in favour of the Finance Company which then became the first mortgagee. This was done on 6 February 1968. The appellant had no knowledge of and did not consent to this waiver of priority. The appellant has submitted that this waiver had the effect of releasing him from all liability under the guarantee.

It was unfortunate that two decisions of this court relating to liability under guarantee namely: *Harilal & Co. v. Standard Bank Ltd*., [1967] E.A. 512 and *Patel v. National & Grindlays Bank Ltd*., [1970] E.A. 121 were not cited at the trial court.

In *Harilal’s* case the merchant was granted overdraft facilities by the bank and the repayment of the overdraft was guaranteed by the merchant’s wife, who also executed a mortgage as security. Some years later the bank was dissatisfied with the way in which the account was operated and required the merchant to open a No. 2 account which was always to be in credit, and to transfer £90 monthly from the No. 2 account to the original account. Except for these monthly credits the original account was not to be operated. No notice of this arrangement was given to the guarantor. In an action by the bank against the merchant and the guarantor for the unpaid debt the guarantor claimed that she was discharged from liability by the variation of the terms of the original agreement without her consent. The material parts of the guarantee read as follows:

> “In consideration of (the bank) allowing (the merchant) . . . certain banking facilities, i.e. opening an account with, making advances, or otherwise giving credit, subject to the conditions hereinafter mentioned I (the guarantor) do hereby guarantee and bind myself jointly and severally for the repayment on demand of all sum or sums of money which the said debtor . . . may now or from time to time hereafter owe or be indebted to the said bank . . . It is agreed and declared that it shall always be in the discretion of the said bank as to the extent, nature and duration of the facilities to be allowed the said debtor . . . that all demands or acknowledgements of indebtedness to the said debtor . . . shall be binding on me, that the said bank shall be at liberty without affecting its rights hereunder, to release securities and to give time to, or compound or make any other arrangements with the said debtor . . .”

The guarantor had submitted that without her knowledge or consent, the

bank altered the terms of the overdraft facilities which she had guaranteed by requiring the merchant to open a No. 2 account and cease to operate the original account. The bank claimed that the changed arrangements had not prejudiced the guarantor. Sir Charles Newbold, P., in his judgment referred with approval to the Privy Council case of *National Bank of Nigeria Ltd. v. Awolesi*, [1964] 1 W.L.R. 1311 in which the facts were similar. Sir Charles Newbold, P., in his judgment said:

> "Here the guarantor guaranteed her husband's current mercantile overdraft account into which he was paying sums and out of which he was drawing sums. Without the knowledge or consent of the guarantor the bank in effect closed that account and prevented the merchant from depositing to the credit of that account sums which would normally have been so deposited. On the face of it that created a material alteration in the course of dealing between the bank and the merchant and on the face of it such a variation would be prejudicial to the surely. It is urged that the amount by which the guarantor was prejudiced is trifling as in the end it amounted only to something under £20. This may be so, nevertheless it is not open to the bank without the consent of the guarantor to alter the terms of its dealing with the merchant and at the same time to require the guarantor to be bound by a guarantee relating to a different course of dealing. The fact that the bank itself treated the original account as something quite separate from the No. 2 account is shown by the fact that the amount which it required the guarantor to pay is the amount of the original account and not that amount reduced by the credits standing to the No. 2 account. It is also urged that the words 'or make any other arrangements with the said debtor' in the guarantee distinguished this case from the *Awolesi* case in which those words did not appear in the guarantee, though very similar words did. I do not accept the submission that those words entitle the bank to change the whole nature of the account which the guarantor guaranteed and nevertheless impose upon the guarantor a liability for a debt arising in circumstances different from those which were in the contemplation of the parties at the time the guarantee was given. For these reasons in my view the guarantor is discharged from her liability under the guarantee in respect of all transactions . . ."

In the *Awolesi* case the debtor owed the bank a sum of money arising from unpaid cheques. The guarantor executed a guarantee of the debtor's account up to £10,500. By the guarantee, the guarantor, in consideration of the bank "continuing the existing account" with the debtor for so long as the bank thought fit, "or otherwise giving credit, accommodation or granting time" guaranteed "on demand in writing . . . the due payment of all advances, overdrafts, liabilities, bills and promissory notes whether made, incurred or discounted before or after the debt hereof to or for (the debtor) either alone or jointly with any other person . . ." Some time later the debtor opened a new account with the bank, its opening and subsequent operation took place without the guarantor's knowledge. No further cheques were drawn on the first account and the payments into it were just sufficient to pay the monthly debits of interest, and the account remained overdrawn at nearly the limit of the guarantee. However, large sums of money were paid into the second account and at times the second account was in credit. Their Lordships of the Privy Council in their judgment said, *inter alia*:

> "The question for consideration which depends in the main on the construction of the document of guarantee itself . . .
>
> The guarantee refers to 'the continuing of the existing account' as consideration for the guarantee which suggests that the parties had agreed

> that the account of the principal debtor existing on December 30, 1955, should be continued in an unbroken state and that they did not contemplate the opening of a second account. It is true that the way in which consideration for a contractual obligation is expressed is not conclusive but it is relevant in construing the terms of the contract itself. It would appear also that the words 'ultimate balance' in clause 3 and 'account' in clause 6 can most naturally be read, in the light of clause 1, as relating to the existing account and that the words 'or otherwise giving credit or accommodation or granting time' in clause 1 *prima facie* refer to the existing account. Their Lordships agree with Taylor and Bairamian F. JJ. in construing the guarantee in the narrow sense of a guarantee of the account as it existed at the date when the guarantee was given. When the bank allowed Taiwo to open the second account they were permitting the position of the respondent to be prejudiced as to his guarantee, for, as happened thereafter, it was possible for Taiwo to make payments into the bank without releasing the respondent from his liability under the guarantee. The opening of the new current account was an unauthorised departure from the terms of the contract of guarantee.
>
> In *Ward v. National Bank of New Zealand Ltd*. their Lordships said: 'A long series of cases has decided that a surety "is discharged by the creditor dealing with the principal or with a co-surety in a manner at variance with the contract, the performance of which the surety had guaranteed".'. . .
>
> On the construction of the contract so far accepted there was a substantial variation of the contract of guarantee to the prejudice of the respondent without his knowledge for he lost the benefit of all sums paid in by the principal debtor into his No. 2 account, which was, as the ledger shows, at times in credit to the extent of as much as £2,500. The respondent's guarantee therefore must be taken to have been discharged."

It will be seen that the main consideration is the construction and interpretation of the guarantee document in each case. Each guarantee has to be considered on its own before the rights and liabilities of the parties can be determined. It does not seem that in either the *Harilal* or the *Awolesi* case was there a clause similar to that in para. 7 of the guarantee document in this case which reads in part:

> ". . . so long as any part thereof shall remain unpaid by the Debtor to you to determine or vary the amount of any credit to the Debtor to vary exchange renew modify or release any securities or guarantees held or to be held by you from or on account of the Debtor or in respect of the moneys hereby guaranteed . . ."

However, this identical clause appears in the *Patel* case (it was para. 8 in the guarantee there) in which the guarantors claimed that they were discharged from their liability by the debtor's opening a new account without their consent. In the *Patel* case Duffus, V.-P. (as he then was), after referring to some relevant portions of the guarantee document stated:

> "This is a very wide guarantee and it covers all advances or amounts of money due by the debtor company at any time or place and was not limited as in the 1959 guarantee to 'overdrafts on current accounts'. Paragraph 2 states that it is 'a continuing security for the whole amount now due or owing to you or which may hereafter from time to time become due or owing'. On the face of these paragraphs, these guarantees are not limited to one account nor to overdrafts on current account . . .
>
> The new account was never in credit. The position would have been different if the new account was in credit and respondent bank continued to

> charge the debtor company, and also the appellants, interest on the outstanding amounts on the previous accounts without first deducting the amount to the credit of the new account. This position never arose . . .
>
> There can be no doubt that a surety will be discharged if there is a variance in the terms of the guarantee contract as between the guarantor and the principal debtor, if such a variation is done without the surety's approval and consent. This question has been fully dealt with by this court in its decision in the case of *Harilal v. Standard Bank*, [1967] E.A. 512 which followed the decision of the Privy Council in the *National Bank of Nigeria Ltd. v. Awolesi* (1964), 1 W.L.R. 1311. The trial judge distinguished the facts in both of those cases and in this case. I agree that the facts are different. The last three guarantees in this case give a very full guarantee and in my view a much wider guarantee than in the *Harilal* and *National* cases and as I have already pointed out, the opening of the new account does not appear to have effected any material alteration in the contract between the bank and the debtors nor for that matter as between the bank and the guarantors if the guarantees continued."

Duffus V.-P: (as he then was), held that the guarantors were liable in the *Patel* case despite the opening of a new account in view of the wide terms of the guarantee they had given. Sir Charles Newbold, P., held a different view and Fuad, J., formally agreed with him. Newbold, P., did not deal specifically with the terms of the guarantee as such but contented himself with following the decision in the *Harilal* case. However, he said:

> "It is true that the terms of the actual guarantee in the first clause are wide; but these wide terms must be related to the nature of the debt and the course of dealing at the time the guarantee was given and they would not, especially in the light of the other provisions of the guarantee, permit of the bank changing the course of dealings, ceasing to operate the old overdraft account except for the purposes of debiting interest and opening a new overdraft account . . . The law has always been jealous to protect a guarantor who, especially in a continuing and fluctuating liability, is very much at the mercy of the creditor. I reject entirely the submission referred to by the judge that these guarantees gave to the bank carte blanche to do what it wished . . ."

I do not think that Newbold, P., meant that contracting parties cannot stipulate, by suitable words in a guarantee, the right of a creditor to vary the conditions in his dealings with the debtor which are within the scope of the terms of a guarantee without prior reference to the guarantor. There can be in my view, guarantees so worded that guarantors would remain liable despite variations of the conditions of the guarantee without their consent being obtained in circumstances as if consent in advance was given. It all depends on how the terms are worded. It may be that certain variations are unenforceable because they offend public policy or are unconscionable, but nothing of that sort arises here. Paragraph 7 of the guarantee already referred to is expressed in very wide terms. They permit the bank, without its rights being affected in any way, so long as the whole amount or any part thereof owing was still due and unpaid "to vary exchange renew modify or release any securities or guarantees held or to be held by you from or on account of the debtor or in respect of monies hereby guaranteed . . ." What the bank did was to waive its right to a first mortgage over a piece of land in favour of the Finance Company. The provisions of para. 7 of the guarantee permit the bank to "release any securities", let alone convert a first mortgage into a second mortgage. There was evidence that the Finance Company had injected a large sum of money, Shs. 900,000/-, into the company, thus enriching the assets of the company

whose value must have appreciated considerably. The mortgage on the land was only to secure Shs. 235,000/-. In these circumstances it can hardly be said that the variation in this case had caused any prejudice to the appellant.

I am therefore of the opinion that the waiver by the bank of its first mortgage in favour of the Finance Company had not the effect of releasing the appellant from his liability under the guarantee, nor had the variation caused the appellant any real prejudice. I respectfully agree with the view expressed by Duffus, V.-P. (as he then was), in the *Patel* case that the question for consideration in each case is "what was the actual guarantee given". In my view the terms of the guarantee given by the appellant here are so wide that the guarantor had in effect given consent in advance to the kind of variation that had taken place in this case.

I would dismiss the appeal.

Spry VP: I have had the advantage of reading the judgments of Law and Mustafa, JJ.A. They contain all the facts out of which this appeal arises and I shall not repeat them. I agree with them that two substantial issues arise.

The first concerns the effect of the letter of 8 September 1966, written to the appellant by the manager of National and Grindlays Bank Ltd. I am satisfied that this constituted an offer to release the appellant from his obligations under the instrument of guarantee if either of two conditions were performed: either the existing debt due from Imara Plywood Ltd. had to be repaid or an alternative security had to be agreed. No agreement was reached as to an alternative security but it was submitted by the appellant that the debt was repaid.

It is unfortunate that the appellant did not call for further and better particulars which might have settled this question beyond doubt by production of a statement of the company's account. The guarantee was limited to a sum of Shs. 460,000/- and there is evidence that Shs. 900,000/- was paid into the company's account. The fact that this money was said to be "ear-marked" for certain purposes is, I think, immaterial if it was paid unconditionally to the bank. This makes it very probable that the company's account was, at least temporarily, in credit but the onus of proof was, I think, clearly on the appellant and I do not think he can be said to have discharged it. However improbable it may be, it is not impossible that the bank may have allowed the overdraft greatly to exceed the limit of the guarantee.

There is, however, another factor to be taken into account. Relying on a provision in the instrument of guarantee, the National Bank of Commerce, as successor to National and Grindlays Bank Ltd., proved the amount of the debt sought to be recovered by a certificate signed by a manager. This says that on 7 January 1970, the debt amounted to Shs. 399,461/25 and that such indebtedness had arisen subsequent to 1 February 1967. That means that no part of the debt sued on was owing on the latter date.

The letter of 8 September 1966, fixed no time limit and it has not been suggested that the offer it contained was ever withdrawn. The offer could be accepted by conduct, that is by the payment into the company's account of a sum sufficient to clear the overdraft, and in my opinion the certificate of indebtedness itself affords the evidence that this was done.

The Chief Justice spoke of "inaccuracies" in the plaint, and went on to say:

> "The indebtedness of the company to the plaintiff as at 1 January 1970 may be accurate but this amount would not all have been advanced nor would it have become due to the plaintiff after 1 February 1967."

He went on to point out that the National Bank of Commerce did not come into existence until 6 February 1967, and said that the plaint:

> "should have described the sum due as being the total of sums advanced by the Bank to the company prior to 6 February 1967, which sum became due to the plaintiff on that date and sums advanced by the plaintiff to the company from 6 February 1967".

That was not the case put forward by the respondent and, with respect, the Chief Justice was not entitled to decide the case on a basis that had neither been pleaded nor proved. The case for the respondent rests on the certificate of indebtedness. If it was false, no debt was proved; if it was true, the debt arose after 1 February 1967.

I would only add, on this issue, that I attach no significance to the final sentence in the letter of 8 September 1966, saying that the bank would advise the appellant when his guarantee was released. If I am right in thinking that the letter constituted an offer, and if that offer was accepted by conduct, the appellant's position could not be prejudiced by the failure of the bank to notify the appellant that his guarantee was released.

On this ground, I agree with Law, J.A., that the appeal must succeed.

That being so, it is not strictly necessary to deal with the other main issues, that is, whether the appellant was discharged from his guarantee by the action of the respondent in agreeing to postpone its mortgage to that in favour of the Tanganyika Development Finance Co. Ltd. The Chief Justice dealt briefly with this question. He said:

> "It appears to me that the terms of the guarantee did permit such conduct by the Bank, prejudicial though it may have been to the first defendant . . . The Bank was entitled to waive their priority and the first defendant was not thereby released."

The provision in the guarantee to which the Chief Justice was referring reads as follows:

> "You (that is to say, the bank) are to be at liberty without thereby affecting your rights hereunder at any time or times . . . to . . . release any securities . . . held . . . by you from . . . the Debtor."

Prima facie, those words enabled the respondent to do just what it did, because the power to release a security would include the lesser power to postpone it.

It is unfortunate that two cases of some relevance were not cited to or considered by the Chief Justice. The first is *Harilal & Co. v. The Standard Bank Ltd.*, [1967] E.A. 512. In that case a bank altered the terms upon which it extended overdraft facilities to a merchant without the consent of a guarantor. The bank relied on a provision in the instrument of guarantee, which reads:

> "the said bank shall be at liberty without affecting its rights hereunder, to . . . make any other arrangements with the said debtor . . ."

Of these words, Sir Charles Newbold, P., said:

> "I do not accept the submission that those words would entitle the bank to change the whole nature of the account which the guarantor guaranteed and nevertheless impose upon the guarantor a liability for a debt arising in circumstances different from those which were in the contemplation of the parties at the time the guarantee was given."

The other members of the court concurred with that part of his judgment.

The other case is *Patel v. National & Grindlays Bank Ltd*., [1970] E.A. 112. The facts of that case are sufficiently different from the present to make it clearly distinguishable, but I would quote one sentence from the judgment of Sir Charles Newbold, P., in which he said:

> "It is true that the terms of the actual guarantee in the first clause are wide; but these wide terms must be related to the nature of the debt and the course of dealing at the time the guarantee was given and they would not, especially in the light of the other provisions of the guarantee, permit of the bank changing the course of dealings . . ."

Later in his judgment, he said:

> "The law has always been jealous to protect a guarantor who, especially in a continuing and fluctuating liability, is very much at the mercy of the creditor. I reject entirely the submission referred to by the judge that these guarantees gave to the bank carte blanche to do what it wished . . ."

Subject to what I am about to say, I would think the position is that general words in a guarantee may give a creditor wide freedom of action within the broad framework of the transaction as contemplated by the parties at the time when the guarantee was given, but cannot empower a creditor to change the nature of the relationship between himself and the debtor to the prejudice of the guarantor.

There is, however, a question which was not raised in the trial court or before us and which, indeed, never appears to have been considered by any court in East Africa: that is, whether it is permissible to contract out of the provisions of s. 85 of the Law of Contract Ordinance (Cap. 433). Section 1 (2) of the Ordinance reads as follows:

> "(2) Nothing in this Ordinance contained shall affect . . . any incident of any contract not inconsistent with the provisions of this Ordinance."

It is a curiously worded provision, but it would appear to mean that nothing in a contract may be inconsistent with the express provisions of the Ordinance. This interpretation would be consistent with the fact that a substantial number of sections contain the words "In the absence of any contract to the contrary" or other words to the like effect. No such words appear in s. 85.

I see nothing unreasonable in this, as applied to s. 85. The terms of contracts of guarantee are rarely negotiated: most such contracts are made either with corporations such as banks or hire purchase finance companies or else with money-lenders. The surety is usually presented with a standard form of guarantee, which he must either accept or reject. As Sir Charles Newbold said, the law has always been sympathetic towards the surety and I see nothing so extraordinary in the idea of the legislature providing a statutory protection as to justify ignoring what appears to be the meaning of s. 1 (2).

I have succeeded in tracing one Indian decision on this question. It is the decision of the Appellate Civil Division of the High Court of Bombay in *K. R. Chitguppi & Co. v. Vinayak* (1921), 45 Bom. 157 and it deals with ss. 1 and 133 of the Indian Contract Act, which are in similar terms to ss. 1 and 85 respectively of our Ordinance. In that case, a letter of guarantee expressly waived "all or any of the rights as surety (legal, equitable, statutory or otherwise) which may at any time be inconsistent herewith and which he might be otherwise entitled to claim and enforce." Shah, J., said:

> "I do not see how any such general agreement could be interpreted as amounting to that specific consent to the variation contemplated by section 133. Such a consent necessarily implies that the surety has knowledge of the nature of the variation . . . I do not say that a surety can

> never anticipate the nature of a future variation and give his consent in anticipation of such variation."

Hayward, J., concurring, said:

> "It seems to me impossible to hold that these provisions of the letter were not in express terms inconsistent with the provisions of the Contract Act. Wherever it has been intended that independent provisions should be permitted, it has always been expressly provided for such provisions by the introduction of the phrase 'in the absence of any contract to the contrary' which occur in section 146 and a number of other sections of the Indian Contract Act."

I am not aware of any decision overruling or inconsistent with those judgments. I find the reasoning in them highly persuasive but I would not base my decision on any such finding, since the question has not been argued before us. I base my decision entirely on my view of the first issue.

There will be an order in the terms proposed by Law, J.A.

Appeal allowed.

The appellant appeared in person.

For the respondent:
JE Borneo and *PT Tehingisa*

Sangu and another v Republic
[1971] 1 EA 539 (CAN)

Division:	Court of Appeal at Nairobi
Date of judgment:	14 September 1971
Case Number:	26/1971 (135/71)
Before:	Spry V-P, Law and Lutta JJA
Sourced by:	LawAfrica

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[1] Evidence – Accused – Rights of co-accused to cross-examine – Extends to witnesses called by co-accused on appeal.

[2] Appeal – Cross examination by co-accused of witnesses called on appeal – Whether failure of justice.

[3] Evidence – Age – Medical evidence – Whether proof of age over 18 *years.*

Editor's Summary

The two appellants appealed to the High Court against their conviction of robbery with violence. Counsel for the second appellant was allowed to call witnesses to show that the prosecution case had been based on false evidence. The first appellant was not present at the hearing of the first appeal and therefore did not have an opportunity of cross-examining the additional witnesses.

The second appellant had been sentenced to the minimum term of imprisonment, the only evidence of his age being a medical report which included X-ray evidence stating that the head of the radius

was united to the shaft.

Held –

(i) the first appellant should have been permitted as of right to cross-examine the additional witnesses called on appeal by his co-accused (*Mattaka v. Republic* (2) followed);

(ii) as the evidence of the additional witnesses did not implicate the first appellant in any way no failure of justice had resulted;

(iii) the medical evidence was not conclusive that the second appellant's age was over 18 years;

(iv) a sentence of committal to a Borstal Institution for three years would be substituted.

Appeal of first appellant dismissed. Sentence on second appellant varied.

Cases referred to judgment

(1) *Mwangi v Republic*, [1971] E.A. 380.

(2) *Mattaka v Republic*, [1971] E.A. 495.

Judgment

14 September 1971. The considered judgment of the court was read by **Law JA:** The two appellants were convicted in the court of the resident magistrate, at Kakamega, of robbery with violence. The first appellant, who was found to be 16 years of age, was sentenced to three years' detention in a Borstal Institution, and the second appellant, who was found to be 18 years of age, was sentenced to fourteen years' imprisonment with hard labour and ten strokes of corporal punishment. They both appealed to the High Court. Before the High Court Mr. Sangale, who now appears for both appellants, only represented the second appellant. Mr. Sangale successfully applied to call two additional witnesses to prove that the prosecution case had been based on false and concocted evidence. These witnesses gave evidence and were cross-examined by State Attorney. Their evidence was disbelieved by the judge. The first appellant, who had intimated that he did not wish to be present at the hearing of the appeal, was accordingly absent and had no opportunity to cross-examine the two additional witnesses. In the course of his judgment the judge stated that the additional witnesses had been called "on behalf of the appellants". Mr. Sangale has argued two grounds of appeal arising out of the calling of the additional evidence. Firstly he submitted that the judge misdirected himself in saying that the additional evidence had been called on behalf of both appellants. We agree. It is clear from the record that in the High Court Mr. Sangale was only representing the second appellant, and that the application to call additional evidence was made on behalf of the second appellant alone. Mr. Sangale's second submission is that in these circumstances the first appellant should have been given the opportunity of cross-examining the additional witnesses. Again we agree. In *Mattaka v. Republic*, [1971] E.A. 495 this court laid down that where an accused wishes to cross-examine his co-accused, he should be permitted to do so as of right, and that the scope of such cross-examination should not be restricted. The same principles apply, in our view, to witnesses called on behalf of a co-accused. We see no difference in this respect in the case of witnesses called at the trial, or as additional witnesses on appeal. In either case an accused person who did not call these witnesses as his own witness has the right to cross-examine them. The first appellant in this case was not given the opportunity to do so. The question arises – what are the consequences of such an omission? The appeal must be allowed if there is a possibility that the omission resulted in a failure of justice. In the instant case we are satisfied that no such possibility exists. It is unlikely in the extreme that the first appellant would have had any relevant questions to put to the additional witnesses, whose evidence did not implicate him in any way. For these reasons we consider that the first two grounds of appeal fail.

Mr. Sangale's third and fourth grounds of appeal concern the sentence passed on the second appellant. The resident magistrate, in passing sentence, said he was "constrained" to do so. Although there was a specific ground of appeal against sentence in the second appellant's memorandum of appeal, the judge made no reference to it in his judgment, perhaps because he considered it to be without merit. Since the enactment of the Criminal Law Amendment

Act 1969 the minimum sentence on conviction for robbery with violence is fourteen years' imprisonment together with corporal punishment. Mr. Sangale submitted that the resident magistrate misdirected himself in saying that he was constrained to pass the sentence which he did impose, as he could have made a probation order, passed a suspended sentence, or granted a conditional discharge. The Criminal Law Amendment Act 1969 does not have the effect of excluding other forms of punishment, Mr. Sangale submitted, and he relied for this proposition on *Mwangi v. Republic*, [1971] E.A. 380. We do not feel it necessary to examine the correctness or otherwise of that decision. We are of the opinion that the resident magistrate, in saying he was constrained to pass the sentence he did, was saying no more than that he did not consider the case a proper one for leniency, and as it was a case which in his view called for imprisonment, he could not do otherwise than impose the minimum sentence prescribed by law. No doubt he used the word "constrained" because he considered fourteen years' hard labour to be excessive in the case of a first offender aged about 18.

There is, however, one unsatisfactory feature in this case, and it relates to the question of age. A medical certificate was produced, presumably by the prosecution, to prove the age of the second appellant. This contains a reference which indicates that an X-ray photograph was taken, and the report itself reads:

> "Age 18 yrs. Head of radius united to shaft."

It is so well known as to be within the judicial knowledge of the court that, even with the aid of X-rays, age cannot be assessed exactly. The medical officer was not called to give evidence and we do not know what would have been his answer had he been asked if he could exclude the possibility of the second appellant being under 18 years.

This element of doubt is not excluded by reference to Taylor's Principles and Practice of Medical Jurisprudence (12th Edn.). In volume I at p. 141, the author states that by 16 – 17 years of age, the head of the radius should be joined to the shaft, but on the following page he says that in tropical climates ossification takes place earlier than in temperate zones. In India and Ceylon, it is apparently about two years earlier. No information is given regarding Africa.

We think that had the magistrate appreciated that on the evidence before him, there was a real doubt whether the second appellant was above or below the age of 18 years at the date of the offence, he would have given the benefit of that doubt to the second appellant, and accordingly that the finding of age must be regarded as a misdirection.

If the second appellant was under 18 years, he should not be sent to prison "unless the court is of the opinion that he cannot suitably be dealt with in any other way permitted by law" – Children and Young Persons Act (Cap. 141), s. 16 (3) (*a*). In all the circumstances, we think a sentence similar to that awarded to the first appellant is appropriate. We therefore set aside the sentence passed by the magistrate and substitute an order that the second appellant be committed to a borstal institution for the period of three years. The appeal of the first appellant is dismissed, and the appeal of the second appellant succeeds to the extent indicated above but is otherwise dismissed.

Appeal allowed in part.

For the appellants:
S Sangale (instructed by *S Sangale & Co*, Nairobi)

For the respondent:
AR Rebelo (State Counsel)

Kato v Republic
[1971] 1 EA 542 (CAD)

Division:	Court of Appeal at Dar Es Salaam
Date of judgment:	3 June 1971
Case Number:	33/1971 (136/71)
Before:	Sir William Duffus P, Spry V-P and Lutta JA
Sourced by:	LawAfrica
Appeal from:	High Court of Tanzania – El-Kindy, Ag J

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[1] Criminal Practice and Procedure – Plea – Equivocal – All ingredients not explained to accused – Set aside.

[2] Criminal Practice and Procedure – Charge – Discrepancy – Forgery – Name alleged to be forged incorrectly stated.

Editor's Summary

The appellant was convicted of forgery and of uttering a forged document. He prepared and signed in his own name, purporting to sign "for the Regional Police Commander" the original of a payment voucher in favour of 13 constables on safari claiming Shs. 1,530/- being night allowance for them. The copies of the voucher were stamped with the name of G. H. Mwamlima a Superintendent of Police.

No constable had gone on safari or had claimed any night allowance.

On the first count of forgery the particulars alleged, that the voucher was signed "by the Superintendent of Police, G. H. Mwamlima", whereas in fact the voucher was not so signed.

On the second count of uttering a forged document the particulars alleged, that the voucher "purported to be the voucher signed by the Superintendent of Police, G. H. Mwamlima".

The appellant's plea to each count was "It is true".

The charge referred to the original of the voucher which in fact was signed by the appellant in his own name and the particulars were therefore inaccurate and confusing.

On appeal:

Held –

(i) the admitted facts, although constituting the essential ingredients of forgery, did not support the offences as charged;

(ii) since every ingredient had not been explained to the appellant, the plea of "it is true" was not sufficient to amount to a plea of guilty.

Appeal allowed in part.

Cases referred to judgment

(1) *R. v. Laitwood* (1910), 4 Cr. App. R. 248.

(2) *R. v. Yonasani Egalu* (1942), 9 E.A.C.A. 65.

(3) *Mwandika v. R.*, [1959] E.A. 18.

(4) *Mussa Saidi v. R.*, [1962] E.A. 454.

(5) *Bukenya v. Uganda*, [1967] E.A. 341.

Judgment

3 June 1971. The considered judgment of the court was read by **Lutta JA:** This is a second appeal. The appellant was charged in the resident magistrate's court, Kigoma, with the offence of forgery, contrary to ss. 333 and 337 of the Penal Code; uttering a false document contrary to s. 342 of the Penal Code;

and attempted theft by a public servant contrary to ss. 265, 270 and 381 of the Penal Code. Pleas of guilty were entered and the appellant was convicted and sentenced to nine months' imprisonment on each of the first and second counts and two years' imprisonment with the statutory 24 strokes on the third count. He appealed against his conviction to the High Court but his appeal was dismissed and he now appeals to this court.

The basis of the appeal to this court is, as it was in the High Court, a submission that his pleas were wrongly recorded in that he did not plead guilty to the offences charged; that his replies to the charges were "it is not true" but the trial magistrate wrongly recorded them as "it is true". At the hearing of the appeal Mr. Karim, who appeared for the Republic, stated to us that he did not support the conviction of the appellant on all the charges. He submitted that the facts admitted by the appellant did not correspond to those in the counts and that although the document in question was false, it was not forged and therefore the appellant in his plea could not be said to have admitted a forgery of the said document. He submitted, secondly, that the words "it is true" are ambiguous and should not be taken to mean that an accused person pleads guilty if he uses them. In support of this submission he relied on the case of *Bukenya v. Uganda*, [1967] E.A. 341. Forgery is defined in s. 333 of the Penal Code as "the making of a false document with intent to defraud or to deceive". A person makes a false document if he makes the document "purporting to be what in fact it is not" – s. 335 (*a*) of the Penal Code. In this case, the facts as outlined by the prosecution were, *inter alia*, that the appellant prepared and signed the original of a payment voucher on 6 January 1970, alleging that 13 police constables had gone on safari and claimed night allowances amounting to Shs. 1,530/-. The copies of the voucher were stamped with the name "G. H. Mwamlima". The original was signed by the appellant with his own name "for the Regional Police Commander". The 13 police constables had not gone on safari and had not claimed Shs. 1,530/-. The voucher had not been prepared with the authority of Mr. Mwamlima – the District Police Commander. In our view it was a false document in a material particular in that it purported to have been prepared with the authority of the Regional Police Commander; it was prepared with intent to defraud or deceive. Thus all the ingredients of forgery were present. However, the particulars of the first count are:

> "The person charged on 6 January 1970, in the township and District of Kigoma, Kigoma Region, with intent to defraud, forged payment voucher of Shs. 1,530/- purporting to have been signed by Superintendent of Police G. H. Mwamlima whereas in fact the said voucher was not signed by the said G. H. Mwamlima",

and as we have said, the appellant signed the voucher in his own name.

The particulars of the second count are:

> "The person charged on the same date, time and place, knowingly and fraudulently uttered a forged payment voucher for Shs. 1,530/- to the Internal Revenue Officer, Kigoma, purporting to be the voucher signed by Superintendent of Police G. H. Mwamlima."

There is thus a discrepancy between the particulars of these two counts and the statement of facts, which the appellant was admitting.

The procedure relating to the calling upon the accused person to plead is governed by s. 203 of the Criminal Procedure Code. In our view, if it can be clearly shown that an accused person has admitted all the ingredients which constitute the offence charged, it is then proper to enter a plea of guilty. The words "it is true" when used by an accused person may not amount to a plea of guilty, for example, in a case where there may be a defence of self-defence

or provocation. As was said by this court in the case of *R. v. Yonasani Egalu* (1942), 9 E.A.C.A. 65, at p. 67:

> "In any case in which a conviction is likely to proceed on a plea of guilty (in other words, when an admission by the accused is to be allowed to take the place of the otherwise necessary strict proof of the charge beyond reasonable doubt by the prosecution) it is most desirable not only that every constituent of the charge should be explained to the accused but that he should be required to admit or deny every constituent and that what he says should be recorded in a form which will satisfy an appeal court that he fully understood the charge and pleaded guilty to every element of it unequivocally."

In the present case, we think, with respect, that the trial magistrate should have explained to the appellant in clear language every ingredient of the charges and required him to admit or deny the same and recorded the exact words the appellant used in his admissions or denials, as the case may be, in a form indicating that the appellant fully understood the charges he unequivocally pleaded thereto. In this case the appellant admitted facts which do not support the offences charged. It is our view that the appellant did not plead to the offences charged in the first and second counts. We therefore quash the convictions and set aside the sentences in respect of those counts.

As regards the third count, the question is whether the acts done by the appellant, assuming there was no intention to steal, were sufficiently proximate to the intended offence. In *R. v. Laitwood* (1910), 4 Cr. App. R. 248, it was said:

> ". . . there was here an act done to commit an offence which formed part of a series which would have constituted the offence if not interrupted . . ."

That was adopted as the appropriate test in a decision of the Supreme Court of Kenya in *Mwandikwa v. R.*, [1959] E.A. 18 which was followed in a decision of the High Court of Tanganyika in *Mussa Saidi v. R.*, [1962] E.A. 454. In this case the acts done by the appellant preparatory to stealing, that is to say the preparation of the voucher and the requisition and its presentation to the Internal Revenue Officer, resulted in a cheque being sent to the District Police Commander's office where the appellant worked. It was seen by Mr. Mwamlima who took it into his possession. Had the appellant taken the cheque, the offence of stealing would have been completed, as he would have had the opportunity to dispose of it or deal with it in any manner convenient to him. As it was, even if the appellant had never personally received the proceeds of the cheque, they would, unless the fraud had been detected, have gone to the constables named and the Government would have been deprived of that amount. We think that the appellant's acts were sufficiently established to justify a finding that an attempt to steal the Shs. 1,530/- had begun. We therefore dismiss the appeal with regard to this count.

Appeal allowed in part.

The appellant did not appear and was not represented.

For the respondent:
AR Karim (State Attorney)

Beecher and another v St Christopher's School Ltd
[1971] 1 EA 545 (HCK)

Division: High Court of Kenya at Nairobi

Date of judgment: 27 February 1970

Case Number: 339/1969 (140/71)

Before: Harris J

Sourced by: LawAfrica

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[1] Landlord and Tenant – Lease – Construction – Obliged to vacate – Whether tenant must pursue remedies in tribunal.

[2] Rent restriction – Possession – Whether tenant obliged to vacate by valid notice not referred to tribunal.

Editor's Summary

The plaintiffs carried on the business of a school in premises which they rented on a monthly tenancy. They sold the business to the defendant under an agreement which provided if the landlord obliged the defendant to vacate the premises during the first two years the payments then outstanding under the agreement would be cancelled.

Notice under s. 4 of the Landlord and Tenant (Shops Hotels and Catering Establishments) Act (Cap. 301) was served on the defendant by the landlord, and the defendant told the plaintiffs that it did not propose to resist the landlord's claim to possession.

The plaintiffs claimed payment of the instalments subsequent to the date that the defendant vacated the premises, contending that the cancellation did not become operative until the tribunal had adjudicated on a reference. The defendant contended that it was not required to challenge a valid notice.

Held –

(i) the defendant was obliged to vacate when the notice expired;

(ii) the fact that it could have referred the notice to the tribunal did not alter this, and reference merely for the purpose of delay would have been an abuse of the process of the tribunal.

Claim dismissed.

Cases referred to judgment

(1) *Maritime National Fish Ltd. v. Ocean Trawlers Ltd*., [1935] A.C. 524

(2) *Karachi Gas Co. Ltd. v. Issaq*, [1965] E.A. 42.

Judgment

Harris J: By an agreement in writing dated 22 July 1968 the plaintiffs, who at that time were and for the preceding four or five years had been carrying on the business of running a kindergarten school at Valley Arcade, Bernard Road, Nairobi, contracted to sell the school to the defendant company for the sum of Shs. 25,000/-. The sale comprised *inter alia* the plaintiffs' interest in the school premises which was a tenancy from month to month following the expiration of a leasehold term. The purchase price was to be discharged by an initial payment of Shs. 6,000/-, made on or before the execution of the agreement, followed by twenty-four equal monthly instalments of Shs. 791/65, commencing on 1 September 1968.

Clause 2 of the agreement declares that completion of the sale should be deemed to take place on 1 September 1968 as from which date "the entire risk shall pass to the purchaser"; cl. 3 provides that "upon completion as aforesaid the purchaser shall take over the school"; and cl. 4 stipulates that:

> "from date of completion until payment in full the purchaser shall run the school with all due diligence and be construed as a trustee for the vendors and take all steps to protect the school including taking out all necessary insurance cover and obtaining all necessary licences and permits etc."

Clause 6 is in the following terms:

> "In the event of the landlord seeking to reconstruct the said premises and the purchaser or tenant being obliged to vacate as is envisaged by s. 7 (*f*) of the Landlord and Tenant (Shops, Hotels and Catering Establishment) Act during the period of two calendar years next after the said first day of September 1968 then the balance of outstanding payments (if any) (other than arrears and/or interest as hereinbefore provided) will be cancelled."

On 7 November 1968 the defendant company was served by the agent of the landlord with a notice under s. 4 of the Landlord and Tenant (Shops, Hotels and Catering Establishments) Act (Cap. 301) terminating its tenancy with effect from 7 January 1969 on grounds falling within the provisions of s. 7 (1) (*f*) of the Act and requiring the company within one month to notify the landlord of its agreement or otherwise in regard to such proposed termination. The company informed the plaintiffs of this notice verbally on 10 November 1968, intimating that it was not proposed to resist the landlord's claim to possession, and on 12 November the company's advocates wrote to the plaintiffs' advocates confirming the receipt by the company of the notice and stating that, in the terms of cl. 6, the agreement would be cancelled as at 7 January 1969.

To this the plaintiffs' advocates replied on 15 November saying that they did not consider that cl. 6 of the agreement could become operative until the matter had been adjudicated upon by the tribunal appointed under the Act, and on 3 December they wrote more fully stating (*inter alia*) that:

> "With regard to cl. 6 itself, we do not consider that the receipt of a mere notice under s. 4 of the Act *obliges* a tenant to vacate the premises. On the contrary, a tenant is entitled to oppose a notice of termination (s.6 (1)) and refer the matter to a Tribunal, in which case the notice is of no effect until and subject to, the determination of the matter by such Tribunal.
>
> We understand that your client is the only one of all the other tenants, who have received similar notices or notices of intention, who does not intend to oppose the notice. That is a matter of election and not compulsion. In our view the further performance of the contract by your client is not thereby excused, nor can the balance of outstanding payments thereunder be cancelled.
>
> We also consider that it is your client's duty to take all steps necessary to give effect to the agreement and to protect the interests of our clients and those of the school. In this connection we draw your attention to cl. 4 of the agreement."

No application to the tribunal was made by the company and the tenancy terminated in accordance with the notice on 7 January 1969. The instalments of purchase price payable under the agreement were discharged up to that date and no further, and the plaintiffs now claim payment of the balance of the purchase price amounting to Shs. 15,654/65 together with interest at the appropriate rate.

The plaintiffs submit that cl. 6 of the agreement contains no ambiguity, either patent or latent; that extrinsic evidence cannot be admitted for the purpose of interpreting its terms; that the expression "being obliged to vacate"

should be strictly construed; and that, in view of its not having attempted to resist the landlord's move to obtain possession, the company cannot be heard to say that it was "obliged" to vacate the premises.

For the company it is conceded that the clause is unambiguous but it is contended that on its true construction it did not require the company to challenge what was manifestly a valid notice to quit properly served, that the tenancy terminated on the expiration of the notice, and that the obligation to continue paying the instalments provided for in the agreement came to an end with the termination of the tenancy. In the alternative the company submits that, if the clause contains a latent ambiguity allowing of the introduction of extrinsic evidence to show the intention of the parties, the evidence before the Court, which by consent had been led without prejudice to the question of its admissibility, is sufficient to determine the case in the company's favour. In my opinion the clause is not ambiguous and accordingly this evidence need not be considered.

It is not difficult to understand the reactions of the parties to the problem with which they were faced and from a practical point of view neither side can be said to have been unreasonable in its attitude. It is clear that when executing the agreement they were alive to the possibility that the landlord might at some time during the two – year instalment period take effective steps as permitted by the Act for the purpose of obtaining possession of the premises. The result of such a course would inevitably have been to compel the proprietors of the school, whoever they might be, either to find alternative premises or to cease operations. There is nothing either to suggest that this factor had a material bearing on the plaintiffs' decision to sell the school or to indicate the possible extent to which it may have affected the purchase price, but manifestly the purpose of cl. 6 is to provide an equitable manner in which this eventuality, if and when it should occur by virtue of a notice served under s. 7 (1) (*f*) of the Act, might be met with the minimum of loss to the parties. To this end the clause is so designed that the shorter the interval of time between the 1 September 1968 and the date upon which the company is obliged to vacate the premises (if it should be so obliged) and therefore the shorter its period of enjoyment of the tenancy the greater would be the reduction in purchase price. It is to be observed that this arrangement applied only if the tenancy should be terminated pursuant to the provisions of para. (*f*) of the subsection and not otherwise.

The sole issue in the case turns on the meaning to be accorded to the expression "obliged to vacate" as used in the agreement, and since apparently no clear judicial authority is to be found on the point it is proper that assistance be sought by having recourse to recognized dictionaries of the English language. In the Oxford English Dictionary, published by the Clarendon Press in 1933 the several meanings of the word "obliged" include "bound in law, duty or any moral tie", "under obligation", "compelled", and "necessitated", while in the third edition of the Shorter Oxford English Dictionary On Historical Principles, Published by the same publishers in 1965, although the word "obliged" is not defined the meanings given to the verb "oblige" in its infinitive tense include that of "to constrain, especially by moral or legal force or influence". It would appear therefore that in contemporaneous usage one can be said to have been "obliged" to do something without necessarily having been subjected to the sanction of a court order or other legal process.

Passing from the strictly literal meaning of the word, it is to be observed that the obligation, real or supposed, with which we are dealing is between the defendant company and its landlord, and arose in the first instance as a result of the expiration of the notice to quit, the validity and due service of which are

not challenged. The immediate effect of this notice, had it not been for the provisions of the Act, would have been to impose upon the company a legal obligation to surrender the premises to the landlord immediately upon its expiration, that is, on 7 January 1969. By ss. 4 (3) and 6 (1) of the Act, however, the company became entitled within one month after receipt of the notice to inform the landlord in writing of its unwillingness to give up possession and then, before the expiration of the notice, to refer the matter to the tribunal for its consideration and decision under s. 8 of the Act. If the company had taken those steps in the manner and within the time allowed and notified the landlord of the reference to the tribunal, the notice to quit would, by s. 6 (1), have become of no effect until, at least, the decision of the tribunal had been pronounced. That decision, if favourable to be company as tenant, might have been to the effect that the tenancy should not be terminated in accordance with the landlord's intention, while, if unfavourable to the company, it might have been made the subject of an appeal by the company to a subordinate court with a limited right of further appeal to this court. It is undeniable, therefore, that the defendant company, had it so wished, could, by resorting to the procedure which I have mentioned, have effectively secured for itself an extension of its tenancy for some months or perhaps longer. Can it be said then that, despite the fact that it did not avail itself of this measure of relief, the company was obliged to vacate the premises on the date of expiration of the notice to quit? I think it can.

It seems to me that where a person is so placed that by the operation of law, whether in the nature of a common law or statutory requirement or of an enforceable contractual obligation, he is liable in the prevailing circumstances to be compelled by a court of competent jurisdiction forthwith to do or to refrain from doing an act otherwise lawful, he may properly be said to be "obliged" to do or to refrain from doing the act without the necessity for a specific decree or order of the court in that behalf to be granted or made; and this is so notwithstanding that, had he earlier resorted to appropriate legal proceedings, he might have been able to relieve himself of the obligation or to defer at least temporarily its taking effect. A contrary view must, I think, lead to the somewhat unreal position that, not until a decision of the ultimate court or tribunal empowered by law to entertain such proceedings by way of appeal or otherwise had been obtained, could he be said to have become obliged to do or to refrain from doing the act.

Counsel for the plaintiffs seeks to draw an analogy between the position of the company and that of a party to a contract who, by reason of self – induced frustration, finds himself unable to fulfil his obligations and pleads impossibility of performance. He contends that the company, having in effect elected not to resist the notice to quit, should be precluded from relying on it to excuse what he submits is the company's non – performance of the agreement, and he bases his argument upon a number of passages from the judgments in *Maritime National Fish Ltd. v. Ocean Trawlers Ltd*., [1935] A.C. 524, and *Karachi Gas Co. Ltd. v. Issaq*, [1965] E.A. 42. In my opinion no such analogy can properly be drawn. The company does not suggest that it has been frustrated nor has it pleaded impossibility of performance and it founds its defence expressly upon the provisions of the agreement.

The plaintiffs also rely upon cl. 4 of the agreement, the terms of which are set out above. At a first reading this clause might seem difficult to reconcile with cl. 6 or, indeed, with the basic concept of a completed sale but its presence in the agreement may perhaps be explained by the terms of cl. 9 which declares that, in the event of any default by the company, the plaintiffs may in their absolute discretion either resume possession of the school and terminate the

agreement or sue for the recovery of any balance of moneys outstanding. If, however, a measure of conflict should exist as between cls. 4 and 6 the provisions of cl. 6 must, in my view, prevail and I am unable to agree that cl. 4 is of assistance to the plaintiffs.

The application to the present case of the construction of the expression "obliged to vacate" which I have suggested might have appeared less appropriate had the plaintiffs offered to indemnify the company against such legal or other expenses as the company might have incurred in proceedings to resist the notice to quit or had they shown that there was a likelihood or even a reasonable possibility of success of such proceedings. Nothing of the sort is to be found here, however, and it may well be that the only advantage which could have accrued to the company from such proceedings and the resulting expenditure would have been a tentative extension of its tenancy pending the determination of the proceedings. In this connection it will be appreciated that the institution in such circumstances of proceedings before the tribunal for the purpose merely of achieving delay would constitute in a measure an abuse of the process of the tribunal.

For the reasons which I have endeavoured to express I hold that in the events which have happened the company was obliged to vacate the premises on the expiration of the notice to quit, that the provisions of cl. 6 of the agreement thereupon came into operation, and that the balance of outstanding payments then due by the company to the plaintiffs became cancelled as from that date. It is conceded that all moneys due and payable up to that date have been duly paid and the action is therefore dismissed with costs.

Judgment for the defendant

For the plaintiffs:
RN Sampson (instructed by *Archer & Wilcock*, Nairobi)

For the defendant:
AE Hunter (instructed by *Daly & Figgis*, Nairobi)

Salim v Boyd and another
[1971] 1 EA 550 (HCK)

Division:	High Court of Kenya at Mombasa
Date of judgment:	30 November 1970
Case Number:	12/1969 (150/71)
Before:	Kneller J
Sourced by:	LawAfrica

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[1] Civil Practice and Procedure – Motion – Originating – Proper procedure for registration as owner of land by prescription – Limitation of Actions Act 1968, *s.* 38 (*K.*), *Civil Procedure* (*Revised*) *Rules* 1948, *O.* 50, *r.* 1 (*K.*).

[2] Limitation of Action – Land – Adverse possession – How established – Limitation of Actions Act 1968, *s.* 38 (*K.*).

Editor's Summary

The applicant applied by originating notice of motion for an order registering him as the proprietor of a plot of land in the ground that he had been in possession of it for twenty years. The facts are set out in the judgment.

Held –

(i) application was properly made by originating notice of motion;

(ii) the applicant must prove that he has had exclusive uninterrupted possession of the land for 12 years and without fraud;

(iii) the applicant had proved his claim.

Order for registration of the applicant as owner.

Cases referred to judgment

(1) *Rains v. Buxton* (1880), 14 Ch. D. 537.

(2) *St. Benoist Plantations Ltd. v. Felix* (1954), 21 E.A.C.A. 105.

Judgment

Kneller J: Salim Nganzi, the applicant, moves the court by way of an originating notice of motion under O. 1, r. 1 of the Civil Procedure (Revised) Rules 1948 for an order that he be registered as the proprietor of an estate in fee simple of a parcel of land known as plot number 348 section 11 Mainland North, Mombasa in the place of the respondents, Geoffrey Boyd and Frederick McBride, who are the registered proprietors of it now.

The following evidence has been adduced in support of this application. [The Judge detailed the early entries in the register and continued.]

Sometime in 1918, Mr. Morrison, the Mombasa barrister, applied for the respondents for a certificate of title of ownership of this land, under the Land Titles Ordinance 1908. The plot was said to be in the physical occupation then of one, C. Jensen, the agent of the respondents. The land was not cultivated, nor mortgaged nor subject to the rights of anyone else according to the statutory declaration of Mr. Morrison.

Mr. C. Josefat D'Souza demarcated and drew the plans of the plot for the Land Titles Registration Court and the Recorder of Titles, Mr. A. J. Machan, after reading the documents, or copies of them, and hearing the agent Jensen, ordered on 20 July 1918, a certificate of ownership to issue to the respondents for this land.

The certificate was No. 2216 dated 17 September 1921, and it was registered as C.R. 1009/7 on the same day in the Department of Lands for the Protectorate in the Land Registration Division for the province of Seyidie.

The map number is 13536 and shows the plot to be about 33.6 acres in all.

After that there is no more information about this land and the respondents or their agent, Jensen. The action has been advertised at a cost of £54 in the Daily Telegraph and Shs. 209/- in the East African Standard and no-one has come forward to enter an appearance to it.

The next we hear of the land, according to the evidence, is in July 1949. The applicant, Salim Nganzi, was about 50 then and he was looking for land. He found this very plot, without a house on it, uncultivated and covered with bush only. He went on it, built a mud and wattle three roomed house with a makuti roof and settled in it with his wife. They then planted casava, 800 coconut trees, bananas and jack fruit. There were mango trees on it when he arrived. He says that no-one has come on to that land, thrown him off it or questioned his right to it from that day to this. He knew all along, of course, that he was not the legal owner of it but he was not who, if anyone, was?

The Registrar of Titles in the Land Office at Mombasa, swears that since 1921 there have been no further transactions registered against the title in the books and documents he oversees.

This land became rateable in 1962. Alarakhia Yakub, of the Mombasa Municipal Council, said that about Shs. 2,718/25 were now due on it. Claims had been sent to the respondents at their last known address which was Box 8697 in Nairobi. The claims had not been returned. The claims had not been paid. The Municipal Council had not sued for them.

Finally, there was the testimony of Hashamali Alibhai Adamji, the Mombasa Municipal Council's survey draughtsman since 1956. He went to the plot this year and there the applicant showed him the boundaries of the land which he had settled on for the past twenty years and more. Adamji surveyed the boundaries with a theodolite. He found all the beacons there. They are iron pins in cement blocks. He found a municipal drain there too on the southern boundary. The eastern boundary is the road from Mombasa to Malindi. He found some rice, bananas and cultivation. He was shown the house of the applicant. He had no doubt the house and the cultivation were on the same plot. He then retired to his office and produced a site plan and plot plan. These tie up with the one attached to the certificate on map 13536 made forty-nine years ago.

I am satisfied on the evidence led so far that the applicant has shown, on the balance of probabilities, that the land he has been on for over twenty years without being challenged or disturbed is the same that is registered as belonging to the partnership of the respondents as tenants in common.

The material portions of s. 38 (1) of the Limitation of Actions Act 1968 reads as follows:

> "38. (1) Where a person claims to have become entitled by adverse possession of land to land registered under any of the Acts cited in section 37 of this Act, or land comprised in a lease registered under any of those Acts, he may apply to the High Court for an order that he be registered as the proprietor of the land or lease in place of the person then registered as proprietor of the land.
>
> (2) An order made under subsection (1) of this section shall on registration take effect subject to any entry on the register which has not been extinguished under this Act.
>
> (3) . . .
>
> (4) The proprietor, the applicant and any other person interested may

apply to the High Court for the determination of any question arising under this section.

(5) The Minister for the time being responsible for land may make rules for facilitating the registration of titles to land or easements required under this Act."

No rules have been made for this purpose under this Act. The ones made under the Registered Land Act (Cap. 300) have not been applied to the area north of Mombasa Island.

The next question is by what method should the applicant proceed when applying under s. 38 of the Limitation of Actions Act 1968 to the High Court for the determination of any question arising under this section?

I think he must go back to the Civil Procedure Act. There in s. 2, among other things, is the definition of a suit as:

". . . all civil proceedings commenced in any manner prescribed . . ."

and prescribed means prescribed by the Civil Procedure (Revised) Rules 1948. Furthermore, by s. 89:

"The procedure provided in this Act in regard to suits shall be followed as far as it may be applicable in all proceedings in any court of civil jurisdiction."

There is no express provision for this sort of application under the rules so this must be brought by motion and heard in open court under O. 50, r. 1.

The motion itself is not an interlocutory one. It has originated the proceedings in question and therefore it is rightly termed an originating action – *St. Benoist Plantations Ltd. v. Jean Emile Adrien Felix* (1954), 21 E.A.C.A. 105.

Here we do not know how the respondents ceased to be in possession of their land. We must look to the date when the applicant took possession of it for no right of action to recover land accrues unless the land is in the possession of some person in whose favour the period of limitation can run, according to ss. 13 and 37 of the Limitation Act. If we put the date of the applicant's possession as beginning on 31 July 1949 then the period of limitation begins to run from 1 August 1949 for on that date the true owners ceased to be in possession of that land.

The respondents' right to their land is extinguished under ss. 7 and 17 of the Limitation of Actions Act after the applicant has proved on the balance of probabilities a discontinuance of possession for the period enacted in the statute, which is twelve years, provided there is an absence of fraud. This will be so though the respondents may not know that adverse possession has been taken – *Rains v. Buxton* (1880), 14 Ch. D. 537.

I find on the evidence before me that the applicant has proved on the balance of probabilities that he has had "exclusive, uninterrupted possession" of this land for over twenty years and that under the Limitation of Actions Act he has now acquired a title to it as against its registered owners, the respondents.

I direct the registrar to enter in his register this substitution to give effect to the order of this court under s. 64 of the Registration of Titles Act (Cap. 281).

There will in the circumstances be no order as to the costs of this application.

Order accordingly.

For the applicant:
AYA Jiwaji

The respondents did not appear:

Mbande v Republic
[1971] 1 EA 553 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	23 December 1970
Case Number:	591/1970 (159/71)
Before:	Trevelyan J
Sourced by:	LawAfrica

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[1] Criminal Law – Forgery – Details inserted without authority or in excess of authority – Documents false.

Editor's Summary

From the trial record it appears the material facts were:

The accused was employed by East African Posts and Telecommunication and, *inter alia*, was entrusted with the issue of foreign money orders. Lists from overseas were received by the accused giving details of the names of the payees and of the remitters and the amount of money. He prepared a top and two copies of each money order (called an "E.A. Inland Money Order") with its counterfoil by filling in details of the payee, the remitter and the amount to be paid. The top copy of the money order was sent to the payee who would present it for payment to the paying officer indicated in the money order.

The accused enlisted the assistance of two men, Manikone and Luka and two others through Luka named Mbeyua and Jairus to receive the monies as payees of the money orders.

The story told by the accused to Manikone and Luka was that he was conducting property deals in Kenya on behalf of remitters overseas and in view of his appointment he was not allowed to trade and so required Manikone and Luka to act as intermediaries to receive and then return the monies to the accused.

The accused required further friends of Manikone and Luka also to be used for this purpose. Hence the introduction of Mbeyua and Jairus in respect of whom the accused prepared certain of the money orders.

The accused passed on the names of the remitters of his agents to give cover to the apparent bona fides of the payees.

The trial court believed the evidence of the four persons Manikone, Luka, Mbeyua and Jairus accepted that they had acted honestly and were not accomplices, and convicted the accused of forging thirteen money orders – it being proved that none of the payees was named as such on the overseas remitters' list.

The accused was also convicted of three charges of receiving money by false pretences by means of the issue of some of these money orders.

The accused benefited to the extent of at least Shs. 10,000/ – He was sentenced to three years' imprisonment.

On appeal: The main issue was whether these money orders were forgeries, that is to say whether

they were false documents made with intent to defraud or deceive. The definition of a false document under s. 347 of the Penal Code was considered.

Held –

(i) The money orders were forgeries in that the details contained therein were inserted without or in excess of authority;

(ii) the accused had only a limited authority which he exceeded. The money orders told lies about themselves in a material particular, that is that they were valid orders issued by authority and on behalf of the Post Office which they were not.

Appeal against conviction was dismissed but the sentence was reduced to 18 months' imprisonment in respect of each count.

Cases referred to judgment

(1) *R. v. Hart* (1837), 7 Car. & P. 652; 173 E.R. 285.

(2) *R. v. Banbury* (1834), 1 A. & E. 136; 110 E.R. 1159.

(3) *R. v. Bateman* (1845), 1 Cox 186.

(4) *R. v. Wilson* (1847), 1 Den. 284; 169 E.R. 247.

(5) *R. v. Richardson* (1860), 2 F. & F. 343; 175 E.R. 1088.

(6) *Ex. p. Windsor* (1865), 10 Cox 118.

Judgment

Trevelyan J: The appellant's work for the Post Office authorities required him to prepare and to issue foreign money orders and the case put against him, and so found by the trail magistrate, was that wrongly to enrich himself he made out, or completed, a number of money order forms which innocent agents encashed for him. He could properly have been charged with a variety of crimes to one of which, that provided for by s. 360 of the Penal Code, he appeared to have had no possible defence, but the prosecution chose to put him up on charges of forgery contra s. 349, and obtaining money by false pretences contra s. 313, of the Code. In this appeal it is urged that even upon the foregoing finding forgery was not committed so that, forgery being at the core of the obtaining charges, none of the convictions can be supported. I need say no more about the facts than this, that the appellant had possession of forms of money orders which were partly prepared in that they contained some printed words on them and that when he received a requisition for an order he completed the details on one of these forms in accordance therewith and signed it. It then became a valid order for payment of the amount shown. So far as the instant appeal is concerned there were no requisitions, or the requisitionists were fictitious.

In the language of s. 345 of the Code:

> "Forgery is the making of a false document with intent to defraud or deceive."

and s. 347 provides:

> "Any person makes a false document who–
>
> (*a*) makes a document purporting to be what in fact it is not; or
>
> (*b*) alters a document without authority in such a manner that if the alteration had been authorised it would have altered the effect of the document; or
>
> (*c*) introduces into a document without authority whilst it is being drawn up matter which if it had been authorised it would have altered the effect of the document; or
>
> (*d*) signs a document–
>
> (i) in the name of any person without his authority, whether such name is or is not the same as that of the person signing; or
>
> (ii) in the name of any fictitious person alleged to exist, whether the fictitious person is or is not alleged to be the same name as the person signing; or
>
> (iii) in the name represented as being the name of a different person from that of the person signing it and intended to be mistaken for the name of that person; or

> (iv) in the name of a person personated by the person signing the document provided that the effect of the document depends upon the identity between the person signing the document and the person whom he professes to be."

I shall refer to the foregoing paragraphs as paras. (*a*), (*b*), (*c*) or (*d*) as the case may require.

When the hearing of the appeal opened counsel for the appellant urged that the documents which were prepared could not in law be said to be false and counsel for the respondent conceded that they could not come within paras. (*a*), (*b*) or (*d*). I was not prepared, without argument, to accept that – at any rate in respect of para. (*a*) – and asked that the matter be argued. Counsel for the respondent later had second thoughts about it.

The appellant argued the point in this way. So far as para. (*a*) is concerned the documents prepared not only did not purport to be what they were not but purported to be exactly what they in fact were, i.e. money orders. As for paras. (*b*) and (*d*) they could not on the facts apply and para. (*c*) was not applicable because the words "without authority" must mean "without the authority of the person on whose behalf a document purports to be made" and that person was the appellant himself. Furthermore, whether or not all that commended itself to the court, so long as it could be said that para. (*a*) did not apply, para. (*c*) could not be against the appellant because no part of s. 347 extends the common law.

In relation to para. (*a*) the argument was founded on para. 387 of the sixteenth edition of Kenny's Outlines of Criminal Law which I now reproduce:

> "A writing is not a forgery when it merely contains statements which are false, but only when it falsely purports to be itself that which it is not. Thus in *Re Windsor* it was declared: 'Forgery is the false making of an instrument purporting to be that which it is not, it is not the making of an instrument which purports to be what it really is, but which contains false statements. Telling a lie does not become a forgery because it is reduced into writing.' The simplest and the most effective phrase by which to express this rule is to state that for the purposes of the law of forgery the writing *must tell a lie about itself*. Hence a conveyance which contains false recitals or state incorrectly the price paid is not thereby 'false'. And a letter or telegram sent to a newspaper containing false news is not a forged document; although it would be if it were sent falsely in the name of one (e.g. the official reporter) who did not send it or authorise the sending of it, for in such a case it would purport to be *his* message, which it is not. So also if a cashier or foreman makes out a pay sheet so as to receive a greater amount of money from his employer than he has to disburse to subordinate members of the staff, this is no forgery, for although it tells lies about the men, it does not tell a lie about itself, since it *is* the pay sheet which that man has prepared and rendered."

Upon the basis of the foregoing, said counsel for the appellant, as the documents in this appeal purported to be what they were, i.e. money orders, they told no lies about themselves. They were simply authorities to named payees to receive so much from the Post Office at the instance of whosoever requisitioned them, it being of no consequence that these names were fictitious. For his part, counsel for the respondent having as I said changed his mind about para. (*a*), considered that forgery was committed within it. He put it this way, that the appellant was the agent of the Post Office authorities and, as such agent, but only as such agent, could be validly make money orders out. In other words he could only validly make them out on behalf of the Post Office

authorities and any that he otherwise made out were not, and could not be, what they purported to be for they lacked due authority.

That forgery within s. 345 was committed I do not doubt. The fallacy in the appellant's argument if I may so put it, is in the matter of the lack of authority. I am quite satisfied, as will appear, that in Kenya unless a document tells a lie about itself there can be no forgery but I apprehend a document to be false if it is made out by a person without, or in excess of, authority. Accordingly if a man fill up an incompleted document in a way which is unauthorised that document purports in its completed form to have been made by or with the required authority and so it purports to be what it is not. If the authority extends to £200 and £500 is inserted in a document it is by that insertion that the person inserting it makes the document appear to be what it is not. This is supported by the four cases which follow.

In *R. v. Hart* (1837), 7 Car. & P. 652, at pp. 663 and 664; 173 E.R. 285, at p. 290, a case being reserved for the opinion of all the judges, Williams, J. on behalf of Lord Denman, C.J., Tindal, C.J., Lord Abinger, C.B., eight other judges and himself gave judgment in these terms:

> ". . . you were convicted upon an indictment charging that you forged . . . a bill of exchange for £500 with intent to defraud . . . The case was argued before the Judges by your learned counsel . . . The main topic he urged was in substance this, that as you might have drawn a bill for £200, which would have been an innocent act, the exceeding of your authority was at most a fraud only, and not a forgery. It was found by the jury that your authority was limited to £200, only; and that being so, the Judges are unanimously of opinion that your drawing the present bill for an amount beyond £200 was a false making, and a forgery. All the judges not prevented by sickness heard the argument of your case, and they entertain no doubt that the verdict pronounced against you was right . . .".

In *R. v. Bateman* (1845), 1 Cox 186, at p. 187 Erle, J., in his judgment laid down:

> "But as some doubt appears to exist as to the law in cases of this sort, it is my duty to state, that I look upon the principle as laid down by the prosecution to be perfectly correct. If a cheque is given to a person with a certain authority, the agent is confined strictly within the limits of that authority, and if he choose to alter it, the crime of forgery is committed. If the blank cheque was delivered to him with a limited authority to complete it, and he filled it up with an amount different from the one he was directed to insert; and if, after the authority was at an end, he filled it up with any amount whatever, that too would be clearly forgery."

In *R. v. Wilson* (1847), 1 Den. 284, at p. 285; 169 E.R. 247 we find:

> "It was further objected, that as the signature to the cheque was the genuine signature of Mr. McNicoll, and as the prisoner was entrusted to fill it up for a specified sum, the filling it up for a different sum, though it was a breach of trust, could not be considered a forgery. The learned Judge held on the authority of case of *The Queen v. Hart*, 1 Moody's C.C. 486 and The *Queen v. Bateman*, Cox's Criminal Cases, 186 it was a forgery . . . On the 22nd January, this case was considered by all the Judges, except Rolfe, B., and V. Williams, J., who were absent (Parke, B.) Coltman, J. said, he had felt some doubt whether the question of the reality of the prisoner's claim to the alleged amount of salary ought not to have been left to the jury. But he and all the Judges agreed, that whether he had a claim or not, there was no shadow of authority thereby given to draw a

> cheque for a larger sum than his master has expressly authorised; and the drawing a cheque to a larger amount fraudulently, was forgery on the authority of *R. v. Hart*, 1 Moody's C.C. 486; and they held the variance immaterial as the word remained the same."

And in *R. v. Richardson* (1860), 2 F. & F. 343, at p. 344; 175 E.R. 1088, at p. 1089 we find:

> "It was for forging this cheque that the prisoner was now indicted; whereupon Power for the prisoner, objected that this was no forgery, as the prisoner had authority to draw cheques. Williams, J. – The cases come to the brink of this. In *R. v. Mintex Hart* (7 C. & P. 652), the prisoner had authority to fill up the bill to a certain amount, but having filled it up to a larger amount, was held guilty of forgery.
>
> Power – But in this case there is a general authority to draw, limited only by the amount of the balance at the bank.
>
> Williams, J. – That is the difference. There was, no doubt, in this case a discretion vested in the prisoner to draw cheques, and so create a balance in his hands to meet demands made upon the firm. The prisoner therefore, did not necessarily exceed his authority in drawing for this amount, and the criminal act was rather the subsequent appropriation of it."

There is, I believe, no doubt that external facts are relevant to the question of falsity. The editor of the twelfth edition of Russell on Crime, at p. 1228 says:

> "The cases of *R. v. Dunn* and *R. v. Martin* also illustrate the point that in assessing the falsity of a writing it is necessary to know such external matters as establish the purpose for which the writing is ostensibly made. A mere reading of the writing may not be enough . . ."

In the instant appeal the appellant had authority to make out money orders but it was a limited authority and that limited authority he exceeded. When he prepared the orders on the basis of fictitious requisitions they were false in that they told lies about themselves in a material particular that is that they were valid orders issued by authority and on behalf of the Post Office department when they were not. It seems to me that they must attract the attention of s. 347. But which paragraph or paragraphs?

Section 1 of the Forgery Act 1913 begins as follows:

> "(1) For the purposes of this Act, forgery is the making of a false document in order that it may be used as genuine . . . and forgery with intent to defraud or deceive, as the case may be is punishable as in this Act provided."

and sub-s. (2) gives general and particular instances of a false document, e.g.:

> "If any material alteration whether by addition, insertion, obliteration, erasure, removal, or otherwise, has been made therein;"

In relation to this section the editor of Russell comments:

> "It has long been regarded as one of the basic canons of interpretation that a statute must be interpreted to conform with the common law except where and in so far as words of the statute show plainly that it is intended to alter the course of the common law, or cannot in their plain meaning be otherwise construed. Accordingly it is not surprising that, having regard to the history of the common law development outlined above, the words in section 1 'making of a false document in order that it may be used

> as genuine' were read as harmonising with the accepted common law doctrine that the essential element of falsity exists in the document purporting to be that which it is not, and is not satisfied merely by the fact that the document contains some untrue statement or statements of fact.
>
> Secondly a perusal of subsection (2) will reveal that it enshrines a series of decisions in the reported cases, thus, in effect, putting into statutory form the conclusions reached by the judges and legal commentators . . . But there is nothing in its words to limit the crime to those situations; it is illustrative and not restrictive."

Upon the basis of that commentary both counsel say that so too is the relationship of the four paragraphs, i.e. that para. (*a*) reproduces the common law and paras. (*b*), (*c*) and (*d*) are illustrative of it.

But the rule of construction is "to intend the legislature to have meant what they have actually expressed": *R. v. Banbury* (1834), 1 A. & E. 136 at p. 142 and we have the word "or" appearing between each paragraph and sub-paragraph seemingly catering for different situations, so that if it does so, counsel's contention cannot be accepted. But I do not think it does. I have traced the origin of ss. 345 and 347 to the Bill for the Penal Code of 1930; it is in volume 31 of the Official *Gazette* for July-December 1929. Against each of them under the heading "Corresponding section of other law" we see the word "New" as opposed to so many other provisions shown as being derived from the Nigerian Code or to a lesser extent from India. It is not much, perhaps, to go on but when one considers the wording of the sections with the foregoing in mind I think one can say that they undoubtedly derive from the common law which they in no way seek to extend. It would need much more robust language to lead me to a different conclusion. I think I can support my view and shall now endeavour to do so.

Forgery at common law has been variously defined. Blackstone's description that it is the fraudulent making or alteration of a writing, to the prejudice of another man's right: 4 Com. 247, is too imprecise to be of any practical value to-day but I mention it because of the expression "making or alteration" which it contains. East said (2 E.A. P.C. 852) that forgery:

> "denotes a false making, which includes every alteration or addition to a true instrument, – a making *malo animo* of any written instrument for the purpose of fraud and deceit."

and at p. 855 he comments:

> "making a fraudulent insertion, alteration, or erasure in any material part of a true instrument, although but in a letter, and even if it be afterwards executed by another person, he not knowing of the deceit, or the fraudulent application of a true signature to a false instrument for which it was not intended, or *vice versa* are as much forgeries as if the whole instrument had been fabricated."

Then there is the definition by Blackburn, J. in *Ex p. Windsor* (1865), 10 Cox 118 at p. 123 which appears in the quotation from Kenny I have set out and the judgment in *R. v. Hart*, which I have also set out earlier in this judgment.

Moreover, in the Bill the present s. 347 (then numbered 297) was carried into the Code without amendment (as s. 319) and nowhere between the paragraphs or between the subparagraphs will you find the word "or". So far as my researches go it intruded itself in its multiplied form for the first time in 1962 (Cap. 63).

What I think must have happened is this. When the Bill was being prepared

the draftsman decided to reproduce the common law. He consulted the Act of 1913 for that does so, and resolved to "streamline" it. And he followed the form of the Act by setting out instances of when a false document is made. In 1962 the intrusive "or" was inserted by way of a tidying up. There is, of course, a considerable difference between a statute laying down different ways in which an offence can be committed for each is separate from the others and setting out instances, for then there can be some overlapping. What is the case here? I think para. (*a*) may be the genus of which paras. (*b*), (*c*) and (*d*) are species of the common law offence. I will once again quote from the *Hart* case:

> "your drawing the present bill for an amount beyond £200 was a false making".

But is it the legislature's clear meaning that each paragraph is separate and distinct from each of the others? I do not think so. I appreciate that East says that the making of a false insertion, alteration, or erasure etc. "are just as much forgeries as if the whole instrument had been fabricated" but each is a "making". I have no desire to do violence to the language of the Statute and I shall not do so. It may be that when the draftsman was preparing para. (*a*) he had in mind the fabrication of an entire instrument and there is some justification for believing this to be so if one says that para. (*b*) was meant to deal with a document already written out, para. (*c*) was intended to govern a situation where a document is being prepared under someone's authority and the maker inserts unauthorised matter in it, whilst para. (*d*) covered various cases of signing. But para. (*a*) speaks of the making of a document which purports to be what in fact it is not, and must be interpreted accordingly. That being so, on the facts of this appeal though the money order forms were in part already prepared, the appellant not only inserted unauthorised matter in them but made documents purporting to be what in fact they were not and so committed forgery within both paras. (*a*) and (*c*). In relation to the latter paragraph, however, counsel for the appellant urged that the words "without authority" mean "without of the authority of the person on whose behalf the document purports to be made" and that the expression "would have altered the effect of the document" means "would have altered the purport or drift or tenor of the document" while counsel for the respondent disdained to consider the possibility of the paragraph standing alone and said nothing about it. The words "without authority" very likely meant what is suggested but it does not help the appellant in this case: As for the meaning of altering the effect of the document, I do not accept the suggestion that the whole character of the document must be altered before it can attract the attention of the paragraph and I prefer to believe that the word "effect", if it needs a synonym, could do no better than to choose "gist".

I now turn to the other grounds of appeal which I think can be dealt with quite shortly. First it is suggested that those, at any rate some of those, who encashed the money orders for the appellant should have been considered to be accomplices. But when I asked how they could have been so in respect of the forgery charges counsel for the appellant said that he recognised the difficulty facing him but the matter could be of some importance to the question of the intention to defraud. As to the obtaining charges he said that he would not argue the point as it would be academic to do so in view of the sentences awarded thereon. I do not see how the men can be said to be accomplices in respect of the forgery counts. In any event the magistrate considered them not to be accomplices in respect of any of the charges and it cannot be said that he was wrong so to find. Secondly it was suggested by the appellant (and supported by counsel for the respondent) that the magistrate misdirected himself when, in dealing with the witnesses to whom I have referred he said "I also accept,

since they have no apparent reason to tell wilful lies" the evidence of the alleged accomplices for this suggested that there was a doubt in his mind and he put the onus on the defendant of disproving it. If it can be said to be a misdirection it certainly led the magistrate to no wrong conclusion.

The appeal against conviction is dismissed.

In regard to sentence, all the counts carried the same maximum award and no case was made out to award three years' imprisonment for the forgery charges and one year's imprisonment on those for obtaining. The same award should have been made on all counts. Counsel for the appellant has pointed out that the sentences on the forgery counts are the maximum awardable and that the appellant is a first offender whilst counsel for the respondent thought the appellant not to be "a hardened criminal" so that the sentences were "a bit excessive". The appeal against sentence succeeds to this extent that I reduce the awards of three years to 18 months' imprisonment on each of the counts on which they were ordered.

Appeal dismissed.

For the appellant:
R Shah (instructed by *AR Kapila & Co*, Nairobi)

For the respondent:
JA Otumba (State Counsel)

Income Tax v T Ltd (No 1)
[1971] 1 EA 560 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	9 January 1970
Case Number:	40/1969 (71/71)
Before:	Trevelyan J
Sourced by:	LawAfrica

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[1] Income Tax – Appeal – Non-compliance with Income Tax (*Appeal to the Kenya High Court*) *Rules* 1959 *– Grounds of appeal not stated in memorandum – Striking out – Power to allow amendment.*

[2] Civil Practice and Procedure – Inherent jurisdiction – Amendment – Memorandum of appeal may be amended in exercise of inherent jurisdiction.

Editor's Summary

The appellant filed a memorandum of appeal which merely stated that the decision of the local committee was erroneous. The respondent contended that the appeal was incompetent as it was in breach of the Income Tax (Appeal to the Kenya High Court) Rules 1959, r. 4, in not setting out the grounds of appeal. The respondent contended that he did not have to set out his grounds.

Held –

(i) grounds of appeal must be given by the Commissioner;

(ii) failure to give grounds is not a serious abuse of the process of the court which would entitle the court to strike out the appeal;

(iii) there is no specific provision allowing the amendment of a memorandum of appeal;

(iv) in the exercise of its inherent jurisdiction the court would allow the Commissioner to amend his memorandum of appeal.

Order accordingly.

Cases referred to judgment

(1) *Bhogal v. Karsan* (1953), 20 E.A.C.A. 17.

(2) *Sansom v. Sansom*, [1956] 3 All E.R. 446.

(3) *Taylor v. John Summers & Sons Ltd*., [1957] 3 All E.R. 541.

(4) *Vincenzini v. Regional Commissioner of Income Tax*, [1963] E.A. 162.

(5) *Lakhamshi v. Raja & Sons*, [1966] E.A. 178.

Judgment

Trevelyan J: The respondent takes the preliminary point that this appeal is incompetent because the memorandum of appeal "is in clear breach of the mandatory requirements" of r. 4 of the Income Tax (Appeal to the Kenya High Court) Rules 1959 (which I shall be referring to as "the Rules"). Its counsel tells me that he knows of no decision indicating the course of action the court should take if there has been "a failure of the appellant to plead grounds of appeal" but upon one point does he say that he is certain, that is there being statutory provisions applicable to income tax appeals the court's inherent powers are not for exercising. He did not say whether he was asking for the appeal to be dismissed or struck out. However, in *Vincenzini v. Regional Commissioner of Income Tax*, [1963] E.A. 162, the Privy Council drew a distinction between dismissing and striking out an appeal and pointed out that the rules provide for dismissal in only two cases, i.e. upon the grounds specified in rr. 11 and 12 (neither of which applied in the case of the instant appeal) and that there are no specific provisions as to striking out. They nonetheless held that there may be circumstances where the court would be entitled in virtue of its inherent powers to strike out an appeal, but this would only be so where there had been some serious abuse of the process of the court. There has been none such here.

Rule 4 of the Rules reads as follows:

> "The memorandum of appeal shall contain an address for service, shall be signed by the appellant or his advocate and shall set forth concisely under distinct heads the grounds of appeal without any argument or narrative; and such grounds shall be numbered consecutively."

The memorandum of appeal contains two points of appeal, to use a neutral expression, namely:

> "(*a*) that the decision was erroneous in law; and
>
> (*b*) that the local committee ought to have confirmed the said assessment."

These, says respondent's counsel, are not "grounds" at all for (*a*) is but a statement or general averment and (*b*) is simply a consequence. He goes on, however, to say that if they are grounds then nevertheless they lack particularity and are thus insufficient for their purpose.

For his part counsel for the appellant seeks to draw a distinction between appeals generally and those in income tax cases and the further distinction between appeals in the latter cases by a taxpayer and those by the Commissioner on the basis that the former's right is provided by sub-s. (2) and the latter's is given by sub-s. (4) of s. 117 of the East African Income Tax (Management) Act 1958 (which I shall call the Act). But at any rate for the purpose of the issue before us such distinctions (if they exist) are of no consequence. He also points out that Local Committees never do more than say "Appeal upheld" or "Appeal dismissed" so that a memorandum of appeal cannot contain more than is contained in the one now before the court. But with that I am unable to agree. First a taxpayer had the same decision to appeal and secondly four

files of appeals by the Commissioner taken at random from the archives show that full grounds of appeal can be and have been given in the memorandum of each of them.

The matter of the rules generally was discussed in the *Vincenzini* case. [The judge set out rr. 3, 4, 6, 10 and 15 and continued.] Rules 3, 4, 10 and 15 do not in my view support the respondent's contention, to be inferred from counsel's argument, that he may in an appeal roam freely over the entire range of income tax legislation. Rule 4 provides for the character and contents of the memorandum and rr. 10 and 15 indicate that subject to the leave of the court an appellant must keep within his grounds of appeal.

In *Sansom v. Sansom*, [1956] 3 All E.R. 446 in relation to r. 3 (2) of O. 58 of the Rules of the Supreme Court, which reads:

> "Notice of appeal may be given either in respect of the whole or in respect of any specific part of the judgment or order of the Court below; and every such notice shall specify the grounds of appeal and the precise forms of the order which the appellant proposes to ask the Court of Appeal."

Denning, L.J. said:

> "The grounds of appeal were intended to be shortly and simply stated but not to be set out in detail or at great length. The broad issues to be raised should be stated and not the detailed reasons in support of them."

With respect, I entirely agree with that. Jenkins, L.J., also adopted the statement in *Taylor v. John Summers & Sons Ltd*., [1957] 3 All E.R. 541. I quote the following from his judgment:

> "In the present case the grounds of appeal are thus stated: (1) That the learned judge misdirected himself in law and on the facts . . . (5) That the plaintiff was in the premises aforesaid entitled to recover damages against the defendants . . . He has referred us to *Pfeiffer v. Midland Ry. Co*. (1886), 18 Q.B.D. 243 where it was held that: 'A notice of motion for a new trial on the ground of misdirection should state how and in what matter the judge misdirected the jury' and it appears from the judgment of Huddleston, B., that the only objection stated in the original notice of motion was misdirection. One can appreciate that a general allegation of misdirection, without saying in what respect the judge misdirected the jury, might well be held (as it was in that case) to be insufficient. Similarly, in *Murfett v. Smith* (1887), 12 P.D. 116 there . . . again those general allegations of misdirection, and that the verdict was against the weight of evidence, were considered an insufficient statement of the grounds for the motion. From those authorities it seems to me reasonably plain (if authority were needed) that if the only ground alleged in the notice of appeal in this case had been the first – namely, that the learned judge misdirected himself in law and on the facts – that, standing alone, would not have been a sufficient notice of the grounds of appeal. However, it does not stand alone. It is followed up by grounds 2, 3, 4 and 5; and I am satisfied that those grounds each state with sufficient particularity the point which it is intended to raise . . . and ground 5 'That the plaintiff was in the premises aforesaid entitled to recover damages' is consequential. It seems to me therefore that grounds 2 to 5 are each stated with sufficient particularity . . . On an application of this sort one must have some regard to the intention of the rule . . . It seems to me that the grounds of appeal here stated are plainly sufficient, with one reservation, I have some doubt as regards the first ground; and if that had been the sole ground of appeal I think there would have been some substance in the application."

In the instant appeal ground (*a*) is somewhat like ground 1 and ground (*b*), though it does not refer to "the premises aforesaid", is in line with ground 5 aforesaid. But we have no other grounds in the memorandum. There is, however, attached to the memorandum (as the law requires) the appellant's statement of facts, paragraph 6 of which reads:

> "The appellant submits that the loss of Shs. 94,890/20 is not a bad debt";

and whilst I do not think it can be said to be a statement of fact, it does indicate what is in issue in the appeal. Indeed were it not for the fact that this appeal, scheduled to last two days, was only able to be called on for hearing at 2.15 p.m. on the last day of term, counsel for the respondent was ready to argue it on its merits upon the preliminary point failing. Be that as it may though with respect I experience some difficulty in seeing how ground 5 is a ground it was so held to be and indeed to be one plainly sufficient as such. Ground 1 was of course thought not to be sufficient. So too then, here, ground (*b*) is sufficient but not ground (*a*).

Counsel for the appellant drew attention to *Bhogal v. Karsan* (1953), 20 E.A.C.A. 17 at p. 18 where it says:

> "It is a well settled law that a right of appeal can only be founded on a statute and that any party who seeks to avail himself of the right must strictly comply with the conditions prescribed in the statute."

But there are other dicta of the Court of Appeal such as the following in *Lakhamshi v. Raja & Sons*, [1966] E.A. 178 by Spry, J.A., at p. 183:

> "I would make no order for costs of the motion because although it failed, the appellant company was at fault in that the memorandum of appeal was not in compliance with the rules."

The habendum of the headnote in the *Vincenzini* case reads:

> "(i) a continued refusal by the appellant to comply with the directions of the Income Tax (Appeal to Kenya Supreme Court) Rules 1959 could well amount to such an abuse of its process that the Supreme Court would be entitled by virtue of its inherent powers to strike out the appeal.
>
> (ii) The appellant's failure to comply originally with rule 5 in not lodging the notice of appeal and the statement of facts with the memorandum of appeal fell far short of such an abuse of the process of the court, particularly since the default had been remedied subsequently, and since also the respondent could not ever have been in serious doubt as to the appellant's case and could not have been embarrassed by any failure to serve a copy of the notice of appeal.
>
> (iii) On the facts of the case the Supreme Court had no authority to strike (*sic*) the appellant's appeal either under rule 18 (1) or otherwise, and accordingly the Supreme Court was justified in dismissing the respondent's application to strike out the appeal."

I am not prepared to strike out the appeal. Whilst ground (*a*) taken alone is not good enough to its purpose it is clear enough if read with para. 6 of the statement of facts. The only proper course in my view is to allow the memorandum to be amended. Rule 21 of the Rules does not provide the right to amend nor is there anything about amending a memorandum in the Civil Procedure (Revised) Rules (unless I have overlooked it). We do not have specific authority such as the *Pfeiffer* and *Murfett* cases show to exist in England. To my mind the exercise of the court's inherent powers will in no way trespass on statutory preserves and it should be done here.

I am therefore prepared to allow the application made by counsel for the appellant to amend his memorandum. But the form of the amendment should be before the court before it makes the appropriate order. If then the parties can agree as to its form an amended memorandum may be filed within ten days of such agreement. If such agreement is not possible or likely to be possible then either side may have the matter re-listed. Costs are reserved.

Order accordingly.

For the appellant:
JM Khaminwa (Principal Assistant Counsel to the Community)

For the respondent:
MH Da Gama Rose (instructed by *Shapley Barrett Marsh & Co*, Nairobi)

Abdul and another v Home & Overseas Insce Co Ltd
[1971] 1 EA 564 (CAN)

Division:	Court of Appeal at Nairobi
Date of judgment:	10 November 1971
Case Number:	9/1971 (164/71)
Before:	Law Ag V-P, Lutta and Mustafa JJA
Sourced by:	LawAfrica

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[1] Civil Practice and Procedure – Want of prosecution – Dismissal of action – Court has inherent power to order – Civil Procedure (*Revised*) *Rules* 1948, *O.* 6, *rr.* 5 *and* 6, *O.* 9, *r.* 16 – *Civil Procedure Act, s.* 97 (*K.*).

[2] Civil Practice and Procedure – Inherent jurisdiction – Dismissal of suit for want of prosecution – Court has power to order – Civil Procedure Act, s. 97 (*K.*).

[3] Estoppel – Judgment by – May arise from interlocutory order where question adjudicated.

Judgment

In January 1962 the plaintiffs filed action against the defendant claiming damages for earthquake damage to a building allegedly sustained in 1960. The case was fixed for hearing but was taken out of the list in August 1962. The second plaintiff died in November 1965. His administratrix obtained letters of administration in November 1968 but did not apply to be substituted for the deceased until July 1970. No step was taken to set the case down for hearing for a further two months and the respondent applied for the action to be dismissed for want of prosecution alleging that a fair trial could not be had after so long a time as one witness was dead and three had left the country and their whereabouts were unknown.

The judge dismissed the action and the appellants appealed, contending that there was no power to dismiss a case when none of the periods of delay fell within the specific provisions of the Rules, and that the question of delay had been considered on the application to substitute the second appellant

and was therefore res judicata and the judge could not dismiss the case on the ground of delay.

Held –

(i) the delays were not satisfactorily accounted for;

(ii) the fact that the periods did not fall within any of the specific periods provided by the rules did not prevent the court from exercising its inherent jurisdiction to dismiss the case;

(iii) the general delay in the action could not have been raised on the application for substitution of a plaintiff and was not adjudicated upon.

Appeal dismissed.

Cases referred to judgment

(1) *De Souza v. Parekh* (1944), 11 E.A.C.A. 39.

(2) *Allen v. MacAlpine & Sons Ltd.*, [1968] 2 Q.B. 229.

(3) *Mukisa Biscuit Co. v. West End Distributors*, [1969] E.A. 696.

(4) *Adonia v. Mutekanga*, [1970] E.A. 429.

(5) *Ryan Investments v. U.S.A.*, [1970] E.A. 675.

10 November 1971. The following considered judgments were read.

Judgment

Law Ag V-P: This appeal arises out of a suit filed on 17 January 1962, in which two plaintiffs claimed damages from the respondent, an insurance company, for damage allegedly sustained to the structure of a building, the joint property of the plaintiffs, as the result of an earthquake in Nairobi on the night of 12/13 December 1960. The suit proceeded in the normal way until 9 August 1962, when a hearing date was fixed. Nine days later it was taken out of the hearing list by consent. It has still not been heard. On 19 January 1971, the suit was dismissed for want of prosecution, on the application of the respondent and it is against this order of dismissal that this appeal is directed. The judge's reason for dismissing the suit was that there had been undue delay in the prosecution of the suit, and, I quote, that he was:

> ". . . entirely satisfied that there will be prejudice to the defendant if the case proceeds and that it will be impossible to have a fair trial."

The second plaintiff died on 19 November 1965, and his widow, who has now been substituted as second plaintiff in her capacity as the administratrix of the estate of the original second plaintiff, applied through a firm of advocates who are not those involved in this appeal for a grant of letters of administration some time in 1966. For some reason a grant in her favour was not obtained until 4 November 1968, and she did not apply to be substituted until 29 July 1970.

The delays which in my view most require explanation are, firstly, the period between 18 August 1962, when the case was taken out of the list by consent, until 9 June 1965, when it was again listed for hearing, a period of over two years and nine months; and secondly the period between the grant of letters of administration on 4 November 1968, and the listing of the application by the widow to be substituted as second plaintiff in her capacity as administratrix of the estate of the original second plaintiff on 13 July 1970, a period of over eighteen months.

As to the first of these periods, Mr. Khanna for the appellants, the plaintiffs in the suit, submitted that this delay was condoned by the respondent's consent to the suit being taken out of the hearing list. As was said by Sir Charles Newbold, P., in *Mukisa Biscuit Co. v. West End Distributors*, [1969] E.A. 696, at p. 701:

> "The second matter relates to the undoubted delay in the hearing by the High Court of this case. It is the duty of a plaintiff to bring his suit to early trial, and he cannot absolve himself of this primary duty by saying that the defendant consented to the position."

As regards the second period of delay, the dilatoriness of the second appellant in applying to be substituted as a plaintiff is explained by her in her affidavit of 20 November 1970. She stated therein that her then advocate had been requested by her present advocates–

> ". . . to notify them of such grant as soon as it was obtained but somehow they overlooked doing so."

She did not say when she or they were in fact notified. In any event, even if there was default in this respect by the advocates acting for her in the probate proceedings, this cannot avail her. It was for her, or for the first appellant's advocates, to keep themselves informed, but according to the record nothing was done beyond writing a few letters, the last on 6 January 1968, eleven months before the grant was obtained. I do not consider that the vague assertion that the advocates acting in the probate proceedings "somehow overlooked" notifying the second appellant constitutes a satisfactory explanation for the delay in applying for substitution. Mr. Khanna then pointed out that none of these periods of delay fell within the specific provisions of O. 16, rr. 2, 3 and 6, or of O. 9, rr. 13 and 14, of the Civil Procedure (Revised) Rules, containing mandatory or discretionary powers for dismissing suits, and he submitted that the rules of court having the force of statute, it is wrong for a court by an assumption of inherent jurisdiction to side-track or over-rule such provisions. With respect, I think the position is the reverse. As Spry, J.A. (as he then was) remarked in *Adonia v. Mutekanga*, [1970] E.A. 429, at p. 432:

> "The High Court is a court of unlimited jurisdiction, except so far as it is limited by statute, and the fact that a specific procedure is provided by rule cannot operate to restrict the court's jurisdiction."

As I said in *Ryan Investments v. U.S.A.*, [1970] E.A. 675, an application can be made to the High Court invoking the exercise of its inherent powers under s. 97 of the Civil Procedure Act, if no other remedy is available. There is no remedy provided for the dismissal of a suit on the ground of an accumulation of culpable delays, no single one of which would in itself justify dismissal under a specific provision. In such circumstances it is proper to invoke the court's inherent jurisdiction, as was done in this case. I would refer also in this connection to my dictum in the *Mukisa Biscuit Co.* case, at p. 699:

> "I am of the opinion that the provisions of the Civil Procedure Rules for the dismissal of suits for want of prosecution do not purport to be exclusive, and do not fetter the court's inherent jurisdiction to dismiss suits in circumstances not falling directly within those provisions, if it is necessary to do so to prevent injustice or abuse of the process of the court."

See also the dictum of Salmon, L.J., in *Allen v. MacAlpine and Sons Ltd.*, [1968] 2 Q.B. 229:

> "A defendant may apply to have an action dismissed for want of prosecution either (*a*) because of the plaintiff's failure to comply with the Rules of the Supreme Court or (*b*) under the court's inherent jurisdiction."

I consider that the grounds of appeal directed against the judge's exercise of his inherent jurisdiction in dismissing the suit, the subject of this appeal, for want of prosecution, must fail. He was fully entitled to exercise that jurisdiction in this case, and he had not been shown to have erred, or based himself on any wrong principle, in exercising his discretion under such jurisdiction.

This leaves for consideration what I think is the most substantial part of this appeal. The respondent had applied on 4 March 1970 for the suit to be dismissed for want of prosecution. The second appellant, in an affidavit in reply, said that she was advised that as the second plaintiff was dead, and as no legal representative had yet been substituted, the suit could not be proceeded with until a legal representative was made a party, so that the application to dismiss the suit against a dead man was a nullity. The respondent accepted this proposition, withdrew its application and agreed to pay the costs thereby incurred.

On 29 July 1970, the widow's application to be substituted as second plaintiff came on for hearing before Chanan Singh, J., Mr. Desai who then appeared for the respondent is recorded as saying:

> "There has been great delay in proceeding with this application. Letters of administration were granted on 4-10-1968. Defendant's case has been prejudiced. Witnesses who were available may not be available."

to which Mr. Khanna replied:

> "Objection not relevant. I ask for costs."

The judge then ordered as follows:

> "The widow administratrix to be substituted as second plaintiff. I do not see how I can refuse to make this order. Costs in cause."

Now that there was a substitution order in existence, there was nothing to prevent the suit being set down for hearing. No steps were however taken to do so during the next two months, and on 5 October 1970 the respondent again applied, by notice of motion, for the suit to be dismissed for want of prosecution. This application was heard by Simpson, J. on 4 December 1970, and his order dismissing the suit, which is the subject of this appeal, was made on 19 January 1971.

The grounds of appeal against this order fall under two heads. Firstly, Mr. Khanna submitted that, as Chanan Singh, J., had allowed the application for substitution, under O. 23, r. 3, the necessary implication was that the suit should proceed, and that Simpson, J.'s subsequent order dismissing the suit amounted to a reversal of Chanan Singh, J.'s order, and an assumption of a form of appellate jurisdiction which Simpson, J., had no power to assume. The second head under these grounds is that, in making the substitution order, Chanan Singh, J., had considered the question of delay and had held that the delays were not such as to preclude the suit from proceeding to hearing, whereas Simpson, J.'s subsequent order, also based on considerations of delay, was to the effect that the suit must be dismissed. Mr. Khanna's submission was that the question of delay was the subject of res judicata as a result of Chanan Singh, J.'s order, and that Simpson, J., had no jurisdiction in effect to reverse the first order, which was unappealed, on the same ground of delay. Mr. Khanna relied on de *Souza v. Parekh* (1944), 11 E.A.C.A. 39 in this respect. I accept the proposition that res judicata can arise out of a decision on an interlocutory application. The point here is whether the question of delay was in issue in all its aspects before Chanan Singh, J., or if not whether it might have been put in issue before him, in which case the same question could not be ventilated afresh before Simpson, J., as the whole legal rights and obligations of the parties in relation to delay would have been concluded by the earlier decision. I have no doubt that Chanan Singh, J.'s order related only the substitution of a party, and if he considered delay at all it was only in relation to such substitution. It is clear from Mr. Desai's address, which I have already quoted, that he raised the question of delay solely "in proceeding with this application", that is to say the application for substitution. As to whether the general question of delay could and should have been raised on that occasion, so as to justify the making of an order for the dismissal of the suit, it seems to me clear that it could not have been raised. The respondent had already applied to have the suit dismissed for want of prosecution, but had to withdraw the application because it could not be served for want of a second plaintiff. Until the widow was substituted, the question of delay in relation to dismissal of the suit could not have been raised before Chanan Singh, J., Mr. Desai could not have applied informally for such an order immediately after the widow's substitution,

because such an application can only be made by notice of motion, see my observations on this point in the *Mukisa Biscuit* case, at p. 700. This is the course which was properly adopted by the respondent in this case, and when the motion came before Simpson, J., the question of delay in relation to an order for dismissal was raised for the first time and was not res judicata by reason of anything which happened before Chanan Singh, J. Nor was Simpson, J., in any sense sitting on appeal over Chanan Singh, J. The matters dealt with by the two judges were quite separate and distinct, and could not both have been disposed of in the proceedings before Chanan Singh, J.

Mr. Khanna's final submission was that even on the merits the suit should not have been dismissed. On this point, the judge noted that ten years had elapsed since the alleged damage, the subject of the suit, that there had been inordinate delays in the prosecution of the suit, that it would be impossible to have a fair trial of the suit at this late stage, and that to have a trial would be prejudicial to the respondent. In this latter connection, he had found that the principal defence witness was dead, and that three other defence witnesses had left Kenya and their whereabouts were unknown. He said "even if they can be traced which is doubtful they can only be brought to Kenya at considerable inconvenience and expense". I agree with Mr. Humphrey Slade, for the respondent, that the judge was justified in his decision that a fair trial of the suit could not be had today, and that his findings on the question of prejudice are reasonable and not based on erroneous appreciation of evidence or on the application of wrong principles.

It follows that I would dismiss this appeal, with costs to the respondent, and certify for two counsel. As Lutta and Mustafa, JJ.A. agree, it is so ordered.

Lutta JA: I agree.

Mustafa JA: I agree with the judgment of Law, Ag. V.-P., and have nothing to add.

Appeal dismissed.

For the appellants:
DN Khanna (Instructed by *Khanna & Co*, Nairobi)

For the respondent:
HN Slade and *KA Fraser* (instructed by *Hamilton Harrison & Mathews*, Nairobi)

Income Tax v T Ltd (No 2)
[1971] 1 EA 569 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	16 July 1970
Case Number:	40/1969 (92/71)
Before:	Trevelyan J
Sourced by:	LawAfrica

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[1] Income Tax – Expenses – Bad debt – No attempt to recover from guarantors – No bad debt proved.

[2] Income Tax – Capital or income loss – Sale of farm – Capital loss.

Editor's Summary

The respondent lent money on the security of a mortgage over a farm. After having run the farm for a period in order to try and recoup its money the respondent agreed to buy the farm and to discharge its debt on the transfer of the farm to itself or to its nominee. Transfer was taken in the name of a subsidiary company of the respondent, the shares in which were subsequently sold for less than the original debt. On the respondent's appeal the local committee allowed the difference in price as a business loss to the respondent. The appellant appealed to the High Court.

Held –

(i) there was no debt due to the respondent after the date of the agreement for transfer which extinguished the debt;

(ii) it had not been established that any debt was a bad one as no steps had been taken to call in the guarantees for the debt;

(iii) as the respondent had bought a capital asset a subsequent loss on its sale could not be a revenue loss.

Appeal allowed.

Cases referred to judgment

(1) *English Crown Spelter Co. v. Baker*, 5 T.C. 327.

(2) *Commissioner of Income Tax v. Bapoo*, 2 E.A.T.C. 397.

(3) *S. Ltd. v. Commissioner of Income Tax*, Nairobi C.A. 23 of 1963 (unreported).

(4) *Commissioner of Income Tax v. Hutchings Biemer Ltd*., [1969] E.A. 681.

[**Editorial Note:** It does not appear from the judgment whether the nature of the respondent's business in relation to the buying and selling of property was considered. It is well established that the gains and losses of someone trading in land and property can form part of his profits or losses for tax purposes, and a single venture can be in the nature of a trade.]

Judgment

Trevelyan J: The taxpayer in its capacity as a crop financier lent money to certain concerns on mortgage. In this appeal we are interested in one security only, a farm called Kubu Estate. At some point or points of time the taxpayer believed that the money that it had from time to time lent was not used for its proper purposes and it harboured doubts that it could, without taking some specific action, recover what it had advanced. As a result an account was taken and the debt was crystallised as at 31 October 1965 at Shs. 1,399,416/30. It was also arranged that as from 1 November 1965 the taxpayer would run Kubu Estate in the sense that it would itself pay off certain debts from the borrowers and defray the day to day expenses leaving

the management much as it was before. On 4 February 1966, an agreement was entered into which recited a "desire to vary the old agreement owing to changed circumstances in their financial and business positions" para. (2) of its operative part reading:

> "Muhoroni Millers agrees to sell and T.O.T. agrees to purchase all that piece or parcel of land together with buildings and improvements thereon known as Kubu Estate . . . and all the movables . . . as at 1 November 1965 for the amount of the Muhoroni Debt that is to say for Shs. 1,399,416/30 . . . upon the following terms and conditions:
>
> (*a*) The purchase price shall be satisfied by offsetting the same against the Muhoroni Debt with the intent and the effect that the Muhoroni Debt shall be fully and completely liquidated as if repaid in full so soon as a valid transfer of Kubu Estate and the movables aforesaid to T.O.T. its nominee or nominees is effected by Muhoroni Millers giving T.O.T. a clear title . . . (*b*) On completion of the transfer T.O.T. shall release Muhoroni Millers of all Muhoroni Millers' obligations . . . (*c*) . . . (*d*) All liabilities in connection with the running of Kubu Estate as from the first day of November one thousand nine hundred and sixty-five shall be for the account of T.O.T. provided . . ."

The reference to a nominee or nominees was due to the fact that the taxpayer believed that it could not itself take a conveyance of Kubu Estate because that would be ultra vires its memorandum of association which, with respect, seems odd as they took a mortgage by conveyance. However, on 14 March 1966 a company called Munyaka Coffee Estate Ltd. was incorporated which to all intents and purposes was a wholly owned subsidiary of the taxpayer. Meanwhile, the taxpayer ran Kubu Estate until 31 May 1966 incurring a substantial loss for the period from 1 November 1965 to that date which was allowed as an income tax deduction. The farm was transferred to the subsidiary company and, as at 1 June 1966, that company's shares, of a nominal capital of Shs. 2,000/- were sold to a company called Mapi Ltd., for a purchase price of Shs. 94,890/20 less than the amount for which the farm was bought. This amount the taxpayer claimed to set off for income tax purposes as a bad debt in respect of the original loans which it made against the profits it otherwise made. The Commissioner refused to permit this to be done, the local committee allowed the taxpayer's appeal and from that decision the Commissioner now appeals to this court.

The arguments presented and attractively presented, can shortly be stated. The Commissioner says that there are four phases or transactions namely the period up to 1 November 1965, that between 1 November and 20 May 1966 when the farm was transferred to the subsidiary company, that between that date and 4 August 1966 when the shares in the subsidiary company were sold and the last mentioned date. The taxpayer says that, looking at the substance of the matter there is but one transaction, the crystallisation of the debt, the formation of the subsidiary company, the transfer of the farm to it, the sale of its shares, etc., being no more than the means by which it was carried out.

The appeal was argued at length and there being a more or less complete agreement between counsel as to the law there is no need now to refer to the authorities at length. Miles, J. dealt with most of the tax law which concerns us in the decision, to which I, with respect, entirely subscribe, which he gave in *S. Ltd. v. Commissioner of Income Tax,* H.C.C.A. 23 of 1963, unreported. The issue before us is this:

> "Was the sum of Shs. 94,890/20 which represents the loss incurred in the realisation of the security being Kubu Estate to Mapi Ltd. a bad debt

> incurred in the production of the appellant's income for the year of income 1966 and therefore an allowable deduction as a bad debt within the meaning of s. 14 (2) (*a*) of the East African Income Tax (Management) Act 1958?"

As is so often the case where one issue suffices and can easily be stated, the answer is not so easy to find or at any rate I do not find it so, but I have come down on the side of the Commissioner and I will now explain why I have done so.

The point first to be considered is whether we have a capital loss simpliciter or a circulating capital and thus a revenue loss. It can be urged that as the money lent came from circulating capital the purchase of Kubu Estate was only part of the machinery to realise the loan but though this has its attractions I find myself unable to accept that it is so. Moreover I cannot accept either that there was a bad debt at any time or any sort of debt after 1 November 1965. When the taxpayer agreed to purchase Kubu Estate as it did, it agreed to buy a capital asset. And, if it can be said that there was a subsequent loss thereon, it cannot be said that it was a revenue loss. In *Commissioner of Income Tax v. Bapoo*, 2 E.A.T.C. 397, at p. 411, Forbes, J.A. said:

> "The taking over of an asset in discharge of a debt, whether bad or otherwise, amounts to no more than the purchase of the asset, and in my view, at least in the circumstances of this case, has little or no bearing on the question whether the acquisition of the asset constituted a capital or a revenue transaction."

With respect, I agree. In the circumstances of the instant appeal there was a purchase of an asset, i.e. Kubu Estate and, on all the facts, it became, on acquisition, a capital asset and not circulating capital. For expenditure to be deductible on circulating capital it "must have been incurred for the direct purpose of producing profits" as Newbold, P., quoted in *Commissioner of Income Tax v. Hutchings Biemer Ltd*., [1969] E.A. 681, at p. 683. That is not the case here. In *English Crown Spelter Co. v. Baker*, 5 T.C. 327, at p. 337, Bray, J., said:

> "The question, or one of the questions at all events, therefore, to be determined is – is this, properly speaking, capital expenditure? If capital expenditure, you have not to go and see where the money was before it was expended. It does not matter whether it is lying at the bankers or where it is. What you have to see is whether, in common parlance, it is capital expenditure, that is to say, an expenditure on account of capital – an expenditure which, on the ordinary profit and loss account, would not appear as a debt at all, but would appear as a debit when you are dealing with assets."

Messrs. Gill and Johnson prepared their accounts and they speak for themselves.

It is well settled that though certain acts and promises have been declared by the courts to amount to no consideration at all, the courts will not enquire into the adequacy of consideration. An argument was put forward that there was no consideration here because there was nothing to sell but I am unable to agree. The subsidiary company was formed and there was a conveyance of Kubu Estate to it at an agreed price and there were the movables. The taxpayer treated this company simply as part of its assets and it claimed the amount lost during the nine months from 1 November though the farm was conveyed to the subsidiary. We do not know what an independent valuer would have given as his opinion in regard to the farm's worth when the taxpayer agreed to purchase it, but what we do know is that it suited the parties, and the taxpayer in particular, to pay and to accept a certain amount for it. That amount, by agreement between the parties was the amount of the crystallised debt as at 31 October

1965. When the farm was transferred under the terms contained in the agreement of the 4 February, there was no debt left in existence. As for the purchase of Kubu Estate we do not know whether the amount of the consideration was more or less than it was worth and, in the same way we do not know whether, when it was sold, the market had changed though no doubt the taxpayer sought the best price and took what is though to be advantageous offer. However on the views I hold this does not really matter for the taxpayer made its claim on the original loans on which there cannot in my opinion be said to be a loss at all. I am unable to hold on the facts that only the right to recover any balance was lost; the debt was extinguished by agreement. I have not, may I say, failed to consider the evidence or to remember that the substance rather than the form must be looked at, this being a tax case. It seems to me that, faced as it thought it was with various alternatives the taxpayer chose one which denies it tax relief but which it thought to be the most advantageous for its purpose, and very likely was. Its intention is manifested by what it did. There is no question, as I see it, of doing violence to the taxpayer's intention as has been suggested. The accounts produced are not to be taken in isolation nor indeed as an overriding factor for consideration but they do go to support the views I have formed. And the auditors must have got their information from someone or other in the taxpayer's group because the items in the 1966 accounts were new ones.

Nor do I think that it can be said that there was ever a bad debt. In *Gunn's Commonwealth Income Tax Law and Practice* (6th Edn., 1960) there are two paragraphs which appear on p. 800 and which I reproduce as the book is not, I think, readily available:

> "In dealing with a similar matter under the English Act, Rowlatt, J. said in *Anderton & Halstead Ltd. v. Birrell* (1931), 16 T.C., at p. 209; 'What the statute requires, therefore, is an estimate to what extent the debt is bad, and this for the purpose of a profit and loss account. Such an estimate is not a prophecy to be judged as to its truth by after events but a valuation of an asset de praesenti upon an uncertain future to be judged as to its soundness as an estimate upon the then facts and probabilities.
>
> Apart from bankruptcy and the like, no criterion is laid down to establish that a debt is bad. Each case must depend on its own circumstances, but perhaps it is safe to say that at least a debt is bad when: (*a*) The debtor has died in insolvent circumstances and it would be profitless to take out letters of administration. (*b*) The debtor has vanished, and the creditor has no knowledge of any assets of the debtor to which recourse could be had. (*c*) The debtor has submitted proof to the creditor that he is without assets and that on account of his circumstances, such as state of health or age, he is unlikely ever to acquire assets in the future with which to satisfy the debt. (*d*) The debt is statute barred, and the debtor has either pleaded the statute, or there are reasonable grounds for believing that he would do so if action were taken for recovery. (*e*) Any action to recover could be met with a counter-claim, and the circumstances are such that it would be expedient to abandon the claim.' "

In the present case, the farm was not the only security for the loss, there were at least guarantors, and nothing has emerged to indicate that any steps were taken to do anything other than to take Kubu Estate in exchange for the loan as it existed at 31 October.

I find that the taxpayer has failed to establish that there was a bad debt within the issue framed and I give judgment for the appellant with costs. Accordingly I set aside the decision of the local committee and I confirm the assessment the subject of this appeal.

Order accordingly.

For the appellant:
MG Muli (Deputy Counsel to the Community)

For respondent:
M da Gama Rose (instructed by *Shapley Barret, Marsh & Co*, Nairobi)

Salima and another v Ahmed
[1971] 1 EA 573 (HCK)

Division:	High Court of Kenya at Mombasa
Date of judgment:	13 July 1970
Case Number:	155/1969 (149/71)
Before:	Kneller J
Sourced by:	LawAfrica

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[1] Muslim Law – Wakf – No charitable gift over – May not be implied – Wakf void – Wakf Commissioner's Act (*Cap.* 109), *s.* 4(*K.*).

[2] Perpetuity rule – Wakf – No charitable gift over – Settlement void.

Editor's Summary

The plaintiffs contested a wakf created by a muslim testator in 1901. The wakf created no specific gift to the poor nor for any other purpose which was charitable upon the extinction of the descendants of the settlor.

Held –

(i) the court is not entitled to imply into a wakf a gift to the poor;

(ii) the wakf was void as a perpetuity and as being in contravention of the Wakf Commissioner's Act (Cap. 109), s. 4.

Judgment for the plaintiffs.

Cases referred to judgment

(1) *Fatima v. Mohamed bin Salim* (1949), 16 E.A.C.A. 11.

(2) *Amina binti Abdulla v. Sheha binti Salim* (1954), 21 E.A.C.A. 12.

(3) *Riziki binti Abdulla v. Hemed*, [1959] E.A. 1035.

Judgment

Kneller J: Salima binti Mohamed and Jokha binti Mohamed are the plaintiffs in this suit. The first lady is the widow of Mohamed Mbaruk and the second is his daughter. They are Arabs and Muslims by religion and, more particularly, of the Shaafi sect. Ahmed Mohamed Mbaruk bin Riyamy, the defendant, is of the same community, religion and sect and he is the brother of the second plaintiff. They are all connected with someone called Mbaruk bin Khamis bin Nassir of the Riyami tribe. He was the grandfather of the second plaintiff, father-in-law of the first and grandfather again of the defendant.

This grandfather, by a deed written in Arabic and registered as No. 128 of 1901 with the Registrar of Titles at the Coast on 17 June 1901, purported to create a Wakf of his land with the house standing on it.

A certified copy of a translation in English of this Arabic deed has been produced. The property was entrusted as a Wakf to, and created for the benefit of, the grandfather's two brothers Nassir and Mohamed, who were the sons of Khamis bin Nassir, then to the issue of the grandfather and then to the issues of his two brothers right on until the lines of all those have been extinguished.

The grandfather died at Mombasa leaving Mohamed Mbaruk, his son and his other heirs, entitled to inherit this estate. The Wakf plot was a subject of some claims later and was adjudicated by the then Recorder of Titles. The land was committed to the ownership of the Wakf of the grandfather and registered as such in the Coast Registry.

Now the inheritors of the grandfather's estate are the plaintiffs and the defendant, and the defendant is sole trustee of this Wakf and its properties. He is sued as trustee of that Wakf. He entered an appearance to the plaint but filed no defence. He did not appear at this trial.

The evidence of the first plaintiff and the Registrar of Titles of the Coast Province I accept as being the truth about all these matters. Now the two plaintiffs, a widow and the daughter of the grandfather's son, Mohamed Mbaruk, are two of the heirs entitled to inherit his estate which is still not administered as no Administrators or Executors were appointed to the grandfather's estate or that of his son, Mohamed Mbaruk. So the plaintiffs now ask for a declaration that this Wakf is void ab initio, an order vesting the Wakf plot in the estate of the son Mbaruk bin Khamis bin Nassir Riyamy, and order for costs of this suit, to be taxed on an advocate client basis, and paid out of the profits of the estate.

They are entitled to their declaration and orders. This is because the purposes of the Wakf offend against the rule against perpetuities and against the provisions of section 4 of the Wakf Commissioner's Act (Cap. 109). There is no specific gift either to the poor or to any other purpose which is charitable upon the extinction of the descendants of the settlor.

The court is not entitled to hold that the use of a word Wakf in itself gives rise to an implied gift in favour of the poor: see *Fatima v. Mohamed bin Salim* (1949), 16 E.A.C.A. 11. The order for costs has been approved in *Amina binti Abdulla v. Sheha binti Salim* (1954), 21 E.A.C.A. 12, at p. 15 where Sir Newnham Worley, V.-P. said:

> "I think it only just that the costs of all parties in the Court below, taxed as between solicitor and client, should be paid out of the property dedicated to Wakf."

The other members of the court concurred in that order. It has been followed in *Riziki binti Abdullo v. Hemed*, [1959] E.A. 1035, at p. 1051 by the same court.

Judgment for the plaintiffs.

For the plaintiffs:
HAT Anjarwalla

The defendant did not appear.

Ratilal and another v Republic
[1971] 1 EA 575 (CAN)

Division:	Court of Appeal at Nairobi
Date of judgment:	15 October 1971
Case Number:	25/1971 (153/71)
Before:	Sir William Duffus P, Lutta and Mustafa JJA
Sourced by:	LawAfrica
Appeal from:	High Court of Kenya – Mwendwa, CJ and Wicks, J

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[1] Criminal Law – Retaining stolen property – No longer an offence of retaining stolen property for oneself – Penal Code, s. 322 (*K.*).

[2] Criminal Law – Receiving stolen property – Elements of offence – Penal Code, s. 322 (*K.*).

[3] Criminal Practice and Procedure – Charge – Defect – Failure to allege that retention of stolen

property for the benefit of another – No failure of justice – Criminal Procedure Code, ss. 361 (5), 382 (*K.*).

Editor's Summary

A Cortina car was stolen on 15 February 1970 and was seen at one time or another in the possession of two accused during the period from 18 February to 25 February.

On 18 February the first accused had the car re-sprayed. On the same day the second accused made plans to buy another blue Cortina and from this car the registration number, the filler cap, the Road Fund Licence, the alloy tag and other descriptive numbers were ultimately transferred to the stolen Ford in an attempt to conceal its identity.

The accused were charged jointly with stealing the vehicle or in the alternative of handling stolen goods contrary to s. 322(2) of the Penal Code.

The trial magistrate acquitted both accused of stealing but convicted both of handling the stolen vehicle. The particulars of the handling charge did not refer to "dishonestly receiving" the vehicle but stated that the accused "dishonestly undertook the retention" of the vehicle. The trial magistrate convicted in the belief that both accused had dishonestly received the vehicle. On appeal to the High Court, the convictions were upheld. On further appeal it contended that the omission of the words in the charge relating to the dishonest retention of the vehicle of the words "by or for the benefit of another person" rendered the charge defective, and was fatal to a conviction, that the trial magistrate in effect found the accused guilty of handling by way of receiving and this was wrong because the wording of the charge did not mention receiving, only retention, and that the defective charge and the wrong finding prejudiced the accused and resulted in a miscarriage of justice.

Held –

(i) on a charge of handling stolen goods the prosecution must prove:

  (*a*) that the handling was otherwise than in the course of stealing;

  (*b*) that the accused received the goods knowing or having to believe that the goods were stolen, or

  (*c*) that the accused dishonestly undertook or assisted in the retention, removal or disposal or realisation of the goods by or for the benefit of another person (*Mumbi v. Republic* (4) and *R. v. Sloggett* (5) followed);

(ii) the omission of the words "by or for the benefit of another person" in the charge rendered it defective;

(iii) the defective charge had not occasioned a failure of justice.

Appeal dismissed.

Cases referred to judgment

(1) *Harji Kuverji Patel v. R.* (1955), 22 E.A.C.A. 536.

(2) *Gikungu v. Republic*, Nairobi Cr. App. 948 of 1969 (unreported).

(3) *Griffiths v. Freeman*, [1970] 1 All E.R. 1117.

(4) *Mumbi v. Republic*, [1970] E.A. 345.

(5) *R. v. Sloggett*, [1971] 3 All E.R. 264.

Judgment

15 October 1971. The considered judgment of the court was read by **Sir William Duffus P:** This is an appeal from the judgment of the High Court sitting in its appellate jurisdiction on a decision of a senior resident magistrate, Nairobi. The main issue in the appeal concerns the interpretation of s. 322 of the Penal Code. This is a comparatively new section which was brought in by the Criminal Law (Amendment) Act 1969, and replaced the old s. 322 dealing with the offence of receiving stolen goods. The offence is now known as "handling stolen goods" and the relevant portion of the section states:

> "322 (1) A person handles stolen goods if (otherwise than in the course of the stealing) knowing or having reason to believe them to be stolen goods he dishonestly receives the goods, or dishonestly undertakes, or assists in, their retention, removal, disposal or realisation by or for the benefit of another person, or if he arranges to do so.
>
> (2) A person who handles stolen goods is guilty of a felony and is liable to imprisonment with hard labour for a term of not less than seven or more than fourteen years."

Both the appellants were jointly charged with stealing a motor car and then, in the alternative, with handling stolen goods, to wit, the motor car. The trial magistrate acquitted the appellants on the first count of stealing but convicted them on the second count of handling. There was a third accused person who was separately charged on a third count of handling some of the tools and accessories from the stolen car. This accused was tried along with the two appellants and was convicted by the magistrate but acquitted on appeal to the High Court. The second count on which the appellants were convicted states:

> "Count 2. in the alternative to count 1
>
> handling stolen goods contrary
>
> to s. 322(2) of the penal code
>
> 1. Ratilal Govind Chauhan (2) Mansukula Vrajlal Dholakia between 15 February 1970 and 27 February 1970 at Nairobi in the Nairobi area, jointly together (otherwise than in the course of stealing) knowing or having reason to believe it to be stolen goods, dishonestly undertook the retention of a motor vehicle, a Ford Cortina GT Registration Number TZ. 1210, the property of Mr. J. Dass Varma valued at Shs. 34,550/-."

There are conflicting judgments of the High Court on the interpretation of this section but before us both Mr. Kapila for the appellants, and Mr. Potter for the Republic, agreed that the correct interpretation is that given recently by the Court of Appeal in England in the case of *R. v. Sloggett*, [1971] 3 All E.R. 264. Ss. 22(1) and (2) of the Theft Act 1968, of England, are practically identical with s. 322(1) and (2) of our Penal Code.

Before considering the English case we would mention some of the decisions of the High Court in Kenya. In the present case, on appeal the judges of the High Court relied largely on the English Case of *Griffiths v. Freeman*, [1970] 1 All E.R. 1117 and also relied on the form of precedent set out in the Cumulative Supplement of the 37th edition of Archbold which was mentioned, with approval, by Lord Parker in his judgment in the *Griffiths* case. Relying largely on this form of precedent the High Court in their judgment held, *inter alia*:

> "In the 2nd Cumulative Supplement to the 37th edition of Archbold under paragraph 1560, which was referred to by Lord Parker, C.J., a pro forma for the particulars of offence relating to handling stolen goods is set out–
>
> > 'AB on the day of , in the county of ,
> >
> > dishonestly undertook [or assisted in] the retention [or removal] [or disposal] [or realisation by or for the benefit of EF] of a [bag], the property of CD, knowing or believing the same to have been stolen',
>
> 'retention' is seen to be one of the four possible types of handling which, stated in the particulars, enable an accused person to understand the charge which he has to meet. Retention can be by oneself or by with or for another person, as indeed can removal or disposal be by oneself or by with or for another person, it is still retention removal or disposal. The fourth alternative type of handling appears to state two possible forms of realisation, 'dishonestly undertakes the realisation by EF etc.' and 'dishonestly undertakes the realisation for the benefit of EF etc.' However we make no observation whether one of these should be stated or if it is sufficient to state the whole."

With respect, we cannot agree with this interpretation of the section. Before referring to any other of the decided cases, we would set out what is in our view the clear meaning and interpretation to be given to s. 322. Before the amendment by the Criminal Law Amendment Act 1969, the offence in Kenya was either receiving or retaining stolen property, knowing the same to be stolen, etc. The difference between receiving and retaining as set out in that section was dealt with in several judgments of this court but we would refer in particular to our judgment in *Harji Kuverji Patel v. R.* (1955), 22 E.A.C.A. 536. The new section, however, whilst more or less keeping the elements of the former offence of receiving entirely changes the provisions as to retaining. The section now creates a new name for the offence "handling stolen goods". The section creates one offence but may be divided into three parts.

(A) First, the handling must be of stolen goods and done otherwise than in the course of stealing. We agree that this is a necessary element which must be proved by the prosecution. The prosecution must prove that the goods are stolen and must then further satisfy the court that the handling of the goods was "otherwise than in the course of stealing". This altered element can, however, be proved by circumstances from which the court can infer and decide whether the offence was theft or handling of stolen goods. The prosecution should therefore always, except where the evidence positively establishes either that the act was a theft or was one of handling stolen goods, lay alternative counts to cover both offences. This was done in this case.

Mr. Kapila, in the course of his arguments, advanced a novel point in that he suggested that the situation may arise when a court has to acquit an accused person because it cannot make up its mind which of these offences had been committed. We cannot agree that this situation should ever arise when the evidence clearly establishes with that degree of certainty required in a criminal case that one or other of these offences has been committed. In such a case

it is the duty of the court to decide on the facts which of the offences has been committed always bearing in mind that the onus is on the prosecution to prove that one or other of the offences has been committed and convict accordingly. The peculiar situation does arise, however, under the present law in that under s. 275 of the Penal Code the maximum punishment for simple theft is three years, whilst the minimum punishment under s. 322 (2) for handling the same stolen articles is fixed at seven years.

(B) The second essential to constitute the offence under s. 322 is that the person handling the goods knew, or had reason to believe, the goods to be stolen. The standard of proof for this essential would appear to be the same as previously existed for the offence of receiving and the evidence proving this may be inferred from the circumstantial evidence in the particular case.

(C) The third essential is set out in the words:

> "he dishonestly receives the goods or dishonestly undertakes, or assists in their retention, removal, disposal or realisation by or for the benefit of another person, or if he arranges to do so."

This essential is divided into two alternatives. First, the words "dishonestly receives the goods" refers to the former offence of receiving. This refers to receiving by the individual charged and the law as laid down with regard to receiving applies in this case. The necessary mens rea must exist at the time of the receipt of the stolen goods so that it must be established that the accused person knew at the time of the receipt that the goods were stolen or that he had reason to so believe. The alternative as set out in the section then takes the place of the former "retention of stolen goods" but the offence now is that the accused "dishonestly undertakes, or assists in, their retention, removal, disposal or realisation by or for the benefit of another person". The mens rea here is that existing at the time of the undertaking or the assisting in the handling of the goods by any of the four methods set out, that is by the "retention, removal, disposal or realisation" and then the section provides that this is only an offence when this act is carried out "by or for the benefit of another person". This point was stressed by the High Court in its judgment in *Mumbi v. Republic*, [1970] E.A. 345. We would, in this respect, quote from this judgment:

> "It takes the place of the former one which dealt with receiving and retaining stolen property, but we must interpret it as it has been drafted, and it seems to us that in regard to the offence of receiving the knowledge or the reason to believe the goods to have been stolen must be related to the time of their receipt by the accused whilst in respect of the offence of retaining, the knowledge relates to the time when he undertakes or assists in their retention, removal, disposal or realisation '*by or for the benefit of another person . . .*' We have stressed these words because it seems to us that retaining stolen property for oneself is outside the section. If that is so the appellant was charged with an offence the particulars of which are unknown to the law."

We would also refer to the judgment of the High Court in *Gikungu v. Republic* Criminal Appeal 948 of 1969, in which Kneller, J. followed this judgment. The judgment of the Court of Appeal in England in the *Sloggett* case arrives at a similar interpretation to that which we have set out and as the High Court decided in the *Mumbi* judgment. It is to be noted that in the present appeal the High Court did not have the benefit of the *Sloggett* decision, which was only arrived at in July of this year. The *Sloggett* decision also applies to the exercise of an appeal court's discretion when there has been some omission or error in the proceedings which has not, however, caused a failure of justice. We would quote here from the judgment of the Court of Appeal in England

delivered by Roskill, J. and as set out in the summary of his judgment in the *Times* newspaper of 26 July 1971:

> "The crucial issue was whether the omission in the summing up of all reference to the words 'by or for the benefit of another person' was fatal to the conviction, especially in view of their omission from the count itself.
>
> As a matter of construction 'dishonestly' governed both 'undertakes' and 'assists in'; and 'retention', 'removal', 'disposal' and 'realisation' were governed by the crucial words 'by or for the benefit of another person'. Their Lordships were fortified by the knowledge that their construction agreed with the views of Professor J. C. Smith in his admirable book The Theft Act 1968 (1st Edn., 1968, p. 160, para. 605) that 'The undertaking, assisting or arranging must be shown to be for the benefit of another person'. If it were not for this qualification almost all thieves would be handlers as well.
>
> Both the particulars in the retention count and the summing up were defective. His Lordship said: 'We think it important that in future counts of this kind in indictments should include the words "by or for the benefit of another person" where these are appropriate'. The precedents in Archbold's Criminal Pleading, Evidence And Practice, 37th Edn., 1969, 6th Cumulative Supplement (25 May 1971), para. 1560, can be followed and, where appropriate, modified to this end.
>
> Although it would have been better if the chairman's direction had dealt with the point, the jury could not have been under any misapprehension. There was abundant evidence to justify his conviction and even if the chairman's omission might have had any consequence on the jury's mind, their Lordships would not have hesitated to apply the proviso to s. 2 (1) of the Criminal Appeal Act 1968. The appeal was dismissed."

We would note here that the precedent referred to in the 6th Cumulative Supplement to Archbold, which is the same as that set out in the judgment of the High Court in this case, is defective, as the words "by or for the benefit of" are an essential part of the charge, and should not therefore have been included within the brackets.

Mr. Kapila's major complaint on this issue is that the charge as laid, and on which the appellants have been convicted, is defective. The particulars of the charge state *inter alia*:

> ". . . jointly together (otherwise than in the course of stealing) knowing or having reason to believe it to be stolen goods, dishonestly undertook the retention of a motor vehicle, a Ford Cortina GT Registration Number TZ. 1210 the property of Mr. J. Dass Varma valued at Shs. 34,550/-."

The charge omitted an essential of the offence in that it failed to include the allegation that the retention was "for the benefit of another person". Mr. Potter agrees that the charge was defective but he submits that there has been no substantial miscarriage of justice and asked us to apply either the provisions of sub.-s. (5) of s. 361 of the Criminal Procedure Code, which deals with second appeals to this court, or the provisions of s. 382 of the Criminal Procedure Code. Consideration of the provisions of these two sections is essential in the determination of this appeal and we here set them out:

> "361. (5) On any appeal brought under this section, the Court of Appeal may, notwithstanding that it may be of the opinion that the point raised in the appeal might be decided in favour of the appellant, dismiss

the appeal if it considers that no substantial miscarriage of justice has in fact occurred.

382. Subject to the provisions hereinbefore contained, no finding, sentence or order passed by a court of competent jurisdiction shall be reversed or altered on appeal or revision on account of any error, omission or irregularity in the complaint, summons, warrant, charge, proclamation, order, judgment or other proceedings before or during the trial or in any inquiry or other proceedings under this Code, unless such error, omission, irregularity has in fact occasioned a failure of justice:

Provided that in determining whether any error, omission or irregularity has occasioned a failure of justice the court shall have regard to the question whether the objection could and should have been raised at an earlier stage in the proceedings."

In considering this question it will be necessary to consider fully both the trial before the magistrate and also the appeal to the High Court. We would first consider the case before the magistrate. The appellants were jointly charged both with theft of the motor car and, in the alternative, with handling the same. The magistrate ruled that there was a *prima facie* case against the appellants on both counts and the appellants then entered into their defence and called witnesses. The appellants were separately represented by counsel and no objection was taken with regard to the second count of handling and the trial proceeded on the basis that the appellants were correctly charged, both on the theft and on the handling counts. This is relevant in considering whether the proviso to s. 382 applies in this case. The main issue at the trial was whether the appellants, or either of them, had such possession of the motor car as would establish either the charge of theft or of handling. The facts were fully gone into and investigated before the magistrate, who after considering the facts and the law found both the appellants guilty on the second count. It is to be noted here that there was no complaint or appeal to the High Court on the facts.

Mr. Kapila, who appeared for both appellants in the High Court and in this court stated that he did not question the trial magistrate's findings of fact. We are satisfied that the facts in this case were fully investigated by the magistrate and he was justified in his findings. The appellants knew that the charges were theft or, in the alternative, the handling of the motor car knowing it to have been stolen and the main issue was whether or not they had had sufficient possession of the motor car to establish their guilt on either of these counts. In fact, it appears from the record that the senior resident magistrate dealt with the handling charge against both the appellants as if it was handling by way of the first alternative of receiving. He said, in the course of his judgment:

"I have considered the evidence as a whole with utmost care. There is ample evidence which leads to the irresistible conclusion that the stolen Cortina GT was at one time or another seen in possession of both accused 1 and accused 2 during the period from 18 February to 25 of the same month. As regards 27 February, it is admitted by accused 2 that he used it that day.

There is therefore a presumption of fact that accused 1 and accused 2 are either thieves or receivers. Having regard to what each of them has said about 15.2.1970 and the evidence that each has adduced about that day coupled with the fact that there is no evidence that either accused 1 or accused 2 was seen with the stolen Cortina GT prior to 18.2.1970 it seems more likely that they are receivers. It will be recalled it was on 18 February that accused 1 took steps to respray the car and it was on that day that

> accused 2 began to make plans which ultimately resulted in his buying the blue Cortina KLD. 244, the filler cap, the registration number, the Road Fund Licence, the alloy tag and other descriptive numbers of which were later found on the stolen Cortina GT. I am convinced that both accused 1 and accused 2 knew very well that the Cortina GT was a stolen car when they received it and also while it was in the possession of either of them."

Mr. Potter, in his reply for the Republic, supports the findings of the magistrate's court that this was a handling by way of receiving, and not as found by the High Court that this was a handling by way of "retaining the car for oneself".

Section 134 of the Criminal Procedure Code sets out the essentials of a charge in the magistrate's court and states:

> "134. Every charge or information shall contain, and shall be sufficient if it contains, a statement of the specific offence or offences with which the accused person is charged, together with such particulars as may be necessary for giving reasonable information as to the nature of the offence charged."

In this case the statement of the charge is correctly stated as handling stolen goods, contrary to s. 322 (2) of the Penal Code but the particulars are wrong as these should have read either "dishonestly received the motor car" or "dishonestly undertook the retention of a motor car for the benefit of another person" but we are satisfied that the appellants were not misled or prejudiced by the omission of these words. The evidence called for the prosecution was such as could have either established the charge for stealing or for handling by way of receiving. The magistrate treated this charge as one of "handling by way of receiving" and convicted the appellants of this offence. The appellants went fully into their defence which was, in respect of each appellant, a denial of the charge of theft in each case, an alibi for the night of the theft, and then each appellant denied having had such possession as would have supported a charge of handling; thus, the first appellant's defence was that the stolen motor car was only in his possession for work to be done on it for the second appellant; whilst the second appellant's defence was that the car was not his and had only been lent to him on one occasion by the first appellant.

Mr. Kapila submitted that the appellants could not have been convicted on the charge as it stood as this was not a charge for handling by way of receiving. The offence of handling, however, under s. 322 (1) is one offence and it is the particulars which would show whether the prosecution relied on the receiving portion of the section or on the section which showed that the motor car was retained etc. "by or for the benefit of another person". We have dealt with this matter and in conclusion we are satisfied and find that the omission in the particulars of the charge was not such as to prejudice the appellants and has not occasioned a failure of justice.

Mr. Kapila, however, further submitted that the error in the particulars also prejudiced the appellants in their first appeal to the High Court. He points out that the prosecution at the appeal before the High Court did not endeavour to support the magistrate's finding that the handling here was by way of receiving but rather supported the theory that the words "by or for the benefit of another person" meant that these could be for the benefit of another person or for the benefit of an accused person himself. This question was, however, a matter of the interpretation of the law. The facts were not in dispute nor were the magistrate's findings on these facts. The real issue before the High Court and before this Court is only on questions of law and the issue before us now is whether or not the conviction of the senior resident magistrate was correct

and should be sustained. If we are satisfied that this conviction was properly entered but that the High Court, in maintaining this conviction did so on what we consider to be a wrong interpretation of the law, then clearly it is our duty to still maintain the verdict of the trial court. The real issue before us is, were these appellants correctly convicted of the offence of handling? We cannot, with respect, see that the appellants have suffered any real prejudice in the proceedings before either court and we cannot find that there has been any miscarriage of justice in this case.

We are therefore satisfied that the error in the particulars has not, in fact, occasioned a failure of justice in either the senior resident magistrate's court or in the High Court and in this respect we would apply both the provisions of s. 361 (5) and also of s. 382.

Mr. Kapila also submitted that the joinder of the appellants in one count was bad. We agree with Mr. Kapila that the appellants cannot both be convicted on one count unless it is clearly proved that the possession of the appellants was of itself joint; thus joinder does not lie if the possession of each appellant was distinct or separate. The possession necessary here is that both the accused persons had joint control of the stolen article and this joint control or joint possession has to be affirmatively proved by the prosecution. Mr. Kapila's submission is that the evidence established that each appellant had separate possession on different occasions and not joint possession. The magistrate made no specific findings on this point except that he found them both guilty on the joint charge of handling but he also specifically found that on 18 February the first appellant was taking steps to have the stolen car resprayed in an apparent attempt to change its identity, whilst on the same day the second appellant was taking steps to acquire the motor car KLD 244, which was used in the endeavour to hide the identity of the stolen car and further, on 20 February, both appellants went together and collected this car, KLD 244, and then further, parts of this car – KLD 244 – and parts of the stolen car were both found in the first appellant's garage. There was, in our view, ample evidence here to prove that the appellants had such joint possession of the stolen motor car as to justify a conviction on the joint charge of handling.

Mr. Kapila also submitted that the joinder of the third accused on the same charge was prejudicial to the appellants. There was, in fact, an objection taken to this joinder at the trial before the magistrate and also again before the first appellate court but we are of the view that this objection was correctly considered and dealt with in both courts. There were other submissions but these were of no substance and were quite properly not pressed by Mr. Kapila in the appeal before us.

We are satisfied, therefore, that the appellants were properly convicted of handling the stolen car on the merits of the case and that the error in the particulars of the charge has not occasioned a failure of justice. The appeal is dismissed.

Appeals dismissed.

For the appellant:
AR Kapila and *R Shah* (instructed by *AR Kapila & Co*, Nairobi)

For the respondent:
KD Potter, *QC* (Special Legal and Constitutional Counsel) and *S Rao* (Assistant Deputy Public Prosecutor)

W v W
[1971] 1 EA 583 (HCK)

Division: High Court of Kenya at Nairobi

Date of judgment:	6 December 1970
Case Number:	19/1965 (172/71)
Before:	Harris J
Sourced by:	LawAfrica

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[1] Matrimonial Causes – Maintenance – Variation – Principles – Original order must generally be taken to have been correct.

Editor's Summary

The petitioner applied for an order increasing the maintenance payable for the younger son of the marriage. The original order had been made by consent. The position of the parties had changed to some extent.

Held –

(i) while the court has a complete discretion on an application for variation of maintenance, it must in general be taken that the order when made was correct;

(ii) the alteration in the position of the parties justified an increase in maintenance.

Application allowed.

No cases referred to in judgment

Judgment

Harris J: This is an application by the petitioner, the former wife of the respondent, for an increase in the allowance to be provided by the respondent for maintenance of herself and the younger child of the marriage.

The parties were married in 1947 and their marriage was dissolved by a decree absolute of this court in September 1965. Two children have been born of the marriage, both sons, who were then aged 13 and 10 years respectively.

On 15 July 1965, between the dates of the decree nisi and the decree absolute, an order was made by consent of the parties containing, amongst others, the following provisions:

(*a*) that custody of the children remain with the respondent, subject to further order, but that their care and control be vested in the petitioner;

(*b*) that the respondent do pay to the petitioner Shs. 150/- per month as additional maintenance for the children, together with a nominal sum of Shs. 1/- per annum as maintenance for herself, and do pay also the school fees and medical expenses for the children.

It would appear that this order was made on the footing that, as stated to the court at the time, the respondent was in a very poor financial position which it was thought, however, might improve later, and that the petitioner, who was and still is in paid employment, was in a position to provide entirely for herself and party for the children. The position of the respondent at that time is further illustrated by the fact that in the following year an order was made permitting him to discharge the petitioner's taxed costs of the proceedings by monthly instalments.

It is clear that the position of the parties has changed somewhat since 1965. The elder son, now aged 18 years, is in paid employment and presumably is no longer a burden on his parents, while the younger son, although still at school, may eventually be leaving this country with a view to adopting a career overseas. The respondent has therefore been relieved of the expense of the school fees for the elder son, in addition to which his general indebtedness would appear, judging from the figures disclosed by his two affidavits sworn in these proceedings on 22 April 1965 and 16 November 1970 respectively, to have decreased by some £500 although his income, as is that of the petitioner, is substantially unaltered.

I accept the proposition submitted in argument by counsel for the respondent that, while the court has in the last resort a complete discretion in the matter, a party seeking an order for a variation in maintenance payments by one spouse to another already directed must, as a general rule, undertake the onus of justifying the variation on the basis of conceding that the order when made was correct. This principle would seem to apply with added force where, as here, the order sought to be varied was made by consent.

In the present case I am satisfied that the relative change in the circumstances of the parties justifies a measure of revision of the payments agreed to and directed in 1965. An increase of £60 per annum in respect of the younger son over and above that previously fixed in respect of both sons has been suggested, and this, I think, would be fair on the understanding that the younger son spends the greater part of his school holidays with the petitioner and remains a boarder at his school during term time.

Counsel for the respondent asked that this increase be made payable in a monthly sum of £5, which, I feel, is a reasonable suggestion and I therefore order that the payments to be made by the respondent to the petitioner in respect of the younger boy be increased to Shs. 250/- per month with effect from the date of this order and be payable in advance.

The request for an increase of maintenance for the petitioner herself, which was included in the application, was not pressed and I make no order in that behalf.

The petitioner will have the costs of this application to be paid when taxed or agreed, and the parties will have liberty to apply to the court at any time if the premises upon which this order is made should not materialize or should prove unfounded.

Application allowed.

For the petitioner:
AW Robson (instructed by *Robson, Harris & Co*, Nairobi)

For the respondent:
P Le Pelley (instructed by *Hamilton Harrison & Mathews*, Nairobi